2026.10.12
賴薪宇 C00273@ibfs.com.tw

3008.TT 大立光

鏡頭之後，是 CPO 的光

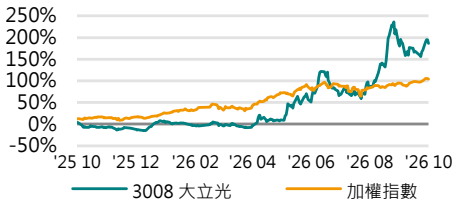
[法說會更新]

公司簡介

大立光電股份有限公司成立於 1987 年 4 月，主要生產光學鏡頭及鏡片，為國內生產光學鏡頭及鏡片之領導廠商。3Q26 營收組成為 10~19MP 60%~70%，20MP 以上 10%~20%，8MP 0%~10%，5MP 以下 15%~30%。

投資評等/目標價	
買進	8,190
【前次投資建議】無	
【大盤指數/股價】49313 / 6660	

近一年個股及大盤報酬率



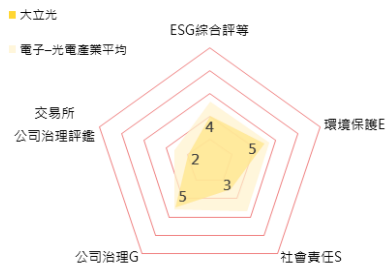
公司基本資料

流通在外股數(百萬股)	131
市值(百萬元)	871,116
3M 平均日成交值(百萬元)	13,089
外資持股率(%)	24.16
投信持股率(%)	7.89
董監持股率(%)	19.02

重點財報解析

百萬元	FY26F	FY27F	FY28F
營業收入	60,320	72,167	178,686
營業利益	20,412	20,744	44,992
母公司本期淨利	19,984	17,632	38,243
EPS(元)	152.60	134.81	292.39
EPS YoY%	-4.27	-11.66	116.89
每股現金股利(元)	76.30	67.41	146.20
每股淨值(元)	1,467.00	1,525.51	1,750.50
本益比(x)	43.6	49.4	22.8
本淨比(x)	4.5	4.4	3.8
殖利率(%)	1.1	1.0	2.2

環境、社會與治理(ESG)



重點摘要

➢4Q26 遞延營收認列成營運高點

大立光 3Q26 營收為 156.5 億元(YoY-11.5%，QoQ+14.5%)。營收組成為 1,000 萬畫素(10~19MP) 60%~70%，2,000 萬畫素(20MP)以上 10%~20%，800 萬(8MP)畫素 0%~10%，低於 500 萬(5P)畫素 20%~30%。營收年減主因為美系品牌手機漲價壓抑出貨水準，以及標準版與輕型版延後至 2027 年初上市致使部分營收遞延認列。3Q26 毛利率 42.2%不如市場預期主因為綠電墊高製造成本，以及可變光圈良率仍待改善，導致 EPS 年減 25%至 39.62 元。儘管 4Q26 依然正值出貨旺季，營收高點由過往的 3Q 轉變為 4Q，但美系品牌客戶已開始下修 11 月出貨量，估 4Q26 營收僅季增 7%。預估 2026 年大立光營收為 603 億元(YoY-1.4%)，毛利率 45.7%，EPS 152.60 元(YoY-6.1%)。

➢2027 年 CPO 撥開手機烏雲

展望 2027 年，iPhone 19 系列主鏡頭將放大 CIS，並升級光圈，其餘鏡頭規格則與 iPhone 18 系列鏡頭配置無異。基於美系品牌客戶下修 4Q26 出貨量，研究員認為 2027 年 iPhone 18 系列出貨表現平淡。在 CPO FA/FAU 方面，出貨產品將以單排 GC FAU 為主。依據客戶第一代/第二代 CPO 交換器出貨量各 1 萬台作推估，營收比重估落在 10%至 20%區間，為 2027 年主要營收成長動能。預估 2027 年大立光營收為 806.2 億元(YoY+30.9%)，毛利率因成本持續受綠電影響而降至 40.5%，EPS 134.81 元(YoY-11.8%)。

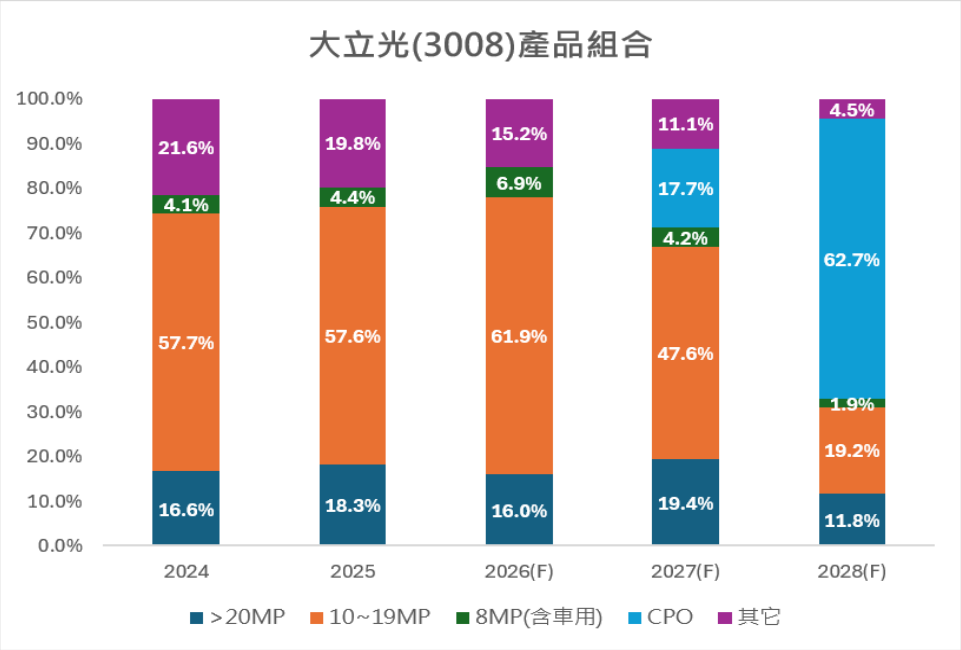
➢高階手機鏡頭需求仍在上升，CPO 布局有成，目標價 8,190 元

2026 年大立光開始試產 CPO 產品，2H27 小量出貨，開展手機鏡頭事業後的第二成長曲線。隨著 CPO 滲透率逐年成長，預期公司 2028 年後 CPO 成長動能將再放大。過往 5 年 PE 評價落在 10X~41X 區間，目前位於區間中下緣。除了高畫素手機鏡頭需求持續攀升挹注營運動能之外，CPO 事業展開後，公司享有 CPO 產業逐年擴張的長線機會，可抵禦手機市場景氣循環，故研究員推升評價至 28X，首次評等建議買進，目標價 8,190 元(2028F PE 28X)。

公司介紹

大立光電股份有限公司成立於 1987 年 4 月，主要生產光學鏡頭及鏡片，為國內生產光學鏡頭及鏡片之領導廠商。產品主要應用於手機鏡頭、筆電鏡頭、平板鏡頭、IP 相機鏡頭及汽車鏡頭等。3Q26 營收組成為 1,000 萬畫素(10~19MP) 60%~70%，2,000 萬畫素(>20MP) 10%~20%，800 萬(8MP)畫素 0%~10%，低於 500 萬畫素(<5MP) 20%~30%。

圖 1：大立光營收組成



資料來源：國票投顧

4Q26 遞延營收認列成營運高點

大立光 9 月營收為 57.8 億元(YoY-7.3%，MoM+15.3%)，3Q26 營收為 156.5 億元(YoY-11.5%，QoQ+14.5%)，符合市場預期。3Q26 營收組成為 1,000 萬畫素(10~19MP) 60%~70%，2,000 萬畫素(20MP)以上 10%~20%，800 萬(8MP)畫素 0%~10%，低於 500 萬(5P)畫素 20%~30%。營收年減主因為美系品牌手機漲價壓抑出貨水準，以及標準版與輕型版延後至 2027 年初上市致使部分營收遞延認列。3Q26 毛利率 42.2%不如市場預期主因為綠電墊高製造成本，以及可變光圈良率仍待改善，導致 EPS 年減 25%至 39.62 元。儘管 10 月為客戶拉貨高峰，營收高點由過往的 3Q 遞延至 4Q，但因 iPhone 18 售價上調壓抑買氣，美系品牌客戶已開始下修 11 月出貨量，估 4Q26 營收僅季增 7%。預估 2026 年大立光營收為 603 億元(YoY-1.4%)，毛利率 45.7%，EPS 152.60 元(YoY-6.1%)。

2027 年 CPO 撥開手機烏雲

展望 2027 年，iPhone 19 系列主鏡頭將放大 CIS，並升級光圈。目前仍在送樣階段。其餘鏡頭規格則與 iPhone 18 系列鏡頭配置無異。基於美系品牌客戶下修 4Q26 出貨量，投研部認為 2027 年 iPhone 18 系列出貨表現將十分平淡，預估美系客戶部分 2027 年出貨量年減 5%~10%。

中系手機市場，預期華為 1H27 發布之 Pura 100 系列將升級主鏡頭至 200MP，導入雙 200MP 畫素鏡頭規格(原有 1 顆 200MP 潛望長焦鏡頭)。小米於 4Q27~1Q28 同時將主鏡頭、潛望長焦鏡頭與超廣角鏡頭升級至 200MP。大立光作為全球唯一掌握 8P/9P 堆疊設計技術，以及中系手機高階潛望鏡頭之重要供應商。然而，考量中系手機市場需求可能依舊處於低迷態勢，加上美系客戶手機銷售表現平淡，預計 2027 年鏡頭營收與 2026 年持平。

圖 2：中系手機鏡頭規格迭代

五大旗艦品牌手機鏡頭配置對照表		
品牌	2026年鏡頭配置	2027年鏡頭配置與革新(F)
Apple iPhone Pro / Pro Max	主鏡頭：48MP (首度導入可變光圈)	主鏡頭：CIS與光圈升級
	超廣角：48MP	超廣角：48MP
	潛望長焦：48MP	潛望長焦：48MP
	前鏡頭：18MP	前鏡頭：18MP
華為Pura Pro Max	主鏡頭：50MP	主鏡頭：升級至200MP
	超廣角：40MP	超廣角：40MP
	長焦：200MP潛望長焦	長焦：維持200MP
	前鏡頭：13MP	前鏡頭：13MP
小米Xiaomi Ultra	主鏡頭：50MP	主鏡頭：升級至200MP
	超廣角：50MP	超廣角：升級至200MP
	長焦：50MP浮動微距+200MP潛望長焦	長焦：維持50MP和200MP各一
	前鏡頭：50MP	前鏡頭：50MP
vivo X Ultra	主鏡頭：50MP	主鏡頭：升級至200MP(未定)
	超廣角：200MP	超廣角：維持200MP
	潛望長焦：200MP	潛望長焦：維持200MP
	前鏡頭：50MP	前鏡頭：50MP
OPPO Find X Ultra	主鏡頭：200MP	主鏡頭：維持200MP
	超廣角：200MP	超廣角：維持200MP
	長焦：50MP長焦+200MP超感光長焦	長焦：維持50MP和200MP各一
	前鏡頭：50MP	前鏡頭：50MP

資料來源：國票投顧整理

在 CPO FA/FAU 方面，出貨產品將以單排 GC FAU 為主。公司已購置台中產業園區土地廠房，現正規劃一棟大型新廠房，預計全部空間用於擴充 CPO 光纖陣列(FA)及 FAU 產能。目前 FA 產品已於 2026 年 7 月送樣並獲客戶認證，9 月完成自動化試產線建置，最快於 2H27 放量出貨。依據 AI GPU 大廠第一代/第二代 CPO 交換器出貨量各 1 萬台作推估，營收比重估落在 10%至 20%區間，為 2027 年主要營收成長動能。預估 2027 年大立光營收為 721.7 億元(YoY+19.6%)，毛利率因成本持續受綠電影響、FAU 製造處於良率爬坡階段而降至 40.5%，EPS 134.81 元(YoY-11.8%)。

2028 年稱霸 CPO FAU，EPS 上看 290 元

2028 年，大立光 CPO 主要產品為 FA，以及由 FA、PMLA(多通道微透鏡陣列)耦合形成的 FAU。未來將進一步產出將 FAU、定位珠組裝至 Carrier 上的成品。其中，稜鏡、PMLA 和 Carrier 等零組件會由公司向客戶指定之供應商外購。

在製造優勢上，公司依靠過往鏡頭需要的高度精密對位經驗，發展出自動化產線(包含自製機台與軟體)及主動對位技術，對位精度 0.3 微米以下，並採用模造玻璃製程製造 FAU，相較於半導體製程在塑形上更有優勢。與依靠手動高精度 V-groove 製程不同的是，自動化製程投入成本雖高，但極易進行反向工程除錯，且在量產後，不僅可快速支應客戶需求，也能放大獲利水準以抵銷成本負擔。同時，良率提升會使單位成本快速下降，毛利水準將於短期內平穩下來。產品迭代上，公司多排 FAU 現已送樣，預計 2028 年開始出貨。屆時，FAU 種類會由 GC FAU 擴展至 EC FAU。

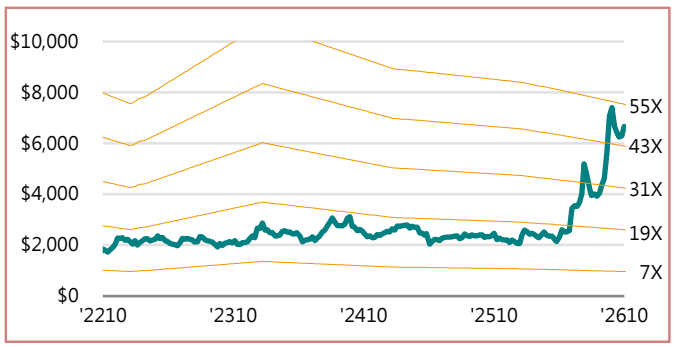
憑藉自動化產能可支應客戶需求、對位技術領先同業，投研部認為大立光將於 2028 年成為 FA/FAU 主要供應商。依據 2028 年 AI GPU 大廠第一代/第二代 CPO 交換器出貨量各 5 萬台，以及 EC FAU 之 CSP 客戶機櫃數量達 1.5 萬台、單台機櫃多排 FAU 用量 1,536 個(單櫃 64 個 OE 及單一 OE 需 24 個 FAU)的預期作推估，大立光 2028 年 FAU 營收貢獻約 1,100 億至 1,200 億元，營收比重約 60%。

手機鏡頭部分，投研部推估美系客戶手機將於 2028 年開始搭載 200MP 之遠攝鏡頭、屏幕下鏡頭(配合 Face ID 技術)及變焦升級之潛望式鏡頭。版本革新著重於鏡頭感光元件與光學結構的升級，單支手機鏡頭個數維持 4 顆(3 顆後置相機鏡頭+1 顆前置相機)，預計 2028 年營收成長動能來自於美系客戶手機鏡頭規格提升帶來的 ASP 增長。假設中系及韓系客戶 2028 年單支手機鏡頭用量及規格未變，公司市場份額與 2027 年接近，CPO 事業成為公司主營業務，預估 2028 年營收 1,787 億元(YoY+147.9%)。成本方面，儘管與鏡頭客戶重新議價可消除綠電成本，但考量 CPO 事業因認列自動化設備等折舊，毛利水準較為壓抑，因此預估 2028 年毛利率持續下降至 36.9%，EPS 292.39 元(YoY+116.9%)。

高階手機鏡頭需求仍在上升，CPO 布局有成，目標價 8,190 元

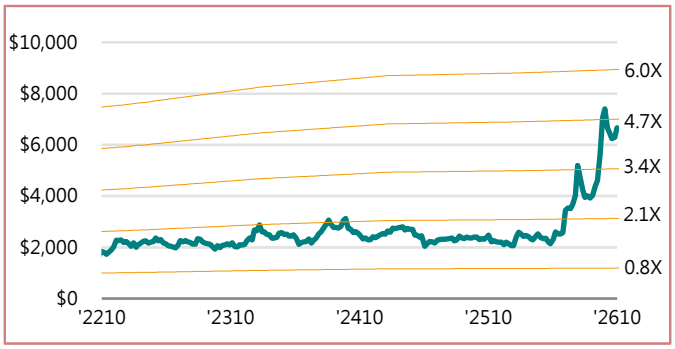
2026 年大立光開始試產 CPO 產品，2H27 小量出貨，開展手機鏡頭事業後的第二成長曲線。隨著 CPO 滲透率逐年成長，預期公司未來成長動能將再放大。過往 5 年 PE 評價落在 10X~41X 區間，以 2028 年 EPS 計算，目前為 23X，位於區間中下緣。除了高畫素手機鏡頭需求持續攀升挹注營運動能之外，CPO 事業展開後，公司享有 CPO 產業逐年擴張的長線機會，可抵禦手機市場景氣循環，故投研部推升評價至 28X，首次評等建議買進，目標價 8,190 元(2028F PE 28X)。

未來 12 個月 P/E 區間



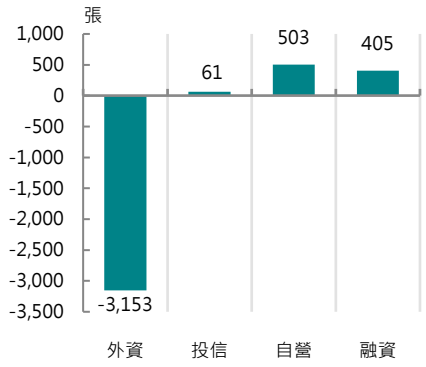
資料來源：國票投顧

未來 12 個月 P/B 區間



資料來源：國票投顧

近二十日籌碼變化



資料來源：CMoney

十大股東結構

持股人姓名	持股率%
茂鈺紀念(股)	14.53
陳世卿	5.10
蔣翠英	4.97
富邦人壽保險(股)林福星	3.06
謝銘原	2.76
匯豐希爾契斯	2.02
復華台灣科技優息復華台灣科技	1.89
梁忠仁	1.60
德意志托景順	1.48
中信卓越 50 證	1.43

資料來源：CMoney

董監事持股

持股人		身分別	持股率%
茂鈺紀念(股)	林恩平	董事長/執行長	14.53
茂鈺紀念(股)	林恩舟	董事	14.53
謝銘原		董事	2.76
梁忠仁		董事	1.6
陳俊明		董事	0.09
黃有執		董事/總經理	0.04
李淑惘		獨立董事	0
林進芳		獨立董事	0
張光道		獨立董事	0
林恩舟		法人代表(董事)	0

資料來源：CMoney

3008 大立光 永續發展概況

CMoney ESG Rating 更新評鑑年季：2026Q3

落後			平均				領先		
1	2	3	4	5	6	7	8	9	10

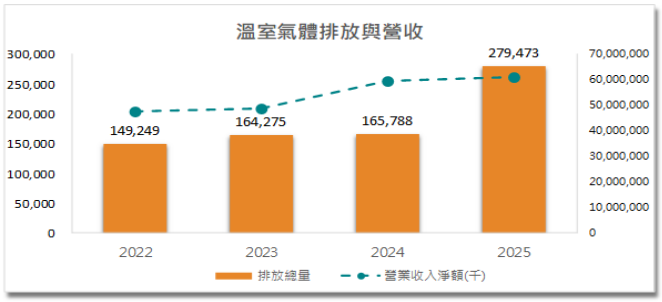
E(環境保護)	S(社會責任)	G(公司治理)	交易所公司治理評鑑	CM 評鑑等級換算
5	3	5	66%至80%	C

產業類別	產業樣本數	ESG評等產業排名	TCFD報告書簽署	永續報告書
電子-光電	116	80	否	有 請參考公司官網

資料來源：CMoney
說明：評等1-10分，10分最高

環境保護 Environment

溫室氣體



摘要 2025年溫室氣體排放量增加68.57%，營收增加2.84%

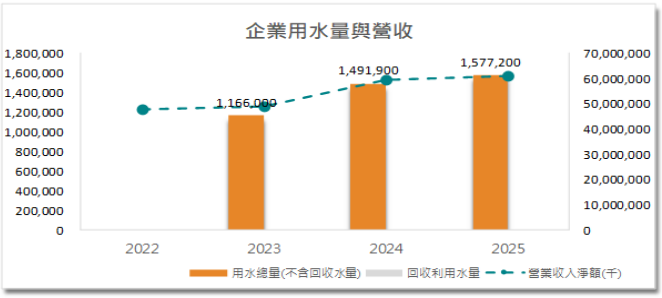
溫室氣體盤查數據

年度	排放總量(公噸)	範疇一	範疇二
2025	279,473	1,331	278,142
2024	165,788	1,629	164,159
2023	164,275	1,672	162,603
2022	149,249	1,504	147,745

*排放總量(公噸)：範疇一+範疇二溫室氣體排放數據
*範疇一：組織擁有或控制的營運據點的溫室氣體排放
*範疇二：組織所購買或取得之電力，用之於供熱、製冷或蒸汽而產生的溫室氣體排放

資料來源：CMoney、企業揭露資訊

水資源



摘要 2025年企業用水量增加5.72%，營收增加2.84%

企業用水量盤查數據

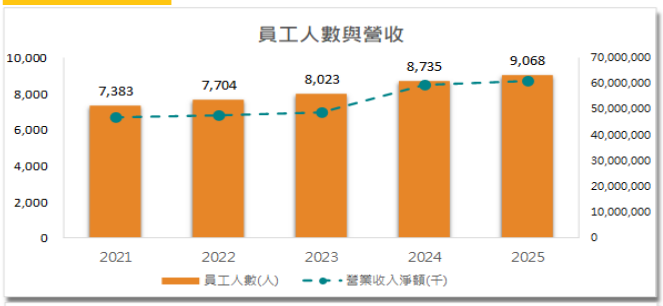
年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2025	1,577,200	-	842,100
2024	1,491,900	-	801,100
2023	1,166,000	-	570,400
2022	未揭露	-	-

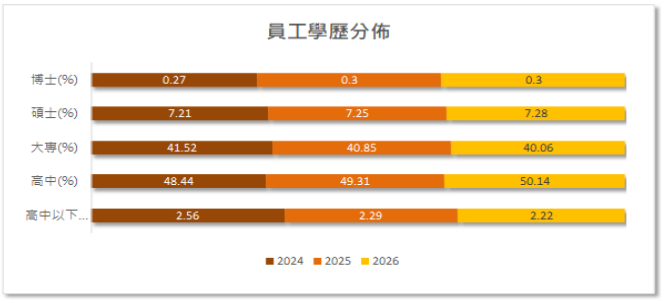
*用水總量：依取水來源統計之總使用水量
*回收水量：將已用水和廢水透過循環處理成可再利用的水資源(包含製成回收水)
*排水量：排放的汙水總量

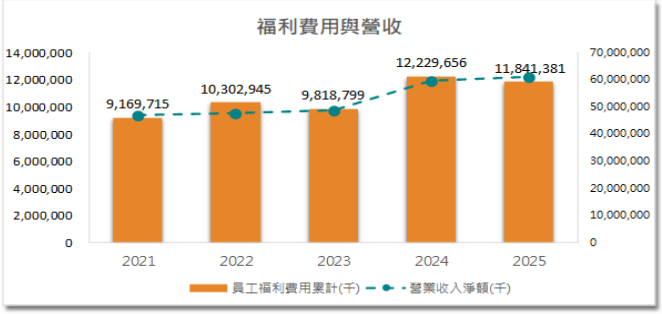
資料來源：CMoney、企業揭露資訊

社會責任 Social Responsibility

員工人數







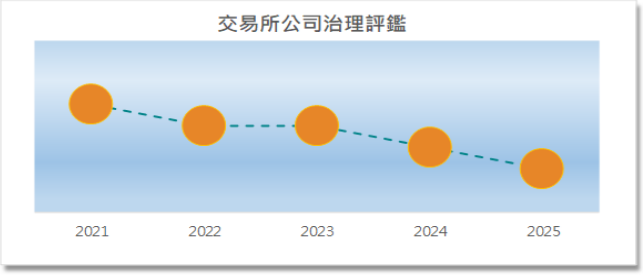
公司治理 Corporate Governance

公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及平等對待股東	強化董事會結構與運作	資訊透明度	落實企業社會責任
2025	66%至80%	C	0.16	0.25	0.1	0.49
2024	51%至65%	C+	0.19	0.29	0.17	0.35
2023	36%至50%	B	0.22	0.31	0.19	0.28
2022	36%至50%	B	0.2	0.33	0.23	0.24
2021	21%至35%	B+	0.2	0.33	0.26	0.21

資料來源：CMoney、交易所

[註]等級轉換：前5%：「A+」；6%至20%：「A」；21%至35%：「B+」；
36%至50%：「B」；51%至65%：「C+」；66%至80%：「C」；81%至100%：「D」

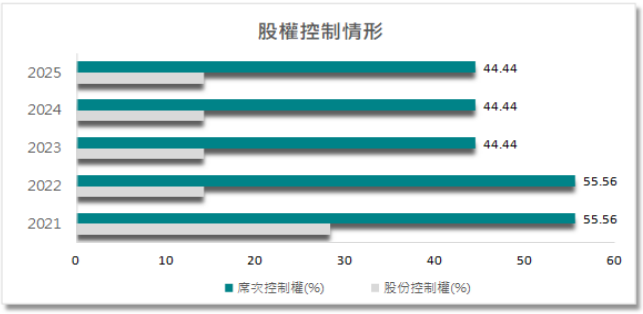


企業功能委員會

功能委員會			
審計委員會(非強制設置)		審計委員會(強制設置)	★
提名委員會	★	資訊安全委員會	
公司治理委員會		永續發展委員會	
薪資報酬委員會	★	誠信經營委員會	
風險管理委員會		策略委員會	

資料來源：CMoney、企業揭露資訊

股權控制



企業裁罰資訊

2026/8/20	違反法條： 勞動基準法第32條第2項。勞動基準法第43條	違反內容： 延長工作時間逾法定上限;未依規定給予勞工事假
2026/2/3	違反法條： 勞動基準法第32條第2項	違反內容： 延長工作時間逾法定上限
2026/2/3	違反法條： 勞動基準法第32條第2項	違反內容： 延長工作時間逾法定上限
2025/10/15	違反法條： 勞動基準法第32條第2項	違反內容： 延長工作時間逾法定上限
2025/10/15	違反法條： 勞動基準法第32條第2項	違反內容： 延長工作時間逾法定上限

資料來源：CMoney蒐集MOPs重訊、環保署、金管會、勞動部裁罰資訊

附註說明

溫室氣體與水資源企業資訊來源為永續報告書及公開資訊觀測站，
企業資料於每年6/30及9/30申報截止，CMoney蒐集整理數據於每年8月及10月更新最新資料。
依循GRI國際準則，企業揭露溫室氣體與水資源等資料應揭露至少3至5年，因此最新年度永續報告書應有3至5年數據，表格數據以最新年度公告數據呈現。
舉例. 去年A公司公告2020、2019年溫室氣體資料，今年只公告2021年資料，視為今年沒有公告2020、2019歷史資料，於表格中只會呈現2021年資料。

綜合損益表

百萬元	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	FY26F	FY27F	FY28F
營業收入	15,544	13,665	15,651	15,460	13,050	13,959	23,082	22,075	60,320	72,167	178,686
營業毛利	7,680	6,753	6,607	6,541	5,625	5,952	9,038	8,620	27,580	29,235	65,540
營業費用	1,867	1,605	1,872	1,824	1,540	1,633	2,724	2,594	7,168	8,491	20,549
營業利益	**5,812**	**5,148**	**4,735**	**4,717**	**4,085**	**4,318**	**6,314**	**6,026**	**20,412**	**20,744**	**44,992**
稅前淨利	**7,288**	**6,099**	**6,092**	**4,717**	**4,085**	**4,318**	**6,314**	**6,026**	**24,196**	**20,744**	**44,992**
本期淨利(NI)	**6,176**	**4,726**	**6,092**	**4,717**	**4,085**	**4,318**	**6,314**	**6,026**	**20,096**	**17,632**	**38,243**
淨利歸屬於_母公司業主	6,123	4,670	5,182	4,009	3,472	3,671	5,367	5,122	19,984	17,632	38,243
淨利歸屬於_非控制利益	53	56	-2	0	0	0	0	0	106	0	0
每股盈餘_本期淨利	**46.63**	**35.70**	**39.62**	**30.65**	**26.55**	**28.06**	**41.04**	**39.16**	**152.60**	**134.81**	**292.39**
QoQ(%)											
營收淨額	-9.73	-12.09	14.53	-1.22	-15.59	6.97	65.35	-4.36			
銷貨毛利	-7.03	-12.07	-2.16	-1.00	-14.01	5.81	51.86	-4.62			
營業利益	-8.16	-11.43	-8.02	-0.39	-13.39	5.71	46.22	-4.56			
稅後純益_母公司淨利	-8.88	-23.73	10.96	-22.63	-13.39	5.71	46.22	-4.56			
YoY(%)											
營收淨額	6.62	17.07	-11.46	-10.21	-16.05	2.16	47.48	42.79	-1.35	19.64	147.60
銷貨毛利	-3.58	7.87	-20.90	-20.81	-26.76	-11.87	36.80	31.78	-10.56	6.00	124.19
營業利益	-4.50	5.52	-24.41	-25.47	-29.72	-16.11	33.35	27.76	-13.36	1.63	116.89
稅後純益_母公司淨利	-4.97	352.46	-26.81	-40.34	-43.29	-21.40	3.57	27.76	-6.07	-11.77	116.89
各項比率											
營業毛利率	49.41	49.42	42.21	42.31	43.10	42.64	39.16	39.05	45.72	40.51	36.68
營業利益率	37.39	37.67	30.25	30.51	31.30	30.94	27.36	27.30	33.84	28.74	25.18
稅前淨利率	46.89	44.63	38.92	30.51	31.30	30.94	27.36	27.30	40.11	28.74	25.18
稅後淨利率	39.39	34.18	33.11	25.93	26.61	26.30	23.25	23.20	33.13	24.43	186.11

財務狀況表

百萬元	FY26F	FY27F	FY28F
現金及約當現金	112,384	142,788	151,323
應收款項	12,009	14,212	16,010
存貨	6,268	6,713	6,268
其他流動資產	18,890	26,296	27,766
流動資產	**149,551**	**190,010**	**201,369**
長期投資	8,542	14,026	12,900
不動產、廠房與設備	51,472	51,472	51,472
其他非流動資產	32,214	10,316	28,559
非流動資產	92,228	75,814	92,931
資產總計	**241,779**	**265,824**	**294,300**
短期借款	0	0	0
應付款項	35,563	27,136	35,563
其他流動負債	-7,442	8,594	2,302
流動負債	**28,121**	**35,729**	**37,865**
長期借款	0	0	0
其他非流動負債	5,651	1,402	2,016
非流動負債	5,651	1,402	2,016
負債總計	**33,772**	**37,131**	**39,881**
股本	0	0	0
資本公積	1,565	1,565	1,565
保留盈餘	199,188	219,874	245,600
其他權益	7,254	7,254	7,254
股東權益	**208,007**	**228,693**	**254,419**

資料來源：CMoney 、國票投顧

現金流量表

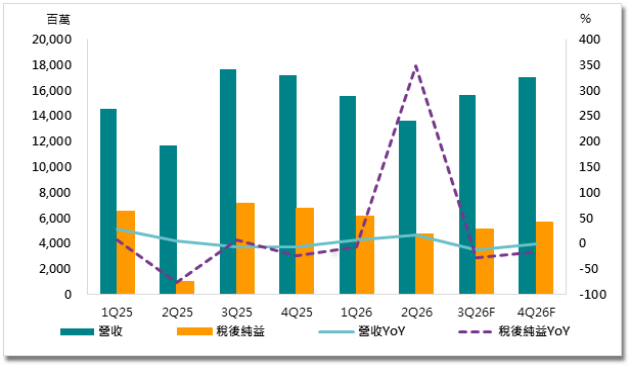
百萬元	FY26F	FY27F	FY28F
本期稅前淨利(淨損)	26,177	27,220	31,236
折舊攤提	7,071	7,071	7,071
營運資金增減	-8,538	5,779	-9,781
其他	2,528	2,084	2,306
來自營運之現金流量	**27,237**	**42,154**	**30,832**
資本支出	-500	-500	-500
長投增減	0	0	0
其他	-1,055	1,289	72
來自投資之現金流量	**-1,555**	**789**	**-428**
自由現金流量	**25,683**	**42,943**	**30,404**
借款增(減)	5,480	-4,249	614
其他	-34,720	-8,290	-22,482
來自融資之現金流量	**-29,240**	**-12,539**	**-21,868**
本期產生之現金流量	-3,558	30,404	8,536
期末現金及約當現金	112,384	142,788	151,323

財務比率表

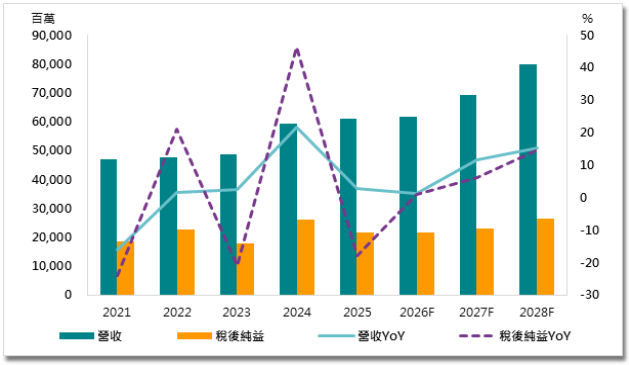
(%)	FY26F	FY27F	FY28F
負債比率	13.97	13.97	13.55
槓桿比率	16.24	16.24	15.68
流動比率	531.81	531.81	531.81
存貨周轉率(次)	4.75	5.21	6.03
存貨週轉天數	76.83	70.01	60.51
應收帳款週轉天數	69.15	69.15	69.15
股東權益報酬率	12.90	14.94	15.41
總資產報酬率	11.61	13.46	14.00

資料來源：CMoney 、國票投顧

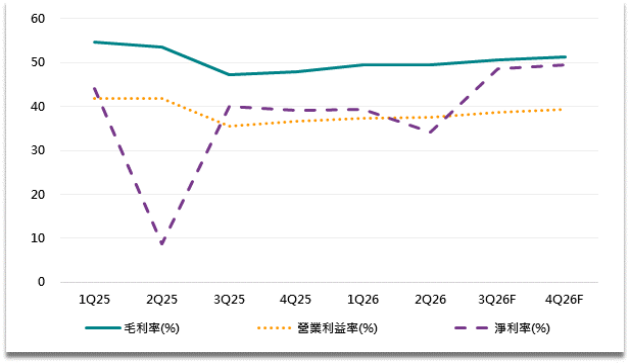
近八季營收及稅後淨利



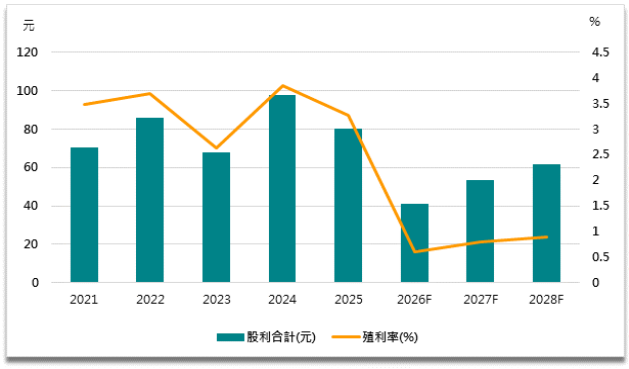
近八年營收及稅後淨利



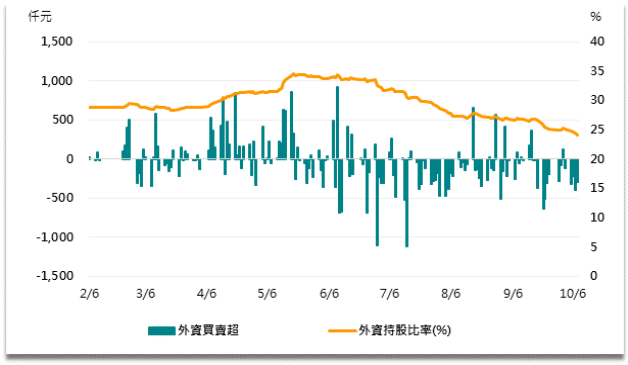
近八季三率走勢圖



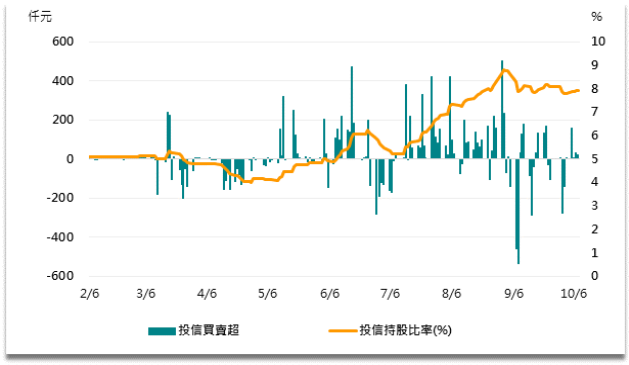
近八年股利及殖利率



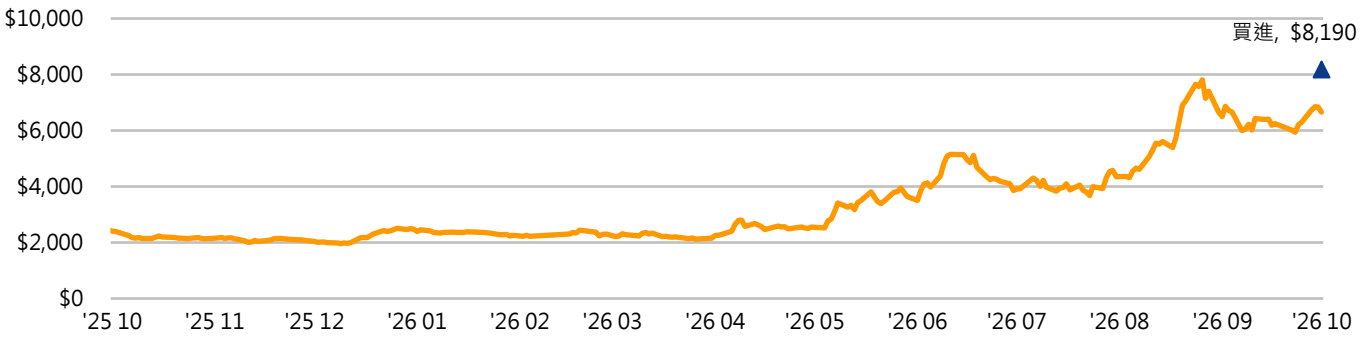
近八月外資買賣超



近八月投信買超



歷史投資建議走勢



國票買進個股數

投資評等	個股數
強力買進/買進	93

評等說明

評等	定義
強力買進	預估未來 3 個月內的絕對報酬高於 40%，且短期股價動能強勁
買　　進	• 預估未來 3 個月內的絕對報酬高於 20% • 中大型股及金融股：預估未來 3 個月內的絕對報酬高於 12%以上
區間操作	• 預估未來 3 個月內絕對報酬小於 20% • 中大型股及金融股：預估未來 3 個月內的絕對報酬小於 12%
觀　　望	預估未來 3 個月內的絕對報酬低於 0%
未 評 等	• 該公司未於國票核心持股名單 • 國票可能與該公司進行業務而處於緘默期

備註：「續推買進」報告 - 預估未來 3 個月內的絕對報酬高於 10%；中大型股及金融股，預估未來 3 個月內的絕對報酬高於 6%以上

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2026/10/12

手機及零組件　　維持評等

大立光 (3008 TT)　　買進(Buy)

FA/FAU 進展順利，潛在貢獻巨大

- **3Q26 營收及毛利率低於預期**
- **下修 4Q26 營收，展望鏡頭升級步調放緩，惟升級趨勢仍不變**
- **FA 已通過認證，受客戶正向回饋，進一步跨入 FAU**

3Q26 營收及毛利率低於預期：公司於 2026/10/08 舉行第三季法說會，公布 3Q26 財務數據，營收 156.5 億元(QoQ+14.5%，YoY-11.5%)、毛利率 42.2%(QoQ-7.22ppts，YoY-5.05ppts)、營業外收入 13.6 億元、本期淨利 51.8 億元、單季 EPS 39.62 元。3Q26 營收 156.5 億元低於我們以及市場預期，主要受憶體成本上升影響下手機市場疲弱，以及客戶新機需求量下修；3Q26 毛利率 42.2%低於我們以及市場預期，主要因潛望式鏡頭較可變光圈鏡頭有多段光圈的檢測站數更多，故新機良率較差，與綠電成本上升影響毛利率。公司展望 10 月營收將與 9 月持平，隨後 11 月起呈現下滑，而毛利率受新機爬坡仍有優化空間，預期將改善。此外，公司表示綠電成本已成結構性問題，2027 年產品價格已談定，是否能反映綠電成本至產品報價視 2028 年商議情形。

下修 4Q26 營收，展望鏡頭升級步調放緩，惟升級趨勢仍不變：公司表示可變光圈新機拉貨高峰期間已過，客戶需求已於 9 月開始下修，我們預估 4Q26 營收及毛利率為 170.9 億元 (QoQ+9.2%)/ 45.52%(QoQ+3.32ppts)。公司展望鏡頭規格趨勢，2027 年主鏡頭將有升級，相關產品已進行送樣，而 2028 年潛望式鏡頭有望迎來較大的升級，公司已陸續開始進行試產。

FA 已通過認證，受客戶正向回饋，進一步跨入 FAU：FA 客戶認證通過，試產線已就緒，且公司受客戶要求，進一步承接 FAU 組裝，以自製 FA 加上外購 PMLA，進行 FAU 耦合及組裝。FAU 初步產線已展示予客戶且在 10 月將進行驗證洽談，並預期將在 2027 年中建置一定量體之 FAU 產能。經我們觀察 FAU 單價依規格不同單價落於 100 至 200 美元左右，假設 2028 年 FAU 需求總量為 3 至 4 千萬，大立光取得 10%市佔率，預估 2028 完整年度可貢獻至少 100-150 億元營收，平均毛利率約 40%-50%，推算營收及獲利貢獻巨大，為大立光自手機鏡頭外，下一個主要成長動能。

雖公司在本次法說下修手機鏡頭展望，惟 FA/FAU 業務表示受客戶反饋正向，由供應 FA 擴大至 FAU 組裝，並預估將於 2027 年中旬實現量產並貢獻營收，進展迅速。過往大立光在手機鏡頭本業的營運上升週期下，預估本益比約交易在 15 至 18 倍左右，而公司本次擴大 FAU 業務範圍，利於評價上修。我們預估 2027、2028 年 EPS 分別為 193.08、225.97 元，目標價 7,910 元，基於 2028 EPS x 35 倍 PER，維持買進之投資建議。**風險因子：**匯率波動、FAU 進展及新機出貨量不如預期。

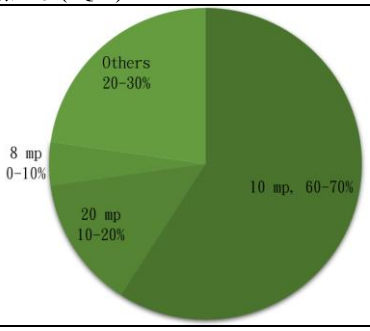
臺灣 ESG 永續指數成分股

潛在漲幅	18.77%
前日收盤價	6,660.00 元
目標價	7,910.00 元
前次目標價	5,020.00 元
前次評等	增加持股

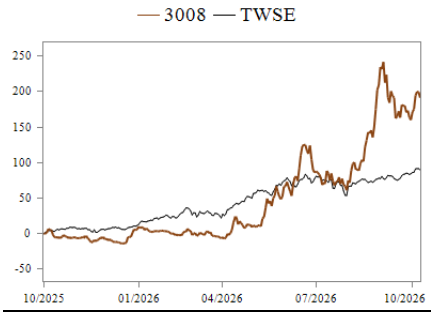
公司基本資訊

目前股本(百萬元)	1,308
市值(億元)	8,711
目前每股淨值(元)	1464.41
外資持股比(%)	24.16
董監持股比(%)	19.02

營業比重(3Q26)



個股與大盤走勢(%)



許哲豪
Jeff.syu@ctbcsis.com

(百萬元)	2023	2024	2025	2026F	2027F	2028F
營業收入淨額	48,842	59,458	61,148	61,955	69,929	80,835
營業毛利淨額	23,806	31,209	30,837	28,821	33,921	39,675
營業利益	17,807	24,033	23,558	21,419	25,690	30,136
稅後純益	17,902	25,915	21,275	21,697	25,255	29,557
公告基本 EPS(元)	134.13	194.17	159.41	--	--	--
調整後 EPS(元)	134.10	194.12	159.37	165.71	193.08	225.97
營業收入 YoY(%)	2.45%	21.73%	2.84%	1.32%	12.87%	15.60%
稅後純益 YoY(%)	-20.87%	44.76%	-17.90%	1.98%	16.40%	17.03%
本益比	19.45	12.91	15.18	40.15	34.49	29.47
本淨比	2.10	1.82	1.71	4.40	4.13	3.81
股息(元)	67.50	97.50	80.00	82.85	91.45	113.46
殖利率(%)	2.63%	3.86%	3.28%	1.24%	1.37%	1.70%
ROE(%)	11.17%	14.85%	11.43%	11.21%	12.35%	13.45%

圖表一、季度財報與預估差異

損益表（單位：百萬元）	3Q26					4Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	15,651	16,577	-5.6%	18,196	-14.0%	17,095	18,211	-6.1%	18,476	-7.5%
營業毛利	6,607	8,421	-21.5%	9,274	-28.8%	7,782	9,588	-18.8%	9,410	-17.3%
營業利益	4,735	6,448	-26.6%	6,946	-31.8%	5,724	7,367	-22.3%	7,078	-19.1%
稅前純益	6,092	7,716	-21.0%	8,129	-25.1%	7,020	8,748	-19.8%	8,314	-15.6%
稅後淨利	5,182	6,289	-17.6%	6,712	-22.8%	5,721	7,129	-19.8%	6,894	-17.0%
EPS(元)	39.62	47.89	-17.3%	50.92	-22.2%	43.74	54.29	-19.4%	50.89	-14.0%
財務比率(%/百分點)										
毛利率	42.2%	50.8%	-8.6 ppts	51.0%	-8.8 ppts	45.5%	52.6%	-7.1 ppts	50.9%	-5.4 ppts
營益率	38.9%	38.9%	0.0 ppts	38.2%	0.8 ppts	33.5%	40.5%	-7.0 ppts	38.3%	-4.8 ppts
稅後淨利率	33.1%	37.9%	-4.8 ppts	36.9%	-3.8 ppts	33.5%	39.1%	-5.7 ppts	37.3%	-3.8 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

圖表二、年度財報與預估差異

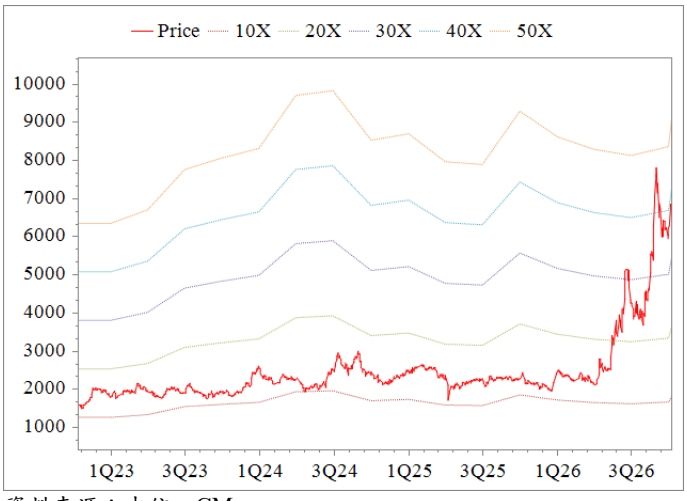
損益表（單位：百萬元）	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	61,955	63,997	-3.2%	65,261	-5.1%	69,929	69,594	0.5%	71,449	-2.1%
營業毛利	28,821	32,440	-11.2%	32,410	-11.1%	33,921	35,623	-4.8%	35,820	-5.3%
營業利益	21,419	24,775	-13.5%	24,558	-12.8%	25,690	27,446	-6.4%	27,805	-7.6%
稅前純益	26,499	29,851	-11.2%	29,243	-9.4%	31,284	32,665	-4.2%	32,022	-2.3%
稅後淨利	21,697	24,211	-10.4%	23,811	-8.9%	25,255	26,379	-4.3%	26,444	-4.5%
EPS(元)	165.71	184.53	-10.2%	179.89	-7.9%	193.08	200.88	-3.9%	199.94	-3.4%
財務比率(%/百分點)										
毛利率	46.5%	50.7%	-4.2 ppts	49.7%	-3.1 ppts	48.5%	51.2%	-2.7 ppts	50.1%	-1.6 ppts
營益率	34.6%	38.7%	-4.1 ppts	37.6%	-3.1 ppts	36.7%	39.4%	-2.7 ppts	38.9%	-2.2 ppts
稅後淨利率	35.0%	37.8%	-2.8 ppts	36.5%	-1.5 ppts	36.1%	37.9%	-1.8 ppts	37.0%	-0.9 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

2026/10/12

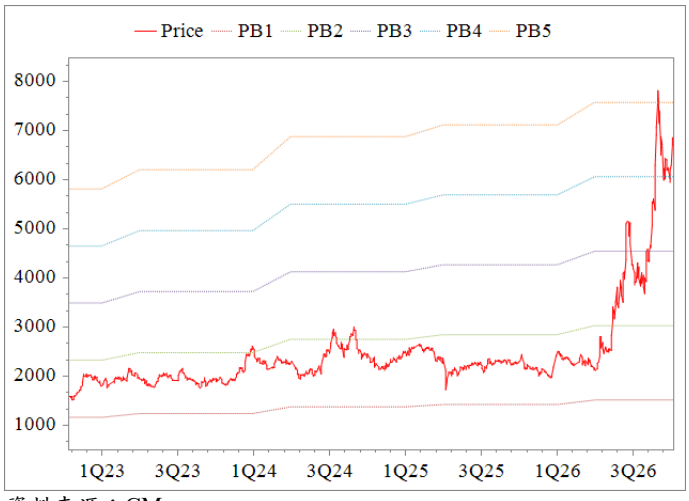
(百萬元)	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	15,544	13,665	15,651	17,095	15,685	15,150	19,214	19,881
營業成本	7,865	6,912	9,044	9,314	8,224	7,858	9,862	10,064
營業毛利	7,680	6,753	6,607	7,782	7,461	7,292	9,351	9,817
營業費用	1,867	1,605	1,872	2,058	1,851	1,776	2,269	2,336
營業利益	5,812	5,148	4,735	5,724	5,611	5,516	7,082	7,481
營業外收支淨額	1,476	951	1,357	1,296	1,255	1,212	1,537	1,590
稅前純益	7,288	6,099	6,092	7,020	6,865	6,728	8,619	9,072
所得稅	1,112	1,373	909	1,299	1,167	1,447	1,465	1,950
稅後純益	6,123	4,670	5,182	5,721	5,698	5,282	7,154	7,121
調整後 EPS(元)	46.63	35.72	39.62	43.74	43.56	40.38	54.69	54.44
毛利率(%)	49.41%	49.42%	42.21%	45.52%	47.57%	48.13%	48.67%	49.38%
營業利益率(%)	37.39%	37.67%	30.25%	33.48%	35.77%	36.41%	36.86%	37.63%
稅後純益率(%)	39.39%	34.18%	33.11%	33.47%	36.33%	34.86%	37.23%	35.82%
營業收入								
QoQ(%)	-9.73%	-12.09%	14.53%	9.23%	-8.25%	-3.41%	26.83%	3.47%
YoY(%)	6.62%	17.07%	-11.46%	-0.72%	0.91%	10.87%	22.76%	16.29%
營業利益								
QoQ(%)	-8.16%	-11.43%	-8.02%	20.88%	-1.97%	-1.68%	28.39%	5.63%
YoY(%)	-4.50%	5.52%	-24.41%	-9.56%	-3.47%	7.15%	49.57%	30.71%
稅後純益								
QoQ(%)	-8.88%	-23.73%	10.97%	10.40%	-0.40%	-7.31%	35.45%	-0.46%
YoY(%)	-4.97%	352.46%	-26.80%	-14.86%	-6.94%	13.10%	38.04%	24.47%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

資產負債表

(百萬元)	2022	2023	2024	2025	2Q26
資產總計	184,970	195,138	216,527	220,787	226,131
流動資產	129,202	134,321	145,764	154,285	157,493
現金及約當現金	110,172	107,490	113,658	115,942	118,482
應收帳款與票據	8,051	10,091	10,360	10,462	7,328
存貨	5,191	4,591	5,733	6,713	9,088
採權益法之投資	760	1,369	24	26	28
不動產、廠房設備	37,831	41,135	46,936	51,472	52,530
負債總計	29,861	29,627	31,139	29,919	32,642
流動負債	29,388	29,517	30,578	29,749	32,441
應付帳款及票據	1,325	1,613	1,856	1,726	2,046
非流動負債	473	110	561	171	200
權益總計	155,109	165,510	185,388	190,868	193,489
普通股股本	1,335	1,335	1,335	1,335	1,308
保留盈餘	152,652	160,871	175,969	185,818	183,393
母公司業主權益	155,109	165,510	183,519	188,867	191,542
負債及權益總計	184,970	195,138	216,527	220,787	226,131

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	59,458	61,148	61,955	69,929	80,835
營業成本	28,248	30,311	33,134	36,008	41,160
營業毛利淨額	31,209	30,837	28,821	33,921	39,675
營業費用	7,177	7,279	7,402	8,231	9,538
營業利益	24,033	23,558	21,419	25,690	30,136
EBITDA	34,001	29,374	33,437	37,762	44,055
業外收入及支出	8,142	2,342	5,080	5,594	6,467
稅前純益	32,174	25,900	26,499	31,284	36,603
所得稅	5,963	4,340	4,693	6,029	7,046
稅後純益	25,915	21,275	21,697	25,255	29,557
公告基本 EPS(元)	194.17	159.41	- -	- -	- -
調整後 EPS(元)	194.12	159.37	165.71	193.08	225.97

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	2Q26
營業活動現金	44,207	18,199	31,579	26,080	8,968
稅前純益	27,827	22,102	32,174	25,900	6,099
折舊及攤銷	5,118	5,422	6,230	7,732	2,177
營運資金變動	2,416	-1,399	-1,286	-1,209	318
其他營運現金	8,846	-7,926	-5,540	-6,343	375
投資活動現金	-9,793	-11,151	-16,066	-9,236	-2,399
資本支出淨額	-8,256	-8,080	-11,126	-12,338	-2,467
長期投資變動	-760	-3,065	-7,374	-1,704	365
其他投資現金	-777	-6	2,434	4,805	-298
籌資活動現金	-14,673	-9,750	-10,764	-13,458	-6,816
長借/公司債變動	0	0	0	0	0
現金增資	0	0	0	0	0
發放現金股利	-14,636	-9,676	-10,811	-11,412	0
其他籌資現金	-37	-74	47	-2,046	-6,816
淨現金流量	21,022	-2,682	6,168	2,283	-541
期初現金	89,149	110,172	107,490	113,658	119,023
期末現金	110,172	107,490	113,658	115,942	118,482

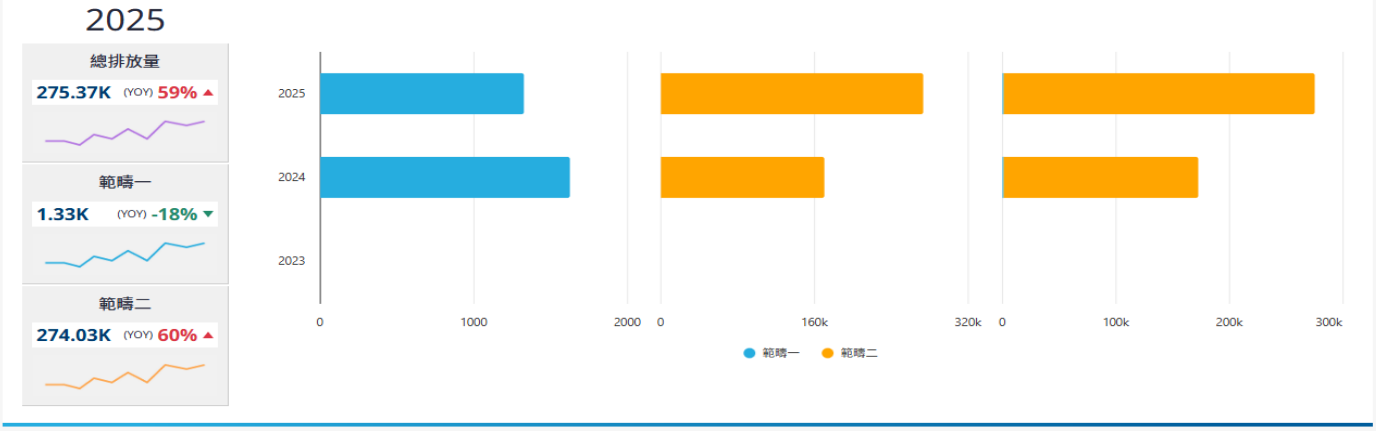
資料來源：中信、CMoney

比率分析

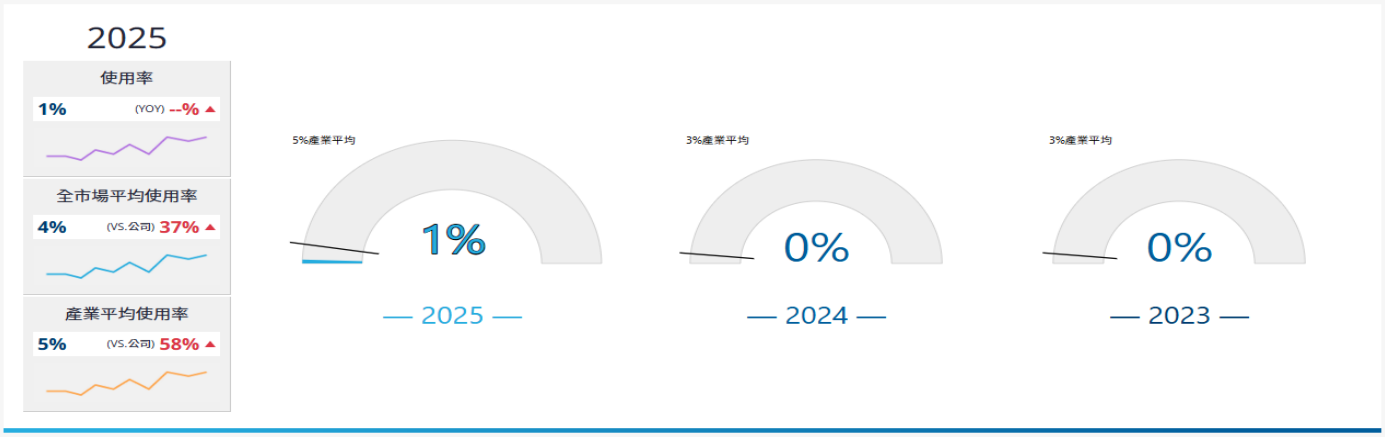
(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	21.73%	2.84%	1.32%	12.87%	15.60%
營業毛利淨額	31.10%	-1.19%	-6.54%	17.70%	16.96%
營業利益	34.96%	-1.97%	-9.08%	19.94%	17.31%
稅後純益	46.41%	-17.74%	1.98%	16.40%	17.03%
獲利能力分析(%)					
毛利率	52.49%	50.43%	46.52%	48.51%	49.08%
EBITDA(%)	57.18%	48.04%	53.97%	54.00%	54.50%
營益率	40.42%	38.53%	34.57%	36.74%	37.28%
稅後純益率	44.08%	35.26%	35.02%	36.12%	36.56%
ROE(%)	14.85%	11.43%	11.21%	12.35%	13.45%

ESG 資訊—環境保護(Environmental)

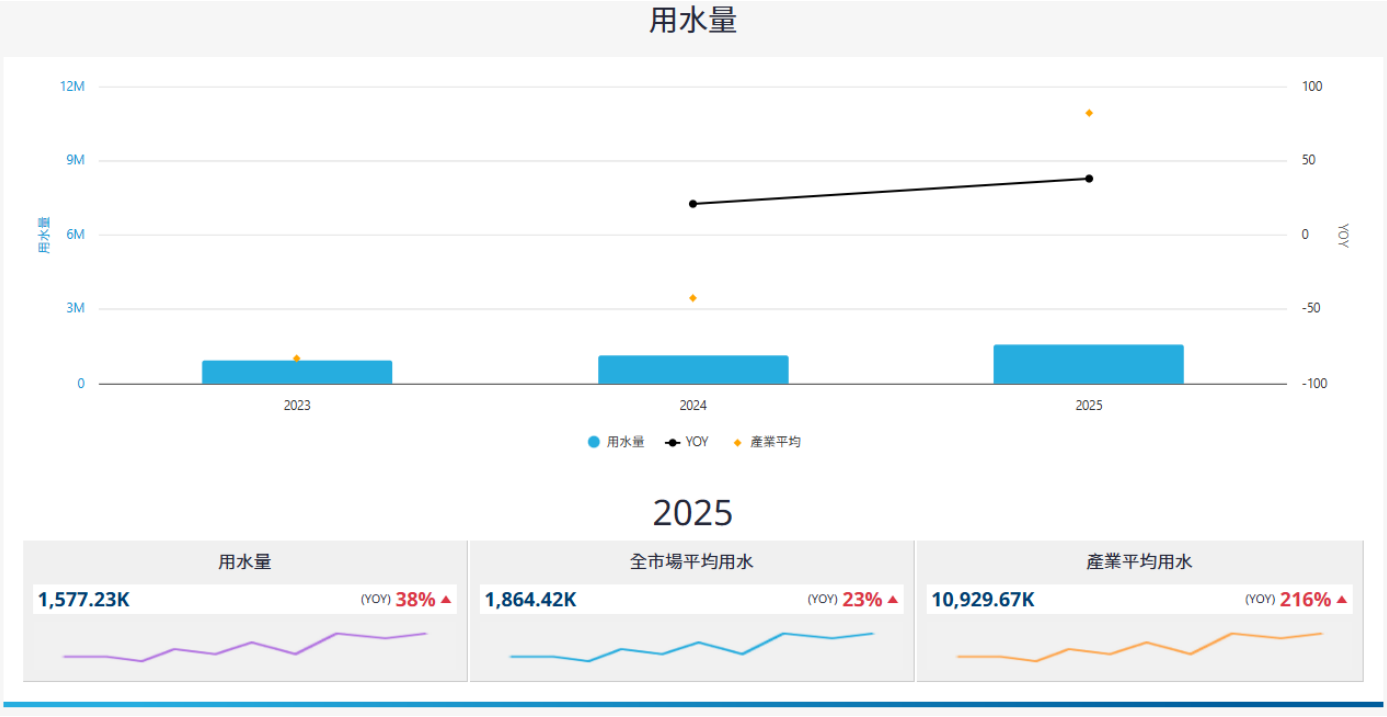
溫室氣體(範疇一/二)排放量



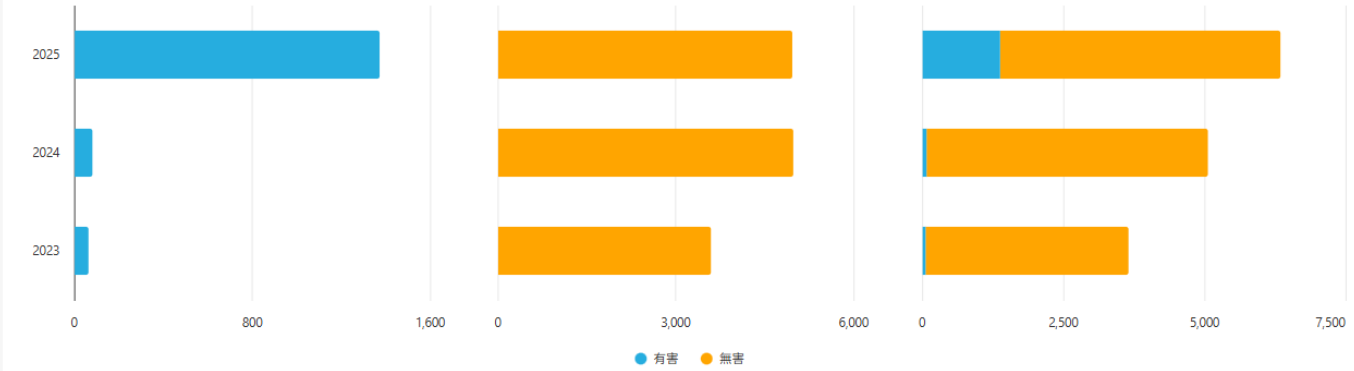
再生能源使用率



用水量



廢棄物量



2025

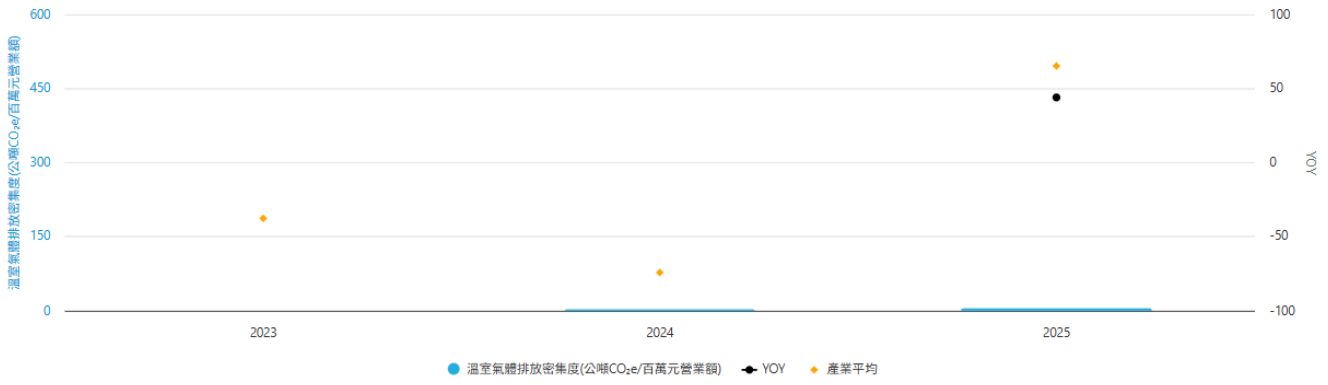
有害	無害	總量
1.37K (YOY) 1,597% ▲	4.97K (YOY) -0% ▬	6.34K (YOY) -0% ▬

密集度

2025

溫室氣體排放密集度	用水密集度	廢棄物密集度
4.163	25.801	0.096

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)



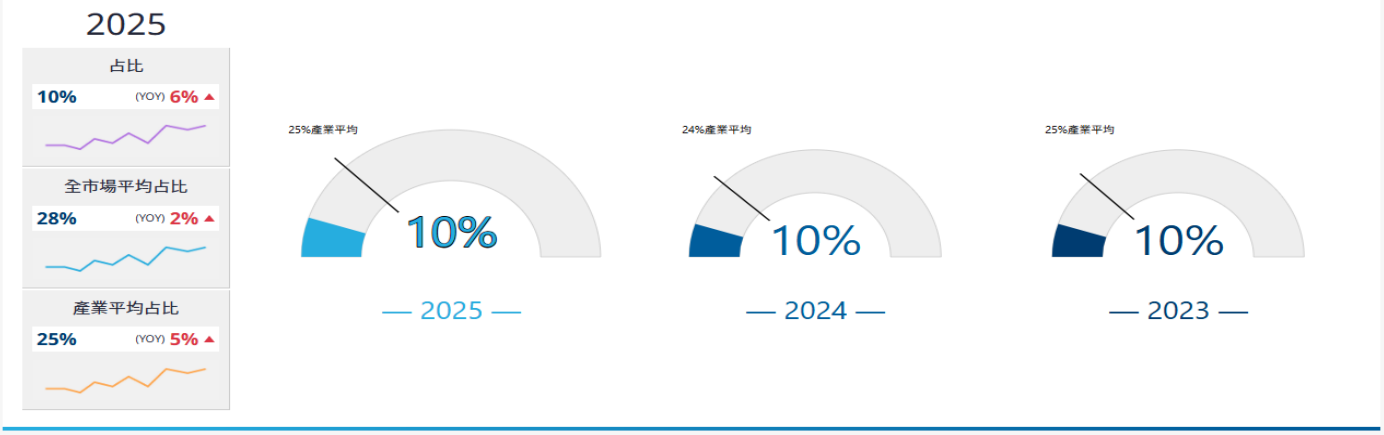
2025

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	全市場平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	產業平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)
0K (YOY) 44% ▲	0.04K (YOY) 10% ▲	0.5K (YOY) 539% ▲

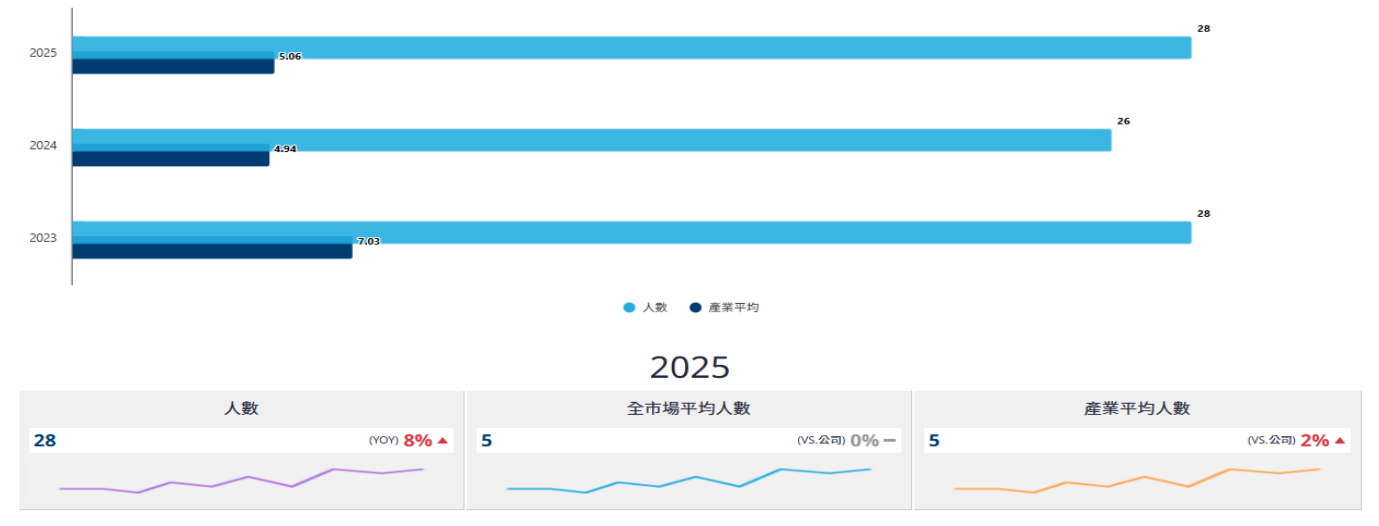
2026/10/12

ESG 資訊—社會責任(Social)

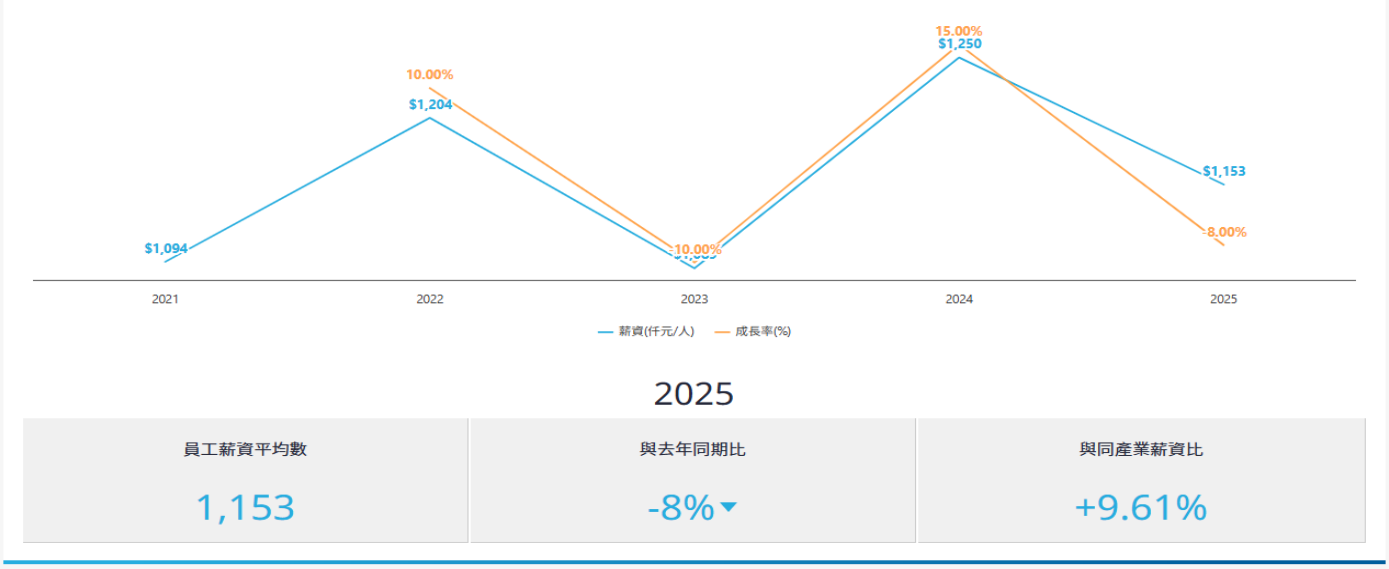
管理職女性主管占比



職業災害人數

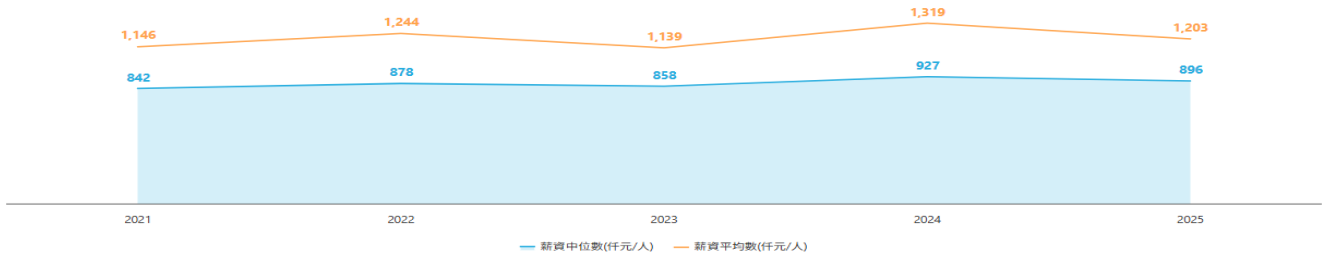


員工薪資年度趨勢



2026/10/12

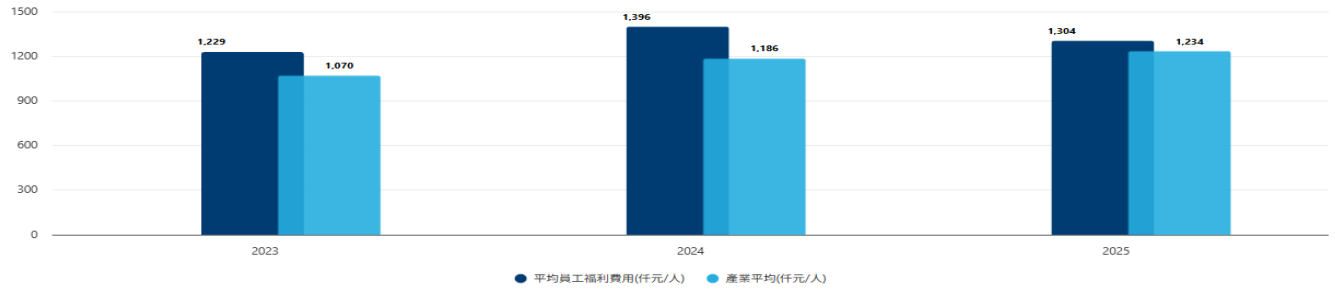
非擔任主管職務之全時員工薪資



2025

平均數	中位數	差異%
1,203 (YOY) -9%	896 (YOY) -3%	0% (YOY) -19%

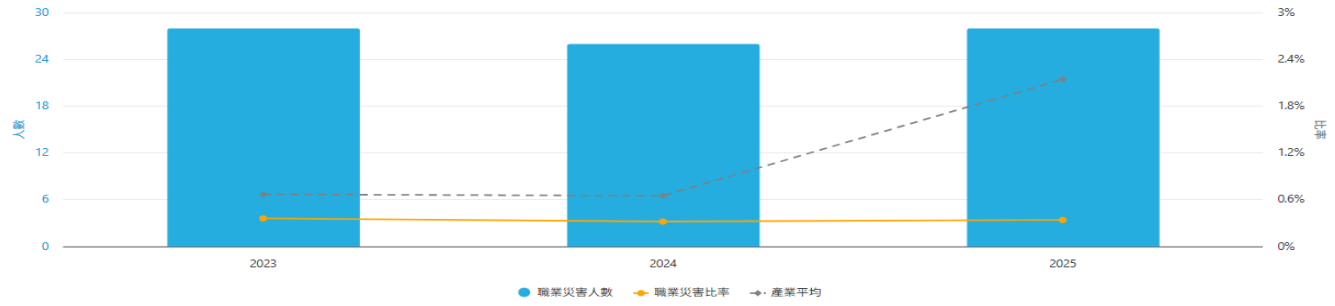
平均員工福利費用



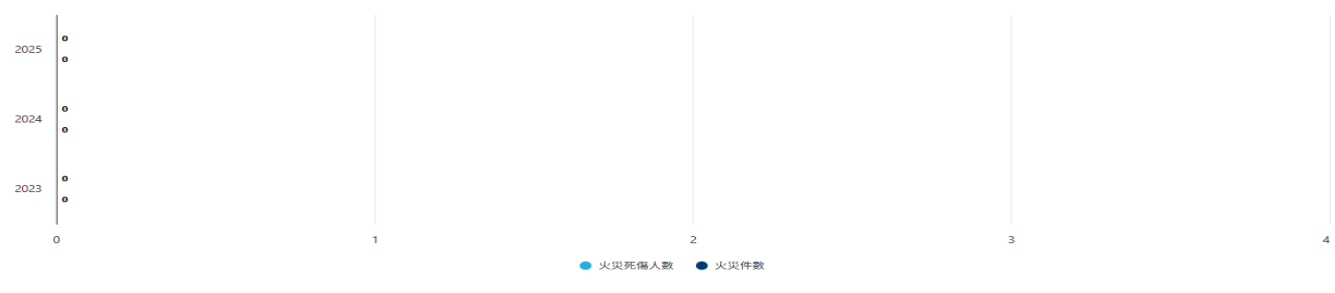
2025

平均福利	全市場平均福利	產業平均福利
1,304 (YOY) -7%	1,350 (YOY) 3%	1,234 (YOY) 4%

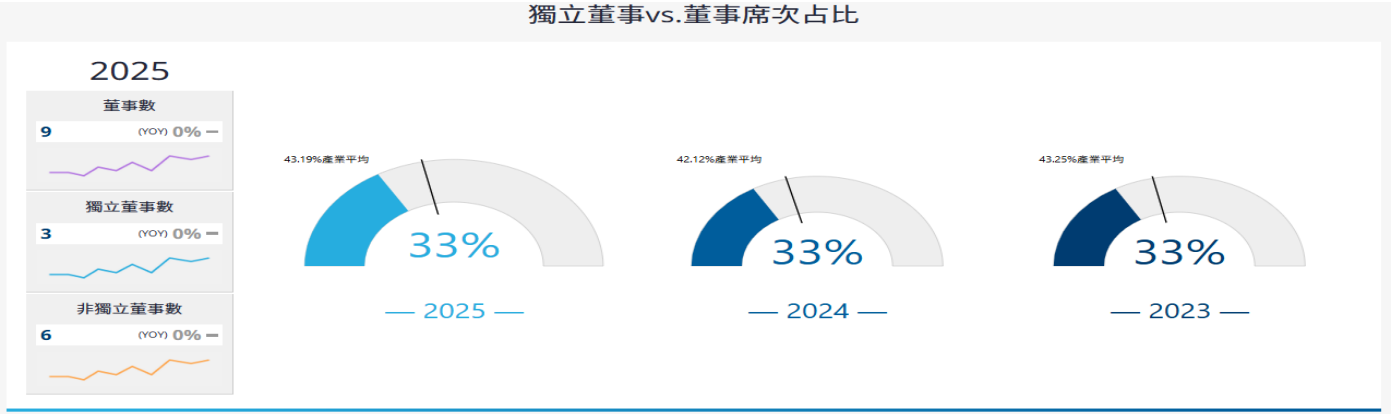
職業災害人數與比率

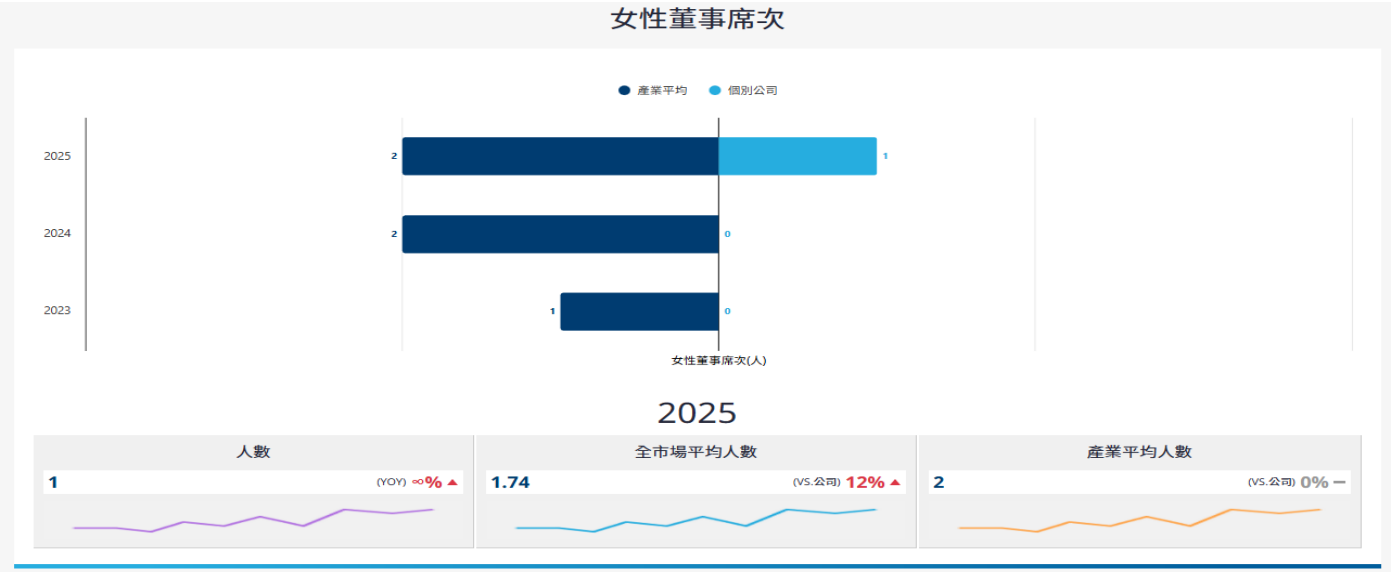


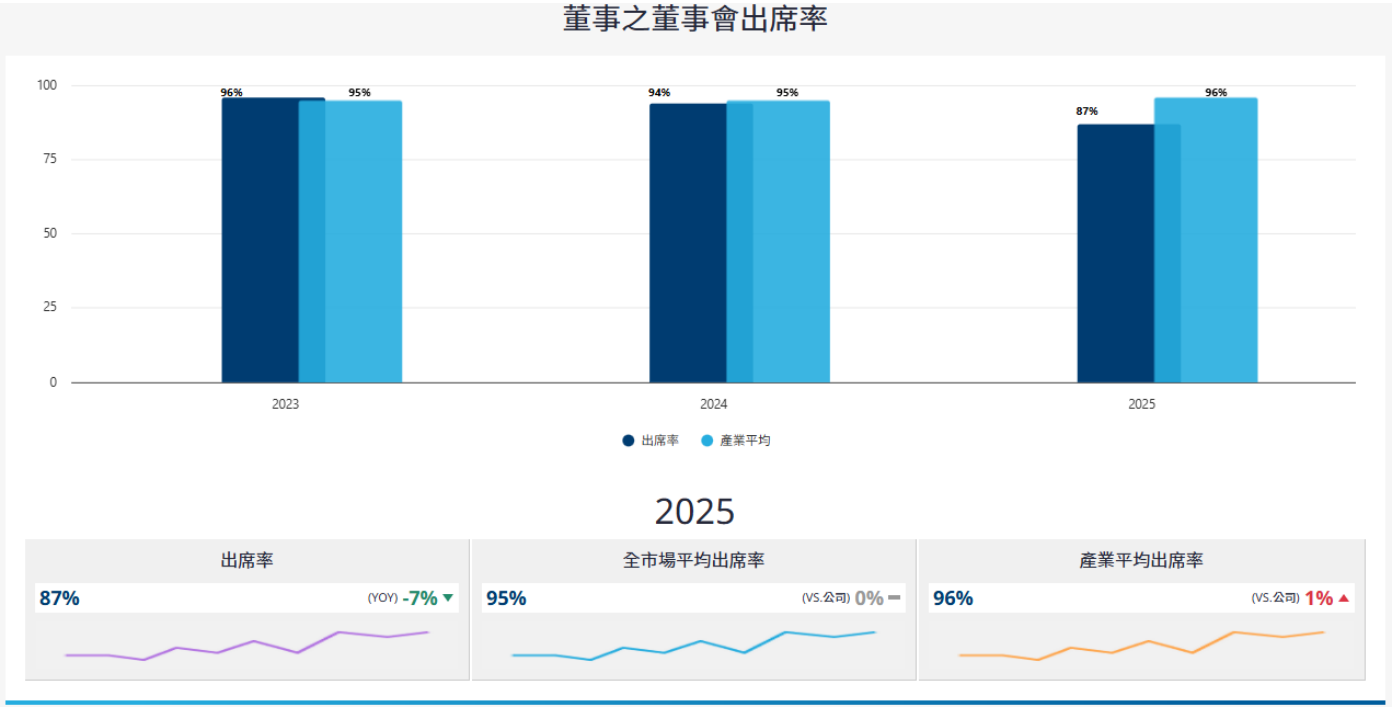
火災件數與死傷人數



ESG 資訊—公司治理(Governance)







2026/10/12

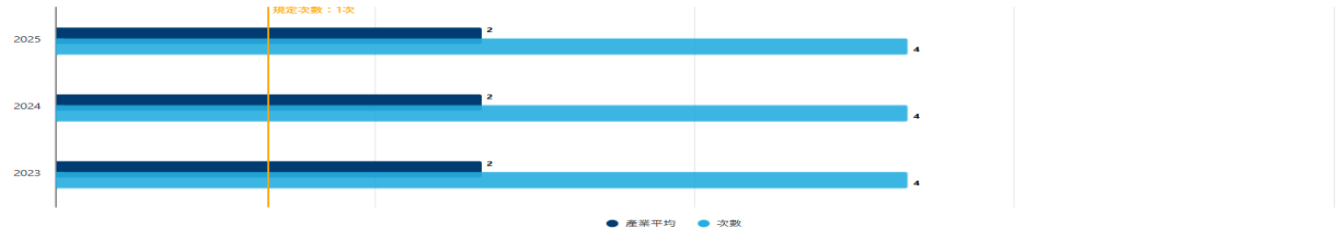
董事進修符合進修要點比率

內圈:個別公司　外圈:產業平均

2025

進修率	全市場平均進修率	產業平均進修率
33% (YOY) 50% ▲	94% (VS.公司) 1% ▲	95% (VS.公司) 3% ▲

法說會次數



2025

次數	全市場平均次數	產業平均次數
4 (YOY) 0% —	2 (VS.公司) 0% —	2 (VS.公司) 0% —

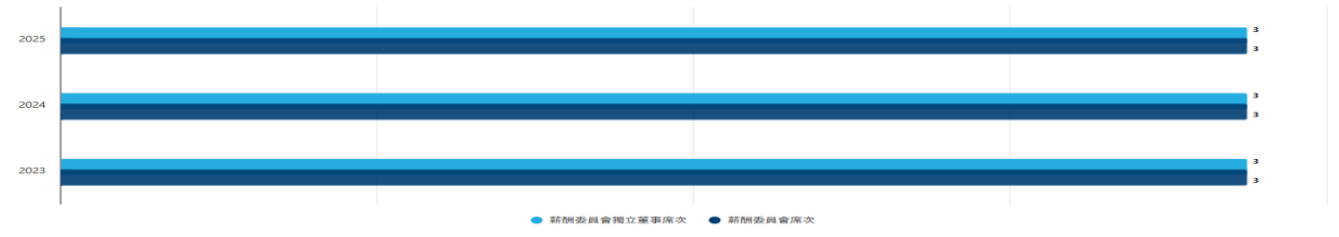
薪酬委員會出席率

內圈:個別公司出席率　外圈:產業平均

2025

進修率	全市場平均進修率	產業平均進修率
100% (YOY) 50% —	97% (VS.公司) 1% —	98% (VS.公司) 3% ▲

薪酬委員會席次



資料來源：證交所

2026/10/12

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

本報告係本公司於特定日期就現有資訊所提出，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，本公司將不做預告或更新；而且本報告並非依特定投資目的或特定對象之財務狀況所完成，因此，本報告之目的並非針對客戶於買賣證券、選擇權、期貨或其他證券相關商品提供詢價或推介服務，亦非進行交易之要約。本公司出具之短、中、長期策略性報告所做出之投資分析與建議，亦可能會隨市場波動隨時調整，而與個股研究報告之意見未必一致。投資人應自行考量本身之需求、投資風險及承受度，並就投資結果自行負責，本公司不做任何獲利保證，亦不就投資盈虧負擔任何法律責任。非經本公司同意，任何人不得將本報告加以引用或轉載。

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中國信託證券投資顧問股份有限公司

台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988

營業執照字號：114 金管投顧新字第 014 號

3008 大立光(Largan)

報告日期：2026/10/12　　研究員：王蕎程(Joe Wang)

壹、投 資 建 議

投資評等：買進
目標價格：9000
50 x 2027 EPS

參考價位：6660 元
37x 2027 EPS
2026/10/08 收盤

重點摘要:

- 毛利率承壓與拉貨動能轉弱：**3Q26** 毛利率降至 **42.21%**，受新機初期良率及綠電成本影響，**11** 月起客戶拉貨預計下滑，惟良率改善有望支撐後續毛利率回升。
- 高階手機鏡頭規格升級：**2027** 年主鏡頭朝大尺寸 **CIS** 及光圈升級發展，**2028** 年潛望式鏡頭迎來重大升級，有望帶動高階鏡頭 **ASP** 提升及產品組合改善。
- **FAU** 量產與光通訊布局：**FA** 已通過主要客戶認證，**FAU** 預計 **2H27** 量產，並積極整合 **Carrier** 提供一站式產品，受惠 **CPO** 及 **NPO** 光互連需求成長，有望成為新成長動能。

一、3Q26 稅後 EPS 39.62 元，毛利受綠電影響

大立光為光學鏡頭龍頭廠，3Q26 10M 鏡頭仍為出貨大宗，占出貨量比重 60~70%，3Q26 營收 156.51 億元，QoQ +15%，YoY -11%；營業毛利 66.07 億元，毛利率 42.21%，QoQ -7.2%，主要受到新機初期良率較差及綠電採購成本增加影響；稅後純益 51.82 億元，EPS 39.62 元。累計前三季營收 448.60 億元，YoY +2%，累計 EPS 121.98 元，YoY +11.8%。

營運展望方面，10 月拉貨動能預計與 9 月相當，11 月起因客戶下修訂單預測及新機拉貨高峰已過，出貨量將逐步下滑。第四季毛利率正面因素為新機良率改善，惟綠電成本屬結構性問題，且 2027 年產品價格已談定，最快需至 2028 年才能反映於報價。

二、2027 年主鏡頭規格升級，客戶下修手機出貨量

由於主要客戶於 9 月下修新機鏡頭拉貨預測，顯示新機銷售動能不如原先預期，且可變光圈鏡頭拉貨高峰已過，預期第四季手機鏡頭出貨動能將較第三季轉弱。雖然目前可變光圈產品良率已逐步改善，但綠電成本增加仍將壓抑毛利率表現。展望 2027 年，主要客戶持續推動高階手機鏡頭規格升級，其中主鏡頭將朝向更大尺寸感光元件（CIS）及光圈升級發展，目前相關產品已完成開發並進入送樣階段，預計 2027 年導入新機種。潛望式鏡頭方面，下一波較大幅度的規格升級預計落在 2028 年，目前已開始試產，有望成為後續高階鏡頭產品成長動能。

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載。

三、FA 客戶認證順利、FAU 預計 2H27 量產

大立光積極布局 CPO 光通訊領域，目前 FA（光纖陣列）已通過主要客戶認證，客戶亦多次至現場確認自動化產線，並進一步要求公司提供完整 FAU（光纖陣列單元）方案。產品布局方面，公司將自行生產 FA，搭配外購 PMLA（平面微透鏡陣列）及其他光學元件組裝成 FAU，並爭取進一步整合 Carrier（定位載板），提供一站式完整產品。產能方面，預計 2027 年中可開始提供一定量產能，FAU 最快於 2027 年下半年進入量產，惟大規模量產仍取決於客戶需求及良率驗證。公司亦規劃擴充 FAU 專用產線，新廠預計 2027 年開始興建，最快 2030 年完工。

技術方面，公司具備自研自動化設備與精密對位能力，可提升生產速度、檢測效率及良率，為切入 FA 及 FAU 供應鏈的重要競爭優勢。目前以單排 FA 及 GC（Grating Coupling）架構為主要布局方向，多排 FA 仍處於送樣階段，最快預計 2028 年進入量產。CPO 與 NPO 主要差異在於光引擎封裝位置，對 FAU 核心製造技術與量產難度影響有限，顯示公司 FAU 產品具備跨封裝架構的應用潛力，有利降低單一技術路線發展的不確定性。展望未來，隨 AI 資料中心高速光互連需求提升，FAU 產品有望成為公司手機鏡頭業務以外的新成長動能，惟初期仍須觀察量產良率、產能建置及客戶實際拉貨進度。

四、預估 2026 / 2027 年稅後 EPS 158.49 / 180.91 元

預估 2026 全年營收 599.25 億元，YoY -2.0%；營業毛利 275.47 億元，YoY -10.7%，毛利率 45.97%；營業利益 199.01 億元，稅後純益 207.31 億元，稅後 EPS 158.49 元。展望 2027 年，受惠於高階手機主鏡頭規格升級，以及 CPO 相關 FAU 產品預計於下半年開始量產，帶動營運成長，預計 2027 年營收 707.11 億元，YoY +18.0%，稅後 EPS 為 180.91 元。

五、投資建議「買進」，目標價 9,000 元

綜合考量 (1) 2027 年高階手機主鏡頭 CIS 及光圈規格升級，有利產品 ASP 提升 (2) 新機良率逐步改善，有助毛利率回升 (3) FA 已通過主要客戶認證，FAU 預計 2H27 開始量產，成為未來營運成長動能 (4) 公司積極布局 FAU 與 Carrier 整合，有望受惠 CPO 市場長期成長趨勢。考量大立光具備精密光學及自動化製程優勢，且 FAU 業務有望開啟第二成長曲線，給予 2027 年預估 EPS 50 倍本益比，故投資建議為「買進」，目標價 9,000 元（50 x 2027 年預估 EPS 180.91 元）。

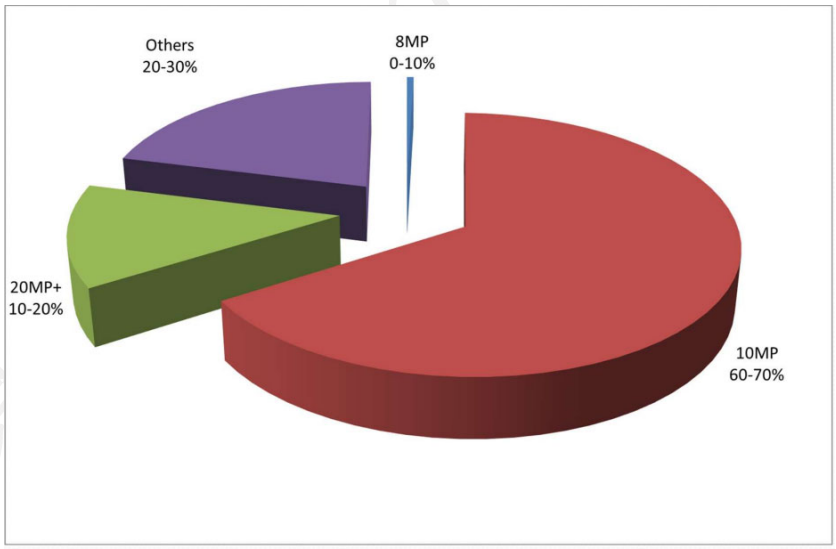
本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載。

貳、產 業 及 營 運 概 況

一. 公司簡介

大立光電股份有限公司（簡稱：大立光；代號：3008）成立於 1987 年，總部設於台中市南屯區，為全球光學鏡頭模組產業的領導廠商之一。公司長期專注於智慧型手機、平板電腦、筆記型電腦、車用鏡頭及新興光學應用產品的設計與製造，憑藉深厚的精密光學設計實力與量產製程能力，成功建立技術門檻與高度客戶黏著度。大立光早期以塑膠鏡片加工為基礎，逐步延伸至全系列光學模組，並在高解析度、低畸變與小型化設計上持續保持領先，成為全球高階智慧型手機品牌廠主力供應商。截至 2025 年，公司已於台中科學園區建置完整垂直整合產線，涵蓋光學模擬、模具、成型、鍍膜、組裝與檢測，並同步推動新廠房與設備汰換，以因應高階鏡頭對製程精度與良率的嚴苛要求。

圖表一：大立光 3Q26 鏡頭出貨比重



（資料來源：大立光 2026 年 Q3 法說會）

圖表二：大立光近年銷售地區別（單位：新台幣千元）

年度	112 年度		113 年度		114 年度	
產品	金額	比重	金額	比重	金額	比重
光學元件	48,300,326	98.89%	59,052,085	99.32%	60,828,323	99.48%
其他	541,921	1.11%	405,468	0.68%	319,565	0.52%
合計	48,842,247	100%	59,457,553	100%	61,147,888	100%

（資料來源：大立光 2025 年報）

近年來，隨著智慧型手機鏡頭規格升級與非手機應用拓展，大立

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光持續鞏固其全球高階光學產業鏈關鍵地位。公司在可變光圈、潛望式鏡頭、超薄模組及玻璃鏡片等領域積極投入研發，並跨足共同封裝光學（CPO）領域，在今年的台北國際電腦展上，該公司發表了領先業界的四排光纖陣列（Fiber Array），其精準度與生產效率更超越了國際大廠康寧。

二．產業趨勢概況

市場概況

光學鏡頭產業是智慧型手機、車載系統與新興穿戴裝置等影像應用的核心環節，其發展長期受到「高畫素化、多鏡頭化、模組小型化」以及「AI 演算法整合」等技術趨勢推動。智慧型手機仍是市場主體。2026 年儘管整體手機市場成長趨緩，第一季全球手機出貨量年減 4%，但大立光主要鎖定的高階旗艦機種表現相對穩定。由於高階用戶與品牌對價格敏感度較低，大立光在頂級機種的市佔率仍具備議價能力。AI 手機趨勢並未終結鏡頭升級，市場認為 AI 功能將持續推動如可變光圈、螢幕下鏡頭、高像素（Dual 200MP）以及長焦變焦（10 倍光學變焦）等規格的更新，這仍是大立光維持營收結構的長期動能。

另一方面，匯率波動、地緣政治與供應鏈重組，亦持續影響光學鏡頭產業格局。隨著品牌客戶對供應鏈韌性與地區分散化的要求提高，具備垂直整合能力、量產規模經濟與穩定交付紀錄的供應商，將在未來市場競爭中保持優勢。根據業界機構 Counterpoint 與 CINNO Research 的預估，2026 年全球高階智慧型手機的光學鏡頭 ASP 仍有提升空間，可變光圈、8P 鏡頭與混合式潛望鏡頭將是主要升級方向，同時 AI 影像運算雖能在部分應用降低對硬體規格的依賴，但在旗艦機型仍需透過硬體升級鞏固差異化。非手機應用方面，車載、機器人視覺與無人機雖然目前出貨量有限，但在中長期有望成為鏡頭供應商的新動能。整體而言，光學鏡頭市場將維持「高規格化」與「應用多元化」並行的發展方向，高階廠商憑藉技術與製程深度，仍是市場成長的主要受益者。

競爭分析

大立光在全球光學鏡頭市場的領先地位，主要奠基於其垂直整合的製程能力與高度精密的模具設計技術。公司掌握從模具開發、射出成型、鍍膜、組裝到檢測的完整流程，能確保產品在高解析度與低畸變的設計要求下仍具備穩定量產良率，這是多數競爭對手難以複製的優勢。相較之下，中國廠商近年積極透過低價策略與擴產爭取市佔，但在高階鏡頭的良率控管與製程精度上仍存在明顯差距。韓系與日系業者逐步深化在車載鏡頭及光學感測模組領域的投入，雖對大立光形成潛在威脅，但大立光憑藉旗艦機種

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供應鏈的長期合作經驗與品牌信任，仍維持全球高階智慧型手機鏡頭的主導地位。

在產品規格升級的競爭上，可變光圈與潛望式鏡頭成為市場主流趨勢，而良率控管則是廠商競爭的分水嶺，雖可變光圈與新一代潛望式設計的導入可能對良率帶來挑戰，但大立光因長期累積的製程經驗仍具競爭優勢。另一方面，非手機應用如車載鏡頭、AR/VR 與機器人視覺雖仍處於小量試單階段，但中國與韓國競爭對手已在此領域積極卡位。整體來看，光學鏡頭產業的競爭正逐漸分化：少數具備高階研發與垂直整合能力的廠商主導高毛利市場，而其餘業者則集中於中低階與大量供應。大立光透過技術壁壘、製程深度與客戶合作黏著度，仍處於產業鏈上游不可取代的關鍵位置。

在針對光耦合技術的兩大陣營 Edge Coupling (EC) 與 Grating Coupling (GC)，康寧與大立光展現了不同的技術布局與市場應用。首先是康寧的 EC 路線。康寧近期推出的 Glass Bridge 平台是專門為 EC 設計的。EC 的特點是光從晶片側面水平射出，光路非常直接、損耗極低，能滿足未來 3.2T~6.4T 以上的超高頻寬需求。但它的致命傷是對準容忍度極小，稍微偏一點就會產生嚴重光損。康寧的玻璃橋平台，就是利用玻璃的高精度與熱穩定性，來解決這個封裝對準的難題。

當未來交換器規格走向 3.2T 到 6.4T 以上時，通道數變得極多、對準難度暴增，傳統 FAU 的良率就會面臨下降瓶頸。到了那時康寧 Glass Bridge 解決多層精密對位與低損耗的物理優勢才會真正迎來爆發期。

再者，是大立光聚焦的 GC 路線。GC 的光是從晶片表面垂直射出，通常需要搭配 PMLA（多通道微透鏡陣列） 來進行 90 度的光路轉折，才能進入水平光纖。雖然光路多了轉折，但 GC 的優點非常明顯：它的對準容忍度比 EC 大了 5 倍，而且非常適合在晶圓階段就進行直接測試。這讓 GC 具備晶片設計彈性大、測試容易、適合大規模自動化量產的絕對優勢。

目前全球 CPO 架構的領頭羊（如台積電的 COUPE 平台）其產品設計與時程早已談到 2027 甚至 2028 年。在這段期間內，主要交換器的規格落在 1.6T 到 3.2T，整體的產品路線圖已經定案，並不會因為康寧技術的出現而突然改用玻璃橋。因此，傳統的 FAU 架構在兩三年內依然會率先量產並主導市場。

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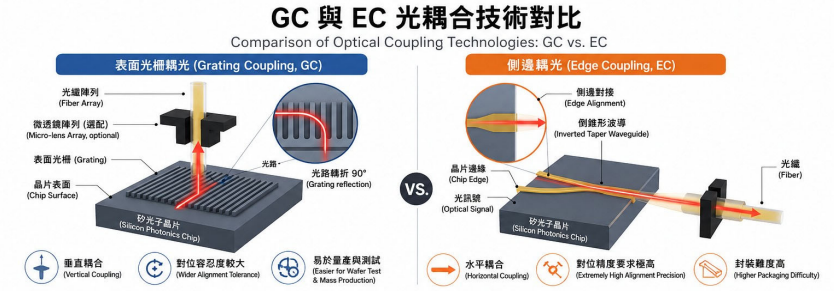
圖表三: GC（光柵耦合）與 EC（邊緣耦合）技術差異



未來展望

在非手機應用方面，大立光已陸續切入車載鏡頭、機器人視覺與 AR/VR 裝置等新興領域，雖然目前出貨量仍有限，但隨著自動駕駛與沉浸式應用的普及，長期成長潛力可期。公司並未排除海外設廠的可能性，未來將依客戶需求與地緣政治變化調整布局，以增強供應彈性。在營運策略上，大立光將持續投入研發與設備汰換，以提升製程精度與降低匯率波動對毛利的影響。總體而言，儘管智慧型手機市場成長放緩，但高階鏡頭升級趨勢未變，加上非手機應用拓展與新廠房建置，大立光具備維持全球高階光學產業鏈關鍵地位的長期動能。

展望未來，大立光將持續鞏固其在高階光學鏡頭的領先地位，並聚焦於可變光圈、潛望式鏡頭及超薄模組等關鍵技術的研發與量產導入；同時，公司將研發重心延伸至共同封裝光學（CPO）與光纖陣列模組（FAU），預計於 2026 年第三季建立自動化試產線，力拚 2027 年年中放量，以精密光學技術作為核心，將過去在光學鏡頭精密製造的優勢結合現在 AI 發展的趨勢。

叁、業 績 及 獲 利 預 估

一、3Q26 稅後 EPS 39.62 元，毛利受綠電影響

大立光為光學鏡頭龍頭廠，3Q26 10M 鏡頭仍為出貨大宗，占出貨量比重 60~70%，3Q26 營收 156.51 億元，QoQ +15%，YoY -11%；營業毛利 66.07 億元，毛利率 42.21%，QoQ -7.2%，主要受到新機初期良率較差及綠電採購成本增加影響；稅後純益 51.82 億元，EPS

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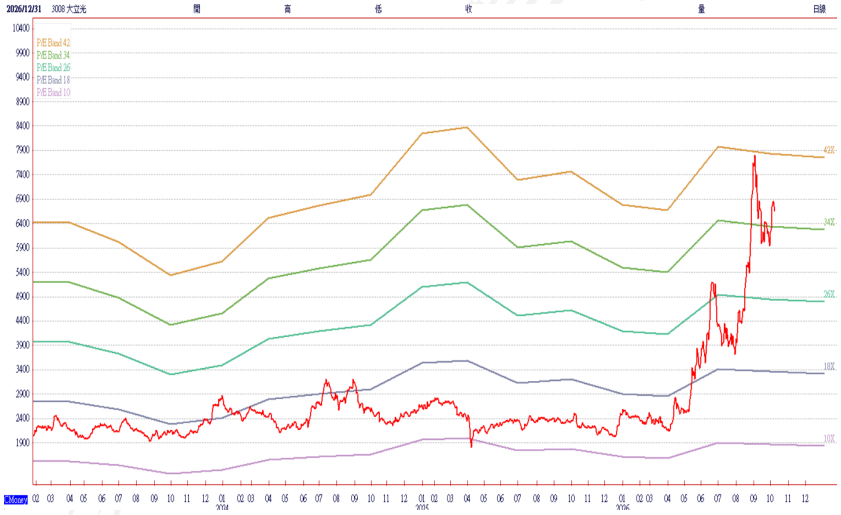
39.62 元。累計前三季營收 448.60 億元，YoY +2%，累計 EPS 121.98 元，YoY +11.8%。

二、預估 2026 / 2027 年稅後 EPS 158.49 / 180.91 元

預估 2026 全年營收 599.25 億元，YoY -2.0%；營業毛利 275.47 億元，YoY -10.7%，毛利率 45.97%；營業利益 199.01 億元，稅後純益 207.31 億元，稅後 EPS 158.49 元。展望 2027 年，受惠於高階手機主鏡頭規格升級，以及 CPO 相關 FAU 產品預計於下半年開始量產，帶動營運成長，預計 2027 年營收 707.11 億元，YoY +18.0%，稅後 EPS 為 180.91 元。

圖表三：PE Band



（資料來源：CMoney）

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肆、財 務 簡 表

單位：佰萬元

	2025(A)	26Q1(A)	26Q2(A)	26Q3(F)	26Q4(F)	2026(F)	27Q1(F)	27Q2(F)	27Q3(F)	27Q4(F)	2027(F)
營業收入	61,148	15,544	13,665	15,651	15,065	59,925	16,508	14,512	19,392	20,300	70,711
營業毛利	30,837	7,680	6,753	6,606	6,508	27,547	7,429	6,725	8,990	9,537	32,680
營業費用	7,279	1,867	1,605	2,451	2,303	8,225	1,905	1,637	2,696	2,418	8,655
營業利益	23,558	5,812	5,148	4,735	4,206	19,901	5,524	5,088	6,294	7,119	24,025
營業外淨收入（支出）	2,342	1,476	951	1,356	1,483	5,266	1,535	896	1,094	1,182	4,707
稅前純益	25,900	7,288	6,099	6,091	5,689	25,167	7,059	5,983	7,389	8,301	28,732
稅後純益	21,275	6,123	4,670	5,182	4,756	20,731	5,894	4,527	6,298	6,944	23,663
稅前EPS（元）	194.06	55.72	46.63	46.57	43.49	192.41	53.97	45.74	56.49	63.47	219.67
稅後EPS（元）	159.36	46.81	35.70	39.62	36.36	158.49	45.06	34.61	48.15	53.09	180.91
股本	1,335	1,335	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308
稅後股東權益報酬率%	11.42	3.14	2.46	2.66	2.38	10.64	2.95	2.05	3.06	3.40	11.47
每股淨值（元）	1,414.74	1,461.55	1,450.44	1,490.06	1,526.42	1,526.42	1,526.42	1,684.91	1,571.48	1,561.03	1,561.03
毛利率%	50.43	49.41	49.42	42.21	43.20	45.97	45.00	46.34	46.36	46.98	46.22
營利率%	38.53	37.39	37.67	30.25	27.92	33.21	33.46	35.06	32.46	35.07	33.98
稅前純益與前期比較%	-19.50	-11.51	-16.31	-0.13	-6.61	-2.83	24.09	-15.23	23.49	12.35	14.17
稅前純益率%	42.36	46.89	44.63	38.92	37.76	42.00	42.76	41.23	38.10	40.89	40.63
稅後純益率%	34.79	39.39	34.18	33.11	31.57	34.60	35.70	31.19	32.48	34.21	33.46

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永續發展報告

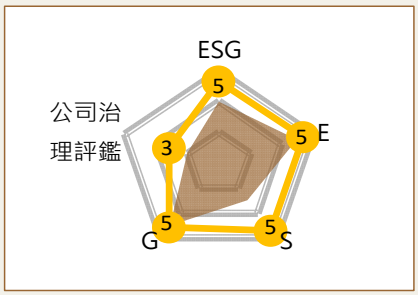
3008 大立光 永續發展概況

CMoney ESG Rating　　評鑑年季：2026Q3

CMoney ESG Rating		交易所公司治理評鑑	產業排名
4		66%至80%	80/116
E	5		
S	3		
G	5		

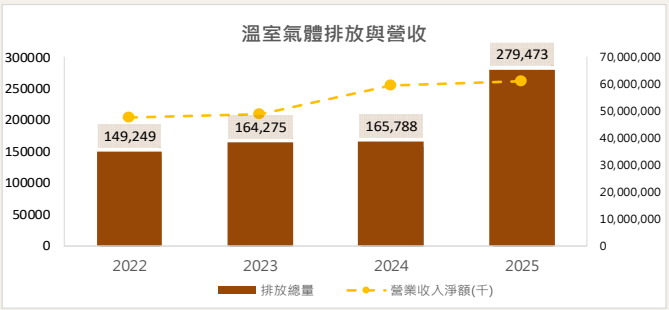
※評等1-10分，10分最高

永續報告書連結	
lus.twse.com.tw/api/api/MopsSustainReport/data/FileStream?id=a0779c57-c120-4fc9-93e	
報告書保證確信	驗證單位：第三方保證認證單位：亞瑞仕國際驗證方法：AA1000 第1類型(



環境保護 Environment

溫室氣體



摘要　2025年溫室氣體排放量增加68.57%，營收增加2.84%

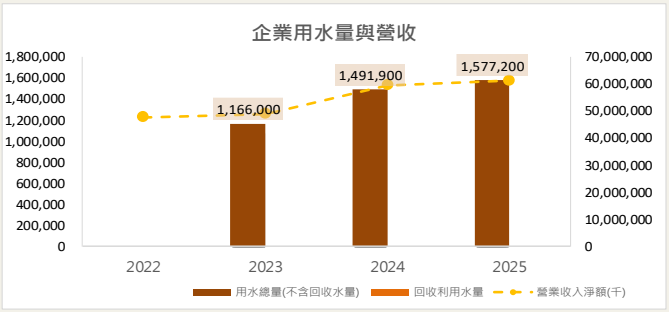
溫室氣體盤查數據

年度	排放總量(公噸)	範疇一	範疇二
2025	279,473	1,331	278,142
2024	165,788	1,629	164,159
2023	164,275	1,672	162,603
2022	149,249	1,504	147,745

*排放總量(公噸)：範疇一+範疇二溫室氣體排放數據
*範疇一：組織擁有或控制的營運據點的溫室氣體排放
*範疇二：組織所購買或取得之電力，用之於供熱、製冷或蒸汽而產生的溫室氣體排放

資料來源：CMoney、企業揭露資訊

水資源



摘要　2025年企業用水量增加5.72%，營收增加2.84%

企業用水量盤查數據

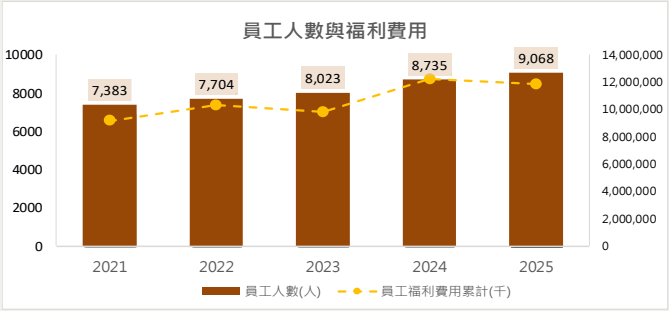
年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2025	1,577,200	-	842,100
2024	1,491,900	-	801,100
2023	1,166,000	-	570,400
2022	未揭露	-	-

*用水總量：依取水來源統計之總使用水量
*回收水量：將已用水和廢水透過循環處理成可再利用的水資源(包含製成回收水)
*排水量：排放的汙水總量

資料來源：CMoney、企業揭露資訊

社會責任 Social Responsibility

員工人數



摘要　2025年員工人數增加333人，營收增加2.84%，人均福利費用減少0.07%

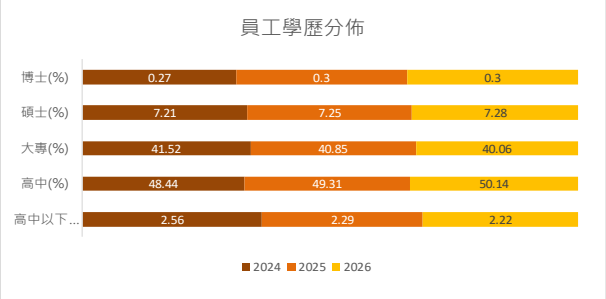
員工人數統計

年度	員工人數(人)	員工人數增減(人)	福利費用(千)
2025	9,068	333	11,841,381
2024	8,735	712	12,229,656
2023	8,023	319	9,818,799
2022	7,704	321	10,302,945
2021	7,383	-254	9,169,715

資料來源：CMoney、企業揭露資訊

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載。

社會責任 Social Responsibility



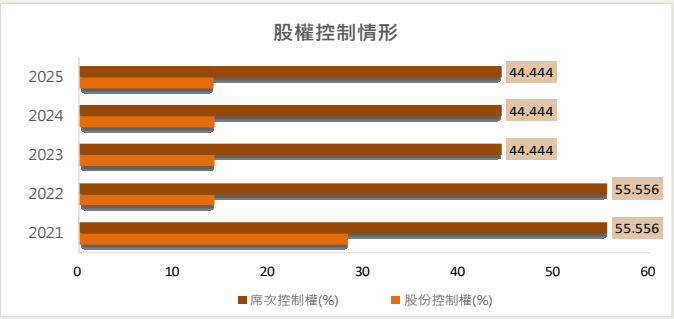
摘要 2026年員工學歷分佈，碩士以上學歷佔7.58(%)

員工學歷分布			
學歷/年度	2024	2025	2026
博士(%)	0.3	0.3	0.3
碩士(%)	7.2	7.3	7.3
大專(%)	41.5	40.9	40.1
高中(%)	48.4	49.3	50.1
高中以下(%)	2.6	2.3	2.2

資料來源：CMoney、企業揭露資訊

公司治理 Corporate Governance

股權控制



摘要 2025，最終控制者(董事長、副董事長、總經理、副總經理)掌握董監席次控制權增加0%，股份控制權減少0.04%

最終控制者股權控制情形			
年度	席次控制權(%)	股份控制權(%)	股權集中度
2025	44.44	14.21	0.0210
2024	44.44	14.25	0.0210
2023	44.44	14.25	0.0210
2022	55.56	14.25	0.0210
2021	55.56	28.28	0.0258

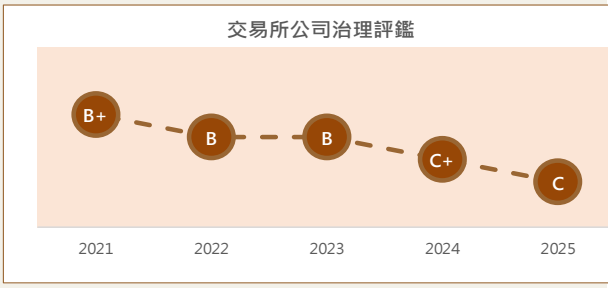
資料來源：CMoney、企業揭露資訊

公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及平等對待股東	強化董事會結構與運作	資訊透明度	落實企業社會責任
2025	66%至80%	C	0.16	0.25	0.1	0.49
2024	51%至65%	C+	0.19	0.29	0.17	0.35
2023	36%至50%	B	0.22	0.31	0.19	0.28
2022	36%至50%	B	0.2	0.33	0.23	0.24
2021	21%至35%	B+	0.2	0.33	0.26	0.21

資料來源：CMoney、交易所

[註]等級轉換：前5%：「A+」；6%至20%：「A」；21%至35%：「B+」；36%至50%：「B」；51%至65%：「C+」；66%至80%：「C」；81%至100%：「D」



企業功能委員會

功能委員會			
審計委員會(非強制設置)		審計委員會(強制設置)	★
提名委員會	★	資訊安全委員會	
公司治理委員會		永續發展委員會	
薪資報酬委員會	★	誠信經營委員會	
風險管理委員會		策略委員會	

企業裁罰資訊

裁罰資訊

2026/8/20	違反法條： 勞動基準法第32條第2項。勞動基準法第43條	違反內容： 延長工作時間逾法定上限;未依規定給予勞工事假
2026/2/3	違反法條： 勞動基準法第32條第2項	違反內容： 延長工作時間逾法定上限

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Fubon Research
2026 年 10 月 12 日

台積電（2330 TT）

強勁需求，產能擴張將支撐未來幾年成長

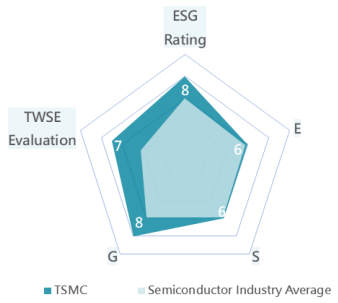
重申買進評等，維持目標價 3,500 元，具 37%上漲空間

1. 預期 3Q26 財報強勁，4Q26 展望指引
2. 更強的議價能力將進一步推升毛利率表現
3. 持續看好台積電的獲利展望

買進	
股價	目標價
NT$2,550.00	NT$3500
○ 初次評論	○ 訪談摘要
● 公司動態	● 獲利調整
○ 獲利預覽	○ 評等調整

流通在外股數（百萬）	25,932.4
市值（百萬台幣）	66,127,620
市值（百萬美元）	2,070,460
外資持股率（%）	69.15
投信持股率（%）	3.66
董監持股率（%）	6.50
52 週高價（元）	2,585.00
52 週低價（元）	1,284.25
當沖比率	14.44

ESG 評等	8	產業排名	5/207



資料來源：CMoney

變動內容

	新估	原估	%
評等	買進	買進	-
目標價(NT$)	3500	3500	0
EPS 預估(元)	161.21	155.41	4
目標 PE(x)	22	23	-

主要財務報表分析 至 12 月 31 日

百萬元	FY26F	FY27F	FY28F
營業收入	5,544,989	7,790,040	10,082,571
年成長率(%)	45.6	40.5	29.4
營業利益	3,271,087	4,720,258	6,085,808
年成長率(%)	69.0	44.3	28.9
稅後淨利	2,915,600	4,180,566	5,390,826
年成長率(%)	69.7	43.4	28.9
EPS (元)	112.44	161.21	207.88
每股現金股利	25.0	29.0	31.0
本益比(x)	22.7	15.8	12.3
本淨比(x)	9.6	7.0	5.1
現金股利殖利率(%)	1.0	1.1	1.2
淨值報酬率(%)	47.0	50.8	47.7

資料來源：CMoney、富邦投顧

尚子玉
sherman.shang@fubon.com
(886-2) 6606-8060

楊皇遠
huangyuan.yang@fubon.com
(886-2) 2781-5995-37141

預期 3Q26 財報強勁，4Q26 展望指引

我們預期台積電將公布強勁的 3Q26 財報及 4Q26 展望指引，受益於 AI 相關需求強勁，以及從 N2 到 N3 和 N4/N5 先進製程產能持續緊張。台積電今日公布 9 月營收為 5120 億元，使得 3Q26 營收達到 1 兆 4942 億元，年增 50.9%，季增 17.6%。我們預期毛利率將超越公司先前指引，並預測 3Q26 毛利率為 67.6%。本季展望方面，我們預期管理層將指引營收季增 10-12%，毛利率持平。根據下半年強勁表現，全年營收將年增 45-46%，有望再度超越指引。在資本支出方面，我們預期台積電將維持全年資本支出指引為 620 億美元。此外，我們估算台積電 FY27 及 FY28 資本支出將顯著提升至 850 億美元及 1000 億美元，儘管管理層可能不會在即將召開的財報會議中提供詳細指引。儘管台積電資本支出及產能擴張更積極，我們仍看到台積電晶圓代工供應緊張，尤其是在 N3 等先進製程節點，支撐來自 nVidia、Broadcom、AMD、AWS、聯發科等客戶的巨大需求。

更強的議價能力將進一步推升毛利率表現

由於 GPU、客製化 ASIC、資料中心 CPU 及旗艦智慧型手機 SoC 需求強勁，我們看到台積電在 N2、N3 及 N4/N5 先進製程節點的產能利用率維持高檔，尤其是 N2 及 N3，預期 2027 年產能利用率將因客戶持續 super-hot run 訂單而超過 100%。我們預期 nVidia、Broadcom、聯發科、Google 及 AWS 將持續推動台積電 N3 需求，而 Apple、聯發科/Qualcomm 及 AMD 則將開始加速產品量產，推動台積電 N2 需求貫穿 2027 年。受惠於強勁需求，我們計算台積電 2027 年供應缺口將進一步擴大。因此，我們認為台積電將於 2027 年再次調漲晶圓價格，平均漲幅超過 10%，其中先進製程節點漲價 10-15%，成熟製程節點漲價 5-10%。隨著 ASP 正向趨勢，我們認為台積電 FY27 毛利率有望進一步攀升至 70%指標。另一方面，我們預期台積電在財報會議中將更多討論其採用的技術路線圖，包括 A14 等。根據我們的了解，台積電 A14 試產因客戶需求強勁而提前進行。

持續看好台積電的獲利展望

我們分別將 2026 財年與 2027 財年的獲利及每股稅後盈餘預測上調 3.3%與 3.7%，反映 N3 與 N2 需求增強以及營收展望提升。我們也預期 A14 將較早貢獻營收。此外，根據晶圓價格趨勢至 2027 年，我們預估毛利率展望將更佳。鑑於營收與獲利展望皆正向且優於預期，我們重申對台積電的買進評等，目標股價維持在 3,500 元。

富邦不同之處

我們最新 2026/2027 財年每股稅後盈餘預測分別為 112.44 元與 161.21 元，對比市場共識的 107.31 元與 141.46 元。

估值與風險

我們 2026/2027 財年每股稅後盈餘預測分別為 112.44 元與 161.21 元。鑑於台積電在 AI 供應鏈的主導地位，我們重申買進評等並維持目標股價於 3,500 元，基於 2027 財年預估每股稅後盈餘 22 倍本益比。低於預期的 AI 部署需求及經濟不確定性為主要風險。

圖表 1：獲利預估修正 **單位：百萬元**

	FY25	FY26F			FY27F		
		原估	新估	差異	原估	新估	差異
營業收入	3,809,054	5,389,191	5,544,989	2.9%	7,540,889	7,790,040	3.3%
銷貨毛利	2,281,294	3,618,688	3,739,770	3.3%	5,228,330	5,421,362	3.7%
營業利益	1,936,092	3,164,027	3,271,087	3.4%	4,549,650	4,720,258	3.7%
稅後淨利	1,717,883	2,821,773	2,915,600	3.3%	4,030,164	4,180,566	3.7%
EPS（元）	66.26	108.80	112.44	3.3%	155.41	161.21	3.7%
重要比率							
毛利率	59.9%	67.1%	67.4%		69.3%	69.6%	
營業利益率	50.8%	58.7%	59.0%		60.3%	60.6%	
淨利率	45.0%	52.4%	52.6%		53.4%	53.7%	

資料來源：公司、CMoney、富邦投顧

圖表 2：全球晶圓代工資本支出預測 單位：百萬美元

公司 / 資本支出及 YoY	2024	2025	2026F	2027F	2028F
台積電	29,760	40,900	62,000	80,000	95,000
	- YoY	+37.4%YoY	+51.6%YoY	+29.0%YoY	+18.8%YoY
三星晶圓代工	10,300	7,500	11,100	14,600	17,100
	- YoY	-27.2%YoY	+48.0%YoY	+31.5%YoY	+17.1%YoY
中芯國際	7,700	8,100	8,500	10,000	11,000
	- YoY	+5.2%YoY	+4.9%YoY	+17.6%YoY	+10.0%YoY
聯電	2,900	1,600	2,000	3,000	3,500
	- YoY	-44.8%YoY	+25.0%YoY	+50.0%YoY	+16.7%YoY
英特爾	22,000	16,000	18,000	20,000	23,000
	- YoY	-27.3%YoY	+12.5%YoY	+11.1%	+15.0%YoY
華虹宏力	2,740	1,800	1,900	2,350	2,150
	- YoY	-34.3%YoY	+5.6%YoY	+23.7%YoY	-8.5%YoY
GlobalFoundries	630	720	1,400	1,500	1,600
	- YoY	+14.3%YoY	+94.4%YoY	+7.1%YoY	+6.7%YoY
上海華力	800	900	1,200	1,500	1,600
	- YoY	+12.5%YoY	+33.3%YoY	+25.0%YoY	+6.7%YoY
其他	2,170	5,480	12,400	10,050	15,050
	- YoY	+152.5%YoY	+126.3%YoY	-19.0%YoY	+49.8%YoY
晶圓代工總支出	79,000	83,000	118,500	143,000	170,000
	- YoY	+5.1%YoY	+42.8%YoY	+20.7% YoY	+18.9% YoY

資料來源：富邦投顧

圖表 3：台積電各製程產能利用率預估

	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
2nm	25%	50%	80%	100%	100%	100%	105%	110%
3nm	110%	120%	120%	120%	120%	120%	120%	120%
4/5nm	105%	100%	100%	100%	100%	100%	100%	100%
6/7nm	85%	90%	90%	90%	90%	90%	95%	95%
12/16nm	90%	90%	90%	85%	85%	85%	90%	90%
22/28nm	92%	90%	90%	85%	90%	95%	95%	95%
40nm	85%	85%	95%	95%	95%	95%	95%	95%
55nm	100%	100%	100%	100%	100%	100%	100%	100%
90m,	85%	85%	85%	85%	85%	85%	90%	90%
8”	88%	88%	88%	88%	90%	95%	95%	98%

資料來源：富邦投顧

圖表 4：台積電各製程產能 單位：千片每月

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
2nm	3	5	10	15	30	50	70	80	80	90	120	150
3nm	110	120	130	140	145	160	160	160	170	180	190	210
5nm	160	160	160	160	150	140	140	130	120	120	120	120
7nm	180	170	160	160	150	150	140	130	110	110	100	100

資料來源：富邦投顧

圖表 5：2025-29 年台積電潛在建設/擴建單位

資料來源：富邦投顧

圖表 6：台積電雲端 AI 營收模型 **單位：百萬美元**

模型項目	2023	2024	2025	2026F	2027F
晶圓平均銷售價格（美元）	18,000	18,000	18,000	21,993	25,000
製程節點假設	N5	N5	N4	N4 / N3	N3
AI 晶圓出貨量	169,386	510,000	1,147,500	1,964,520	3,213,000
前段營收（百萬美元）	3,049	9,180	20,655	43,215	80,325
CoWoS 平均銷售價格（美元）	7,500	7,418	7,967	8,227	8,381
CoWoS 產出（晶圓數）	99,639	300,000	675,000	1,155,600	1,890,000
後段營收（百萬美元）	747	2,225	5,378	9,507	15,840
委外（百萬美元）	0	100	893	2,625	5,145
AI 總營收*（百萬美元）	3,796	11,505	26,926	55,347	101,310
台積電營收（百萬美元）	69,298	89,726	122,423	169,370	235,651
核心 AI 營收內容價值	5%	13%	21%	31%	41%
全部隱含內容價值*	5.50%	12.80%	22.00%	32.70%	43.00%

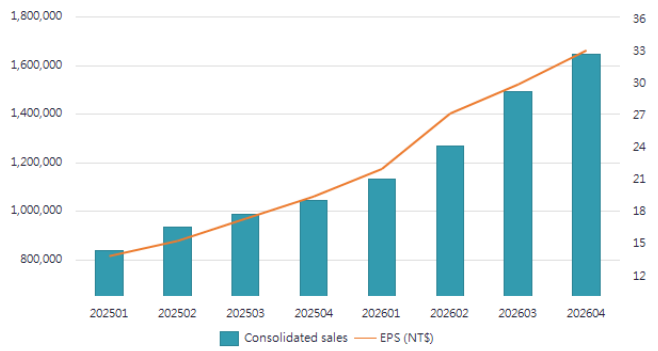
資料來源：富邦投顧

圖表 7：季度預測

單位：百萬元	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F	2028F
損益表模型											
銷售	1,134,103	1,270,380	1,494,243	1,646,262	1,707,262	1,806,432	2,055,318	2,221,028	5,544,989	7,790,040	10,082,571
銷貨成本	382,808	410,070	483,399	528,943	543,124	554,563	611,772	659,220	1,805,219	2,368,678	3,038,919
銷貨毛利	751,295	860,311	1,010,844	1,117,320	1,164,139	1,251,869	1,443,546	1,561,808	3,739,770	5,421,362	7,043,652
營業費用	94,006	98,982	134,482	148,164	153,654	162,579	184,979	199,893	475,633	701,104	957,844
營業利潤	658,966	766,603	876,362	969,156	1,010,485	1,089,290	1,258,568	1,361,915	3,271,087	4,720,258	6,085,808
業外收益	28,834	95,827	37,990	41,855	43,406	45,927	52,255	56,468	204,505	198,055	256,340
稅前利潤	687,800	862,430	914,352	1,011,011	1,053,891	1,135,217	1,310,822	1,418,383	3,475,592	4,918,313	6,342,148
淨利	572,480	706,562	777,199	859,359	895,807	964,935	1,114,199	1,205,625	2,915,600	4,180,566	5,390,826
每股稅後盈餘	22.08	27.25	29.97	33.14	34.54	37.21	42.97	46.49	112.44	161.21	207.88
利潤率											
毛利率	66.3%	67.7%	67.6%	67.9%	68.2%	69.3%	70.2%	70.3%	67.4%	69.6%	69.9%
營業利潤率	58.1%	60.3%	58.6%	58.9%	59.2%	60.3%	61.2%	61.3%	59.0%	60.6%	60.4%
淨利率	50.5%	55.6%	52.0%	52.2%	52.5%	53.4%	54.2%	54.3%	52.6%	53.7%	53.5%
YoY 成長											
銷售	35.1%	36.0%	50.9%	57.4%	50.5%	42.2%	37.5%	34.9%	45.6%	40.5%	29.4%
銷貨毛利	52.3%	57.2%	71.8%	71.4%	55.0%	45.5%	42.8%	39.8%	63.9%	45.0%	29.9%
營業利潤	61.9%	65.4%	75.0%	71.6%	53.3%	42.1%	43.6%	40.5%	69.0%	44.3%	28.9%
淨利	58.3%	77.4%	71.8%	69.9%	56.5%	36.6%	43.4%	40.3%	69.7%	43.4%	28.9%
每股稅後盈餘	58.3%	77.4%	71.8%	69.9%	56.4%	36.5%	43.4%	40.3%	69.7%	43.4%	28.9%
QoQ 成長											
銷售	8.4%	12.0%	17.6%	10.2%	3.7%	5.8%	13.8%	8.1%			
銷貨毛利	15.2%	14.5%	17.5%	10.5%	4.2%	7.5%	15.3%	8.2%			
營業利潤	16.7%	16.3%	14.3%	10.6%	4.3%	7.8%	15.5%	8.2%			
淨利	13.2%	23.4%	10.0%	10.6%	4.2%	7.7%	15.5%	8.2%			
每股稅後盈餘	13.2%	23.4%	10.0%	10.6%	4.2%	7.7%	15.5%	8.2%			

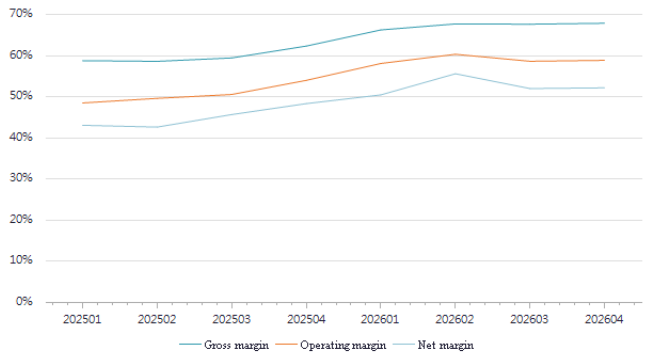
資料來源：公司、CMoney、富邦投顧

圖表 8：季度銷售、每股稅後盈餘 單位：百萬元、元



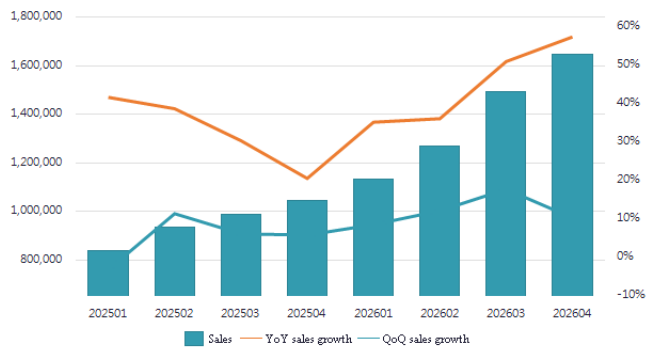
資料來源：CMoney、富邦投顧

圖表 9：毛利率、營業利潤率、淨利率 單位：%



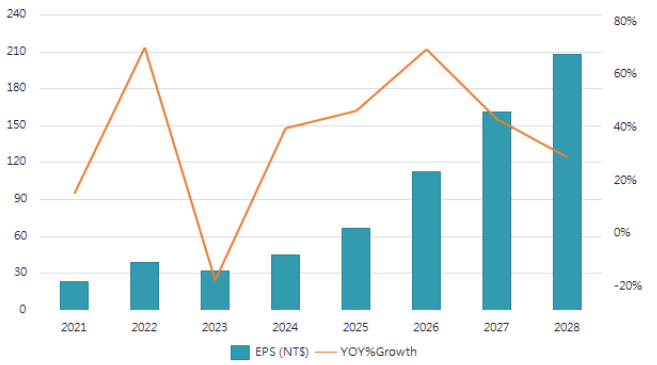
資料來源：CMoney、富邦投顧

圖表 10：季度銷售、YoY 成長 單位：百萬元、%



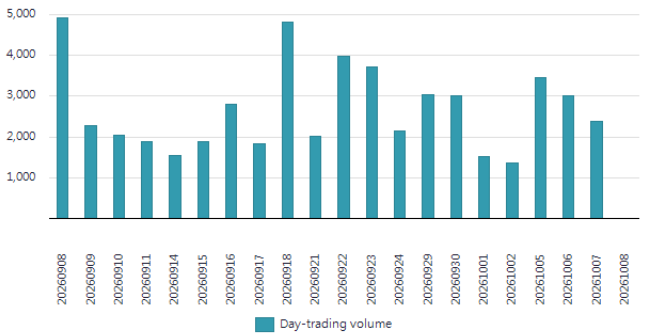
資料來源：CMoney、富邦投顧

圖表 11：每股稅後盈餘、YoY 每股稅後盈餘成長 單位：元、%



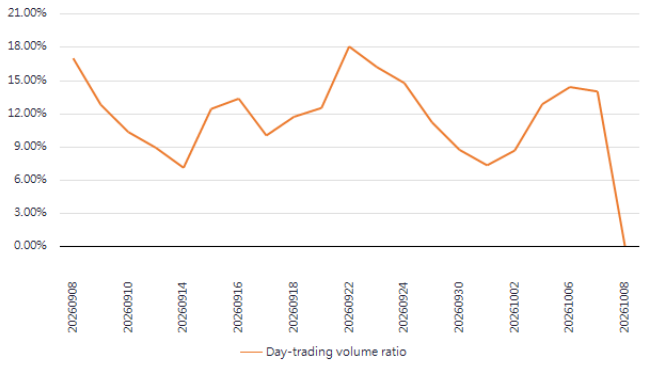
資料來源：CMoney、富邦投顧

圖表 12：過去 1 個月當沖成交量 單位：張



資料來源：CMoney、富邦投顧

圖表 13：過去 1 個月當沖成交量比率 單位：%



資料來源：CMoney、富邦投顧

ESG永續發展專區

CMoney台灣ESG評等

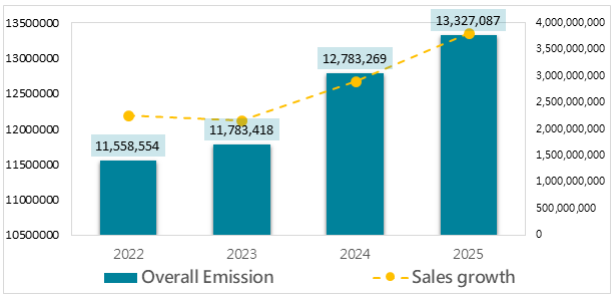
CMoney ESG評等	E(環境保護)	S(社會責任)	G(公司治理)
8/10	6 /10	6 /10	8 /10

交易所產業類別	產業排名	交易所公司治理評鑑
半導體產業	5 /207	前 5%

E(環境保護)

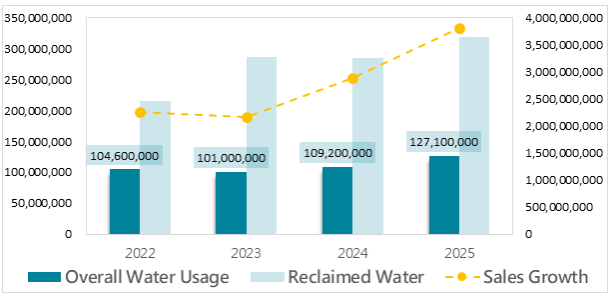
溫室氣體與營收

摘要			
溫室氣體			
評鑑年度	總排放量	直接排放量	間接排放量
2025	13,327,087	2,196,516	11,130,571
2024	12,783,269	1,825,872	10,957,397
2023	11,783,418	1,596,031	10,187,387
2022	11,558,554	2,018,789	9,539,765



企業用水總量與營收

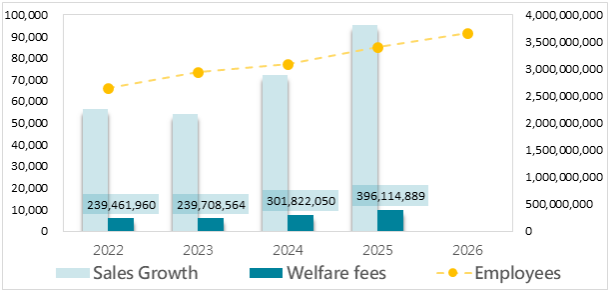
摘要			
企業用水總量			
評鑑年度	用水總量(公噸)	再生水	排水量(公噸)
2025	127,100,000	318,940,000	97,690,000
2024	109,200,000	284,600,000	86,040,000
2023	101,000,000	286,400,000	76,030,000
2022	104,600,000	215,700,000	70,920,000



S(社會責任)

員工人數及福利費用

摘要			
員工人數及福利費用			
評鑑年度	員工人數(人)	員工人數增減(人)	福利費用
2026	91,353	6,219	--
2025	85,134	8,101	396,114,889
2024	77,033	3,714	301,822,050
2023	73,319	7,388	239,708,564
2022	65,931	779	239,461,960



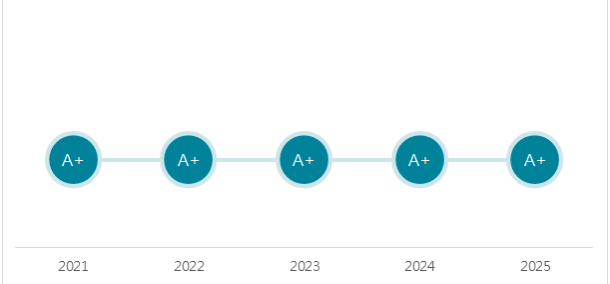
G(公司治理)

G(公司治理)評鑑

評鑑年度	評鑑結果	等級	各訊達電腦權重			
			訊達電腦 1	訊達電腦 2	訊達電腦 3	訊達電腦 4
2025	前 5%	A+	0.16	0.25	0.10	0.49
2024	前 5%	A+	0.19	0.29	0.17	0.35
2023	前 5%	A+	0.22	0.31	0.19	0.28
2022	前 5%	A+	0.20	0.33	0.23	0.24

註：績效排名：前 5% - A+；6%-20%：A；21%~35%：B+；36%~50%：B：51%~65%；C+：66%~80%；C：81%~100%；D

資料來源：交易所、公司、CMoney、富邦投顧



損益表					百萬元
	FY24	FY25	FY26F	FY27F	FY28F
營業收入	2,894,308	3,809,054	5,544,989	7,790,040	10,082,571
銷貨成本	1,269,954	1,527,760	1,805,219	2,368,678	3,038,919
銷貨毛利	1,624,354	2,281,294	3,739,770	5,421,362	7,043,652
營業費用	301,070	345,650	475,633	701,104	957,844
營業利潤	1,322,053	1,936,092	3,271,087	4,720,258	6,085,808
EBITDA	2,079,131	2,742,130	4,109,707	5,819,143	7,419,579
利息淨收支	76,718	93,369	25,791	36,943	47,815
投資收益	--	--	63,082	(175)	(226)
匯兌淨損益	10,001	13,831	23,708	42,440	54,933
其他非營業收入	6,377	5,987	91,924	118,846	153,818
總非營業收入	83,786	105,571	204,505	198,055	256,340
稅前淨利	1,405,839	2,041,663	3,475,592	4,918,313	6,342,148
所得稅	233,407	326,266	559,452	737,747	951,322
特別項目及少數股權	(835)	(2,485)	540	0	0
稅後淨利	1,173,268	1,717,883	2,915,600	4,180,566	5,390,826
基本每股稅後盈餘（元）	45.25	66.26	112.44	161.21	207.88
完全稀釋每股稅後盈餘（元）	45.25	66.25	112.44	161.22	207.89
股票股利（元）	0.00	0.00	0.00	0.00	0.00
現金股利支出（元）	17.00	22.00	25.00	29.00	31.00
YoY（%）					
營業收入	33.9	31.6	45.6	40.5	29.4
銷貨毛利	38.2	40.4	63.9	45.0	29.9
營業利潤	43.5	46.4	69.0	44.3	28.9
稅後淨利	39.9	46.4	69.7	43.4	28.9
基本每股稅後盈餘	39.9	46.4	69.7	43.4	28.9
毛利率（%）					
毛利	56.1	59.9	67.4	69.6	69.9
營業	45.7	50.8	59.0	60.6	60.4
淨額	40.5	45.0	52.6	53.7	53.5
息稅折舊攤提前淨利	71.8	72.0	74.1	74.7	73.6

財務比率					
	FY24	FY25	FY26F	FY27F	FY28F
流動比率(%)	244	262	338	464	635
速動比率(%)	221	242	310	429	592
淨負債股權比率(%)	(48)	(50)	(56)	(63)	(70)
稅後淨利率(%)	40.5	45.0	52.6	53.7	53.5
資產周轉率(x)	0.5	0.5	0.6	0.7	0.7
財務槓桿(x)	1.5	1.5	1.4	1.3	1.2
資本支出 / 股東權益	0.9	0.8	0.7	0.5	0.4
總資產報酬率(%)	17.5	21.7	30.5	34.2	33.7
淨值報酬率(%)	30.3	35.4	47.0	50.8	47.7
資本報酬率(%)	33.9	39.5	55.2	59.0	55.3

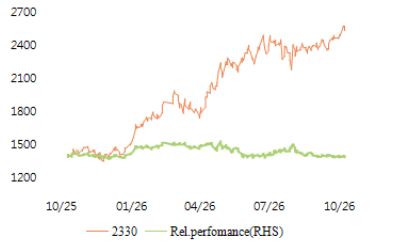
財務比率					
	FY24	FY25	FY26F	FY27F	FY28F
股息保障倍數(x)	2.4	2.1	2.9	4.3	5.3
所得稅保障倍數(x)	3.7	3.1	3.0	3.7	4.2
資本支出保障倍數(x)	0.9	0.8	0.8	1.1	1.3
應收帳款週轉率(x)	10.6	13.5	13.5	13.5	13.5
存貨周轉率(x)	4.4	5.3	4.3	4.0	4.0
應付帳款周轉率(x)	17.1	18.1	14.7	13.7	13.6
應收帳款周轉天數	34	27	27	27	27
存貨週轉天數	83	69	85	91	92
應付帳款週轉天數	21	20	25	27	27
現金循環週期(天)	96	76	87	91	92

資產負債表					百萬元
	FY24	FY25	FY26F	FY27F	FY28F
現金及約當現金	2,127,627	2,767,856	3,922,713	6,051,695	9,254,282
應收款項	272,088	281,791	410,214	576,301	745,901
存貨	287,869	288,109	419,412	589,224	762,626
其他流動資產	400,769	479,374	484,169	489,012	493,900
流動資產	3,088,352	3,817,131	5,236,508	7,706,232	11,256,709
長期投資	149,040	172,370	174,094	175,835	177,593
固定資產	3,234,980	3,691,841	3,876,433	4,070,255	4,273,767
其他長期資產	219,565	251,682	263,268	275,422	288,176
總資產	6,691,938	7,933,024	9,550,303	12,227,744	15,996,245
短期借款	--	--	0	0	0
商業本票	--	--	0	0	0
應付款項	74,227	84,330	122,763	172,467	223,222
其他流動負債	1,190,298	1,373,689	1,428,682	1,487,109	1,549,105
流動負債	1,264,525	1,458,019	1,551,445	1,659,576	1,772,327
長期借款	31,824	39,834	47,955	61,400	80,323
其他長期負債	1,072,013	974,375	983,763	1,003,438	1,023,507
負債總額	2,368,362	2,472,229	2,592,866	2,733,923	2,885,476
普通股	259,327	259,325	259,309	259,310	259,310
公積	73,261	73,446	77,118	80,974	85,022
保留盈餘	3,917,252	5,103,502	5,869,027	6,749,381	7,761,788
其他	73,736	24,523	751,982	2,404,156	5,004,649
權益總額	4,323,576	5,460,795	6,957,436	9,493,821	13,110,769
負債及權益總額	6,691,938	7,933,024	9,550,302	12,227,744	15,996,245

現金流量表					
	FY24	FY25	FY26F	FY27F	FY28F
稅後淨利	1,173,268	1,717,883	2,915,600	4,180,566	5,390,826
折舊與攤提	662,797	688,096	838,620	1,098,885	1,333,771
投資淨損益	2,598	1,581	(63,082)	175	226
營運資金增減	(90,088)	160	(221,293)	(286,195)	(292,247)
其他	77,602	(132,744)	190,548	326,340	560,089
來自營運之現金流量	1,826,177	2,274,976	3,660,393	5,319,771	6,992,665
資本支出	(955,112)	(1,271,613)	(1,984,000)	(2,560,000)	(3,040,000)
長投增減	19,598	23,330	65,334	33,546	17,661
其他	(885,336)	(1,168,520)	0	0	0
來自投資之現金流量	(864,843)	(1,144,393)	(1,918,666)	(2,526,454)	(3,022,339)
自由現金流量	961,334	1,130,582	1,741,727	2,793,317	3,970,326
借款增（減）	30,897	10,658	0	0	0
現金股利支出	(363,055)	(466,779)	(570,482)	(648,275)	(751,999)
發行公司債	34,264	86,810	0	0	0
償還公司債	(7,000)	(54,310)	0	0	0
現金增資	--	--	1	2	0
其他	(41,407)	(16,724)	(16,389)	(16,059)	(15,740)
來自融資之現金流量	(346,301)	(440,345)	(586,871)	(664,334)	(767,739)
匯率調整	47,166	(50,008)	0	0	0
本期產生之現金流量	662,199	640,229	1,154,856	2,128,983	3,202,587

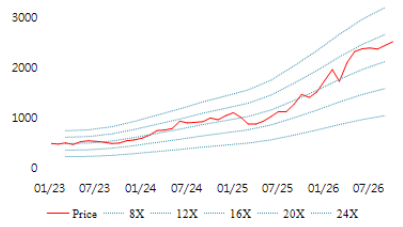
評價					
	FY24	FY25	FY26F	FY27F	FY28F
本益比(x)	56.4	38.5	22.7	15.8	12.3
本營比(x)	22.8	17.4	11.9	8.5	6.6
淨值報酬率 (%)	15.4	12.2	9.6	7.0	5.1
現金流量報酬率(x)	36.2	29.1	18.1	12.4	9.5
本益比成長比(x)	1.4	0.8	0.3	0.4	0.4
P/FCFPS (x)	75.9	65.9	39.4	24.0	16.7
EV/EBITDA (x)	30.8	23.1	15.1	10.3	7.7
股息殖利率 (%)	0.7	0.9	1.0	1.1	1.2

股價及相對大盤績效圖



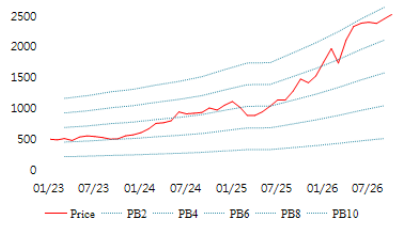
資料來源：CMoney、富邦投顧

未來 12 個月本益比區間圖



資料來源：CMoney、富邦投顧

未來 12 個月本淨比區間圖



資料來源：CMoney、富邦投顧

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Rating	Definition
Buy	Expected absolute return to be over 15% within the next 6 months
Neutral	Expected absolute return to be level within the next 6 months
Sell	Expected absolute return to be over negative 15% within the next 6 months
Not Rated (NR)	Pursuant to Fubon acting in deals involving the company or there is not a sufficient fundamental basis for determining an investment rating
Under Review	Fubon is in the process of determining an investment rating and will assign a rating within the 3- to 6-month horizon

Sector Rating	Definition
Overweight	Sector expected to outperform the broader market indexes within the next 6-12 months
Market Weight	Sector expected to perform in line with the broader market averages within the next 6-12 months
Underweight	Sector expected to underperform the broader market indexes within the next 6-12 months.

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富邦的股票評等標準

評等	定義
買進	預估未來6個月內的絕對報酬超過15%
中立	預估未來6個月內有絕對報酬介於15%與負15%之間
賣出	預估未來6個月內的絕對報酬高於負15%
未評等	由於富邦目前與該公司有特定交易或沒有足夠的基本資料判斷該公司評等
評估中	目前正在研議個股的投資評等，將於3到6個月內提供投資評等

產業評等	定義
優於大盤	預估該產業在未來6個月內會比大盤指數表現突出
持平	預估該產業在未來6個月內與大盤指數表現相較持平
劣於大盤	預估該產業在未來6個月內會比大盤指數表現較差

大立光（3008 TT）

CPO 專案通過認證

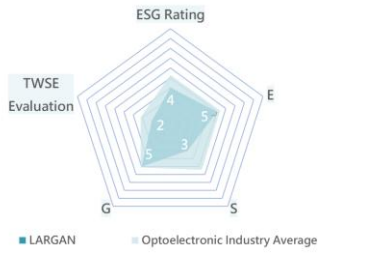
Fubon Research
2026 年 10 月 12 日

買進

股價	目標
NT$6,660.00	NT$8,535
○ 初次評論	○ 訪談摘要
● 公司動態	● 獲利調整
○ 獲利預覽	○ 評等調整

流通在外股數（百萬）	130.8
市值（百萬台幣）	871,130
市值（百萬美元）	27,330
外資持股率（%）	24.12
投信持股率（%）	7.93
董監持股率（%）	19.02
52 週高價（元）	7,810.00
52 週低價（元）	1,963.91
當沖比率	48.65

ESG 評等	4	產業排名	80/116



資料來源：CMoney

變動說明

	新估	原估	%
評等	買進	買進	
目標價(NT$)	8,535	6,340	+34.6
EPS 預估(元)	213.38	195.15	+9
目標 PE(x)	40	32.5	

主要財務報表分析 至 12 月 31 日

百萬元	FY26F	FY27F	FY28F
營業收入	61,148	73,090	89,680
年成長率(%)	0.0	19.5	22.7
營業利益	22,159	29,367	36,876
年成長率(%)	-5.9	32.5	25.6
稅後淨利	22,599	28,020	33,954
年成長率(%)	6.2	24.0	21.2
EPS (元)	167.57	213.38	258.57
每股現金股利(元)	86.1	106.7	129.3
本益比(x)	38.7	31.2	25.8
本淨比(x)	4.5	4.0	3.5
現金股利殖利率(%)	1.3	1.6	1.9
淨值報酬率(%)	11.7	13.4	14.5

資料來源：CMoney、富邦投顧

鍾永璇
(886-2)2781-5995-7113
Titan.chung@fubon.com

嚴少甫
(886-2) 2781-5995-37120
morris.sf.yen@fubon.com

維持買進評等，目標價上調至 8,535 元，潛在漲幅 28.2%
1. 3Q26 財報：每股稅後盈餘未達預期，主因產品發表陣容縮減及新增結構性成本
2. 4Q26 業務展望：iPhone 需求放緩
3. CPO FA 專案：認證通過

3Q26 財報：每股稅後盈餘未達預期，主因產品發表陣容縮減及新增結構性成本

大立光公布 3Q26 財報，營收達 156.5 億元，季增 14.5%，年減 11%，約達富邦 3Q26 預估及市場共識的 87%，主要因 iPhone18 系列新發表計畫導致低於預期。毛利率為 42.2%，季減 7.2 個百分點，主因 1)可變光圈鏡頭良率較低，2)綠能電力成本提高。每股稅後盈餘 39.62 元，低於我們預估的 54.83 元，主因毛利率較低。累計 9M26 營收達 448.6 億元（年增 2%）。

4Q26 業務展望：iPhone 需求放緩

展望 4Q26，管理團隊預期 10 月營收將持平於上月，11 月營收則將月減。管理團隊亦指出可變光圈鏡頭的高峰已過，意味 iPhone 18 Pro （Max）系列銷售不如預期強勁。然而，蘋果目前僅提供較短期的預測，因此大立光無法掌握更長期的未來展望，我們需持續關注此情況。我們預估 4Q26 營收僅季增 4.1%。

CPO FA 專案：認證通過

單排 FA 樣品已於八月通過現有客戶認證，並於九月完成試產線準備。現有客戶要求大立光交付 FAU + Carrier，而非僅 FA。這意味著營收貢獻將比我們先前預估更大，但毛利率可能較低。大立光有一座全新工廠，主要用於 FA 及 FAU 生產線。雖然大立光已購置大量土地以擴展 CPO 相關產品產能，這些新工廠預計要到 2030 年才會完工。大立光的時程維持不變：FA/FAU 將於 3Q27 開始量產。根據我們目前的估算，市場占有率初期為 10%，預期 FAU 毛利率將於 2028 年下半年最終達到約 45%，初期為 15~20%，而 CPO 相關產品對大立光的貢獻在 2027 年仍有限，僅約占營收/獲利金額的 2%/4.5%。2028 年，隨著 CPO 相關產品市場占有率提升至 20%，貢獻將分別增至約 13%/18%。我們認為 CPO 相關產品主要貢獻將在 2029 年出現，屆時市占率將達 25%，營收及獲利金額占比將超過 30%，若 2029 年 scale-up 和 scale-in 採用 CPO，貢獻可能更高。大立光也正與數家 CSP 客戶討論下一代多排 FA，並嘗試送樣認證。

富邦不同之處

我們最新的 2026/2027 年度每股稅後盈餘預測分別為 167.6 元/213.38 元，與市場共識的 189.08 元/207.46 元相比。我們相當看好大立光將受益於 CPO 專案。

估值與風險

我們維持買進評等，並因 CPO FAU 專案進展正向將本益比提升至 40 倍。最新目標股價為 8,535 元。主要風險包括：1) 全球經濟不確定性，2) 記憶體短缺，3) CPO 量產時程。

圖表 1：季度每股稅後盈餘回顧 單位：百萬元

	3Q26	QoQ	YoY	富邦	差異	市場同業	差異
銷售	15,651	14.5%	-11.5%	18,895	-17.2%	18,287	-14.4%
銷貨毛利	6,607	-2.2%	-20.9%	9,525	-30.6%	9,173	-28.0%
營業利益	4,735	-8.0%	-24.4%	7,293	-35.1%	6,994	-32.3%
稅前淨利	6,092	-0.1%	-25.3%	8,572	-28.9%	8,184	-25.6%
稅後淨利	5,182	11.0%	-26.8%	7,200	-28.0%	6,772	-23.5%
EPS (元)	39.62	11.0%	-25.3%	54.83	-27.7%	51.21	-22.6%
重要比率							
毛利率	42.2%			50.4%		50.2%	
營業利潤率	30.3%			38.6%		38.2%	
淨利率	33.1%			38.1%		37.0%	

資料來源：公司、CMoney、富邦投顧

圖表 2：獲利預估修正 單位：百萬元

	FY25	FY26F			FY27F		
		原估	新估	差異	原估	新估	差異
營業收入	61,148	68,766	61,148	-11.1%	72,496	73,090	0.8%
銷貨毛利	30,837	34,777	29,330	-15.7%	37,010	37,445	1.2%
營業利益	23,558	26,755	22,159	-17.2%	28,932	29,367	1.5%
稅後淨利	21,275	25,606	22,599	-11.7%	27,769	28,020	0.9%
EPS (元)	159.41	195.15	167.57	-14.1%	211.47	213.38	0.9%
重要比率							
毛利率	50.4%	50.6%	48.0%		51.1%	51.2%	
營業利率	38.5%	38.9%	36.2%		39.9%	40.2%	
淨利率	35.3%	37.2%	37.0%		38.3%	38.3%	

資料來源：公司、CMoney、富邦投顧

CPO FA 專案：認證通過

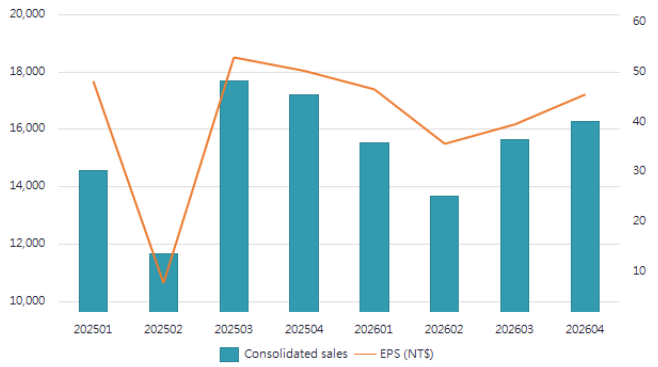
單排 FA 樣品已於八月通過現有客戶認證，並於九月完成試產線準備。現有客戶要求大立光交付 FAU + Carrier，而非僅 FA，這意味著營收貢獻將比先前預估更大，但毛利率可能較低。大立光計劃將 PMLA 外包，FA 及 FAU 則自行生產，並將 FAU 與 Carrier（外購）組裝後交付客戶。大立光擁有全新工廠，主要用於 FA 及 FAU 生產線。雖然大立光已購置大量土地以擴充 CPO 相關產品產能，但這些新工廠需至 2030 年才會完工。大立光時程維持不變：FA/FAU 將於 3Q27 開始量產。根據我們目前估算，XPO 將於 nVidia 的 Vera Rubin Ultra NVL576 機架進行規模擴展交換。我們預期滲透率在 2H27 最多達 10%，並於 2028 年增至 20%。我們也估算交換機架與 Vera Rubin 機架比例約為 1:2。市場占有率起始於 10%時，我們估計 FAU 毛利率略低於平均毛利率，即最終於 2H28 約為 45%，初期為 15~20%。CPO 相關貢獻在 2027 年仍有限，分別約佔營收/獲利金額的 2%/4.5%。2028 年隨市場占有率增至 20%，貢獻將分別提升至約 13%/18%。我們認為主要貢獻將於 2029 年出現，屆時市場占有率達 25%，營收及獲利金額均超過 30%，若 2029 年採用規模擴大及規模內 CPO，貢獻可能更高。此外，大立光強調其在 CPO 領域的核心競爭力在於其「對位技術」，能透過自家設計的自動化設備，精準將 V 型槽與光纖完美對位，大幅提升光學傳輸效率。同時，大立光正與數家 CSP 客戶討論下一代多排 FA 產品，並努力提供樣品進行認證。然而，下一代產品的量產僅會於 2028 年開始。

圖表 3：季度預測

單位：百萬元	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F	2028F
損益表模型											
銷售額	15,544	13,665	15,651	16,288	16,707	17,529	18,310	20,544	61,148	73,090	89,680
銷貨成本	7,865	6,912	9,044	7,997	7,958	8,530	9,013	10,143	31,818	35,644	44,726
銷貨毛利	7,680	6,753	6,607	8,291	8,749	8,999	9,297	10,401	29,330	37,445	44,954
營業費用	1,867	1,605	1,872	1,827	1,664	1,687	1,976	2,751	7,171	8,078	8,078
營業利潤	5,812	5,148	4,735	6,464	7,085	7,312	7,321	7,650	22,159	29,367	36,876
業外收益	1,476	951	1,357	1,316	1,180	1,665	1,279	1,716	5,624	5,839	5,839
稅前利潤	7,288	6,099	6,092	7,779	8,264	8,977	8,600	9,365	27,783	35,206	42,715
稅後淨利	6,176	4,670	5,182	5,990	6,942	6,643	7,224	7,211	22,599	28,020	33,954
每股稅後盈餘	46.63	35.70	39.62	45.62	52.87	50.59	55.01	54.92	167.6	213.38	258.57
利潤率											
毛利率	49.4%	49.4%	42.2%	50.9%	52.4%	51.3%	50.8%	50.6%	48.0%	51.2%	50.1%
營業利潤率	37.4%	37.7%	30.3%	39.7%	42.4%	41.7%	40.0%	37.2%	36.2%	40.2%	41.1%
淨利率	39.7%	34.6%	33.1%	36.8%	41.6%	37.9%	39.5%	35.1%	37.0%	38.3%	37.9%
YoY 成長											
銷售額	6.6%	17.1%	-11.5%	-5.4%	7.5%	28.3%	17.0%	26.1%	0.0%	19.5%	22.7%
銷貨毛利	-3.6%	7.9%	-20.9%	0.4%	13.9%	33.3%	40.7%	25.4%	-4.9%	27.7%	20.1%
營業利潤	-4.5%	5.5%	-24.4%	2.1%	21.9%	42.0%	54.6%	18.3%	-5.9%	32.5%	25.6%
稅後淨利	-5.0%	352.5%	-26.8%	-10.9%	13.4%	42.2%	39.4%	20.4%	6.2%	24.0%	21.2%
每股稅後盈餘	-3.4%	361.8%	-25.3%	-9.4%	13.4%	41.7%	38.8%	20.4%	5.1%	27%	21.2%
QoQ 成長											
銷售額	-9.7%	-12.1%	14.5%	4.1%	2.6%	4.9%	4.5%	12.2%			
銷貨毛利	-7.0%	-12.1%	-2.2%	25.5%	5.5%	2.9%	3.3%	11.9%			
營業利潤	-8.2%	-11.4%	-8.0%	36.5%	9.6%	3.2%	0.1%	4.5%			
稅後淨利	-8.9%	-23.7%	11.0%	15.6%	15.9%	-4.3%	8.7%	-0.2%			
每股稅後盈餘	-7.4%	-23.4%	11.0%	15.1%	15.9%	-4.3%	8.7%	-0.2%			

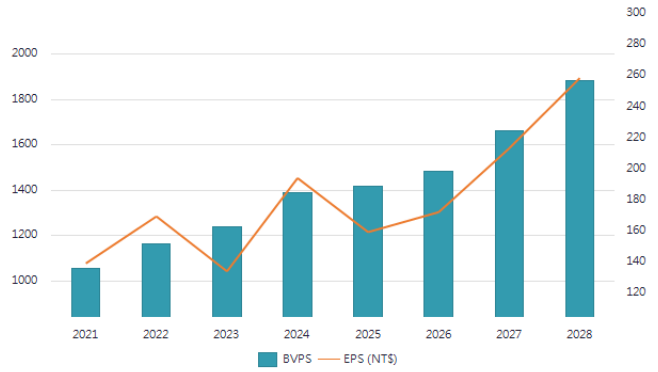
資料來源：公司、CMoney、富邦投顧

圖表 4：季度銷售額、每股稅後盈餘 單位：百萬元、元



資料來源：CMoney、富邦投顧

圖表 5：每股稅後盈餘、每股賬面淨值 單位：元、百分比

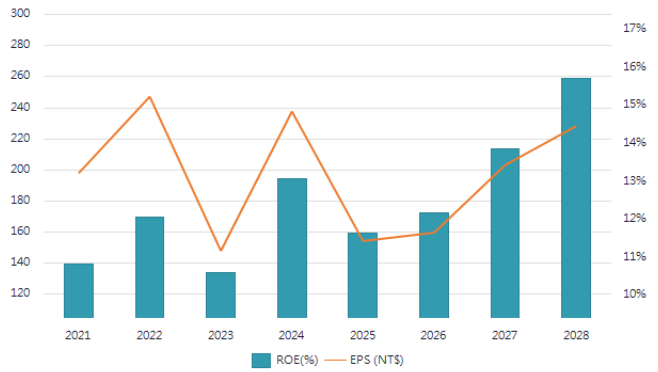


資料來源：CMoney、富邦投顧

圖表 6：毛利率、營業利潤率、淨利率 單位：%

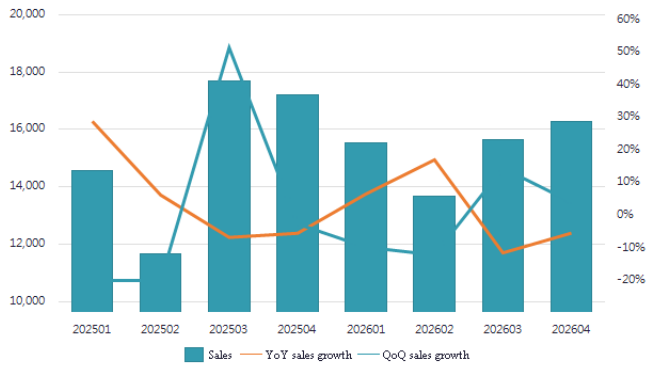
資料來源：CMoney、富邦投顧

圖表 7：每股稅後盈餘、股東權益報酬率 單位：元、百分



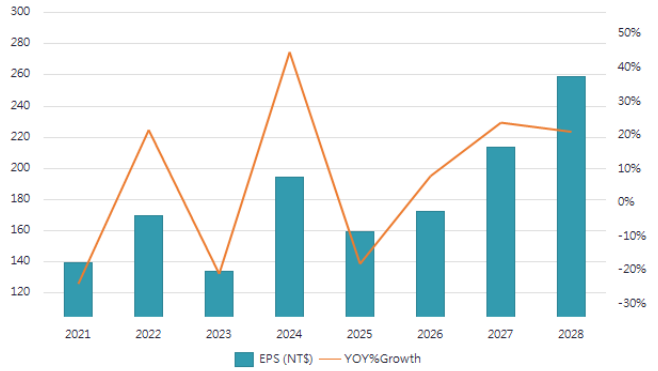
資料來源：CMoney、富邦投顧

圖表 8：季度銷售額，YoY 成長率 單位：百萬元、百分



資料來源：CMoney、富邦投顧

圖表 9：每股稅後盈餘、YoY 每股稅後盈餘成長 單位：元、百分比



資料來源：CMoney、富邦投顧

ESG永續發展專區

CMoney台灣ESG評等

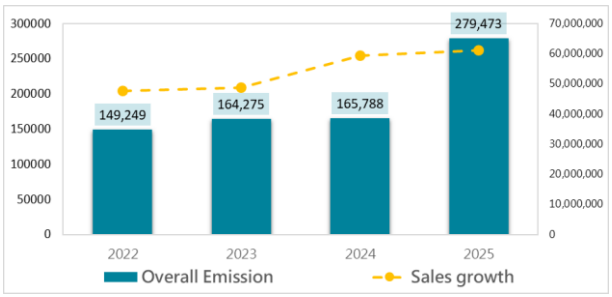
CMoney ESG評等	E(環境保護)	S(社會責任)	G(公司治理)
4/10	5 /10	3 /10	5 /10

交易所產業類別	產業排名	交易所公司治理評鑑
光電產業	80 /116	66%至 80%

E(環境保護)

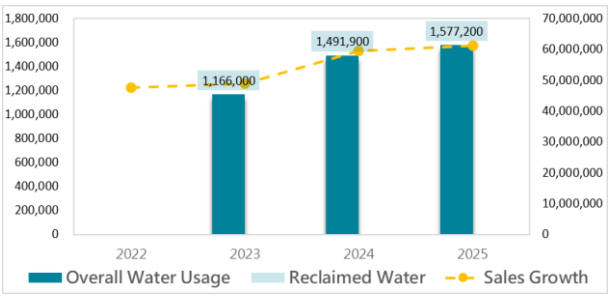
溫室氣體與營收

摘要			
溫室氣體			
評鑑年度	總排放量	直接排放量	間接排放量
2025	279,473	1,331	278,142
2024	165,788	1,629	164,159
2023	164,275	1,672	162,603
2022	149,249	1,504	147,745



企業用水總量與營收

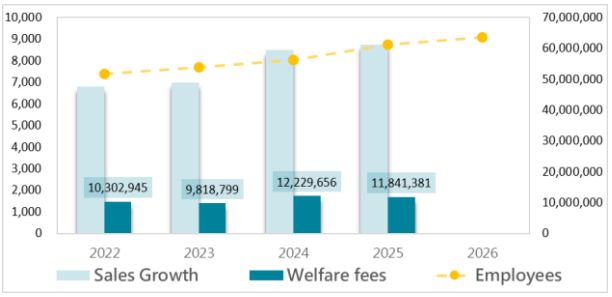
摘要			
企業用水總量			
評鑑年度	用水總量(公噸)	回收水量	排水量(公噸)
2025	1,577,200	--	842,100
2024	1,491,900	--	801,100
2023	1,166,000	--	570,400
2022	--	--	--



S(社會責任)

員工人數與福利費用

摘要			
員工人數與福利費用			
評鑑年度	員工人數(人)	員工人數增減(人)	福利費用
2026	9,068	333	--
2025	8,735	712	11,841,381
2024	8,023	319	12,229,656
2023	7,704	321	9,818,799
2022	7,383	-254	10,302,945



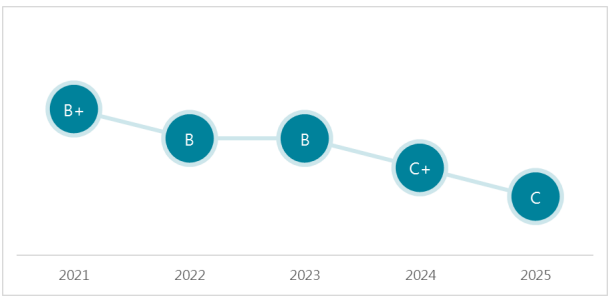
G(公司治理)

公司治理評鑑

評鑑年度	評鑑結果	等級	各訊達電腦權重			
			訊達電腦 1	訊達電腦 2	訊達電腦 3	訊達電腦 4
2025	66%至 80%	C	0.16	0.25	0.10	0.49
2024	51%至 65%	C+	0.19	0.29	0.17	0.35
2023	36%至 50%	B	0.22	0.31	0.19	0.28
2022	36%至 50%	B	0.20	0.33	0.23	0.24

註：評鑑結果排名：前 5% - A+：6%至 20%；A：21%至 35%；B+：36%至 50%；B：51%至 65%；C+：66%至 80%；C：81%至 100%；D

資料來源：交易所、公司、CMoney、富邦投顧



損益表					百萬元
	FY24	FY25	FY26F	FY27F	FY28F
營業收入	59,458	61,148	61,148	73,090	89,680
銷貨成本	28,248	30,311	31,818	35,644	44,726
銷貨毛利	31,209	30,837	29,330	37,445	44,954
營業費用	7,177	7,279	7,171	8,078	8,078
營業利潤	24,033	23,558	22,159	29,367	36,876
EBITDA	38,406	33,634	33,055	38,404	39,011
利息淨收支	4,404	4,259	3,699	3,799	3,799
投資收益	5	(24)	0	0	0
匯兌淨損益	3,430	(2,314)	7,112	8,497	10,361
其他非營業收入	303	421	(5,187)	(6,457)	(8,321)
非營業收入合計	8,142	2,342	5,624	5,839	5,839
稅前淨利	32,174	25,900	27,783	35,206	42,715
所得稅	5,963	4,340	5,184	7,186	8,761
特殊項目及少數股權	295	284	0	0	0
稅後淨利	25,915	21,275	22,599	28,020	33,954
基本每股稅後盈餘（元）	194.17	159.41	167.57	213.38	258.57
完全稀釋每股稅後盈餘（元）	191.44	157.21	167.57	213.38	258.57
股票股利（元）	0.00	0.00	0.00	0.00	0.00
現金股利支出（元）	97.50	80.00	86.13	106.69	129.28
YoY（%）					
營業收入	21.7	2.8	0.0	19.5	22.7
銷貨毛利	31.1	(1.2)	(4.9)	27.7	20.1
營業利潤	35.0	(2.0)	(5.9)	32.5	25.6
稅後淨利	44.8	(17.9)	6.2	24.0	21.2
基本每股稅後盈餘	44.8	(17.9)	8.1	23.9	21.2
毛利率（%）					
毛利	52.5	50.4	48.0	51.2	50.1
營業	40.4	38.5	36.2	40.2	41.1
淨額	44.1	35.3	37.0	38.3	37.9
息稅折舊攤提前盈餘	64.6	55.0	54.1	52.5	43.5

財務比率					
	FY24	FY25	FY26F	FY27F	FY28F
流動比率(%)	477	519	554	663	715
速動比率(%)	458	496	528	635	676
淨負債股權比率(%)	(61)	(61)	(66)	(69)	(69)
稅後淨利率(%)	44.1	35.3	37.0	38.3	37.9
資產周轉率(x)	0.3	0.3	0.3	0.3	0.3
財務槓桿(x)	1.2	1.2	1.2	1.1	1.1
CE/股權	0.3	0.4	0.3	0.3	0.3
總資產報酬率(%)	12.0	9.6	9.9	11.2	12.0
淨值報酬率(%)	14.9	11.4	11.7	13.4	14.5
ROCE(%)	15.8	11.5	12.4	15.1	16.6

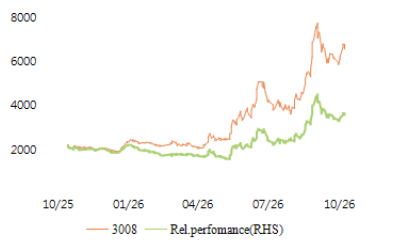
財務比率					
	FY24	FY25	FY26F	FY27F	FY28F
股息保障倍數(x)	1.9	1.2	2.4	3.1	2.6
所得稅保障倍數(x)	3.4	3.2	4.8	4.8	4.1
資本支出保障倍數(x)	1.8	1.1	24.9	34.6	36.1
應收帳款週轉率(x)	5.7	5.8	4.1	4.7	4.1
存貨周轉率(x)	4.9	4.5	3.9	4.2	3.6
應付帳款周轉率(x)	15.2	17.5	9.8	15.3	9.6
應收帳款周轉天數	64	62	90	77	89
存貨週轉天數	74	81	93	87	100
應付帳款週轉天數	24	21	37	24	38
現金循環週期(天)	114	122	145	140	152

資產負債表					百萬元
	FY24	FY25	FY26F	FY27F	FY28F
現金及約當現金	113,658	115,942	129,895	152,076	171,816
應收款項	10,360	10,462	15,031	15,423	21,943
存貨	5,733	6,713	8,086	8,493	12,310
其他流動資產	16,012	21,169	22,066	22,815	23,690
流動資產	145,764	154,285	175,078	198,807	229,759
長期投資	12,460	8,517	10,488	9,503	9,995
固定資產	46,936	51,472	34,483	34,484	34,484
其他長期資產	11,367	6,512	8,949	7,767	8,397
總資產	216,527	220,787	228,998	250,561	282,635
短期借款	203	0	223	457	703
商業本票	--	--	7	8	9
應付款項	1,855	1,728	3,236	2,325	4,653
其他流動負債	28,520	28,021	28,585	28,088	28,188
流動負債合計	30,578	29,749	31,605	29,964	32,147
長期借款	--	--	0	0	0
其他長期負債	561	171	285	516	1,002
負債總額	31,139	29,919	31,935	30,528	33,199
普通股	1,335	1,335	1,313	1,313	1,313
公積	1,562	1,565	1,563	1,564	1,564
保留盈餘	175,969	185,818	195,691	209,599	226,147
其他	6,521	2,151	(1,504)	7,557	20,412
股東權益總額	185,388	190,868	197,063	220,033	249,436
總負債及股東權益	216,527	220,787	228,998	250,561	282,635

現金流量表					
	FY24	FY25	FY26F	FY27F	FY28F
淨利	25,915	21,275	22,599	28,020	33,954
折舊與攤提	6,230	7,732	7,456	8,909	10,863
投資淨損益	(5)	24	0	0	0
營運資金增減	(1,287)	(1,208)	(4,434)	(1,710)	(8,009)
其他	726	(1,743)	288	302	303
來自營運之現金流量	31,579	26,080	25,909	35,521	37,111
資本支出	(11,126)	(12,338)	(999)	(999)	(999)
長投增減	7,544	(3,943)	(1,548)	(1,599)	(1,611)
其他	(23,617)	(5,295)	0	0	0
來自投資之現金流量	(16,066)	(9,236)	(2,547)	(2,598)	(2,610)
自由現金流量	15,512	16,845	23,362	32,923	34,501
借款增（減）	--	--	(223)	(234)	(246)
現金股利支出	(10,811)	(11,412)	(10,466)	(11,310)	(14,010)
發行公司債	--	--	0	0	0
償還公司債	--	--	0	0	0
現金增資	--	--	0	0	0
其他	47	(2,046)	1,003	423	(703)
來自融資之現金流量	(10,764)	(13,458)	(9,686)	(11,121)	(14,959)
匯率調整	1,420	(1,103)	276	379	198
本期產生之現金流量	6,168	2,283	13,953	22,181	19,740

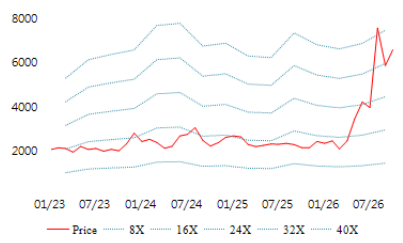
估值					
	FY24	FY25	FY26F	FY27F	FY28F
本益比(x)	34.3	41.8	38.7	31.2	25.8
本營比(x)	15.0	14.5	14.3	12.0	9.8
淨值報酬率(%)	4.8	4.7	4.5	4.0	3.5
P/CFPS (x)	28.1	34.1	33.8	24.6	23.6
PE/growth (x)	0.8	(2.3)	4.8	1.3	1.2
P/FCFPS (x)	43.5	64.7	35.1	25.3	24.2
EV/EBITDA (x)	19.7	22.5	22.4	18.7	17.9
股息殖利率 (%)	1.5	1.2	1.3	1.6	1.9

股價及相對大盤績效圖



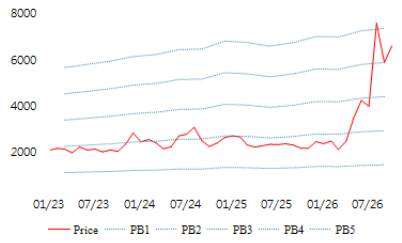
資料來源：CMoney、富邦投顧

未來 12 個月本益比區間圖



資料來源：CMoney、富邦投顧

未來 12 個月本淨比區間圖



資料來源：CMoney、富邦投顧

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Rating	Definition
Buy	Expected absolute return to be over 15% within the next 6 months
Neutral	Expected absolute return to be level within the next 6 months
Sell	Expected absolute return to be over negative 15% within the next 6 months
Not Rated (NR)	Pursuant to Fubon acting in deals involving the company or there is not a sufficient fundamental basis for determining an investment rating
Under Review	Fubon is in the process of determining an investment rating and will assign a rating within the 3- to 6-month horizon

Sector Rating	Definition
Overweight	Sector expected to outperform the broader market indexes within the next 6-12 months
Market Weight	Sector expected to perform in line with the broader market averages within the next 6-12 months
Underweight	Sector expected to underperform the broader market indexes within the next 6-12 months.

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富邦的股票評等標準

評等	定義
買進	預估未來6個月內的絕對報酬超過15%
中立	預估未來6個月內有絕對報酬介於15%與負15%之間
賣出	預估未來6個月內的絕對報酬高於負15%
未評等	由於富邦目前與該公司有特定交易或沒有足夠的基本資料判斷該公司評等
評估中	目前正在研議個股的投資評等，將於3到6個月內提供投資評等

產業評等	定義
優於大盤	預估該產業在未來6個月內會比大盤指數表現突出
持平	預估該產業在未來6個月內與大盤指數表現相較持平
劣於大盤	預估該產業在未來6個月內會比大盤指數表現較差

報告日期：2026/10/12

研 究 報 告

大立光(3008.TT)

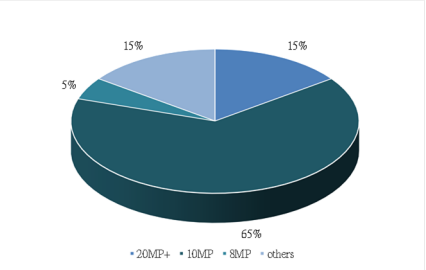
產業：電子–光電

雖手機業務面臨下修，然 CPO 相關佈局優於預期

增加持股 · 調升評等

目標價 (NT$)	7,800.00
收盤價 (NT$)	6,660.00
上漲空間	17.12%

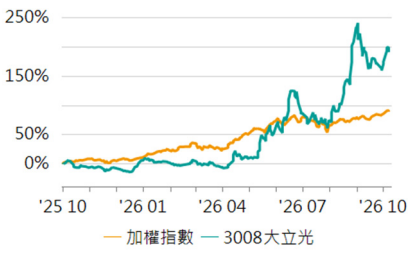
產品營收比重



交易資訊

市值 (NT$百萬元)	871,116
流通在外股數(百萬股)	131
董監持股 (%)	19.02
外資持股 (%)	24.16
投信持股 (%)	7.93
52 週高價	7,995.00
52 週低價	2,020.00
3M 平均成交量(百萬股)	2.40
融資使用率 (%)	14.77

個股與大盤走勢比較圖



資料來源：CMoney，玉山投顧

程靖翔
aaronchengkz-72011@esunsec.com.tw

投資評價與建議

預估大立光2026、2027、2028年稅後EPS為160.22、173.23、260.88元，參考CPO相關概念股本益比皆落在2028年稅後EPS的30~40倍以上，雖公司手機業務成長不如預期，考量2028年公司CPO相關業務營收佔比已可達約25%，評價上基於2028年稅後EPS，給予大立光30倍之本益比。

重點評論分析

手機業務面臨下修，且4Q26~2027年將持續受綠電成本影響：3Q26毛利率季減7.2ppts至42.21%，主因新機良率不佳及綠電成本影響，另因新機銷售不如預期，Apple自9月起下修訂單，預期11月營收將開始下滑，且1Q27推出的iPhone 18基礎款備貨仍難以彌補需求缺口；摺疊機iPhone Duo預計10月上市，2026年組裝量約600萬台，大立光為主要供應商，惟產品規格升級有限，此外，綠電採購成本尚無法於2027年產品報價反映，預期毛利率將承壓。

CPO業務擴展至完整FAU組裝，預計2H27量產並帶動長期轉型：公司憑藉精密對位及自動化能力，將業務由FA對位，擴展至自行製造FA後，透過外購PMLA等零組件，進行光學耦合及完整的FAU組裝，並積極爭取FAU與Carrier整合出貨，提升產品價值量，目前FA已通過客戶認證，FAU則預計10月進行認證，首條量產線將於2Q27底完成，公司近期取得土地及廠房亦主要規劃建立FAU產線與無塵室，長期擴產工程則預計2030年後完成，預估公司CPO業務於2027、2028年營收占比將達3%、24.5%，並於2029~2030年加速業務轉型。

投資風險

CPO進度或產品市占率不如預期。

主要財務數據及預估值

(單位:百萬元)	2023	2024	2025	2026	2027	2028
營業收入	48,842	59,458	61,148	60,325	67,468	90,934
營業毛利	23,794	31,209	30,837	27,741	30,600	45,705
毛利率(%)	48.74	52.49	50.43	45.99	45.36	50.26
營業利益	17,807	24,033	23,558	20,433	22,235	36,472
營益率(%)	36.46	40.42	38.53	33.87	32.96	40.11
稅前盈餘	22,102	32,174	25,900	25,692	28,138	42,375
稅後EPS(元)	134.13	194.17	159.41	160.22	173.23	260.88
每股股利(元)	67.50	97.50	80.00	80.11	86.62	130.44
營收成長率(%)	2.45	21.73	2.84	-1.35	11.84	34.78
盈餘成長率(%)	-20.57	45.57	-19.50	-0.80	9.52	50.59

公司簡介

大立光(3008)成立於1987年，為國內生產光學鏡頭及鏡片之領導廠商，主要業務業為各式光學鏡頭模組與光電零組件等產品之研究開發，產品包括智慧型手機鏡頭、3D結構光鏡頭、ToF、屏下光學指紋、平板電腦鏡頭、IP相機鏡頭、智慧型電視鏡頭、AR/VR鏡頭、穿戴式裝置鏡頭、汽車鏡頭及鏡片等光電零組件之設計、製造與加工；3Q26鏡頭出貨比重：20MP+ 10~20%，10MP 60~70%，8MP 0~10%，Others 20~30%，產品應用比重以手機佔90%最高，其次為筆電及平板。

營運概況

3Q26受新機良率差及綠電成本上升影響，毛利率低於預期：3Q26營收季增14.66%至156.68億元，不如預期，雖手機產品進入傳統出貨淡季，然因iPhone新機出貨時程改變，9月僅發表Pro系列產品，iPhone 18基礎款將延至1Q27發表，毛利率季減7.2ppts至42.21%，大幅低於預期，創1Q13以來新低表現，主因新機良率較差及綠電成本上升影響，營益率季減7.42ppts至30.25%，業外利益13.57億元，其中匯兌收益約1.97億元，稅後EPS 39.62元。

4Q26手機客戶下修，2027年毛利率將持續受綠電成本影響：手機業務方面，雖有Pro/Pro Max的可變光圈鏡頭貢獻，然9月起蘋果已因銷量不佳下修forecast，故公司預計11月營收將開始下滑，雖將於1Q27發表的iPhone 18基礎款鏡頭已於9月開始備貨，仍無法彌補9月起蘋果下修的數量。

蘋果首款摺疊機 iPhone Duo 將於 10 月上市，搭載四鏡頭系統，包括 48MP Fusion 主鏡頭（包含 2x 光學長焦效果）、48MP Fusion 超廣角鏡頭、12MP 前鏡頭，以及新增內螢幕下 Facetime 隱藏式鏡頭，2026 年摺疊機 EMS 組裝量約 600 萬台，大立光將佔據主要供應商地位，惟屏下鏡頭並非用於拍攝，規格不高，預期對於毛利率表現提升有限，另雖 2027 年手機主鏡頭規格將有升級，目前相關產品已進行送樣，然潛望式鏡頭下一次升級則自 2027 年遞延至 2028 年，此外，因綠電為結構性問題，公司已與客戶簽訂購買綠電協議，且 2027 年產品價格皆已談定，故毛利率將持續受到影響，欲反映綠電成本亦需待 2028 年。

CPO業務範圍優於預期，2027年中進入量產轉型：在CPO供應鏈中，因光引擎需將訊號透過光折射進行溝通，大立光具備多鏡片精準對位技術，有助於光線之精準對位，公司原先僅表示將鎖定FA（Fiber Array，光纖陣列）對位業務，本次法說則表示將跨入自行生產FAU，首先製作FA後，透過採購PMLA（稜鏡／微透鏡陣列）及其他光學零組件，執行精密光學耦合及組裝，交付完整FAU產品，此外，公司也計畫進一步拓展組裝製程，同時負責將FAU安裝至Carrier上，再透過Carrier與Receptacle（連接插座）進行連接及對位，而Carrier中的板子及珠子等零組件仍以外購為主，客戶原規劃FAU與Carrier分開供應，公司則爭取直接整合出貨，整體進展將使公司的產品價值量顯著提升，從原先的高精密光學零組件供應商，轉型為整合式光學互連模組供應商。

公司FA產品9月已通過客戶認證，試產線建立完成，客戶表示公司全自動化生產線為目前最好的，並將於10月進行FAU認證，公司2Q27底建置好第一條量產線，預計於2H27開始量產FAU，目前FA及FAU皆面臨緊缺，公司均將進行生產，FA單價上，因Fiber及V-groove等材料成本高，FA產品ASP亦將較手機產品高，然毛利率是否高於公司目前水平則需視量產後良率水準，公司於FA自動化產線的競爭優勢在於對位、生產速度及檢測能力，亦有利於提升良率及產出效率。

公司現預計量產的FAU方案為One Row設計，兩排的皆仍在POC中，四排以上設計則視客戶計算量發展速度，目前已有一位客戶朝量產階段推進，另包括多家客戶及CSP相關機會洽談中，多數新一代專案最快將於2028年進入量產，公司近期購入之土地及廠房皆以生產CPO相關產品為主，其中預計2027年開始擴建的廠房，需待2030年以後完成，目前規劃主要用於FAU相關生產線及無塵室建置，部分既有建物規劃拆除重建。

目前市場存在GC（Grating Coupler，光柵耦合器）、EC（Edge Coupler，邊緣耦合器）兩種耦合方式，而康寧的Glass Bridge主要針對EC耦合方式進行設計，惟現客戶設計多以GC佔大宗，公司預期即使未來EC方案成功運行，兩種市場仍將呈並進樣態，且未來三年將以GC市場為主，大立光目前仍持續朝GC方案發展，並將於2027年量產，另EC方案也開始與客戶共同開發中。

預估大立光於2027、2028年CPO相關業務營收佔比將分別達3%、25.2%，並於2029~2030年加速轉型，預估公司2026年營收年減1.35%至603.25億元，毛利率45.99%，稅後EPS 160.22元；2027年營收年增11.84%至674.68億元，毛利率45.36%，稅後EPS 173.23元；2028年營收年增34.78%至909.34億元，毛利率50.26%，稅後EPS 260.88元。

季度主要財務數據及預估值										
(單位:百萬元)	1Q26	2Q26	3Q26	4Q26	2026	1Q27	2Q27	3Q27	4Q27	2027
營業收入	15,544	13,665	15,651	15,465	60,325	16,174	14,884	17,985	18,425	67,468
營業毛利	7,680	6,753	6,607	6,703	27,741	7,199	6,676	8,156	8,569	30,600
毛利率(%)	49.41	49.42	42.21	43.34	45.99	44.51	44.85	45.35	46.51	45.36
營業利益	5,812	5,148	4,735	4,737	20,433	5,185	4,611	6,040	6,400	22,235
營益率(%)	37.39	37.67	30.25	30.63	33.87	32.06	30.98	33.58	34.74	32.96
稅前盈餘	7,288	6,099	6,092	6,213	25,692	6,660	6,087	7,516	7,876	28,138
稅後EPS(元)	46.63	35.70	39.62	38.25	160.22	41.00	37.47	46.27	48.49	173.23
營收成長率(%)	6.62	17.07	-11.46	-10.18	-1.35	4.05	8.92	14.91	19.14	11.84
盈餘成長率(%)	-5.55	240.05	-25.30	-24.56	-0.80	-8.61	-0.21	23.37	26.76	9.52

圖 1：營收趨勢 (單位：百萬元，%)

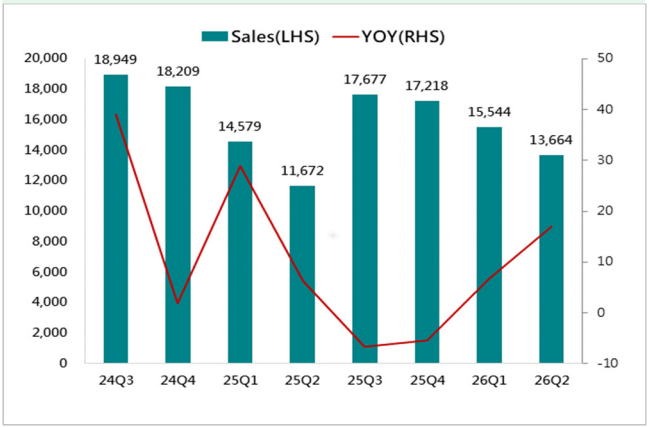


圖 2：毛利率、營益率、淨利率 (單位：百萬元，%)

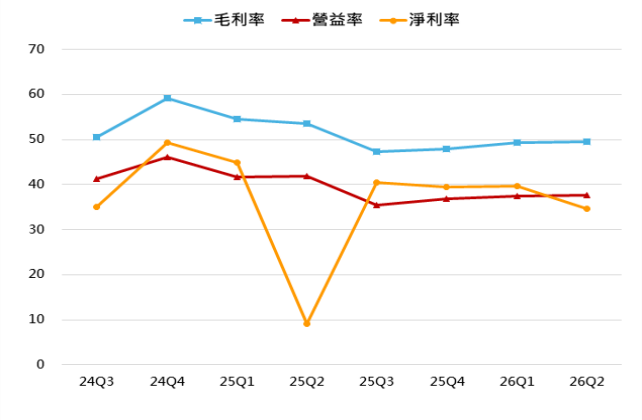


圖 3：經營能力 (單位：天)

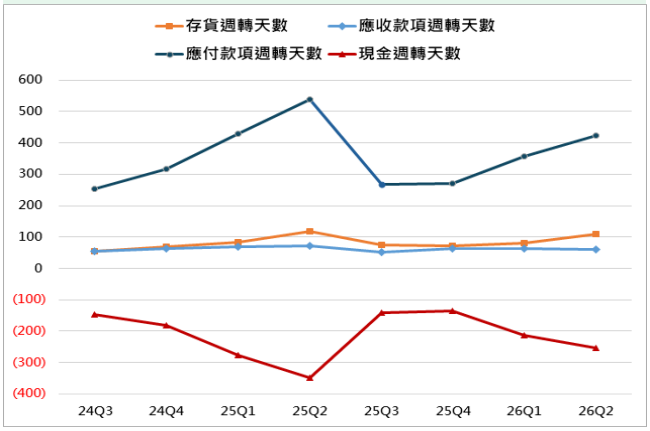


圖 4：自由現金流量 (單位：百萬元)

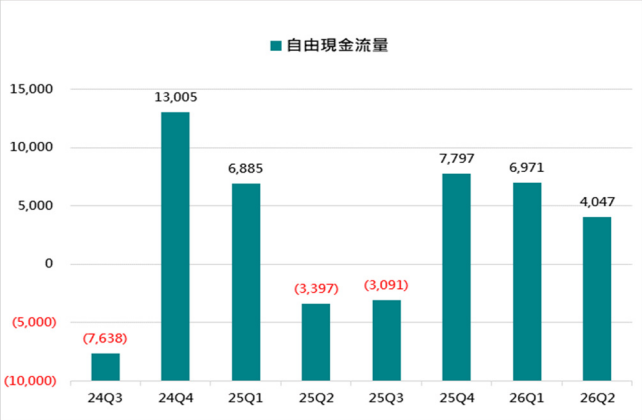


圖 5：本益比區間

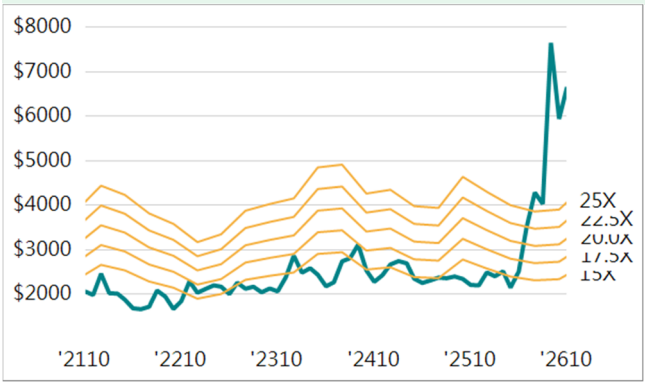
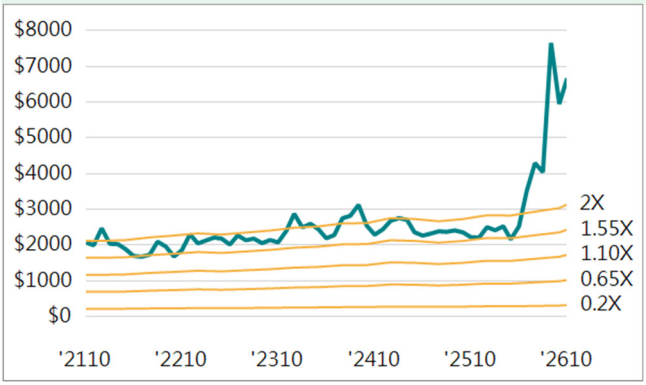


圖 6：股價淨值比



資料來源：CMoney，玉山投顧

玉山投顧
E.SUN Investment Consulting

年損益表				(單位：百萬元，%)
	2025	2026(F)	2027(F)	2028(F)
營業收入	61,148	60,325	67,468	90,934
營業成本	30,311	32,584	36,868	45,229
營業毛利	30,837	27,741	30,600	45,705
營業費用	7,279	7,308	8,365	9,233
營業利益	23,558	20,433	22,235	36,472
營業外收支淨額	2,342	5,259	5,903	5,903
稅前淨利	25,900	25,692	28,138	42,375
稅後淨利	21,275	21,232	23,355	35,171
普通股股本	1,335	1,335	1,335	1,335
每股盈餘(元)	159.41	160.22	173.23	260.88
年成長率				
營收	2.84	-1.35	11.84	34.78
營業利益	-1.97	-13.27	8.82	64.03
稅前淨利	-19.50	-0.80	9.52	50.59
母公司稅後淨利	-17.90	-0.20	10.00	50.59

資產負債表				(單位： 百萬元)
	2022	2023	2024	2025
流動資產	129,202	134,321	145,764	154,285
現金及約當現金	110,171	107,489	113,658	115,941
存貨	5,190	4,590	5,733	6,713
應收帳款及票據	8,050	10,091	10,360	10,461
其他流動資產	5,791	12,151	16,013	21,170
長期投資	1,814	4,915	12,459	8,516
固定資產	37,831	41,135	46,935	51,472
其他資產	16,123	14,766	11,368	6,514
資產總額	184,970	195,137	216,526	220,787
流動負債	29,387	29,517	30,578	29,748
應付帳款及票據	1,324	1,612	1,856	1,725
短期借款	18	0	203	0
什項負債	28,045	27,905	28,519	28,023
非流動負債	473	110	561	170
負債總額	29,861	29,627	31,139	29,919
普通股股本	1,334	1,334	1,334	1,334
資本公積	1,555	1,559	1,561	1,564
保留盈餘	152,651	160,871	175,969	185,818
股東權益總額	155,109	165,510	185,387	190,867

現金流量表				(單位：百萬元)
	2022	2023	2024	2025
稅前淨利	27,826	22,101	32,174	25,900
折舊及攤提費用	5,118	5,421	6,229	7,732
本期營運資金變動	3,550	-1,372	151	-606
其他項目	7,711	-7,952	-6,977	-6,945
營運活動之現金流量	44,207	18,198	31,578	26,080
資本支出	-8,256	-8,236	-11,132	-12,339
本期長期投資變動	-87	-510	0	0
其他項目	-1,448	-2,403	-4,933	3,104
投資活動之現金流量	-9,792	-11,151	-16,066	-9,235
短期借款及票券變動	18	-18	212	-212
舉措/償還長期借款	0	0	0	0
發行/償還公司債	0	0	0	0
現金增資	0	0	0	0
發行現金股利	-14,635	-9,676	-10,810	-11,411
其他項目	-55	-56	-165	-1,834
融資活動之現金流量	-14,672	-9,750	-10,763	-13,457
匯率影響數	1,280	20	1,419	-1,103
本期現金流量	21,022	-2,681	6,168	2,283
期末現金及約當現金	110,171	107,489	113,658	115,941

重要財務比率				(單位：%)
	2025	2026(F)	2027(F)	2028(F)
毛利率	50.43	45.99	45.36	50.26
營業利益率	38.53	33.87	32.96	40.11
稅前淨利率	42.36	42.59	41.71	46.60
稅後淨利率	34.79	35.20	34.62	38.68
現金股利殖利率	3.28	1.20	1.30	1.96

玉山證券投資顧問股份有限公司 (以下簡稱「玉山投顧」) 為玉山金融事業群之成員。

研究報告可自本公司網站(www.esunconsulting.com.tw)取閱。

投資評等說明

買進：未來六個月內潛在漲幅 30%以上。

增加持股：未來六個月內潛在漲幅 15~30%(含)。

中立：未來六個月內漲跌幅-15~15%(含)。

降低持股：未來六個月內潛在跌幅 15%以上。

未評等：無。

研究人員聲明

研究人員聲明無任何其個人報酬來自於本研究報告的建議或觀點。

免責聲明

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本資料各項內容之各項權利及智慧財產權 (包括但不限於著作權、專利權、商標權等) 均屬玉山投顧所有。除非獲得玉山投顧事前書面同意外，均不得擅自以任何形式複製、重製、修改、發行、上傳、張貼、傳送、散佈、公開傳播、販售或其他非法使用本資料。除非有明確表示，本資料之提供並無明示或暗示授權 貴方任何著作權、專利權、商標權、商業機密或任何其他智慧財產權。

個股報告

2026 年 10 月 12 日

研究員：陳執中 tc.chen@capital.com.tw

前日收盤價	79.30 元
目標價	
3 個月	93.00 元
12 個月	93.00 元

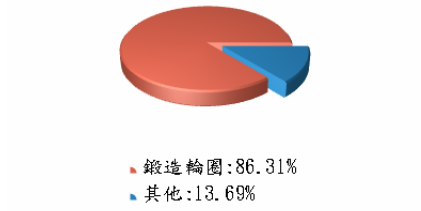
近期報告日期、評等及前日股價

08/11/2026	Trading Buy	56.50
04/09/2026	Trading Buy	41.50
03/31/2026	Buy	44.20
03/04/2026	Trading Buy	44.85
05/14/2025	Trading Buy	62.60

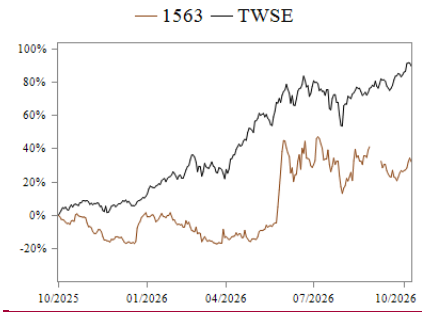
公司基本資訊

目前股本(百萬元)	1,692
市值(億元)	134
目前每股淨值(元)	48.94
外資持股比(%)	4.73
投信持股比(%)	0.00
董監持股比(%)	6.90
融資餘額(張)	2,489
現金股息配發率(%)	140.85

產品組合



股價相對大盤走勢



巧新(1563 TT)　Buy

2H26、2027 年營運展望向上，投資建議 Buy。

投資建議 Buy：巧新(1563 TT)努力進行轉型，半導體新事業 2H26 逐漸取得進展，且公司穩定配發現金股利。考量 2H26 營運動能向上，2026 年獲利表現回升且 2027 年獲利能力續揚，投資建議 Buy，目標價 93 元(以 2027 年 EPS 及 PE 16 倍評價)。

09/2026 營收表現優於預期；預估 2H26 獲利動能向上：09/2026 營收 8.16 億元，MoM+48.45%、YoY+39.69%，營收表現創新高且優於預期。09/2026 營收大幅增長，主要是受惠於 3Q 歐美車廠例行性暑休結束，主要客戶(歐美超跑、豪華車品牌客戶)陸續恢復正常生產，帶動需求回溫。3Q26 營收 20.16 億元，QoQ+1.83%、YoY+18.48%。而半導體前段設備(CVD/PVD、蝕刻)腔體相關零組件，已完成國際客戶認證並進入試量產階段。2H26 方面，以車廠預示量來看，營收有望較 1H26 增長。由於再生鋁採用率於 2Q26 中下旬大幅提升，實質貢獻營收將落於 3Q26 末~4Q26，將帶動 2H26 毛利率增長。業外則有機會回沖匯兌損失。整體來看，2H26 獲利動能向上。

預估 2026 年獲利表現回升，2027 年獲利能力續揚：2026 年方面，輪圈出貨小幅提升，而半導體相關零組件預計自 2H26 開始貢獻營收。預估 2026 年營收 81.60 億元，YoY+16.95%。隨著再生鋁採用率提升且營收規模增長，毛利率有望逐季提升，預估 2026 年毛利率提升至 24.96%，營業利益 YoY+63.23%。若業外較無匯兌損失影響，預估稅後純益 6.34 億元，YoY+99.28%，以股本 16.92 億元計算，EPS 3.75 元。2027 年方面，根據車廠預示量，鋁圈出貨量將由 2026 年的 60 萬顆以上，提升至 70 萬顆以上，有助於帶動車用產品營收增長。而半導體營收占比有機會提升至 5~10%，將提供額外營收動能。因再生鋁採用比重提升，且半導體產品毛利率相對較高，2027 年毛利率及獲利能力有望優於 2026 年。預估 2027 年營收 96.51 億元，YoY+18.27%，稅後純益 9.80 億元，YoY+54.48%，EPS 5.79 元。

(百萬元)	2026F	2027F	2028F	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F
營業收入淨額	8,160	9,651	11,489	1,702	1,643	1,872	1,980	2,016	2,292	2,079	2,354	2,412
營業毛利淨額	2,037	2,571	3,055	299	301	412	482	512	631	535	621	635
營業利益	919	1,353	1,669	67	54	163	195	228	333	257	318	327
稅後純益	634	980	1,232	43	-14	131	71	189	243	179	228	235
稅後 EPS(元)	3.75	5.79	7.28	0.25	-0.08	0.77	0.42	1.12	1.43	1.06	1.35	1.39
毛利率(%)	24.96%	26.64%	26.59%	17.55%	18.31%	22.01%	24.32%	25.39%	27.54%	25.71%	26.40%	26.33%
營業利益率(%)	11.27%	14.02%	14.52%	3.92%	3.31%	8.72%	9.83%	11.32%	14.54%	12.35%	13.50%	13.55%
稅後純益率(%)	7.77%	10.15%	10.72%	2.52%	-0.84%	6.98%	3.60%	9.39%	10.59%	8.62%	9.68%	9.75%
營業收入 YoY/QoQ(%)	16.95%	18.27%	19.05%	-0.77%	-3.47%	13.96%	5.76%	1.83%	13.70%	-9.30%	13.20%	2.50%
稅後純益 YoY/QoQ(%)	99.28%	54.48%	25.78%	N.A	N.A	N.A	-45.53%	166.01%	28.20%	-26.22%	27.24%	3.14%

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 16.92 億元計算。

巧新(1563 TT) ESG：

Environmental 環境保護：(1)鋁下腳料 100%回收，製成再生鋁棒，持續循環再利用。(2)導入各式節能設備具體節能，已降低溫室氣體排放量。(3)屏東廠自建太陽能光電。Social 社會責任：(1)獲得 ASI(鋁業管理倡議)績效標準認證。(2)定期進行人權盡職調查與評估，流程和政策涵蓋重要的人權問題，保障員工和活動參與者的安全。(3)響應地方政府公益活動。Governance 公司治理：(1)風險管理依公司程序辦理，內控嚴謹，並設有專職稽核部門定期查核。(2)將誠信經營納入新人教育訓練課程與人力資源政策中，設立明確有效之獎懲及申訴機制。(3)每年定期發布 ESG 報告書。

Forward PE Band

資料來源：CMoney，群益預估彙整

Forward PB Band

資料來源：CMoney，群益預估彙整

資產負債表

(百萬元)	2024	2025	2026F	2027F	2028F
資產總計	17,520	18,223	18,888	19,492	20,568
流動資產	9,330	10,437	11,037	11,564	12,547
現金及約當現金	2,153	3,213	2,996	3,343	3,519
應收帳款與票據	1,055	762	1,071	1,150	1,306
存貨	5,994	6,307	6,108	6,305	6,634
採權益法之投資	--	--	0	0	0
不動產、廠房設備	7,819	7,385	7,450	7,515	7,580
負債總計	**7,704**	**9,443**	**9,937**	**9,984**	**10,335**
流動負債	3,417	4,564	5,182	4,921	5,455
應付帳款及票據	449	462	495	533	668
非流動負債	4,287	4,879	4,722	4,991	4,674
權益總計	9,815	8,779	8,952	9,508	10,233
普通股股本	**2,378**	**2,308**	**1,692**	**1,692**	**1,692**
保留盈餘	4,981	4,556	4,729	5,285	6,010
母公司業主權益	9,815	8,734	8,906	9,463	10,187
負債及權益總計	**17,520**	**18,223**	**18,888**	**19,492**	**20,568**

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	7,474	6,977	8,160	9,651	11,489
營業成本	5,470	5,493	6,123	7,079	8,434
營業毛利淨額	2,004	1,484	2,037	2,571	3,055
營業費用	1,026	921	1,117	1,218	1,386
營業利益	978	563	919	1,353	1,669
EBITDA	2,008	1,377	1,649	2,089	2,412
業外收入及支出	-34	-168	-127	-129	-129
稅前純益	944	395	792	1,224	1,540
所得稅	188	77	158	245	308
稅後純益	755	318	634	980	1,232
稅後 EPS(元)	4.47	1.88	3.75	5.79	7.28
完全稀釋 EPS**	4.47	1.88	3.75	5.79	7.28

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 16.92【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 16.92 億元計算

現金流量表

(百萬元)	2024	2025	2026F	2027F	2028F
營業活動現金	1,869	1,093	1,450	1,648	2,139
稅前純益	944	395	792	1,224	1,540
折舊及攤銷	917	849	857	864	872
營運資金變動	192	-6	-78	-236	-351
其他營運現金	-183	-145	-121	-204	78
投資活動現金	-503	-364	-661	-672	-688
資本支出淨額	-465	-335	-650	-650	-650
長期投資變動	-38	-7	-10	-10	-10
其他投資現金	0	-21	-1	-12	-28
籌資活動現金	-449	337	-1,005	-629	-1,275
長借/公司債變動	-1,845	528	-157	269	-317
現金增資	1,717	0	0	0	0
發放現金股利	-429	-504	-462	-423	-508
其他籌資現金	108	313	-387	-475	-450
淨現金流量	916	1,059	-216	347	176
期初現金	1,237	2,153	3,213	2,996	3,343
期末現金	2,153	3,213	2,996	3,343	3,519

比率分析

(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	-3.93%	-6.64%	16.95%	18.27%	19.05%
營業毛利淨額	15.53%	-25.93%	37.23%	26.25%	18.81%
營業利益	29.54%	-42.41%	63.23%	47.18%	23.33%
稅後純益	24.17%	-57.88%	99.28%	54.48%	25.78%
獲利能力分析(%)					
毛利率	26.81%	21.27%	24.96%	26.64%	26.59%
EBITDA(%)	26.87%	19.73%	20.21%	21.64%	20.99%
營益率	13.08%	8.07%	11.27%	14.02%	14.52%
稅後純益率	10.11%	4.56%	7.77%	10.15%	10.72%
總資產報酬率	4.31%	1.75%	3.36%	5.03%	5.99%
股東權益報酬率	7.70%	3.62%	7.08%	10.30%	12.04%
償債能力檢視					
負債比率(%)	43.97%	51.82%	52.61%	51.22%	50.25%
負債/淨值比(%)	78.49%	107.57%	111.00%	105.00%	101.00%
流動比率(%)	273.06%	228.66%	213.00%	235.00%	230.00%
其他比率分析					
存貨天數	408.22	408.67	370.00	320.00	280.00
應收帳款天數	50.71	47.53	41.00	42.00	39.00

資料來源：CMoney、群益

季度損益表

(百萬元)	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
營業收入淨額	1,715	1,702	1,643	1,872	1,980	2,016	2,292	2,079	2,354	2,412	2,806	2,522
營業成本	1,375	1,403	1,342	1,460	1,498	1,504	1,661	1,545	1,732	1,777	2,025	1,877
營業毛利淨額	340	299	301	412	482	512	631	535	621	635	780	645
營業費用	196	232	246	249	287	284	298	278	304	308	329	317
營業利益	143	67	54	163	195	228	333	257	318	327	452	328
業外收入及支出	-229	-13	-70	0	-106	9	-30	-33	-33	-33	-30	-33
稅前純益	-86	54	-16	163	88	237	303	224	285	294	422	296
所得稅	-21	11	-2	33	17	47	61	45	57	59	84	59
稅後純益	-65	43	-14	131	71	189	243	179	228	235	337	236
最新股本	1,692	1,692	1,692	1,692	1,692	1,692	1,692	1,692	1,692	1,692	1,692	1,692
稅後EPS(元)	-0.38	0.25	-0.08	0.77	0.42	1.12	1.43	1.06	1.35	1.39	1.99	1.40
獲利能力(%)												
毛利率(%)	19.80%	17.55%	18.31%	22.01%	24.32%	25.39%	27.54%	25.71%	26.40%	26.33%	27.81%	25.58%
營業利益率(%)	8.35%	3.92%	3.31%	8.72%	9.83%	11.32%	14.54%	12.35%	13.50%	13.55%	16.10%	13.02%
稅後純益率(%)	-3.79%	2.52%	-0.84%	6.98%	3.60%	9.39%	10.59%	8.62%	9.68%	9.75%	12.03%	9.37%
QoQ(%)												
營業收入淨額	-10.60%	-0.77%	-3.47%	13.96%	5.76%	1.83%	13.70%	-9.30%	13.20%	2.50%	16.30%	-10.10%
營業利益	-52.13%	-53.46%	-18.38%	200.00%	19.28%	17.23%	46.14%	-22.97%	23.75%	2.82%	38.21%	-27.27%
稅前純益	N.A	N.A	N.A	N.A	-45.88%	167.59%	28.20%	-26.22%	27.24%	3.15%	43.51%	-29.92%
稅後純益	N.A	N.A	N.A	N.A	-45.53%	166.01%	28.20%	-26.22%	27.24%	3.14%	43.51%	-29.92%
YoY(%)												
營業收入淨額	-8.46%	-0.95%	-14.80%	-2.41%	15.45%	18.48%	39.55%	11.07%	18.88%	19.66%	22.39%	21.31%
營業利益	-44.45%	-60.18%	-80.63%	-45.44%	35.95%	242.39%	513.03%	57.41%	63.31%	43.24%	35.47%	27.90%
稅前純益	N.A	-77.15%	N.A	-63.06%	N.A	338.52%	N.A	36.97%	222.05%	24.14%	38.96%	32.00%
稅後純益	N.A	-77.35%	N.A	-63.08%	N.A	342.43%	N.A	37.05%	220.15%	24.14%	38.96%	32.00%

註1：稅後EPS以股本16.92億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

2026 年 10 月 12 日

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌。

【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

個股報告

2026 年 10 月 12 日

研究員：薛雅月 rita.hsueh@capital.com.tw

前日收盤價	232.50 元
目標價	
3 個月	250 元
12 個月	250 元

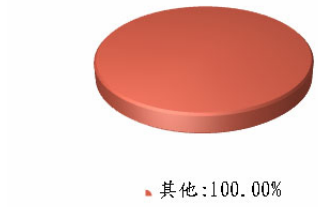
近期報告日期、評等及前日股價

04/27/2026	Buy	201.50
03/02/2026	Buy	197.00
05/13/2025	Trading Buy	217.50
04/28/2025	Neutral	212.00

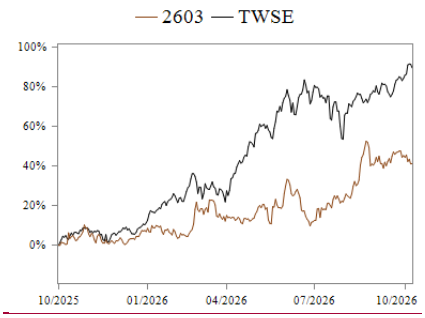
公司基本資訊

目前股本(百萬元)	21,650
市值(億元)	5,034
目前每股淨值(元)	259.10
外資持股比(%)	25.69
投信持股比(%)	18.66
董監持股比(%)	2.73
融資餘額(張)	10,581
現金股息配發率(%)	50.51

產品組合



股價相對大盤走勢



長榮(2603 TT)　Neutral

需求進入淡季及紅海復航不利運價走勢，投資建議為 Neutral。

投資建議：考量需求進入淡季、航商陸續復航紅海等因素影響下，遠洋線運價面臨修正壓力，投資建議為 Neutral。

4Q26 進入需求淡季，遠洋線運價面臨修正壓力：3Q26 以來遠洋線走勢呈現分化。受惠中國十一長假前的拉貨需求，颱風因素導致港口作業效率降低，加上巴拿馬運河限制通行船舶艘數、船舶周轉率下滑等因素疊加影響之下，支撐美國線運價持續走高；歐洲線運價走勢相對疲弱，主因需求逐漸進入旺季尾聲，加上部分航線復航紅海、潛在運力增加所致。展望後市，隨航商陸續復航紅海，市場潛在運力增加(2024 年以來紅海繞道導致市場潛在運力減少約 5%~7%)，歐洲線後續走勢恐持續承壓。美東線方面，巴拿馬運河先前受到降雨不足影響而緊縮通航條件，10/15/2026 開始每日通航預約名額放寬至 33 艘(正常為 36 艘)，通航條件改善後，將進一步減弱對美東線運價的支撐力道。

預估 2026 年稅後 EPS 43.65 元：1Q26 因市場預期航商將復航蘇伊士運河，遠洋線運價走勢承壓，長榮單季稅後獲利 83.04 億元，YoY-69.65%，稅後 EPS 3.84 元。2Q26 因政治地緣因素影響供應鏈不穩，增加貨主出貨意願，旺季需求提前於 05/2026 展開，加上燃油成本處於相對高檔，航商穩價意願將逐趨積極，帶動遠洋線運價逐步走高，長榮單季稅後獲利 160.34 億元，稅後 EPS 7.41 元。3Q26 為傳統需求旺季，適逢氣候異常導致亞洲港口塞港、以及巴拿馬運河限航等因素疊加影響下，支撐美國線運價持續走高，預估單季稅後獲利 481.04 億元，稅後 EPS 22.22 元。亞洲線 4Q26 進入需求旺季，價量有望齊揚，而遠洋線進入需求淡季，歐洲及美國線運價走勢將面臨修正。預估單季稅後獲利 220.68 億元，稅後 EPS 10.19 元。綜上所述，預估長榮 2026 年稅後獲利 945.1 億元，YoY+37.81%，稅後 EPS 43.65 元。展望 2027 年，隨市場新船下水壓力增加，以及紅海復航機率提高之下恐增加潛在運力，運價走勢恐再度承壓。預估長榮 2027 年稅後獲利 480.39 億元，稅後 EPS 22.19 元。

(百萬元)	2026F	2027F	2028F	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F
營業收入淨額	455,420	402,691	390,129	96,921	85,694	86,511	105,161	146,776	116,971	92,446	99,002	110,987
營業毛利淨額	138,404	85,239	72,423	25,345	15,356	13,390	23,981	65,523	35,511	13,336	19,416	31,236
營業利益	116,893	61,934	49,951	22,031	8,328	8,948	19,358	60,679	27,908	8,529	14,466	25,909
稅後純益	94,510	48,039	38,325	21,746	8,518	8,304	16,034	48,104	22,068	6,494	11,192	20,274
稅後 EPS(元)	43.65	22.19	17.70	10.04	3.93	3.84	7.41	22.22	10.19	3.00	5.17	9.36
毛利率(%)	30.39%	21.17%	18.56%	26.15%	17.92%	15.48%	22.80%	44.64%	30.36%	14.43%	19.61%	28.14%
營業利益率(%)	25.67%	15.38%	12.80%	22.73%	9.72%	10.34%	18.41%	41.34%	23.86%	9.23%	14.61%	23.34%
稅後純益率(%)	20.75%	11.93%	9.82%	22.44%	9.94%	9.60%	15.25%	32.77%	18.87%	7.02%	11.30%	18.27%
營業收入 YoY/QoQ(%)	20.14%	-11.58%	-3.12%	12.07%	-11.58%	0.95%	21.56%	39.57%	-20.31%	-20.97%	7.09%	12.11%
稅後純益 YoY/QoQ(%)	37.81%	-49.17%	-20.22%	98.46%	-60.83%	-2.52%	93.10%	200.01%	-54.12%	-70.57%	72.34%	81.15%

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 216.50 億元計算。

公司 ESG 政策：

(一)企業對於因應氣候變遷或溫室氣體管理之策略

本公司遵守各項國際安全及環保公約，致力於船舶各項管理，以減少海洋、空氣及陸地的污染，在 目前的 CO2 排放量中，絕大部分與船舶營運有關，其次為供應鏈相關之活動，次為營運據點所產生 的排放，因此對於首重的船舶營運方面，本公司善加利用目前已知的各種減少 CO2 排放量方案，以使航行中船舶對大自然污染之影響降低到一個相當可觀的程度。 1.本公司為履行對環境保護的承諾，經由追蹤和分析船舶能源消耗，以提高能源效率並達達節能減 碳之目的。本公司同時採用最新式的船舶氣象導航系統，即時提供最安全及最省油料之航路給個別 屬輪參考，期能以最少的油耗，達成最佳節能效率。每艘船舶皆配備有船級協會認可之船舶載重穩 定度運算系統，可快速地計算出在任何載重情形下最佳的俯仰差(trim)、吃水(draft)、配重及船 身應力分布狀況，確保在安全無虞的情形之下達到最佳推進效率。 2.此外，船上之燃油消耗量、航程資訊、油艙、水艙存量及貨物裝載狀況等，皆透過海事通訊衛星 每日回傳到辦公室進行分析，並要求船隊減少裝載無謂的壓艙水，以減輕裝載重量，減少船舶推進 之油耗，提升能源效率。 3.本公司積極投入氣候變遷相關外部活動與研究計畫，如「太平洋溫室效應氣體觀測計畫(Pacific Greenhouse Gases Measurement Project, PGGM)」於特定船上安裝空氣監測儀器，蒐集航程 海面及低空氣體資料，運用於全球暖化與氣候變遷相關科學研究。 4.本公司積極參與國際環保平台，推展節能減碳及環保作業，如： (1)船舶環境指數 ESI (Environmental Ship Index)由國際港口協會（International Association of Ports and Harbors，IAPH）下屬的世界港口氣候計畫（World Ports Climate Initiative，WPCI）開發。ESI 項目已經在歐洲、美國、亞洲若干個主要港口實施，進 行發動機、燃料和技術改進來降低船舶排放，使之低於國際海事組（International Maritime Organization，IMO）設定的監管環境標準。 (2)受到歐盟組織之歐洲區域發展基金支持的清潔航運指數 CSI（CLEAN SHIPPING INDEX）為貨主 提供了評估船舶環保績效的平台。清潔航運指數設計了五個不同的領域，分別為硫化物 SOx 和懸浮 粒子 PM 排放量，氮氧化物 NOx 排放量，二氧化碳 CO2 排放量，船舶使用的化學品，船舶產生的廢水及 垃圾控制。(3)清潔貨物工作小組 Clean Cargo，根據國際海事組織(IMO)指導和碳排放燃料的內容，來計算船 舶二氧化碳排放資料，創建實用工具來測量和減少環境影響的全球貨物運輸。目的是推進各種模式 運輸供應鏈的可持續發展，降低運輸供應鏈對環境的衝擊，提高社會及環境保護意識。 除此之外，本公司的具體行動還包括斥資興建船員訓練中心，引進最新設備與各項訓練課程，確保 我們的海勤人員日後操縱最進步、最安全及最環保的船舶，順利往返於各大洲之間。長榮船訓中心 也已獲得多項國際認證機構頒發合格證書。另，針對屆齡退役的船舶，本公司也以最為審慎的態度 處理，要求及監督拆船廠以最嚴謹的環保標準，進行後續船體拆解工作。 在陸上營運方面，本公司也採取了:1.內陸櫃場減少空櫃滯留天數 2.減少櫃場內空櫃搬移頻率 3.減少非必要修洗櫃作業 4.大樓採綠建築外牆、換置節能電梯、機械停車、環保冷媒及 LED 照明設備 5.進行節能宣導教育，養成隨手關燈、關閉電源及走樓梯之習慣等相關節能減碳措施。 對於供應商部分，本公司透過評估方式，將供應商在溫室氣體盤查及減量之作為，做為供應商評量指標之一。

(二)企業溫室氣體排放量減量目標

提供優質的服務將貨物安全，準時送抵目的港並兼顧環保、節能、減少溫室氣體排放，一直以來是 長榮海運所堅持的原則和努力的目標。長榮船隊自 2007 年以來，透過各種營運管理的措施、減排策 略、優化船舶設計降低船舶能源消耗，和不斷引進新一代的環保船，減低汙染和溫室氣體排放，以 期為地球的環保貢獻一份心力。 根據 IMO 統計，海運業所排放的二氧化碳，約占全球主要溫室氣體排放量的 2.7%。如果未加以控 制，很可能於 2050 達到成長 15%的比率。為發展綠色航運順應世界趨勢，長榮海運設定二氧化碳減 排目標，以 2008 年為基準，計畫於 2030 年將二氧化碳排放率降低 50%。並期望在 2050 年以前達成碳 中和的目標，作為長榮海運應對全球氣候變化的核心價值。長榮海運歷年船舶燃油消耗、溫室氣體 排放及持續節能減碳之作為，已顯現於逐年下降的船舶燃油消耗率，船隊之二氧化碳排放率亦持續 下降。本公司溫室氣體盤查採營運控制權法定義，亦取得 GHG Protocol 暨 ISO 14064-1:2018 雙 認證。

(三)企業溫室氣體排放量減量之預算與計畫

營運船舶的能耗、能效和 CO2 排放受到多種因素影響，為了滿足國際、國內的相關要求，同時也考 慮降低成本、持續發展的需要，必須用系統的方法進行船舶能效管理，更經濟、更有效地提高船舶 能效、減少 CO2 排放，最有效的途徑是建立船舶能效管理系統，將能效管理納入公司整體的管理系 統中予以實施。 1.船舶能源效率管理計畫(Ship Energy Efficiency Management Plan (SEEMP): 本公司依據國際海事組織(IMO)之船舶能源效率管理計畫制定導則，並依據“船舶能效設計指數”（EEDI）對現行船及新造船訂定有效的能源效率管理制度。公司通過員工訓練確保所有從事船舶能 效管理具備節能減碳及預防海洋環境污染的公司環保文化，並制定 SEEMP PART II 執行燃油消耗的 監測，符合 IMO 法規要求。公司通過員工訓練確保有關工作的人員具備監測和報告船舶在海上航行 以及在泊位時，燃料燃燒產生的二氧化碳排放。其產生之年度排放報告，經第三方查核者認證滿意 後，提交給國際海事組織。 2.將停靠港口順序合理化，可降低主機出力功率，減少燃料消耗，加上採行船舶減速，可藉由封閉 1 部渦輪增壓機使主機出力減少三分之一，大幅降低同樣航程之二氧化碳排放率。所有自有船隊包括 租船皆配置氣象導航服務系統，讓船長可以選擇最短且安全之海上航路，避開惡劣天候及減少不必 要之船舶阻力。同時，海勤人員也會主動關閉不必要的照明及幫浦，降低船上發電機的耗油，減少 二氧化碳排放。 船上之燃油消耗量、航程資訊、油艙、水艙存量及貨物裝載狀況等，皆透過海事通訊衛星每日回傳 到辦公室進行分析，並要求船隊儘量減少無謂的壓艙水，以減輕裝載重量，減少船舶推進之油耗， 提升能源效率。3.此外，本公司採取以下方式以降低二氧化碳排放率，包括:(1)船舶汰舊換新。 (2)全程監控船舶燃油消耗及主機操作狀況，確保主機推進效能。 (3)運用氣象導航，提供船隊即時天候資訊以選擇最佳航路，發揮燃油最大效能。 (4)提升貨物裝卸效率，縮短船舶滯港時間。 (5)妥善規劃船舶貨物裝載量，以達最大經濟效益。 (6)船體換用特殊防污漆。 (7)降低船速以慢速航行。

4Q26 進入需求淡季，遠洋線運價面臨修正壓力：

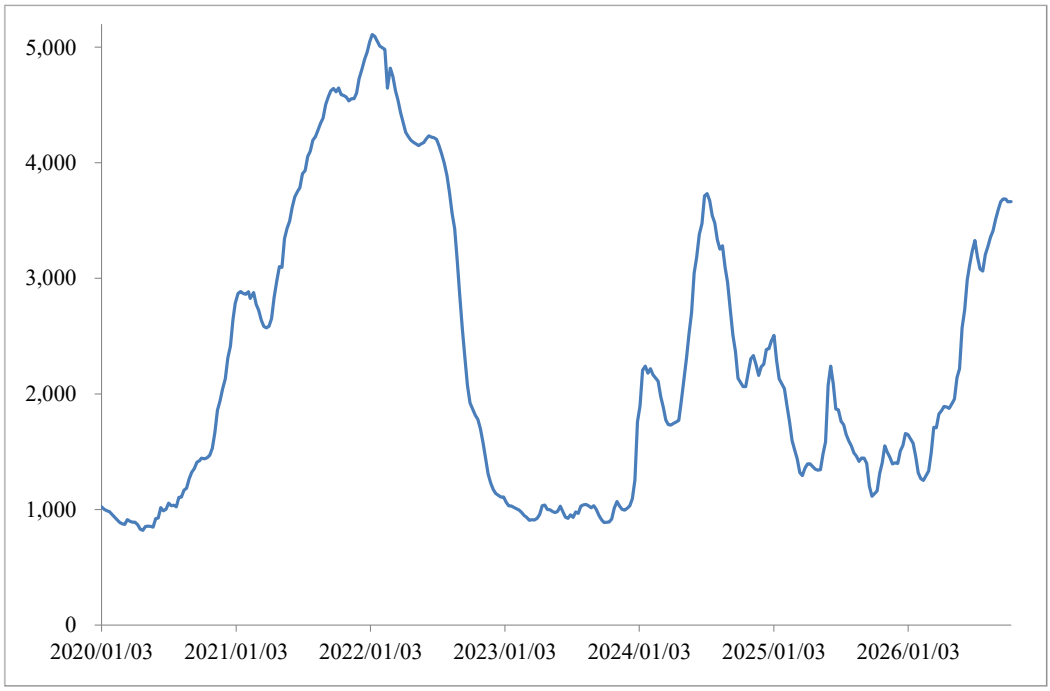
3Q26 以來遠洋線走勢呈現分化。受惠中國十一長假前的拉貨需求，颱風因素導致港口作業效率降低，加上巴拿馬運河限制通行船舶艘數、船舶周轉率下滑等因素疊加影響之下，支撐美國線運價持續走高；歐洲線運價走勢相對疲弱，主因需求逐漸進入旺季尾聲，加上部分航線復航紅海、潛在運力增加所致。

展望後市，近期各聯盟已開始評估通行蘇伊世運河的可能性，隨航商陸續復航紅海，市場潛在運力增加(2024 年以來紅海繞道導致市場潛在運力減少約 5%~7%)，歐洲線後續走勢恐持續承壓。

美東線方面，巴拿馬運河先前受到降雨不足影響而緊縮通航條件，10/15/2026 開始每日通航預約名額放寬至 33 艘(正常為 36 艘)，通行等候天數增加進而降低美東線船舶周轉率，通航條件改善後，將進一步減弱對美東線運價的支撐力道；近期航商透過減少航次的方式調節運力，顯示短期內運價已缺乏續漲動能。

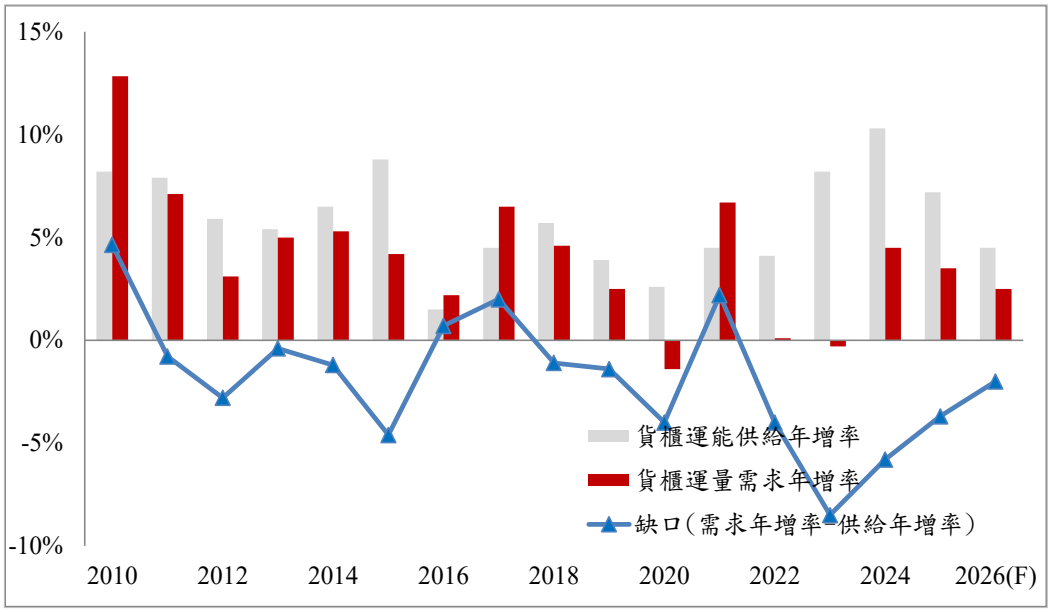
產業供需方面，根據國際研究機構預測，2026 年貨櫃海運市場運力供給 YoY 將由 2025 年的 7.2%下滑至 4.5%(圖二)，需求 YoY 則由 2025 年的 3.5%下滑至 2.5%，供過於求幅度較 2025 年舒緩，加上戰爭及氣候因素增加港口運作的不確定性，進而對運價造成助漲效應。2027 年市新船運力增速將增至 8%以上，對應 3%~4%的需求成長率而言，供給過剩壓力將再度浮現。

圖一、SCFI 指數



資料來源：群益投顧彙整

圖二、貨櫃海運市場供需 YoY



資料來源：群益投顧彙整

公司船隊脫硫器比重高，具有燃油成本優勢：

長榮 01~08/2026 成本結構中，燃油成本比重約 23%。觀察新加坡高硫油走勢，戰爭前約 400~450 美元/噸，戰爭後一度上漲至 1,073 美元/噸，近期則來到近 800~810 美元/噸。此外，近期高低硫油價差約 100 美元/噸，公司目前約有八成以上船舶安裝脫硫器，高硫油比重為業界最高，燃油成本優勢有望高於同業。

預估 2026 年稅後 EPS 43.65 元：

1Q26 因市場預期航商將復航蘇伊士運河，遠洋線運價走勢承壓，長榮單季稅後獲利 83.04 億元，YoY-69.65%，稅後 EPS 3.84 元。

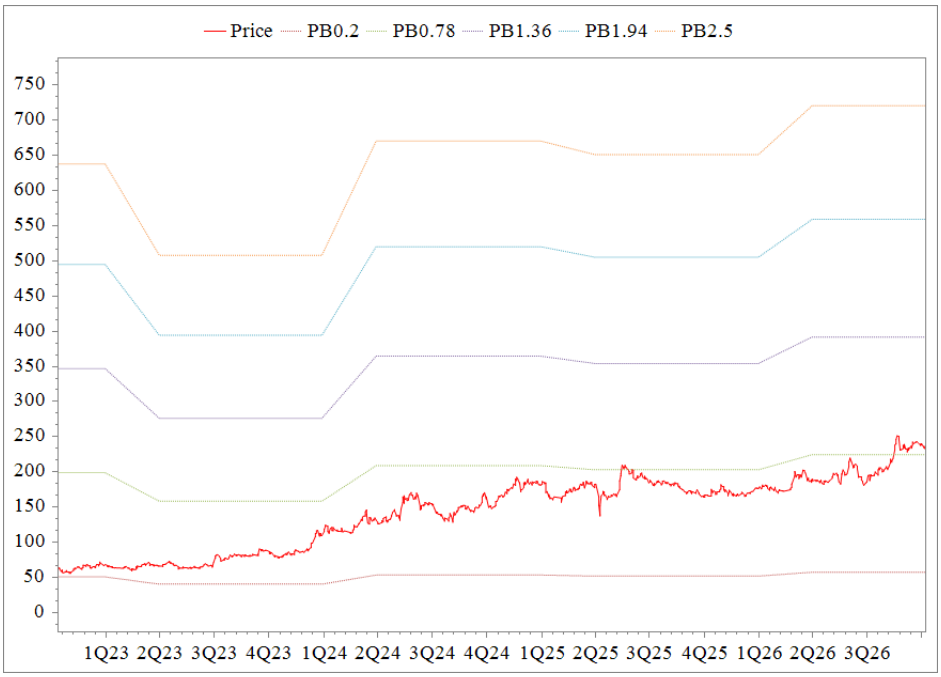
2Q26 因政治地緣因素影響供應鏈不穩，增加貨主出貨意願，旺季需求提前於 05/2026 展開，加上燃油成本處於相對高檔，航商穩價意願將逐趨積極，帶動遠洋線運價逐步走高，長榮單季稅後獲利 160.34 億元，稅後 EPS 7.41 元。

3Q26 為傳統需求旺季，適逢氣候異常導致亞洲港口塞港、以及巴拿馬運河限航等因素疊加影響下，支撐美國線運價持續走高，預估單季稅後獲利 481.04 億元，稅後 EPS 22.22 元。

亞洲線 4Q26 進入需求旺季，價量有望齊揚，而遠洋線進入需求淡季，歐洲及美國線運價走勢將面臨修正。預估單季稅後獲利 220.68 億元，稅後 EPS 10.19 元。

綜上所述，預估長榮 2026 年稅後獲利 945.1 億元，YoY+37.81%，稅後 EPS 43.65 元。展望 2027 年，隨市場新船下水壓力增加，以及紅海復航機率提高之下恐增加潛在運力，運價走勢恐再度承壓。預估長榮 2027 年稅後獲利 480.39 億元，稅後 EPS 22.19 元。

Forward PB Band



資料來源：CMoney，群益預估彙整

資產負債表

(百萬元)	2024	2025	2026F	2027F	2028F
資產總計	914,214	894,332	1,001,870	1,015,859	1,043,019
流動資產	312,872	233,728	403,222	349,471	341,023
現金及約當現金	253,370	174,366	315,537	268,792	264,742
應收帳款與票據	28,336	23,567	32,831	15,272	31,330
存貨	11,018	10,428	14,239	9,765	14,259
採權益法之投資	39,789	39,822	33,828	46,325	53,314
不動產、廠房設備	346,026	398,815	376,255	361,845	351,505
負債總計	**311,758**	**308,108**	**354,249**	**355,353**	**359,968**
流動負債	150,345	146,353	260,143	214,399	199,429
應付帳款及票據	44,359	45,804	51,995	45,415	52,073
非流動負債	161,412	161,755	87,915	141,343	154,270
權益總計	602,456	586,224	647,621	660,507	683,051
普通股股本	**21,650**	**21,650**	**21,650**	**21,650**	**21,650**
保留盈餘	504,165	502,181	563,579	576,464	599,009
母公司業主權益	580,328	563,818	623,687	634,920	655,925
負債及權益總計	**914,214**	**894,332**	**1,001,870**	**1,015,859**	**1,043,019**

現金流量表

(百萬元)	2024	2025	2026F	2027F	2028F
營業活動現金	192,259	101,202	246,739	62,491	76,976
稅前純益	180,350	82,860	120,260	62,114	49,831
折舊及攤銷	39,320	42,967	41,012	39,115	37,716
營運資金變動	181	6,804	-6,885	15,453	-13,894
其他營運現金	-27,592	-31,429	92,352	-54,191	3,321
投資活動現金	-80,721	-108,997	20,903	-81,154	-50,459
資本支出淨額	-15,933	-19,069	-12,000	-11,000	-11,000
長期投資變動	15,776	-1,916	-500	-500	-500
其他投資現金	-80,564	-88,012	33,403	-69,654	-38,959
籌資活動現金	-32,626	-66,015	-126,471	-28,082	-30,566
長借/公司債變動	5,040	20,049	-73,840	53,427	12,927
現金增資	0	0	0	0	0
發放現金股利	-21,439	-70,364	-34,641	-36,806	-17,320
其他籌資現金	-16,227	-15,700	-17,990	-44,704	-26,174
淨現金流量	83,140	-79,004	141,171	-46,746	-4,049
期初現金	170,230	253,370	174,366	315,537	268,792
期末現金	253,370	174,366	315,537	268,792	264,742

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	463,568	379,069	455,420	402,691	390,129
營業成本	287,463	286,390	317,022	317,452	317,706
營業毛利淨額	176,126	92,695	138,404	85,239	72,423
營業費用	21,446	20,408	21,801	23,306	22,471
營業利益	159,945	74,123	116,893	61,934	49,951
EBITDA	214,417	122,353	170,893	115,934	103,951
業外收入及支出	20,405	8,737	3,368	180	-120
稅前純益	180,350	82,860	120,260	62,114	49,831
所得稅	36,366	12,613	24,222	12,423	9,966
稅後純益	139,453	68,581	94,510	48,039	38,325
稅後 EPS(元)	64.41	31.68	43.65	22.19	17.70
完全稀釋 EPS**	64.41	31.68	43.65	22.19	17.70

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 216.50【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 216.50 億元計算

比率分析

(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	67.53%	-18.23%	20.14%	-11.58%	-3.12%
營業毛利淨額	252.74%	-47.37%	49.31%	-38.41%	-15.04%
營業利益	360.27%	-53.66%	57.70%	-47.02%	-19.35%
稅後純益	294.64%	-50.82%	37.81%	-49.17%	-20.22%
獲利能力分析(%)					
毛利率	37.99%	24.45%	30.39%	21.17%	18.56%
EBITDA(%)	46.25%	32.28%	37.52%	28.79%	26.65%
營益率	34.50%	19.55%	25.67%	15.38%	12.80%
稅後純益率	30.08%	18.09%	20.75%	11.93%	9.82%
總資產報酬率	15.25%	7.67%	9.43%	4.73%	3.67%
股東權益報酬率	23.15%	11.70%	14.59%	7.27%	5.61%
償債能力檢視					
負債比率(%)	34.10%	34.45%	35.36%	34.98%	34.51%
負債/淨值比(%)	51.75%	52.56%	54.70%	53.80%	52.70%
流動比率(%)	208.10%	159.70%	155.00%	163.00%	171.00%
其他比率分析					
存貨天數	13.42	13.67	14.20	13.80	13.80
應收帳款天數	19.30	24.99	22.60	21.80	21.80

資料來源：CMoney、群益

季度損益表

(百萬元)	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
營業收入淨額	86,484	96,921	85,694	86,511	105,161	146,776	116,971	92,446	99,002	110,987	100,256	94,072
營業成本	67,791	71,579	70,341	73,125	81,183	81,254	81,460	79,110	79,586	79,751	79,004	78,390
營業毛利淨額	18,697	25,345	15,356	13,390	23,981	65,523	35,511	13,336	19,416	31,236	21,252	15,682
營業費用	4,390	4,348	7,254	4,598	4,756	4,844	7,603	4,807	4,950	5,327	8,221	4,892
營業利益	14,429	22,031	8,328	8,948	19,358	60,679	27,908	8,529	14,466	25,909	13,031	10,790
業外收入及支出	860	3,022	2,211	1,691	1,507	80	90	50	50	80	0	-30
稅前純益	15,289	25,053	10,539	10,639	20,864	60,759	27,998	8,579	14,516	25,989	13,031	10,760
所得稅	3,935	2,977	1,558	1,949	4,522	12,152	5,600	1,716	2,903	5,198	2,606	2,152
稅後純益	10,958	21,746	8,518	8,304	16,034	48,104	22,068	6,494	11,192	20,274	10,079	8,272
最新股本	21,650	21,650	21,650	21,650	21,650	21,650	21,650	21,650	21,650	21,650	21,650	21,650
稅後EPS(元)	5.06	10.04	3.93	3.84	7.41	22.22	10.19	3.00	5.17	9.36	4.66	3.82
獲利能力(%)												
毛利率(%)	21.62%	26.15%	17.92%	15.48%	22.80%	44.64%	30.36%	14.43%	19.61%	28.14%	21.20%	16.67%
營業利益率(%)	16.68%	22.73%	9.72%	10.34%	18.41%	41.34%	23.86%	9.23%	14.61%	23.34%	13.00%	11.47%
稅後純益率(%)	12.67%	22.44%	9.94%	9.60%	15.25%	32.77%	18.87%	7.02%	11.30%	18.27%	10.05%	8.79%
QoQ(%)												
營業收入淨額	-21.36%	12.07%	-11.58%	0.95%	21.56%	39.57%	-20.31%	-20.97%	7.09%	12.11%	-9.67%	-6.17%
營業利益	-50.81%	52.69%	-62.20%	7.45%	116.33%	213.46%	-54.01%	-69.44%	69.61%	79.10%	-49.71%	-17.19%
稅前純益	-52.19%	63.87%	-57.93%	0.95%	96.11%	191.21%	-53.92%	-69.36%	69.21%	79.04%	-49.86%	-17.42%
稅後純益	-59.95%	98.46%	-60.83%	-2.52%	93.10%	200.01%	-54.12%	-70.57%	72.34%	81.15%	-50.28%	-17.93%
YoY(%)												
營業收入淨額	-18.66%	-36.57%	-26.01%	-21.33%	21.60%	51.44%	36.50%	6.86%	-5.86%	-24.38%	-14.29%	1.76%
營業利益	-55.84%	-71.45%	-75.83%	-69.50%	34.16%	175.42%	235.10%	-4.69%	-25.27%	-57.30%	-53.31%	26.52%
稅前純益	-57.43%	-69.36%	-74.69%	-66.73%	36.47%	142.52%	165.66%	-19.37%	-30.43%	-57.23%	-53.46%	25.43%
稅後純益	-62.80%	-64.88%	-72.25%	-69.65%	46.33%	121.21%	159.07%	-21.79%	-30.20%	-57.85%	-54.33%	27.38%

註1：稅後EPS以股本216.50億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌。

【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

個股報告

2026 年 10 月 12 日

研究員：劉宜和 yiho.liu@capital.com.tw

前日收盤價	6,660.00 元
目標價	
3 個月	9,000.00 元
12 個月	9,000.00 元

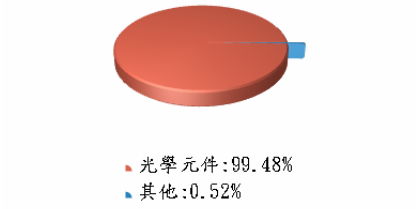
近期報告日期、評等及前日股價

06/15/2026	Buy	4,860.00
06/09/2026	Buy	3,535.00
06/03/2026	達目標價	4,225.00
05/15/2026	Buy	3,135.00
04/17/2026	Trading Buy	2,820.00

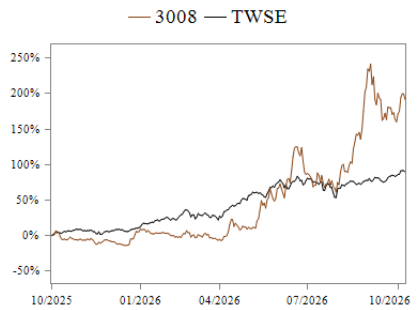
公司基本資訊

目前股本(百萬元)	1,308
市值(億元)	8,711
目前每股淨值(元)	1,464.39
外資持股比(%)	24.16
投信持股比(%)	7.93
董監持股比(%)	19.02
融資餘額(張)	4,830
現金股息配發率(%)	50.19

產品組合



股價相對大盤走勢



大立光(3008 TT) Buy

FAU 業務進度更加明確，維持 Buy 建議。

投資建議：雖然 iPhone 鏡頭出貨旺季已過，且因購入綠電導致毛利率不如預期，但因美系最終客戶將於 2H27 量產新一代 AI 系統，此新系統採用光連結 Scale-Up 串接 8 個機櫃，故對 FAU 需求急迫，預期 FAU 可望於 2H27 量產，顯示公司對 FAU 業務顯示高度信心，有助於提升本益比，維持 Buy 投資建議。

進入 iPhone 鏡頭旺季，3Q26 營收 156.51 億元，QoQ+14.53%，EPS39.62 元：3Q26，進入傳統 iPhone 鏡頭旺季，Apple 在本季發表 iPhone18 Pro/ Pro Max 與首款摺疊機 iPhone Fold，由於主鏡頭首次採用可變光圈鏡頭，為了保證每一段光圈的畫質都能達到品質要求，增加多個檢測工站導致鏡頭良率較低，故可變光圈鏡頭價格較以往 7P 鏡頭增加 20%以上，推動營收季增，3Q26 營收 156.51 億元，QoQ+14.53%，稅後淨利 51.82 億元，QoQ+10.97%，EPS39.62 元。

客戶下修鏡頭訂單，預估 4Q26 營收 153.89 億元，QoQ-1.67%，EPS37.56 元：展望 4Q26，由於 DRAM 與 NAND Flash 資源大量被 AI 吸納，導致價格飛漲，手機品牌廠不得不漲價格以反映成本，導致手機銷量受到衝擊，客戶已於 09/2026 下修手機鏡頭訂單，雖然 iPhone18 將於 1Q27 發表並於 10/2026 啟動鏡頭拉貨，但一般版手機鏡頭訂單無法彌補 Pro/ Pro Max 手機鏡頭的衰退，營收將自 11/2026 走弱，預估 4Q26 營收 153.89 億元，QoQ-1.67%，稅後淨利 49.12 億元，QoQ-5.21%，EPS37.56 元。

iPhone 銷量受漲價衝擊，預估 2026 年營收 602.49 億元，YoY-1.47%，EPS159.69 元：展望 2026 年，由於 AI 吸納大量 DRAM 與 NAND Flash 資源導致價格飛漲，消費性電子業者必須漲價以反映大幅上揚的成本，雖然客戶發表首款摺疊機可望熱賣，但因上揚的售價衝擊 Pro/Pro Max 手機銷量，加上一般版手機遞延至 1Q27 發表，iPhone 鏡頭出貨狀況將不如 2025 年，加上 Android 手機銷量早已因漲價而大幅衰退，預期整體手機鏡頭出貨下滑，預估 2026 年營收 602.49 億元，YoY-1.47%，稅後淨利 208.88 億元，YoY-1.82%，EPS159.69 元。

(百萬元)	2026F	2027F	2028F	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F
營業收入淨額	60,249	66,538	77,681	17,677	17,219	15,544	13,665	15,651	15,389	14,041	12,696	19,168
營業毛利淨額	27,684	30,955	37,677	8,352	8,260	7,680	6,753	6,607	6,645	6,715	6,038	8,711
營業利益	20,486	22,812	28,691	6,265	6,329	5,812	5,148	4,735	4,790	4,946	4,210	6,497
稅後純益	20,888	22,243	26,946	7,080	6,720	6,123	4,670	5,182	4,912	4,956	4,365	6,196
稅後 EPS(元)	159.69	170.05	206.01	54.13	51.37	46.81	35.70	39.62	37.56	37.89	33.37	47.37
毛利率(%)	45.95%	46.52%	48.50%	47.25%	47.97%	49.41%	49.42%	42.21%	43.18%	47.82%	47.56%	45.44%
營業利益率(%)	34.00%	34.28%	36.93%	35.44%	36.75%	37.39%	37.67%	30.25%	31.13%	35.22%	33.16%	33.89%
稅後純益率(%)	34.67%	33.43%	34.69%	40.05%	39.03%	39.39%	34.18%	33.11%	31.92%	35.30%	34.38%	32.32%
營業收入 YoY/QoQ(%)	-1.47%	10.44%	16.75%	51.44%	-2.60%	-9.73%	-12.09%	14.53%	-1.67%	-8.76%	-9.58%	50.98%
稅後純益 YoY/QoQ(%)	-1.82%	6.49%	21.14%	585.99%	-5.09%	-8.88%	-23.73%	10.97%	-5.21%	0.90%	-11.93%	41.95%

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 13.08 億元計算。

大立光 ESG：

公司響應溫室效應氣體排放減量管理，以達到二氧化碳減量目的。2021 年持續透過各項改善節能提報及廠區綠化，新建廠規劃建置 1,100KW 太陽光電，期望有效控制碳排放量，於 2050 年前同步政府政策使用再生能源、降低使用電力所間接排放的二氧化碳減量，實現環境永續的未來。為達 2050 年使用再生能源政策，大立光能源結構開始轉型，提高再生能源配比如太陽能及風力發電等比重。

進入 iPhone 鏡頭旺季，3Q26 營收 156.51 億元，QoQ+14.53%，EPS39.62 元：

3Q26，進入傳統 iPhone 鏡頭旺季，Apple 在本季發表 iPhone18 Pro/ Pro Max 與首款摺疊機 iPhone Fold，由於主鏡頭首次採用可變光圈鏡頭，為了保證每一段光圈的畫質都能達到品質要求，增加多個檢測工站導致鏡頭良率較低，故可變光圈鏡頭價格較以往 7P 鏡頭增加 20%以上，推動營收季增。

因 iPhone 18 標準版手機將遞延到 1Q27 發表，由於標準版手機占當年新機約 30%出貨比重，標準版手機鏡頭出貨遞延，導致營收金額不如 3Q25。

進入 iPhone 鏡頭旺季，3Q26 營收 156.51 億元，QoQ+14.53%。

由於新款鏡頭量產，加上可變光圈鏡頭增加多個檢測工站，較低的良率壓抑毛利率表現，以及美系客戶在高標準的 ESG 規定下，要求生產的能源皆採用綠電，導致 3Q26 毛利率遜於 2Q26，稅後淨利 51.82 億元，QoQ+10.97%，EPS39.62 元。

客戶下修鏡頭訂單，預估 4Q26 營收 153.89 億元，QoQ-1.67%，EPS37.56 元：

展望 4Q26，由於 DRAM 與 NAND Flash 資源大量被 AI 吸納，導致價格飛漲，手機品牌廠不得不漲價格以反映成本，導致手機銷量受到衝擊，客戶已於 09/2026 下修手機鏡頭訂單，雖然 iPhone18 將於 1Q27 發表並於 10/2026 啟動鏡頭拉貨，但因一般版手機鏡頭訂單無法彌補 Pro/ Pro Max 手機鏡頭的衰退，預期營收將自 11/2026 走弱。

客戶下修鏡頭訂單，預估 4Q26 營收 153.89 億元，QoQ-1.67%。

由於鏡頭良率可望提升，預期 4Q26 毛利率優於 3Q26 的水準，預估稅後淨利 49.12 億元，QoQ-5.21%，EPS37.56 元。

iPhone 銷量受漲價衝擊，預估 2026 年營收 602.49 億元，YoY-1.47%，EPS159.69 元：

展望 2026 年，由於 AI 吸納大量 DRAM 與 NAND Flash 資源導致價格飛漲，消費性電子業者必須漲價以反映大幅上揚的成本，雖然客戶發表首款摺疊機可望熱賣，但因上揚的售價衝擊 Pro/Pro Max 手機銷量，加上一般版手機遞延至 1Q27 發表，iPhone 鏡頭出貨狀況將不如 2025 年，加上 Android 手機銷量早已因漲價而大幅衰退，預期整體手機鏡頭出貨將下滑。

2026 年開賣的 iPhone18 機型當中，因記憶體與 NAND Flash 價格大幅上漲，導致 iPhone18 Pro 與 iPhone18 Pro Max 漲價，上揚的價格壓抑終端需求，

客戶自 09/2026 下修 Pro/ Pro Max 手機鏡頭訂單，加上標準版手機遞延至 1Q27 發表，標準版手機鏡頭訂單遞延至 10/2026 出貨，雖然首款摺疊機預期大受歡迎，但因初期量產不順將遞延零組件放量時程，預期 iPhone 鏡頭出貨年減。

隨著 AI 推論應用需求逐漸放大，吸納大量儲存資源，DRAM、NAND Flash 因短期需求大幅增加導致價格大漲，推升手機成本向上，Android 手機陣營業者半導體零組件多為外購，Android 手機抵抗成本上揚能力弱於 iPhone，已有部分 Android 手機廠商因記憶體成本大漲，凍結 2026 年手機鏡頭升級計畫而沿用舊鏡頭，並提高手機價格的決策恐將壓抑銷量，預期 Android 手機鏡頭營收貢獻將下滑。

FAU 相關業務已通過客戶初步認證，未來將於 1H27 架設量產線，並於 2H27 量產 FAU 以滿足最終客戶需求。

iPhone 銷量受漲價衝擊，預估 2026 年營收 602.49 億元，YoY-1.47%，稅後淨利 208.88 億元，YoY-1.82%，EPS159.69 元。

明示 Fiber Array 出貨進度加快，展現切入 FAU 信心：

大立光在 2026 年 COMPUTEX 會展中展出用於 CPO 產業鏈的新產品，第一款是多通道微透鏡陣列(Parallel Micro Lens Array, PMLA)，另一個產品則是多通道光纖陣列(Multi-Row Fiber Array)，PMLA 是 FAU 的關鍵零組件之一，主要用於改善光纖與光子晶片(Photonics Integrated Circuit, PIC)之間的光耦合效率以及雷射光準直(Collimation)性能，降低光耦合損失並提升光學訊號傳輸品質，多通道光纖陣列(Fiber Array, FA)則用於固定光纖，由於用於 CPO 傳輸光訊號的單模光纖芯直徑僅有 9 微米(Micrometer)，因此 FAU 相關零組件的精度要求極高，公司已能做到誤差不超過 0.3 微米，優於目前業界平均 0.5~0.7 微米的精度，能夠大幅縮小光訊號的插入損失，FA 在 07/2026 已獲得客戶認證，後續將架設試產線，在 3Q26 的試產線展示過程中，公司也對客戶展示自動化組裝 FAU 的能力，目前客戶希望結合大立光的 FA，對外購買最終客戶已經認證通過的 Prism、PMLA 與 Carrier 組裝成 FAU，由於客戶可直接對 FAU 成品的良率問責，加上客戶評價大立光在主動光對位、產能與產品檢測在各個競爭者中都是最好的，以及自動化生產線能夠隨時優化效率，比起手工組裝 FAU 的產線的效率與良率更佳，在最終客戶即將量產光連結 Scale-Up Switch 而 FAU 極缺的況下，希望 1H27 能架設好量產線，並及時於 2H27 量產 FAU。

大立光自從事手機鏡頭事業時期，就已具有設計自動化設備與調校生產設備的豐富經驗，本次量產 FAU 及相關零組件，量產設備將以自製為主，此次法說會進一步說明 FAU 將於 2H27 量產，可望加強市場信心。

圖一、PMLA

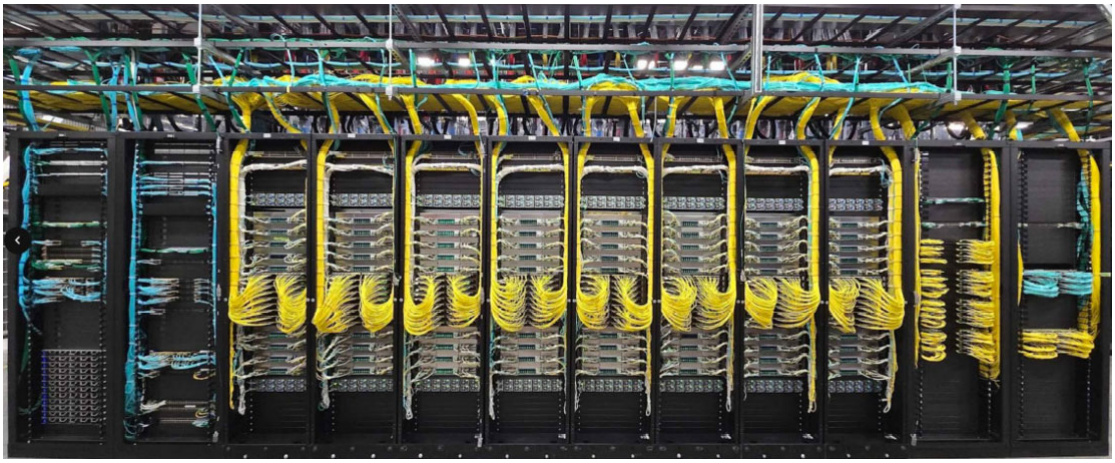
圖二、多通道光纖陣列

資料來源：大立光，群益投顧整理。

模型參數持續擴張，串聯硬體擴大算力成為趨勢：

大語言模型的發展一日千里，隨著模型智慧的提升，模型參數的數量隨之增加，預期在 2027 年在一邏輯機櫃內能夠提供運算 3 兆參數大模型的算力，為了達成這項目標，將出現以光連結 Scale-UP 串聯 8 個實體機櫃，總數達到 576 顆 GPU 的單一邏輯機櫃。

圖三、串聯 8 個機櫃的 NVL 576

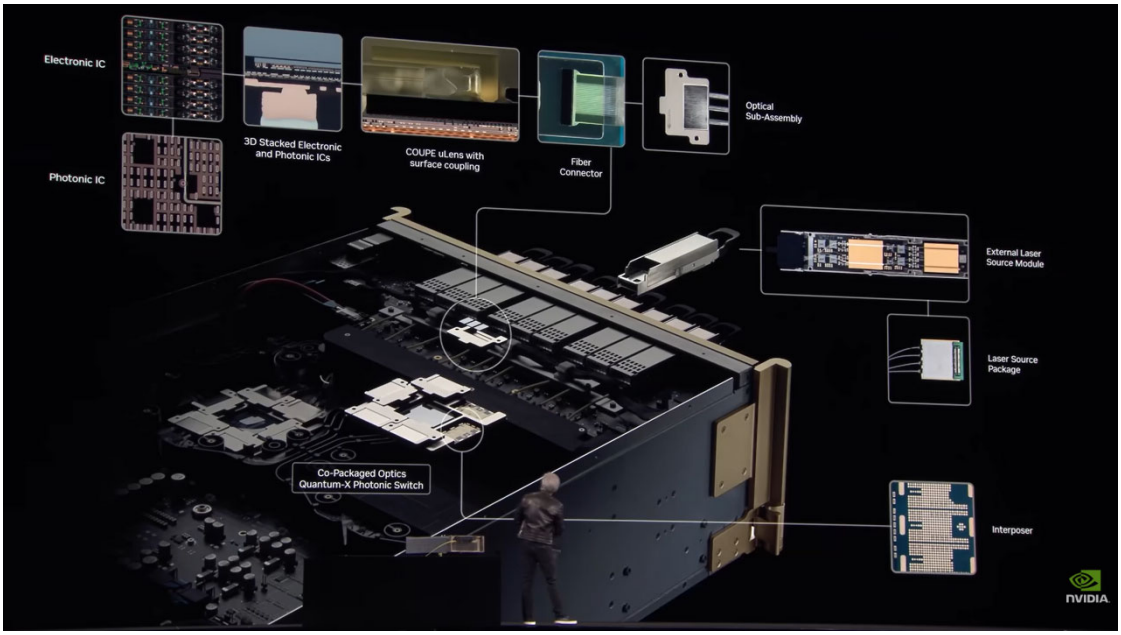


資料來源：Nvidia，群益投顧整理。

Nvidia 在 2025 年推出的 Quantum-X Switch 雖以 CPO 之名推出，但因光引擎模組透過 Socket 與 Interposer 相接，若有任一個光引擎模組故障可隨時更換，故實際上屬於 NPO 架構，NPO 雖然在耗能與訊號延遲略不如 CPO，但因可抽換光引擎模組無須像 CPO 將所有光引擎與主晶片整合在同一個模組內，以 CPO 每個光引擎貼合成功良率為 98%，32 顆光引擎貼合成光良率為(0.98)^32 =0.52，若改為 NPO，不合格的 NPO 模組可隨時抽換的狀況下，良率可大幅增加，故短期內 NPO 可兼顧可維修性與量產能力，同時間美國供應商亦表示用於 Scale-Up 光連結的 CW Laser 將於 1H27 後量產，此時點

與大立光 FAU 量產時程相符，根據供應鏈訪查的訊息，美系 AI 大廠 2027 年用於 Scale-Up 光連結的光引擎訂單量將超過一千萬顆。

圖四、Nvidia Quantum-X Switch 光引擎模組與系統示意圖

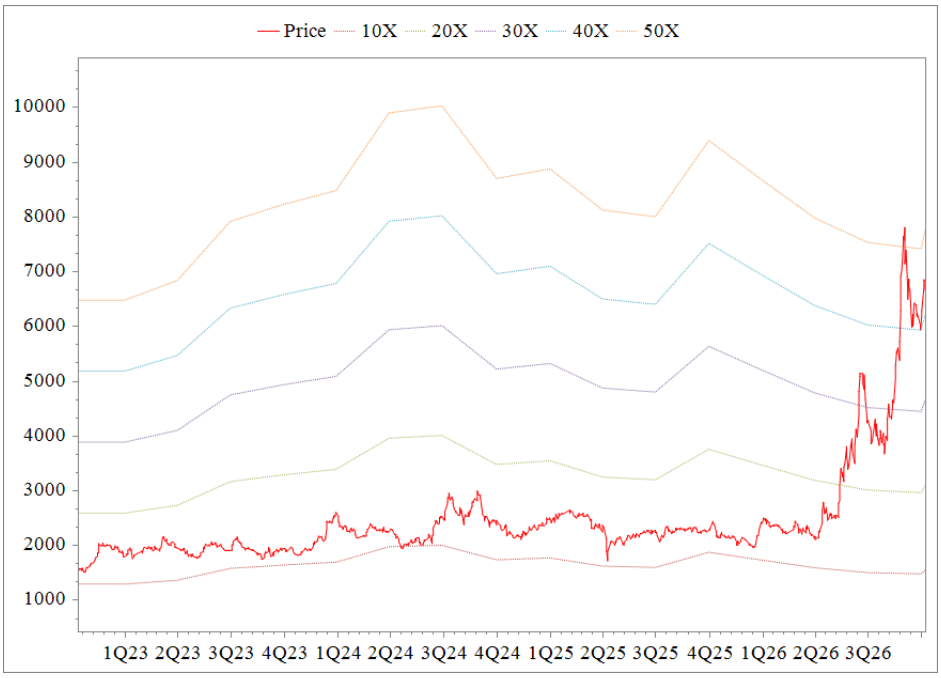


資料來源：Nvidia，群益投顧整理。

投資建議：

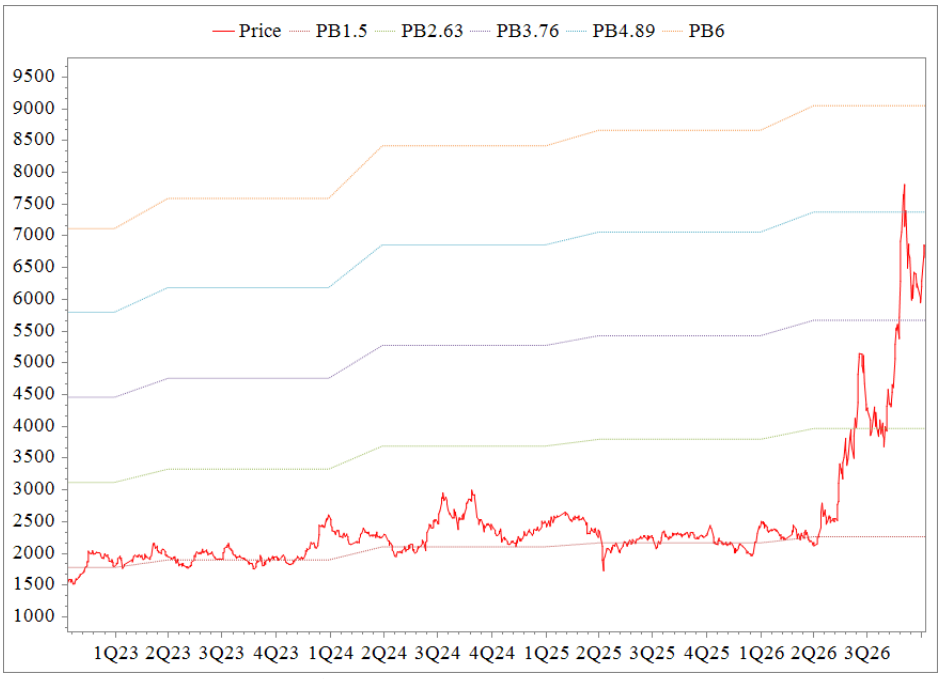
雖然 iPhone 鏡頭出貨旺季已過，且因購入綠電導致毛利率不如預期，但因美系最終客戶將於 2H27 量產新一代 AI 系統，此新系統採用光連結 Scale-Up 串接 8 個機櫃，故對 FAU 需求急迫，預期 FAU 可望於 2H27 量產，顯示公司對 FAU 業務顯示高度信心，有助於提升本益比，維持 Buy 投資建議。

Forward PE Band



資料來源：CMoney，群益預估彙整

Forward PB Band



資料來源：CMoney，群益預估彙整

資產負債表

(百萬元)	2024	2025	2026F	2027F	2028F
資產總計	216,527	220,787	237,269	248,954	266,236
流動資產	145,764	154,285	162,815	178,408	191,501
現金及約當現金	113,658	115,942	124,587	135,327	145,869
應收帳款與票據	10,360	10,462	10,337	10,081	11,627
存貨	5,733	6,713	7,027	7,207	7,479
採權益法之投資	24	26	38	30	36
不動產、廠房設備	46,936	51,472	52,462	53,362	54,262
負債總計	**31,139**	**29,919**	**37,883**	**39,749**	**42,508**
流動負債	30,578	29,749	30,720	31,859	32,458
應付帳款及票據	1,857	1,729	1,840	2,060	2,434
非流動負債	561	171	7,053	7,560	9,346
權益總計	185,388	190,868	199,386	209,205	223,728
普通股股本	**1,335**	**1,335**	**1,308**	**1,308**	**1,308**
保留盈餘	175,969	185,818	194,336	204,155	218,678
母公司業主權益	183,519	188,867	197,275	207,095	221,618
負債及權益總計	**216,527**	**220,787**	**237,269**	**248,954**	**266,236**

現金流量表

(百萬元)	2024	2025	2026F	2027F	2028F
營業活動現金	31,579	26,080	31,481	28,892	36,614
稅前純益	32,174	25,900	25,619	27,804	33,682
折舊及攤銷	6,230	7,732	4,774	4,803	4,884
營運資金變動	-1,286	-1,209	-78	296	-1,446
其他營運現金	-5,540	-6,343	1,165	-4,010	-506
投資活動現金	-16,066	-9,236	-16,860	-4,211	-12,293
資本支出淨額	-11,126	-12,338	-9,900	-9,000	-9,000
長期投資變動	-7,374	-1,704	-10	-10	-10
其他投資現金	2,434	4,805	-6,950	4,799	-3,283
籌資活動現金	-10,764	-13,458	-5,975	-13,941	-13,779
長借/公司債變動	0	0	6,882	506	1,786
現金增資	0	0	0	0	0
發放現金股利	-10,811	-11,412	-12,479	-12,423	-12,423
其他籌資現金	47	-2,046	-378	-2,025	-3,142
淨現金流量	6,168	2,283	8,645	10,740	10,542
期初現金	107,490	113,658	115,942	124,587	135,327
期末現金	113,658	115,942	124,587	135,327	145,869

資料來源：CMoney、群益

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	59,458	61,148	60,249	66,538	77,681
營業成本	28,248	30,311	32,565	35,584	40,004
營業毛利淨額	31,209	30,837	27,684	30,955	37,677
營業費用	7,177	7,279	7,198	8,143	8,986
營業利益	24,033	23,558	20,486	22,812	28,691
EBITDA	34,001	29,374	25,260	27,615	33,575
業外收入及支出	8,142	2,342	5,185	4,992	4,991
稅前純益	32,174	25,900	25,619	27,804	33,682
所得稅	5,963	4,340	4,623	5,561	6,736
稅後純益	25,915	21,275	20,888	22,243	26,946
稅後 EPS(元)	198.13	162.66	159.69	170.05	206.01
完全稀釋 EPS**	198.13	162.66	159.69	170.05	206.01

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 13.08【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 13.08 億元計算

比率分析

(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	21.73%	2.84%	-1.47%	10.44%	16.75%
營業毛利淨額	31.17%	-1.19%	-10.22%	11.81%	21.72%
營業利益	34.96%	-1.97%	-13.04%	11.36%	25.77%
稅後純益	44.76%	-17.90%	-1.82%	6.49%	21.14%
獲利能力分析(%)					
毛利率	52.49%	50.43%	45.95%	46.52%	48.50%
EBITDA(%)	57.18%	48.04%	41.93%	41.50%	43.22%
營益率	40.42%	38.53%	34.00%	34.28%	36.93%
稅後純益率	43.59%	34.79%	34.67%	33.43%	34.69%
總資產報酬率	11.97%	9.64%	8.80%	8.93%	10.12%
股東權益報酬率	13.98%	11.15%	10.48%	10.63%	12.04%
償債能力檢視					
負債比率(%)	14.38%	13.55%	15.97%	15.97%	15.97%
負債/淨值比(%)	16.80%	15.68%	19.00%	19.00%	19.00%
流動比率(%)	476.69%	518.63%	530.00%	560.00%	590.00%
其他比率分析					
存貨天數	66.70	74.94	77.00	73.00	67.00
應收帳款天數	62.77	62.14	63.00	56.00	51.00

季度損益表

(百萬元)	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
營業收入淨額	11,673	17,677	17,219	15,544	13,665	15,651	15,389	14,041	12,696	19,168	20,633	20,845
營業成本	5,413	9,325	8,958	7,865	6,912	9,044	8,745	7,326	6,658	10,457	11,142	10,993
營業毛利淨額	6,260	8,352	8,260	7,680	6,753	6,607	6,645	6,715	6,038	8,711	9,491	9,852
營業費用	1,381	2,088	1,932	1,867	1,605	1,872	1,854	1,769	1,828	2,214	2,332	2,314
營業利益	4,879	6,265	6,329	5,812	5,148	4,735	4,790	4,946	4,210	6,497	7,159	7,539
業外收入及支出	-3,085	1,890	1,907	1,476	951	1,408	1,350	1,250	1,246	1,248	1,248	1,248
稅前純益	1,794	8,155	8,236	7,288	6,099	6,092	6,141	6,195	5,456	7,745	8,407	8,787
所得稅	738	996	1,434	1,112	1,373	909	1,228	1,239	1,091	1,549	1,681	1,757
稅後純益	1,032	7,080	6,720	6,123	4,670	5,182	4,912	4,956	4,365	6,196	6,726	7,029
最新股本	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308	1,308
稅後EPS(元)	7.89	54.13	51.37	46.81	35.70	39.62	37.56	37.89	33.37	47.37	51.42	53.74
獲利能力(%)												
毛利率(%)	53.63%	47.25%	47.97%	49.41%	49.42%	42.21%	43.18%	47.82%	47.56%	45.44%	46.00%	47.26%
營業利益率(%)	41.80%	35.44%	36.75%	37.39%	37.67%	30.25%	31.13%	35.22%	33.16%	33.89%	34.70%	36.16%
稅後純益率(%)	8.84%	40.05%	39.03%	39.39%	34.18%	33.11%	31.92%	35.30%	34.38%	32.32%	32.60%	33.72%
QoQ(%)												
營業收入淨額	-19.94%	51.44%	-2.60%	-9.73%	-12.09%	14.53%	-1.67%	-8.76%	-9.58%	50.98%	7.64%	1.03%
營業利益	-19.84%	28.40%	1.02%	-8.16%	-11.43%	-8.02%	1.17%	3.25%	-14.87%	54.31%	10.19%	5.30%
稅前純益	-76.76%	354.65%	0.99%	-11.51%	-16.31%	-0.12%	0.80%	0.90%	-11.93%	41.95%	8.55%	4.51%
稅後純益	-83.98%	585.99%	-5.09%	-8.88%	-23.73%	10.97%	-5.21%	0.90%	-11.93%	41.95%	8.55%	4.51%
YoY(%)												
營業收入淨額	6.26%	-6.71%	-5.44%	6.62%	17.07%	-11.46%	-10.62%	-9.67%	-7.09%	22.47%	34.07%	48.46%
營業利益	25.42%	-19.69%	-24.49%	-4.50%	5.52%	-24.41%	-24.31%	-14.91%	-18.22%	37.21%	49.45%	52.43%
稅前純益	-69.11%	3.90%	-25.73%	-5.55%	240.05%	-25.30%	-25.44%	-14.99%	-10.54%	27.14%	36.92%	41.82%
稅後純益	-77.05%	6.79%	-22.55%	-4.97%	352.46%	-26.80%	-26.90%	-19.06%	-6.53%	19.56%	36.92%	41.82%

註1：稅後EPS以股本13.08億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌。

【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

個股報告

2026 年 10 月 12 日

研究員：王美珍 iris.wang@capital.com.tw

前日收盤價	43.20 元
目標價	
3 個月	50.00 元
12 個月	50.00 元

康舒(6282 TT) Buy

燃料電池與伺服器領域展望佳。

投資建議：燃料電池與伺服器領域出貨成長，企業用電源展望佳，營運漸入佳境，投資建議為 Buy，目標價為 50 元。

燃料電池與伺服器領域出貨成長，企業用電源為營運主要成長動能：因燃料電池與伺服器領域成長，預估企業用電源 2026 年營收 YoY+64.5%，營收佔比為 48.8%。燃料電池客戶佔康舒營收比重從 2025 年近 10%提升至 2026 年的 20%以上。客戶端中長期目標於 2029 年達到 5GW 出貨規模，將為康舒帶來長期穩定的營收挹注。高功率 AI 伺服器電源 33kW 產品已進入量產，72kW 預計 2H26 完成安規申請。25kW PSU 與 100kW Power Shelf 正處於 NPI 階段，預計 1Q27 通過安規並送樣給客戶，於 2H27 量產。

電信通訊電源長期穩定：電信通訊電源主要來自 Omni-On，應用於大型基地台、小型基地台與電信機房。預估電信通訊電源 2026 年營收 YoY+14.2%，營收佔比為 34%。近期新爭取大型資料中心專案，初期毛利略有折讓。但隨專案成熟，預估 2H26 毛利率將逐季回升，預期長線可維持在 30%以上常態水準。

消費用電源營收比重降低，有助於提升公司整體毛利率：消費用電源 2022 年營收比重近 5 成，在調整產品策略下，營收比重逐年降低，1H26 已降至 12.7%。受市場需求不佳影響與調整產品策略，預估消費用電源領域 2026 年營收 YoY-23.6%，營收佔比為 10.9%，消費用電源營收比重有助於提升公司整體毛利率。

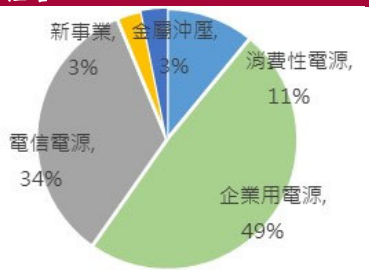
預期 3Q26 毛利率、營業利益率可回升：2Q26 產品營收比重分別為消費用電源 11%、企業用電源 48%、電信電源 34%、新事業 3%、金屬沖壓 3%。2Q26 營收為 95.15 億元，QoQ+10.89%；毛利率降至 21.24%，營業利益率為 1.47%；稅後淨利 0.78 億元、QoQ-66.55%，稅後 EPS 為 0.09 元。3Q26 營收為 108.05 億元，QoQ+13.55%；因經濟規模提升、資料中心領域毛利率回升、存貨損失迴轉，預期毛利率、營業利益率可優於 2Q26。

近期報告日期、評等及前日股價

公司基本資訊

目前股本(百萬元)	8,561
市值(億元)	370
目前每股淨值(元)	26.56
外資持股比(%)	11.09
投信持股比(%)	0.62
董監持股比(%)	19.86
融資餘額(張)	25,591
現金股息配發率(%)	444.41

產品組合



股價相對大盤走勢

(百萬元)	2026F	2027F	2028F	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F
營業收入淨額	40,437	51,135	62,946	8,071	9,198	8,581	9,515	10,805	11,536	10,802	12,213	13,907
營業毛利淨額	9,257	11,588	14,089	2,035	2,445	2,093	2,021	2,407	2,736	2,407	2,736	3,184
營業利益	1,244	2,051	3,523	282	359	251	140	321	532	267	449	649
稅後純益	921	1,606	2,616	254	481	234	78	223	385	187	437	477
稅後 EPS(元)	1.08	1.88	3.06	0.30	0.56	0.27	0.09	0.26	0.45	0.22	0.51	0.56
毛利率(%)	22.89%	22.66%	22.38%	25.22%	26.58%	24.39%	21.24%	22.28%	23.71%	22.29%	22.40%	22.89%
營業利益率(%)	3.08%	4.01%	5.60%	3.49%	3.90%	2.93%	1.47%	2.97%	4.62%	2.48%	3.68%	4.66%
稅後純益率(%)	2.28%	3.14%	4.16%	3.15%	5.23%	2.73%	0.82%	2.07%	3.34%	1.73%	3.58%	3.43%
營業收入 YoY/QoQ(%)	27.45%	26.46%	23.10%	9.96%	13.96%	-6.71%	10.89%	13.55%	6.77%	-6.36%	13.07%	13.87%
稅後純益 YoY/QoQ(%)	502.61%	74.44%	62.87%	N.A	89.25%	-51.32%	-66.55%	184.68%	72.54%	-51.42%	133.82%	9.09%

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 85.61 億元計算。

ESG：

為落實對地球環境的承諾，康舒科技已正式頒布「環境政策」、「水資源政策」、「能資源政策」與「生物多樣性暨不毀林政策」，作為推動永續發展的最高指導原則。

以「以人為本、價值共創、永續驅動」作為人才策略及發展的核心理念，透過 SMART 文化塑造、員工特質發展、知識賦能體系與 AI 智慧學習平台，建構完整的人才培育架構。在企業願景使命目標下，透過系統性的知識傳承與能力提升機制，打造全方位人才發展 DNA，驅動企業長期穩健成長、國際化擴展與永續轉型。

主動導入 IFRS S1/S2 永續揭露準則，將永續資訊與財務報告深度整合，使利害關係人得以全面評估公司的永續風險與長期價值創造能力；並將 ESG 績效與高階管理層薪酬機制連動，以制度性設計強化管理層的永續當責性。

主要產品為電源供應器：

康舒科技成立於 1981 年，主要產品為電源供應器。2023 年收購 ABB 集團旗下電源轉換事業部門(ABB Power Conversion)，後改名為 OmniOn Power(立卬)。OmniOn Power 原先專注於美國電信與資料中心電源，結合康舒後能互補並擴大高功率、高轉換效率的技術優勢，同時康舒也承接其位於墨西哥的生產基地，後續就近供應北美客戶的製造量能。

康舒三大事業體包含電源解決方案、智慧綠能服務、電動動力解決方案。在電源產品線中涵蓋企業雲端電源、工業產品電源、電信電源及消費性電源。2Q26 產品營收比重分別為消費用電源 11%、企業用電源 48%、電信電源 34%、新事業 3%、金屬沖壓 3%。

AI 相關產品包括 CRPS、康舒的 Data Center/伺服器電源、Omni-On 的 Data Center 電源、燃料電池應用。AI 相關產品佔 2025 年營收約 20%，1Q26 AI 營收佔比為 24%，2Q26 拉升至 29%，2026 年全年目標為 30%。

表、康舒主要產品

類別	產品
Consumer 消費用電源	應用於桌上型電腦、筆記型電腦、手機、AR/VR、智慧家庭、電動自行車、機頂盒、多功能事務機等產品
Enterprise 企業用電源	應用於伺服器、資料中心、儲存設備、超級運算、燃料電池、網通設備、POS 系統、工作站電腦、智慧電網、醫療設備等產品
Telecom 電信電源	應用於大型基地台、小型基地台、電信機房等領域
New Business 新事業	能源、電動車
Metal Stamping 金屬沖壓	金屬沖壓件製造、銷售

資料來源：康舒，群益投顧彙整

燃料電池與伺服器領域出貨成長，企業用電源為營運主要成長動能：

企業用電源涵蓋伺服器、資料中心、儲存設備、超級運算與燃料電池等領域，為營運主要成長動能。企業用電源營收比重從 2024 年的 36%提升至 2Q26 的 48%。因燃料電池與伺服器領域成長，預估企業用電源 2026 年營收 YoY+64.5%，營收佔比為 48.8%。

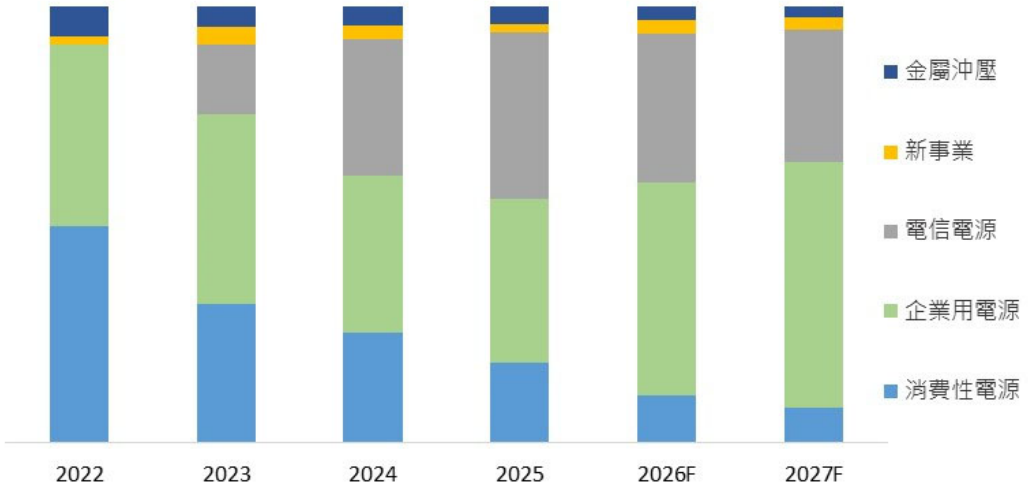
燃料電池客戶佔康舒營收比重從 2025 年近 10%提升至 2026 年的 20%以上。客戶端中長期目標於 2029 年達到 5GW 出貨規模，將為康舒帶來長期穩定的營收挹注。燃料電池產品的毛利率較公司平均毛利率為低，但其營業費用亦較低，故營收規模提升對營業利益率仍為正向。

1H26 對美系燃料電池訂單，全數由台灣淡水廠生產並出貨支應。配合客戶訂單需求以及快速交期要求，公司規劃於 4Q26 借重集團泰國廠產能共同生產，分擔出貨壓力；亦評估透過 Omni-On 墨西哥廠進行就近支援。

高功率 AI 伺服器電源 33kW 產品已進入量產，72kW 預計 2H26 完成安規申請。25kW PSU 與 100kW Power Shelf 正處於 NPI 階段，預計 1Q27 通過安規並送樣給客戶，於 2H27 量產。

在 HVDC 規格尚未底定之際，優先跟進 OCP 開放架構與 LVDC 規格，避開過度集中於單一晶片大廠的規格競爭，切入 Tier-2 CSP、網通大廠與新創客戶，成果預計於 2H26 陸續浮現。

圖、康舒產品類別營收比重



資料來源：康舒，群益投顧預估

電信電源長期穩定：

電信電源主要來自 Omni-On，應用於大型基地台、小型基地台與電信機房，營收比重長期穩定維持在集團合併營收的 35%~40%。

預估電信電源 2026 年營收 YoY+14.2%，營收佔比為 34%。近期新爭取大型資料中心專案，初期毛利略有折讓。但隨專案成熟，預估 2H26 毛利率將逐季回升，預期長線可維持在 30%以上常態水準。

消費用電源營收比重降低，有助於提升公司整體毛利率：

消費用電源涵蓋個人電腦、筆記型電腦、智慧型手機、智慧家庭與事務機等電源。面對 PC 市場復甦緩慢與零組件排擠效應，公司採取調整產品組合、逐步降低份額的策略，不盲目衝量，著重獲利品質。

消費用電源 2022 年營收比重近 5 成，在調整產品策略下，營收比重逐年降低，1H26 已降至 12.7%。受市場需求不佳影響與調整產品策略，預估消費用電源領域 2026 年營收 YoY-23.6%，營收佔比為 10.9%，消費用電源營收比重有助於提升公司整體毛利率。

預期 3Q26 毛利率、營業利益率可回升：

2Q26 營收為 95.15 億元，QoQ+10.89%；毛利率降至 21.24%，營業利益率為 1.47%；稅後淨利 0.78 億元、QoQ-66.55%，稅後 EPS 為 0.09 元。

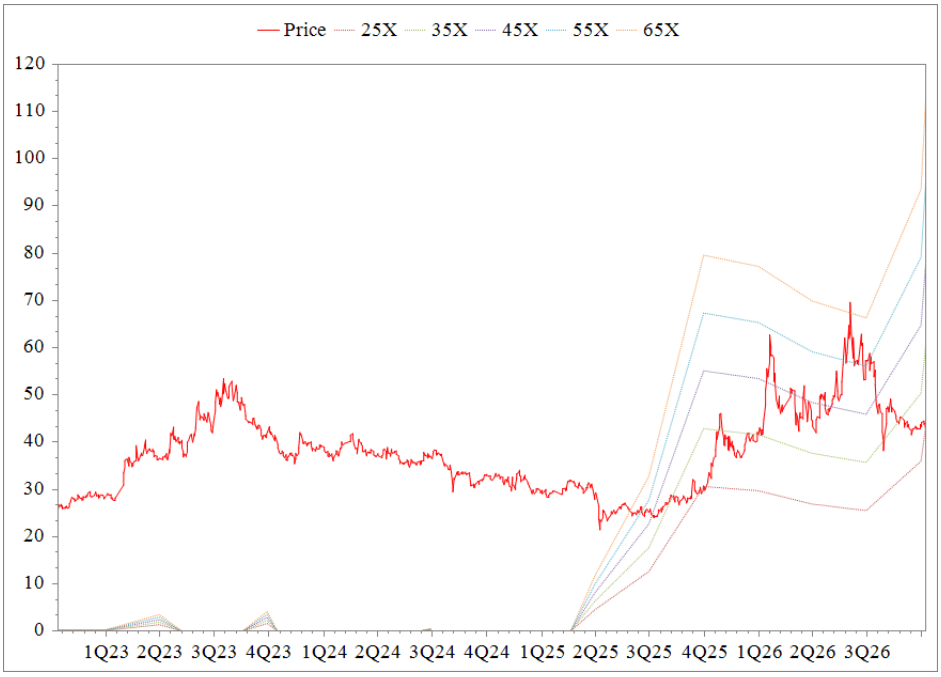
2Q26 毛利率下滑主因為：(1)燃料電池領域出貨量提升，對整體毛利率產生些許稀釋；(2)Omni-On 切入資料中心新專案初期毛利略有折讓，但隨專案成熟，預估 2H26 毛利率將逐季回升；(3)針對長期存貨提列約 4,000 萬元跌價損失，預計於 3Q26 全數迴轉；(4)原物料價格上漲，向客戶洽談的調價效益預計需至 4Q26 顯現。

3Q26 營收為 108.05 億元、QoQ+13.3%；預期毛利率、營業利益率可優於 2Q26；稅後淨利 2.23 億元、QoQ+184.68%，稅後 EPS 為 0.26 元。

投資建議：

燃料電池與伺服器領域出貨增長，企業用電源展望佳，電信電源維持穩定成長，營運漸入佳境，投資建議為 Buy，目標價為 50 元。

Forward PE Band



資料來源：CMoney，群益預估彙整

Forward PB Band

資料來源：CMoney，群益預估彙整

資產負債表

(百萬元)	2024	2025	2026F	2027F	2028F
資產總計	52,021	51,365	52,800	55,056	59,960
流動資產	28,759	27,446	36,892	41,284	48,416
現金及約當現金	7,046	6,488	8,883	9,864	11,610
應收帳款與票據	9,146	9,670	13,745	15,815	19,780
存貨	7,197	8,182	10,645	13,042	16,019
採權益法之投資	2,205	3,382	1,642	1,152	643
不動產、廠房設備	8,370	8,019	8,189	8,355	8,520
負債總計	**28,630**	**28,461**	**29,673**	**31,188**	**34,511**
流動負債	19,448	19,900	26,200	26,522	30,488
應付帳款及票據	6,190	7,263	8,212	10,954	11,025
非流動負債	9,182	8,561	2,524	975	261
權益總計	23,391	22,905	23,127	23,868	25,449
普通股股本	**8,587**	**8,560**	**8,561**	**8,561**	**8,561**
保留盈餘	4,191	3,771	3,994	4,734	6,315
母公司業主權益	23,078	22,606	22,842	23,592	25,180
負債及權益總計	**52,021**	**51,365**	**52,800**	**55,056**	**59,960**

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	31,695	31,727	40,437	51,135	62,946
營業成本	24,316	23,558	31,180	39,546	48,858
營業毛利淨額	7,379	8,168	9,257	11,588	14,089
營業費用	7,502	7,454	8,013	9,538	10,566
營業利益	-123	714	1,244	2,051	3,523
EBITDA	1,857	2,057	52,810	71,808	95,612
業外收入及支出	286	-427	-2	48	-97
稅前純益	163	287	1,242	2,099	3,426
所得稅	198	146	335	503	817
稅後純益	-30	153	921	1,606	2,616
稅後 EPS(元)	-0.04	0.18	1.08	1.88	3.06
完全稀釋 EPS**	-0.03	0.16	0.97	1.70	2.77

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 85.61【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 94.45 億元計算

現金流量表

(百萬元)	2024	2025	2026F	2027F	2028F
營業活動現金	2,163	2,205	2,228	781	3,813
稅前純益	163	287	1,242	2,099	3,426
折舊及攤銷	1,696	1,704	1,736	1,771	1,806
營運資金變動	76	-437	-5,588	-1,724	-6,871
其他營運現金	228	651	4,838	-1,365	5,453
投資活動現金	-3,266	-3,043	5,640	1,012	1,084
資本支出淨額	-2,773	-858	-800	-800	-800
長期投資變動	-160	-2,147	0	0	0
其他投資現金	-333	-39	6,440	1,812	1,884
籌資活動現金	1,247	393	-5,473	-813	-3,150
長借/公司債變動	1,346	3,422	-6,037	-1,548	-714
現金增資	0	0	0	0	0
發放現金股利	-431	-429	-685	-856	-1,027
其他籌資現金	332	-2,599	1,249	1,592	-1,408
淨現金流量	317	-557	2,395	980	1,747
期初現金	6,728	7,046	6,488	8,883	9,864
期末現金	7,046	6,488	8,883	9,864	11,610

比率分析

(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	13.83%	0.10%	27.45%	26.46%	23.10%
營業毛利淨額	22.69%	10.69%	13.33%	25.19%	21.58%
營業利益	N.A	N.A	74.15%	64.85%	71.76%
稅後純益	N.A	N.A	502.61%	74.44%	62.87%
獲利能力分析(%)					
毛利率	23.28%	25.75%	22.89%	22.66%	22.38%
EBITDA(%)	5.86%	6.48%	130.60%	140.43%	151.89%
營益率	-0.39%	2.25%	3.08%	4.01%	5.60%
稅後純益率	-0.10%	0.48%	2.28%	3.14%	4.16%
總資產報酬率	-0.06%	0.30%	1.74%	2.92%	4.36%
股東權益報酬率	-0.13%	0.67%	3.98%	6.73%	10.28%
償債能力檢視					
負債比率(%)	55.03%	55.41%	56.20%	56.65%	57.56%
負債/淨值比(%)	122.40%	124.26%	128.30%	130.67%	135.61%
流動比率(%)	147.88%	137.92%	140.81%	155.66%	158.80%
其他比率分析					
存貨天數	109.34	119.14	110.20	109.31	108.55
應收帳款天數	101.54	108.24	105.68	105.50	103.20

資料來源：CMoney、群益

季度損益表

(百萬元)	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
營業收入淨額	7,340	8,071	9,198	8,581	9,515	10,805	11,536	10,802	12,213	13,907	14,212	13,341
營業成本	5,473	6,035	6,753	6,488	7,494	8,397	8,800	8,395	9,478	10,724	10,950	10,390
營業毛利淨額	1,867	2,035	2,445	2,093	2,021	2,407	2,736	2,407	2,736	3,184	3,262	2,952
營業費用	1,760	1,754	2,086	1,841	1,881	2,087	2,203	2,140	2,287	2,535	2,576	2,370
營業利益	106	282	359	251	140	321	532	267	449	649	685	582
業外收入及支出	-585	112	10	75	-11	-33	-33	-28	132	-28	-28	-28
稅前純益	-479	394	370	326	129	288	499	239	581	621	657	554
所得稅	61	139	-109	95	55	68	117	55	147	146	155	127
稅後純益	-538	254	481	234	78	223	385	187	437	477	505	428
最新股本	8,561	8,561	8,561	8,561	8,561	8,561	8,561	8,561	8,561	8,561	8,561	8,561
稅後EPS(元)	-0.63	0.30	0.56	0.27	0.09	0.26	0.45	0.22	0.51	0.56	0.59	0.50
獲利能力(%)												
毛利率(%)	25.43%	25.22%	26.58%	24.39%	21.24%	22.28%	23.71%	22.29%	22.40%	22.89%	22.95%	22.13%
營業利益率(%)	1.45%	3.49%	3.90%	2.93%	1.47%	2.97%	4.62%	2.48%	3.68%	4.66%	4.82%	4.36%
稅後純益率(%)	-7.33%	3.15%	5.23%	2.73%	0.82%	2.07%	3.34%	1.73%	3.58%	3.43%	3.55%	3.21%
QoQ(%)												
營業收入淨額	3.11%	9.96%	13.96%	-6.71%	10.89%	13.55%	6.77%	-6.36%	13.07%	13.87%	2.19%	-6.12%
營業利益	N.A	165.38%	27.46%	-29.98%	-44.50%	129.75%	66.04%	-49.77%	67.96%	44.41%	5.66%	-15.12%
稅前純益	N.A	N.A	-6.18%	-11.76%	-60.43%	122.91%	73.62%	-52.05%	142.73%	6.80%	5.92%	-15.77%
稅後純益	N.A	N.A	89.25%	-51.32%	-66.55%	184.68%	72.54%	-51.42%	133.82%	9.09%	5.84%	-15.20%
YoY(%)												
營業收入淨額	-7.55%	-4.20%	12.91%	20.54%	29.64%	33.87%	25.42%	25.89%	28.36%	28.72%	23.20%	23.51%
營業利益	57.08%	N.A	N.A	N.A	31.45%	13.80%	48.25%	6.35%	221.88%	102.32%	28.75%	117.53%
稅前純益	N.A	N.A	172.99%	12678.76%	N.A	-26.98%	35.13%	-26.57%	350.42%	115.80%	31.65%	131.28%
稅後純益	N.A	N.A	247.75%	N.A	N.A	-12.28%	-20.02%	-20.19%	457.90%	113.79%	31.16%	128.96%

註1：稅後EPS以股本85.61億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

2026 年 10 月 12 日

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌。

【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

2026/10/12

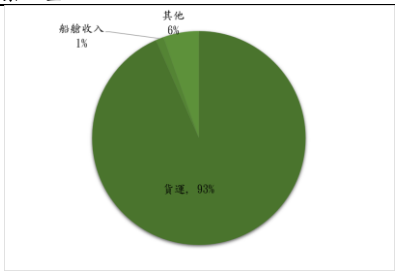
臺灣 ESG 永續指數成分股

潛在漲幅	11.8%
前日收盤價	232.50 元
目標價	260.00 元
前次目標價	-
前次評等	-

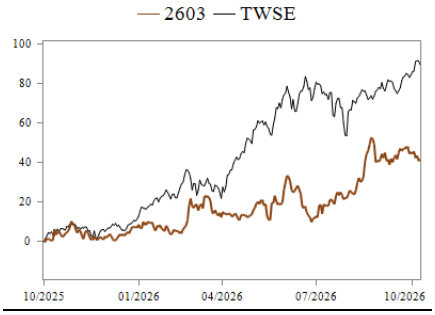
公司基本資訊

目前股本(百萬元)	21,650
市值(億元)	5,034
目前每股淨值(元)	259.09
外資持股比(%)	25.69
董監持股比(%)	2.73

營業比重



個股與大盤走勢(%)



賴子璇
Sara.lai@ctbcsis.com

貨櫃

長榮 (2603 TT)

維持評等

中立(Neutral)

美洲線運價仍有支撐

- **9 月營收年增 64%，11 月之前裝載的狀況佳**
- **美線基本面強勁，預期運價有撐**
- **歐線運價高檔回落，有效運力依然吃緊**

9 月營收年增 64%，管理層持續看好 4Q26 營運狀況：公司公布 9 月營收 497 億元(YoY+63.8%)，受惠中國大陸十一長假前夕出貨需求帶動，整體貨載增加，運價也維持相對高檔。展望 4Q26，管理層表示到 11 月之前裝載的狀況樂觀，加上 12 月農曆年前出貨潮的帶動下，認為 4Q26 營運將優於 4Q25。

美線基本面強勁，運價與載貨率展望樂觀：公司表示美洲線整體需求維持樂觀，受惠於終端市場強勁的消費動能，即使美國各主要港口進口貨量持續創下新高，整體存貨水準仍穩健維持在合理區間，顯示終端去化能力優異。此外，美國政府預計發放約 1,600 億美元的關稅退稅，進口商多將此資金用於商品降價促銷或擴充庫存，雙重效應皆持續轉化為強勁的進口拉貨動能。雖然美西碼頭工人合約將於 2028 年到期，預計談判衝擊自 2H27 起會逐漸顯現，但短中期關稅衝擊減弱有助於貿易回歸常態。在長約運價方面，由於今年現貨運價顯著高於去年同期談約水準，預期未來新簽訂的長約價格亦大概率高於今年。

歐線運價高檔回落，但紅海復航短期難全面恢復：歐洲線方面，雖然運價在 3Q26 後隨紅海復航的預期心裡及歐洲終端消費需求不足而逐漸回落，但公司表示目前現貨價格仍處於健康區間，即使未來船隻陸續重返紅海，由於全球關鍵碼頭如新加坡等的利用率已高達九成以上，船隻集中到港會加劇塞港，因此過運河所節省的時間並不會完全轉化為實質運力釋放，有效運力依然吃緊。亞洲線則因 4Q26 為傳統旺季，看法正向。

中長期運價面臨修正風險，建議區間操作：綜合上述，我們預估 2026/27 年營收 4,653/3,944 億元(YoY+22.8%/-15.2%)，EPS 37.48/23.08 元，考量 2027 年全球運力將大幅提升，且 2Q27 後可能受通膨滯後影響，運價仍有回落壓力，評價短期內難有大幅上修空間，故維持中立評等，目標價 260 元(2027 年每股淨值*0.85 倍本淨比)。

風險因子：地緣政治；運力供需。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	627,284	276,715	463,568	379,069	478,090	428,365
營業毛利淨額	398,442	49,909	176,105	92,679	123,575	83,453
營業利益	374,808	34,750	159,945	74,123	99,123	58,830
稅後純益	334,201	35,337	139,453	68,581	81,122	49,976
公告基本 EPS(元)	87.07	16.70	64.87	31.68	--	--
調整後 EPS(元)	157.91	16.61	64.41	31.68	37.48	23.08
營業收入 YoY(%)	28.17%	-55.89%	67.53%	-18.23%	26.12%	-10.40%
稅後純益 YoY(%)	39.82%	-89.43%	294.64%	-50.82%	18.29%	-38.39%
本益比	0.79	6.57	2.79	5.56	6.21	10.07
本淨比	0.26	0.53	0.68	0.68	0.81	0.80
股息(元)	70.00	9.97	32.50	16.00	18.74	11.54
殖利率(%)	45.16%	4.98%	13.18%	7.26%	8.06%	4.96%
ROE(%)	76.04%	7.12%	27.34%	11.99%	13.73%	8.04%

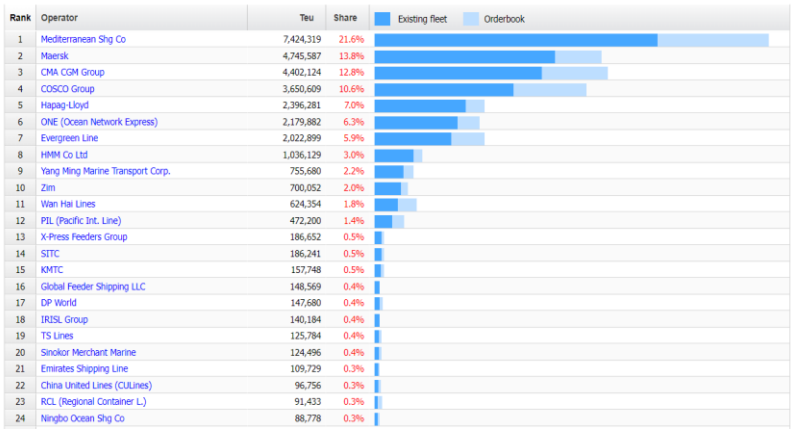
燃油成本侵蝕獲利，公司加速雙燃料布局：燃油成本佔整體營業成本逾二成，為影響公司利潤率的關鍵變數，雖然 3Q26 運價推升帶動營收創新高，且現貨運價指數上升至與 2024 年相似的高位，但今年的國際油價顯著高於 2024 年，導致相當一部分的成長效益直接被高漲的燃油成本所侵蝕。面對國際地緣政治衝突所引發的油價劇烈波動，單一能源配置將面臨極高的財務風控風險，為此公司推行多元能源與長遠減碳策略，預計至 2030 年將建置 55 艘雙燃料新能源船，並同時採用 LNG 與甲醇雙燃料系統，除能發揮區域性能源取得優勢（如歐美地區適合 LNG、中國大陸具備生物甲醇運送優勢）之外，亦能藉由分散燃料組合有效降低國際油價劇烈起伏帶來的成本衝擊。考量美伊戰爭仍持續，EIA 在最新報告中也上調了對 2027 年油價的預估，故我們略下調 2027 年獲利。

深化海洋聯盟合作優化航網，彈性因應紅海繞航：在航運聯盟消長與地緣政治衝擊下，公司表示其所在的海洋聯盟（Ocean Alliance）穩健的合作架構提供極具競爭力的營運優勢，聯盟合作已正式延長至 2032 年（並附帶 5 年選擇權至 2037 年），整體運力自初始的 334 萬 TEU 持續擴增至目前的 508 萬 TEU，具備全球規模最大且航線配置最為多元的運送網路。面對紅海危機引發的通行疑慮，公司遵循聯盟共同共識，以保障船員、船舶及貨物安全為最高前提進行航線規劃，目前歐地線多採取去程繞航好望角、回程過蘇伊士運河的彈性調度模式，主要用於加速船舶返回遠東以補足過去因塞港產生的空班，而非盲目擴充運力；在地中海等雙向過運河比率較高的區域，公司亦審慎評估地緣風險與高昂保費，動態調整主航線部署。此外，公司持續透過投資關鍵碼頭資源與引進智慧貨櫃（IoT Smart Container）技術，進一步強化聯盟航線的周轉效率與後勤掌控力，確保在市場不確定性中維持穩定獲利與競爭門檻。

公司簡介：長榮海運成立於 1968 年，為台灣規模最大的貨櫃航運業者，經營超過 200 艘全貨櫃輪。公司營運網絡涵蓋全球五大洲，主力航線橫跨遠東至北美、遠東至歐洲、地中海及亞洲近洋等主要貿易通道。長榮近年積極優化船隊結構，導入 24,000 TEU（A 級船）與 15,000 TEU（F 級船）等大箱位、低耗能之巨型貨櫃船，以實現規模經濟並降低每 TEU 運力之平均營運成本。目前地中海航運（MSC）、馬士基（Maersk）與達飛海運（CMA CGM）等前三大航商合計已掌控全球近五成的總運力，長榮則全球排名第 7 名。

圖表一、長榮貨櫃運力排名全球第 7

Rank	Operator	Teu	Share
1	Mediterranean Shg Co	7,424,319	21.6%
2	Maersk	4,745,587	13.8%
3	CMA CGM Group	4,402,124	12.8%
4	COSCO Group	3,650,609	10.6%
5	Hapag-Lloyd	2,396,281	7.0%
6	ONE (Ocean Network Express)	2,179,882	6.3%
7	Evergreen Line	2,022,899	5.9%
8	HMM Co Ltd	1,036,129	3.0%
9	Yang Ming Marine Transport Corp.	755,680	2.2%
10	Zim	700,052	2.0%
11	Wan Hai Lines	624,354	1.8%
12	PIL (Pacific Int. Line)	472,200	1.4%
13	X-Press Feeders Group	186,652	0.5%
14	SITC	186,241	0.5%
15	KMTC	157,748	0.5%
16	Global Feeder Shipping LLC	148,569	0.4%
17	DP World	147,680	0.4%
18	IRISL Group	140,184	0.4%
19	TS Lines	125,784	0.4%
20	Sinokor Merchant Marine	124,496	0.4%
21	Emirates Shipping Line	109,729	0.3%
22	China United Lines (CULines)	96,756	0.3%
23	RCL (Regional Container L.)	91,433	0.3%
24	Ningbo Ocean Shg Co	88,778	0.3%



資料來源：公司

圖表二、季度財報與預估差異

損益表（單位：百萬元）	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	105,161	-	-	100,115	5.0%	146,776	147,159	-0.3%	134,306	9.3%
營業毛利	23,978	-	-	20,609	16.3%	49,904	49,904	0.0%	30,660	62.8%
營業利益	19,358	-	-	17,763	9.0%	44,306	44,306	0.0%	43,857	1.0%
稅前純益	20,864	-	-	18,818	10.9%	45,867	48,632	-5.7%	45,371	1.1%
稅後淨利	16,034	-	-	15,478	3.6%	35,226	37,349	-5.7%	36,749	-4.1%
EPS(元)	7.41	-	-	7.89	-6.1%	16.27	17.25	-5.7%	18.37	-11.4%
財務比率(%/百分點)										
毛利率	22.8%	-	-	20.6%	2.2 ppts	34.0%	33.9%	0.1 ppts	22.8%	11.2 ppts
營益率	18.4%	-	-	17.7%	0.7 ppts	30.2%	30.1%	0.1 ppts	32.7%	-2.5 ppts
稅後淨利率	15.2%	-	-	15.5%	-0.2 ppts	24.0%	25.4%	-1.4 ppts	27.4%	-3.4 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

圖表三、年度財報與預估差異

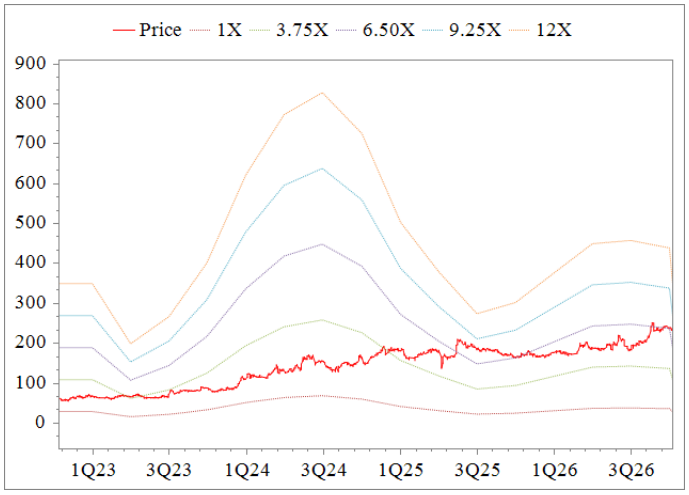
損益表（單位：百萬元）	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	478,090	465,389	2.7%	437,708	9.2%	428,365	394,455	8.6%	398,395	7.5%
營業毛利	123,575	124,718	-0.9%	94,123	31.3%	83,453	83,453	0.0%	80,339	3.9%
營業利益	99,123	98,136	1.0%	89,278	11.0%	58,829	48,130	22.2%	55,966	5.1%
稅前純益	105,442	104,455	0.9%	97,205	8.5%	65,073	54,373	19.7%	48,408	34.4%
稅後淨利	81,122	80,364	0.9%	76,177	6.5%	49,976	41,759	19.7%	45,210	10.5%
EPS(元)	37.48	37.13	0.9%	34.95	7.2%	23.08	19.29	19.7%	21.49	7.4%
財務比率(%/百分點)										
毛利率	25.8%	26.8%	-1.0 ppts	26.9%	-1.0 ppts	19.5%	21.2%	-1.7 ppts	20.2%	-0.7 ppts
營益率	20.7%	21.1%	-0.4 ppts	20.4%	0.3 ppts	13.7%	12.2%	1.5 ppts	14.0%	-0.3 ppts
稅後淨利率	17.0%	17.3%	-0.3 ppts	17.4%	-0.4 ppts	11.7%	10.6%	1.1 ppts	11.3%	0.3 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

2026/10/12

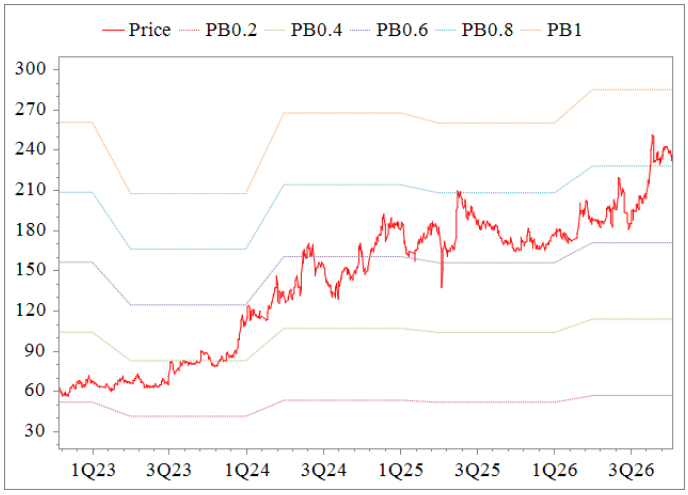
(百萬元)	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	86,511	105,161	146,776	139,641	105,917	106,525	111,774	104,149
營業成本	73,125	81,183	96,872	103,335	89,394	86,285	83,831	85,402
營業毛利	13,387	23,978	49,904	36,307	16,523	20,240	27,944	18,747
營業費用	4,598	4,756	5,598	9,797	5,316	5,349	5,608	8,350
營業利益	8,948	19,358	44,306	26,510	11,207	14,890	22,336	10,397
營業外收支淨額	1,691	1,507	1,561	1,561	1,561	1,561	1,561	1,561
稅前純益	10,639	20,864	45,867	28,071	12,768	16,451	23,896	11,957
所得稅	1,949	4,522	9,173	5,614	2,554	3,290	4,779	2,391
稅後純益	8,304	16,034	35,226	21,559	9,806	12,635	18,353	9,183
調整後 EPS(元)	3.84	7.41	16.27	9.96	4.53	5.84	8.48	4.24
毛利率(%)	15.47%	22.80%	34.00%	26.00%	15.60%	19.00%	25.00%	18.00%
營業利益率(%)	10.34%	18.41%	30.19%	18.98%	10.58%	13.98%	19.98%	9.98%
稅後純益率(%)	9.60%	15.25%	24.00%	15.44%	9.26%	11.86%	16.42%	8.82%
營業收入								
QoQ(%)	0.95%	21.56%	39.57%	-4.86%	-24.15%	0.57%	4.93%	-6.82%
YoY(%)	-21.33%	21.60%	51.44%	62.95%	22.43%	1.30%	-23.85%	-25.42%
營業利益								
QoQ(%)	7.45%	116.33%	128.88%	-40.17%	-57.73%	32.86%	50.00%	-53.45%
YoY(%)	-69.50%	34.16%	101.10%	218.32%	25.24%	-23.08%	-49.59%	-60.78%
稅後純益								
QoQ(%)	-2.52%	93.10%	119.70%	-38.80%	-54.52%	28.85%	45.26%	-49.96%
YoY(%)	-69.65%	46.33%	61.99%	153.09%	18.09%	-21.20%	-47.90%	-57.40%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/10/12

資產負債表

(百萬元)	2022	2023	2024	2025	2Q26
資產總計	887,512	731,831	914,214	894,332	968,347
流動資產	483,935	238,140	312,872	233,728	260,718
現金及約當現金	392,346	170,230	253,370	174,366	174,747
應收帳款與票據	25,801	20,700	28,336	23,567	31,318
存貨	7,705	10,117	11,018	10,428	18,598
採權益法之投資	43,648	38,322	39,789	39,822	41,947
不動產、廠房設備	211,065	260,244	346,026	398,815	431,495
負債總計	304,962	261,036	311,758	308,108	384,907
流動負債	164,879	111,750	150,345	146,353	187,821
應付帳款及票據	45,558	35,257	42,604	44,106	52,114
非流動負債	140,083	149,286	161,412	161,755	197,085
權益總計	582,550	470,795	602,456	586,224	583,440
普通股股本	21,164	21,164	21,650	21,650	21,650
保留盈餘	498,727	385,923	504,165	502,181	491,878
母公司業主權益	552,214	439,899	580,328	563,818	560,943
負債及權益總計	887,512	731,831	914,214	894,332	968,347

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	276,715	463,568	379,069	478,090	428,365
營業成本	226,806	287,463	286,390	354,515	344,912
營業毛利淨額	49,909	176,105	92,679	123,575	83,453
營業費用	16,814	21,446	20,408	24,748	24,624
營業利益	34,750	159,945	74,123	99,123	58,830
EBITDA	88,606	214,417	122,353	151,711	112,001
業外收入及支出	29,422	20,405	8,737	6,319	6,244
稅前純益	64,172	180,350	82,860	105,442	65,073
所得稅	24,196	36,366	12,613	21,258	13,015
稅後純益	35,337	139,453	68,581	81,122	49,976
公告基本 EPS(元)	16.70	64.87	31.68	- -	- -
調整後 EPS(元)	16.61	64.41	31.68	37.48	23.08

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	2Q26
營業活動現金	422,430	-13,833	192,259	101,202	20,008
稅前純益	399,424	64,172	180,350	82,860	20,864
折舊及攤銷	27,759	33,864	39,320	42,967	11,732
營運資金變動	29,722	-7,896	181	6,804	-10,154
其他營運現金	-34,475	-103,972	-27,592	-31,429	-2,434
投資活動現金	26,761	-39,756	-80,721	-108,997	-42,784
資本支出淨額	-14,222	-10,076	-15,933	-19,069	-8,795
長期投資變動	58,888	13,869	15,776	-1,916	0
其他投資現金	-17,904	-43,550	-80,564	-88,012	-33,989
籌資活動現金	-168,395	-168,079	-32,626	-66,015	14,929
長借/公司債變動	-24,079	-2,590	5,040	20,049	12,500
現金增資	0	0	0	0	0
發放現金股利	-95,239	-148,149	-21,439	-70,364	0
其他籌資現金	-49,078	-17,340	-16,227	-15,700	2,429
淨現金流量	284,554	-222,117	83,140	-79,004	-8,720
期初現金	107,792	392,346	170,230	253,370	183,466
期末現金	392,346	170,230	253,370	174,366	174,747

資料來源：中信、CMoney

比率分析

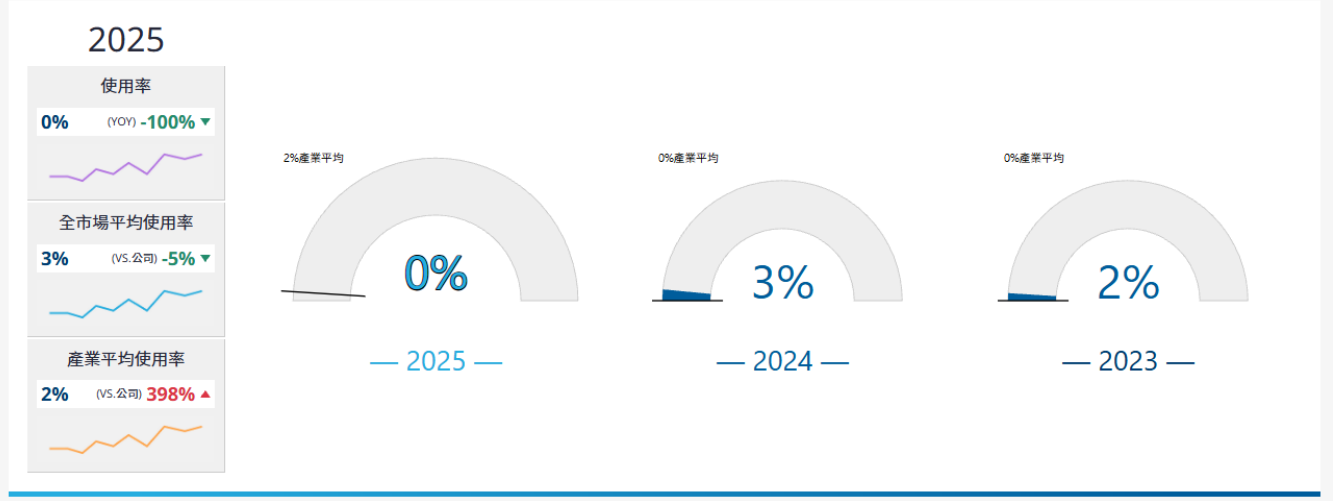
(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-55.89%	67.53%	-18.23%	26.12%	-10.40%
營業毛利淨額	-87.47%	252.85%	-47.37%	33.34%	-32.47%
營業利益	-90.73%	360.27%	-53.66%	33.73%	-40.65%
稅後純益	-88.45%	260.18%	-51.21%	18.29%	-38.39%
獲利能力分析(%)					
毛利率	18.04%	37.99%	24.45%	25.85%	19.48%
EBITDA(%)	32.02%	46.25%	32.28%	31.73%	26.15%
營益率	12.56%	34.50%	19.55%	20.73%	13.73%
稅後純益率	14.45%	31.06%	18.53%	16.97%	11.67%
ROE(%)	7.12%	27.34%	11.99%	13.73%	8.04%

2026/10/12

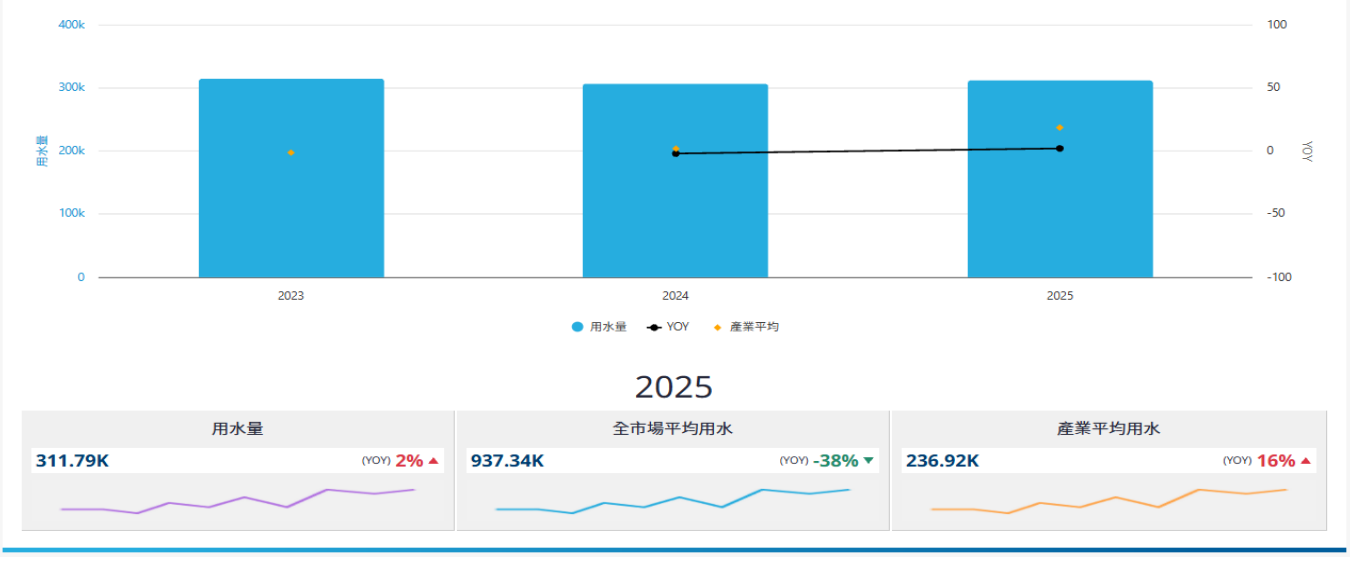
ESG 資訊-環境保護(Environmental)

溫室氣體(範疇一/二)排放量

再生能源使用率



用水量

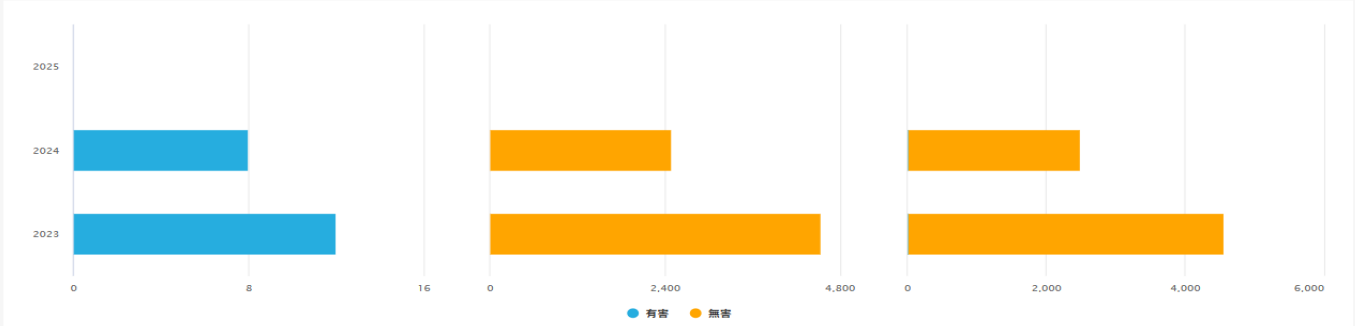


2026/10/12

2025

用水量	全市場平均用水	產業平均用水
--K (YOY) --%	--K (YOY) --%	--K (YOY) --%

廢棄物量



2025

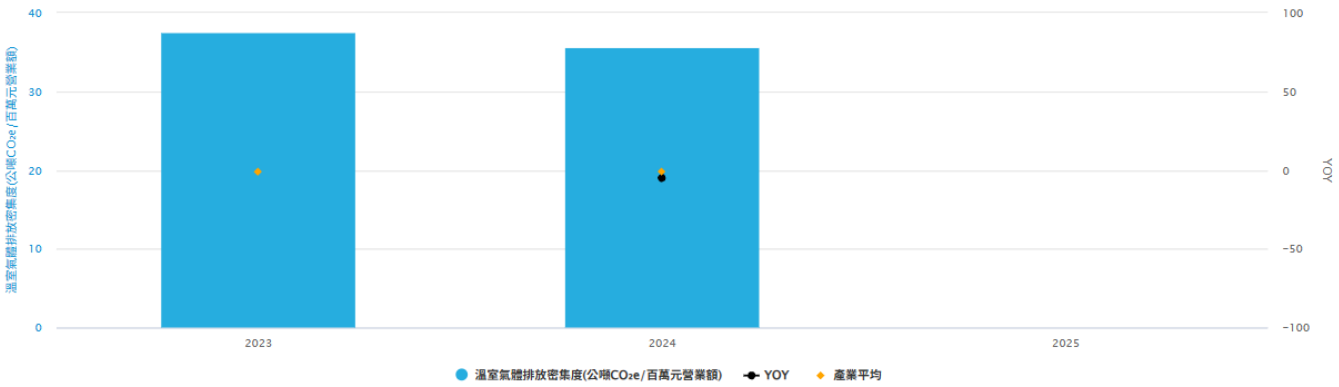
有害	無害	總量
--K (YOY) --%	--K (YOY) --%	--K (YOY) --%

密集度

2025

溫室氣體排放密集度	用水密集度	廢棄物密集度
--	--	--

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)

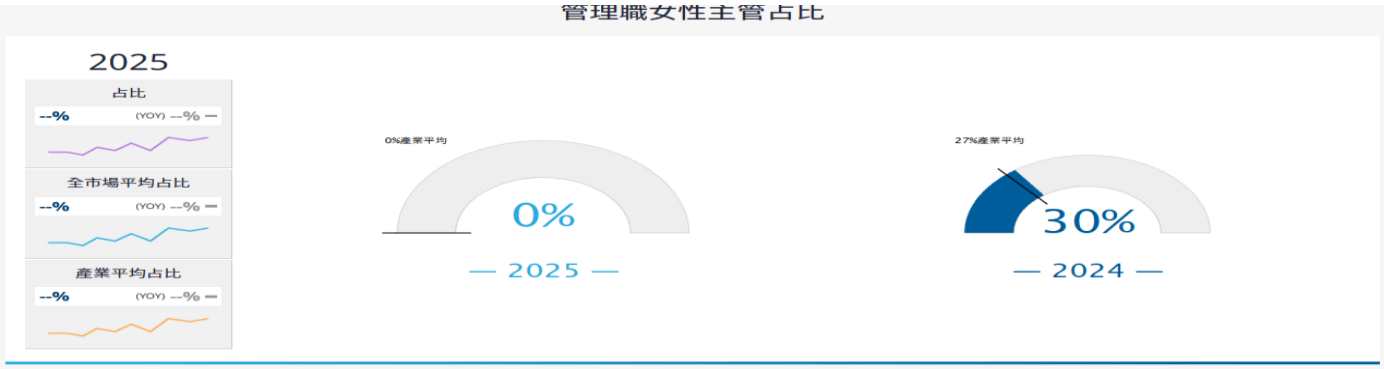


2025

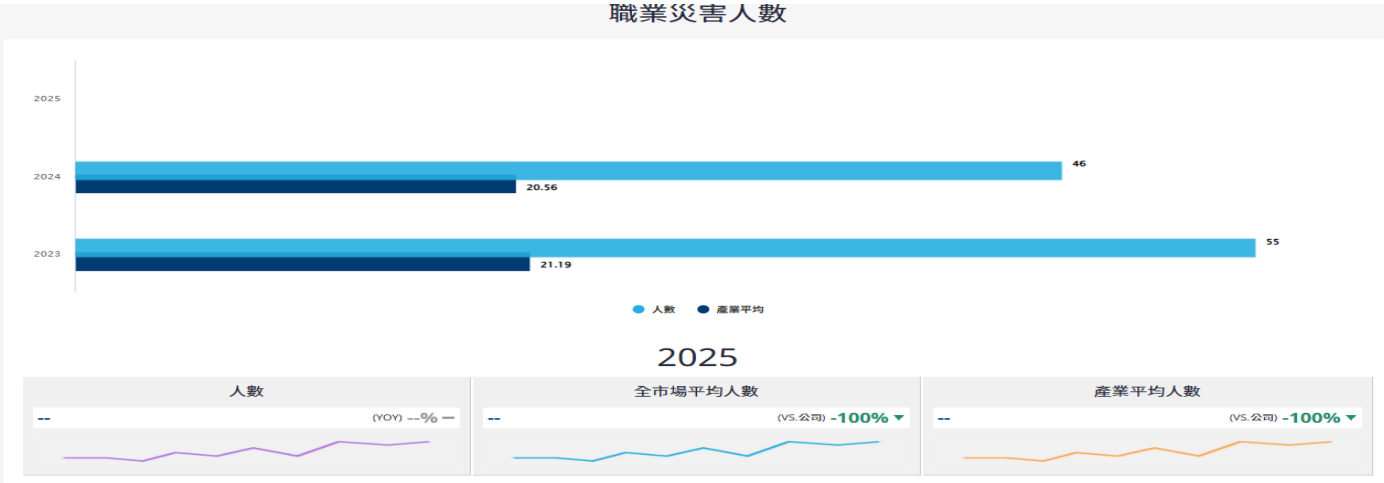
溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	全市場平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	產業平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)
--K (YOY) --%	--K (YOY) --%	--K (YOY) --%

ESG 資訊-社會責任(Social)

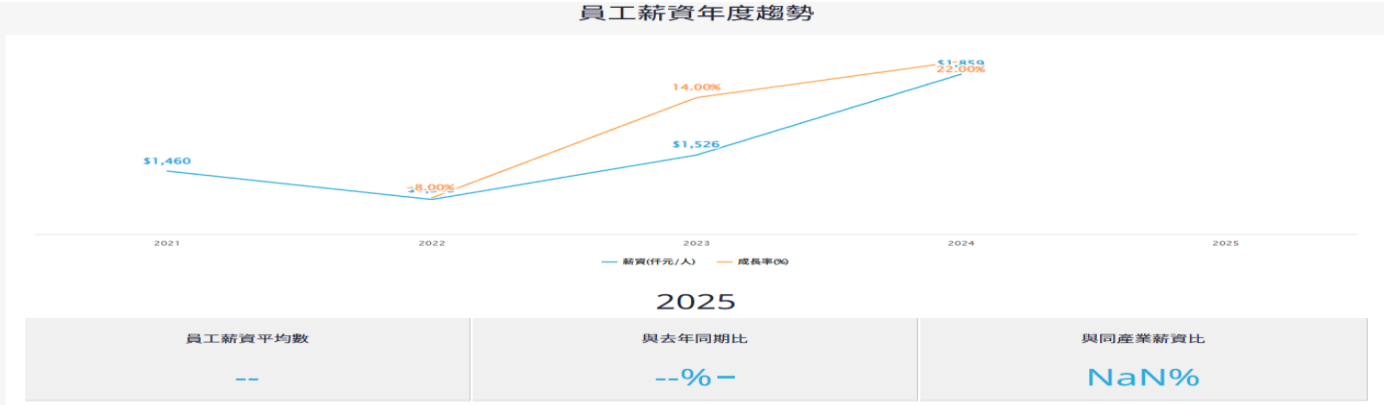
管理職女性主管占比



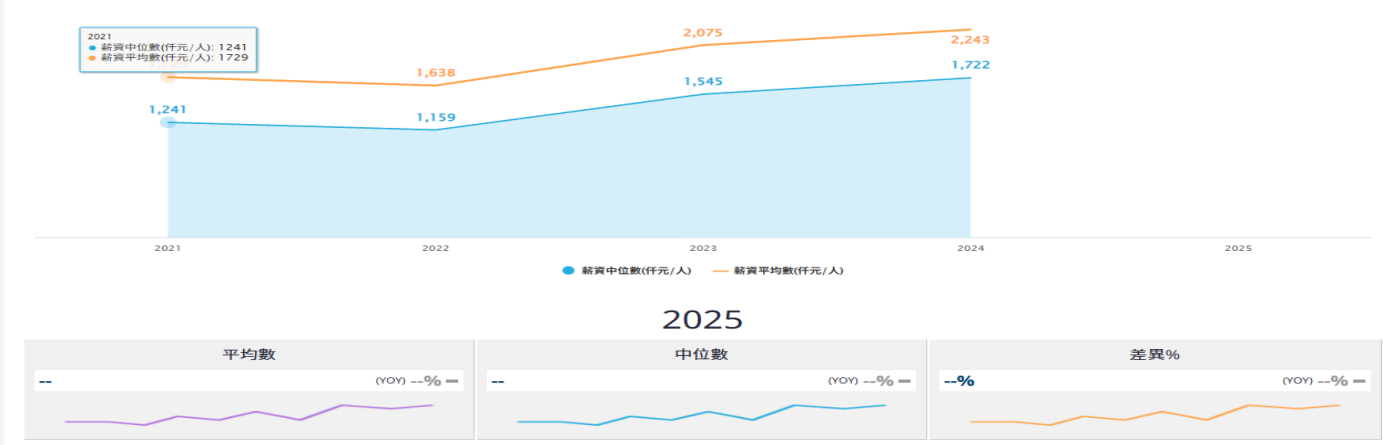
職業災害人數



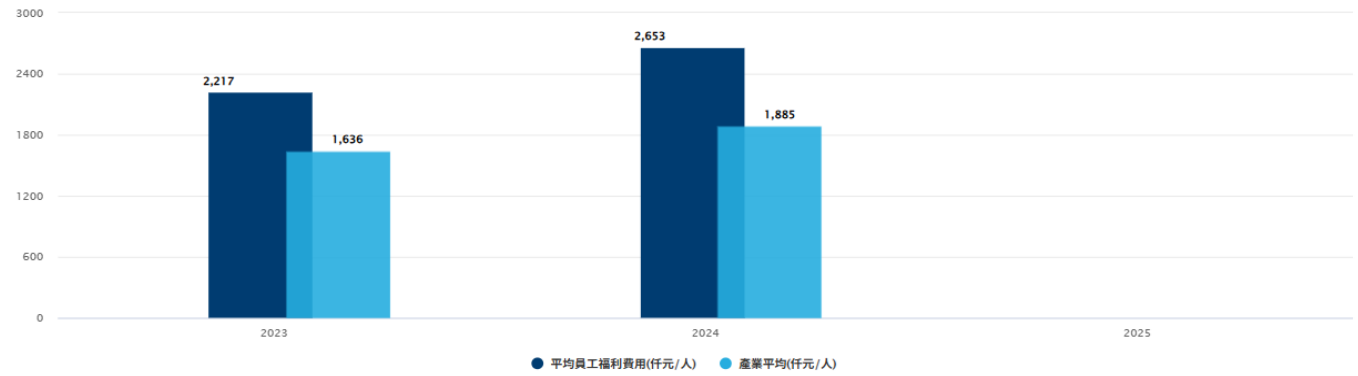
員工薪資年度趨勢



非擔任主管職務之全時員工薪資



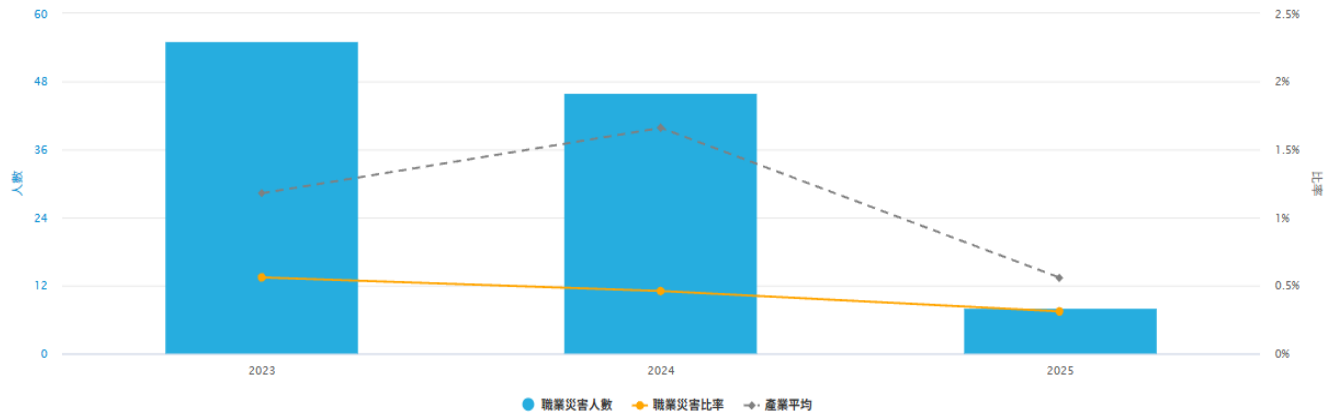
平均員工福利費用



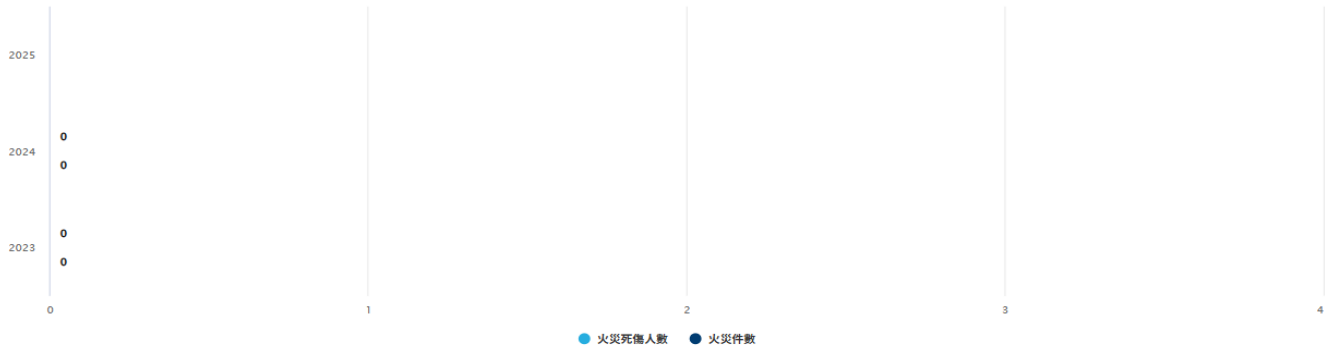
2025

平均福利	全市場平均福利	產業平均福利
-- (YOY) --%	-- (YOY) -100% ▼	-- (YOY) -100% ▼

職業災害人數與比率

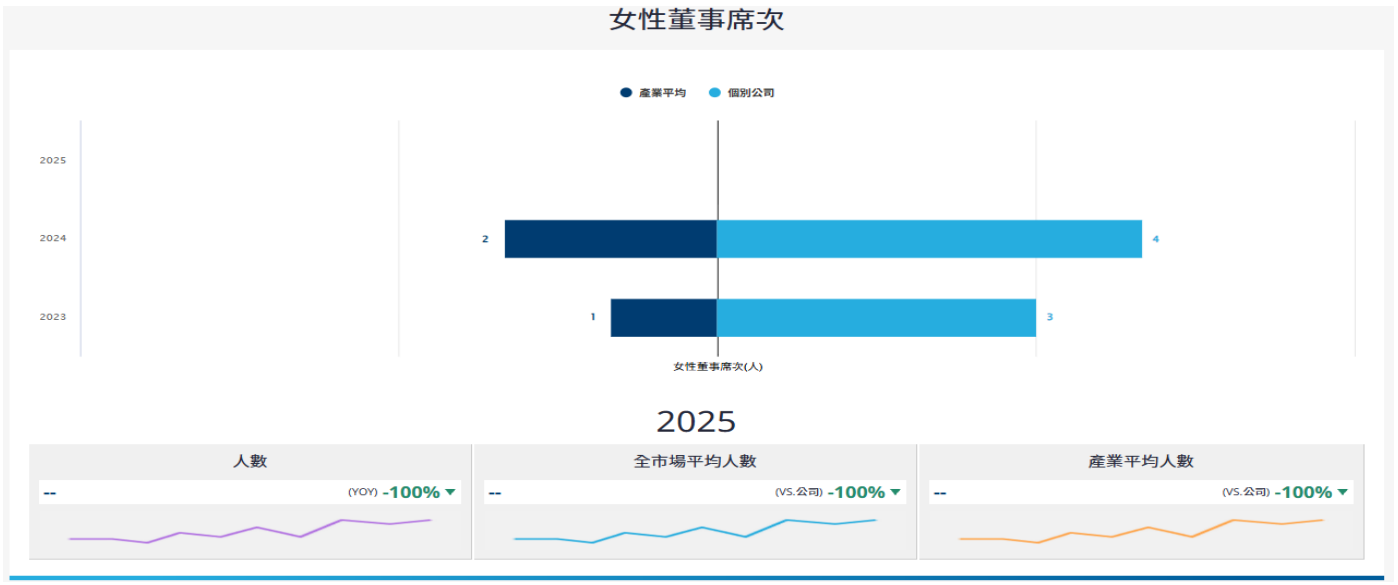


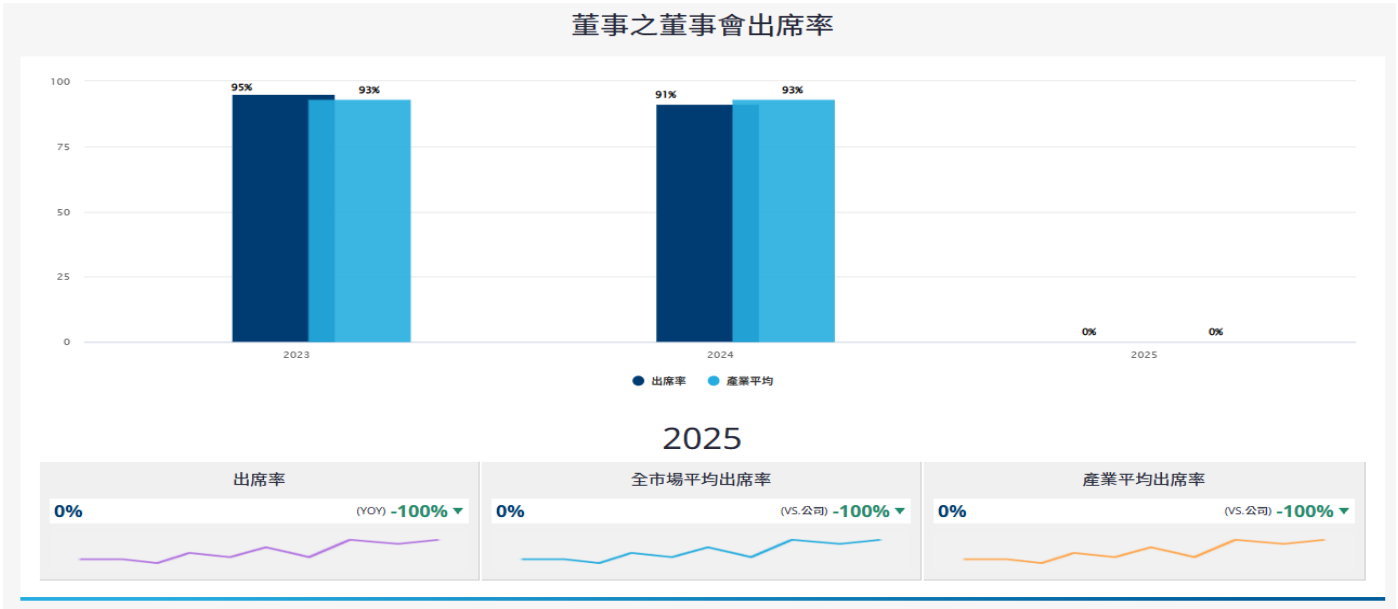
火災件數與死傷人數



2026/10/12

ESG 資訊-公司治理(Governance)

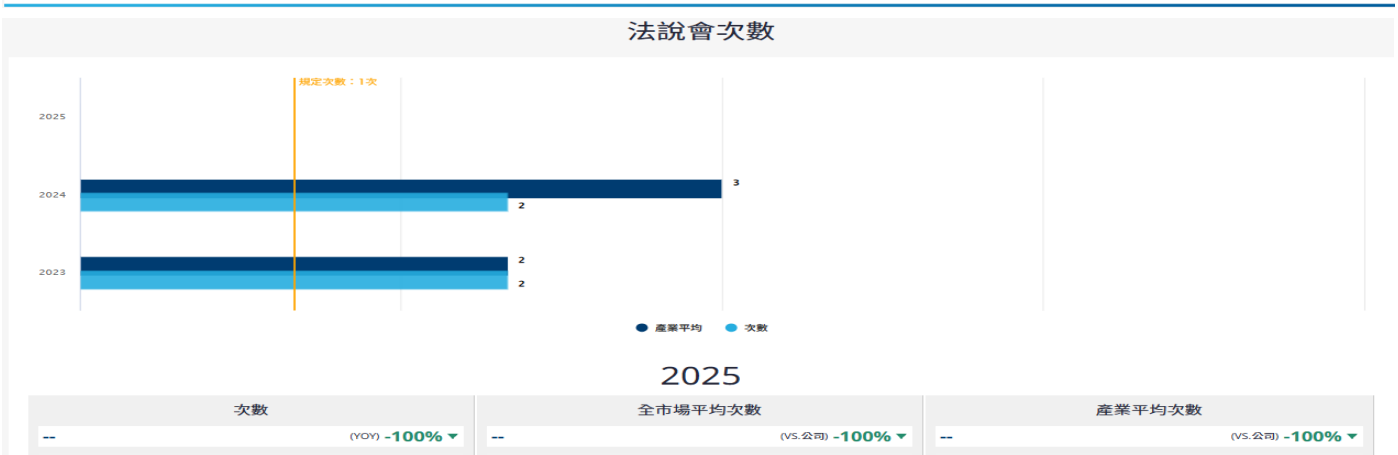




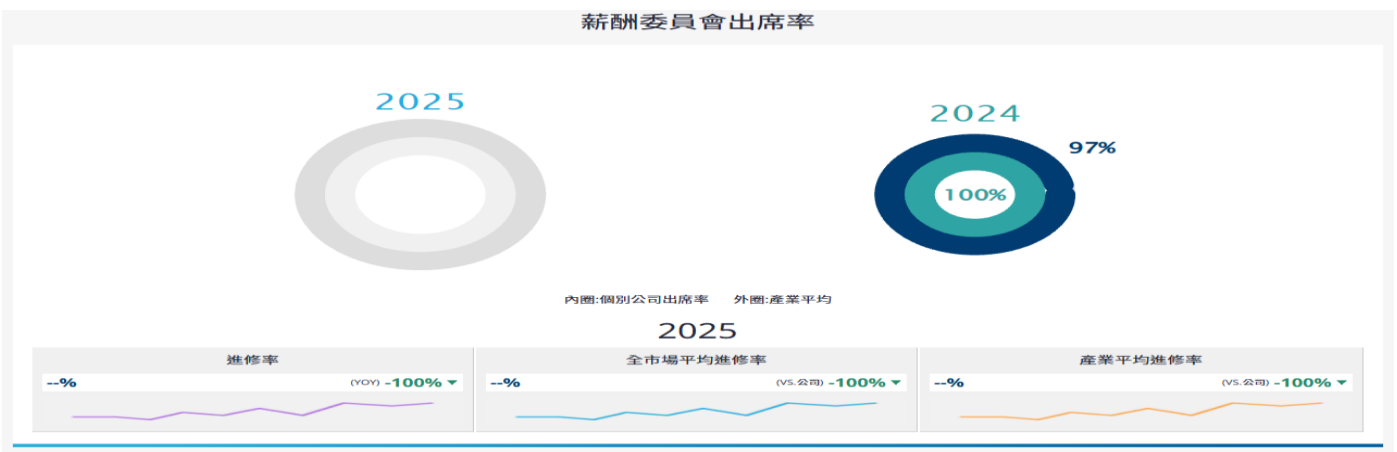
2026/10/12

董事進修符合進修要點比率

法說會次數



薪酬委員會出席率



薪酬委員會席次

資料來源:證交所

2026/10/12

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

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中國信託證券投資顧問股份有限公司
台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988
營業執照字號：114 金管投顧新字第 014 號

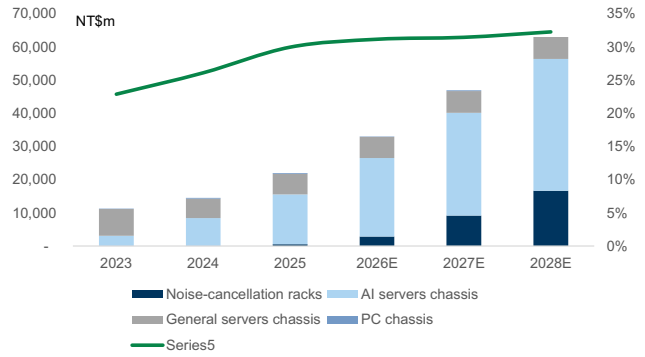
Chenbro (8210.TW): Chassis and Racks in expansion on AI infrastructure upcycle; Neutral

Verena Jeng
+852-2978-1681 | verena.jeng@gs.com
Goldman Sachs (Asia) L.L.C.

Allen Chang
+852-2978-2930 |
allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

We are positive on Chenbro's leading market position in AI server chassis, riding on AI capex across US and China cloud service providers (CSPs), and expanding to full rack business (e.g. noise-cancellation racks, liquid cooling CDU racks, etc.). Chenbro's revenues in Sep increased by 1% MoM, and we expect the sequential increase to continue in Oct-Dec, bringing 4Q26E revenue growth to +58% YoY / +44% QoQ. Catalysts in 4Q26 include: (1) major ASIC AI servers customers' new models ramp-up, (2) rack business expansion on noise-cancellation racks ramping up and expansion to liquid cooling CDU racks, (3) AI servers powered by NVIDIA (e.g. HGX, MGX) in expansion with new chipset platforms, and (4) ongoing capacity expansion to support the revenues growth. Maintain Neutral on fair valuation.

Exhibit 1: Chenbro revenues by products and GM trend



Source: Company data, Goldman Sachs Global Investment Research

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Exhibit 2: Chenbro monthly revenues preview

	Jul-26	Aug-26	Sep-26	Oct-26 (E)	Nov-26 (E)	Dec-26 (E)	3Q26	4Q26E
Rev (NT$m)	2,462	2,457	2,476	2,847	3,417	4,418	7,395	10,681
YoY	42%	41%	14%	43%	68%	63%	31%	58%
MoM / QoQ	-24%	0%	1%	15%	20%	29%	-5%	44%
GS estimates (NT$m)	2,949	3,156	3,433				9,539	
Act. Vs. GS.	-17%	-22%	-28%				-22%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision

We lower net income by 8%/3%/4% in 2026-28E mainly on lower revenues to reflect the less-than-expected shipment of AI servers chassis and the 3Q26 revenues miss, which were 22%/15% lower than our estimates / Bloomberg consensus. We lower revenues by 7%/5%/6% in 2026-28E.

Exhibit 3: Earnings revision

	2026E			2027E			2028E		
NT$m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	35,520	33,005	-7%	49,221	46,920	-5%	67,376	63,214	-6%
GP	11,138	10,343	-7%	15,334	14,759	-4%	21,441	20,400	-5%
OP	8,796	8,092	-8%	12,627	12,178	-4%	18,274	17,429	-5%
Net income	6,521	5,981	-8%	9,324	9,020	-3%	13,564	12,958	-4%
EPS (diluted)	51.3	47.1	-8%	73.4	71.1	-3%	106.8	102.1	-4%
Margins									
GM	31.4%	31.3%		31.2%	31.5%		31.8%	32.3%	
OPM	24.8%	24.5%		25.7%	26.0%		27.1%	27.6%	
NM	18.4%	18.1%		18.9%	19.2%		20.1%	20.5%	

Source: Goldman Sachs Global Investment Research

Exhibit 4: Chenbro P&L

NT$ mn	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Income statement														
Revenue	11,247	14,517	22,001	33,005	46,920	63,214	4,154	5,443	5,665	6,740	7,107	7,821	7,395	10,681
Gross profit	2,574	3,790	6,594	10,343	14,759	20,400	1,199	1,628	1,775	1,992	2,333	2,553	2,151	3,305
OP income	1,435	2,443	4,708	8,092	12,178	17,429	834	1,229	1,290	1,355	1,766	1,913	1,697	2,716
Net income	1,085	1,934	3,558	5,981	9,020	12,958	667	829	993	1,069	1,336	1,383	1,257	2,005
EPS, diluted (NT$)	8.95	15.48	28.41	47.12	71.08	102.12	5.33	6.64	7.93	8.51	10.52	10.90	9.91	15.80
Ratios														
Opex ratio	10%	9%	9%	7%	6%	5%	9%	7%	9%	9%	8%	8%	6%	6%
Tax rate	23%	24%	24%	25%	25%	25%	25%	26%	24%	23%	24%	26%	25%	25%
Margins														
Gross margin	22.9%	26.1%	30.0%	31.3%	31.5%	32.3%	28.9%	29.9%	31.3%	29.6%	32.8%	32.6%	29.1%	30.9%
Operating margin	12.8%	16.8%	21.4%	24.5%	26.0%	27.6%	20.1%	22.6%	22.8%	20.1%	24.9%	24.5%	22.9%	25.4%
Net margin	9.7%	13.3%	16.2%	18.1%	19.2%	20.5%	16.1%	15.2%	17.5%	15.9%	18.8%	17.7%	17.0%	18.8%
YoY														
Revenue	7%	29%	52%	50%	42%	35%	50%	51%	33%	74%	71%	44%	31%	58%
Gross profit	21%	47%	74%	57%	43%	38%	74%	78%	44%	108%	95%	57%	21%	66%
OP income	25%	70%	93%	72%	50%	43%	110%	111%	46%	135%	112%	56%	32%	100%
Net income	9%	78%	84%	68%	51%	44%	83%	83%	54%	127%	100%	67%	27%	87%
QoQ														
Revenue							7%	31%	4%	19%	5%	10%	-5%	44%
Gross profit							25%	36%	9%	12%	17%	9%	-16%	54%
OP income							44%	47%	5%	5%	30%	8%	-11%	60%
Net income							41%	24%	20%	8%	25%	4%	-9%	59%

Source: Company data, Goldman Sachs Global Investment Research

Compared to Bloomberg consensus, we are 1%/12%/27% ahead on 2026E/ 27E/28E net income, reflecting our positive view on Chenbro's revenues expansion.

Exhibit 5: GS vs. Bloomberg consensus

	2026E			2027E			2028E		
NT$m	GS	Cons.	Diff %	GS	Cons.	Diff %	GS	Cons.	Diff %
Revenues	33,005	33,345	-1%	46,920	45,332	4%	63,214	58,292	8%
GP	10,343	10,611	-3%	14,759	13,955	6%	20,400	17,081	19%
OP	8,092	7,972	2%	12,178	10,755	13%	17,429	13,934	25%
Net income	5,981	5,930	1%	9,020	8,063	12%	12,958	10,232	27%
Margins									
GM	31.3%	31.8%		31.5%	30.8%		32.3%	29.3%	
OPM	24.5%	23.9%		26.0%	23.7%		27.6%	23.9%	
NM	18.1%	17.8%		19.2%	17.8%		20.5%	17.6%	

Source: Goldman Sachs Global Investment Research, Bloomberg

Valuation

We continue to use near-term P/E to derive our 12m TP. We derive our target P/E multiple from (1) peers' avg. ratio of trading P/E to forward year fundamentals (NI YoY and OPM), which is at 0.3x, and (2) Chenbro's forward year fundamentals: 2027-28E NI YoY now at 47% on avg. and OPM is at 26.8% on avg. Our new target P/E multiple is at 21.2x (vs. 20.2x of our previous TP implied 2027E P/E). Our previous target P/E multiple to forward year fundamentals was also 0.3x. Our new target P/E multiple of 21.2x is between the company's avg.+1stv. P/E of 17x and peak P/E of 26x, reflecting our positive view on its expansion toward AI servers. Accordingly, we raise our target price by 1.7% to NT$1,507 (21.2x 2027E P/E) from NT$1,482.

Exhibit 6: Chenbro peers comparison

Company	Ticker	Rating	2027E PE	2027-28E NI YoY	2027-28E OPM	Ratio
Chenbro	8210.TW	Neutral	12.3	47%	26.8%	0.2
Chenbro (TP implied)	8210.TW	Neutral	21.2	47%	26.8%	0.3
Peers						
Karrie	1050.HK	NC	7.5	31%	12%	0.2
King Slide	2059.TW	Buy	31.3	37%	72.1%	0.3
AVC	3017.TW	Buy	20.9	32%	25.4%	0.4
Repon	6584.TW	NC	26.9	64%	44.3%	0.2
Auras	3324.TWO	Buy	14.2	23%	19.1%	0.3
Fositek	6805.TW	Buy	17.7	32%	26.1%	0.3
AVG.			**19.7**	**36%**	**33%**	**0.3**

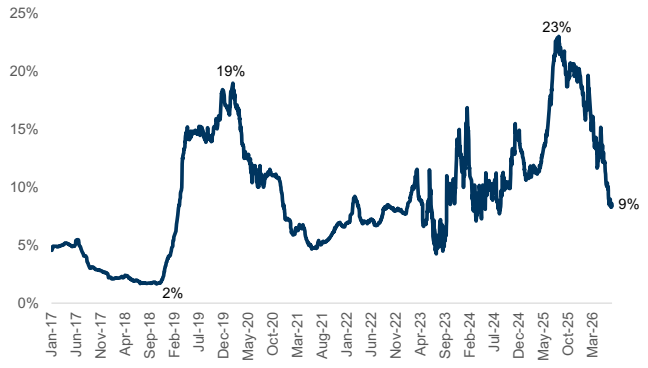
NC: Not Covered - estimates are from Bloomberg consensus

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 7: Chenbro 12M forward P/E ratio

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: Chenbro QFII holdings



Source: TEJ

Price Target Risks and Methodology: Chenbro

Valuation: We use near-term P/E to derive our 12-month target price for Chenbro, consistent with our Taiwan Technology coverage. We base our target price of NT$1,507 on a target P/E multiple of 21.2x on forward year EPS (2027E). Our target P/E of 21.2x is derived from the peers' avg. ratio of trading P/E to forward year fundamentals (NI YoY and OPM). We have a Neutral rating on Chenbro on fair valuation. **Key upside / downside risks:** faster / slower-than-expected AI infrastructure investments, faster / slower-than-expected rack business ramp-up, or healthier / fiercer-than-expected competition.

8210.TW	12m Price Target: **NT$1,507.00**	Price: **NT$874.00**	Upside: **72.4%**

Neutral

Market cap: NT$110.9bn / $3.5bn
Enterprise value: NT$108.3bn / $3.4bn
3m ADTV: NT$1.5bn / $45.7mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**22,001.3**	**33,004.6**	**46,919.8**	**63,213.7**
Revenue (NT$ mn) Old	22,001.3	35,519.7	49,221.2	67,376.5
EBITDA (NT$ mn)	5,095.5	8,549.3	12,660.9	17,932.7
EPS (NT$) New	**28.41**	**47.12**	**71.08**	**102.12**
EPS (NT$) Old	28.41	51.33	73.39	106.76
P/E (X)	18.1	18.5	12.3	8.6
P/B (X)	5.9	8.0	6.0	4.4
Dividend yield (%)	2.7	2.7	4.0	5.8
CROCI (%)	47.6	54.8	71.3	92.5

	3/26	6/26E	9/26E	12/26E
EPS (NT$)	10.52	10.90	9.91	15.80

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

Disclosure Appendix

Reg AC

We, Verena Jeng and Allen Chang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Verena Jeng Goldman Sachs (Asia) L.L.C., Allen Chang Goldman Sachs (Asia) L.L.C..

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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AVC (Buy, NT$3,440.00), Auras (Buy, NT$1,520.00), Fositek (Buy, NT$2,370.00) and King Slide (Buy, NT$10,615.00)

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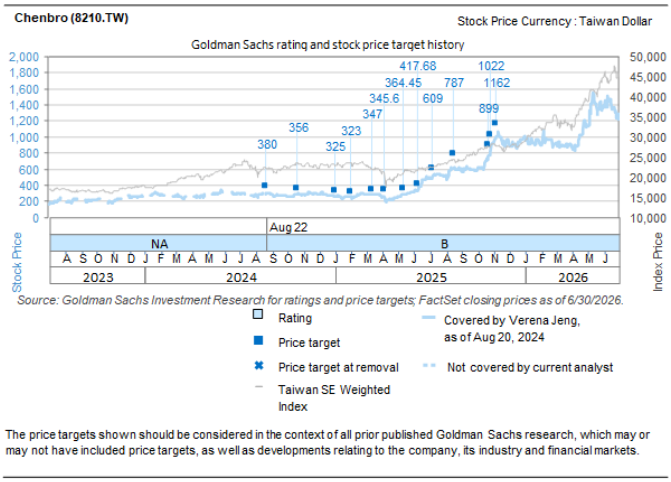
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Chenbro (8210.TW)

Date of report	Target price (NT$)	Closing price (NT$)
06-Jul-26	1,482.00	1,290.00
07-Nov-25	1,162.00	1,010.00
28-Oct-25	1,022.00	904.00
22-Oct-25	899.00	764.00
18-Aug-25	787.00	625.00
06-Jul-25	609.00	487.50
08-Jun-25	417.68	335.50
12-May-25	364.45	295.00
06-Apr-25	345.60	256.00
13-Mar-25	347.00	292.50
31-Jan-25	323.00	-
02-Jan-25	325.00	262.50
21-Oct-24	356.00	290.50
22-Aug-24	380.00	295.00

Price targets shown in table(s) are unadjusted for corporate actions.

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October 11, 2026 06:34 PM GMT

Alchip Technologies Ltd | Asia Pacific

Solid 2027 and 2028 outlook with potential catalysts; OW

Key Takeaways

- 2027 Trainium3 revenue could exceed 70% YoY growth, with margins remaining sustainable.
- 2028 Trainium4 revenue tracking bullish MSe US$8bn and could exceed it.
- Alchip is close to securing a new US customer before year-end.
- Keep Alchip PT of NT5,888. Catalysts: 1) new US customer win; 2) AWS re:invent on 11/30; 3) 2028 Trainium4 TAM and allocation confirmation.

What's new? Ahead of Alchip's 3Q26 earnings release on November 6, investors are looking for updates on the company's 2027 and 2028 revenue outlook, particularly regarding AWS Trainium programmes and potential new customer wins.

Major projects – AWS Trainium: It appears TSMC is allocating additional 3nm capacity to AI ASICs and CPUs in 2027. We do not rule out AWS-related revenue growing more than 70% YoY in 2027, versus our current forecast of 56% YoY growth. As a result, we remain confident in our 2027 revenue forecast of US$4.4bn. We believe gross margin can remain sustainable despite the additional revenue contribution, which would be better than our previous assumption of fixed gross profit from 3nm Trainium3. For 2028, we forecast a Street-high US$8bn revenue contribution from 2nm Trainium4. Our supply-chain checks suggest US$8bn–12bn of revenue is possible if AWS allocates additional volume.

Potential new projects - Google KGD and others: In Asia-Pacific Technology: AI Supply Chain: Google ASIC, who gets what for design services? (24 Aug 2026), we highlighted key trends for Google TPU v10, including: "KGD (known good die) for the compute die, which means Google owns the compute-die design and photomask tools, while retaining flexibility to outsource backend design services for the compute die." We believe Alchip is a leading candidate for this KGD backend-design opportunity. In addition, Alchip is pursuing another US HPC customer opportunity. Our checks suggest a switch-networking product is a possibility, potentially involving collaboration with Astera Labs and NVLink Fusion.

MORGAN STANLEY TAIWAN LIMITED+
Charlie Chan
Equity Analyst
Charlie.Chan@morganstanley.com +886 2 2730-1725

Daniel Yen, CFA
Equity Analyst
Daniel.Yen@morganstanley.com +886 2 2730-2863

MORGAN STANLEY ASIA LIMITED+
Daisy Dai, CFA
Equity Analyst
Daisy.Dai@morganstanley.com +852 2848-7310

MORGAN STANLEY TAIWAN LIMITED+
Lucas Wang
Equity Analyst
Lucas.Wang@morganstanley.com +886 2 2730-2875

MORGAN STANLEY ASIA LIMITED+
Henry Zhao
Equity Analyst
Henry.Zhao@morganstanley.com +852 2239-7731

Ethan Jia
Research Associate
Ethan.Jia@morganstanley.com +852 3963-2287

Alchip Technologies Ltd (3661.TW, 3661 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$5,888.00
Up/downside to price target (%)	36
Shr price, close (Oct 8, 2026)	NT$4,345.00
52-Week Range	NT$5,640.00-2,480.00
Mkt cap, curr (mn)	NT$352,568
Avg daily trading value (mn)	NT$8,261

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	67.68	176.72	225.82	363.29
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	65.78	141.48	187.91	262.18
Revenue, net (NT$ mn)	30,926	94,550	135,780	303,800
P/E	51.9	24.6	19.2	12.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Exhibit 1: Alchip 2027 and 2028 revenue forecast by key customer

Revenue (US$ mn)	2025e	2026e	2027e	2028e	2025 Y/Y	2026 Y/Y	2027 Y/Y	2028 Y/Y
NRE								
Total NRE	**321**	**400**	**450**	**500**	**-15%**	**25%**	**13%**	**11%**
Turnkey								
AWS	100	1,800	2,800	8,000	-86%	1700%	56%	186%
Intel Habana	300	0	0	0	50%	-100%	NA	NA
Amazon Lab126	40	50	50	50	-33%	25%	0%	0%
Sony	20	0	0	0	-60%	-100%	NA	NA
Chinese CPU	10	200	300	300	-75%	1900%	50%	0%
Li Auto	20	350	500	700	NA	NA	NA	NA
Japan Consumer	30	100	100	100	NA	NA	NA	NA
Others	143	150	180	150	-25%	5%	20%	-17%
Total turnkey	**663**	**2,650**	**3,930**	**9,300**	**-47%**	**300%**	**48%**	**137%**
Total revenue	**984**	**3,050**	**4,380**	**9,800**	**-39%**	**210%**	**44%**	**124%**

Source: Company data, Morgan Stanley research estimates

Valuation Methodology and Risks

Alchip Technologies Ltd (3661.TW)

Base case value, derived from a residual income model. We assume the cost of equity is constant at 10.4% (2% risk-free rate, 6% risk premium, 1.4 beta). Our intermediate growth rate and terminal growth rates are 12.5% and 4%, respectively.

Risks to Upside

- Demand for Chinese GPUs and AI chipsets takes off earlier than expected.
- NRE demand accelerates.
- Alchip wins more US hyperscaler HPC projects.

Risks to Downside

- China's HPC localization progress slows down.
- AI chipset progress is much slower to develop.
- NRE demand decelerates.
- Pricing competition intensifies.

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Global Stock Ratings Distribution

(as of September 30, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

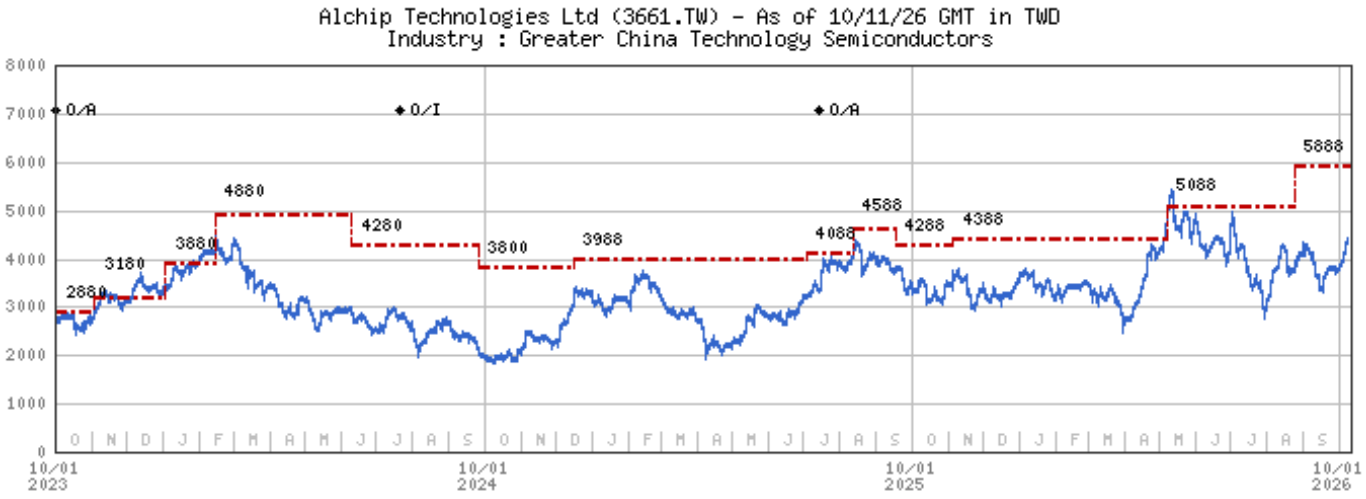
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A

Price Target History: 9/23/21 : 980; 10/8/21 : 1090; 10/30/21 : 1190; 2/10/22 : 1280; 3/7/22 : 1420; 10/18/22 : 1280; 3/13/23 : 1340; 4/26/23 : 1380; 5/10/23 : 1480; 6/12/23 : 1800; 7/3/23 : 2130; 7/7/23 : 2280; 8/14/23 : 2330; 9/12/23 : 2880; 11/3/23 : 3180; 1/2/24 : 3880; 2/14/24 : 4880; 6/10/24 : 4280; 9/26/24 : 3800; 12/16/24 : 3988; 7/3/25 : 4088; 8/12/25 : 4588; 9/17/25 : 4288; 11/5/25 : 4388; 5/7/26 : 5088; 8/24/26 : 5888

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/09/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$154.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$4,345.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$744.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb985.99
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb51.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$8,360.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$1,130.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$571.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$94.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$88.30
MediaTek (2454.TW)	O (11/28/2025)	NT$4,690.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb464.08
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$532.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb79.15
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$2,060.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb95.97
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$462.50
SMIC (0981.HK)	O (10/21/2025)	HK$57.65
TSMC (2330.TW)	O (02/07/2022)	NT$2,550.00
UMC (2303.TW)	O (05/19/2026)	NT$147.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$186.50
WIN Semiconductors Corp (3105.TWO)	E (10/09/2026)	NT$581.00

Daisy Dai, CFA

ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$161.30
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb51.90
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.25
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb29.09
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb219.59
Innoscience (2577.HK)	E (10/13/2025)	HK$36.74
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb62.74
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$24.00
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb97.54
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb111.55
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb76.25
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb56.59
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb22.63
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb83.48
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$980.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,490.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$17,485.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$100.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT$132.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,915.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb116.90
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb326.46
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$116.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$268.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb197.60
Novatek (3034.TW)	U (02/04/2026)	NT$531.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$155.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT$558.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$72.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$749.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.95
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$177.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$117.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$215.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb104.38
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb284.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$71.37
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb311.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb62.42
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb594.04
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,525.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$667.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$5,925.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$304.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$5,575.00
Tiffany Yeh		
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$13.30
Silicon Motion (SIMO.O)	O (05/06/2024)	US$263.90
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT$5,615.00

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* Historical prices are not split adjusted.

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October 11, 2026 06:18 PM GMT

Lite-On Technology | Asia Pacific

September Sales -4% MoM/ +22% YoY

In this report, we focus on Lite-on's monthly sales, which we believe could be a catalyst for its share price.

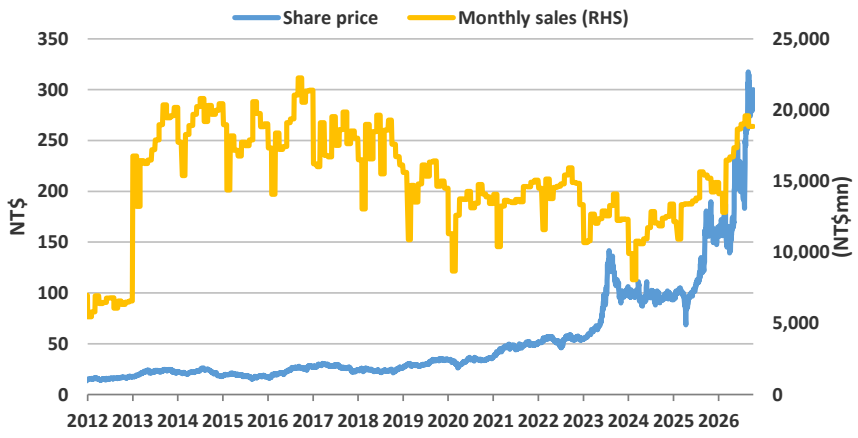
Details:

- September sales were NT$18,848mn (-4% MoM/+22% YoY).
- 3Q26 sales came in at NT$57,446mn (+9% QoQ/+28% YoY), lower than our estimate of NT$59,526mn (+13% QoQ/+33% YoY) and the consensus at NT $60,259mn (+14% QoQ/+34% YoY).
- By segment, Cloud&AIoT/Opto-electronics/IT&Consumer Electronics accounted for 59%/14%/27% of total sales, respectively. This implies growth of -5%/-4%/flat MoM and +53%/+7%/-11% YoY for each segment, respectively, in the month.

Our view:

- We believe softer revenue growth in September primarily reflected component shortages at customers in the cloud segment and, to a lesser extent, the consumer electronics segment.
- Looking ahead, we expect 4Q26 revenue to grow by double digits QoQ, driven mainly by the cloud segment. We expect gross margin to normalise to around 25% in 2H26, versus 27.2% in 2Q26, as inventory write-back benefits fade and shipments of high-margin products delayed from 2Q26 flow through.
- Stay EW.

Exhibit 1: Lite-on's monthly sales vs. its share price



Source: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

MORGAN STANLEY TAIWAN LIMITED+

Derrick Yang
Equity Analyst
Derrick.Yang@morganstanley.com +886 2 2730-2862

Vivi Huang
Research Associate
Vivi.Huang@morganstanley.com +886 2 2730-2860

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Lite-On Technology (2301.TW, 2301 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$315.00
Up/downside to price target (%)	6
Shr price, close (Oct 8, 2026)	NT$297.50
52-Week Range	NT$328.00-139.50
Sh out, dil, curr (mn)	2,275
Mkt cap, curr (mn)	NT$676,960
EV, curr (mn)	NT$613,369
Avg daily trading value (mn)	NT$5,513

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	6.64	11.07	15.97	21.07
Revenue, net (NT$ bn)	166.1	224.8	298.0	357.7
EBITDA (NT$ bn)	19.7	33.5	48.7	63.9
ModelWare net inc (NT $ bn)	15.1	25.2	36.3	47.9
P/E	24.6	26.9	18.6	14.1
P/BV	4.1	7.1	6.6	6.0
RNOA (%)	70.7	85.3	112.7	140.4
ROE (%)	16.6	28.0	38.1	46.6
EV/EBITDA	15.7	18.2	12.5	9.5
Div yld (%)	2.8	2.9	4.2	5.6
FCF yld ratio (%)**	1.9	3.1	5.0	5.7
Leverage (EOP) (%)	(74.1)	(71.8)	(71.8)	(66.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Lite-On Technology 2301.TW			
September 2026 Sales	08 Oct 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Lite-On Technology (2301.TW)

Base case: P/E multiple of 17x based on average 2027-28 EPS. We believe our target multiple is justified by the 47% earnings CAGR we estimate for 2025-28, implying a PEG of 0.4, versus the stock's 16x P/E and 2% earnings CAGR during 2022-25, which implied a PEG of 7.2.

Risks to Upside

- Stronger optical business growth
- Stronger data center/server demand
- PC/NB demand growth
- Downtrend in raw material prices

Risks to Downside

- Macro demand weakness
- Weaker data center/server demand
- PC/NB demand slowdown
- Uptrend in raw material prices

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(as of September 30, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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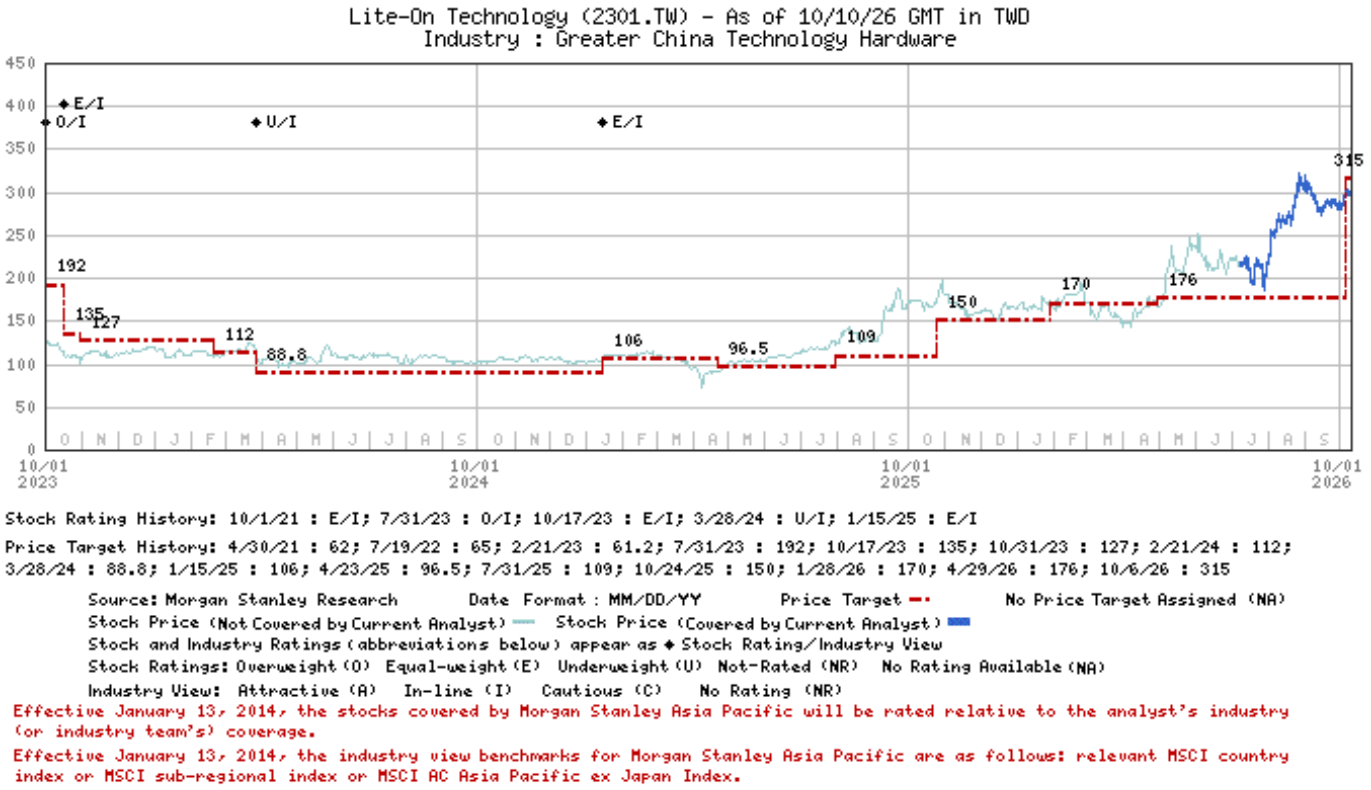
Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/09/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.36
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb148.71
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.16
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.40
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.46
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb370.20
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT$1,060.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.51
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.20
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.97
Largan Precision (3008.TW)	E (09/10/2026)	NT$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.90
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.15
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.05
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.55
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb47.59
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.46
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.90
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb72.20
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb48.95
Sunny Optical (2382.HK)	E (03/23/2026)	HK$60.50
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb235.04
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb15.64
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$25.96

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb387.87
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$168.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb98.38
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb22.37
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb775.29
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$974.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.76
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb29.03
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT$727.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,205.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,440.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$36.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,360.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.50
Chenbro (8210.TW)	O (07/23/2025)	NT$874.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,330.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,965.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,370.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$332.50
Innolux (3481.TW)	E (04/07/2025)	NT$51.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$10,615.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb28.41
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$297.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.64
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.23
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb168.22
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$6,000.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$4.63
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb56.07
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$363.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,285.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$249.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.69
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$49.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,960.00
Lenovo (0992.HK)	O (07/10/2026)	HK$32.84
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,915.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,475.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb124.14
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb347.25
Unimicron (3037.TW)	O (02/23/2026)	NT$1,270.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$558.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$2,240.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$635.00
Zhen Ding (4958.TW)	++	NT$592.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$535.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,740.00

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* Historical prices are not split adjusted.

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Largan Precision

Core weakness outweighs progress in AI optics

Equities

Taiwan

Electric Components & Equipment

12-month rating	**Sell**
12m price target	**NT$5,000.00**
Price (08 Oct 2026)	**NT$6,660**

RIC: 3008.TW **BBG:** 3008 TT

Trading data and key metrics

52-wk range	NT$7,810.00-2,025.00
Market cap.	NT$875b/US$27.4b
Shares o/s	131m (ORD)
Free float	70%
Avg. daily volume ('000)	2,379
Avg. daily value (m)	NT$13,134.2
Common s/h equity (12/26E)	NT$199b
P/BV (12/26E)	4.4x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	188.21	160.04	-15	184.91
12/27E	214.00	180.00	-16	204.02
12/28E	250.66	220.00	-12	238.78

Randy Abrams
Analyst
randy.abrams@ubs.com
+886-2-8722 7338

Irene Chang
Associate Analyst
irene.chang@ubs.com
+886-2-8722 7280

CPO progress is more tangible but substantial success is already priced in

We maintain Sell and our NT$5,000 target price as erosion in the core smartphone business outweighs CPO progress. The Q326 call confirmed that Largan's fiber array has passed customer qualification although its customer qualified another vendor's prism micro-lens assembly (PMLA) that Largan would now buy in. If Largan qualifies the full FAU plus carrier assembly for 2H27, content rises but with more pass-through cost and less margin upside. We roll our valuation to 2028E, the first full year of CPO production, though 25% below the NT$6,660 close on October 8.

Full FAU assembly would lift content, but with more pass-through

We believe Largan's FA customer is one of two module suppliers on NVIDIA's 2H27 program, which we estimate could reach 40% share. The program is still subject to successful yield ramp and could move to metalens in 2028, which would reopen supplier qualification. Assembling the full FAU could lift Largan's ASP to US$125-150 leveraging its precision alignment and automation but the PMLA, V-groove and carrier parts would be pass through that cuts into margin leverage. We expand our FAU TAM analysis (Figure 9) with FAU market in 2028/30 expanding to 12.3mn/35.6mn units, with Largan base case set at 25% of the TAM.

Core smartphone business stays soft into 2027

Q326 sales of NT$15.7bn, +15% QoQ/-11% YoY missedUBSe/Street +36%/+33% on weaker flagship smartphone demand. GMs fell 7.2ppts QoQ to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (+1% YoY vs. -11% YoY). We cut 2027 from NT$77bn to NT $67bn, before a recovery to NT$79bn in 2028 with the next periscope upgrade. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass through in 2028 pricing.

Maintain Sell and our NT$5,000 target

We cut 2026E/27E EPS by 14%/16% to NT$160/NT$180 and introduce 2028E EPS of NT$220 for the core smartphone business. We value the lens business at NT$3,300 (15x 2028E ex-CPO EPS of NT$220, the middle of Largan's 13–18x historical range) and CPO option at NT$1,700 or US$7bn (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US $1.85bn FAU market at US$150 per unit and a 50% gross margin. That credits it with yields and margins it still needs to prove in a quarter when yields and energy costs cut 7.2ppts from its lens margin. At ~NT$6,660, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	48,842	59,458	61,148	61,550	67,438	79,464	78,546	81,569
EBIT (UBS)	17,807	24,033	23,558	21,139	24,150	30,110	29,487	30,648
Net earnings (UBS)	18,047	22,480	23,613	20,953	23,567	28,805	28,397	29,473
EPS (UBS, diluted) (NT$)	135.22	168.43	176.92	160.04	180.00	220.00	216.89	225.11
DPS (net) (NT$)	85.50	67.50	97.50	80.00	81.97	90.34	110.41	108.85
Net (debt) / cash	111,655	117,781	122,309	109,131	120,267	127,842	144,348	160,697

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	36.5	40.4	38.5	34.3	35.8	37.9	37.5	37.6
ROIC (EBIT) %	39.3	46.2	40.9	30.3	30.1	35.1	33.1	35.3
EV/EBITDA (UBS core) x	7.7	7.1	6.0	24.7	21.7	18.1	17.7	16.6
P/E (UBS, diluted) x	16.2	15.1	13.3	41.6	37.0	30.3	30.7	29.6
Equity FCF (UBS) yield %	2.0	4.3	3.0	2.1	2.5	2.2	3.6	3.5
Dividend yield (net) %	3.9	2.7	4.1	1.2	1.2	1.4	1.7	1.6

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 6,660.00 on 12-Oct-2026 06:29:19 CST

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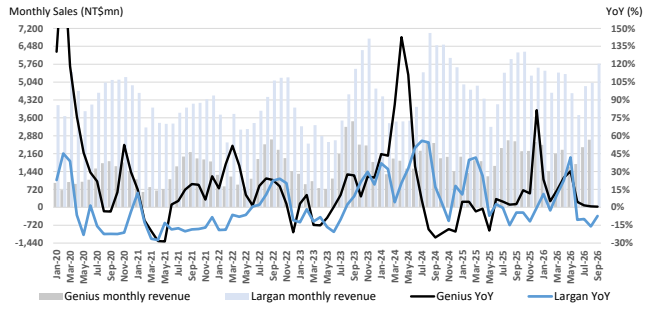
Core smartphone lens seeing weakness with declining margins

Q326 sales was reported light at NT$15.7bn, +15% QoQ missing UBSe/Street +36%/ +33% amid weaker flagship smartphone demand. GMs fell 720bp to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. Renewable-energy costs are structural under Largan's long-term power commitments and rise with Apple's share of the mix; with 2027 pricing set, pass-through is more likely in 2028.

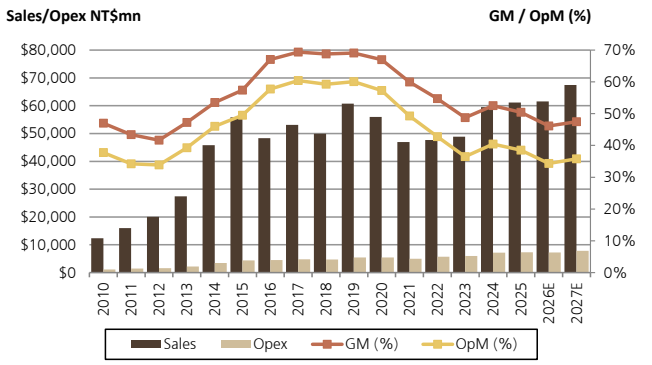
We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (flat vs. -11% YoY). October revenue should be flat MoM and November lower as the key customer has shortened its forecast after cutting flagship orders in September. The spring-2027 model starts shipping in October but will not offset the flagship decline.

Figure 1: Genius outpacing Largan in recent months



Source: Company data

Figure 2: Largan margins dropping in recent years



Source: Company data, UBS estimates

We cut 2026E/27E revenue 9%/13% to NT$61.6bn/NT$67.4bn and EPS 14%/16% to NT$163/NT$180, and introduce 2028E revenue of NT$79.5bn, +18% YoY for the new smartphone lens upgrade, taking EPS to NT$220. Our estimates exclude CPO, which we value separately under base, bull and bear scenarios. Including our base case, 2008E EPS would be NT$255, 6% above the NT$240 consensus which likely includes some CPO. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass-through in 2028 pricing. With a still a range of outcomes on 2028 CPO, we keep it in our valuation as a scenario for our upside/downside/base cases.

Figure 3: UBS vs. VA Consensus Q126A-Q426E and 2025A-28E

	Q126	Q226	Q326E			Q426E			2025	2026E			2027E			2028E		
(NT$m)	Actual	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	**15,544**	**13,665**	**15,651**	**18,566**	**18,147**	**16,690**	**20,094**	**16,173**	**61,148**	**61,550**	**67,869**	**61,033**	**67,438**	**77,189**	**68,359**	**79,464**	**83,044**	**115,261**
- QoQ / YoY	-9.7%	-12.1%	14.5%	35.9%	32.8%	6.6%	28.4%	3.3%	2.8%	0.7%	11.0%	-0.2%	9.6%	13.7%	12.0%	17.8%	7.6%	68.6%
Gross profit	**7,680**	**6,753**	**6,607**	**9,242**	**8,968**	**7,346**	**10,044**	**6,980**	**30,837**	**28,386**	**33,718**	**28,019**	**32,008**	**38,405**	**30,319**	**38,823**	**42,004**	**53,520**
- Gross margin	49.4%	49.4%	42.2%	49.8%	49.4%	44.0%	50.0%	43.2%	50.4%	46.1%	49.7%	45.9%	47.5%	49.8%	44.4%	48.9%	50.6%	46.4%
Operating profit	**5,812**	**5,148**	**4,735**	**7,144**	**6,819**	**5,443**	**7,833**	**5,105**	**23,558**	**21,139**	**25,937**	**20,800**	**24,150**	**29,796**	**21,482**	**30,110**	**34,945**	**39,917**
- OP margin	37.4%	37.7%	30.3%	38.5%	37.6%	32.6%	39.0%	31.6%	38.5%	34.3%	38.2%	34.1%	35.8%	38.6%	31.4%	37.9%	42.1%	34.6%
Non-op profit	**1,476**	**951**	**1,357**	**1,027**	**1,071**	**1,064**	**1,064**	**1,477**	**2,342**	**4,847**	**4,518**	**5,261**	**4,467**	**4,467**	**4,734**	**4,595**	**4,595**	**4,937**
Pre-tax profit	**7,288**	**6,099**	**6,092**	**8,171**	**7,889**	**6,507**	**8,897**	**6,582**	**25,900**	**25,986**	**30,455**	**26,061**	**28,618**	**34,263**	**26,543**	**34,705**	**39,540**	**44,854**
Tax	**-1,112**	**-1,373**	**-853**	**-1,385**	**-1,250**	**-1,041**	**-1,499**	**-1,306**	**-4,340**	**-4,379**	**-5,369**	**-4,763**	**-5,050**	**-6,244**	**-5,150**	**-5,900**	**-6,722**	**-8,572**
- Tax rate	15.3%	22.5%	14.0%	17.0%	15.8%	16.0%	16.9%	19.8%	16.8%	16.9%	17.6%	18.3%	17.6%	18.2%	19.4%	17%	17%	19%
Net profit	**6,123**	**4,670**	**5,182**	**6,736**	**6,614**	**5,409**	**7,348**	**5,275**	**21,275**	**21,385**	**24,877**	**21,298**	**23,567**	**28,019**	**21,414**	**28,805**	**32,818**	**36,282**
EPS (NT$)	**46.63**	**35.70**	**39.62**	**51.50**	**49.69**	**41.36**	**56.18**	**40.04**	**159.41**	**163.33**	**190.00**	**161.25**	**180.00**	**214.00**	**161.64**	**220.00**	**250.66**	**275.28**

Source: Company data, Visible Alpha, UBS estimates. Note: EPS based on reported and may differ with cover page diluted EPS.

CPO fiber array qualified, but rising pass-through as it upgrades to FAU production

Largan's fiber array (FA) has passed qualification with a volume customer, and management expects mass-production capacity by mid-2027 in a newly completed fab dedicated to FA/FAU, using in-house equipment. The company's next step is to produce the full detachable FAU mounted on a carrier, a board with three alignment beams that sits on the optical engine's receptor. Largan can build FAUs now and says the customer

would prefer it to supply the full assembly, but qualification is pending with the customer preferring FAU and carrier sampled separately.

Even as its potential to supply the full FAU improve, Largan will buy in most of the content. The customer has qualified another PMLA vendor and prefers semiconductor-made optics; V-grooves and carrier beams and boards are outsourced and the customer does not want Largan to make MT ferrules. Management described its role as closer to a contractor and said margins hinge on yields, as the FA carries a high ASP but also a large bill of materials. Supplying the complete FAU could raise billed content, but a larger purchased bill of materials also dilutes the relationship between revenue and value added. Our full-FAU ASP assumption requires Largan to capture that invoice scope.

Next year's product is grating-coupled and works for both CPO and NPO while edge-coupled designs are being explored with the customer. The current product does not go directly to end customers, but management expects to work directly with end customers on next-generation designs (likely 2028) as it progresses toward multi-row FAs.

To ramp production, Largan has bought several land parcels and will build new fabs from scratch, with construction finishing around 2030. It may outsource some capacity in the interim and said it cannot yet be sure capacity will meet demand.

Annual FAU TAM reaches US$1.85bn in 2028 and US$4.5bn in 2030 in our base case

We update our FAU (fiber array unit) TAM factoring CPO/NPO penetration into AI networking switches, NVIDIA multi-rack systems, scale-up on compute and switch boards, and non-NVIDIA accelerators. We assume one passive FAU assembly connecting a fiber array to a photonic engine with one unit per optical engine.

We assume one FAU per optical engine and 32 per switch ASIC in our base case, matching NVIDIA's 32x3.2T engines on its 102.4T Spectrum-X package. Broadcom's 102.4Tb/s Davisson uses 16 engines at 6.4Tb/s, so our bear case assumes and even mix of these two designs (24 per ASIC). We note that higher switch bandwidth does not automatically increase FAU count if engine bandwidth rises at the same rate. Our 2030 assumption maintains the 32 FAUs per switch based on bandwidth rising to 204.8Tb/s ASICs using 6.4Tb/s optical engines.

Figure 4: UBS scenario based on 32 FAUs per switch although switches to date carry a range of specifications

	TH5 Bailly	TH6 Davisson	Quantum-X Q3450	Spectrum-X SN6810	Spectrum-X SN6800
Year of Introduction	**2023**	**H225**	**H225**	**H226**	**H226**
Switch ASIC	Tomahawk 5	Tomahawk 6	Quantum-3	Spectrum 6	Spectrum 6
Bandwidth per Switch box	51.2T	102.4T	115.2T	102.4T	409.6T
Switch ASICs per box	1	1	4	1	4
OE bandwidth (Tb/s each way)	6.4T	6.4T	1.6T	3.2T	3.2T
Optical engines per ASIC	8	16	18	32	32
FAU per Engine	1	1	1	1	1
FAU per Switch	**8**	**16**	**72**	**32**	**128**

Source: Company Data, UBS

Our base case for the FAU market sums up 4 opportunities for CPO/NPO attach:

1. Scale-out and scale-across switches

We estimate annual switch ASIC shipments x CPO + NPO penetration x optical engines per ASIC x FAUs per engine. In 2028, 25% CPO/NPO penetration or 1.0m 102.4T switch ASICs at 32 FAUs each produces 8.0m FAUs. In 2030, 55% of 1.1mn 204.8T switch ASICs at 32 FAUs drives a market size of 19.4mn FAUs.

Figure 5: Scale-out/scale-across could drive 8.0/19.4mn FAUs in 2028/2030

	2028			2030			Assumption
Scale out/Scale across	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
Switch ASIC shipments (k units)	800	1,000	1,050	880	1,100	1,155	
NPO penetration	3%	5%	7%	8%	10%	12%	Optics on the board beside the ASIC
CPO penetration	10%	20%	25%	35%	45%	55%	Optics inside the switch package.
NPO/CPO switch ASICs (k units)	**104**	**250**	**336**	**378**	**605**	**774**	
Bandwidth per Switch (Tbps)	102.4	102.4	102.4	204.8	204.8	204.8	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs per switch ASIC	24	32	32	24	32	32	NVIDIA: 32 OE per ASIC, Broadcom 16
Scale out/Scale across # of FAUs (mn)	**2.5**	**8.0**	**10.8**	**9.1**	**19.4**	**24.8**	

Source: UBS

2. NVIDIA's multi-rack connections for Rubin Ultra and Feynman

NVIDIA at its 2026 GTC San Jose proposed a multi-rack option to network together 8 Oberon NVL72 racks for the Rubin Ultra generation and 8 Kyber NVL144 racks. Feedback at the time showed possible transceiver or NPO connections for Rubin Ultra and CPO connections for Feynman. Our 2028 base case uses 110,000 racks, 15% multi-rack adoption and 75% CPO/NPO penetration, giving approximately 12,400 connected racks.

For 2030, our rack count falls to 35,000 racks as we assume Kyber would have 4x the number of GPUs, equivalent to 140k Oberon equivalents. We assume the 35,000 racks at 55% multi-rack adoption x 80% CPO/NPO attach gives 15,400 connected racks. We assume about 216 and 576 inter-rack FAUs per rack, respectively, driving a market opportunity of 2.7mn FAUs in 2028 and 8.9mn in 2030.

Figure 6: NVIDIA rack connected pods could drive 2.7mn/8.9mn FAUs in 2028/2030

	2028			2030			Assumption
NVIDIA Pod Connected GPUs	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV platform	Oberon / Rubin Ultra			Kyber / Feynman			
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
8-rack pods penetration (%)	10%	15%	20%	40%	55%	70%	
NPO/CPO penetration within pods (%)	50%	75%	80%	65%	80%	95%	Pluggable FAUs excluded from this model
NPO/CPO connected racks (k)	**4.8**	**12.4**	**20.0**	**7.8**	**15.4**	**26.6**	
GPUs per rack	72	72	72	144	144	144	
Switches per rack	72	72	72	144	144	144	72 ASICs in Oberon, 144 per Kyber
Optical engine (Tb) bandwidth	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs attached per switch	2.5	3.0	4.0	2.5	4.0	4.5	3.2T OE in 2028; 6.4T in 2030 (each way)
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
FAUs per connected racks	**180**	**216**	**288**	**360**	**576**	**648**	
NV scale up # of FAUs (mn)	**0.9**	**2.7**	**5.8**	**2.8**	**8.9**	**17.2**	

Source: UBS. Switch count increases to connect to other racks

3. Initial CPO/NPO optical connections on compute and switch boards by 2030

We include by 2030 CPO native optical connections on compute and switch boards in 5% of racks each adding 1,152 FAUs across the GPUs and switches or 2.0mn FAUs by 2030.

Figure 7: NVIDIA compute board optics could drive 2.0mn FAUs in 2030

	2028			2030			Assumption
NVIDIA Compute Board Optics	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
Optical GPU penetration	0%	0%	0%	3%	5%	15%	CPU-native GPUs
Compute tray FAUs #	0	0	0	144	144	144	36 trays x 16
GPUs per rack	72	72	72	144	144	144	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	0	0	0	720	1,152	1,296	
NV optical GPU # of FAUs (mn)	**0.0**	**0.0**	**0.0**	**0.6**	**2.0**	**7.8**	

Source: UBS.

4. Non NVIDIA scale-up opportunity

Non-NVIDIA scale-up uses accelerator rack shipments x optical attach rate x FAUs per rack, producing about 0.5m units in 2028 and 3.7m in 2030.

Figure 8: ASIC market could drive additional compute board optics could drive 3.7mn FAUs in 2030

	2028			2030			Assumption
Non-NV scale up	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
ASIC rack shipments (k)	43.6	48.5	50.9	76.6	85.1	89.3	*Trainium 4/5/6, MI500, MI600, Jalapeno
Addressable NPO/CPO attach rate (%)	0%	5%	10%	5%	15%	25%	
NPO/CPO connected racks (k)	**0.0**	**2.4**	**5.1**	**3.8**	**12.8**	**22.3**	
Accelerators per rack	72	72	72	72	72	72	Average accelerators per rack
FAUs per accelerator	2.5	3.0	4.0	2.5	4.0	4.5	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
Scale-up per non-NVIDIA accelerator (Tb)	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	180	216	288	180	288	324	
Non-NV # of FAUs (mn)	**0.0**	**0.5**	**1.5**	**0.7**	**3.7**	**7.2**	

Source: UBS

Overall market opportunity: 12.3mn/35.6mn generates a US$1.85bn/US $4.5bn TAM in 2028/2030

We sum four pools: scale-out/scale-across switches, NVIDIA multi-rack pods, CPO native NVIDIA GPUs and non-NVIDIA scale-up. We add 10%/5% for FAUs lost at downstream attach and test and for field spares, driving a market size of in our base case of 12.3mn FAUs in 2028 and 35.6mn in 2030. At US$150/US$125 per FAU, that is a US$1.85bn market in 2028 and US$4.5bn in 2030 (bear/bull US$0.5bn/US$3.5bn in 2028; US $1.4bn/US$9.0bn in 2030). The expansion to 2030 comes from wider optical adoption and greater content in scale-up systems, despite an assumed FAU ASP decline from US $150 to US$125.

Figure 9: Summary of FAU drivers: 12.3mn/35.6mn base case in 2028-2030

	2028			2030		
Summary of FAU drivers	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
Scale out/Scale across # of FAUs (mn)	2.5	8.0	10.8	9.1	19.4	24.8
NV scale up # of FAUs (mn)	0.9	2.7	5.8	2.8	8.9	17.2
NV optical GPU # of FAUs (mn)	0.0	0.0	0.0	0.6	2.0	7.8
Non-NV # of FAUs (mn)	0.0	0.5	1.5	0.7	3.7	7.2
Downstream yield loss and spares	10%	10%	10%	5%	5%	5%
FAUs (mn units)	**3.7**	**12.3**	**19.8**	**13.9**	**35.6**	**59.9**
FAU ASP	$125	$150	$175	$100	$125	$150
Total FAU TAM (US$bn)	**$0.5**	**$1.8**	**$3.5**	**$1.4**	**$4.5**	**$9.0**

Source: UBS

Scenario analysis on Largan's CPO opportunity

Our base case gives Largan the benefit of the doubt for successfully ramping up a full FAU production and capturing 25% of the overall FAU TAM, yielding NT$35 of 2028E EPS, about 16% of our 2028E lens EPS. A 25% share means 3.1mn FAUs in its first full year of production: about 29% of NVIDIA-linked units and roughly three-quarters of the allocation our checks suggest its module partner holds. We book these at the full US $150 FAU price and 50% gross margin, allowing for an early-supply premium even though the optics, V-grooves and carrier parts are bought in. That gives 2028E CPO sales of US$462mn, rising to US$1.1bn and NT$84 of EPS in 2030 on a larger market.

Our bear case (15% share, 45% GM) gives NT$5 of CPO EPS in 2028E and NT$14 in 2030E; our bull case (35% share, 55% GM) gives NT$103 and NT$267. Each 5ppt of share moves 2028E CPO EPS by ~NT$6.9 (~NT$340/share at 49x), and each 5ppt of gross margin by ~NT$4.6 (~NT$225/share). If gross margin were 35% rather than 50%, holding operating expenses at 12% of sales, EPS would fall to approximately NT$21. A next-generation shift in lens or coupling design could also change content and alignment requirements including a potential metalens design which could invite in different suppliers.

Our 2030 base case implies ~8.9mn Largan FAUs a year (21mn in the upside case), though with risks around competition in a crowded field, yields and technology. A shift to semiconductor-made optics or metalens would loosen alignment tolerances and erode the precision premium behind Largan's pitch. The upside lies in direct work with cloud providers on multi-row FAs from 2028, where Largan's multi-layer alignment is most differentiated.

Figure 10: Largan downside/base/upside cases for 2028 and 2030

Largan CPO	2028			2030		
Scenario analysis	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
FAUs (mn units)	3.7	12.3	19.8	13.9	35.6	59.9
FAU ASP	125	150	175	100	125	150
Total FAU TAM (US$mn)	**$461**	**$1,847**	**$3,461**	**$1,389**	**$4,452**	**$8,980**
Largan Sales (US$mn)	**$69.1**	**$461.9**	**$1,211.3**	**$208.3**	**$1,113.1**	**$3,142.8**
Largan share of the TAM (%)	15%	25%	35%	15%	25%	35%
GM %	45%	50%	55%	45%	50%	55%
Pretax %	33%	38%	43%	33%	38%	43%
Pretax income (US$mn)	**$22.8**	**$175.5**	**$520.8**	**$68.7**	**$423.0**	**$1,351.4**
Tax	18%	18%	18%	18%	18%	18%
Net income (US$mn)	**$18.7**	**$143.9**	**$427.1**	**$56.4**	**$346.8**	**$1,108.2**
Net income (NT$mn)	**$589**	**$4,533**	**$13,453**	**$1,776**	**$10,925**	**$34,907**
EPS (NT$)	**$5**	**$35**	**$103**	**$14**	**$84**	**$267**
Shares	130.8	130.8	130.8	130.8	130.8	130.8

Source: UBS

Valuation and investment implications

We roll our valuation forward to 2028E and value Largan on a sum of the parts. We value the lens business at NT$3,300 (15x 2028E EPS, the middle of Largan's 13–18x historical range) and CPO at NT$1,700 (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US$1.85bn FAU market at US$150 per unit and a 50% gross margin. The 49x multiple also assigns a substantial value to a business whose complete assembly still requires qualification and whose margins still need to demonstrate can reach similar levels to its mature smartphone business. At ~NT$6,660 recent share price level, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Upside risks include faster full-FAU qualification, firm volume commitments from additional customers, stronger lens demand and better yields. Near-term catalysts are the customer's capacity forecast and its visit to the new fab in the coming month. A large forecast or faster FAU plus carrier qualification would be upside risks to our sell.

Figure 11: UBS SOTP valuation for Largan

(NT$)		UBSe			Prior UBS		Upside Case			Downside Case		
	2025	**2026**	**2027**	**2028**	**2026**	**2027**	**2026**	**2027**	**2028**	**2026**	**2027**	**2028**
Lens Business ex-CPO												
Sales	$61,148	$61,550	$67,438	$79,464	$67,869	$77,189	$62,166	$70,135	$82,642	$59,704	$64,066	$75,491
YoY Growth	2.8%	0.7%	9.6%	17.8%	11.0%	13.7%	1.7%	12.8%	17.8%	-2.4%	7.3%	17.8%
Gross Profit	**$30,837**	**$28,386**	**$32,008**	**$38,823**	**$33,718**	**$38,405**	**$28,981**	**$34,410**	**$41,699**	**$26,997**	**$29,446**	**$35,750**
GM%	**50.4%**	**46.1%**	**47.5%**	**48.9%**	**49.7%**	**49.8%**	**46.6%**	**49.1%**	**50.5%**	**45.2%**	**46.0%**	**47.4%**
Opex	$7,279	$7,247	$7,857	$8,714	$7,781	$8,609	$7,283	$8,015	$8,888	$7,138	$7,661	$8,496
Op Profit	**$23,558**	**$21,139**	**$24,150**	**$30,110**	**25,937**	**29,796**	**21,697**	**$26,396**	**$32,811**	**19,858**	**$21,785**	**$27,254**
OpM%	**38.5%**	**34.3%**	**35.8%**	**37.9%**	**38.2%**	**38.6%**	**34.9%**	**37.6%**	**39.7%**	**33.3%**	**34.0%**	**36.1%**
Non-Op	$2,342	$4,847	$4,467	$4,595	$4,518	$4,467	$4,847	$4,467	$4,595	$4,847	$4,467	$4,595
Pretax	$25,900	$25,986	$28,618	$34,705	$30,455	$34,263	$26,545	$30,863	$37,405	$24,706	$26,253	$31,849
Tax	($4,340)	($4,379)	($5,050)	($5,900)	($5,369)	($6,244)	($4,473)	($5,447)	($6,601)	($4,163)	($4,633)	($5,621)
Net income	**$21,275**	**$21,385**	**$23,567**	**$28,805**	**$24,877**	**$28,019**	**$21,849**	**$25,416**	**$30,804**	**$20,321**	**$21,620**	**$26,228**
EPS	**$159.41**	**$163.33**	**$180.00**	**$220.00**	**$190.00**	**$214.00**	**$166.88**	**$194.12**	**$235.28**	**$155.20**	**$165.13**	**$200.32**
Shares	133	131	131	131	131	131	131	131	131	131	131	131
EPS vs. base case							**-94.1%**	**7.8%**	**6.9%**	**-5.0%**	**-8.3%**	**-8.9%**
Current Price		**$6,660**										
P/E				15		15			16			14
Implied Valuation				**$3,300**		**$3,270**			**$3,670**			**$2,810**
CPO Scenario												
EPS				**$35**		**$35**			**$103**			**$5**
P/E				49		50			52			47
Implied Valuation				**$1,700**		**$1,730**			**$5,300**			**$210**
Total Largan												
Implied Share Price				**$5,000**		**$5,000**			**$8,970**			**$3,020**
Upside/Downside				**-25%**					**35%**			**-55%**

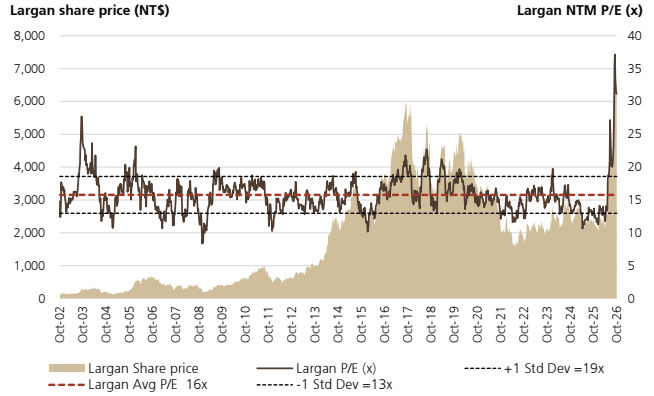
Source: Company data, UBS estimates

Figure 12: Optical component peers average 27x 2028 with a broad range of 12-75x 2028 P/E

Optical Company	Ticker	Market cap (US$m)	Price 11-Oct (LC$)	Price target (LC$)	P/E target (x)	Rating	EPS (LC$) 2025	EPS (LC$) 2026E	EPS (LC$) 2027E	EPS (LC$) 2028E	Earnings growth (%) 2026E	Earnings growth (%) 2027E	Earnings growth (%) 2028E	PE (x) 2026E	PE (x) 2027E	PE (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E	Historical P/E (x) -1 Std Dev	Historical P/E (x) Avg.	Historical P/E (x) +1 Std Dev
Lens																						
Largan	3008.TW	27,378	6,660.0	5,000	23.4	Sell	176.92	188.21	214.00	250.66	4.4	13.7	17.1	35.4	31.1	26.6	12.7	13.7	14.8	13.1	15.9	18.8
Genius	3406.TW	3,741	1,060.0	1,250	16.9	Buy	36.28	38.72	41.47	47.75	6.7	7.1	15.1	27.4	25.6	22.2	15.8	15.6	16.4	1.1	2.3	3.5
Average											**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**
CPO Supply Chain																						
Lumentum	LITE.O	93,344	1,103.4	960	40.4	Neutral	2.12	10.52	23.78	35.81	434.4	160.4	51.7	52.0	56.0	37.9	27.1	36.1	37.9	8.5	19.4	30.3
Corning	GLW.N	137,095	156.7	201	42.1	Buy	2.57	3.34	4.78	7.12	30.6	43.5	47.3	47.7	33.4	22.4	22.9	31.8	41.1	-168.2	32.9	234.0
Coherent	COHR.N	123,129	312.6	-	-	-	4.49	7.42	11.74	16.82	86.0	64.0	42.0	42.1	26.6	18.6	13.5	19.7	23.8	14.1	19.6	25.1
Senko	9069.T	416,040	2,368.0	-	-	-	119.98	140.89	159.70	171.34	19.5	12.8	7.4	16.8	14.8	13.8	10.4	11.3	11.6	9.2	11.6	14.0
TFC	300394.SZ	256,388	235.0	-	-	-	2.02	3.32	5.36	6.88	65.5	60.7	28.5	70.8	43.9	34.2	47.0	47.4	42.1	21.2	33.9	46.5
FOCI	3363.TWO	75,798	667.0	-	-	-	0.85	0.22	13.89	43.01	(66.3)	6684.0	210.2	3,102.3	48.0	15.5	-1.6	39.2	74.6	51.6	115.2	178.8
EZconn	6442.TW	146,044	1,785.0	-	-	-	20.95	62.01	130.00	NULL	206.9	109.6	n.a.	28.8	13.7	n.a.	56.1	63.9	NULL	12.9	23.7	34.5
Himax	HIMX.N	2,320	13.3	-	-	-	0.32	0.52	1.01	1.96	62.3	88.2	93.5	25.5	13.2	6.8	10.5	14.5	26.1	0.6	21.5	42.3
Browave	3163.TWO	65,204	689.0	-	-	-	4.36	9.33	21.17	NULL	n.a.	n.a.	n.a.	73.8	32.5	n.a.	22.2	38.6	NULL	10.1	32.2	54.2
VisEra	6789.TW	153,102	481.0	-	-	-	3.60	6.13	7.45	8.95	70.9	21.5	20.2	78.4	64.6	53.7	10.7	13.3	12.2	31.3	50.4	69.6
Average											**101.1**	**805.0**	**62.6**	**353.8**	**34.7**	**25.4**	**21.9**	**31.6**	**33.7**	**-0.9**	**36.0**	**72.9**
Optical Average											**76.4**	**606.4**	**50.7**	**325.1**	**35.5**	**27.2**	**19.9**	**27.5**	**28.6**	**1.2**	**30.5**	**59.8**

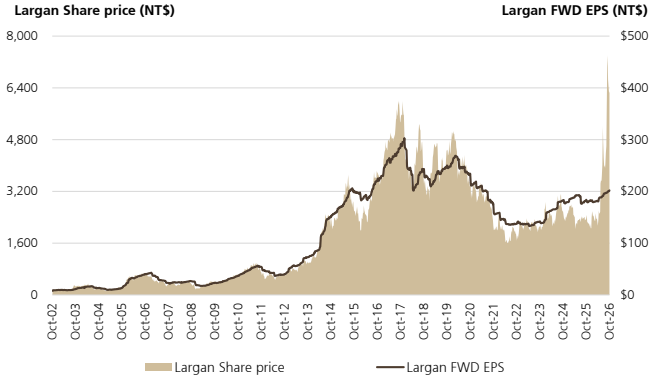
Source: UBSe, Eikon

Figure 13: Share price rally has re-rated Largan well above its historical range



Source: LSEG Workspace

Figure 14: Largan's share price has run well ahead of forward EPS as investors price in CPO



Source: LSEG Workspace

Figure 15: UBS P&L for Largan - mild growth at lower margins in recent years

Ticker		3008.TW	Current Price (NT$)			$6,660
Shares outstanding (mn)		130.8	Mkt cap (NT$ mn)			$871,115
Year	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**
Revenues (NT$ mn)	**$47,675**	**$48,842**	**$59,458**	**$61,148**	**$61,550**	**$67,438**
YoY Growth (%)		**2.4%**	**21.7%**	**2.8%**	**0.7%**	**9.6%**
Gross profit (NT$mn)	$26,083	$23,794	$31,209	$30,837	$28,386	$32,008
GM (%)	**54.7%**	**48.7%**	**52.5%**	**50.4%**	**46.1%**	**47.5%**
Operating profit (NT$mn)	$20,384	$17,807	$24,033	$23,558	$21,139	$24,150
OPM (%)	**42.8%**	**36.5%**	**40.4%**	**38.5%**	**34.3%**	**35.8%**
Net profit (NT$ mn)	$22,625	$17,902	$25,915	$21,275	$21,385	$23,567
EPS (NT$)	**$169.52**	**$134.13**	**$194.17**	**$159.41**	**$163.33**	**$180.00**
EPS growth (%)		-21%	45%	-18%	2%	10%
P/E (x)	**39.3**	**49.7**	**34.3**	**41.8**	**40.8**	**37.0**
Dividend yield (%)	2%	1.1%	1.2%	1.3%	2.0%	1.2%
P/B (x)	**5.7**	**5.4**	**4.8**	**4.7**	**4.4**	**4.1**
ROE (%)	15%	11%	14%	11%	11%	12%

Quarters	**Q325**	**Q425**	**Q126**	**Q226**	**Q326E**	**Q426E**
Revenues (NT$ mn)	**$17,677**	**$17,219**	**$15,544**	**$13,665**	**$15,651**	**$16,690**
QoQ Growth (%)		**-2.6%**	**-9.7%**	**-12.1%**	**14.5%**	**6.6%**
Gross profit (NT$mn)	$8,352	$8,260	$7,680	$6,753	$6,607	$7,346
GM (%)	**47.2%**	**48.0%**	**49.4%**	**49.4%**	**42.2%**	**44.0%**
Operating profit (NT$mn)	$6,265	$6,329	$5,812	$5,148	$4,735	$5,443
OPM (%)	**35.4%**	**36.8%**	**37.4%**	**37.7%**	**30.3%**	**32.6%**
Net profit (NT$ mn)	$7,080	$6,720	$6,123	$4,670	$5,182	$5,409
EPS (NT$)	**$53.05**	**$50.35**	**$45.88**	**$34.99**	**$39.58**	**$41.32**

Source: Company data, UBS estimates. Note: 2026E EPS based on reported.

Figure 16: UBS Cash Flow Summary - staying positive to invest in CPO

Annual (NT$mn)	2021	2022	2023	2024	2025	2026E	2027E	21-25 Avg
Revenue	$46,962	$47,675	$48,842	$59,458	$61,148	$61,550	$67,438	$52,817
Capital spending	$5,850	$8,256	$8,080	$11,126	$12,338	$11,721	$11,135	$9,130
Capex/revenue (%)	**12%**	**17%**	**17%**	**19%**	**20%**	**19%**	**17%**	**17%**
Dep and amort	$4,650	$5,031	$5,299	$6,038	$7,511	$9,221	$10,460	$5,706
Depr/revenue (%)	**10%**	**11%**	**11%**	**10%**	**12%**	**15%**	**16%**	**11%**
Operating cash flow	$20,878	$44,207	$18,199	$31,579	$26,080	$20,614	$33,003	$28,188
Free cash flow	**$15,028**	**$35,951**	**$10,118**	**$20,453**	**$13,743**	**$8,893**	**$21,868**	**$19,058**

FCF and Dividends	2021	2022	2023	2024	2025	2026E	2027E	21-25 Avg
FCF / share (NT$)	$112	$269	$76	$153	$103	$68	$167	$143
FCF / EV Yield (%)	**2%**	**5%**	**1%**	**3%**	**2%**	**1%**	**3%**	**3%**
FCF Yield (%)	**2%**	**4%**	**1%**	**2%**	**2%**	**1%**	**3%**	**2%**
Dividend/share (NT$)	$91.51	$109.66	$72.50	$81.00	$85.50	$131.95	$81.89	$88.03
Payout rate (%)	**50%**	**79%**	**43%**	**60%**	**44%**	**83%**	**50%**	**55%**
Dividend amount (NT$)	$12,274	$14,636	$9,676	$10,811	$11,412	$17,276	$10,722	$11,762
Pre-Dividend close (NT$)	$3,040.00	$1,990.00	$2,310.00	$3,120.00	$2,260.00	$6,660.00	$6,660.00	
Dividend Yield (%)	**3.0%**	**5.5%**	**3.1%**	**2.6%**	**3.8%**	**2.0%**	**1.2%**	**3.6%**

Source: Company data, UBS estimates

Largan Precision (3008.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**48,842**	**59,458**	**61,148**	**61,550**	*0.7*	**67,438**	*9.6*	**79,464**	**78,546**	**81,569**
Gross profit	23,794	31,209	30,837	28,386	*-7.9*	32,008	*12.8*	38,823	38,398	39,903
EBITDA (UBS)	**23,106**	**30,070**	**31,069**	**30,360**	*-2.3*	**34,610**	*14.0*	**41,028**	**41,108**	**42,938**
Depreciation & amortisation	(5,299)	(6,038)	(7,511)	(9,221)	*-22.8*	(10,460)	*-13.4*	(10,918)	(11,621)	(12,290)
EBIT (UBS)	**17,807**	**24,033**	**23,558**	**21,139**	*-10.3*	**24,150**	*14.2*	**30,110**	**29,487**	**30,648**
Associates & investment income	212	0	3	12	*352.1*	11	*-7.1*	11	11	11
Other non-operating income	294	303	419	458	*9.5*	200	*-56.4*	200	200	200
Net interest	3,934	4,404	4,259	3,946	*-7.3*	4,256	*7.9*	4,384	4,516	4,651
Exceptionals (incl goodwill)	(145)	3,435	(2,338)	432	*-*	0	*-*	0	0	0
Pre-tax profit	**22,102**	**32,174**	**25,900**	**25,986**	*0.3*	**28,618**	*10.1*	**34,705**	**34,213**	**35,510**
Tax	(4,200)	(5,963)	(4,340)	(4,379)	*-0.9*	(5,050)	*-15.3*	(5,900)	(5,816)	(6,037)
Profit after tax	**17,902**	**26,211**	**21,560**	**21,607**	*0.2*	**23,567**	*9.1*	**28,805**	**28,397**	**29,473**
Preference dividends	0	0	0	0	*-*	0	*-*	0	0	0
Minorities	0	(296)	(285)	(222)	*22.1*	0	*-*	0	0	0
Extraordinary items	0	0	0	0	*-*	0	*-*	0	0	0
Net earnings (local GAAP)	**17,902**	**25,915**	**21,275**	**21,385**	*0.5*	**23,567**	*10.2*	**28,805**	**28,397**	**29,473**
Net earnings (UBS)	**18,047**	**22,480**	**23,613**	**20,953**	*-11.3*	**23,567**	*12.5*	**28,805**	**28,397**	**29,473**
Tax rate (%)	19.0	18.5	16.8	16.9	*0.6*	17.6	*4.7*	17.0	17.0	17.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	135.22	168.43	176.92	160.04	*-9.5*	180.00	*12.5*	220.00	216.89	225.11
EPS (local GAAP, diluted)	134.13	194.17	159.41	163.33	*2.5*	180.00	*10.2*	220.00	216.89	225.11
EPS (UBS, basic)	135.22	168.43	176.92	160.04	*-9.5*	180.00	*12.5*	220.00	216.89	225.11
DPS (net) (NT$)	85.50	67.50	97.50	80.00	*-17.9*	81.97	*2.5*	90.34	110.41	108.85
Cash EPS (UBS, diluted) [1]	174.92	213.67	233.20	230.47	*-1.2*	259.89	*12.8*	303.39	305.65	318.97
Book value per share	1,234.64	1,382.91	1,430.07	1,518.08	*6.2*	1,616.11	*6.5*	1,745.87	1,849.64	1,963.23
Average shares (diluted)	133	133	133	131	*-1.9*	131	*0.0*	131	131	131

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	111,655	117,985	122,309	109,131	*-10.8*	120,267	*10.2*	127,842	144,348	160,697
Other current assets	22,666	27,779	31,977	42,218	*32.0*	45,034	*6.7*	56,368	55,712	57,851
Total current assets	**134,321**	**145,764**	**154,285**	**151,350**	*-1.9*	**165,301**	*9.2*	**184,210**	**200,060**	**218,547**
Net tangible fixed assets	41,135	46,936	51,472	54,428	*5.7*	55,103	*1.2*	54,763	53,191	50,448
Net intangible fixed assets	0	0	0	0	*-*	0	*-*	0	0	0
Investments / other assets	19,682	23,827	15,029	23,254	*54.7*	24,367	*4.8*	24,215	24,225	24,236
Total assets	**195,138**	**216,527**	**220,787**	**229,032**	*3.7*	**244,770**	*6.9*	**263,188**	**277,476**	**293,232**
Trade payables & other ST liabilities	29,517	30,375	29,749	30,078	*1.1*	32,982	*9.7*	34,573	35,276	36,158
Short term debt	0	203	0	0	*-*	0	*-*	0	0	0
Total current liabilities	**29,517**	**30,578**	**29,749**	**30,078**	*1.1*	**32,982**	*9.7*	**34,573**	**35,276**	**36,158**
Long term debt	0	0	0	0	*-*	0	*-*	0	0	0
Other long term liabilities	110	561	171	194	*13.7*	194	*0.0*	31	31	31
Preferred shares	0	0	0	0	*-*	0	*-*	0	0	0
Total liabilities (incl pref shares)	**29,627**	**31,139**	**29,919**	**30,272**	*1.2*	**33,176**	*9.6*	**34,604**	**35,307**	**36,189**
Common s/h equity	**165,510**	**185,388**	**190,868**	**198,760**	*4.1*	**211,594**	*6.5*	**228,584**	**242,170**	**257,042**
Minority interests	0	0	0	0	*-*	0	*-*	0	0	0
Total liabilities & equity	**195,138**	**216,527**	**220,787**	**229,032**	*3.7*	**244,770**	*6.9*	**263,188**	**277,476**	**293,232**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	17,902	25,915	21,275	21,385	*0.5*	23,567	*10.2*	28,805	28,397	29,473
Depreciation & amortisation	5,299	6,038	7,511	9,221	*22.8*	10,460	*13.4*	10,918	11,621	12,290
Net change in working capital	(8,990)	(6,633)	(7,328)	(1,082)	*85.2*	(6,064)	*NM*	(9,743)	1,359	(1,256)
Other operating	(212)	295	282	210	*-25.5*	5,040	*NM*	(11)	(11)	(11)
Operating cash flow	**13,999**	**25,615**	**21,740**	**29,735**	*36.8*	**33,003**	*11.0*	**29,968**	**41,366**	**40,496**
Tangible capital expenditure	(8,080)	(11,126)	(12,338)	(11,721)	*5.0*	(11,135)	*5.0*	(10,578)	(10,049)	(9,547)
Intangible capital expenditure	0	0	0	0	*-*	0	*-*	0	0	0
Net (acquisitions) & disposals	(2,111)	(13)	(1,200)	962	*-*	0	*-*	0	0	0
Other investing	(959)	(4,927)	4,302	(965)	*-*	0	*-*	0	0	0
Investing cash flow	**(11,151)**	**(16,066)**	**(9,236)**	**(11,724)**	*-26.9*	**(11,135)**	*5.0*	**(10,578)**	**(10,049)**	**(9,547)**
Equity dividends paid	(9,676)	(10,811)	(11,412)	(17,276)	*-51.4*	(10,732)	*37.9*	(11,816)	(14,811)	(14,601)
Share issues / (buybacks)	0	0	0	0	*-*	0	*-*	0	0	0
Other financing	(34)	1,255	(2,937)	(4,133)	*-40.7*	0	*-*	0	0	0
Change in debt & pref shares	(19)	212	(212)	0	*-*	0	*-*	0	0	0
Financing cash flow	**(9,729)**	**(9,344)**	**(14,561)**	**(21,408)**	*-47.0*	**(10,732)**	*49.9*	**(11,816)**	**(14,811)**	**(14,601)**
Cash flow inc/(dec) in cash	**(6,881)**	**205**	**(2,057)**	**(3,398)**	*-65.2*	**11,136**	*-*	**7,575**	**16,506**	**16,349**
FX / non cash items	6,823	6,125	6,380	(9,780)	*-*	0	*-*	0	0	0
Balance sheet inc/(dec) in cash	**(59)**	**6,330**	**4,324**	**(13,177)**	*-*	**11,136**	*-*	**7,575**	**16,506**	**16,349**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Largan Precision (3008.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	16.4	13.1	14.8	40.8	37.0	30.3	30.7	29.6
P/E (UBS, diluted)	16.2	15.1	13.3	41.6	37.0	30.3	30.7	29.6
P/CEPS	12.6	11.9	10.1	28.9	25.6	22.0	21.8	20.9
Equity FCF (UBS) yield %	2.0	4.3	3.0	2.1	2.5	2.2	3.6	3.5
Dividend yield (net) %	3.9	2.7	4.1	1.2	1.2	1.4	1.7	1.6
P/BV	1.8	1.8	1.6	4.4	4.1	3.8	3.6	3.4
EV/revenues (core)	3.6	3.6	3.1	NM	NM	9.3	9.3	8.7
EV/EBITDA (UBS core)	7.7	7.1	6.0	24.7	21.7	18.1	17.7	16.6
EV/EBIT (core)	10.0	8.9	8.0	35.4	31.1	24.6	24.7	23.2
EV/OpFCF (core)	8.1	7.4	6.3	25.1	22.0	18.0	17.7	16.5
EV/op. invested capital	3.9	4.1	3.3	10.7	9.3	8.6	8.2	8.2

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	294,465	340,820	315,906	874,578	874,578	874,578	874,578	874,578
Net debt (cash)	(111,675)	(114,718)	(120,045)	(115,720)	(114,699)	(124,054)	(136,095)	(152,522)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**182,790**	**226,102**	**195,861**	**758,858**	**759,879**	**750,524**	**738,483**	**722,055**
Non core assets	(4,916)	(12,460)	(8,517)	(9,934)	(9,945)	(9,955)	(9,966)	(9,976)
Core enterprise value	**177,874**	**213,642**	**187,344**	**748,924**	**749,934**	**740,568**	**728,517**	**712,079**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	2.4	21.7	2.8	0.7	9.6	17.8	(1.2)	3.8
EBITDA (UBS)	(9.1)	30.1	3.3	(2.3)	14.0	18.5	0.2	4.5
EBIT (UBS)	(12.6)	35.0	(2.0)	(10.3)	14.2	24.7	(2.1)	3.9
EPS (UBS, diluted)	3.8	24.6	5.0	(9.5)	12.5	22.2	(1.4)	3.8
Net DPS	21.9	(21.1)	44.4	(17.9)	2.5	10.2	22.2	(1.4)

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	48.7	52.5	50.4	46.1	47.5	48.9	48.9	48.9
EBITDA margin	47.3	50.6	50.8	49.3	51.3	51.6	52.3	52.6
EBIT (UBS) margin	36.5	40.4	38.5	34.3	35.8	37.9	37.5	37.6
Net earnings (UBS) margin	37.0	37.8	38.6	34.0	34.9	36.2	36.2	36.1
ROIC (EBIT)	39.3	46.2	40.9	30.3	30.1	35.1	33.1	35.3
ROIC post tax	31.8	36.6	34.6	25.1	24.8	29.1	27.5	29.3
ROE (UBS)	11.3	12.8	12.6	10.8	11.5	13.1	12.1	11.8

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(4.8)	(3.9)	(3.9)	(3.6)	(3.5)	(3.1)	(3.5)	(3.7)
Net debt / total equity %	(67.5)	(63.5)	(64.1)	(54.9)	(56.8)	(55.9)	(59.6)	(62.5)
Net debt / (net debt + total equity) %	NM	NM	NM	NM	NM	NM	NM	NM
Net debt/EV %	(61.1)	(50.7)	(61.3)	(15.2)	(15.1)	(16.5)	(18.4)	(21.1)
Capex / depreciation %	152.5	184.3	164.3	127.1	106.5	96.9	86.5	77.7
Capex / revenue %	16.5	18.7	20.2	19.0	16.5	13.3	12.8	11.7
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	1.6	2.5	1.8	2.0	2.2	2.4	2.0	2.1
Div. payout ratio (UBS) %	63.2	40.1	55.1	50.0	45.5	41.1	50.9	48.4

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	48,842	59,458	61,148	61,550	67,438	79,464	78,546	81,569
Total	**48,842**	**59,458**	**61,148**	**61,550**	**67,438**	**79,464**	**78,546**	**81,569**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	17,807	24,033	23,558	21,139	24,150	30,110	29,487	30,648
Total	**17,807**	**24,033**	**23,558**	**21,139**	**24,150**	**30,110**	**29,487**	**30,648**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	-24.9%
Forecast dividend yield	1.2%
Forecast stock return	-23.7%
Market return assumption	6.3%
Forecast excess return	-30.0%

Company Description

Founded in 1987, Largan Precision (Largan) is one of the world's leading manufacturers of lenses used in cameras and IT products. It specialises in plastic/hybrid lenses and, to a lesser extent, glass lenses and modules. In 2022, 20MP+ camera lenses were 10-20% of Largan's shipment mix, 10MP lenses were 50-60%, 8MP lenses were 0-10% and other lenses were 30-40%.

Valuation Method and Risk Statement

Our price target is based on SOTP valuation on the CPO opportunity and traditional lens business.
We think Largan's downside risks include: 1) ongoing pricing pressure from smartphone OEM clients and increasingly intense competition among lens suppliers; and 2) a slower-than-expected smartphone demand recovery in China, and 3) CPO commercial success below the market's elevated expectations.
We believe the key upside risk is a faster-than-expected CPO qualification process at Largan. In addition, if the company demonstrates exceptionally efficient and highly accurate automation capabilities, it could support greater market share gains within the industry than we currently anticipate.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Largan Precision

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	2
5. What's driving the difference?	We expect downside to consensus in 2026 due to slower smartphone sales through August. We indicate things getting better for the stock in the past 3-6 months on the smartphone traction.
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	2
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Negative Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities Pte. Ltd., Taipei Branch: Irene Chang, Randy Abrams.

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Company Name	Reuters	12-month rating	Price	Price date
Largan Precision[28]	3008.TW	Sell	NT$6,660	08 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

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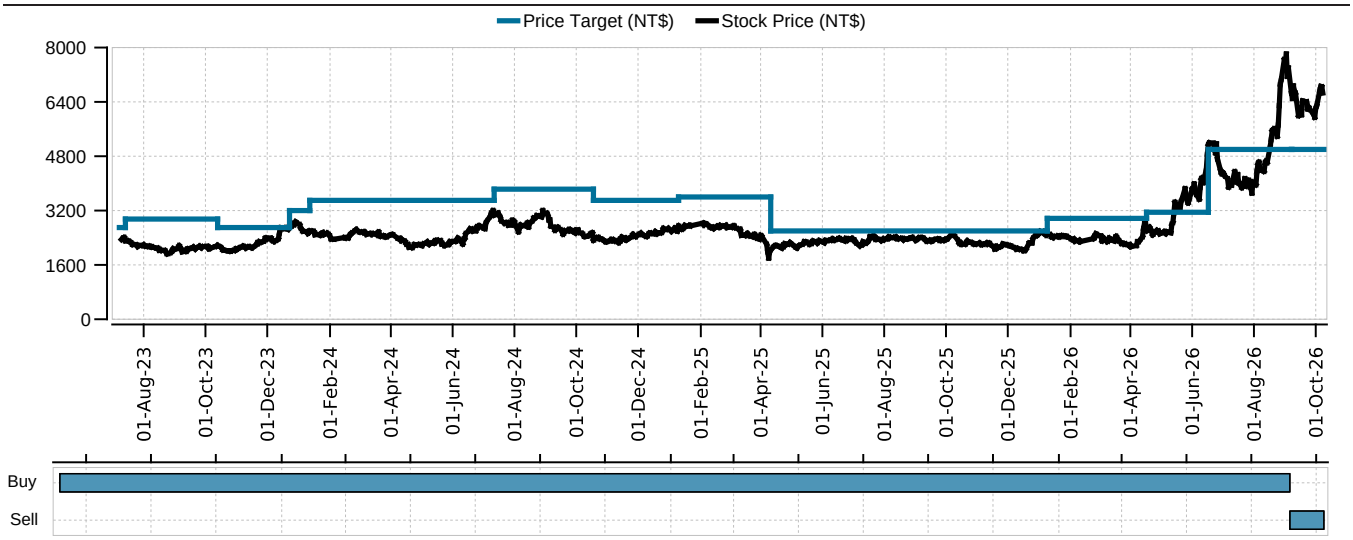
Largan Precision (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-07	2340.00	2700.00	Buy
2023-07-13	2405.00	2950.00	Buy
2023-10-12	2150.00	2700.00	Buy
2023-12-22	2650.00	3200.00	Buy
2024-01-11	2550.00	3500.00	Buy
2024-07-11	3200.00	3830.00	Buy
2024-10-17	2545.00	3500.00	Buy
2025-01-09	2595.00	3600.00	Buy
2025-04-10	1980.00	2600.00	Buy
2026-01-08	2475.00	2970.00	Buy
2026-04-16	2820.00	3150.00	Buy
2026-06-16	4860.00	5000.00	Buy
2026-09-06	7400.00	5000.00	Sell

Source: UBS Global Research; LSEG Eikon as of 08-Oct-2026. All prices as of local market close. Ratings as of date shown.

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緯穎

(6669.TW/6669 TT)

FTSE4Good TIP Taiwan ESG Index stock

增加持股 · 維持

收盤價 October 8 (NT$)	2,240
12 個月目標價 (NT$)	3,000
前次目標價 (NT$)	7,750
調升 (%)	12.8
上漲空間 (%)	33.9

焦點內容

1. 9 月及 3Q26 營收優於我們預期，受惠於通用型伺服器營收較強，以及 9 月 AI 伺服器需求強勁回升。
2. 我們估計 4Q26-2027 年 AI 伺服器需求成長，將帶動 AI 伺服器營收占比提升至 50% 以上，進而推升 EPS 成長。
3. AWS (美) Trainium3 Max 液冷式機櫃、供應 Meta (美) 的 AMD (美) Helios 機櫃、供應 Oracle (美) 的 VR 機櫃，以及新 ASIC 專案，將推升緯穎 2027 年獲利。

交易資料表

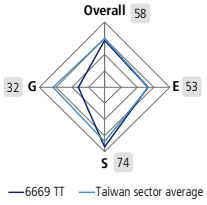
市值：(NT$bn/US$mn)	1,308 /41,074
流通在外股數 (百萬股)：	584
外資持有股數 (百萬股)：	145
3M 平均成交量 (百萬股)：	1.811.97
52 週股價 (低 \ 高) (NT$):	1,075 –2,615

股價表現	3M	6M	12M
絕對表現 (%)	32.3	92.6	100.1
相對表現 (%)	24.5	50.7	17.9

每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	52.70A	65.23A	82.92A	74.21A
2026	25.46A	26.96A	42.76F	44.56F
2027	44.91F	51.89F	61.38F	65.20F

ESG 分數評等



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凱基投顧
向子慧
886.2.2181.8726
angelah@kgi.com
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客製化 AI ASIC 持續驅動 2027 年獲利強勁成長

重要訊息

緯穎 9 月與 3Q26 營收優於我們預期。我們預期 4Q26 營收將持續季增及年增，並預期在 ASIC AI 伺服器與通用型伺服器營收增加，加上新客戶與新專案帶動下，2027 年獲利展望穩健。

評論及分析

3Q26 營收優於預期；產品組合改善有利利潤率。緯穎 9 月營收達 1,726 億元 (月增 20%、年增 100%)，優於預期，帶動 3Q26 營收達 4,346.2 億元 (季增 56%)，較我們預估高 16%。此強勁表現應歸因於通用伺服器營收較佳，及 9 月 ASIC AI 伺服器營收成長。9 月 ASIC AI 營收占比已超過營收的 50%，而通用伺服器則維持穩定，3Q26 通用伺服器營收占比仍高於 50%，季增預估超過 20%。AWS (美) Trainium3 (T3)占 3Q26 AI 伺服器(估 5k 櫃以上)營收幾乎全部，而 9 月營收顯著增加 (估 3k 櫃以上)。營收成長及產品組合改善將有利 3Q26 利潤率。我們因而上修 3Q26 EPS 預估至 42.76 元 (季增 59%)。

AI 專案與通用型伺服器需求帶動 2027 年獲利展望穩健。我們預期緯穎將於 2027 年受惠於通用型伺服器與 AI 伺服器的需求及營收成長，主因多項 AI 專案啓動所帶動。T3 Max (液冷) AI 伺服器自 4Q26 起開始出貨，1Q27 將量產。預估液冷機櫃 ASP 可能為氣冷 PDS 機種的 2-3 倍，且緯穎應為 T3 Max 的唯一 ODM。此外，緯穎供應 Meta (美) 的 AMD (美) Helios 機櫃，及供應 Oracle (美) 的 VR200 機櫃，這些 GPU AI 相關伺服器預計自 4Q26 末開始貢獻營收，並於 2027 年貢獻更為顯著。但 GPU 專案的變數在於銷售交易條件採買賣制 (buy-and-sell) 或寄售制 (consignment)。再加上對新 Neocloud 客戶的潛在出貨，緯穎明年 AI 伺服器營收擴張應相當顯著。而受惠於 代理式 AI 與推論需求，及潛在新增 CSP 客戶，我們預期 2027 年通用伺服器營收亦將成長，並為利潤率提供支撐。我們預估 4Q26 營收將季增約 10%，毛利率約為 8.5%。受惠於營收表現更強，我們上修 2026 年 EPS 預估至 139.76 元。考量 2027 年營收展望更為樂觀，我們亦將 2027 年 EPS 預估上修至 223.38 元 (年增 60%)。整體而言，我們認為客製化 AI 伺服器的強勁需求，將為緯穎帶來更多商機，如來自 OpenAI (美) 與 Meta 等業者的訂單。

投資建議

我們維持緯穎「增加持股」評等，並將目標價重設為 3,000 元 (除權後)，基於 2027 年完全稀釋每股盈餘 200.01 元的 15 倍 (以 6.2 億股股本計算)。

投資風險

零組件供應緊缺；AI 伺服器因寄售導致價格變化；AI 伺服器專案遞延。

主要財務數據及估值

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入 (NT$百萬)	241,901	360,541	950,663	1,467,357	2,596,962
營業毛利 (NT$百萬)	22,657	37,400	78,454	125,527	196,275
營業利益 (NT$百萬)	15,871	28,099	63,918	101,043	160,357
稅後淨利 (NT$百萬)	12,044	22,776	51,118	77,560	124,008
每股盈餘 (NT$)	68.88	126.57	275.06	139.76	223.38
每股現金股利 (NT$)	14.00	24.67	145.00	76.51	122.34
每股盈餘成長率 (%)	(15.0)	83.7	117.3	(49.2)	59.8
本益比 (x)	32.5	17.7	8.1	16.0	10.0
股價淨值比 (x)	27.8	14.2	10.0	7.8	5.8
EV/EBITDA (x)	22.6	13.1	6.2	11.7	7.8
淨負債比率 (%)	Net cash	Net cash	8.2	Net cash	19.5
殖利率 (%)	0.6	1.1	6.5	3.4	5.5
股東權益報酬率 (%)	29.7	34.9	48.0	54.6	66.2

資料來源：公司資料，凱基

圖 1：3Q-4Q26 財測修正 vs. 市場共識

	3Q26F							4Q26F						
百萬元	修正後	修正前	差異 (%)	QoQ (%)	YoY (%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	434,617	375,506	15.7	56.3	62.9	360,520	20.6	478,079	431,832	10.7	10.0	63.5	424,085	12.7
毛利	38,246	30,791	24.2	48.5	62.5	29,876	28.0	40,637	31,956	27.2	6.3	92.3	33,842	20.1
營業利益	30,858	25,534	20.8	52.6	57.7	24,430	26.3	32,509	26,342	23.4	5.4	97.4	27,228	19.4
稅前淨利	29,671	24,485	21.2	56.4	45.8	23,828	24.5	31,598	25,242	25.2	6.5	81.0	26,903	17.4
稅後淨利	23,737	19,588	21.2	58.6	54.0	18,514	28.2	24,739	19,946	24.0	4.2	79.4	20,960	18.0
每股盈餘 (元)	42.76	35.28	21.2	58.6	(48.4)	33.35	28.2	44.56	35.90	24.0	4.2	(40.0)	37.72	18.0
毛利率 (%)	8.8	8.2	0.6 ppts	(0.5)ppts	(0.0)ppts	8.3	0.5 ppts	8.5	7.4	1.1 ppts	(0.3)ppts	1.3 ppts	8.0	0.5 ppts
營業利益率 (%)	7.1	6.8	0.3 ppts	(0.2)ppts	(0.2)ppts	6.8	0.3 ppts	6.8	6.1	0.7 ppts	(0.3)ppts	1.2 ppts	6.4	0.4 ppts
淨利率 (%)	5.5	5.2	0.2 ppts	0.1 ppts	(0.3)ppts	5.1	0.3 ppts	5.2	4.6	0.6 ppts	(0.3)ppts	0.5 ppts	4.9	0.2 ppts

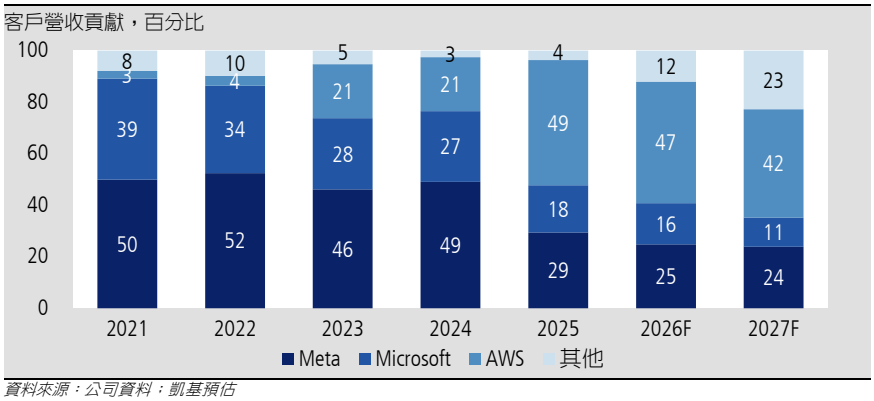
資料來源：Bloomberg；凱基預估

圖 2：2026-27 年財測修正 vs. 共識預估

	2026F						2027F					
百萬元	修正後	修正前	調幅 (%)	YoY(%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	YoY(%)	市場共識	差異 (%)
營收	1,467,357	1,361,998	7.7	54.4	1,331,770	10.2	2,596,962	2,368,079	9.7	77.0	2,368,776	9.6
毛利	125,527	108,106	16.1	60.0	109,738	14.4	196,275	164,970	19.0	56.4	162,190	21.0
營業利益	101,043	89,918	12.4	58.1	88,890	13.7	160,357	136,563	17.4	58.7	133,034	20.5
稅前獲利	98,177	87,201	12.6	48.6	87,477	12.2	156,973	133,245	17.8	59.9	130,807	20.0
稅後淨利	77,560	68,889	12.6	51.7	68,562	13.1	124,008	105,263	17.8	59.9	103,013	20.4
每股盈餘 (元)	139.76	123.57	13.1	(49.2)	123.55	13.1	223.38	189.61	17.8	59.8	185.56	20.4
毛利率 (%)	8.6	7.9	0.7 ppts	0.3 ppts	8.2	0.3 ppts	7.6	7.0	0.6 ppts	(1.0)ppts	6.8	0.7 ppts
營利率 (%)	6.9	6.6	0.3 ppts	0.2 ppts	6.7	0.2 ppts	6.2	5.8	0.4 ppts	(0.7)ppts	5.6	0.6 ppts
淨利率 (%)	5.3	5.1	0.2 ppts	(0.1)ppts	5.1	0.1 ppts	4.8	4.4	0.3 ppts	(0.5)ppts	4.3	0.4 ppts

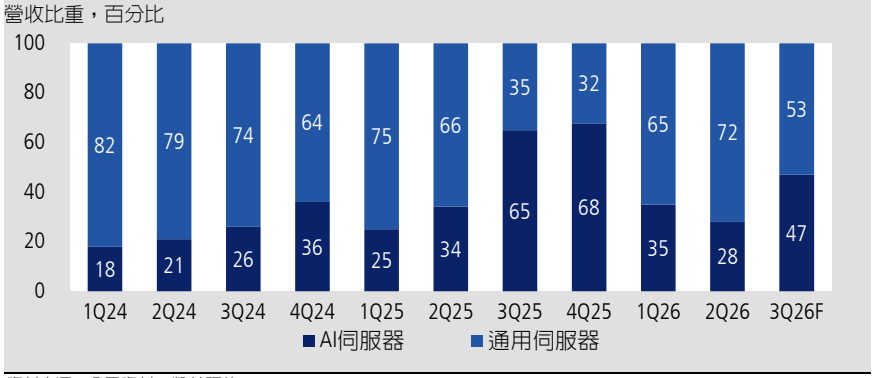
資料來源：Bloomberg；凱基預估

圖 3：2026-27 年客戶組合將更加多元與分散



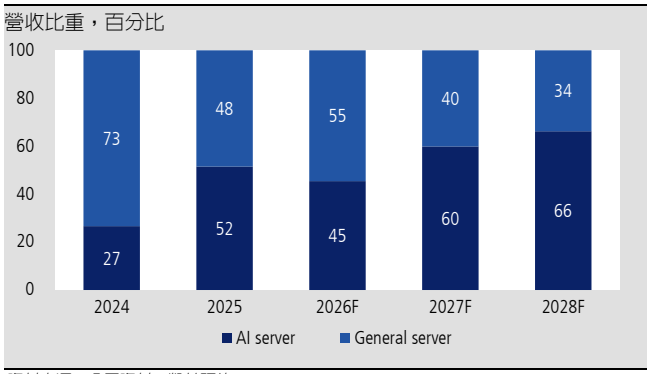
資料來源：公司資料；凱基預估

圖 4：3Q26 緯穎 AI 伺服器營收佔比略微提升



資料來源：公司資料；凱基預估

圖 5: AI 伺服器收入將在 2027-28 年回升



資料來源：公司資料；凱基預估

圖 6: ASIC AI 成為 AI 伺服器收入提升的動能 (%)

	2024	2025	2026F	2027F	2028F
伺服器收入占比(%)					
AI 伺服器	27	52	45	60	66
通用伺服器	73	48	55	40	34
收入 (NT$十億)					
AI 伺服器	96	490	666	1,555	2,410
通用伺服器	265	461	802	1,042	1,230
總計	361	951	1,467	2,597	3,640
年增率 (%)					
AI 伺服器	99	411	36	134	55
通用伺服器	37	74	74	30	18
總計	49	164	54	77	40
AI伺服器收入占比(%)					
ASIC AI	100	88	91	89	90
GPU AI	-	12	9	11	10

資料來源：公司資料；凱基預估

圖 7：市場將 2026-27 年 CSP 資本支出成長上修至年增 96%、33%

Capex, US$mn	2021	2022	2023	2024	2025	2026F	2027F
Meta	18,567	31,431	27,266	37,256	69,691	139,339	198,279
Amazon	55,396	58,321	48,133	82,999	131,819	221,567	281,335
Microsoft	23,216	24,768	35,202	55,552	83,094	158,380	207,796
Google	24,640	31,485	32,251	52,535	91,447	201,797	309,448
Oracle	3,118	6,678	6,935	12,194	39,877	84,801	96,359
Baidu	1,689	1,586	1,580	1,130	1,680	3,521	3,518
Alibaba	8,311	5,014	4,477	10,540	16,869	26,103	25,754
Tencent	4,808	4,611	3,017	8,740	12,177	25,006	25,906
Hyperscale subtotal	**139,745**	**163,894**	**158,861**	**260,946**	**446,654**	**860,514**	**1,148,397**
Apple	10,388	11,692	9,564	10,074	12,133	11,325	13,510
IBM	2,062	1,346	1,245	1,128	1,617	1,587	1,646
Coreweave	N.A.	72	2,943	8,702	10,309	35,659	47,787
Nebius	606	750	1,073	808	4,066	23,857	30,854
Dell	2,796	3,003	2,756	2,665	2,646	4,415	4,850
Salesforce	717	798	736	656	648	683	739
Netflix	525	408	349	440	688	771	788
Enterprise subtotal	**17,094**	**18,069**	**18,666**	**24,472**	**32,107**	**78,297**	**100,174**
Total	**156,838**	**181,962**	**177,527**	**285,419**	**478,761**	**938,811**	**1,248,571**

YoY growth, percent	2021	2022	2023	2024	2025	2026F	2027F
Meta	22.8	69.3	(13.3)	36.6	87.1	99.9	42.3
Amazon	58.1	5.3	(17.5)	72.4	58.8	68.1	27.0
Microsoft	32.0	6.7	42.1	57.8	49.6	90.6	31.2
Google	10.6	27.8	2.4	62.9	74.1	120.7	53.3
Oracle	70.1	114.2	3.8	75.8	227.0	112.7	13.6
Baidu	129.1	(6.1)	(0.4)	(28.5)	48.7	109.5	(0.1)
Alibaba	30.3	(39.7)	(10.7)	135.4	60.0	54.7	(1.3)
Tencent	(15.9)	(4.1)	(34.6)	189.7	39.3	105.4	3.6
Hyperscale subtotal	**33.5**	**17.3**	**(3.1)**	**64.3**	**71.2**	**92.7**	**33.5**
Apple	19.4	12.6	(18.2)	5.3	20.4	(6.7)	19.3
IBM	(21.2)	(34.7)	(7.5)	(9.4)	43.4	(1.8)	3.7
Coreweave	N.M.	N.M.	3,964.9	195.7	18.5	245.9	34.0
Nebius	77.7	23.7	43.2	(24.8)	403.5	486.8	29.3
Dell	34.3	7.4	(8.2)	(3.3)	(0.7)	66.9	9.8
Salesforce	1.0	11.3	(7.8)	(10.9)	(1.2)	5.4	8.3
Netflix	5.4	(22.3)	(14.5)	26.1	56.6	12.1	2.2
Enterprise subtotal	**14.3**	**5.7**	**3.3**	**31.1**	**31.2**	**143.9**	**27.9**
Total	**31.1**	**16.0**	**(2.4)**	**60.8**	**67.7**	**96.1**	**33.0**

資料來源：公司資料；Bloomberg；凱基

圖 8：近期市場將美系五大 CSP 之 2026 年資本支出上修至年增 79%，2027 年上修至年增 34%

							實際數			市場共識預估	
資本支出(百萬美元)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	2023	2024	2025	2026F	2027F
Meta (Facebook)	13,692	17,012	19,374	22,137	19,840	31,100	27,266	37,256	72,215	139,339	198,279
Amazon	25,019	32,183	35,095	39,522	44,203	49,800	48,133	82,999	131,819	220,000	267,080
Microsoft	21,400	24,200	34,900	37,500	31,900	41,000	35,202	55,552	118,000	158,380	207,796
Google	17,197	22,446	23,953	27,851	35,674	44,924	32,251	52,535	91,447	201,797	309,448
Oracle	5,862	9,080	8,502	12,033	18,635	16,493	6,935	10,745	35,477	84,801	96,359
美系CSP業者合計	**83,170**	**104,921**	**121,824**	**139,043**	**150,252**	**183,317**	**149,787**	**239,087**	**448,958**	**804,317**	**1,078,963**
年增率 (%)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**2023**	**2024**	**2025**	**2026F**	**2027F**
Meta (Facebook)	113.9	108.1	134.6	53.5	44.9	82.8	(13.3)	36.6	93.8	93.0	42.3
Amazon	67.6	82.7	55.2	42.0	76.7	54.7	(17.5)	72.4	58.8	66.9	21.4
Microsoft	95.4	74.4	133.9	137.3	49.1	69.4	42.1	57.8	112.4	34.2	31.2
Google	43.2	70.2	83.4	95.1	107.4	100.1	2.4	62.9	74.1	120.7	53.3
Oracle	250.2	224.5	269.2	203.1	217.9	81.6	3.8	54.9	230.2	139.0	13.6
美系CSP業者合計	**80.9**	**88.5**	**99.2**	**82.2**	**80.7**	**74.7**	**2.6**	**59.6**	**87.8**	**79.2**	**34.1**
季增率 (%)	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**2023**	**2024**	**2025**	**2026F**	**2027F**
Meta (Facebook)	(5.1)	24.2	13.9	14.3	(10.4)	56.8					
Amazon	(10.1)	28.6	9.0	12.6	11.8	12.7					
Microsoft	35.4	13.1	44.2	7.4	(14.9)	28.5					
Google	20.5	30.5	6.7	16.3	28.1	25.9					
Oracle	47.7	54.9	(6.4)	41.5	54.9	(11.5)					
美系CSP業者合計	**9.0**	**26.2**	**16.1**	**14.1**	**8.1**	**22.0**					

資料來源：公司資料；Bloomberg；凱基

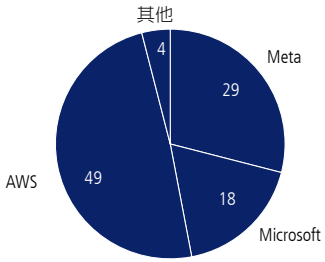
圖 9：公司概況

緯穎是緯創(3231 TT，NT$188.5，增加持股)持股 37.68%子公司，專為超大規模雲端資料中心供應硬體與解決方案，受惠來自網路內容供應商(Content Service Provider(CSP))客戶之資料中心擴建需求趨勢，預期隨著人工智慧、自動駕駛及擴增/虛擬實境對運算能力要求提高，網路流量將不斷成長，有助於公司來年營收與獲利持續成長。其客戶主要為 Meta（美）、Microsoft（美)與 AWS (美)，涉及伺服器、儲存以及 AI 伺服器。

資料來源：凱基

圖 10：Microsoft、Meta 與 AWS 為緯穎主要營收貢獻來源

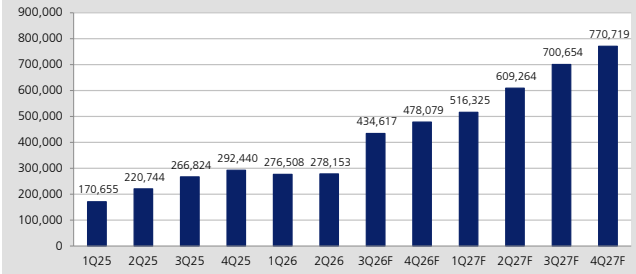
2025 年客戶營收比重，百分比



資料來源：公司資料；凱基

圖 11: 季營業收入

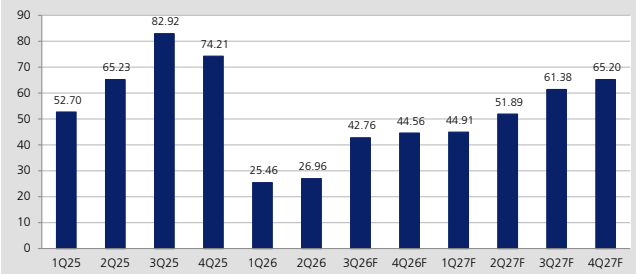
季營業收入，百萬元



資料來源：凱基

圖 12: 每股盈利

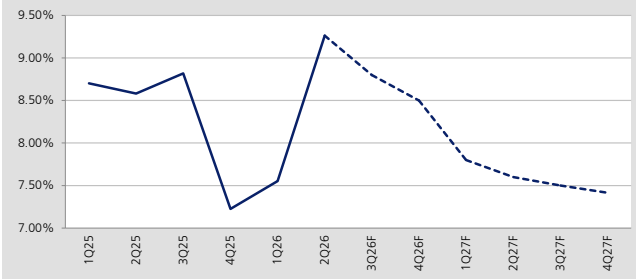
每股盈利，元



資料來源：凱基

圖 13: 毛利率

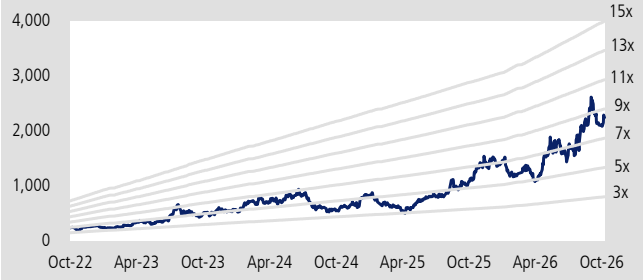
毛利率，百分比



資料來源：凱基

圖 14: 未來一年預估本益比區間

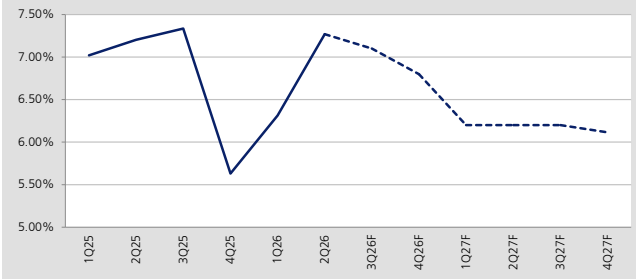
股價，元（左軸）；本益比，倍（右軸）



資料來源：TEJ；凱基預估

圖 15: 營業利潤率

營業利潤率，百分比



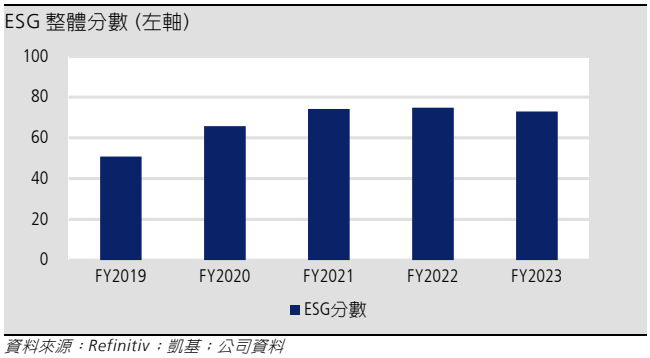
資料來源：凱基

圖 16: 未來一年預估股價淨值比區間

股價，元（左軸）；股價淨值比，倍（右軸）

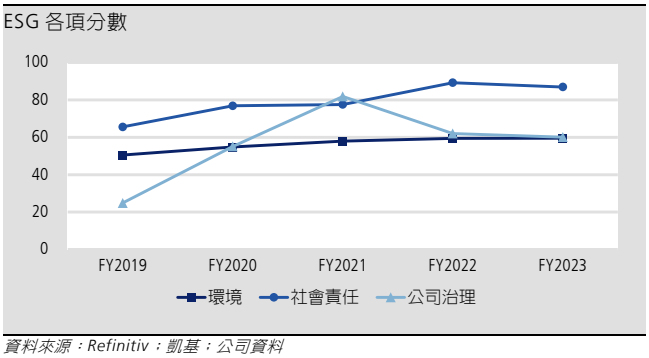
資料來源：TEJ；凱基預估

圖 17：ESG 整體分數



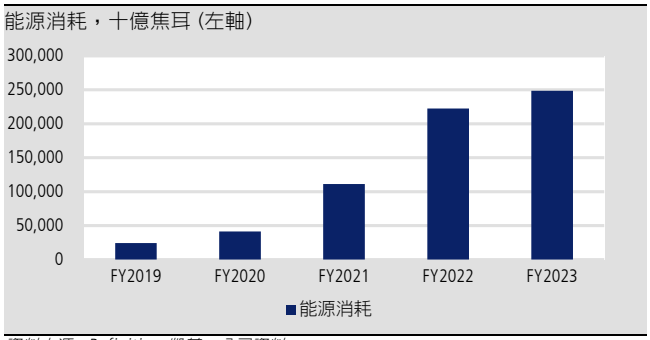
資料來源：Refinitiv；凱基；公司資料

圖 18：ESG 各項分數



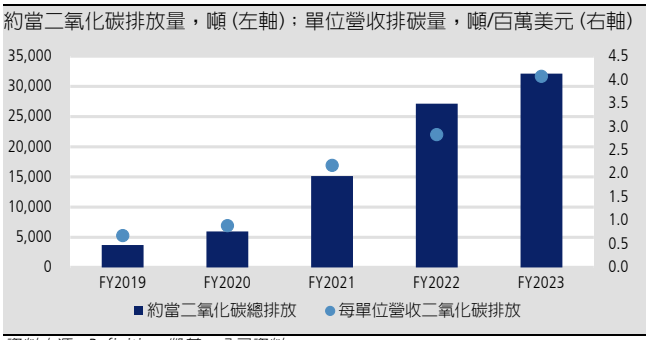
資料來源：Refinitiv；凱基；公司資料

圖 19：能源消耗



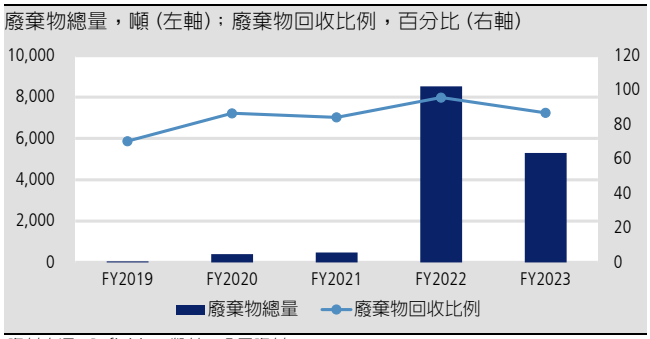
資料來源：Refinitiv；凱基；公司資料

圖 20：碳排量



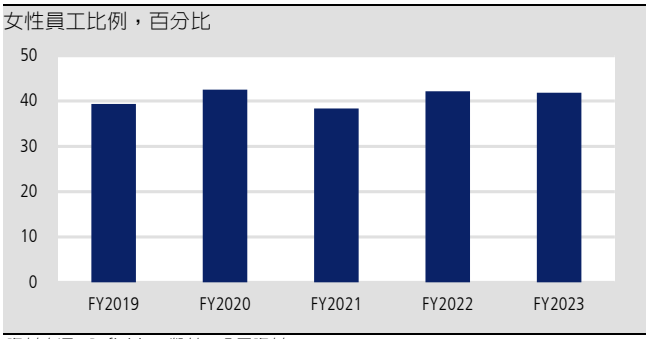
資料來源：Refinitiv；凱基；公司資料

圖 21：廢棄物總量



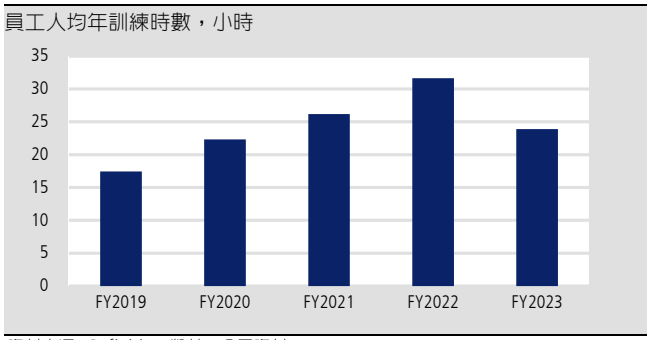
資料來源：Refinitiv；凱基；公司資料

圖 22：性別多樣性



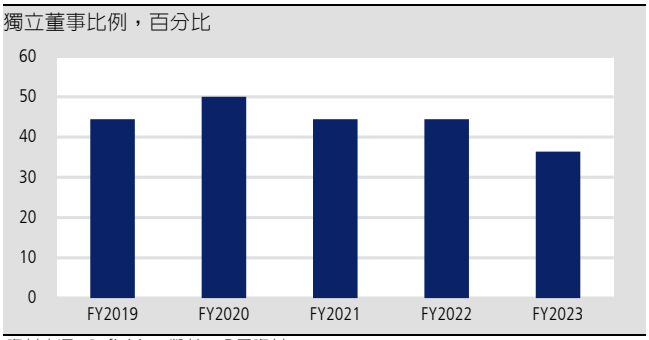
資料來源：Refinitiv；凱基；公司資料

圖 23：員工訓練



資料來源：Refinitiv；凱基；公司資料

圖 24：獨立董事



資料來源：Refinitiv；凱基；公司資料

ESG 圖表定義

項目	定義	說明
能源使用	直接與間接能源消耗總量(十億焦耳) - 公司運營範圍內消耗之能源總量 - 能源使用總量 = 直接能源消耗總量 + 間接能源消耗量 - 總能源使用量包括購買的能源、生產的能源 - 就公用事業而言，輸電/電網損耗為其業務活動之一部分，被視為總能源消耗，數據不包括為滿足能源使用而生產的電力（公用事業為出售而生產） - 就公用事業而言，用於能源生產的煤、天然氣或核能等原料不屬於「總能源使用」項下	
購買之再生能源	Primary 再生能源購買總量(十億焦耳) - 公司各種來源之能源消耗量與購買的能源中屬於自然界可再生者（太陽能、風能、水能、生物質能、地熱能）之量 - 如無證據顯示再生能源由公司生產，則所報告的能源數據視為購買的再生能源	
再生能源使用率	再生能源占總能源消耗量之比例	
CO2 約當排放量	直接 CO2 與 CO2 約當排放量(公噸) - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)	
CO2 約當排放量營收比	直接 CO2 與 CO2 約當排放量（公噸）銷售（百萬元）比 - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)	
廢棄物總量	廢棄物總量(公噸) - 總廢棄物 = 無害廢棄物 + 有害廢棄物 - 僅考慮固體廢棄物，但如液體廢棄物以公噸為單位呈報，則會將其加入求得包含液體廢棄物之總量 - 對於採礦、石油與天然氣等行業，tailings、廢石、煤、飛灰等廢棄物亦考慮在內	
廢棄物回收率	公司呈報的廢棄物回收率 - 廢棄物回收率 = 廢棄物回收量/總廢棄物*100 - 廢棄物轉化為能源或經由廢棄物焚燒產生能源視為廢棄物回收 - 經由堆肥回收的廢棄物視為回收之廢棄物	
總取水量	總取水量(立方公尺) - 由呈報組織直接或經水公司等中介機構從任何水源抽取的總水量 - 水井、城鎮/公用事業/市政用水、河水、地表水等不同之水源均予以考慮	
環保支出	環保支出總金額 - 所有用於環境保護，或防止、減少、控制環境因素、影響、危害的投資與支出，亦包括處置、處理、衛生、清理支出	
員工流動率	員工流動率 - 包括任何原因（自願或非自願）離開公司的員工，如辭職、退休、自然離職/死亡、醫療失能、冗員、裁員、重組、解僱、裁減或定期合約到期 - 員工流動率 =（離開之員工/平均員工人數）*100 - 平均員工人數 =（本年末員工人數 + 去年末員工人數）/2 - 本財年末員工數 =上個財年末員工數 + 新員工數 - 離開之員工數	
女性經理	女性經理百分比 - 女性經理占公司經理的百分比 - 如有不同階層之百分比，如最高階、高階、中階、初階，則會考慮中階女性經理之百分比 - 女性經理百分比 = 女性經理人數/經理總數*100	
女性員工	女性員工百分比 - 女性員工占公司員工總數的百分比 - 女性員工百分比 = 女性人數/員工總數*100	
教育訓練總時數	所有員工教育訓練總時數 - 僅考慮員工教育訓練時數 - 包括一般員工所有類型的教育訓練（如健康與安全、環境、急難事件救援、技能與職業發展） - 如果數據以天為單位，則乘以 8，係假設 1 天 = 8 小時工作	
每位員工教育訓練時數	平均每年每位員工總教育訓練時數	

資料來源：Refinitiv；凱基

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-25A	Dec-26F	Dec-27F
損益表 （NT$百萬）											
營業收入	**276,508**	**278,153**	**434,617**	**478,079**	**516,325**	**609,264**	**700,654**	**770,719**	**950,663**	**1,467,357**	**2,596,962**
營業成本	(255,627)	(252,390)	(396,371)	(437,442)	(476,052)	(562,960)	(648,105)	(713,570)	(872,209)	(1,341,830)	(2,400,687)
營業毛利	**20,881**	**25,763**	**38,246**	**40,637**	**40,273**	**46,304**	**52,549**	**57,149**	**78,454**	**125,527**	**196,275**
營業費用	(3,423)	(5,545)	(7,388)	(8,127)	(8,261)	(8,530)	(9,108)	(10,019)	(14,537)	(24,484)	(35,919)
營業利益	**17,458**	**20,218**	**30,858**	**32,509**	**32,012**	**37,774**	**43,441**	**47,129**	**63,918**	**101,043**	**160,357**
折舊	(827)	(919)	(886)	(911)	(1,035)	(1,035)	(1,035)	(1,035)	(2,442)	(3,542)	(4,139)
攤提	(74)	(79)	(56)	(13)	(56)	(56)	(56)	(56)	(248)	(222)	(222)
EBITDA	**18,360**	**21,216**	**31,799**	**33,434**	**33,102**	**38,865**	**44,531**	**48,220**	**66,608**	**104,808**	**164,718**
利息收入	291	521	372	304	250	250	250	250	1,112	1,488	1,000
投資利益淨額	-	-	-	-	-	-	-	-	-	-	-
其他營業外收入	1,670	291	50	188	250	250	250	250	-	2,200	1,000
總營業外收入	**1,962**	**812**	**422**	**492**	**500**	**500**	**500**	**500**	**1,112**	**3,688**	**2,000**
利息費用	(1,349)	(2,057)	(1,561)	(1,278)	(1,301)	(1,301)	(1,301)	(1,301)	(3,225)	(6,244)	(5,203)
投資損失	(137)	0	(15)	(29)	(13)	(13)	(13)	(13)	(52)	(180)	(50)
其他營業外費用	(0)	(0)	(33)	(98)	(33)	(33)	(33)	(33)	4,300	(130)	(130)
總營業外費用	**(1,486)**	**(2,056)**	**(1,609)**	**(1,404)**	**(1,346)**	**(1,346)**	**(1,346)**	**(1,346)**	**1,022**	**(6,554)**	**(5,383)**
稅前純益	**17,934**	**18,974**	**29,671**	**31,598**	**31,166**	**36,928**	**42,595**	**46,283**	**66,052**	**98,177**	**156,973**
所得稅費用[利益]	(3,820)	(4,005)	(5,934)	(6,858)	(6,233)	(8,124)	(8,519)	(10,088)	(14,934)	(20,617)	(32,964)
少數股東損益	-	-	-	-	-	-	-	-	-	-	-
非常項目前稅後純益	**14,114**	**14,969**	**23,737**	**24,739**	**24,933**	**28,804**	**34,076**	**36,196**	**51,118**	**77,560**	**124,008**
非常項目	(0)	0	-	(0)	-	-	-	-	-	-	-
稅後淨利	**14,114**	**14,969**	**23,737**	**24,739**	**24,933**	**28,804**	**34,076**	**36,196**	**51,118**	**77,560**	**124,008**
每股盈餘 (NT$)	25.46	26.96	42.76	44.56	44.91	51.89	61.38	65.20	275.06	139.76	223.38
獲利率 （%）											
營業毛利率	7.6	9.3	8.8	8.5	7.8	7.6	7.5	7.4	8.3	8.6	7.6
營業利益率	6.3	7.3	7.1	6.8	6.2	6.2	6.2	6.1	6.7	6.9	6.2
EBITDA Margin	6.6	7.6	7.3	7.0	6.4	6.4	6.4	6.3	7.0	7.1	6.3
稅前純益率	6.5	6.8	6.8	6.6	6.0	6.1	6.1	6.0	6.9	6.7	6.0
稅後純益率	5.1	5.4	5.5	5.2	4.8	4.7	4.9	4.7	5.4	5.3	4.8
季成長率 （%）											
營業收入	(5.4)	0.6	56.3	10.0	8.0	18.0	15.0	10.0			
營業毛利	(1.2)	23.4	48.5	6.3	(0.9)	15.0	13.5	8.8			
營業收益增長	6.0	15.8	52.6	5.4	(1.5)	18.0	15.0	8.5			
EBITDA	6.3	15.6	49.9	5.1	(1.0)	17.4	14.6	8.3			
稅前純益	2.7	5.8	56.4	6.5	(1.4)	18.5	15.3	8.7			
稅後純益	2.3	6.1	58.6	4.2	0.8	15.5	18.3	6.2			
年成長率 （%）											
營業收入	62.0	26.0	62.9	63.5	86.7	119.0	61.2	61.2	163.7	54.4	77.0
營業毛利	40.6	36.0	62.5	92.3	92.9	79.7	37.4	40.6	109.8	60.0	56.4
營業收益	45.7	27.2	57.7	97.4	83.4	86.8	40.8	45.0	127.5	58.1	58.7
EBITDA	46.4	28.4	56.8	93.6	80.3	83.2	40.0	44.2	121.3	57.4	57.2
稅前純益	43.2	20.7	45.8	81.0	73.8	94.6	43.6	46.5	129.1	48.6	59.9
稅後純益	44.1	23.5	54.0	79.4	76.6	92.4	43.6	46.3	124.4	51.7	59.9

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
資產總額	**88,845**	**190,679**	**338,189**	**456,486**	**653,876**
流動資產	**79,195**	**173,683**	**306,977**	**410,996**	**594,575**
現金及短期投資	37,495	48,329	89,934	108,421	58,171
存貨	30,179	86,211	136,257	202,194	361,747
應收帳款及票據	10,363	37,649	76,888	96,484	170,759
其他流動資產	1,158	1,494	3,897	3,897	3,897
非流動資產	**9,650**	**16,996**	**31,212**	**45,490**	**59,301**
長期投資	159	709	1,377	1,197	1,147
固定資產	5,626	9,163	20,848	35,306	49,167
什項資產	3,865	7,124	8,987	8,987	8,987
負債總額	**46,611**	**102,476**	**213,537**	**296,932**	**438,518**
流動負債	**36,494**	**76,364**	**179,654**	**268,653**	**408,371**
應付帳款及票據	20,169	53,585	79,366	147,050	263,089
短期借款	2,884	6,125	72,197	77,801	75,933
什項負債	13,441	16,654	28,091	43,802	69,348
長期負債	**10,117**	**26,112**	**33,883**	**28,279**	**30,147**
長期借款	8,443	22,004	27,985	22,381	24,249
其他負債及準備	486	852	2,845	2,845	2,845
股東權益總額	**42,234**	**88,203**	**124,653**	**159,555**	**215,358**
普通股本	1,748	1,858	1,858	5,575	5,575
保留盈餘	25,823	40,029	75,099	110,001	165,805
少數股東權益	-	-	-	-	-
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
年成長率					
營業收入	(17.4%)	49.0%	163.7%	54.4%	77.0%
營業收益增長	(11.0%)	77.1%	127.5%	58.1%	58.7%
EBITDA	(9.3%)	78.4%	121.3%	57.4%	57.2%
稅後純益	(15.0%)	89.1%	124.4%	51.7%	59.9%
每股盈餘成長率	(15.0%)	83.7%	117.3%	(49.2%)	59.8%
獲利能力分析					
營業毛利率	9.4%	10.4%	8.3%	8.6%	7.6%
營業利益率	6.6%	7.8%	6.7%	6.9%	6.2%
EBITDA Margin	7.0%	8.3%	7.0%	7.1%	6.3%
稅後純益率	5.0%	6.3%	5.4%	5.3%	4.8%
平均資產報酬率	13.6%	16.3%	19.3%	19.5%	22.3%
股東權益報酬率	29.7%	34.9%	48.0%	54.6%	66.2%
穩定 \ 償債能力分析					
毛負債比率 (%)	26.8%	31.9%	80.4%	62.8%	46.5%
淨負債比率	Net cash	Net cash	8.2%	Net cash	19.5%
利息保障倍數 (x)	17.2	24.2	21.5	16.7	31.2
利息及短期債保障倍數 (x)	0.8	0.8	0.5	0.5	0.7
Cash Flow Int. Coverage (x)	24.2	(16.1)	(0.2)	10.2	2.0
Cash Flow/Int. & ST Debt (x)	6.0	(2.7)	(0.0)	0.8	0.1
流動比率 (x)	2.2	2.3	1.7	1.5	1.5
速動比率 (x)	1.3	1.1	1.0	0.8	0.6
淨負債 (NT$百萬)	(26,168)	(20,200)	10,248	(8,240)	42,011
每股資料分析					
每股盈餘 (NT$)	68.88	126.57	275.06	139.76	223.38
每股現金盈餘 (NT$)	131.89	(111.11)	(3.36)	114.71	19.15
每股淨值 (NT$)	80.52	158.21	223.58	286.19	386.28
調整後每股淨值 (NT$)	241.56	490.15	670.75	287.52	387.93
每股營收 (NT$)	1,383.55	2,003.57	5,115.47	2,644.17	4,677.98
EBITDA/Share (NT$)	96.50	167.29	358.41	188.86	296.71
每股現金股利 (NT$)	14.00	24.67	145.00	76.51	122.34
資產運用狀況					
資產周轉率 (x)	2.72	2.58	3.60	3.69	4.68
應收帳款周轉天數	15.6	38.2	29.5	24.0	24.0
存貨周轉天數	50.2	97.6	57.0	55.0	55.0
應付帳款周轉天數	33.6	60.7	33.2	40.0	40.0
現金轉換周轉天數	32.3	75.2	53.3	39.0	39.0

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入	**241,901**	**360,541**	**950,663**	**1,467,357**	**2,596,962**
營業成本	(219,244)	(323,141)	(872,209)	(1,341,830)	(2,400,687)
營業毛利	**22,657**	**37,400**	**78,454**	**125,527**	**196,275**
營業費用	(6,787)	(9,301)	(14,537)	(24,484)	(35,919)
營業利益	**15,871**	**28,099**	**63,918**	**101,043**	**160,357**
總營業外收入	**909**	**2,120**	**1,112**	**3,688**	**2,000**
利息收入	456	1,219	1,112	1,488	1,000
投資利益淨額	-	-	-	-	-
其他營業外收入	454	901	-	2,200	1,000
總營業外費用	**(1,336)**	**(1,389)**	**1,022**	**(6,554)**	**(5,383)**
利息費用	(953)	(1,242)	(3,225)	(6,244)	(5,203)
投資損失	(64)	(68)	(52)	(180)	(50)
其他營業外費用	(319)	(79)	4,300	(130)	(130)
稅前純益	**15,444**	**28,830**	**66,052**	**98,177**	**156,973**
所得稅費用[利益]	(3,400)	(6,054)	(14,934)	(20,617)	(32,964)
少數股東損益	-	-	-	-	-
非常項目	-	(0)	(0)	-	-
稅後淨利	**12,044**	**22,776**	**51,118**	**77,560**	**124,008**
EBITDA	**16,873**	**30,103**	**66,608**	**104,808**	**164,718**
每股盈餘 (NT$)	68.88	126.57	275.06	139.76	223.38

現金流量

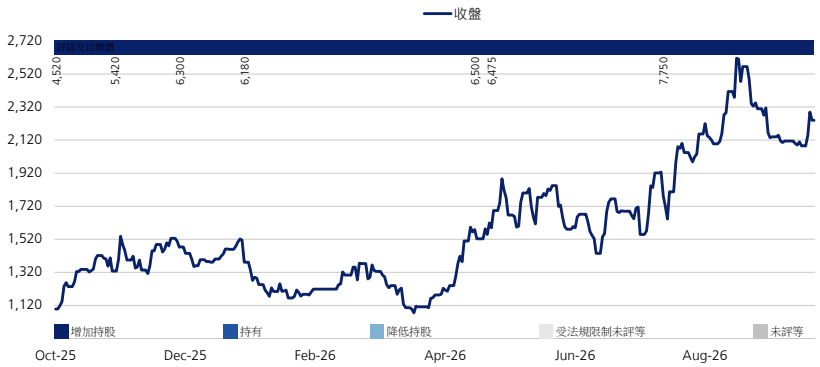
NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營運活動之現金流量	**23,060**	**(19,993)**	**(624)**	**63,657**	**10,629**
本期純益	12,044	22,776	51,118	77,560	124,008
折舊及攤提	1,002	2,005	2,690	3,764	4,361
本期運用資金變動	8,928	(47,806)	(64,430)	(17,848)	(117,790)
其他營業資產及負債變動	1,087	3,032	9,997	180	50
投資活動之現金流量	**(4,696)**	**(5,655)**	**(13,766)**	**(18,222)**	**(18,222)**
投資用短期投資出售[新購]	-	(581)	(38)	-	-
本期長期投資變動	-	-	-	-	-
資本支出淨額	(4,886)	(4,891)	(13,674)	(18,000)	(18,000)
其他資產變動	190	(183)	(54)	(222)	(222)
自由現金流	**17,300**	**(28,670)**	**(26,196)**	**47,519**	**(4,970)**
融資活動之現金流量	**(7,115)**	**36,316**	**56,188**	**(26,947)**	**(42,658)**
短期借款變動	393	940	66,473	-	-
長期借款變動	1,500	16,945	4,706	-	-
現金增資	-	27,068	-		
已支付普通股股息	(8,742)	(7,343)	(13,752)	(26,947)	(42,658)
其他融資現金流	(265)	(1,294)	(1,240)	-	-
匯率影響數	**13**	**166**	**(192)**		
本期產生現金流量	**11,263**	**10,834**	**41,605**	**18,488**	**(50,251)**

投資回報率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	2.8%	2.6%	1.5%	1.7%	1.4%
= 營業利益率	**6.6%**	**7.8%**	**6.7%**	**6.9%**	**6.2%**
1 / (營業運用資金/營業收入	0.0	0.2	0.1	0.1	0.1
+ 淨固定資產/營業收入	0.0	0.0	0.0	0.0	0.0
+ 什項資產/營業收入)	0.0	0.0	0.0	0.0	0.0
= 資本周轉率	**16.2**	**5.5**	**7.2**	**9.8**	**10.2**
營業利益率	6.6%	7.8%	6.7%	6.9%	6.2%
x 資本周轉率	16.2	5.5	7.2	9.8	10.2
x (1 - 有效現金稅率)	78.0%	79.0%	77.4%	79.0%	79.0%
= 稅後 ROIC	**82.7%**	**33.8%**	**37.3%**	**53.5%**	**49.6%**

資料來源：公司資料，凱基

緯穎 – 以往評級及目標價



日期	評級	目標價	收盤價
2026-07-28	增加持股	7,750	1,782
2026-05-07	增加持股	6,475	1,590
2026-04-29	增加持股	6,500	1,579
2026-02-27	增加持股	6,180	1,303
2026-01-09	增加持股	6,180	1,381
2025-12-09	增加持股	6,300	1,473
2025-11-08	增加持股	5,420	1,328
2025-09-09	增加持股	4,520	981
2025-08-09	增加持股	3,550	942
2025-07-10	增加持股	3,250	845

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888，傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888，傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888，傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188，傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

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Angela Hsiang

HTC Corp. (2498.TW): XR headset and AI glasses to support growth ahead; Near-term cost pressures remain; Sell

Allen Chang
+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

Verena Jeng
+852-2978-1681 | verena.jeng@gs.com
Goldman Sachs (Asia) L.L.C.

In September, HTC accelerated its global wearable expansion with the commercial launch of the new round-frame edition of its VIVE Eagle AI smart glasses alongside substantial software enhancements across North America, Europe, and Australia (news). Features include hands-free image capture, first-person POV live streaming, real-time AI translation, AI Notes, dashcam utility, and assistive vision for the visually impaired. Meanwhile, the company continues to anchor its VR headset strategy around commercial enterprise solutions, underscored by its flagship deployment with Axon which shifts hazardous tactical training into virtual environments to reduce operational costs, complemented by use cases in complex surgical simulation, interior space visualization, and virtual meeting rooms.

While we maintain our constructive view on HTC's long-term growth trajectory backed by sustained product innovation, we are **Sell** rated given near-term earnings headwinds - specifically core monetization drivers across XR/ VR/ AI glasses and software will require extended lead time to ramp adoption, compounded by consumer electronics demand softness and margin compression from elevated memory component costs. We would turn more positive if we see stronger-than-expected XR headset/ AI glasses growth driven by market demand, application development or customer expansion.

Earnings revisions: We factor in 3Q26 revenues and revise down 2026-28E net income. We revise down 2026-28E revenues by 4%/ 0%/ 27% due to demand pressures of consumer electronics (impacted by soaring memory cost) and soft demand of XR products in the near-term. GM estimates are largely unchanged in 2026-2027E, and we revise down our OPM estimates by 2.1/ 0.3ppts on a smaller business scale. GM are revised up by 5.7ppts in 2028E to reflect mix upgrade to VR hardware and software with high margin.

Exhibit 1: Earnings revisions

	2026E			2027E			2028E		
NT$m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	6,972	6,693	-4%	14,741	14,780	0%	20,908	15,352	-27%
GP	2,756	2,624	-5%	5,807	5,732	-1%	8,220	6,917	-16%
OP	(736)	(846)	na	996	952	-4%	1,654	1,447	-13%
Net income	(371)	(346)	na	1,007	992	-1%	1,795	1,708	-5%
Margins									
GM	39.5%	39.2%	-0.3ppts	39.4%	38.8%	-0.6ppts	39.3%	45.1%	+5.7ppts
OPM	-10.6%	-12.6%	-2.1ppts	6.8%	6.4%	-0.3ppts	7.9%	9.4%	+1.5ppts
NM	-5.3%	-5.2%	+0.2ppts	6.8%	6.7%	-0.1ppts	8.6%	11.1%	+2.5ppts

Source: Goldman Sachs Global Investment Research

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Valuation: With earnings revisions and an unchanged valuation methodology, our 12M target price is revised down to NT$32.8 (vs. previously at NT$34.4). We continue to derive our target price via 85% based on a fundamental valuation and 15% from a theoretical M&A valuation. (1) Our fundamental valuation is based on 2028E P/E of 19.3x (unchanged), discounted back to 2026E at an 11.5% COE. (2) Our M&A valuation is based on 23.6x 2028E P/E (unchanged) then discounted back to 2026E at an 11.5% COE.

Our target 2028E discounted P/E multiple of 19.3x is in line with XR peers' historical avg. P/E at 19.3x in 2022 (method unchanged, Exhibit 5). HTC's 2029 NI growth will be 15% YoY per our estimate, which is lower than XR peers' (Meta/ Goertek/ Microsoft/ Apple/ Sony) 2023-24 avg. NI growth at 23% YoY. Our M&A target multiple is 23.6x 2028E P/E, which is derived from the peers' historical avg. +1std P/E in 2022 (methodology unchanged). We use avg. +1std P/E of peers to reflect the M&A premium.

Our 12M target price of NT$32.8 implies 4.1x 2026E P/S vs. 126% revenue YoY growth on average in 2026E-27E. The implied 2026E P/S of 4.1x is lower than the company's current price implied 2026E P/S at 4.9x, showing that valuation is stretched. Maintain **Sell**.

Exhibit 2: HTC discounted P/E and M&A valuation TP at NT$32.80

NT$ m	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Milestone		**Smartphone to VR**			**VR headset to software**				**VR SW increases**			
VR headset				96%	77%	62%	52%	15%	56%	69%	60%	69%
VR software				1%	13%	32%	34%	79%	41%	29%	37%	31%
Revenue	23,741	10,015	5,806	5,253	4,409	4,418	3,081	2,901	6,693	14,780	15,352	17,655
Revenue YoY	*-62%*	*-58%*	*-42%*	*-10%*	*-16%*	*0%*	*-30%*	*-6%*	*131%*	*121%*	*4%*	*15%*
GM	*2.2%*	*20.3%*	*27.0%*	*31.1%*	*39.2%*	*41.3%*	*40.7%*	*35.9%*	*39.2%*	*38.8%*	*45.1%*	*39.8%*
GP	515	2,028	1,565	1,636	1,730	1,824	1,254	1,041	2,624	5,732	6,917	7,018
OP	(13,964)	(9,850)	(6,391)	(4,116)	(4,404)	(4,295)	(4,639)	(3,452)	(846)	952	1,447	1,721
OPM	*-58.8%*	*-98.4%*	*-110.1%*	*-78.4%*	*-99.9%*	*-97.2%*	*-150.6%*	*-119.0%*	*-12.6%*	*6.4%*	*9.4%*	*9.8%*
Net profit	12,068	(9,358)	(5,950)	(3,073)	(3,412)	(3,396)	(3,418)	6,025	(346)	992	1,438	1,661
NP YoY		*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*-106%*	*n.a.*	*45%*	*15%*
EPS	14.50	(11.43)	(7.27)	(3.75)	(4.13)	(4.09)	(4.11)	7.15	(0.41)	1.19	2.04	1.99
EPS YoY		*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*n.a.*	*-106%*	*n.a.*	*45%*	*15%*

Target PE (sector PE)	19.3
Target PE x 2028 EPS	39
Value per share (NT, 2026E)	**32**

COE	11.5%
Beta	1.6
Risk-free rate	1.8%
Market risk premium	6.3%

TP (NT$)	**32.8**
M&A P/E (avg.+1stv P/E, x)	23.6
2028 EPS x P/E (NT$)	48
M&A valuation (15%) (NT$)	39
Fundamental valuation (85%) (NT$)	32
TP implied 2026E PS (x)	**4.1**
Rev YoY avg. 2026-27E	**126%**

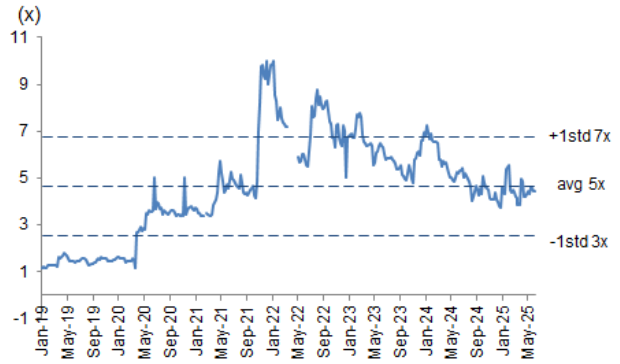
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: HTC P&L summary

NT$ mn	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Income statement														
Revenue	4,418	3,081	2,901	6,693	14,780	15,352	708	695	716	781	653	614	764	4,663
Gross profit	1,824	1,254	1,041	2,624	5,732	6,917	266	253	252	269	272	262	367	1,722
OP income	(4,295)	(4,639)	(3,452)	(846)	952	1,447	(1,144)	(836)	(854)	(618)	(563)	(573)	(516)	805
Net income	(3,396)	(3,418)	6,025	(346)	992	1,708	4,055	(716)	3,243	(557)	(242)	(279)	(579)	754
EPS (NT$, diluted)	(4.09)	(4.11)	7.15	(0.41)	1.19	2.04	4.82	(0.85)	3.85	(0.67)	(0.29)	(0.33)	(0.69)	0.90
Margins														
Gross margin	41.3%	40.7%	35.9%	39.2%	38.8%	45.1%	37.6%	36.5%	35.2%	34.4%	41.7%	42.6%	48.1%	36.9%
Operating margin	-97.2%	-150.6%	-119.0%	-12.6%	6.4%	9.4%	-161.5%	-120.3%	-119.2%	-79.2%	-86.2%	-93.2%	-67.6%	17.3%
Pretax margin	-76.9%	-110.9%	291.0%	-4.7%	6.7%	11.2%	871.0%	-102.9%	484.6%	-61.9%	-35.0%	-42.3%	-76.0%	16.2%
Net margin	-76.9%	-110.9%	207.7%	-5.2%	6.7%	11.1%	572.4%	-103.0%	452.7%	-71.3%	-37.0%	-45.5%	-75.8%	16.2%
Ratios														
Opex ratio	-138%	-191%	-155%	-52%	-32%	-36%	-199%	-157%	-154%	-114%	-128%	-136%	-116%	-20%
Tax rate	0%	0%	29%	-11%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
YoY														
Revenue	0%	-30%	-6%	131%	121%	4%	19%	-9%	-7%	-17%	-8%	-12%	7%	497%
Gross profit	5%	-31%	-17%	152%	118%	21%	8%	-19%	-20%	-29%	2%	3%	46%	540%
OP income	na	na	na	na	na	52%	na	na	na	na	na	na	na	na
Pretax income	na	na	na	na	na	72%	na	na	na	na	na	na	na	na
Net income	na	na	na	na	na	72%	na	na	na	na	na	na	na	na
QoQ														
Revenue							-25%	-2%	3%	9%	-16%	-6%	24%	511%
Gross profit							-29%	-5%	0%	7%	1%	-4%	40%	369%
OP income							na	na	na	na	na	na	na	na
Pretax income							na	na	na	na	na	na	na	na
Net income							na	na	na	na	na	na	na	na

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: HTC 12M forward P/S



Source: Refinitiv Eikon

Exhibit 5: HTC's 2029 NI growth is at 15% YoY, lower than XR peers 2023-24 avg. NI growth

Company	Ticker	2022 PE	2023-24 NI growth
Meta	Meta.O	15.5	64%
Goertek	002241.SZ	18.5	15%
Apple	AAPL.O	20.8	9%
Microsoft	MSFT.O	25.9	12%
Sony	6758.T	15.7	16%
Average (excl. Meta)		**19.3**	**23%**
HTC target discounted P/E (2028E)			**19.3**
HTC NI growth (2029E)			15%

Source: Company data, Goldman Sachs Global Investment Research, Eikon Datastream

Price Target Risks and Methodology - HTC Corp.

Valuation methodology: We are Sell rated on HTC with a 12M target price of **NT$32.8**, which is derived 85% from a fundamental valuation and 15% from a theoretical M&A valuation. (1) Our fundamental valuation is based on 19.3x 2028E P/E, discounted back to 2026E at an 11.5% COE. The 19.3x target P/E multiple is derived from peers' avg. P/E in 2022; (2) Our M&A valuation is based on 23.6x 2028E P/E and discounted back to 2026E at an 11.5% COE.

Key risks: 1) Better-than-expected VR demand; 2) lower-than-expected competition in VR headsets; and 3) lower-than-expected price pressure from peers.

2498.TW	12m Price Target: **NT$32.80**	Price: **NT$42.00**	Downside: **21.9%**

Sell

Market cap: NT$35.1bn / $1.1bn
Enterprise value: NT$36.0bn / $1.1bn
3m ADTV: NT$216.8mn / $6.8mn
Taiwan
Greater China Technology
M&A Rank: 2
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**2,900.7**	**6,693.4**	**14,780.5**	**--**
Revenue (NT$ mn) Old	2,900.7	6,972.0	14,741.2	–
EBITDA (NT$ mn)	(3,227.2)	(625.6)	1,166.4	–
EPS (NT$) New	**7.21**	**(0.41)**	**1.19**	**2.04**
EPS (NT$) Old	7.21	(0.44)	1.20	2.15
P/E (X)	6.6	NM	35.4	20.6
P/B (X)	30.5	27.4	26.4	NM
Dividend yield (%)	0.0	0.0	0.0	NM
CROCI (%)	(14.5)	(0.3)	4.1	–

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	(0.33)	(0.69)	0.90	0.04

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

Disclosure Appendix

Reg AC

We, Allen Chang and Verena Jeng, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Allen Chang Goldman Sachs (Asia) L.L.C., Verena Jeng Goldman Sachs (Asia) L.L.C..

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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	Rating Distribution			Investment Banking Relationships		
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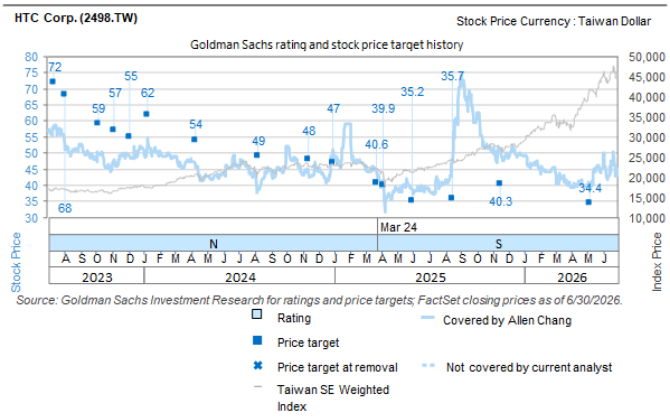
Price target and rating history chart(s)



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Target price history table(s)

HTC Corp. (2498.TW)

Date of report	Target price (NT$)	Closing price (NT$)
07-May-26	34.40	40.45
16-Nov-25	40.30	50.80
16-Aug-25	35.70	46.95
02-Jun-25	35.20	37.20
06-Apr-25	39.90	41.35
24-Mar-25	40.60	44.55
30-Dec-24	47.00	51.20
13-Nov-24	48.00	43.90
09-Aug-24	49.00	38.75
09-Apr-24	54.00	46.65
08-Jan-24	62.00	52.90
06-Dec-23	55.00	48.90
06-Nov-23	57.00	48.10

Price targets shown in table(s) are unadjusted for corporate actions.

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Kinsus

Solid revenue growth and margin improvement into 2027; Buy

Reiterate Rating: BUY | PO: 1,450 TWD | Price: 1,075 TWD

Raise PO along with hike in estimates

We raise 2026/27/28E EPS by 4%/11%/14% after incorporating (see reports) 1) stronger-than-expected August numbers; and 2) strengthening growth outlook of server CPU (central processing unit) which is also shared by NYPCB. Our PO goes to NT$1,450 (was NT$1,250) same based on 2H27-1H28E P/E. Reiterate Buy on Kinsus given its growing exposure to AI (artificial intelligence) server market via high-end ABF substrate, which in turn bolstering its margin profile in longer-term.

Gross margin improvement carries into 2027

We expect Kinsus' GM (gross margin) to reach 27.8% in 3Q26, then followed by further improvement toward 29.3% along with 10% revenue QoQ in 4Q26, which will be fueled by continuous price hike and mix improvement. For 2027, expect the company's GM to reach 32.5% driven by ongoing improvements in product mix and utilization.

Sustained growth from AI CPU and optical module

For AI and adjacent applications, we expect at least 15-20% revenue from substrate for Vera CPU in 2027, and AI-related application will account for 50% of the firm's revenue in ABF (Ajinomoto build-up film) business in 2028. As for BT (bismaleimide triazine) substrate, growth in near/mid-term will be underpinned by the demand from DSP (digital signal processor) and transceiver (light engine) for pluggable optical module.

Land acquisition for further capacity expansion

Kinsus announced that it spent NT$6bn for acquiring land in Pingzhen, which will be used for K7 site expansion with capacity coming on stream in 2030 at earliest, following the ongoing expansion in K6 for ABF (Ajinomoto build-up film) substrate (reaching 80mn unit capacity/month in 2029-30).

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	49	1,596	5,587	14,369	27,158
EPS	0.108	3.51	10.60	27.27	51.54
EPS Change (YoY)	2.5%	NM	202.5%	157.2%	89.0%
Consensus EPS (Visible Alpha)			11.88	28.81	51.88
Dividend / Share	1.00	1.50	4.77	12.27	23.19
Free Cash Flow / Share	(5.69)	4.58	(17.35)	11.32	26.92
Valuation (Dec)					
P/E	9,977x	306.68x	101.38x	39.42x	20.86x
Dividend Yield	0.093%	0.140%	0.444%	1.14%	2.16%
EV / EBITDA*	76.90x	56.54x	39.49x	22.03x	14.35x
Free Cash Flow Yield*	-0.456%	0.368%	-1.61%	1.05%	2.50%

* For full definitions of *iQmethod*℠ measures, see page 7.

10 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	1,250.00	1,450.00
2026E EPS	10.21	10.60
2027E EPS	25.94	27.27
2028E EPS	47.82	51.54
2026E EBITDA (m)	14,489.7	14,794.5
2027E EBITDA (m)	25,525.6	26,526.3
2028E EBITDA (m)	40,246.1	40,708.1

Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3729
mike.c.yang@bofa.com

Stock Data

Price	1,075 TWD
Price Objective	1,450 TWD
Date Established	10-Oct-2026
Investment Opinion	C-1-7
52-Week Range	118.43 TWD-1,150 TWD
Mrkt Val / Shares Out (mn)	17,739 USD / 526.9
Market Value (mn)	566,429 TWD
Average Daily Value (mn)	697.44 USD
Free Float	69.4%
BofA Ticker / Exchange	KNSUF / TAI
Bloomberg / Reuters	3189 TT / 3189.TW
ROE (2026E)	12.6%
Net Dbt to Eqty (Dec-2025A)	4.8%

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price

iQprofile℠ Kinsus

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	30,535	39,351	54,119	81,332	114,156
Gross Profit	8,668	8,314	14,326	26,458	42,367
Sell General & Admin Expense	(4,961)	(3,035)	(3,984)	(4,925)	(5,895)
Operating Profit	1,095	2,670	7,545	18,050	32,534
Net Interest & Other Income	508	417	546	434	434
Associates	NA	NA	NA	NA	NA
Pretax Income	1,603	3,087	8,091	18,483	32,967
Tax (expense) / Benefit	(272)	(370)	(1,148)	(2,796)	(4,390)
Net Income (Adjusted)	49	1,596	5,587	14,369	27,158
Average Fully Diluted Shares Outstanding	454	455	527	527	527
Key Cash Flow Statement Data					
Net Income	49	1,596	5,587	14,369	27,158
Depreciation & Amortization	6,133	7,244	6,653	7,992	7,690
Change in Working Capital	(956)	(1,966)	(2,815)	(2,440)	(4,448)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	2,480	1,219	(4,568)	2,044	1,786
Cash Flow from Operations	7,705	8,093	4,857	21,966	32,186
Capital Expenditure	(10,289)	(6,007)	(14,000)	(16,000)	(18,000)
(Acquisition) / Disposal of Investments	1,359	(1,594)	0	0	0
Other Cash Inflow / (Outflow)	(178)	(268)	0	0	0
Cash Flow from Investing	(9,107)	(7,869)	(14,000)	(16,000)	(18,000)
Shares Issue / (Repurchase)	137	13	7,200	0	0
Cost of Dividends Paid	(454)	(457)	(2,514)	(6,466)	(12,221)
Cash Flow from Financing	996	(3,270)	531	(6,466)	(12,221)
Free Cash Flow	(2,584)	2,086	(9,143)	5,966	14,186
Net Debt	865	1,969	10,582	11,082	9,117
Change in Net Debt	1,959	1,364	8,612	500	(1,965)
Key Balance Sheet Data					
Property, Plant & Equipment	36,409	41,937	49,283	57,291	67,601
Other Non-Current Assets	13,350	9,099	9,122	9,145	9,167
Trade Receivables	5,284	6,804	9,357	12,200	17,123
Cash & Equivalents	15,366	12,281	3,669	3,169	5,133
Other Current Assets	9,027	9,853	11,215	12,707	14,357
Total Assets	79,435	79,973	82,646	94,511	113,382
Long-Term Debt	13,779	11,197	11,197	11,197	11,197
Other Non-Current Liabilities	8,788	7,297	7,297	7,297	7,297
Short-Term Debt	2,452	3,053	3,053	3,053	3,053
Other Current Liabilities	14,539	17,053	13,608	17,569	21,504
Total Liabilities	39,557	38,600	35,155	39,116	43,051
Total Equity	39,878	41,373	47,492	55,395	70,331
Total Equity & Liabilities	79,435	79,973	82,646	94,511	113,382
iQ*method℠ - Bus Performance					
Return On Capital Employed	2.0%	4.3%	10.6%	21.6%	33.9%
Return On Equity	0.1%	3.9%	12.6%	27.9%	43.2%
Operating Margin	3.6%	6.8%	13.9%	22.2%	28.5%
EBITDA Margin	24.9%	26.3%	27.3%	32.6%	35.7%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	NM	5.1x	0.9x	1.5x	1.2x
Asset Replacement Ratio	1.7x	0.8x	2.1x	2.0x	2.3x
Tax Rate (Reported)	17.0%	12.0%	14.2%	15.1%	13.3%
Net Debt-to-Equity Ratio	2.2%	4.8%	22.3%	20.0%	13.0%
Interest Cover	NA	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Semiconductors

Company Description

Kinsus, founded in 2000, is headquartered in Taiwan and has production facilities in Taiwan (Taoyuan) and in China (Suzhou). The main business is IC substrate manufacturing, with a wide range of product offerings including SiP, FPGA, FCCSP, CSP, RF modules and FCBGA. Its clients include Qualcomm, AMD, NVIDIA, Broadcom, Xilinx, Altera, TI, and MTK etc. The main competitors include Unimicron (3037 TT), NYPCB (8046 TT), Ibiden (4062 JP), Shinko (6967 JP), SEMCO (009150 KS) and AT&S (ATS AV), etc.

Investment Rationale

We have an Buy rating on Kinsus, in view of its growing traction to AI server market from 2026 mainly via offering the ABF substrate for server CPU. For other businesses, we also recognize the solid growth outlook in BT substrate thanks to the demand from memory chips, while the growth in contact lens business should remain stable.

Stock Data

Price to Book Value	11.9x

Exhibit 1: Earnings estimate change

We raise 2026-28E EPS by 4-8% after baking in the assumptions of stronger revenue growth and operating leverage

(NT$mn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	54,119	52,495	3.1	81,332	77,520	4.9	114,156	108,635	5.1
Gross profit	14,326	13,891	3.1	26,458	25,447	4.0	42,367	40,226	5.3
Gross margin	*26.5%*	*26.5%*	0.0 ppt	*32.5%*	*32.8%*	-0.3 ppt	*37.1%*	*37.0%*	0.1 ppt
Operating profit	7,545	7,240	4.2	18,050	17,149	5.3	32,534	30,672	6.1
Operating margin	*13.9%*	*13.8%*	0.1 ppt	*22.2%*	*22.1%*	0.1 ppt	*28.5%*	*28.2%*	0.3 ppt
Pretax income	8,091	7,786	3.9	18,483	17,483	5.7	32,967	31,005	6.3
Pretax margin	*14.9%*	*14.8%*	0.1 ppt	*22.7%*	*22.6%*	0.2 ppt	*28.9%*	*28.5%*	0.3 ppt
Net income	5,587	5,379	3.9	14,369	13,670	5.1	27,158	25,195	7.8
Net margin	*10.3%*	*10.2%*	0.1 ppt	*17.7%*	*17.6%*	0.0 ppt	*23.8%*	*23.2%*	0.6 ppt
EPS (NT$)	10.60	10.21	3.9	27.27	25.94	5.1	51.54	47.82	7.8

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: BofAe vs consensus

We are 11%/14% higher vs consensus for 2027/28E EPS, due mainly to the assumption of stronger operating leverage

(NT$mn)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	54,119	53,240	1.7	81,332	79,776	2.0	114,156	116,711	-2.2
Gross profit	14,326	14,069	1.8	26,458	25,715	2.9	42,367	43,208	-1.9
Gross margin	*26.5%*	*26.4%*	0.0 ppt	*32.5%*	*32.2%*	0.3 ppt	*37.1%*	*37.0%*	0.1 ppt
Operating profit	7,545	7,379	2.3	18,050	16,415	10.0	32,534	29,239	11.3
Operating margin	*13.9%*	*13.9%*	0.1 ppt	*22.2%*	*20.6%*	1.6 ppt	*28.5%*	*25.1%*	3.4 ppt
Pretax income	8,091	7,665	5.6	18,483	16,682	10.8	32,967	29,481	11.8
Pretax margin	*14.9%*	*14.4%*	0.6 ppt	*22.7%*	*20.9%*	1.8 ppt	*28.9%*	*25.3%*	3.6 ppt
Net income	5,587	5,384	3.8	14,369	12,957	10.9	27,158	23,777	14.2
Net margin	*10.3%*	*10.1%*	0.2 ppt	*17.7%*	*16.2%*	1.4 ppt	*23.8%*	*20.4%*	3.4 ppt
EPS (NT$)	10.60	10.22	3.8	27.27	24.59	10.9	51.54	45.13	14.2

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 3: Income statement
We expect the firm to record ~45% revenue CAGR during 2026-28

(NT$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**11,105**	**12,496**	**14,540**	**15,979**	**16,656**	**18,943**	**21,756**	**23,976**	**39,351**	**54,119**	**81,332**	**114,156**
COGS	-8,755	-9,235	-10,504	-11,299	-11,608	-12,859	-14,580	-15,826	-31,037	-39,794	-54,874	-71,788
Gross Profit	**2,349**	**3,261**	**4,036**	**4,679**	**5,048**	**6,084**	**7,176**	**8,150**	**8,314**	**14,326**	**26,458**	**42,367**
Operating expenses	**-1,459**	**-1,581**	**-1,763**	**-1,977**	**-1,922**	**-2,034**	**-2,150**	**-2,303**	**-5,645**	**-6,780**	**-8,409**	**-9,834**
SG&A	-886	-933	-1,028	-1,137	-1,148	-1,190	-1,249	-1,338	-3,035	-3,984	-4,925	-5,895
R&D	-573	-649	-735	-839	-774	-843	-901	-965	-2,610	-2,797	-3,483	-3,938
Operating income	**891**	**1,679**	**2,273**	**2,702**	**3,126**	**4,051**	**5,026**	**5,847**	**2,670**	**7,545**	**18,050**	**32,534**
Non-operating income	**74**	**105**	**183**	**183**	**103**	**103**	**113**	**113**	**417**	**546**	**434**	**434**
Interest income	-13	-13	-13	-13	-13	-13	-13	-13	-4	-50	-50	-50
Investment income	6	6	6	6	6	6	6	6	18	23	23	23
Others	81	112	190	190	110	110	120	120	404	573	461	461
Pre-tax profit	**964**	**1,784**	**2,456**	**2,886**	**3,230**	**4,154**	**5,139**	**5,960**	**3,087**	**8,091**	**18,483**	**32,967**
Tax	-89	-204	-393	-462	-355	-665	-822	-954	-370	-1,148	-2,796	-4,390
Net income	**1,171**	**2,701**	**2,390**	**2,693**	**3,245**	**3,879**	**5,673**	**5,325**	**1,596**	**5,587**	**14,369**	**27,158**
EPS (NT$)	**1.17**	**2.49**	**3.21**	**3.86**	**4.85**	**6.10**	**7.51**	**8.81**	**3.51**	**10.60**	**27.27**	**51.54**
Margin												
Gross margin	21.2%	26.1%	27.8%	29.3%	30.3%	32.1%	33.0%	34.0%	21.1%	26.5%	32.5%	37.1%
Operating margin	8.0%	13.4%	15.6%	16.9%	18.8%	21.4%	23.1%	24.4%	6.8%	13.9%	22.2%	28.5%
Pre-tax margin	8.7%	14.3%	16.9%	18.1%	19.4%	21.9%	23.6%	24.9%	7.8%	14.9%	22.7%	28.9%
Net margin	10.5%	21.6%	16.4%	16.9%	19.5%	20.5%	26.1%	22.2%	4.1%	10.3%	17.7%	23.8%
QoQ growth												
Revenue	2.7%	12.5%	16.4%	9.9%	4.2%	13.7%	14.9%	10.2%				
Gross profit	-1.8%	38.8%	23.8%	15.9%	7.9%	20.5%	17.9%	13.6%				
Operating profit	-3.3%	88.5%	35.4%	18.9%	15.7%	29.6%	24.1%	16.3%				
Pre-tax profit	-8.6%	85.0%	37.7%	17.5%	11.9%	28.6%	23.7%	16.0%				
Net profit	-3.3%	130.6%	-11.5%	12.7%	20.5%	19.5%	46.2%	-6.1%				
YoY growth												
Revenue	28.8%	30.7%	40.4%	47.8%	50.0%	51.6%	49.6%	50.1%	28.9%	37.5%	50.3%	40.4%
Gross profit	21.0%	61.8%	105.5%	95.5%	114.8%	86.6%	77.8%	74.2%	-4.1%	72.3%	84.7%	60.1%
Operating profit	77.7%	170.8%	261.9%	193.5%	251.0%	141.3%	121.1%	116.3%	143.7%	182.6%	139.2%	80.2%
Pre-tax profit	37.8%	188.0%	244.6%	173.4%	234.9%	132.9%	109.2%	106.5%	92.6%	162.1%	128.5%	78.4%
Net profit	-38.2%	203.3%	188.2%	122.3%	177.1%	43.6%	137.4%	97.8%	3164.4%	250.1%	157.2%	89.0%

Source: BofA Global Research estimates, company data

Price objective basis & risk

Kinsus (KNSUF)
We set our PO at NT$1,450 based on 35x 2H27-1H28E P/E, which is at mid-to-high-end level in its historical trading range (8-40x) since 2013. In our view, the multiple is backed by ROE and operating margin recovery to 36% and 25% in 2027-28E (vs 8% and 10% in 2025-26E).

Upside risks to our PO are (1) tighter ABF supply, (2) increasing adoption of SiP and AiP, (3) lower competition pressure and (4) slow development of alternative technology.

Downside risks are (1) greater ABF expansion from peers, (2) muted SiP/AiP adoption, (3) more severe competition, and (4) unfavorable technology development.

Analyst Certification

I, Mike Yang, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

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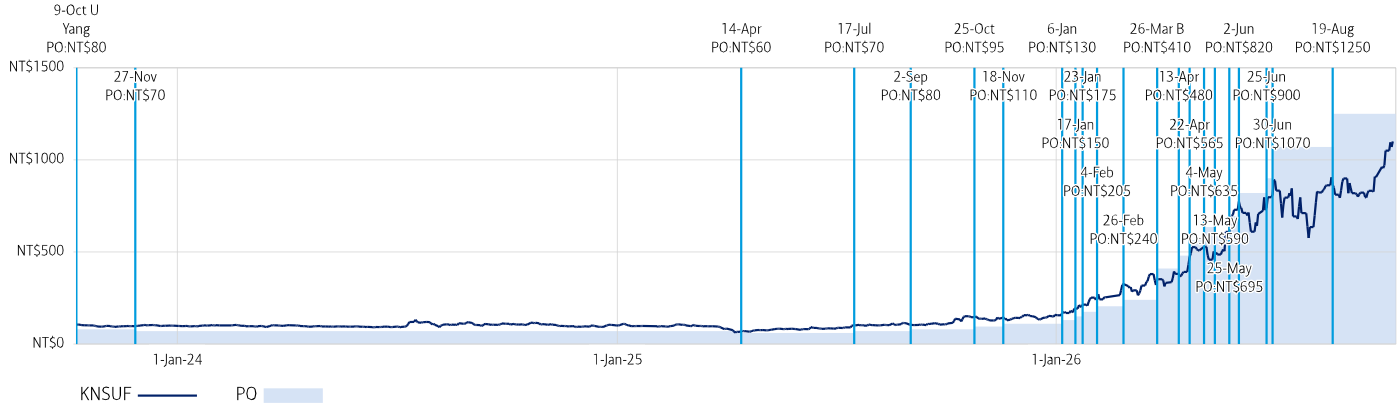
Disclosures

Important Disclosures

Kinsus (KNSUF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Unimicron

Extending capacity plan for ABF substrate and better margins in PCB/HDI; Buy

Reiterate Rating: BUY | PO: 1,650 TWD | Price: 1,270 TWD

Raise PO along with the hike in estimates

We raise 2026/27/28E EPS by 5%/12%/10% after baking in a strengthened margin profile, partly thanks to further improved GM (gross margin) in PCB (printed circuit board) and HDI (high density interconnect) business. Our PO goes to NT$1,650 (was NT$1,400) same based on 35x 2H27-1H28E P/E. Reiterate Buy on Unimicron in view of its structurally growing exposure to AI-related (artificial intelligence) products, which in turn bolsters its GM profile in longer-term.

Land acquisition to back long-term capacity growth

Unimicron announced that it bought a land/building located in Hukuo (Hsinchu) from Bridgestone Taiwan, with the amount of NT$10.1bn. Our check with the company suggests that such property will be used for further capacity expansion beyond its YM (Yangmei) site, but the timing for output will only take place in 2030 at earliest. Of note, the company will expand 30+% of its ABF (Ajinomoto build-up film) capacity in 2027 via the KF2 (KuangFu 2) plant, and there will be YM3 capacity coming on stream in 2029 after the expansion YM2 in 2028 backed by 5-year LTA (long-term agreement). For 2027/28 capex, currently we expect to reach NT$40+bn each year.

Rosier margin outlook in PCB/HDI business

Unimicron is one of the major (if not biggest) PCB suppliers to high-end (see report) optical module, where demand growth is expected to remain robust coupled with spec upgrades in the upcoming years. Management cites such business carries 30+% GM currently, while the number by AI HDI in China production lines is moving closer to peers' level. Yet, the PCB/HDI lines in Taiwan still carry lower GM. Currently, we assume its GM in HDI business to reach 20+% from mid-2027, along with the continuous yield/output improvements.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,082	6,673	33,655	59,007	102,959
EPS	3.34	4.38	21.18	37.14	64.80
EPS Change (YoY)	-57.6%	31.1%	383.5%	75.3%	74.5%
Consensus EPS (Visible Alpha)			21.07	40.12	66.29
Dividend / Share	1.50	2.00	10.60	18.60	32.40
Free Cash Flow / Share	(10.15)	(6.13)	0.408	18.97	47.72
Valuation (Dec)					
P/E	380.16x	289.90x	59.96x	34.20x	19.60x
Dividend Yield	0.118%	0.157%	0.835%	1.46%	2.55%
EV / EBITDA*	92.49x	183.55x	37.60x	19.45x	12.12x
Free Cash Flow Yield*	-0.741%	-0.448%	0.031%	1.45%	3.64%

* For full definitions of *IQmethod*℠ measures, see page 7.

10 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	1,400.00	1,650.00
2026E EPS	19.82	21.18
2027E EPS	32.47	37.14
2028E EPS	58.31	64.80
2026E EBITDA (m)	51,917.0	54,970.7
2027E EBITDA (m)	95,335.5	106,251.2
2028E EBITDA (m)	154,524.1	170,496.9

Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3729
mike.c.yang@bofa.com

Stock Data

Price	1,270 TWD
Price Objective	1,650 TWD
Date Established	10-Oct-2026
Investment Opinion	C-1-7
52-Week Range	144.87 TWD-1,420 TWD
Mrkt Val / Shares Out (mn)	65,281 USD / 1,641.3
Market Value (mn)	2,084,440 TWD
Average Daily Value (mn)	828.37 USD
Free Float	83.6%
BofA Ticker / Exchange	UMCRF / TAI
Bloomberg / Reuters	3037 TT / 3037.TW
ROE (2026E)	27.5%
Net Dbt to Eqty (Dec-2025A)	-18.7%

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iQprofile℠ Unimicron

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	115,373	131,241	192,526	277,718	395,444
Gross Profit	16,315	18,292	51,010	99,431	164,126
Sell General & Admin Expense	(6,156)	(6,619)	(9,078)	(9,895)	(11,292)
Operating Profit	5,117	6,674	34,920	81,615	143,133
Net Interest & Other Income	2,204	2,153	8,794	1,453	1,553
Associates	NA	NA	NA	NA	NA
Pretax Income	7,321	8,827	43,714	83,067	144,685
Tax (expense) / Benefit	(1,765)	(1,277)	(7,520)	(16,861)	(29,199)
Net Income (Adjusted)	5,082	6,673	33,655	59,007	102,959
Average Fully Diluted Shares Outstanding	1,521	1,523	1,589	1,589	1,589
Key Cash Flow Statement Data					
Net Income	5,082	6,673	33,655	59,007	102,959
Depreciation & Amortization	17,231	4,587	20,051	24,636	27,364
Change in Working Capital	(5,229)	(4,449)	(12,952)	(17,996)	(24,875)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(6,791)	8,156	13,595	7,003	12,883
Cash Flow from Operations	10,294	14,967	54,349	72,650	118,331
Capital Expenditure	(25,735)	(24,307)	(53,700)	(42,500)	(42,500)
(Acquisition) / Disposal of Investments	(3,050)	1,730	0	0	0
Other Cash Inflow / (Outflow)	(445)	(440)	0	0	0
Cash Flow from Investing	(29,230)	(23,018)	(53,700)	(42,500)	(42,500)
Shares Issue / (Repurchase)	0	2,150	0	0	0
Cost of Dividends Paid	(4,575)	(2,295)	(3,178)	(16,843)	(29,555)
Cash Flow from Financing	8,336	19,073	(3,178)	(16,843)	(29,555)
Free Cash Flow	(15,441)	(9,340)	649	30,150	75,831
Net Debt	(14,657)	(20,008)	(17,479)	(30,786)	(77,063)
Change in Net Debt	22,021	3,162	2,529	(13,307)	(46,277)
Key Balance Sheet Data					
Property, Plant & Equipment	120,536	125,866	159,515	177,379	192,515
Other Non-Current Assets	23,442	24,628	29,169	29,169	29,169
Trade Receivables	23,617	27,570	40,444	58,340	83,071
Cash & Equivalents	43,753	54,872	52,343	65,650	111,926
Other Current Assets	19,499	22,856	27,358	33,154	41,512
Total Assets	230,847	255,792	308,829	363,691	458,193
Long-Term Debt	21,909	24,019	24,019	24,019	24,019
Other Non-Current Liabilities	NA	NA	NA	NA	NA
Short-Term Debt	7,188	10,845	10,845	10,845	10,845
Other Current Liabilities	102,163	113,921	136,481	149,179	170,277
Total Liabilities	131,260	148,785	171,345	184,043	205,140
Total Equity	99,587	107,007	137,484	179,648	253,052
Total Equity & Liabilities	230,847	255,792	308,829	363,691	458,193
iQ*method℠ - Bus Performance					
Return On Capital Employed	3.2%	4.2%	18.4%	33.6%	45.5%
Return On Equity	5.2%	6.5%	27.5%	37.2%	47.6%
Operating Margin	4.4%	5.1%	18.1%	29.4%	36.2%
EBITDA Margin	19.4%	8.6%	28.6%	38.3%	43.1%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	2.0x	2.2x	1.6x	1.2x	1.1x
Asset Replacement Ratio	1.5x	5.3x	2.7x	1.7x	1.6x
Tax Rate (Reported)	24.1%	14.5%	17.2%	20.3%	20.2%
Net Debt-to-Equity Ratio	-14.7%	-18.7%	-12.7%	-17.1%	-30.5%
Interest Cover	4.0x	5.2x	27.4x	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Electronics

Company Description

Unimicron (3037 TT) was founded in 1990 and listed on the Taiwan Stock Exchange in 1998. The firm manufactures a wide range of PCB and IC substrates for consumer electronics, industrial, and automotive. It is also the leading ABF supplier globally. The company merged with Phoenix Precision Technology (PPT, delisted) in 2009 and expanded its exposure in the IC substrate business. UMC is the biggest shareholder in Unimicron with a 13.3% stake.

Investment Rationale

We have a Buy rating on Unimicron in view of strong demand from AI accelerators (especially ASICs), which we expect to boost the utilization rate of the ABF substrate business from 2H26, in turn bolstering the company's margin profile and profitability going into 2027.

Stock Data

Price to Book Value	15.2x

Exhibit 1: Earnings estimate change
We raise 2026-28E EPS by 7-14% after baking in the assumptions of stronger revenue growth and operating leverage

(NT$mn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	192,526	188,122	2.3	277,718	266,337	4.3	395,444	376,002	5.2
Gross profit	51,010	47,910	6.5	99,431	88,961	11.8	164,126	149,767	9.6
Gross margin	*26.5%*	*25.5%*	1.0 ppt	*35.8%*	*33.4%*	2.4 ppt	*41.5%*	*39.8%*	1.7 ppt
Operating profit	34,920	31,866	9.6	81,615	71,116	14.8	143,133	128,688	11.2
Operating margin	*18.1%*	*16.9%*	1.2 ppt	*29.4%*	*26.7%*	2.7 ppt	*36.2%*	*34.2%*	2.0 ppt
Pretax income	43,714	40,660	7.5	83,067	72,569	14.5	144,685	130,241	11.1
Pretax margin	*22.7%*	*21.6%*	1.1 ppt	*29.9%*	*27.2%*	2.7 ppt	*36.6%*	*34.6%*	1.9 ppt
Net income	33,655	31,487	6.9	59,007	51,600	14.4	102,959	92,653	11.1
Net margin	*17.5%*	*16.7%*	0.7 ppt	*21.2%*	*19.4%*	1.9 ppt	*26.0%*	*24.6%*	1.4 ppt
EPS (NT$)	21.18	19.82	6.9	37.14	32.47	14.4	64.80	58.31	11.1

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: BofAe vs consensus
We are 8-10% lower vs consensus for 2027-28E EPS, given the assumption of higher tax rate

(NT$mn)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	192,526	184,975	4.1	277,718	277,398	0.1	395,444	383,627	3.1
Gross profit	51,010	47,946	6.4	99,431	100,207	-0.8	164,126	160,448	2.3
Gross margin	*26.5%*	*25.9%*	0.6 ppt	*35.8%*	*36.1%*	-0.3 ppt	*41.5%*	*41.8%*	-0.3 ppt
Operating profit	34,920	31,138	12.1	81,615	78,728	3.7	143,133	137,324	4.2
Operating margin	*18.1%*	*16.8%*	1.3 ppt	*29.4%*	*28.4%*	1.0 ppt	*36.2%*	*35.8%*	0.4 ppt
Pretax income	43,714	42,401	3.1	83,067	80,896	2.7	144,685	135,972	6.4
Pretax margin	*22.7%*	*22.9%*	-0.2 ppt	*29.9%*	*29.2%*	0.7 ppt	*36.6%*	*35.4%*	1.1 ppt
Net income	33,655	34,238	-1.7	59,007	65,190	-9.5	102,959	112,125	-8.2
Net margin	*17.5%*	*18.5%*	-1.0 ppt	*21.2%*	*23.5%*	-2.3 ppt	*26.0%*	*29.2%*	-3.2 ppt
EPS (NT$)	21.18	21.55	-1.7	37.14	41.03	-9.5	64.80	70.57	-8.2

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 3: Income statement
We expect the firm to record 40+% revenue CAGR during 2026-28

(NT$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**37,446**	**42,890**	**52,652**	**59,538**	**61,359**	**65,132**	**72,195**	**79,032**	**131,241**	**192,526**	**277,718**	**395,444**
COGS	-30,720	-32,252	-37,761	-40,783	-42,083	-42,908	-45,565	-47,731	-112,949	-141,516	-178,286	-231,318
Gross Profit	**6,726**	**10,638**	**14,891**	**18,755**	**19,277**	**22,224**	**26,630**	**31,301**	**18,292**	**51,010**	**99,431**	**164,126**
Operating expenses	**-3,969**	**-3,987**	**-4,051**	**-4,083**	**-4,124**	**-4,368**	**-4,539**	**-4,786**	**-11,618**	**-16,090**	**-17,817**	**-20,993**
SG&A	-2,382	-2,130	-2,252	-2,314	-2,299	-2,418	-2,515	-2,663	-6,619	-9,078	-9,895	-11,292
R&D	-1,587	-1,857	-1,799	-1,769	-1,825	-1,950	-2,024	-2,123	-4,999	-7,012	-7,922	-9,702
Operating income	**2,757**	**6,651**	**10,840**	**14,672**	**15,153**	**17,856**	**22,091**	**26,515**	**6,674**	**34,920**	**81,615**	**143,133**
Non-operating income	**3,542**	**8,925**	**-4,137**	**463**	**1,413**	**1,413**	**-687**	**-687**	**2,153**	**8,794**	**1,453**	**1,553**
Interest income	-319	-319	-319	-319	-319	-319	-319	-319	-1,287	-1,274	-1,274	-1,274
Investment income	-10	9,150	-4,600	0	0	0	0	0	-50	4,540	0	0
Others	3,870	94	782	782	1,732	1,732	-368	-368	3,489	5,527	2,727	2,827
Pre-tax profit	**6,299**	**15,576**	**6,703**	**15,135**	**16,566**	**19,269**	**21,404**	**25,828**	**8,827**	**43,714**	**83,067**	**144,685**
Tax	-918	-2,234	-1,341	-3,027	-2,485	-3,468	-4,709	-6,199	-1,277	-7,520	-16,861	-29,199
Net income	**5,043**	**13,115**	**4,779**	**10,718**	**12,711**	**14,207**	**14,832**	**17,257**	**6,673**	**33,655**	**59,007**	**102,959**
EPS (NT$)	**3.28**	**8.53**	**3.01**	**6.75**	**8.00**	**8.94**	**9.33**	**10.86**	**4.38**	**21.18**	**37.14**	**64.80**
Margin												
Gross margin	18.0%	24.8%	28.3%	31.5%	31.4%	34.1%	36.9%	39.6%	13.9%	26.5%	35.8%	41.5%
Operating margin	7.4%	15.5%	20.6%	24.6%	24.7%	27.4%	30.6%	33.6%	5.1%	18.1%	29.4%	36.2%
Pre-tax margin	16.8%	36.3%	12.7%	25.4%	27.0%	29.6%	29.6%	32.7%	6.7%	22.7%	29.9%	36.6%
Net margin	13.5%	30.6%	9.1%	18.0%	20.7%	21.8%	20.5%	21.8%	5.1%	17.5%	21.2%	26.0%
QoQ growth												
Revenue	7.9%	14.5%	22.8%	13.1%	3.1%	6.1%	10.8%	9.5%				
Gross profit	22.9%	58.2%	40.0%	25.9%	2.8%	15.3%	19.8%	17.5%				
Operating profit	16.5%	141.3%	63.0%	35.3%	3.3%	17.8%	23.7%	20.0%				
Pre-tax profit	51.8%	147.3%	-57.0%	125.8%	9.5%	16.3%	11.1%	20.7%				
Net profit	42.7%	160.1%	-63.6%	124.2%	18.6%	11.8%	4.4%	16.3%				
YoY growth												
Revenue	24.5%	32.1%	54.9%	71.6%	63.9%	51.9%	37.1%	32.7%	13.8%	46.7%	44.2%	42.4%
Gross profit	67.1%	150.6%	227.4%	242.7%	186.6%	108.9%	78.8%	66.9%	12.1%	178.9%	94.9%	65.1%
Operating profit	117.6%	340.6%	607.3%	520.2%	449.7%	168.5%	103.8%	80.7%	30.4%	423.2%	133.7%	75.4%
Pre-tax profit	358.6%	4266.1%	127.5%	264.7%	163.0%	23.7%	219.3%	70.6%	20.6%	395.2%	90.0%	74.2%
Net profit	451.4%	44196.8%	117.8%	203.2%	152.1%	8.3%	210.3%	61.0%	31.3%	404.3%	75.3%	74.5%

Source: BofA Global Research estimates, company data

Price objective basis & risk

Unimicron (UMCRF)
Our PO of NT$1,650 is based on 35x 2H27-1H28E, which is roughly 1 standard deviation above the historical average of 20x since 2017. In our view, the multiple is appropriate, as we expect Unimicron's earnings to be supported by its high-end technology offerings, where end market demand seems more resilient.

Upside risks are (1) tighter ABF supply, (2) greater PC and regular server demand, and (3) lower competition pressure.

Downside risks are (1) greater ABF expansion from peers, (2) lower ASP content increase at AI server, and (3) bigger drop in the demand of consumer electronic products.

Analyst Certification

I, Mike Yang, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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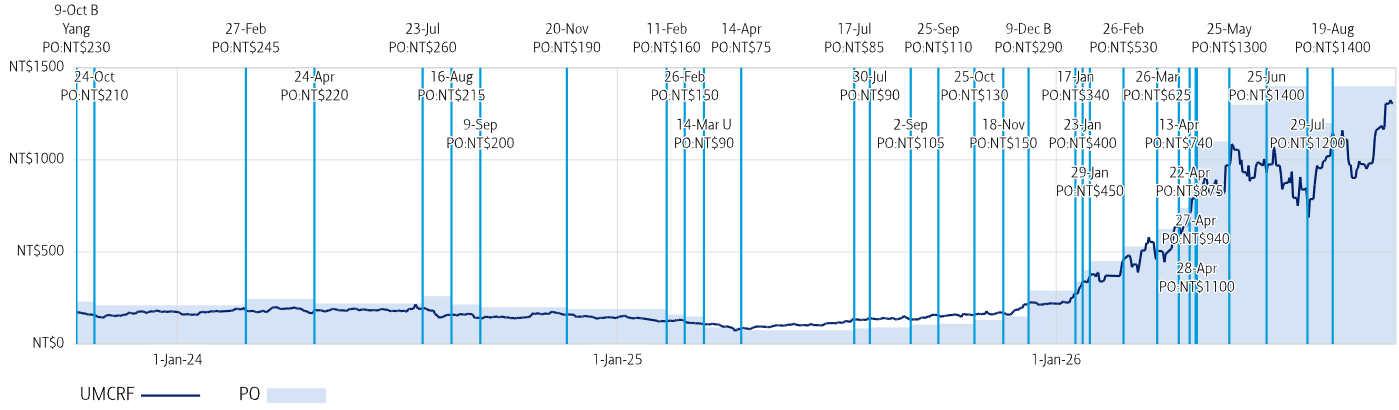
Important Disclosures

Unimicron (UMCRF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Asia Foundry

A paradigm shift in specialty nodes

- A ripple effect in demand from advanced to specialty foundries spurred by AI scaling from compute to power/connectivity
- Likely paradigm shift in the foundry industry driven by TSMC's fab optimisation augmenting demand for specialty nodes
- Reaffirming our Positive stance on the sector and initiating coverage of VIS, which we expect to benefit from this paradigm shift

Negative | Neutral | **Positive**

Positive (unchanged)

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Bintuo Ni
(86) 21 6841 3228
bintuo.ni@daiwacm.cn

What's new: TSMC at its series of *results calls* delivered not only escalated business guidance but its effort of fab optimisation to address supply constraints driven by accelerated AI HPC demand. This, together with a ripple effect from advanced to specialty foundry demand spurred by AI scaling from compute to power and connectivity, will likely shift the paradigm in the industry, unlocking demand for specialty nodes which we expect to structurally benefit peers from 2H26. Among TSMC's peers we cover offering specialty foundry works, we initiate coverage of Vanguard International Semiconductor (VIS) with an Outperform (2) rating and 12M TP of TWD210, as we believe VIS is benefiting from this paradigm shift.

What's the impact: **AI scaling spurring specialty foundry demand.** Flagged in our series of *AI thematic reports* since 2023, we envision the AI buildout a multi-year cycle scaling from generative to agentic to physical, and from cloud to edge to ubiquitous. The scaling is not only spurring demand for core chips benefiting advanced foundries but companion chips benefiting specialty foundries, in order to facilitate the entire ecosystem of compute, connectivity, and power. Since many AI companion chips do not require advanced nodes, second-tier foundries have followed TSMC as the second-wave beneficiary on the AI ramp, seeing improved capacity utilisation with improved pricing power, per our market research, thanks to a ripple effect in the specialty foundry demand which should help push utilisation higher into 2027 to reach full levels.

Augmented by TSMC's fab optimisation. We expect such a ripple effect to be further augmented by TSMC's fab optimisation, in order to address a supply shortfall in the advanced foundries caused by the strong AI HPC demand. This looks set to shift the paradigm in the foundry industry, structurally benefiting peers' operating specialty nodes. We expect the fab optimisation to unlock business worth of c.USD3bn pa, or c.40% of UMC's 2025 revenue, with spillover taking effect from this year and ramping into 2027-28E, considering different timings of TSMC's fab closures and associated lead times for customer qualifications of alternative fabs.

What we recommend: Among the specialty foundries under our coverage in Asia, we initiate on VIS with an Outperform (2) rating and expect it to benefit from this paradigm shift, in addition to UMC (Hold [3]). HHGrace (Buy [1]) and SMIC (Sell [5]) should also benefit, yet to a lesser extent for the latter due to geopolitical issues.

How we differ: We believe we are one of few brokers quantifying business potential from TSMC's fab optimisation to the second-tier foundries.

Key stock calls

	New	Prev.
Taiwan Semiconductor Manufacturing (2330 TT)		
Rating	**Buy**	Buy
Target	**3,000.00**	3,000.00
Upside ▲	**16.1%**	
United Microelectronics (2303 TT)		
Rating	**Hold**	Hold
Target	**145.00**	108.00
Downside ▼	**2.4%**	
Semiconductor Manufacturing Int'l Corp (981 HK)		
Rating	**Sell**	Sell
Target	**40.00**	40.00
Downside ▼	**34.3%**	
Hua Hong Grace Semiconductor (1347 HK)		
Rating	**Buy**	Buy
Target	**139.00**	139.00
Upside ▲	**32%**	
Vanguard International Semiconductor (5347 TT)		
Rating	**Outperform**	
Target	**210.00**	
Upside ▲	**10.5%**	

Source: Daiwa forecasts

Sector stocks: key indicators

								EPS (local curr.)					
		Share	Rating		Target price (local curr.)			FY1			FY2		
Company Name	Stock code	Price	New	Prev.	New	Prev.	% chg	New	Prev.	% chg	New	Prev.	% chg
Hua Hong Grace Semiconductor	1347 HK	105.30	Buy	Buy	139.00	139.00	0.0%	0.106	0.106	0.0%	0.154	0.154	0.0%
Semiconductor Manufacturing Int'l Corp	981 HK	60.90	Sell	Sell	40.00	40.00	0.0%	0.175	0.175	0.0%	0.204	0.204	0.0%
Taiwan Semiconductor Manufacturing	2330 TT	2,585.00	Buy	Buy	3,000.00	3,000.00	0.0%	109.608	109.612	(0.0%)	134.693	134.687	0.0%
United Microelectronics	2303 TT	148.50	Hold	Hold	145.00	108.00	34.3%	7.222	7.112	1.5%	7.099	5.826	21.9%
Vanguard International Semiconductor	5347 TT	190.00	Outperform		210.00			5.896			7.919		

Source: Bloomberg, Daiwa forecasts; note: share prices in local currency as of close on 7 October 2026

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A paradigm shift in specialty nodes

AI scaling augmented by fab optimisation for a paradigm shift in the foundry industry benefiting specialty nodes

TSMC at its series of quarterly results calls this year (*Too good to be true? (II)*, 16 April; *Yes, it's good and it's true*, 16 July) delivered not only escalated business guidance but its strategy of fab optimisation, in order to address supply constraints driven by rapidly growing demand for AI high-performance compute (HPC) chips that require advanced technology nodes. We view its fab optimisation as likely shifting the paradigm in the foundry industry, unlocking demand for specialty process nodes structurally benefiting peers from this year. TSMC's fab optimisation should help augment a ripple effect in demand being spurred by AI scaling from compute to power and connectivity, ever since this multi-year AI buildout cycle began from 2023 after OpenAI's ChatGPT dropped from the air.

Initiating coverage of VIS with an Outperform (2) call in this report

Among TSMC's peers we cover offering specialty foundry works, we see Vanguard International Semiconductor (VIS) as benefiting from this paradigm shift, thus initiating our coverage of the stock with an Outperform (2) rating and 12M TP of TWD210. Elsewhere, we believe UMC will benefit from this shift, thus raising our forecasts in this report, though we are comfortable with our Hold (3) rating on valuation grounds. While Huahong Grace Semiconductor (HHGrace; rated Buy [1]) stands to benefit from China's AI developments, we see SMIC (rated Sell [5]) also benefiting, but to a lesser extent, due to geopolitical issues such as the US's export controls prolonging its advanced technology developments.

AI scaling spurring specialty foundry demand

As flagged in our series of AI thematic reports since 2023 (*Let's talk about AI or … bubble?* 11 July 2023, *Let's talk about AI, not bubble*, 25 October 2024, and *Let's talk more about AI, ASIC AI this time*, 1 July 2025), we have envisioned the AI buildout a multi-year cycle scaling vertically by language from generative (data training) to agentic (data inference) to ultimately physical AI, and scaling horizontally by application from cloud to edge to ultimately ubiquitous AI (ie, AI everywhere).

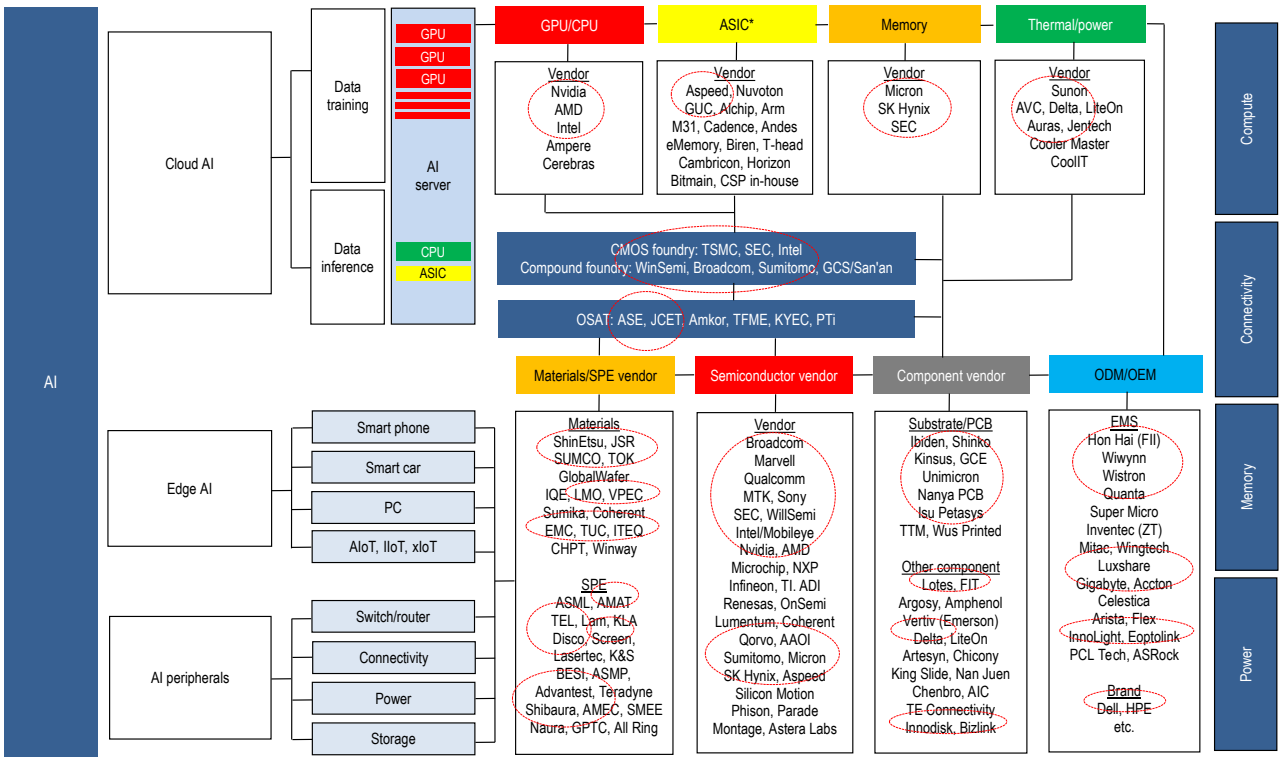
Ever since late-2022 when OpenAI's ChatGPT dropped from the air, followed by Nvidia kicking off the AI build from 2023, this multi-year AI scaling has not only spurred demand for core chips such as GPU and application specific IC (ASIC) as accelerators benefiting advanced foundries, but for companion chips such as optical engines, drivers, super transimpedance amplifier (TIA), digital signal processor (DSP), and power semiconductors benefiting specialty foundries, in order to facilitate the entire AI ecosystem of compute, connectivity, and power, as well as memory, illustrated in a chart next page.

CUR at second-tier foundries are improving as many AI companion chips don't require advanced nodes

Many AI companion chips do not require advanced process nodes but specialty technologies such as silicon-germanium (SiGe), silicon-on-insulator (SoI), and bipolar-CMOS-DMOS (BCD) with a variety of heavily doped wafer materials such as gallium-nitride (GaN), GaN-on-silicon and GaN-on-silicon-carbide (SiC) handling a variety of different voltage currents ranging from a few volts to over 1,000v. Therefore, we have seen improved capacity utilisation rates (CUR) across the second-tier foundries since the start of the year which offer these specialty technologies, following TSMC as the second-wave beneficiary on the AI ramps, thanks to a ripple effect in the specialty foundry demand which should help push the second-tier CUR higher through 2027 to reach full levels, according to our market research.

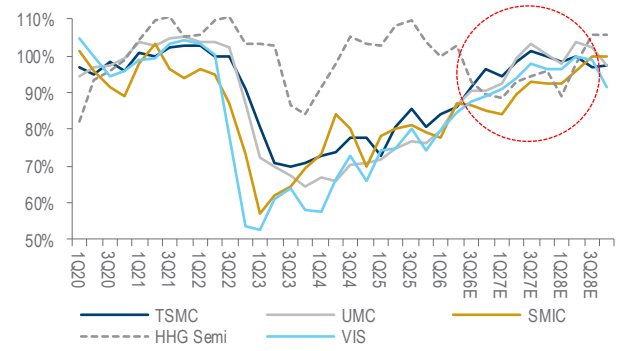
As illustrated in a chart next page, we expect the CUR among the second-tier foundries of UMC, HHGrace, and VIS, following the trough in 1Q23 on the post-COVID inventory correction, to follow TSMC's trajectory, accelerating in 2H26E to 90% or above and reaching the 100% level through most time of 2027-28E, resulting in improved pricing power for the like-to-like price hikes varied in different timings.

A broad-based AI ecosystem and key supply-chain players



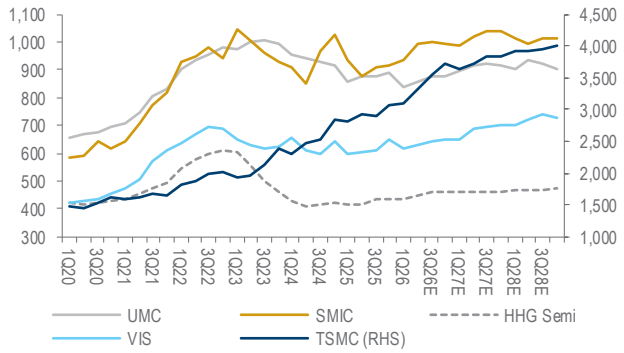
Source: Daiwa
*Note: * ASIC includes a variety of customized chips such as xPU, BMC and HSI controller (PCIe, SATA); CSP = cloud service provider*

Asia Foundry: capacity utilisation trends among foundry majors*



Source: Companies, Daiwa estimates and forecasts
*Note: * wafer shipment divided by installed capacity, not wafer output*

Asia Foundry: blended ASP trends among foundry majors*



Source: Companies, Daiwa estimates and forecasts
*Note: * in USD terms on 8" equivalent basis for the like-to-like comparison*

Augmented by TSMC's fab optimisation

TSMC's fab optimisation looks set to further augment the AI demand ripple effect

We expect such a ripple effect in the specialty foundry demand to be further augmented by TSMC's fab optimisation, in which the foundry leader aims to address a supply shortfall in the advanced foundry works caused by the strong AI HPC demand, including AI CPU, all types of xPU as accelerators and base dies for high bandwidth memory (HBM), by TSMC's definition. We expect its optimisation strategy to likely shift the paradigm in the foundry industry structurally to benefit peers operating specialty process nodes.

TSMC: expected schedule of mature fab closures

Wafer fab	Location	Wafer size	Process node	Capacity (wpm*)	Note
Fab 2	Hsinchu Science Park	6"	0.5-0.8u	85,000	
Fab 5	Hsinchu Science Park	8"	0.15-0.35u	50,000	
Subtotal (8" equivalent)				97,813	40%+ of VIS revenue
Fab 15/P3	Taichung Science Park	12"	28/22/20nm	50,000	c.30% of UMC revenue
Total (12" equivalent)				93,472	

Source: Company, Daiwa estimates
*Note: * wpm = wafers per month*

According to our market research, in order to accommodate more advanced packaging capacity such as chip-on-wafer-on-substrate (CoWoS), TSMC is shutting down one 6" fab (Fab 2) and one 8" fab (Fab 5) this year with a combined capacity of c.98k wafers per month (wpm) in 8" equivalent size (ie, 200mm in wafer diameter). Covering process nodes ranging from 0.8u to 0.15u, closures of the 2 mature fabs will likely unlock business ranging from USD700m to USD800m pa, depending on the average selling prices (ASP) for different nodes ranging from USD250 for 0.8u to more than USD700 for 0.15u, on our estimates, or more than 40% of VIS's 2025 revenue. We see VIS as the key beneficiary from this fab optimisation, given its strategic ties with TSMC.

TSMC's fab optimisation may unlock c.USD3bn in business pa

We further expect TSMC to close one 12" mega-fab in Taichung Science Park named Fab 15/P3 and convert it to accommodate more advanced capacity of N3, in order to meet the strong AI HPC demand. This mega-fab consists 2 phases thus operating a combined capacity of c.50k wpm in 300mm size, on our estimates, with process nodes mainly focused on 28/22/20nm for ASP ranging from USD3,800 to USD4,000. Therefore, the closure will likely unlock business of USD2.3bn pa on average, or c.30% of UMC's 2025 revenue. UMC and GlobalFoundries (GF) look well positioned to benefit here as both operate the 28/22nm process nodes. All together, we reckon the foundry leader's fab optimisation will likely unlock extra business worth of USD3bn pa, or nearly 40% of UMC's 2025 revenue, with likely an order spillover taking effect from this year and ramping into 2027-28, considering TSMC's different timings of fab closures and associated lead times for customers to qualify alternative fabs which should typically take 9-12 months.

Stock recommendations

Among the specialty foundries under our coverage, our preference goes to VIS and HHGrace

Among the specialty foundries under our coverage, we expect VIS to benefit from this likely paradigm shift thanks to its historical ties with TSMC which has strategically helped transform VIS's business from memory to mixed-signal processes and further advance it to value-add power semiconductors capitalising on the multi-year AI scaling. UMC stands to benefit from this scaling with its specialty foundry offerings and active 28/22nm ramps, though we view investors largely pricing in this potential. We expect HHGrace and SMIC to benefit from this AI scaling, but less than their Taiwan counterparts especially for SMIC, due to the geopolitical issues such as export controls and AI regulations from the US diluting the scaling benefit as the world appears to be divided into "China for China" and "non-China for non-China", in terms of the semiconductor supply chain.

Key downside risks to our Positive stance on the sector are "silicon inflation" in the supply chain and geopolitical overhangs (war, tariff, interest rate) leading to global inflation and AI capex cuts. Please refer to the company section for more company-specific details.

We initiate coverage of Vanguard International Semiconductor (VIS) with an Outperform (2) rating and 12M TP of TWD210 by applying our ROE-adjusted PBR target of 5.2x one-year forward BVPS forecast. Key downside risks: 1) current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

We reaffirm our Buy (1) rating for TSMC and 12M TP of TWD3,000, based on an unchanged ROE-adjusted PBR target of 7.7x on our one-year forward BVPS. Key downside risks are silicon inflation and geopolitical overhangs leading to global inflation and AI capex cuts.

We reaffirm our Buy (1) rating for HHGrace and SOTP-based 12M TP of HKD139. Key downside risk: changes in asset-injection plans.

We maintain our Hold (3) call for UMC but raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x). Upside/ downside risks: price hikes above our expectations/geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

We maintain our Sell (5) rating for SMIC and 12M TP of HKD40, based on our ROE-adjusted PBR target of 1.1x applied to our one-year forward BVPS forecast. Key upside risk to our call would be any positive breakthrough on geopolitics and export controls.

Asian foundry: valuation panel

		Price	Daiwa	PER (x)			PBR (x)			ROE (%)			Earnings growth (%)		
Stock	Ticker	(LC)*	rating	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
TSMC	2330 TT	2,585.0	Buy (1)	39.0	23.6	19.2	12.4	8.5	6.3	35.4	42.8	37.6	46.4	65.5	22.9
HHGrace	1347 HK	105.3	Buy (1)	n.m.	126.5	87.2	3.5	3.4	3.3	0.9	2.7	3.9	-5.6	235.5	45.2
VIS	5347 TT	190.0	Outperform (2)	44.9	32.2	24.0	5.6	5.3	4.7	12.4	16.8	20.8	12.2	40.1	34.3
UMC	2303 TT	148.5	Hold (3)	44.8	20.6	20.9	4.9	4.8	4.4	11.0	23.6	21.8	-11.6	117.7	-1.7
SMIC	981 HK	60.90	Sell (5)	75.5	44.4	38.1	1.8	1.7	1.6	4.0	6.6	7.1	115.3	71.9	16.6
GlobalFoundries	GFS US	48.07	Not rated	21.9	24.6	18.6	1.6	2.2	2.0	7.8	8.3	10.9	10.3	13.5	32.8
Average				**45.2**	**45.3**	**34.7**	**5.0**	**4.3**	**3.8**	**11.9**	**16.8**	**16.9**	**26.2**	**89.7**	**20.4**

Source: Companies, Bloomberg, Daiwa forecasts
*Note: * Local currency based on closing prices as of 7 October 2026*

When a report covers six or more subject companies please access important disclosures for Daiwa Capital Markets Hong Kong Limited at http://www.hk.daiwacm.com/research_disclaimer.html or contact your investment representative or Daiwa Capital Markets Hong Kong Limited at Level 26, One Pacific Place, 88 Queensway, Hong Kong

Taiwan Semiconductor Manufacturing (2330 TT)

Daiwa Capital Markets Hong Kong Limited

Target price: **TWD3,000.00** (from TWD3,000.00)

Share price (7 Oct): **TWD2,585.00** | Up/downside: **+16.1%**

5 4 3 2 **1**

Buy (unchanged)

The man who cares about the supply chain

- AI scaling is benefiting peers on AI spillover demand
- Fab optimisation looks set to augment the benefit
- Maintain our Buy (1) call and 12M TP of TWD3,000

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Sam Weng
(886) 2 8758 6255
sam.weng@daiwacm-cathay.com.tw

What's new: We concur what the chairman said on the *2Q26 results call* that TSMC doesn't sell milk (ie, a commodity), which one can buy at another convenience store. Yet when AI demand is deriving from its leading advanced services vs. the 'milk' one can buy from other convenience stores, peers stand to benefit from a ripple effect in demand on the AI scaling (ie, AI spillover), from core compute to memory to connectivity to power, augmented by TSMC's fab optimisation addressed in the main section of this sector report. That said, as TSMC still under-ships demand in the advanced foundry and backend services, we see a good chance for it to exercise pricing power in 2027, striking a balance between profitability and supply-chain interests. We haven't embedded price hikes in our model, thus keep our forecasts and TP, reaffirming our Buy (1) call.

What's the impact: 3Q26 preview and 4Q26 outlook. We estimate TSMC to have earned 3Q26 EPS of c.TWD28.5, varying not much from the consensus estimate. Monthly revenue came in at TWD982bn (+49% YoY) QTD, reaching 67% of our 3Q26E revenue which we consider as tracking inline. We expect TSMC's 4Q26 revenue to advance 10% QoQ (+54% YoY) to USD50.4bn for an EPS of TWD31.8, also varying not much from the consensus. While we keep our 2027-28 forecasts unchanged, we see upside from a possibility that TSMC would raise wafer prices to mitigate cost pressure from its Arizona operation and materials cost hike across the supply chain. TSMC is scheduled to report on 15 October; we will offer our updates in due course.

Optimisation benefiting supply chain. As addressed in the main sector section of this report, TSMC is closing some of its legacy fabs over 2026-27 to address the supply constraint caused by the strong AI demand for advanced frontend wafer manufacturing and backend packaging & testing technologies. We expect its fab optimisation to unlock businesses worth c.USD3bn pa and benefit peers who offer specialty foundry services. We expect the optimisation to augment a ripple effect in the AI demand on scaling from compute to connectivity to power (AI spillover). We believe TSMC is happy to let go such spillover businesses given its limited bandwidth to handle the advanced foundry and backend demand.

What we recommend: We stick with our 12M TP of TWD3,000 for TSMC, based on an unchanged ROE-adjusted PBR target of 7.7x on our one-year forward BVPS. We maintain Buy (1) with downside risks of silicon inflation and geopolitical overhangs leading to global inflation and AI capex cuts.

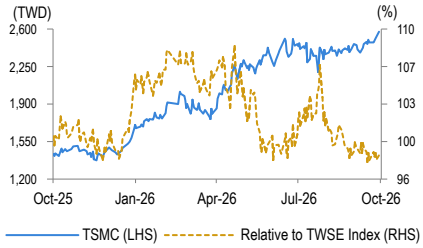
How we differ: Our 2028E EPS looks 15% below Bloomberg consensus likely due to our view calling for a soft-landing in the chip cycle.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	-	-	-
Core EPS (FD) change	-	-	-

Source: Daiwa forecasts

Share price performance



12-month range	1,375.00-2,585.00
Market cap (USDbn)	2,107.13
3m avg daily turnover (USDm)	1,977.91
Shares outstanding (m)	25,932
Major shareholder	National Development Fund (6.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	5,482,671	6,896,580	7,707,441
Operating profit (m)	3,235,950	4,030,657	4,425,491
Net profit (m)	2,842,354	3,492,859	3,883,975
Core EPS (fully-diluted)	109.608	134.693	149.775
EPS change (%)	65.5	22.9	11.2
Daiwa vs Cons. EPS (%)	2.9	(4.5)	(15.0)
PER (x)	23.6	19.2	17.3
Dividend yield (%)	1.0	1.1	1.2
DPS	26.0	28.0	30.0
PBR (x)	8.5	6.3	4.8
EV/EBITDA (x)	15.9	12.2	10.3
ROE (%)	42.8	37.6	31.7

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

Company

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	102	98	73	76	80	90	99	98
Blended ASP (USD)	1,642	1,933	2,101	2,546	2,930	3,439	3,764	3,950
Wafer shipment (8" equ., '000)	31,902	34,320	27,005	29,051	33,802	40,868	47,076	50,155

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	1,463,157	1,979,286	1,770,430	2,378,253	3,079,347	4,473,682	5,670,880	6,337,629
Sub & Other Revenue	124,258	284,605	391,305	516,054	729,707	1,008,988	1,225,702	1,369,813
Other Revenue	0	0	0	0	0	1	(1)	(0)
Total Revenue	**1,587,415**	**2,263,891**	**2,161,736**	**2,894,308**	**3,809,054**	**5,482,671**	**6,896,580**	**7,707,441**
Other income	0	0	0	0	0	0	0	0
COGS	(767,878)	(915,536)	(986,625)	(1,269,954)	(1,527,760)	(1,799,646)	(2,297,170)	(2,649,940)
SG&A	(44,822)	(63,813)	(71,275)	(98,119)	(98,775)	(117,396)	(154,960)	(169,564)
Other op.expenses	(124,735)	(163,262)	(182,370)	(204,182)	(246,427)	(329,678)	(413,795)	(462,446)
Operating profit	**649,981**	**1,121,279**	**921,466**	**1,322,053**	**1,936,092**	**3,235,950**	**4,030,657**	**4,425,491**
Net-interest inc./(exp.)	488	10,672	48,295	76,718	93,369	121,900	162,500	237,920
Assoc/forex/extraord./others	12,657	12,239	9,411	7,068	12,202	73,622	10,043	10,446
Pre-tax profit	**663,126**	**1,144,190**	**979,171**	**1,405,839**	**2,041,663**	**3,431,472**	**4,203,200**	**4,673,856**
Tax	(66,053)	(127,290)	(141,404)	(233,407)	(326,266)	(590,459)	(714,544)	(794,556)
Min. int./pref. div./others	(533)	(370)	730	836	2,486	1,341	4,203	4,674
Net profit (reported)	**596,540**	**1,016,530**	**838,498**	**1,173,268**	**1,717,883**	**2,842,354**	**3,492,859**	**3,883,975**
Net profit (adjusted)	**596,540**	**1,016,530**	**838,498**	**1,173,268**	**1,717,883**	**2,842,354**	**3,492,859**	**3,883,975**
EPS (reported)(TWD)	**23.005**	**39.204**	**32.334**	**45.252**	**66.255**	**109.608**	**134.693**	**149.775**
EPS (adjusted)(TWD)	**23.005**	**39.204**	**32.334**	**45.252**	**66.255**	**109.608**	**134.693**	**149.775**
EPS (adjusted fully-diluted)(TWD)	**23.006**	**39.203**	**32.334**	**45.242**	**66.243**	**109.608**	**134.693**	**149.775**
DPS (TWD)	**10.250**	**11.001**	**11.249**	**14.003**	**18.003**	**26.000**	**28.000**	**30.000**
EBIT	**649,981**	**1,121,279**	**921,466**	**1,322,053**	**1,936,092**	**3,235,950**	**4,030,657**	**4,425,491**
EBITDA	**1,072,375**	**1,558,533**	**1,453,657**	**1,984,848**	**2,624,188**	**4,050,803**	**5,133,818**	**5,827,702**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	663,126	1,144,190	979,171	1,405,839	2,041,663	3,431,472	4,203,200	4,673,856
Depreciation and amortisation	422,395	437,254	532,191	662,795	688,096	814,853	1,103,162	1,402,211
Tax paid	(66,053)	(127,290)	(141,404)	(233,407)	(326,266)	(590,459)	(714,544)	(794,556)
Change in working capital	(100,384)	(53,286)	324	(90,088)	160	(270,000)	(35,000)	(175,000)
Other operational CF items	193,077	209,731	(128,316)	81,038	(128,677)	(5,171)	(2,634)	(2,505)
Cash flow from operations	**1,112,161**	**1,610,599**	**1,241,967**	**1,826,177**	**2,274,976**	**3,380,696**	**4,554,184**	**5,104,007**
Capex	(839,196)	(1,082,672)	(949,817)	(956,008)	(1,272,411)	(1,964,013)	(1,960,003)	(2,161,145)
Net (acquisitions)/disposals	4,676	(128,712)	(55,781)	(57,882)	(37,079)	738	0	0
Other investing CF items	(1,847)	20,456	99,477	149,047	165,097	0	0	0
Cash flow from investing	**(836,366)**	**(1,190,928)**	**(906,121)**	**(864,843)**	**(1,144,393)**	**(1,963,274)**	**(1,960,003)**	**(2,161,145)**
Change in debt	(1,090)	(1,730)	(17,407)	21,601	(46,362)	(136,926)	(128,434)	(109,169)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(265,786)	(285,234)	(291,722)	(363,055)	(466,779)	(674,232)	(726,096)	(777,960)
Other financing CF items	(3,622)	59,198	10,284	8,054	(64,022)	0	0	0
Cash flow from financing	**(270,499)**	**(227,766)**	**(298,844)**	**(333,399)**	**(577,163)**	**(811,158)**	**(854,530)**	**(887,129)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**5,296**	**191,905**	**37,002**	**627,935**	**553,420**	**606,264**	**1,739,651**	**2,055,732**
Free cash flow	272,965	527,927	292,151	870,169	1,002,565	1,416,683	2,594,181	2,942,861

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,188,442	1,561,483	1,687,644	2,422,009	3,068,595	3,674,120	5,413,771	7,469,504
Inventory	193,102	221,149	250,997	287,869	288,109	398,109	458,109	508,109
Accounts receivable	207,637	231,409	201,938	272,088	281,791	461,791	466,791	596,791
Other current assets	17,892	38,856	53,453	106,387	178,635	180,000	30,000	30,000
Total current assets	**1,607,073**	**2,052,897**	**2,194,033**	**3,088,352**	**3,817,131**	**4,714,021**	**6,368,672**	**8,604,404**
Fixed assets	1,975,119	2,693,837	3,064,475	3,234,980	3,691,841	5,187,203	6,400,151	7,379,748
Goodwill & intangibles	113,927	149,117	144,421	219,565	251,682	179,500	189,200	194,000
Other non-current assets	29,385	68,928	129,442	149,040	172,370	172,370	172,370	172,370
Total assets	**3,725,503**	**4,964,779**	**5,532,371**	**6,691,938**	**7,933,024**	**10,253,094**	**13,130,393**	**16,350,523**
Short-term debt	127,171	19,314	9,293	59,858	136,926	128,434	109,169	92,794
Accounts payable	48,911	56,522	57,293	74,227	84,330	104,330	134,330	139,330
Other current liabilities	563,421	868,391	846,997	1,130,441	1,236,763	1,220,430	1,363,338	1,522,250
Total current liabilities	**739,503**	**944,227**	**913,583**	**1,264,525**	**1,458,019**	**1,453,194**	**1,606,838**	**1,754,374**
Long-term debt	610,071	834,336	913,900	926,605	856,228	727,793	618,624	525,831
Other non-current liabilities	205,196	225,727	221,625	177,233	157,982	160,000	165,000	170,000
Total liabilities	**1,554,770**	**2,004,290**	**2,049,108**	**2,368,362**	**2,472,229**	**2,340,987**	**2,390,460**	**2,450,204**
Share capital	259,304	259,304	259,321	259,327	259,325	259,325	259,325	259,325
Reserves/R.E./others	1,908,983	2,686,349	3,199,593	4,029,218	5,160,271	7,610,241	10,433,862	13,589,576
Shareholders' equity	**2,168,287**	**2,945,653**	**3,458,914**	**4,288,545**	**5,419,596**	**7,869,567**	**10,693,187**	**13,848,902**
Minority interests	2,447	14,836	24,349	35,031	41,199	42,540	46,743	51,417
Total equity & liabilities	**3,725,503**	**4,964,779**	**5,532,371**	**6,691,938**	**7,933,024**	**10,253,094**	**13,130,393**	**16,350,523**
EV	66,585,466	66,341,223	66,294,118	65,633,704	64,999,978	64,258,867	62,394,985	60,234,758
Net debt/(cash)	**(451,200)**	**(707,833)**	**(764,451)**	**(1,435,546)**	**(2,075,442)**	**(2,817,893)**	**(4,685,978)**	**(6,850,879)**
BVPS (TWD)	**83.621**	**113.600**	**133.384**	**165.370**	**208.985**	**303.469**	**412.355**	**534.047**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.5	42.6	(4.5)	33.9	31.6	43.9	25.8	11.8
EBITDA (YoY)	19.4	45.3	(6.7)	36.5	32.2	54.4	26.7	13.5
Operating profit (YoY)	14.7	72.5	(17.8)	43.5	46.4	67.1	24.6	9.8
Net profit (YoY)	15.2	70.4	(17.5)	39.9	46.4	65.5	22.9	11.2
Core EPS (fully-diluted) (YoY)	15.2	70.4	(17.5)	39.9	46.4	65.5	22.9	11.2
Gross-profit margin	51.6	59.6	54.4	56.1	59.9	67.2	66.7	65.6
EBITDA margin	67.6	68.8	67.2	68.6	68.9	73.9	74.4	75.6
Operating-profit margin	40.9	49.5	42.6	45.7	50.8	59.0	58.4	57.4
Net profit margin	37.6	44.9	38.8	40.5	45.1	51.8	50.6	50.4
ROAE	29.7	39.8	26.2	30.3	35.4	42.8	37.6	31.7
ROAA	18.4	23.4	16.0	19.2	23.5	31.3	29.9	26.3
ROCE	25.5	33.4	22.4	27.2	32.9	42.5	39.8	34.1
ROIC	37.5	50.2	31.7	39.3	51.9	63.2	60.0	56.1
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.0	11.1	14.4	16.6	16.0	17.2	17.0	17.0
Accounts receivable (days)	41.7	35.4	36.6	29.9	26.5	24.8	24.6	25.2
Current ratio (x)	2.2	2.2	2.4	2.4	2.6	3.2	4.0	4.9
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	55.1	47.8	34.8	30.9	27.2	23.7	20.8	20.0
Free cash flow yield	0.4	0.8	0.4	1.3	1.5	2.1	3.9	4.4

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan in 1987, Taiwan Semiconductor Manufacturing Co. (TSMC) is the world's largest complementary metal oxide semiconductor (CMOS) foundry in revenue terms. TSMC offers foundry services such as wafer masking, fabrication, probing, packaging and testing, to a high variety of customers including fabless chipmakers and IDMs. Its manufacturing fabs are located in Taiwan, China, the US and Singapore.

TSMC: key operating assumptions, quarterly P&L estimates and forecasts

TWDbn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (12" equ) ('000 units)	4,174	4,336	4,691	4,963	4,856	5,147	5,459	5,460	15,023	18,164	20,923	22,291
Capacity utilisation*	84%	86%	92%	97%	95%	98%	101%	100%	80%	90%	99%	98%
Blended ASP (USD)	6,937	7,500	8,014	8,358	8,211	8,399	8,608	8,630	6,592	7,738	8,470	8,887
Foundry revenue	915	1,028	1,203	1,328	1,277	1,383	1,503	1,508	3,079	4,474	5,671	6,338
Sub & other revenue	219	243	260	287	276	299	325	326	730	1,009	1,226	1,370
Total revenue	1,134	1,270	1,463	1,615	1,553	1,682	1,828	1,833	3,809	5,483	6,897	7,707
Total revenue (USDbn)	**35.9**	**40.2**	**45.7**	**50.4**	**48.5**	**52.6**	**57.1**	**57.3**	**122.5**	**172.2**	**215.5**	**240.9**
COGS	-383	-410	-477	-529	-528	-553	-605	-612	-1,528	-1,800	-2,297	-2,650
Gross profit	751	860	985	1,086	1,025	1,129	1,224	1,222	2,281	3,683	4,599	5,058
Opex	-92	-94	-130	-131	-129	-140	-150	-150	-345	-447	-569	-632
Operating profit	659	767	855	955	896	989	1,074	1,071	1,936	3,236	4,031	4,425
EBITDA	824	965	1,065	1,196	1,151	1,249	1,363	1,370	2,624	4,051	5,134	5,828
Pre-tax profit	688	862	888	993	936	1,034	1,117	1,117	2,042	3,431	4,203	4,674
Income taxes	-115	-156	-151	-169	-159	-176	-190	-190	-326	-590	-715	-795
Net profit	572	707	738	825	778	859	928	928	1,718	2,842	3,493	3,884
FD O/S (bn)	26	26	26	26	26	26	26	26	26	26	26	26
FD EPS (TWD)	**22.08**	**27.25**	**28.47**	**31.81**	**30.01**	**33.12**	**35.78**	**35.78**	**66.24**	**109.61**	**134.69**	**149.78**
Margins												
Gross	66%	68%	67%	67%	66%	67%	67%	67%	60%	67%	67%	66%
Operating	58%	60%	58%	59%	58%	59%	59%	58%	51%	59%	58%	57%
EBITDA	73%	76%	73%	74%	74%	74%	75%	75%	69%	74%	74%	76%
Net	50%	56%	50%	51%	50%	51%	51%	51%	45%	52%	51%	50%
Growth (QoQ)												
Total revenue	8%	12%	15%	10%	-4%	8%	9%	0%				
Gross profit	15%	15%	15%	10%	-6%	10%	8%	0%				
Operating profit	17%	16%	12%	12%	-6%	10%	9%	0%				
EBITDA	13%	17%	10%	12%	-4%	9%	9%	1%				
Net profit	13%	23%	4%	12%	-6%	10%	8%	0%				
FD EPS	13%	23%	4%	12%	-6%	10%	8%	0%				
Growth (YoY)												
Total revenue	35%	36%	48%	54%	37%	32%	25%	14%	32%	44%	26%	12%
Gross profit	52%	57%	67%	67%	36%	31%	24%	12%	40%	61%	25%	10%
Operating profit	62%	65%	71%	69%	36%	29%	26%	12%	46%	67%	25%	10%
EBITDA	42%	48%	61%	65%	40%	29%	28%	15%	32%	54%	27%	14%
Net profit	58%	77%	63%	63%	36%	22%	26%	12%	46%	65%	23%	11%
FD EPS	58%	77%	63%	63%	36%	22%	26%	12%	46%	65%	23%	11%

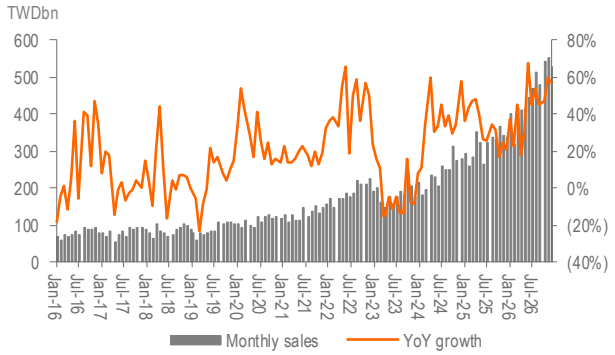
Source: Company, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity estimated by Daiwa*

TSMC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	1,462,926	1,454,000	1%	1,615,260	1,594,000	1%
Gross profit	985,471			1,085,946		
Operating profit	855,271			955,110		
Pretax profit	888,480			992,762		
Net profit	738,327	726,000	2%	824,985	793,000	4%
Adjusted EPS (TWD)	28.47	28.00	2%	31.81	30.58	4%
Margins						
Gross	67.4%			67.2%		
Operating	58.5%			59.1%		
Net	50.5%			51.1%		
Operation						
Shipment (12" equ.wafers) ('000 units)	4,691			4,963		
Utilisation*	92%			97%		
<=3nm sales contribution	38%			42%		

Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

TSMC: monthly revenue run-rate*



Source: Company, Daiwa estimates and forecasts
*Note: * Figures over September-December 2026 are estimated by Daiwa*

TSMC: PBR trend

Source: Company, TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	TSMC's board of directors (BoD) has 10 members, including 6 independent directors representing 60% of total directors. The background of TSMC's BoD is diversified, with members from industries, academia, and law. Also, its board members include representatives from not only Taiwan but also Europe and the US, bringing their experience in operating international businesses to the board. We believe the high percentage of independent directors and a diverse mix of expertise from the board members strengthen the functionality of its BoD, as evidenced by TSMC's leading position in the foundry market.
	Capital management	1	TSMC pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend. As the leader in advanced technology nodes, TSMC has kept expanding its capacity for advanced nodes; as such, we expect its capital intensity to increase to the level near or above 40% over 2025-26 (vs. its long-term target of mid-30%). However, we believe TSMC will at least sustain its cash dividend payout in dollar terms over 2025-26E. We see its balance between investment and dividend as appropriate.
	Related party & transaction	1	TSMC's sales to related parties remained insignificant, accounting for less than 1% of total revenue in recent years. Purchases from related parties also represented less than 1% of total cost of goods sold. Given the limited contribution of related-party transactions to TSMC's revenue and procurement base, we continue to view related-party exposure and concentration risk as minimal
S	Supply chain management	1	TSMC continues to strengthen its supply chain management through sustainability risk management and supply chain resilience initiatives. In 2024, 100% of tier-1 suppliers completed sustainability self-assessments, while 100% of targeted critical suppliers completed third-party RBA audits. The Company also maintained its responsible mineral sourcing program and enhanced human rights oversight across its supply chain. We believe these efforts help reduce supply chain and ESG-related risks
E	Water & wastewater management	2	TSMC continues to invest in water reclamation and conservation technologies to enhance water security. The Company has integrated reclaimed water into its manufacturing process and is expanding alternative water sourcing through partnerships with local governments. Together with ongoing investments in water recycling and efficiency improvement, we believe TSMC is well positioned to mitigate water supply risks and strengthen the sustainability of its operations
E	Waste & hazardous materials management	1	TSMC has maintained a waste recycling rate above 95% and kept landfill disposal at below 1% for many years. The Company continues to reduce waste intensity through process improvements and resource recovery initiatives. In 2024, TSMC established the semiconductor industry's first Zero Waste Manufacturing Center to further enhance circular economy practices and maximize resource utilization. We view TSMC's waste management performance as best-in-class and see limited environmental risk from waste disposal.
E	GHG emissions	1	TSMC continues to advance its net-zero strategy through renewable energy procurement and carbon reduction initiatives. All overseas fabs and offices achieved net zero emissions in 2024, while the Company expanded its contracted renewable energy capacity to 4 GW. TSMC maintains its commitment to achieve net zero emissions by 2050, with intermediate targets of 60% renewable electricity usage by 2030 and 100% by 2040. We view TSMC's climate strategy as best-in-class among global semiconductor manufacturers

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

Daiwa Capital Markets Hong Kong Limited

United Microelectronics (2303 TT)

Target price: **TWD145.00** (from TWD108.00)

Share price (7 Oct): **TWD148.50** | Up/downside: **-2.4%**

5 4 **3** 2 1

Hold (unchanged)

A beneficiary of the AI ripple effect, but …

- UMC looks set to benefit from AI demand spillover
- Yet we believe the AI ripple effect is being priced in
- Maintain our Hold (3) call, with a higher 12M TP of TWD145

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Sam Weng
(886) 2 8758 6255
sam.weng@daiwacm-cathay.com.tw

What's new: Given its longstanding position in the global foundry industry, ever challenging TSMC's leadership during the late 1990s, we believe UMC stands well to benefit from a ripple effect in demand spurred by AI scaling, as detailed in the main section of this report. We expect UMC's wafer loadings to reach 100% from 1Q27, with price hikes to go through (see *Price hike to go through? Still likely*, 31 July). That said, we believe the equity market has priced in this AI strength on extra volume and pricing power for UMC. Hence, we stick with our Hold (3) rating on the counter.

What's the impact: **3Q26 preview and 4Q26 outlook.** We expect UMC to report 3Q26 net profit of TWD16.4bn (+9% YoY), varying not much from the Bloomberg consensus. Its monthly revenue finished at c.TWD49bn QTD, reaching 65% of our/consensus 3Q26 estimates, which we consider tracking inline. For 4Q26, we expect UMC to earn net profit of TWD16bn, 13% below consensus, as the street seems to be assuming higher non-operating gains. UMC is scheduled to report results on 28 October; we will be offering updates in due course.

<=28nm ramp on AI scaling and fab optimisation. UMC's 28/22nm-and-below revenue contribution has hovered around the high-30% range over the past 2 years, after meaningful ramp during the COVID period on broadened demand applications from display drivers and TV SoCs to power management. With AI scaling creating a ripple effect in companion chip demand for connectivity (ie, silicon photonics) and power (ie, server PMICs), we believe UMC is well positioned to benefit from any spillover demand, with the strength augmented by TSMC's fab optimisation, which could strengthen UMC's pricing power. Given that UMC's wafer loadings are likely to reach 100% from 1Q27, we expect its price hikes to go through and model increases of 2-5%, effective from 1Q27, across nodes related to AI applications. This should resume its <=28nm ramp to exceed a half of revenue in 2028. All in, we raise our 2027-28E EPS by 22%.

What we recommend: Despite our forecast revisions, we remain comfortable with our Hold (3) rating for UMC, as we believe its AI strength is already priced in. We raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x) applied to 1-year-forward BVPS on a higher ROE trajectory. Upside/ downside risks would be any price hikes above our expectations/ geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

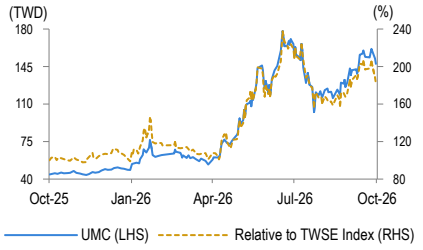
How we differ: Our 2026-28E EPS do not vary much from consensus, indicating that UMC's AI strength is already reflected in its valuation.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	0.9	7.5	7.9
Net profit change	1.5	21.9	21.6
Core EPS (FD) change	1.5	21.9	21.6

Source: Daiwa forecasts

Share price performance



12-month range	43.85-178.50
Market cap (USDbn)	58.71
3m avg daily turnover (USDm)	726.45
Shares outstanding (m)	12,577
Major shareholder	United Microelectronics Corp (5.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	281,729	358,798	393,029
Operating profit (m)	63,045	99,484	115,376
Net profit (m)	90,829	89,289	103,534
Core EPS (fully-diluted)	7.222	7.099	8.232
EPS change (%)	117.9	(1.7)	16.0
Daiwa vs Cons. EPS (%)	2.4	(1.6)	(3.5)
PER (x)	20.6	20.9	18.0
Dividend yield (%)	1.8	2.7	2.7
DPS	2.6	4.0	4.0
PBR (x)	4.8	4.4	3.9
EV/EBITDA (x)	13.8	10.1	9.1
ROE (%)	23.6	21.8	22.8

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilisation (%)	104	99	68	69	75	87	99	100
Blended ASP (USD)	774	941	994	933	876	862	914	916
Wafer shipment (8" equ., '000)	9,860	9,946	7,190	7,754	8,712	10,270	12,266	13,406

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	213,011	278,705	222,533	232,303	237,553	281,729	358,798	393,029
New Business Revenue	0	0	0	0	0	0	0	0
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**213,011**	**278,705**	**222,533**	**232,303**	**237,553**	**281,729**	**358,798**	**393,029**
Other income	0	0	0	0	0	0	0	0
COGS	(140,961)	(152,941)	(144,789)	(156,649)	(168,647)	(188,965)	(224,020)	(239,340)
SG&A	(7,429)	(8,518)	(6,569)	(8,425)	(7,233)	(10,215)	(13,024)	(14,368)
Other op.expenses	(12,935)	(12,954)	(13,284)	(15,616)	(17,725)	(19,504)	(22,271)	(23,945)
Operating profit	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
Net-interest inc./(exp.)	(1,387)	156	3,283	1,914	676	1,110	2,095	3,270
Assoc/forex/extraord./others	11,504	1,649	9,739	2,693	5,023	36,244	4,403	4,608
Pre-tax profit	**61,803**	**106,097**	**70,912**	**56,220**	**49,648**	**100,399**	**105,981**	**123,255**
Tax	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Min. int./pref. div./others	668	(820)	(450)	105	182	91	0	0
Net profit (reported)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
Net profit (adjusted)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
EPS (reported)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted fully-diluted)(TWD)	**4.468**	**6.973**	**4.868**	**3.759**	**3.314**	**7.222**	**7.099**	**8.232**
DPS (TWD)	**1.622**	**3.043**	**3.639**	**3.022**	**2.866**	**2.602**	**4.004**	**4.004**
EBIT	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
EBITDA	**98,762**	**148,462**	**98,374**	**99,780**	**103,206**	**129,845**	**173,179**	**185,068**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	61,803	106,097	70,912	56,220	49,648	100,399	105,981	123,255
Depreciation and amortisation	47,075	44,169	40,484	48,168	59,257	66,800	73,695	69,692
Tax paid	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Change in working capital	(10,151)	(8,262)	916	(2,889)	1,617	(10,600)	(10,000)	(400)
Other operational CF items	(1,685)	21,935	(16,840)	1,488	(2,545)	(27,454)	(3,803)	(4,008)
Cash flow from operations	**90,352**	**145,861**	**86,000**	**93,872**	**99,864**	**119,484**	**149,182**	**168,817**
Capex	(48,035)	(80,128)	(91,474)	(88,545)	(47,744)	(63,647)	(51,200)	(52,801)
Net (acquisitions)/disposals	(14,290)	28,229	(4,678)	2,625	(7,670)	8,411	0	0
Other investing CF items	162	(2,528)	(1,635)	(21)	2,259	0	0	0
Cash flow from investing	**(62,163)**	**(54,427)**	**(97,787)**	**(85,941)**	**(53,154)**	**(55,237)**	**(51,200)**	**(52,801)**
Change in debt	18,818	(34,087)	27,377	(337)	(1,812)	(4,188)	(18,843)	(19,757)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19,871)	(37,445)	(45,015)	(37,586)	(35,784)	(32,729)	(50,353)	(50,353)
Other financing CF items	11,439	21,296	(11,840)	2,438	(3,454)	0	0	0
Cash flow from financing	**10,386**	**(50,237)**	**(29,478)**	**(35,484)**	**(41,050)**	**(36,917)**	**(69,196)**	**(70,110)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**38,574**	**41,197**	**(41,265)**	**(27,553)**	**5,660**	**27,330**	**28,786**	**45,907**
Free cash flow	42,317	65,732	(5,474)	5,327	52,120	55,837	97,982	116,016

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	171,224	178,973	145,621	115,865	129,071	147,990	176,776	222,683
Inventory	23,011	31,070	35,713	35,782	37,228	38,228	41,728	41,228
Accounts receivable	35,190	36,975	29,586	33,343	31,274	40,774	50,774	50,674
Other current assets	3,848	5,353	5,878	4,688	7,211	5,000	5,500	5,500
Total current assets	**233,273**	**252,371**	**216,797**	**189,678**	**204,783**	**231,992**	**274,778**	**320,085**
Fixed assets	129,942	170,982	237,377	277,344	271,395	247,287	231,137	220,390
Goodwill & intangibles	28,665	44,852	30,758	30,691	27,445	24,500	27,400	27,300
Other non-current assets	72,547	64,847	74,255	72,487	75,373	102,917	106,720	110,728
Total assets	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
Short-term debt	39,256	7,587	29,537	19,510	27,597	19,751	20,666	15,726
Accounts payable	8,364	8,982	7,526	7,633	9,170	9,070	12,570	11,570
Other current liabilities	57,833	91,996	61,952	48,117	50,832	73,412	81,958	92,119
Total current liabilities	**105,454**	**108,565**	**99,015**	**75,260**	**87,598**	**102,234**	**115,194**	**119,415**
Long-term debt	39,830	39,877	45,236	55,533	45,372	49,029	29,272	14,454
Other non-current liabilities	37,941	49,159	55,358	61,222	66,170	66,000	66,000	66,000
Total liabilities	**183,224**	**197,601**	**199,608**	**192,016**	**199,141**	**217,263**	**210,466**	**199,869**
Share capital	124,832	125,047	125,298	125,607	125,882	125,882	125,882	125,882
Reserves/R.E./others	156,147	210,060	233,939	252,321	253,887	263,366	303,401	352,366
Shareholders' equity	**280,980**	**335,107**	**359,238**	**377,928**	**379,768**	**389,247**	**429,283**	**478,247**
Minority interests	223	344	341	257	87	187	287	387
Total equity & liabilities	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
EV	1,775,767	1,736,517	1,797,175	1,827,118	1,811,667	1,788,660	1,741,130	1,675,567
Net debt/(cash)	**(92,138)**	**(131,509)**	**(70,849)**	**(40,821)**	**(56,102)**	**(79,210)**	**(126,839)**	**(192,503)**
BVPS (TWD)	**22.508**	**26.798**	**28.671**	**30.090**	**30.169**	**30.949**	**34.132**	**38.026**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	20.5	30.8	(20.2)	4.4	2.3	18.6	27.4	9.5
EBITDA (YoY)	39.3	50.3	(33.7)	1.4	3.4	25.8	33.4	6.9
Operating profit (YoY)	134.9	101.8	(44.5)	(10.8)	(14.8)	43.5	57.8	16.0
Net profit (YoY)	91.1	56.3	(30.1)	(22.6)	(11.6)	117.7	(1.7)	16.0
Core EPS (fully-diluted) (YoY)	93.7	56.0	(30.2)	(22.8)	(11.8)	117.9	(1.7)	16.0
Gross-profit margin	33.8	45.1	34.9	32.6	29.0	32.9	37.6	39.1
EBITDA margin	46.4	53.3	44.2	43.0	43.4	46.1	48.3	47.1
Operating-profit margin	24.3	37.4	26.0	22.2	18.5	22.4	27.7	29.4
Net profit margin	26.2	31.3	27.4	20.3	17.6	32.2	24.9	26.3
ROAE	21.6	28.3	17.6	12.8	11.0	23.6	21.8	22.8
ROAA	13.3	17.5	11.2	8.4	7.3	15.3	14.3	15.7
ROCE	15.7	28.1	14.2	11.6	9.7	13.8	21.2	23.3
ROIC	23.5	44.0	20.4	13.8	11.1	18.0	27.3	32.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.8	17.0	13.4	16.2	16.3	9.6	15.7	16.0
Accounts receivable (days)	53.5	47.3	54.6	49.4	49.6	46.7	46.6	47.1
Current ratio (x)	2.2	2.3	2.2	2.5	2.3	2.3	2.4	2.7
Net interest cover (x)	37.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	68.1	67.1	51.6	61.6	75.8	78.5	55.4	56.3
Free cash flow yield	2.3	3.5	n.a.	0.3	2.8	3.0	5.2	6.2

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

UMC: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (12" equ) ('000 units)	1,021	1,129	1,201	1,213	1,213	1,359	1,454	1,425	3,872	4,564	5,451	5,958
Capacity utilisation	80%	86%	91%	91%	92%	100%	103%	100%	75%	87%	99%	100%
Blended ASP (USD)	1,890	1,926	1,967	1,966	2,017	2,056	2,081	2,067	1,970	1,940	2,057	2,061
Total revenue	61,038	68,733	75,612	76,347	78,296	89,428	96,841	94,232	237,553	281,729	358,798	393,029
Total revenue (USDm)	**1,930**	**2,174**	**2,363**	**2,386**	**2,447**	**2,795**	**3,026**	**2,945**	**7,629**	**8,853**	**11,212**	**12,282**
COGS	-43,219	-46,410	-49,163	-50,173	-51,247	-55,577	-59,216	-57,980	-168,647	-188,965	-224,020	-239,340
Gross profit	17,818	22,323	26,449	26,174	27,049	33,852	37,625	36,252	68,906	92,764	134,778	153,690
Opex	-6,542	-7,373	-7,864	-7,940	-8,143	-8,764	-9,200	-9,188	-24,958	-29,719	-35,294	-38,313
Operating profit	11,276	14,950	18,585	18,234	18,907	25,088	28,425	27,065	43,949	63,045	99,484	115,376
EBITDA	27,263	31,188	35,485	35,909	36,607	43,288	47,125	46,160	103,206	129,845	173,179	185,068
Non-op gain/loss	5,367	30,236	900	850	900	1,420	2,135	2,043	5,699	37,354	6,498	7,878
Pre-tax profit	16,644	45,186	19,485	19,084	19,807	26,508	30,560	29,107	49,648	100,399	105,981	123,255
Income taxes	-527	-2,962	-3,118	-3,053	-3,169	-3,976	-4,890	-4,657	-8,113	-9,660	-16,692	-19,721
Net profit	16,171	42,260	16,367	16,031	16,637	22,532	25,670	24,450	41,716	90,829	89,289	103,534
FD O/S (m)	12,579	12,577	12,577	12,577	12,577	12,577	12,577	12,577	12,588	12,577	12,577	12,577
FD EPS (TWD)	**1.29**	**3.36**	**1.30**	**1.27**	**1.32**	**1.79**	**2.04**	**1.94**	**3.31**	**7.22**	**7.10**	**8.23**
Margin												
Gross	29%	32%	35%	34%	35%	38%	39%	38%	29%	33%	38%	39%
Operating	18%	22%	25%	24%	24%	28%	29%	29%	19%	22%	28%	29%
EBITDA	45%	45%	47%	47%	47%	48%	49%	49%	43%	46%	48%	47%
Net	26%	61%	22%	21%	21%	25%	27%	26%	18%	32%	25%	26%
Growth (QoQ)												
Total revenue	-1%	13%	10%	1%	3%	14%	8%	-3%				
Gross profit	-6%	25%	18%	-1%	3%	25%	11%	-4%				
Operating profit	-8%	33%	24%	-2%	4%	33%	13%	-5%				
EBITDA	-2%	14%	14%	1%	2%	18%	9%	-2%				
Net profit	61%	161%	-61%	-2%	4%	35%	14%	-5%				
FD EPS	61%	161%	-61%	-2%	4%	35%	14%	-5%				
Growth (YoY)												
Total revenue	5%	17%	28%	24%	28%	30%	28%	23%	2%	19%	27%	10%
Gross profit	15%	32%	50%	38%	52%	52%	42%	39%	-9%	35%	45%	14%
Operating profit	15%	38%	67%	49%	68%	68%	53%	48%	-15%	43%	58%	16%
EBITDA	14%	23%	36%	29%	34%	39%	33%	29%	3%	26%	33%	7%
Net profit	108%	375%	9%	59%	3%	-47%	57%	53%	-12%	118%	-2%	16%
FD EPS	108%	374%	9%	60%	3%	-47%	57%	53%	-12%	118%	-2%	16%

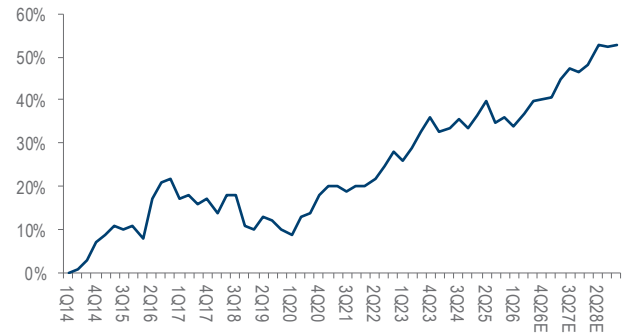
Source: Company, Daiwa estimates and forecasts

UMC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	75,612	75,517	0%	76,347	78,272	-2%
Gross profit	26,449	26,392	0%	26,174	27,621	-5%
Operating profit	18,585			18,234		
Pretax profit	19,485			19,084		
Net profit	16,367	17,018	-4%	16,031	18,371	-13%
Adjusted EPS (TWD)	1.30	1.35	-4%	1.27	1.46	-13%
Margin						
Gross	35.0%	34.9%		34.3%	35.3%	
Operating	24.6%			23.9%		
Net	21.6%			21.0%		
Operation						
Shipments (12" equ. wafers) ('000 units)	1,201			1,213		
Utilization*	91%			91%		
<=28nm sales contribution	40%			40%		

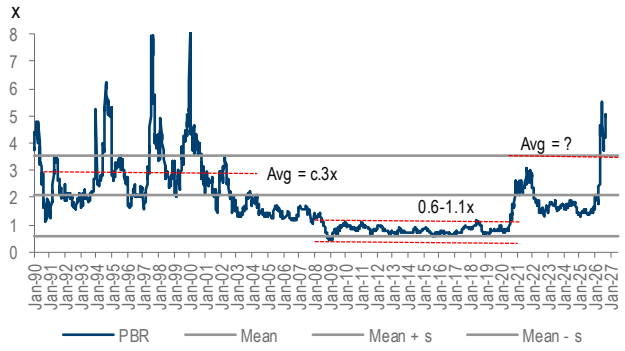
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided installed capacity*

UMC: 28/22nm-and-below revenue contribution*



Source: Company, Daiwa estimates and forecasts
*Note: * Including 14nm FF*

UMC: PBR trend



Source: Company, TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well
	Capital management	2	It kept its dividend payout ratios above 50% in 2017-25, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC.
S	Supply chain management	2	UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk.
E	Water & wastewater management	2	UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation.
E	Waste & hazardous materials management	2	To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006.
E	GHG emissions	2	UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

Daiwa Capital Markets Hong Kong Limited

Semiconductor Manufacturing Int'l Corp (981 HK)

Target price: **HKD40.00** (from HKD40.00)

Share price (7 Oct): **HKD60.90** | Up/downside: **-34.3%**

5 4 3 2 1

Sell
(unchanged)

Yes, AI, yet constrained by geopolitics

- A foundry leader in China set to benefit from AI innovations
- Yet likely seeing suboptimal operations due to "national mission"
- Reaffirming our Sell (5) rating and 12-month TP of HKD40

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

John Hetherington, CFA
(852) 2773 8787
john.hetherington@hk.daiwacm.com

What's new: As China's foundry leader, SMIC should benefit, among local peers, from China's AI innovations to cope with geopolitical pressures, such as multiple lithography patterning, time scaling in advanced packaging technology and logic folding. Yet, to serve what we view as China's "national mission" to catch up with the West in AI, SMIC has to suboptimise its operations for suboptimal profitability, as evidenced by its abnormal capex cycle and resulting depreciation burden. As such, we remain comfortable with our Sell (5) rating on the stock, though we view such a rating in capital markets may not be fair and truly reflecting its authentic fundamentals.

What's the impact: **3Q26 preview and 4Q26 outlook.** We expect SMIC to report 3Q26 net profit of USD399m, 7% below consensus, as the street appears to be assuming higher non-operating gains. For 4Q26, we forecast net profit of USD364m, down 9% QoQ but up 40% YoY, on flat top-line of USD3.1bn (+25% YoY), due to seasonality, as customers tend to manage inventory towards year-end.

Geopolitical concerns lingering despite AI. As China's foundry leader, SMIC should benefit, among local peers, from China's innovative AI developments, such as multiple lithography patterning, time scaling in advanced packaging technology and logic folding. Yet, to serve what we view as China's "national mission" to catch up with the West in AI, SMIC has to suboptimise its operations for suboptimal profitability, as evidenced by its abnormal capex cycle over 2020-26 and the resulting depreciation burden. This, combined with lingering geopolitical uncertainty, prevents us from turning positive on the stock. President Xi and President Trump met in the US last month; we hope that any constructive breakthroughs in the future will help reset SMIC's competitiveness for normalised profitability.

What we recommend: We rate SMIC Sell (5), with a 12M TP of HKD40 (unchanged), based on our ROE-adjusted PBR target of 1.1x applied to our one-year-forward BVPS forecast. Though our rating may not truly reflect SMIC's fundamentals due to geopolitical issues, we await any breakthrough between the 2 power nations on trade conflicts to normalise SMIC's operations. Key upside risk to our call would be any positive breakthrough on geopolitics and export controls.

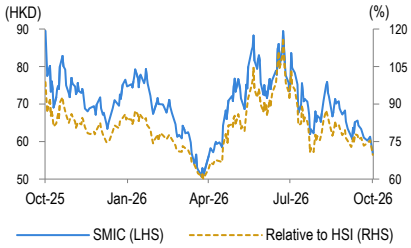
How we differ: Our 2028E EPS is 4% below Bloomberg consensus, likely due to our view calling for a soft-landing in the chip cycle.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	-	-	-
Core EPS (FD) change	-	-	-

Source: Daiwa forecasts

Share price performance



12-month range	50.70-89.40
Market cap (USDbn)	60.19
3m avg daily turnover (USDm)	706.70
Shares outstanding (m)	8,316
Major shareholder	Datang Investment Holdings (19.9%)

Financial summary (USD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	11,748	14,045	15,540
Operating profit (m)	1,927	2,416	2,633
Net profit (m)	1,453	1,694	1,951
Core EPS (fully-diluted)(USD cents)	17.477	20.375	23.464
EPS change (%)	71.9	16.6	15.2
Daiwa vs Cons. EPS (%)	1.8	(10.0)	(18.4)
PER (x)	44.4	38.1	33.1
Dividend yield (%)	0.0	0.0	0.0
DPS	0.000	0.000	0.000
PBR (x)	1.7	1.6	1.5
EV/EBITDA (x)	12.1	9.8	8.5
ROE (%)	6.6	7.1	7.6

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilisation (%)	98	88	63	77	80	84	90	97
Blended ASP (USD)	738	949	981	937	907	982	1,021	1,007
Wafer shipment ('000, 8" equ.)	6,747	7,099	5,867	8,021	9,696	11,316	13,115	14,692

Profit and loss (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Foundry Revenue	4,982	6,736	5,757	7,516	8,796	11,113	13,395	14,790
Other Revenue	461	538	565	514	531	635	650	750
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**5,443**	**7,273**	**6,322**	**8,030**	**9,327**	**11,748**	**14,045**	**15,540**
Other income	0	0	0	0	0	0	0	0
COGS	(3,767)	(4,512)	(5,104)	(6,582)	(7,370)	(8,806)	(10,324)	(11,336)
SG&A	(303)	(528)	(517)	(620)	(569)	(552)	(663)	(777)
Other op.expenses	20	(398)	(343)	(353)	(277)	(463)	(642)	(794)
Operating profit	**1,392**	**1,836**	**358**	**475**	**1,110**	**1,927**	**2,416**	**2,633**
Net-interest inc./(exp.)	113	224	527	249	25	(70)	(45)	115
Assoc/forex/extraord./others	383	101	187	36	99	344	0	0
Pre-tax profit	**1,888**	**2,160**	**1,072**	**760**	**1,234**	**2,201**	**2,371**	**2,748**
Tax	(65)	(16)	(63)	(130)	(84)	(180)	(203)	(247)
Min. int./pref. div./others	(73)	(380)	(222)	(237)	(304)	(568)	(474)	(550)
Net profit (reported)	**1,750**	**1,764**	**787**	**393**	**845**	**1,453**	**1,694**	**1,951**
Net profit (adjusted)	**1,750**	**1,764**	**787**	**393**	**845**	**1,453**	**1,694**	**1,951**
EPS (reported)(USD cents)	**22.139**	**22.287**	**9.835**	**4.789**	**10.167**	**17.477**	**20.375**	**23.464**
EPS (adjusted)(USD cents)	**22.139**	**22.287**	**9.835**	**4.789**	**10.167**	**17.477**	**20.375**	**23.464**
EPS (adjusted fully-diluted)(USD cents)	**21.042**	**21.212**	**9.462**	**4.722**	**10.167**	**17.477**	**20.375**	**23.464**
DPS (USD)	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**
EBIT	**1,392**	**1,836**	**358**	**475**	**1,110**	**1,927**	**2,416**	**2,633**
EBITDA	**3,262**	**4,107**	**3,025**	**3,698**	**4,920**	**6,729**	**8,065**	**8,769**

Cash flow (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,888	2,160	1,072	760	1,234	2,201	2,371	2,748
Depreciation and amortisation	1,869	2,271	2,667	3,223	3,810	4,802	5,649	6,136
Tax paid	(65)	(16)	(63)	(130)	(84)	(180)	(203)	(247)
Change in working capital	(537)	(1)	(579)	(62)	(1,518)	300	(470)	300
Other operational CF items	(135)	940	(42)	(665)	(247)	(568)	(474)	(550)
Cash flow from operations	**3,020**	**5,354**	**3,056**	**3,126**	**3,194**	**6,555**	**6,873**	**8,387**
Capex	(4,120)	(6,172)	(7,630)	(7,664)	(8,400)	(8,100)	(5,300)	(4,500)
Net (acquisitions)/disposals	(2,669)	(4,314)	1,240	3,033	1,853	0	0	0
Other investing CF items	134	94	183	112	52	0	0	0
Cash flow from investing	**(6,655)**	**(10,392)**	**(6,208)**	**(4,518)**	**(6,495)**	**(8,100)**	**(5,300)**	**(4,500)**
Change in debt	385	2,691	1,738	1,539	754	0	(999)	(999)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	0	0	0	0	0	0	0	0
Other financing CF items	1,973	924	728	70	1,922	1,000	1,000	1,000
Cash flow from financing	**2,357**	**3,614**	**2,466**	**1,608**	**2,676**	**1,000**	**1**	**1**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(1,279)**	**(1,423)**	**(686)**	**216**	**(625)**	**(545)**	**1,574**	**3,888**
Free cash flow	(1,100)	(818)	(4,574)	(4,538)	(5,206)	(1,545)	1,573	3,887

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	12,529	12,578	9,422	10,909	10,491	9,946	11,520	15,408
Inventory	1,194	1,911	2,736	2,958	3,630	3,830	4,030	4,230
Accounts receivable	1,215	1,303	1,170	840	1,433	1,383	1,983	1,733
Other current assets	279	802	286	76	71	75	75	75
Total current assets	**15,218**	**16,594**	**13,613**	**14,784**	**15,625**	**15,234**	**17,607**	**21,445**
Fixed assets	14,815	19,385	24,419	28,524	32,933	36,471	36,348	36,348
Goodwill & intangibles	68	45	34	24	20	20	20	20
Other non-current assets	6,011	7,783	9,722	5,829	3,693	4,310	4,310	2,810
Total assets	**36,111**	**43,808**	**47,787**	**49,161**	**52,271**	**56,034**	**58,285**	**60,623**
Short-term debt	789	1,268	1,216	2,926	2,593	2,593	2,593	2,593
Accounts payable	2,066	3,217	3,728	3,280	2,966	3,416	3,746	3,996
Other current liabilities	1,598	2,540	2,657	2,553	1,258	2,549	3,199	3,400
Total current liabilities	**4,454**	**7,025**	**7,602**	**8,760**	**6,817**	**8,559**	**9,539**	**9,989**
Long-term debt	5,535	7,317	8,934	8,038	9,995	9,995	8,995	7,996
Other non-current liabilities	684	505	406	494	439	449	551	937
Total liabilities	**10,673**	**14,846**	**16,942**	**17,292**	**17,251**	**19,002**	**19,085**	**18,921**
Share capital	32	32	32	32	32	32	32	32
Reserves/R.E./others	17,118	19,118	20,084	20,582	21,408	22,851	24,546	26,497
Shareholders' equity	**17,150**	**19,150**	**20,116**	**20,614**	**21,440**	**22,883**	**24,578**	**26,529**
Minority interests	8,288	9,811	10,730	11,256	13,581	14,149	14,623	15,173
Total equity & liabilities	**36,111**	**43,808**	**47,787**	**49,161**	**52,271**	**56,034**	**58,285**	**60,623**
EV	66,613	70,348	75,988	75,840	80,207	81,320	79,221	74,884
Net debt/(cash)	**(6,205)**	**(3,993)**	**729**	**55**	**2,097**	**2,642**	**68**	**(4,819)**
BVPS (USD cents)	**321.854**	**365.907**	**385.570**	**388.654**	**421.122**	**445.311**	**471.389**	**501.462**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	39.3	33.6	(13.1)	27.0	16.2	26.0	19.5	10.6
EBITDA (YoY)	100.8	25.9	(26.3)	22.2	33.0	36.8	19.9	8.7
Operating profit (YoY)	346.4	31.8	(80.5)	32.7	133.7	73.6	25.4	9.0
Net profit (YoY)	130.2	0.8	(55.4)	(50.1)	115.3	71.9	16.6	15.2
Core EPS (fully-diluted) (YoY)	130.2	0.8	(55.4)	(50.1)	115.3	71.9	16.6	15.2
Gross-profit margin	30.8	38.0	19.3	18.0	21.0	25.0	26.5	27.1
EBITDA margin	59.9	56.5	47.9	46.1	52.8	57.3	57.4	56.4
Operating-profit margin	25.6	25.2	5.7	5.9	11.9	16.4	17.2	16.9
Net profit margin	32.1	24.3	12.4	4.9	9.1	12.4	12.1	12.6
ROAE	10.8	9.7	4.0	1.9	4.0	6.6	7.1	7.6
ROAA	5.2	4.4	1.7	0.8	1.7	2.7	3.0	3.3
ROCE	4.7	5.3	0.9	1.1	2.5	4.0	4.8	5.1
ROIC	7.8	8.2	1.2	1.2	3.0	4.6	5.6	6.3
Net debt to equity	n.a.	n.a.	3.6	0.3	9.8	11.5	0.3	n.a.
Effective tax rate	3.5	0.7	5.8	17.1	6.8	8.2	8.5	9.0
Accounts receivable (days)	73.5	63.2	71.4	45.7	44.5	43.7	43.7	43.6
Current ratio (x)	3.4	2.4	1.8	1.7	2.3	1.8	1.8	2.1
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	27.5	53.7	n.a.
Net dividend payout	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free cash flow yield	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	2.4	6.0

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in China in 2000, Semiconductor Manufacturing International Corp (SMIC) is the largest dedicated semiconductor foundry in China. It offers product services, such as wafer fabrication, masking, packaging and testing. Its fab operations spread over major cities of China, including Shanghai (8", 12"), Beijing (12"), Tianjin (8") and Shenzhen (8", 12"). It has also set up JV fabs with the governments and teamed up with Jiangsu Changjiang Electronics Technology (JCET, 江蘇長電).

SMIC: key operating assumptions, quarterly P&L estimates and forecasts

USDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipments (12" equ) ('000 units)	1,115	1,275	1,313	1,326	1,299	1,442	1,543	1,543	4,309	5,029	5,829	6,530
Capacity utilisation	78%	87%	87%	85%	84%	90%	93%	93%	80%	84%	90%	97%
Blended ASP (USD)	2,110	2,230	2,252	2,233	2,219	2,287	2,337	2,336	2,041	2,210	2,298	2,265
Total revenue	2,505	3,006	3,116	3,121	3,034	3,459	3,777	3,775	9,327	11,748	14,045	15,540
COGS	-2,002	-2,245	-2,258	-2,301	-2,304	-2,497	-2,731	-2,792	-7,370	-8,806	-10,324	-11,336
Gross profit	504	761	858	820	730	962	1,046	983	1,957	2,942	3,721	4,204
Opex	-256	-226	-258	-275	-286	-308	-344	-367	-847	-1,015	-1,305	-1,571
Operating profit	248	534	600	545	444	654	702	616	1,110	1,927	2,416	2,633
EBITDA	1,336	1,746	1,840	1,807	1,724	2,004	2,172	2,165	4,920	6,729	8,065	8,769
Non-op gain/loss	-11	309	-13	-10	-10	-6	0	-29	124	274	-45	115
Pretax profit	236	843	587	535	434	648	702	587	1,234	2,201	2,371	2,748
Income taxes & MI	-58	-331	-188	-171	-122	-181	-204	-170	-388.1	-747.8	-676.8	-797.0
Net profit	178	512	399	364	312	467	498	417	845	1,453	1,694	1,951
FD O/S (bn)	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32	8.32
FD EPS (US¢)	**2.15**	**6.16**	**4.80**	**4.38**	**3.76**	**5.61**	**5.99**	**5.01**	**10.17**	**17.48**	**20.38**	**23.46**
FD EPS/ADS (USD)	1.07	3.08	2.40	2.19	1.88	2.81	3.00	2.51	5.08	8.74	10.19	11.73
Margin												
Gross	20%	25%	28%	26%	24%	28%	28%	26%	21%	25%	26%	27%
Operating	10%	18%	19%	17%	15%	19%	19%	16%	12%	16%	17%	17%
EBITDA	53%	58%	59%	58%	57%	58%	58%	57%	53%	57%	57%	56%
Net	7%	17%	13%	12%	10%	13%	13%	11%	9%	12%	12%	13%
Growth (QoQ)												
Total revenue	1%	20%	4%	0%	-3%	14%	9%	0%				
Gross profit	5%	51%	13%	-4%	-11%	32%	9%	-6%				
Operating profit	-17%	116%	12%	-9%	-19%	47%	7%	-12%				
EBITDA	-2%	31%	5%	-2%	-5%	16%	8%	0%				
Net profit	-31%	187%	-22%	-9%	-14%	49%	7%	-16%				
FD EPS	-31%	187%	-22%	-9%	-14%	49%	7%	-16%				
Growth (YoY)												
Total revenue	11%	36%	31%	25%	21%	15%	21%	21%	16%	26%	20%	11%
Gross profit	0%	69%	64%	71%	45%	26%	22%	20%	35%	50%	26%	13%
Operating profit	-20%	255%	71%	83%	79%	22%	17%	13%	134%	74%	25%	9%
EBITDA	14%	70%	37%	32%	29%	15%	18%	20%	33%	37%	20%	9%
Net profit	-13%	148%	131%	40%	75%	-9%	25%	14%	116%	72%	17%	15%
FD EPS	-13%	148%	131%	40%	75%	-9%	25%	14%	116%	72%	17%	15%

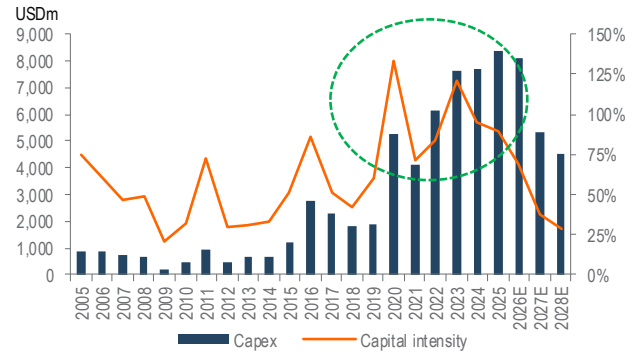
Source: Company, Daiwa estimates and forecasts

SMIC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
(in USDm)	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	3,116.41	3,109.00	0%	3,120.97	3,232.00	-3%
Gross profit	858.03	805.20	7%	819.90	811.75	1%
Operating profit	599.64	541.77	11%	545.38	495.92	10%
EBITDA	1,839.64			1,807.39		
Pretax profit	586.64			535.38		
Net profit	398.91	427.00	-7%	364.06	421.00	-14%
FD EPS (US¢)	4.80	5.13	-7%	4.38	5.06	-14%
Margins						
Gross	27.5%	25.9%		26.3%	25.1%	
Operating	19.2%	17.4%		17.5%	15.3%	
Net	12.8%	13.7%		11.7%	13.0%	
Operation						
Shipment (8" equ.wafers) ('000 units)	2,954			2,984		
Utilisation*	87%			85%		
<=28nm sales contribution	49%			49%		

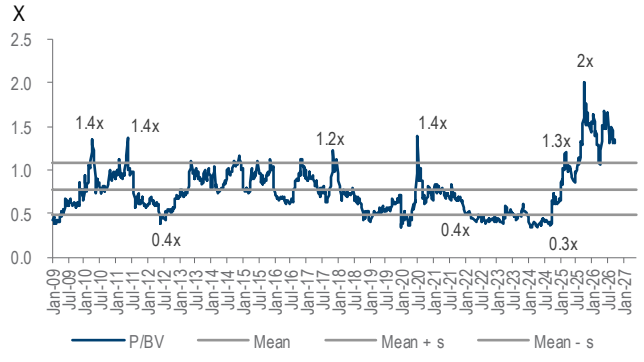
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

SMIC: capex and capital intensity*



Source: Company, Daiwa forecasts
*Note: * Capital intensity = capex / revenue*

SMIC: PBR trend*



Source: Company, Bloomberg, Daiwa forecasts
*Note: * PBR calculations do not include the A-share-listed market cap, thus deflating multiples*

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	SMIC's Board of Directors (BoD) has 9 members in 2025, including 1 executive director, 4 non-executive directors and 4 independent directors. Its BoD members have a diverse background, and SMIC's chairman and CEO are not the same person.
	Capital management	3	SMIC's capex in 2025 was approximately USD8.4bn. Management expects capex in 2026 to maintain roughly flat to slightly down compared to 2025, which exceeded 10% of the Company's latest audited net assets, with large capital needs.
	Related party & transaction	1	SMIC has established a comprehensive supplier management framework covering supplier onboarding, periodic evaluation, quality audits and ESG compliance, which helps mitigate potential related-party transaction and procurement risks. Suppliers are assessed through a cross-functional process covering quality, cost, delivery, service, environmental and compliance factors, while higher-risk suppliers are subject to enhanced monitoring and corrective actions. SMIC also emphasizes supplier diversification to reduce geographic and concentration risks, with raw material suppliers distributed across China (71.3%), Eurasia (22.9%) and the Americas (5.8%) in 2025. Overall, the Company's structured supplier evaluation and geographic diversification mechanisms provide a reasonable level of control over supply-chain and related-party transaction risks.
S	Supply chain management	2	SMIC continuously improves the specification of layered management for suppliers. The specification covers the whole life cycle of the supply chain and refines specific requirements for access, evaluation and management. Incorporating multiple aspects including strategic supply chain management, and raw materials and spare parts procurement, SMIC has established global supplychain management and planning, to ensure product quality and service capabilities of supply chain. The company supports the development of the local supply chain and aims to increase the proportion of its raw material suppliers based in mainland China annually. By increasing local supply, it can reduce its procurement cost and thus increase its operational efficiency and also partially mitigate the geopolitical risks, in our view.
E	Water & wastewater management	2	The company has implemented water-saving projects to improve water usage and reduce external water source consumption. These projects include reducing water consumption in the facility system, increasing wastewater reclamation, improving its water production rate and lowering water draining losses.
E	Waste & hazardous materials management	2	It has implemented cleaner production projects to optimise its raw materials usage, reduce resource consumption, and minimise waste generation at the source of production.
E	GHG emissions	1	SMIC is continuously implementing energy conservation and emission reduction projects. Every year, SMIC promotes energy-saving and emission reduction projects in an orderly manner so as to improve energy efficiency, reduce GHG emissions, and address climate change.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 Oct 2026

Source: Daiwa, Company

Daiwa Capital Markets Hong Kong Limited

Hua Hong Grace Semiconductor (1347 HK)

Target price: **HKD139.00** (from HKD139.00)

Share price (7 Oct): **HKD105.30** | Up/downside: **+32.0%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 preview: steady ASP growth outlook

- Positive earnings growth momentum in 3Q26E and 4Q26E
- Favourable supply-demand environment, thanks to AI investment
- Reaffirming our Buy (1) rating and 12-month TP of HKD139.0

Bintuo Ni
(86) 21 6841 3228
bintuo.ni@daiwacm.cn

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

What's new: We expect HHGrace to continue to post positive earnings growth momentum in 3Q26E and 4Q26E, on the back of both volume and ASP strength. We believe HHGrace will continue to inject Huali's (HLMC) assets into the listed company, thereby expanding HHGrace's business portfolio and manufacturing footprint.

What's the impact: 3Q26 preview and 4Q26 outlook. We forecast HHgrace to report revenue of USD775m in 3Q26E, up 22% YoY and 8% QoQ, driven by 15% YoY volume growth and a 6% YoY hike in ASPs. On a QoQ basis, we estimate a 3% improvement in ASPs. As a result, we expect net profit of USD58m in 3Q26E, up 124% YoY and 49% QoQ. We forecast the growth momentum to sustain into 4Q26, with 22% YoY expansion in revenue to USD804m, and 282% YoY growth in net profit to USD67m.

Mainstream business to benefit from AI ripple effects and TSMC's fab optimisation. HHGrace focuses on the production of Nor Flash, MCUs, power discretes, analog and RF products, covering 55nm and above process-node technology platforms. HHGrace began raising ASPs in 4Q25, thanks to demand tailwinds from AI investment. Also, we expect TSMC's capacity optimisation to cause short-term supply disruptions, resulting in sustained strength in pricing power for legacy-node foundry players.

Steady manufacturing footprint expansion. Despite wafer supply tightness, HHgrace maintains its Fab 9 expansion timeline, with wafer loading at Fab 9A (83,000wpm capacity) in 3Q26, reaching full utilisation in 2H27. Furthermore, Fab 9B (55,000wpm) is set to kick-start small-volume production in 2027, per HHgrace. We believe the expansion focus will be on the 55/40/28nm process nodes. HHGrace plans to complete HLMC's Fab 5 asset acquisition in 2H26. We expect more asset injections in 2027.

What we recommend: We maintain our SOTP-based 12-month TP of HKD139. We believe HHGrace will inject HLMC's assets into the listed company by 2030. We factor in the future asset value of HLMC through to 2030 by applying 2.5-4.0x PBRs to the fabs in Kangqiao, Zhangjiang and Chengdu, as well as HHSemi's assets, and then discounting back by 3.5 years at a 10% rate. We then apply a 70% discount due to the potential dilution from share issuance related to the acquisition of HLMC's assets. We reaffirm our Buy (1) rating. Key downside risk: changes in asset-injection plans.

How we differ: Our 2026-28E EPS are 9-30% below the Bloomberg consensus, likely as we are more cautious about its ASP and gross margin outlook.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	-	-	-
Core EPS (FD) change	-	-	-

Source: Daiwa forecasts

Share price performance

12-month range	66.30-215.20
Market cap (USDbn)	17.84
3m avg daily turnover (USDm)	564.46
Shares outstanding (m)	1,330
Major shareholder	Hua Hong International (26.2%)

Financial summary (USD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	2,957	3,386	3,860
Operating profit (m)	48	120	145
Net profit (m)	184	267	290
Core EPS (fully-diluted)	0.106	0.154	0.167
EPS change (%)	235.5	45.2	8.3
Daiwa vs Cons. EPS (%)	(9.4)	(15.9)	(30.2)
PER (x)	126.5	87.2	80.5
Dividend yield (%)	0.0	0.0	0.0
DPS	0.000	0.000	0.000
PBR (x)	3.4	3.3	3.2
EV/EBITDA (x)	21.0	18.3	16.8
ROE (%)	2.7	3.9	4.0

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
55nm & 65nm shipment (k units)	255	593	527	904	1,268	1,800	2,130	2,750
90nm & 95nm shipment (k units)	747	1,100	960	1,181	1,610	1,840	2,180	2,400
≤0.13μm shipment (k units)	370	521	540	407	338	365	410	450
0.15μm & 0.18μm shipment (k units)	263	298	236	228	232	265	260	285
0.25μm shipment (k units)	43	26	50	39	28	40	37	38
≥0.35μm shipment (k units)	1,650	1,549	1,790	1,785	1,908	1,971	2,070	2,070

Profit and loss (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer revenue	1,562	2,377	2,182	1,901	2,302	2,849	3,275	3,746
Non-wafer revenue	69	99	105	103	100	109	111	114
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**1,631**	**2,475**	**2,286**	**2,004**	**2,402**	**2,957**	**3,386**	**3,860**
Other income	318	457	500	556	735	858	959	1,079
COGS	(1,196)	(1,632)	(1,799)	(1,799)	(2,119)	(2,464)	(2,788)	(3,143)
SG&A	(256)	(279)	(333)	(361)	(426)	(445)	(478)	(572)
Other op.expenses	(318)	(457)	(500)	(556)	(735)	(858)	(959)	(1,079)
Operating profit	**179**	**565**	**154**	**(156)**	**(142)**	**48**	**120**	**145**
Net-interest inc./(exp.)	0	(13)	(39)	5	(24)	(71)	(72)	(72)
Assoc/forex/extraord./others	118	(55)	59	17	77	77	103	103
Pre-tax profit	**296**	**496**	**174**	**(134)**	**(89)**	**54**	**151**	**176**
Tax	(65)	(89)	(47)	(7)	(22)	(12)	(24)	(27)
Min. int./pref. div./others	31	43	154	198	166	143	140	140
Net profit (reported)	**261**	**450**	**280**	**58**	**55**	**184**	**267**	**290**
Net profit (adjusted)	**261**	**450**	**280**	**58**	**55**	**184**	**267**	**290**
EPS (reported)(USD)	**0.201**	**0.345**	**0.189**	**0.034**	**0.032**	**0.106**	**0.154**	**0.167**
EPS (adjusted)(USD)	**0.201**	**0.345**	**0.189**	**0.034**	**0.032**	**0.106**	**0.154**	**0.167**
EPS (adjusted fully-diluted)(USD)	**0.198**	**0.342**	**0.188**	**0.034**	**0.032**	**0.106**	**0.154**	**0.167**
DPS (USD)	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**	**0.000**
EBIT	**179**	**565**	**154**	**(156)**	**(142)**	**48**	**120**	**145**
EBITDA	**497**	**1,021**	**654**	**400**	**593**	**906**	**1,079**	**1,224**

Cash flow (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	296	496	174	(134)	(89)	54	151	176
Depreciation and amortisation	318	457	500	556	735	858	959	1,079
Tax paid	(13)	(27)	(61)	0	0	0	0	0
Change in working capital	(73)	(174)	(109)	103	8	(169)	48	(210)
Other operational CF items	(10)	(1)	138	(66)	(4)	202	188	185
Cash flow from operations	**518**	**751**	**642**	**460**	**650**	**944**	**1,347**	**1,231**
Capex	(939)	(996)	(907)	(2,780)	(1,814)	(1,300)	(2,000)	(2,000)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	76	66	73	108	95	0	0	0
Cash flow from investing	**(863)**	**(930)**	**(833)**	**(2,672)**	**(1,719)**	**(1,300)**	**(2,000)**	**(2,000)**
Change in debt	1,071	515	615	289	2,018	0	0	0
Net share issues/(repurchases)	(4)	(42)	2,833	(138)	34	0	0	0
Dividends paid	0	0	0	0	0	0	0	0
Other financing CF items	(52)	199	333	999	(553)	(71)	(72)	(72)
Cash flow from financing	**1,015**	**672**	**3,782**	**1,150**	**1,499**	**(71)**	**(72)**	**(72)**
Forex effect/others	17	(94)	(14)	(64)	71	0	0	0
Change in cash	**687**	**399**	**3,576**	**(1,126)**	**502**	**(427)**	**(725)**	**(841)**
Free cash flow	(420)	(245)	(265)	(2,320)	(1,164)	(356)	(653)	(769)

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (USDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,610	2,009	5,585	4,459	4,961	4,534	3,809	2,968
Inventory	433	578	450	467	544	698	677	873
Accounts receivable	181	292	279	270	282	447	388	564
Other current assets	167	197	256	636	819	819	819	819
Total current assets	**2,391**	**3,076**	**6,570**	**5,833**	**6,607**	**6,499**	**5,693**	**5,223**
Fixed assets	3,117	3,368	3,519	5,859	6,676	7,118	8,159	9,080
Goodwill & intangibles	35	33	50	31	36	36	36	36
Other non-current assets	659	579	805	692	1,135	1,135	1,135	1,135
Total assets	**6,202**	**7,055**	**10,943**	**12,415**	**14,454**	**14,787**	**15,023**	**15,474**
Short-term debt	195	427	193	281	404	404	404	404
Accounts payable	194	237	235	298	330	480	448	610
Other current liabilities	691	719	544	983	1,122	1,122	1,122	1,122
Total current liabilities	**1,080**	**1,382**	**972**	**1,562**	**1,856**	**2,006**	**1,974**	**2,135**
Long-term debt	1,395	1,482	1,907	1,917	2,787	2,787	2,787	2,787
Other non-current liabilities	42	56	50	29	646	646	646	646
Total liabilities	**2,518**	**2,920**	**2,929**	**3,508**	**5,290**	**5,439**	**5,407**	**5,569**
Share capital	1,986	1,994	4,934	4,938	4,987	4,987	4,987	4,987
Reserves/R.E./others	884	1,036	1,367	1,309	1,625	1,809	2,077	2,366
Shareholders' equity	**2,870**	**3,030**	**6,301**	**6,247**	**6,613**	**6,797**	**7,064**	**7,354**
Minority interests	814	1,105	1,714	2,660	2,552	2,552	2,552	2,552
Total equity & liabilities	**6,202**	**7,055**	**10,943**	**12,415**	**14,454**	**14,787**	**15,023**	**15,474**
EV	18,639	18,849	16,072	18,243	18,626	19,053	19,778	20,619
Net debt/(cash)	**(20)**	**(100)**	**(3,486)**	**(2,261)**	**(1,770)**	**(1,343)**	**(618)**	**223**
BVPS (USD)	**2.208**	**2.325**	**4.263**	**3.638**	**3.809**	**3.915**	**4.069**	**4.236**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	69.6	51.8	(7.7)	(12.3)	19.9	23.1	14.5	14.0
EBITDA (YoY)	189.1	105.6	(35.9)	(38.8)	48.1	52.9	19.1	13.4
Operating profit (YoY)	n.a.	215.8	(72.7)	n.a.	n.a.	n.a.	150.2	21.0
Net profit (YoY)	162.9	72.1	(37.8)	(79.2)	(5.6)	235.5	45.2	8.3
Core EPS (fully-diluted) (YoY)	161.0	72.9	(45.0)	(82.1)	(6.4)	235.5	45.2	8.3
Gross-profit margin	26.7	34.1	21.3	10.2	11.8	16.7	17.7	18.6
EBITDA margin	30.5	41.3	28.6	20.0	24.7	30.6	31.9	31.7
Operating-profit margin	11.0	22.8	6.7	n.a.	n.a.	1.6	3.5	3.8
Net profit margin	16.0	18.2	12.2	2.9	2.3	6.2	7.9	7.5
ROAE	9.7	15.2	6.0	0.9	0.9	2.7	3.9	4.0
ROAA	4.9	6.8	3.1	0.5	0.4	1.3	1.8	1.9
ROCE	3.9	10.0	1.9	n.a.	n.a.	0.4	0.9	1.1
ROIC	4.2	12.0	2.6	n.a.	n.a.	0.7	1.5	1.6
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	3.0
Effective tax rate	22.1	18.0	27.2	(5.2)	(5.2)	(5.2)	(5.2)	(5.2)
Accounts receivable (days)	33.8	34.9	45.5	50.0	42.0	45.0	45.0	45.0
Current ratio (x)	2.2	2.2	6.8	3.7	3.6	3.2	2.9	2.4
Net interest cover (x)	n.a.	42.2	3.9	n.a.	n.a.	0.7	1.7	2.0
Net dividend payout	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free cash flow yield	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Source: FactSet, Daiwa forecasts

Company profile

Hua Hong Grace Semiconductor Limited manufactures semiconductors wafer foundry services. The Company produces embedded non-volatile memory, power discrete, analog, power management, and logic RF products. Hua Hong Semiconductor provides products for consumer electronics, communications, computing, industrial, and automotive fields.

HHGrace: financial forecasts

(in USDm)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	661	718	775	804	789	830	870	898	2,402	2,957	3,386	3,860
COGS	(575)	(599)	(637)	(654)	(662)	(684)	(709)	(733)	(2,119)	(2,464)	(2,788)	(3,143)
Gross profit	86	118	138	150	128	145	160	165	283	493	598	717
Opex	(106)	(107)	(107)	(125)	(114)	(114)	(114)	(136)	(426)	(445)	(478)	(572)
Operating profit	(20)	11	31	25	14	31	46	29	(142)	48	120	145
Pretax profit	(22)	12	27	37	17	34	49	51	(89)	54	151	176
Income taxes	5	(8)	(4)	(6)	(4)	(5)	(7)	(8)	(22)	(12)	(24)	(27)
Net profit	21	39	58	67	48	64	77	78	55	184	267	290
Margin												
Gross	13.0%	16.5%	17.8%	18.7%	16%	18%	18%	18%	11.8%	16.7%	17.7%	18.6%
Opex	-16%	-15%	-14%	-16%	-14%	-14%	-13%	-15%	-17.7%	-15.0%	-14.1%	-14.8%
Operating	-3%	2%	4%	3%	2%	4%	5%	3%	-5.9%	1.6%	3.5%	3.8%
Net	3%	5%	7%	8%	6%	8%	9%	9%	2.3%	6.2%	7.9%	7.5%
Growth (QoQ)												
Revenue	0%	9%	8%	4%	-2%	5%	5%	3%				
Gross profit	0%	38%	17%	9%	-15%	14%	10%	3%				
Operating profit	nm	nm	181%	nm	-45%	128%	47%	-37%				
Net profit	20%	85%	49%	15%	-28%	33%	19%	2%				
Growth (YoY)												
Revenue	22%	27%	22%	22%	19%	16%	12%	12%	20%	23%	15%	14%
Gross profit	72%	92%	61%	75%	48%	23%	16%	10%	38%	74%	21%	20%
Operating profit	nm	nm	nm	nm	nm	184%	48%	15%	nm	nm	150%	21%
Net profit	**458%**	**386%**	**124%**	**282%**	**130%**	**66%**	**33%**	**18%**	**-6%**	**235%**	**45%**	**8%**

Source: Company, Daiwa forecasts

HHGrace: SOTP valuation

SOTP-based valuation (HHGrace)				
Fab	**Asset (USDm)**	**NAV (USDm)**	**PBR (x)**	**Equity (USDm)**
Fab 5	1,163	427	4.0x	1,710
Fab 6	4,000	2,600	2.5x	6,500
Fab X	5,600	3,640	3.0x	10,920
Fab Y	6,400	4,160	3.0x	12,480
Fab 10	3,200	2,080	2.5x	5,200
HLMC	**20,363**	**12,907**	**2.9**	**36,810**
HHSEMI	15,474	9,905	2.5	24,763
HH Group	**35,837**	**22,813**	**2.7**	**61,573**
	HKD/USD			7.80
	Discount factor (from end-2030E to mid-2027E @ 10%)			0.72
	Share issue dilutive effect (30% share dilution to purchase assets)			70%
	Shares outstanding (m)			1,736
	12M TP (HKD)			**139.0**

Source: Daiwa estimates and forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Hua Hong Grace Semiconductor (HH Grace) has established various regulations and systems related to corporate governance, in accordance with local laws and regulations. In 2025, the Board of the Company consists of 9 members, including 1 female director.
G	Capital management	1	The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.
G	Related party & transaction	1	In 2025, HHGrace's connected transaction was minimal.
G	Supply chain management	2	HH Grace strategically forms medium- and long-term agreements with suppliers. The company also regularly reviews its inventory to maintain it at a rational level.
G	Water & wastewater management	2	In 2025, the company was 100% compliant in terms of its wasterwater discharge.
G	Waste & hazardous materials management	2	Under the philosophy of lean manufacturing management, the company continuously reduces its generation of hazardous waste.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 19 Aug 2026

Source: Daiwa, Company

Daiwa Capital Markets Hong Kong Limited

Vanguard International Semiconductor (5347 TT)

Target price: **TWD210.00**

Share price (7 Oct): **TWD190.00** | Up/downside: **+10.5%**

5 4 3 **2** 1

★ **Outperform** (initiation)

Initiation: fast ramp to capture the AI ripple effect

- Fully loaded through 2027 on AI scaling and fab optimisation
- Fast expansion to capture a paradigm shift in the foundry sector
- Initiating with an Outperform (2) rating and 12M TP of TWD210

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Sam Weng
(886) 2 8758 6255
sam.weng@daiwacm-cathay.com.tw

Investment case: We initiate coverage of Vanguard International Semiconductor (VIS), a leading specialty foundry, with an Outperform (2) rating and 12-month TP of TWD210. We expect VIS to enjoy fully loaded operations (in terms of wafer-in) through 2027 with pricing power, thanks to a ripple effect as AI demand scales from compute to power, further augmented by TSMC's fab optimisation. Given VIS's historical ties with TSMC, which have strategically helped it advance its business transformation towards value-added specialty foundry offerings, it looks well positioned to benefit from this multi-year AI scaling, cemented by the fast expansion of its first 12" fab in Singapore to capitalise on what we observe as a paradigm shift in the foundry industry.

Fully loaded operations on AI ripple effect. We expect VIS's wafer loadings to approach full levels in terms of wafer-in through 2027, thanks to the AI scaling out and across creating a ripple effect for demand spillover and benefitting specialty foundries. Given its strategic partnership with TSMC, VIS stands to benefit from this multi-year AI build. Despite its pull-in of the 12" ramp, we do not expect such fast expansion to dwarf utilisations since all the planned capacity is sold out, thanks to long-term agreements (LTA) signed with customers amid the supply constraint, which should help VIS manage surging depreciation and minimise margin dilution.

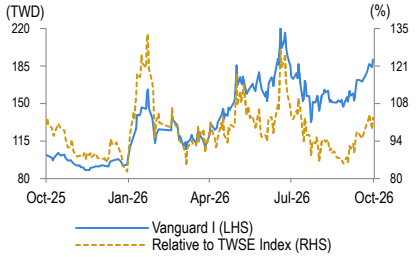
Fast expansion to capture the paradigm shift. To capitalise on the likely paradigm shift in the specialty foundry segment, as detailed in the sector section, driven by TSMC's fab optimisation, VIS is pulling its 12" fab construction in Singapore nearly half a year ahead of schedule. VIS aims to start mass production from 1Q27 after hosting an opening ceremony on 28 September. We expect this fab to reach its first-phase designed capacity of 44,000 wafers per month (wpm) by end-2028, with c.30% of it dedicated to TSMC's wafer interposers and the rest for customers' power semiconductor and embedded flash chips, mainly for AI applications. We forecast VIS to enjoy counter-seasonal quarters through 2027, delivering revenue CAGR of c.30% over 2026-28 for an EPS CAGR of 26%.

Catalysts: 1) Record-breaking monthly revenue run rates through 2027; 2) upbeat guidance for the coming quarters; and 3) margin resilience to ease investors' concerns about depreciation amid the 12" ramp.

Valuation: We derive our 12M TP of TWD210 for VIS by applying our ROE-adjusted PBR target of 5.2x to our one-year-forward BVPS forecast.

Risks: 1) Current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

Share price performance



12-month range	88.00-220.00
Market cap (USDbn)	11.22
3m avg daily turnover (USDm)	104.83
Shares outstanding (m)	1,878
Major shareholder	TSMC (18.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	57,494	76,662	95,017
Operating profit (m)	11,742	16,893	22,282
Net profit (m)	11,076	14,875	17,637
Core EPS (fully-diluted)	5.896	7.919	9.389
EPS change (%)	39.2	34.3	18.6
Daiwa vs Cons. EPS (%)	(1.9)	5.1	(2.4)
PER (x)	32.2	24.0	20.2
Dividend yield (%)	2.4	2.6	2.9
DPS	4.5	5.0	5.5
PBR (x)	5.3	4.7	4.4
EV/EBITDA (x)	19.0	13.1	9.7
ROE (%)	16.8	20.8	22.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

Company

5 4 3 **2** 1

Outperform
(initiation)

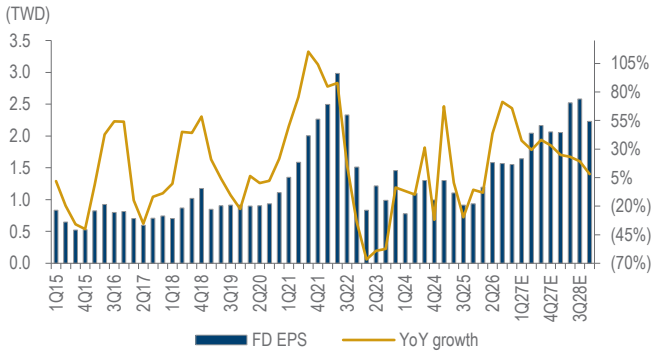
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔

Growth outlook

VIS's earnings have been volatile due to the cyclical nature of the semiconductor industry in which it operates. That said, barring its hefty growth during 2021-22 as an outlier due to the COVID-inflated chip demand, VIS will enjoy 30-70% YoY EPS growth over 2Q26E-4Q27E, according to our forecasts, with strength similar to that in 2016 and 2018. On an annual EPS basis, we forecast a 30% CAGR over 2025-28.

VIS: quarterly EPS growth trend

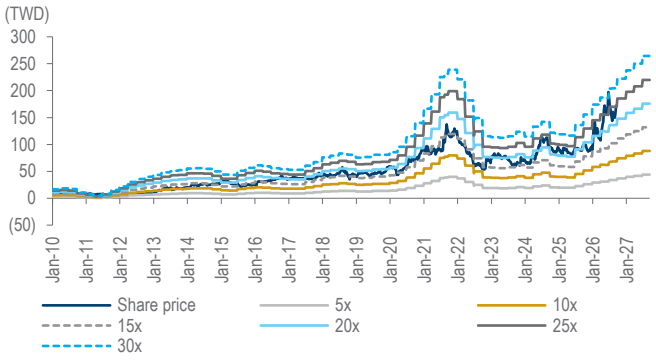


Source: Company, Daiwa estimates and forecasts

Valuation

Trading at 24x on our 4-quarter-forward EPS, the VIS stock is priced at the high end of its post-2009 GFC range of 5-30x, suggesting a not-so-compelling valuation vs. history. Yet, considering our forecast of a robust 30% EPS CAGR over 2025-28, 24x does not look demanding from a PEG point of view. Valued by our ROE-adjusted PBR target of 5.2x, our 12M TP of TWD210 for VIS translates into a 26x 4-quarter forward PER, which looks reasonable in combination of both PBR and PER methodologies.

VIS: 4-quarter-forward PER bands

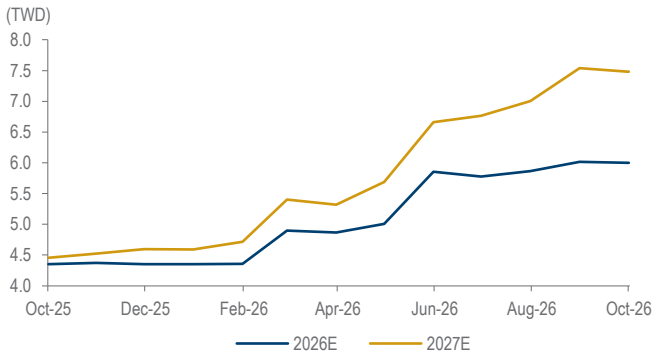


Source: Company, TEJ, Daiwa estimates and forecasts

Earnings revision

Bloomberg consensus 2026-27 EPS forecasts for VIS have been trending up since February 2026, indicating positive investor sentiment. Our 2027E EPS is 5% above consensus, implying room for further upward revisions from the market to act as an upside catalyst for the stock, in our opinion.

VIS: consensus EPS forecast revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	101	83	59	66	76	85	95	97
Blended ASP (USD)	543	670	629	624	616	637	686	723
Wafer shipment (8" equ., '000)	2,901	2,605	1,952	2,194	2,533	2,838	3,492	4,109

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	43,952	51,694	38,273	44,056	48,591	57,495	76,662	95,017
Sub & Other Revenue	0	0	0	0	0	0	0	0
Other Revenue	(1)	1	(0)	(1)	0	(0)	0	0
Total Revenue	**43,951**	**51,694**	**38,273**	**44,055**	**48,591**	**57,494**	**76,662**	**95,017**
Other income	0	0	0	0	0	0	0	0
COGS	(24,799)	(27,771)	(27,827)	(32,122)	(34,937)	(38,893)	(51,107)	(62,341)
SG&A	(2,899)	(3,375)	(2,521)	(2,740)	(3,691)	(4,164)	(5,197)	(6,170)
Other op.expenses	(2,151)	(2,742)	(2,151)	(2,081)	(2,190)	(2,696)	(3,466)	(4,224)
Operating profit	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
Net-interest inc./(exp.)	159	588	1,536	1,754	1,554	900	295	445
Assoc/forex/extraord./others	28	457	1,524	(113)	(76)	206	28	31
Pre-tax profit	**14,290**	**18,851**	**8,834**	**8,752**	**9,251**	**12,848**	**17,216**	**22,758**
Tax	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Min. int./pref. div./others	0	0	0	0	137	341	568	(1,452)
Net profit (reported)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
Net profit (adjusted)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
EPS (reported)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted fully-diluted)(TWD)	**7.212**	**9.323**	**4.497**	**3.795**	**4.235**	**5.896**	**7.919**	**9.389**
DPS (TWD)	**3.500**	**4.500**	**4.500**	**4.405**	**4.568**	**4.500**	**5.000**	**5.510**
EBIT	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
EBITDA	**18,086**	**23,349**	**13,626**	**15,733**	**16,325**	**21,006**	**31,121**	**41,235**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	14,290	18,851	8,834	8,752	9,251	12,848	17,216	22,758
Depreciation and amortisation	3,984	5,542	7,852	8,622	8,552	9,264	14,228	18,953
Tax paid	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Change in working capital	(4,449)	2,285	(1,385)	(1,958)	(2,465)	(2,250)	(5,500)	(1,300)
Other operational CF items	9,883	10,819	(5,205)	11,020	11,581	9,341	5,568	3,548
Cash flow from operations	**21,237**	**33,927**	**8,632**	**24,731**	**25,439**	**27,091**	**28,603**	**40,290**
Capex	(13,280)	(18,723)	(6,779)	(15,922)	(63,265)	(65,177)	(33,920)	(17,920)
Net (acquisitions)/disposals	(113)	(4,709)	(1,626)	4,357	1,183	82	0	0
Other investing CF items	(28)	(771)	46	(133)	2,372	0	0	0
Cash flow from investing	**(13,420)**	**(24,204)**	**(8,360)**	**(11,699)**	**(59,711)**	**(65,095)**	**(33,920)**	**(17,920)**
Change in debt	2,718	6,991	5,993	2,996	7,519	5,961	2,982	(5,155)
Net share issues/(repurchases)	0	0	0	17,593	0	0	0	0
Dividends paid	(5,736)	(7,375)	(7,375)	(7,375)	(8,400)	(8,453)	(9,393)	(10,351)
Other financing CF items	2,232	4,557	24	4,316	14,341	17,598	10,176	0
Cash flow from financing	**(786)**	**4,173**	**(1,359)**	**17,530**	**13,460**	**15,106**	**3,766**	**(15,506)**
Forex effect/others	(63)	575	72	291	(249)	0	0	0
Change in cash	**6,968**	**14,471**	**(1,015)**	**30,853**	**(21,060)**	**(22,899)**	**(1,551)**	**6,864**
Free cash flow	7,958	15,203	1,852	8,809	(37,826)	(38,086)	(5,317)	22,370

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	20,173	34,843	38,050	66,749	41,716	18,736	17,185	24,049
Inventory	4,030	5,880	5,672	6,221	6,937	6,937	10,437	9,937
Accounts receivable	9,452	4,962	5,523	6,235	6,748	8,948	11,948	13,948
Other current assets	533	570	834	7,007	11,496	10,000	10,000	11,000
Total current assets	**34,188**	**46,255**	**50,079**	**86,211**	**66,897**	**44,621**	**49,570**	**58,934**
Fixed assets	23,541	38,504	36,604	44,141	113,869	156,754	166,580	157,390
Goodwill & intangibles	3,361	6,382	6,771	10,905	10,282	7,000	7,500	8,000
Other non-current assets	4,458	9,798	8,997	7,448	9,420	9,420	9,420	9,420
Total assets	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
Short-term debt	0	0	0	0	10,520	9,039	17,176	16,042
Accounts payable	1,437	1,376	972	1,416	1,724	1,674	2,674	2,874
Other current liabilities	13,539	19,717	19,135	19,959	39,361	37,828	36,619	31,986
Total current liabilities	**14,976**	**21,093**	**20,107**	**21,375**	**51,604**	**48,541**	**56,469**	**50,902**
Long-term debt	4,993	11,987	17,983	20,984	15,990	23,432	18,277	14,256
Other non-current liabilities	10,413	22,509	18,646	37,679	49,285	49,285	49,285	49,285
Total liabilities	**30,382**	**55,589**	**56,737**	**80,039**	**116,879**	**121,258**	**124,031**	**114,443**
Share capital	16,390	16,390	16,390	18,666	18,671	18,783	18,783	18,783
Reserves/R.E./others	18,776	28,961	29,323	45,438	45,206	49,042	56,544	61,806
Shareholders' equity	**35,165**	**45,351**	**45,713**	**64,104**	**63,877**	**67,825**	**75,327**	**80,589**
Minority interests	0	0	0	4,563	19,713	28,713	33,713	38,713
Total equity & liabilities	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
EV	341,705	334,029	336,818	315,682	361,390	399,332	408,866	401,846
Net debt/(cash)	**(15,180)**	**(22,855)**	**(20,066)**	**(45,765)**	**(15,207)**	**13,735**	**18,268**	**6,249**
BVPS (TWD)	**21.456**	**27.670**	**27.891**	**34.342**	**34.212**	**36.109**	**40.103**	**42.904**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	32.7	17.6	(26.0)	15.1	10.3	18.3	33.3	23.9
EBITDA (YoY)	65.7	29.1	(41.6)	15.5	3.8	28.7	48.2	32.5
Operating profit (YoY)	90.1	26.3	(67.6)	23.2	9.3	51.1	43.9	31.9
Net profit (YoY)	87.4	29.3	(51.8)	(4.4)	12.2	40.1	34.3	18.6
Core EPS (fully-diluted) (YoY)	87.4	29.3	(51.8)	(15.6)	11.6	39.2	34.3	18.6
Gross-profit margin	43.6	46.3	27.3	27.1	28.1	32.4	33.3	34.4
EBITDA margin	41.2	45.2	35.6	35.7	33.6	36.5	40.6	43.4
Operating-profit margin	32.1	34.4	15.1	16.1	16.0	20.4	22.0	23.5
Net profit margin	26.9	29.6	19.3	16.0	16.3	19.3	19.4	18.6
ROAE	36.5	38.0	16.2	12.8	12.4	16.8	20.8	22.6
ROAA	21.6	18.4	7.2	5.6	4.5	5.3	6.6	7.6
ROCE	39.2	36.5	9.5	9.3	7.8	9.8	12.4	15.2
ROIC	60.1	68.0	20.0	23.6	14.3	11.0	11.8	14.8
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	20.3	24.3	7.8
Effective tax rate	17.3	18.9	16.6	19.5	16.0	16.4	16.9	16.1
Accounts receivable (days)	63.1	50.9	50.0	48.7	48.8	49.8	49.7	49.7
Current ratio (x)	2.3	2.2	2.5	4.0	1.3	0.9	0.9	1.2
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	91.0	62.4	48.3	100.1	119.2	106.9	84.8	69.6
Free cash flow yield	2.2	4.3	0.5	2.5	n.a.	n.a.	n.a.	6.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in December 1994 and listed in March 1998, Vanguard International Semiconductor Corp. (VIS) successfully transformed its business model from memory to a complementary metal-oxide-semiconductor (CMOS) logic foundry focused on specialty technologies such as mixed-signal, power analog and embedded memory, becoming one of the world's leading specialty foundries. Leveraging its strategic relationship with major shareholder TSMC, VIS operates wafer fabs in Taiwan and Singapore, serving a wide variety of customers, including fabless chipmakers and IDMs globally.

Fast ramp to capture AI ripple effect

Initiating on VIS with an Outperform (2) rating and 12M TP of TWD210

We initiate coverage of VIS with an Outperform (2) rating and 12M TP of TWD210. Founded in December 1994, headquartered in Hsinchu Science Park and listed in March 1998 (see Appendix 1 for more details on the company), VIS looks set to enjoy fully loaded operations (in terms of wafer-in) through 2027, with sustained pricing power, thanks to the ripple effect of AI demand scaling from compute to connectivity and power, further augmented by TSMC's fab optimisation.

Given its longstanding ties with TSMC, which currently holds a c.19% stake in VIS and has strategically helped it advance its business transformation by moving up value verticals of specialty-foundry offerings to differentiate itself in the competitive specialty foundry market, VIS looks set to benefit from this multi-year AI scaling, among peers. The fast expansion of its first 12" fab in Singapore should help cement the AI business and capitalise on what we observe as a paradigm shift in the foundry industry, as mentioned in the main section of this report.

Fully loaded operations on AI ripple effect

Despite suffering from the post-COVID inventory correction …

Like many other semiconductor foundries, VIS enjoyed unusual pricing power during the COVID period as the virus, together with geopolitical tensions between China and the US, inflated chip demand across virtually all product applications to an unprecedented level. Consequently, the industry suffered from an unprecedented 2-year downturn on a prolonged inventory correction, if excluding the AI build that has helped rescue the advanced foundry segment, save the village (ie, the chip industry) and bring the global chip cycle back on its historical track of an average of a one-year downturn. This downturn caused choppy operations for many second-tier foundries which focused initially on the non-AI space over 2022-25, including VIS (see our series of Technology Outlook reports: 2023: *V-shape, U-shape or double dip?*, 2024: *The dragon is ready to soar,* 2025: *likely longer and stronger*).

… VIS has benefitted from AI scaling and is further …

Starting from 2H25, after the AI builds scaled out and across from compute into memory to connectivity and power, creating a ripple effect in demand that benefits not only advanced but also specialty foundries, we expect VIS's wafer loadings to approach full levels through 2027 (in terms of wafer-in), despite its fast 12" expansion. With its parent company TSMC's strategic partnership, VIS stands at a strong position to benefit from this multi-year AI scaling, in our view. To maximise the AI business potential, VIS is accelerating its first 12" fab in Singapore via a JV named VisionPower Semiconductor Manufacturing Corp (VSMC), with phase-one investment of USD6.8bn where, in terms of registered capital of USD4bn, VIS assumes USD2.4bn for a 60% stake, while NXP assumes USD1.6bn for a 40% stake.

In terms of the total investment on a cash basis, VIS will chip in only USD1.0bn, with USD2.8bn coming from NXP and USD1.1bn from TSMC with some equipment consignment, while the rest will come from other customer prepayments, loans and a subsidy from the Singapore government. Upon VSMC's completion, this will bring VIS a total of 6 fabs, with combined capacity reaching up to c.380,000 8"-equivalent wafers per month (wpm) by end-2028, based on our forecasts (see table on next page for details of our key business assumptions).

VIS: key business assumptions and cost analysis

('000 wpm*)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Capacity												
Fab 1 (8")	77	80	80	80	78	80	80	80	78	80	80	80
Fab 2 (8")	67	70	70	70	68	70	70	70	68	70	70	70
Fab 3 (8")	48	50	50	50	48	50	50	50	48	50	50	50
Fab VS1 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab 5 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab VSMC (12")	0	0	0	0	2	10	18	20	22	30	40	44
Total capacity (8" equ)	268	280	280	280	278	303	320	325	322	348	369	379
Shipment												
Quarterly shipment (8" equ)	642	713	734	749	757	855	940	940	931	1,043	1,095	1,040
Capacity utilisation**	80%	85%	87%	89%	91%	94%	98%	96%	96%	100%	99%	91%
Blended ASP (USD)	618	632	645	649	650	685	697	704	704	719	739	726
Revenue												
Revenue (USDm)	397	451	474	486	492	586	656	662	655	750	809	755
Revenue (TWDm)	12,532	14,245	15,160	15,558	15,737	18,753	20,983	21,189	20,975	24,003	25,876	24,164
Mix by node												
0.5u+	12%	12%	12%	12%	12%	11%	11%	11%	11%	11%	10%	10%
0.35u	13%	12%	12%	12%	12%	11%	11%	10%	11%	10%	9%	9%
0.25u	15%	16%	16%	16%	16%	14%	12%	12%	12%	11%	10%	10%
0.18/0.15u	15%	15%	15%	15%	15%	14%	13%	12%	12%	11%	10%	10%
0.13/0.11u	45%	46%	45%	44%	45%	41%	38%	37%	36%	33%	30%	30%
<=90nm	0%	0%	0%	0%	0%	9%	15%	18%	18%	25%	32%	32%
Cost structure												
Direct materials	1,724	1,916	1,998	2,037	2,058	2,325	2,558	2,558	2,532	2,836	2,978	2,829
Direct labour	1,136	1,240	1,293	1,318	1,332	1,505	1,655	1,655	1,639	1,835	1,927	1,831
Depreciation & amortisation	2,192	2,227	2,340	2,505	2,600	3,300	4,000	4,328	4,400	4,600	5,000	4,953
Other overheads	3,810	4,258	4,418	4,482	4,600	5,198	5,718	5,718	5,661	6,340	6,657	6,324
Total COGS (TWDm)	8,861	9,640	10,048	10,344	10,589	12,328	13,931	14,259	14,231	15,611	16,562	15,937
Mix by element												
Direct materials	19%	20%	20%	20%	19%	19%	18%	18%	18%	18%	18%	18%
Direct labour	13%	13%	13%	13%	13%	12%	12%	12%	12%	12%	12%	11%
Depreciation & amortisation	25%	23%	23%	24%	25%	27%	29%	30%	31%	29%	30%	31%
Other overheads	43%	44%	44%	43%	43%	42%	41%	40%	40%	41%	40%	40%
Gross profit (TWDm)	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	6,743	8,391	9,314	8,227
Gross margin	29%	32%	34%	34%	33%	34%	34%	33%	32%	35%	36%	34%

Source: Company, Daiwa estimates and forecasts
*Note: * wpm = wafers per month on average; ** based on shipment divided by installed capacity, not wafer-in*

Fast expansion to capture the paradigm shift

… speeding up its 12" expansion to maximise the AI potential

On top of the AI scaling creating a ripple effect for demand spillover, such strength looks to be further augmented by TSMC's fab optimisation, as assessed in the main section of this report. To capitalise on the likely paradigm shift in the specialty foundry segment by TSMC's fab optimisation, VIS is pulling in its first 12" fab construction around half a year ahead of schedule, aiming to start mass production from 1Q27 after it hosted an opening ceremony on 28 September.

Registered under VSMC, we expect this fab to reach its first-phase designed capacity of 44,000 wpm by end-2028, subject to market dynamics. c.30% of the fab's capacity will be dedicated to TSMC's wafer production of silicon interposers handling chip-on-wafer-on-substrate (CoWoS) advanced packaging, which has seen meaningful supply constraint due to strong AI high-performance compute (HPC) demand. The rest of the capacity is for other customers' power semiconductors (such as mixed-signal, analog and PMIC) and embedded flash, focusing on AI scaling and automotive and industrial (A&I) applications.

VIS could speed up phase-two 12" expansion under TSMC's continued effort of fab optimisation

Despite the 12" expansion pull-in, we do not expect the ramp to dwarf capacity utilisations since all the planned capacity is already sold out, thanks to the long-term agreements (LTA) signed with customers amid the supply constraints, which should help VIS manage surging depreciation and minimise margin dilution for financial resilience. Although this 12" fab has little to do with TSMC's 28/22/20nm fab optimisation addressed in the main section, since it covers only process nodes ranging from 0.13u to 40nm and thus enjoys only the 65/55nm wafer interposer spillover from TSMC, on our market research, we see possibilities for TSMC to shut down more legacy 12" fabs in the future. We believe this may incentivise VIS to speed up its second 12" fab construction in Singapore, namely the phase-two, or VSMC Fab 2, for 40,000-50,000 wpm capacity beyond 2028 and is scalable to 28nm-and-below and even the finFET (FF) process nodes.

Financial forecasts

In the near term, we expect VIS to enjoy counter-seasonal quarters through 2027, thanks to the ripple effect of AI scaling on wafer loadings and pricing power. We estimate that VIS earned 3Q26 EPS of TWD1.57, in line with the Bloomberg consensus estimate. For 4Q26, we are behind consensus since 1) we expect a diminished effect of price hikes after our estimated 2-3% QoQ EPS increases in 3Q26; and 2) we do not expect the 12" contribution to ramp that soon. In the long term, we forecast VIS to deliver a revenue CAGR of nearly 30% over 2026-28 for an EPS CAGR of 26%.

Revenue and customers

77% of revenue was from PMIC in 2Q26, with customers across Taiwan, China, Japan, Europe, and the US

As of 2Q26, power management IC (PMIC) accounted for the majority of revenue (77%; see chart on next page), on a rising trend from 40% a decade ago thanks to the co-efforts between VIS and TSMC strategically transforming the former's business up the value verticals from logic commodity display drivers (D/D) for consumer electronics devices to power discrete, analog, and PMIC for not only consumer but A&I applications. Riding on the escalating trend of demand for advanced high-V PMIC accommodating AI servers and power infrastructure under the AI cycle, we expect the PMIC revenue contribution to rise further over our forecast period, while the D/D contribution will drop to c.10%-plus for base-line customer demand support.

As of 2Q26, VIS found 16%, 16%, and 46% of revenue from major process nodes of 0.25u, 0.18u, and 0.13u-and-below, respectively, on our estimates. Since the VSMC fab will focus on 0.13u all the way to 40nm, and TSMC's wafer interposers will take c.30% of the capacity ramp on our estimates focusing on 65/55nm, we expect the 0.13u-and-below to increase to more than 60% of revenue over our forecast period. Both the PMIC and node advances should be blended ASP and margin accretive, helping mitigate the depreciation burden associated with the VSMC fab ramp. Illustrated in a chart on the next page, we expect VIS's blended ASP to trend upward from c.USD630 in 2Q26, rising by 1-5% QoQ through our forecast period to exceed USD700 by 2028.

High variety of customer base across D/D and PMIC

VIS services a high variety of customers around the world, including most fabless chipmakers in Taiwan and mainland China focusing on the D/D, power MOSFET and PMIC, and most integrated device manufacturers (IDM) across Japan, Europe and the US focusing on power semiconductor foundry works.

VIS: 3Q26 results preview and 4Q26 business outlook

			3Q26E			4Q26E
(in TWDm)	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	15,160	15,369	-1%	15,558	16,302	-5%
Gross profit	5,112			5,214		
Operating profit	3,369			3,386		
Pretax profit	3,569			3,529		
Net profit	2,944	2,983	-1%	2,911	3,255	-11%
Adjusted EPS (TWD)	1.57	1.59	-1%	1.55	1.73	-11%
Margins						
Gross	33.7%			33.5%		
Operating	22.2%			21.8%		
Net	19.4%			18.7%		
Operation						
Shipment (12" equ. wafers) ('000 units)	734			749		
Utilisation*	87%			89%		
<=0.13u sales contribution	45%			44%		

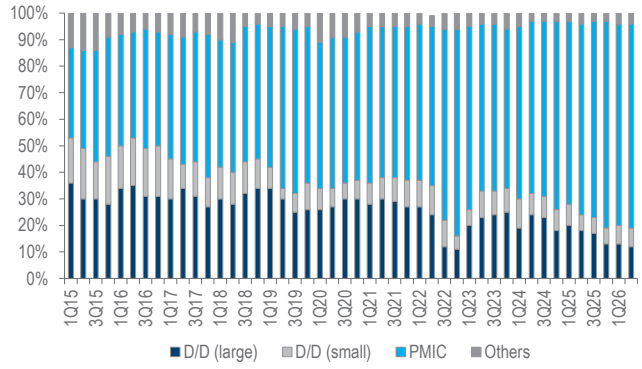
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

VIS: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (8" equ) ('000 units)	642	713	734	749	757	855	940	940	2,533	2,838	3,492	4,109
Capacity utilisation	80%	85%	87%	89%	91%	94%	98%	96%	76%	85%	95%	97%
Blended ASP (USD)	618	632	645	649	650	685	697	704	616	637	686	723
Foundry revenue (USDm)	397	451	474	486	492	586	656	662	1,560	1,807	2,396	2,969
Total revenue	**12,532**	**14,245**	**15,160**	**15,558**	**15,737**	**18,753**	**20,983**	**21,189**	**48,591**	**57,494**	**76,662**	**95,017**
COGS	-8,861	-9,640	-10,048	-10,344	-10,589	-12,328	-13,931	-14,259	-34,937	-38,893	-51,107	-62,341
Gross profit	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	13,654	18,602	25,555	32,676
Opex	-1,584	-1,704	-1,743	-1,828	-1,857	-2,082	-2,329	-2,394	-5,880	-6,859	-8,662	-10,394
Operating profit	2,087	2,901	3,369	3,386	3,291	4,343	4,723	4,536	7,773	11,742	16,893	22,282
EBITDA	4,278	5,128	5,709	5,891	5,891	7,643	8,723	8,864	16,325	21,006	31,121	41,235
Non-op gain/loss	350	412	200	143	120	118	30	35	1,477	1,106	303	521
Pretax profit	2,437	3,313	3,569	3,529	3,411	4,461	4,753	4,571	9,251	12,848	17,196	22,803
Income taxes & MI	-190	-339	-625	-618	-324	-618	-686	-692	-1,343	-1,771	-2,320	-5,167
Net profit	2,246	2,975	2,944	2,911	3,087	3,843	4,067	3,879	7,908	11,076	14,876	17,636
FD O/S (m)	1,880	1,879	1,879	1,879	1,879	1,879	1,879	1,879	1,867	1,879	1,879	1,879
FD EPS (TWD)	**1.19**	**1.58**	**1.57**	**1.55**	**1.64**	**2.05**	**2.16**	**2.06**	**4.24**	**5.90**	**7.92**	**9.39**
Margins												
Gross	29%	32%	34%	34%	33%	34%	34%	33%	28%	32%	33%	34%
Operating	17%	20%	22%	22%	21%	23%	23%	21%	16%	20%	22%	23%
EBITDA	34%	36%	38%	38%	37%	41%	42%	42%	34%	37%	41%	43%
Net	18%	21%	19%	19%	20%	20%	19%	18%	16%	19%	19%	19%
Growth (QoQ)												
Total revenue	0%	14%	6%	3%	1%	19%	12%	1%				
Gross profit	6%	25%	11%	2%	-1%	25%	10%	-2%				
Operating profit	15%	39%	16%	1%	-3%	32%	9%	-4%				
EBITDA	6%	20%	11%	3%	0%	30%	14%	2%				
Net profit	29%	32%	-1%	-1%	6%	24%	6%	-5%				
FD EPS	28%	33%	-1%	-1%	6%	24%	6%	-5%				
Growth (YoY)												
Total revenue	5%	22%	23%	24%	26%	32%	38%	36%	10%	18%	33%	24%
Gross profit	2%	40%	54%	50%	40%	40%	38%	33%	14%	36%	37%	28%
Operating profit	-7%	53%	84%	87%	58%	50%	40%	34%	9%	51%	44%	32%
EBITDA	0%	29%	41%	46%	38%	49%	53%	50%	4%	29%	48%	32%
Net profit	-7%	46%	73%	67%	37%	29%	38%	33%	12%	40%	34%	19%
FD EPS	-8%	44%	71%	66%	38%	29%	38%	33%	12%	39%	34%	19%

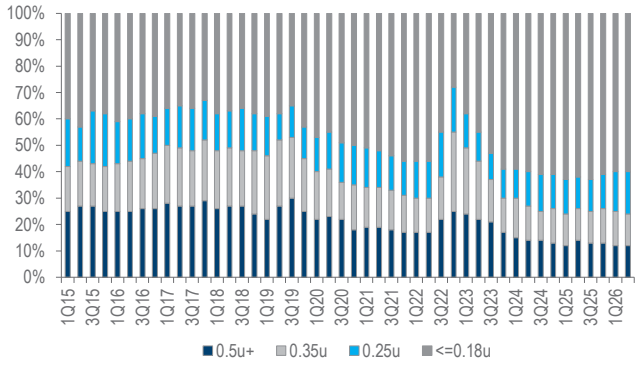
Source: Company, Daiwa estimates and forecasts

VIS: revenue mix by product*



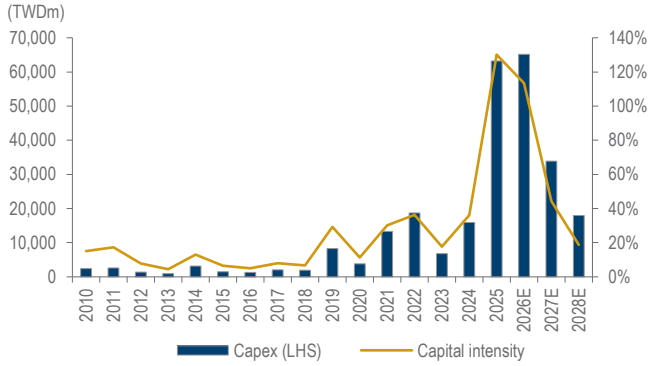
Source: Company
*Note: * D/D = display driver, PMIC = power management IC, others include LED driver, embedded memory, CMOS image sensor, etc.*

VIS: revenue mix by process node*



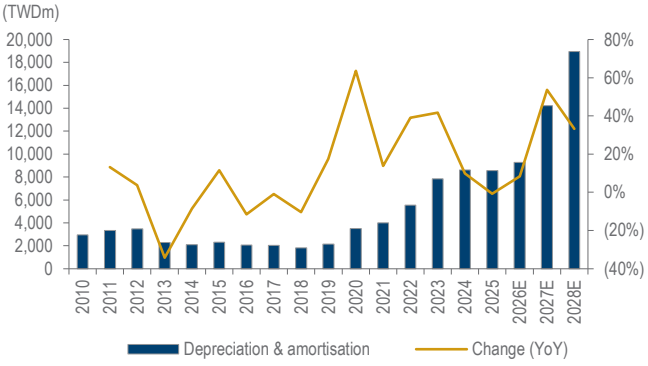
Source: Company
*Note: * <=0.18u including 0.18u, 0.15u, 0.13u and 0.11u*

VIS: capex and capital intensity trend*



Source: Company, Daiwa forecasts
*Note: * Capital intensity = capex divided by revenue*

VIS: depreciation and amortisation trend



Source: Company, Daiwa forecasts

Cost analysis

We forecast GM to stall at 32-34% over 2Q26-1Q28 and then pick up afterwards

Over the past decades, VIS's cost structure has fluctuated in fixed overheads (mainly D&A) from time to time, depending on its fab acquisitions, varying from 10% to 30% of COGS (refer back to the key assumption table). Given VSMC is about to ramp in production with a total capex of USD6.8bn for phase one, or roughly 2x VIS's 2025-26E aggregate revenue, we expect the D&A portion to return to the 30% level over our forecast period, acting as a margin dilutor. Yet with VIS's capex budget of TWD60-70bn (c.USD2bn) this year, we expect the capex to largely subside from 2027 for the depreciation cycle to peak in 2029. As a result, we forecast its D&A in absolute terms to rise by 54% YoY in 2027 to TWD14bn and 33% YoY in 2028 to nearly TWD19bn, with gross margin (GM) stalling at 32-34% over 2Q26-1Q28, then picking up to 35% or higher in 2H28 and likely rising further after the depreciation comes off the cycle into 2029.

Minority interest

We forecast MI expense to begin to dilute parent income from 2Q28

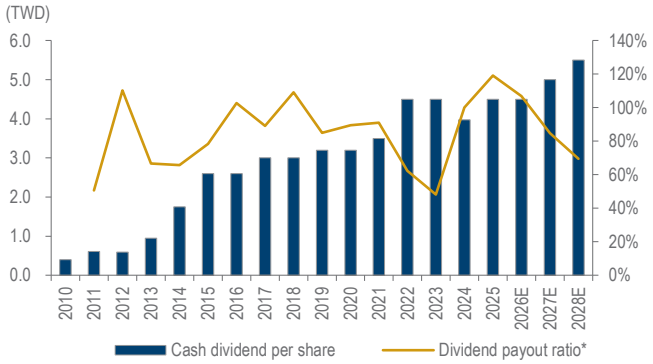
Minority interest (MI), or non-controlling interest as stated by VIS, kicked in from 1Q25 and rose to 2.4% of pretax income in 2Q26 due to preparation for the VSMC investment. We forecast the MI to rise to TWD341m this year (TWD137m in 2025), TWD568m in 2027 and TWD1.45bn in 2028, mainly from the 40% MI owned by NXP as VIS ramps the 12" fab investment in Singapore. As illustrated in a table below, we forecast VSMC to record revenue of nearly TWD9bn in 2027 and TWD26bn in 2028 for operating loss of TWD1.4bn and operating profit of TWD3.6bn, respectively, on the basis of a standalone operating entity.

Dividend policy

We expect c.80% payout ratio subject to capex requirement

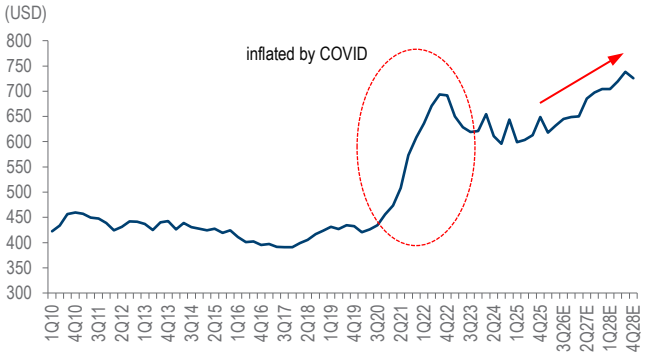
Over the past decade, VIS has stepped up its dividend payout ratios from 50% in 2011 to more than 100% this year. We expect the company to keep the ratios at c.80% over our forecast period, subject to the AI development which should determine the capex requirement for the VSMC investment, affecting its FCF generating power. VIS paid a TWD4.5/share cash dividend this year (against last year's earnings), and we forecast it to pay TWD5.0/share for 2027 with a payout ratio of 85% against this year's earnings for a 2.7% yield based on the closing price as of 5 October.

VIS: dividend trend and payout ratio*



Source: Company, Daiwa estimates and forecasts
*Note: * against previous year's P&L*

VIS: quarterly ASP trend*



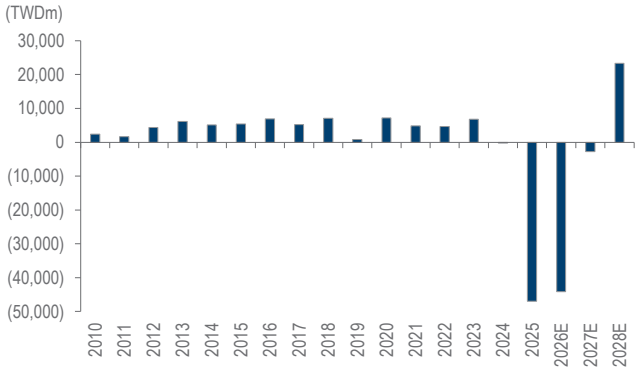
Source: Daiwa estimates and forecasts
*Note: * Blended basis in 8" equivalent*

VSMC: standalone P&L at core operation

	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Wafer shipments (8" equ) ('000 units)	2	55	100	120	121	188	255	245
Blended ASP (USD; 8" equ)	1,000	1,000	1,000	1,000	1,000	1,000	1,000	980
Revenue (USDm)	2	55	100	120	121	188	255	240
Revenue (TWDm)	50	1,758	3,213	3,853	3,872	6,007	8,156	7,687
COGS (TWDm)	(497)	(1,540)	(2,820)	(3,373)	(3,518)	(4,702)	(5,699)	(5,725)
Opex (TWDm)	(450)	(457)	(578)	(578)	(581)	(601)	(652)	(615)
Operating profit (TWDm)	(896)	(239)	(185)	(98)	(226)	704	1,804	1,347
MI against parent P&L (TWDm)	(359)	(96)	(74)	(39)	(91)	282	722	539
MI as % of VIS's pre-tax profit	11%	2%	2%	1%	2%	-5%	-11%	-10%

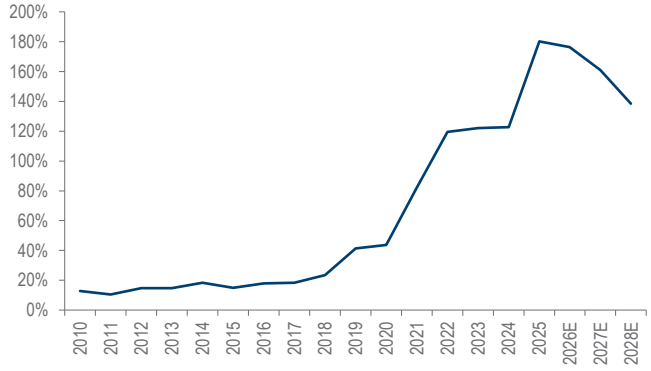
Source: Daiwa estimates and forecasts

VIS: free cashflow trend



Source: Company, Daiwa forecasts

VIS: debt-to-equity ratio



Source: Company, Daiwa forecasts

Cashflow and gearing

Given its hefty capex over 2025-27E, we expect VIS's free cashflow (FCF) to turn negative during the same period. Foreseeing the cash gap, VIS issued new shares of 228m in 2024 for a 12% per-share dilution and collected TWD17.6bn. It further issued ECBs in February this year to collect nearly TWD11bn; therefore, we forecast its debt-to-equity (D/E) ratio to approach 170% in 2026. Yet with the VSMC ramp in profitability for operating cash inflow, we forecast the FCF to turn positive in 2028, helping lower the gearing to c.140%.

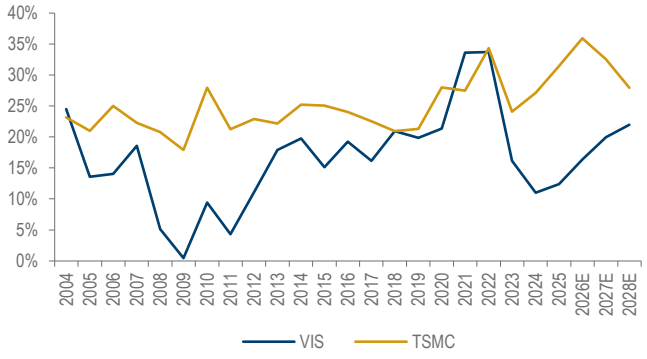
Valuation and risk

We set our 12M TP for VIS at TWD210, based on an ROE-adjusted PBR target of 5.2x

We employ an ROE-adjusted PBR methodology to value the foundry stocks under our coverage, where we compare a foundry's projected ROE with its historical ROE average, work out a premium or discount, and apply it to the foundry's historical average PBR for our ROE-adjusted PBR target. Given TSMC is VIS's strategic partner, we tweak our methodology a bit by anchoring VIS's ROE-adjusted PBR to TSMC's, where we compare their long-term ROE projections (2004-28E), work out a discount of 33% and then apply the discount to our 7.7x target PBR for TSMC, resulting in our target PBR of 5.2x and 12M TP of TWD210 for VIS on our one-year forward BVPS forecast.

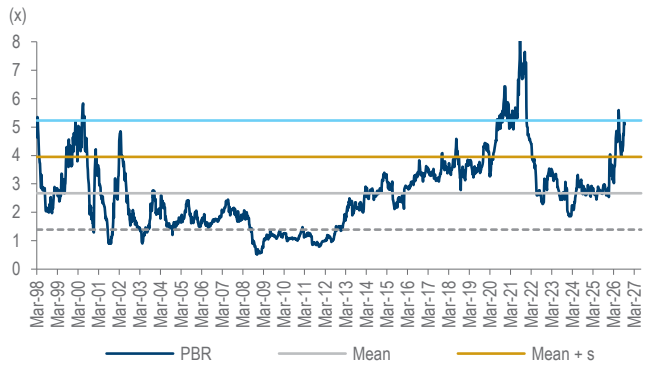
Key downside risks to our call would be: 1) the current chip upcycle ends earlier than expected; and 2) VSMC's 12" fab ramp/execution comes in below expectation.

ROE comparison: VIS vs. TSMC



Source: Company, Daiwa forecasts

VIS: PBR trend



Source: Company, TEJ, Daiwa forecasts

Asian foundry: valuation panel

Stock	Ticker	Price (LC)*	Daiwa rating	PER (x)			PBR (x)			ROE (%)			Earnings growth (%)		
				2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
TSMC	2330 TT	2,585.0	Buy (1)	39.0	23.6	19.2	12.4	8.5	6.3	35.4	42.8	37.6	46.4	65.5	22.9
HHGrace	1347 HK	105.3	Buy (1)	n.m.	126.5	87.2	3.5	3.4	3.3	0.9	2.7	3.9	-5.6	235.5	45.2
VIS	**5347 TT**	190.0	Outperform (2)	44.9	32.2	24.0	5.6	5.3	4.7	12.4	16.8	20.8	12.2	40.1	34.3
UMC	2303 TT	148.5	Hold (3)	44.8	20.6	20.9	4.9	4.8	4.4	11.0	23.6	21.8	-11.6	117.7	-1.7
SMIC	981 HK	60.90	Sell (5)	75.5	44.4	38.1	1.8	1.7	1.6	4.0	6.6	7.1	115.3	71.9	16.6
GlobalFoundries	GFS US	48.07	Not rated	21.9	24.6	18.6	1.6	2.2	2.0	7.8	8.3	10.9	10.3	13.5	32.8
Average				45.2	45.3	34.7	5.0	4.3	3.8	11.9	16.8	16.9	26.2	89.7	20.4

Source: Companies, Bloomberg, Daiwa forecasts
*Note: * Local currency based on closing prices as of 7 October 2026*

Appendix: company profile

Commanding 1.1% market share, VIS is a leading specialty foundry in the world

Founded in December 1994 with headquarters located in Hsinchu Science Park and shares listed in March 1998, Vanguard International Semiconductor (VIS) is a leading specialty foundry in the world focusing on mix signal, power semiconductor and embedded memory chip manufacturing for value-added differentiation against competition in the mature foundry market. With strategic help from its parent company TSMC on business transformation and technology transfer, VIS commanded a 1.1% share in the global foundry market by 2025 revenue on our estimates (total size c.USD140bn), or nearly 4% in the global mature foundry market (ex-TSMC as a proxy), behind SMIC, UMC, GlobalFoundries (GF) and Huahong Grace Semiconductor (HHGrace; see chart on the next page). Note: our foundry market calculation is for dedicated foundry works only, different from TSMC's revised definition of the Foundry 2.0 that includes not only the dedicated foundry but packaging, testing and other non-memory semiconductor manufacturing services.

The foundry market

We expect VIS to outgrow the global foundry market (ex-TSMC) over 2026-28

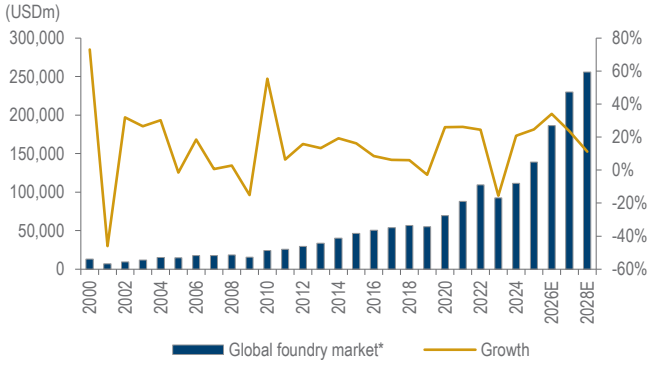
Ever since TSMC's founder innovated the semiconductor foundry service model, the foundry market has been in operation for more than 3 decades. Thanks to a rise in the global AI buildout, the global foundry revenue, after a dip in 2023 on the post-COVID inventory correction, recovered by more than 20% YoY pa over 2024-25. We forecast the growth to accelerate to more than 30% YoY this year, with revenue reaching USD186bn and exceeding USD255bn in 2028 for a robust 23% CAGR over 2025-28. If excluding TSMC, we forecast the market to grow by 14% YoY this year and approach USD60bn in 2028 for a CAGR of 13%, where we expect VIS to outgrow the market growth over our forecast period as illustrated in a chart below, thanks to its fast capacity expansion to capitalise on the AI scaling and paradigm shift in the specialty foundry segment.

Operation and customer

VIS has 5 fabs in operations, with its first 12" fab slated for mass-production from 1Q27

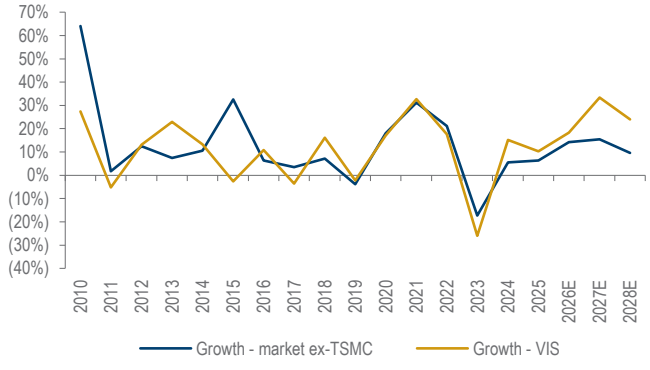
VIS currently operates 5 wafer fabs with 4 in Taiwan, including Fab 1 which commenced operations in 1994 as a memory setup and then converted to mixed signal, power metal oxide semiconductor field effect transistor (MOSFET) and logic foundry fab; Fab 2 which was acquired in 2007 from Winbond; Fab 3 which was acquired from Nanya Tech in 2014; and Fab 5 which was acquired from AUO in 2021, plus 1 in Singapore, Fab VS1, acquired from GF in 2019 and previously named 3E. The 5 fabs currently operate a total of 280,000 wpm capacity all in 8" wafer size, in which the Fab VS1 and 5 are scalable for an extra 10,000 wpm capacity each, though VIS doesn't seem to be keen in exercising the scalability since VSMC apparently is the focus for expansion. Following its opening ceremony on 28 September this year, VIS's first 12" fab via VSMC is slated for mass-production from 1Q27, aimed to bring up total capacity to c.380,000 wpm in 8" equivalent wafer by end-2028.

Global foundry market forecasts



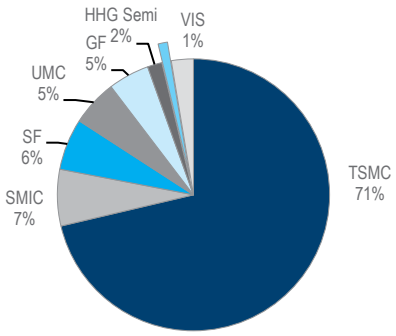
Source: Company, Daiwa estimates and forecasts
*Note: * Dedicated foundries only, not TSMC's definition of the Foundry 2.0*

Revenue growth: VIS vs. foundry market ex-TSMC*



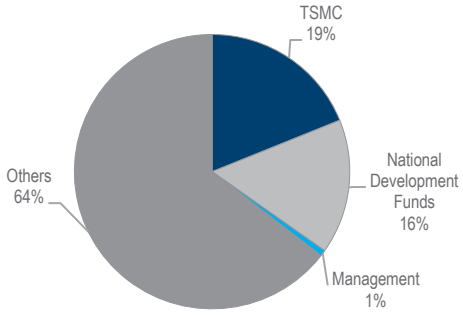
Source: Company, Daiwa estimates and forecasts
*Note: * As a proxy of the mature foundry market*

2025 global foundry market share*



Source: Company, Daiwa estimates
*Note: * GF = GlobalFoundries, SF = Samsung Foundry*

VIS: major shareholder structure



Source: Bloomberg

VIS covers a variety of fabless and IDM customers across Taiwan, China, Japan, Europe and the US

VIS doesn't disclose its key customers due to confidentiality issues, but we believe its key customers cover most of the fabless chipmakers in Taiwan and mainland China focusing on display driver (D/D), power MOSFET and power management IC (PMIC), as well as integrated device manufacturers (IDM) across Japan, Europe and the US. According to our industry survey, key D/D vendors in the greater China region are Novatek (3034 TT, TWD529, Hold [3]), Himax (HIMX US, not rated), Raydium (3592 TT, not rated), Ilitek (6962 TT, not rated), Sitronix Technology (8016 TT, not rated), FocalTech (3545 TT, not rated), Chipone Technology (not listed), OmniVision (603501 CH, CNY82.21, Hold [3]) and GalaxyCore (688728 CH, not rated), while key power semiconductor vendors in the world include Qualcomm (QCOM US, USD177.12, Outperform [2]; covered by Louis Miscioscia), Renesas (6723 JP, JPY3,924, Outperform [2]; covered by Junji Okawa), Monolithic Power Systems (MPS; MPWR US, not rated), NXP (NXPI US, not rated), STMicro (STM US, not rated), Infineon (IFX GR, not rated), Microchip (MCHP US, not rated), TI (TXN US, not rated), MediaTek (2454 TT, TWD4,835, Buy [1], via Richtek), Global Mixed-mode Technology (GMT; 8081 TT, not rated) and Niko Semiconductor (3317 TT, not rated).

Shareholder structure

Major shareholders are TSMC and Taiwan government

VIS's major shareholders were TSMC and the Taiwan government's Development Funds, with c.19% and c.16% of holdings, respectively, as of August 2026 under total share outstanding of 1.88bn. With management in aggregate holding an insignificant stake and the rest being held by institutional investors (QFII holding was 32.7% as of 5 October), we estimate a healthy free float of more than 60% for the stock, with decent cap of c.USD11bn and 3-month daily turnover of more than USD100m.

TSMC reduced its holding in VIS this year by 8pp, raising investor concerns on whether the move would jeopardise the former's strategic support to the latter. We see no direct link between the stake reduction and strategic support, and believe TSMC will continue the support, evidenced by its licence of gallium-nitride (GaN) and interposer technologies and equipment consignment to VSMC.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	VIS's board of directors (BoD) consists of 9 members, including 5 independent directors, representing 56% of the total board seats. The board comprises members with diverse backgrounds in business management, finance, industry, and academia, providing a broad range of expertise and perspectives. We believe the majority-independent board structure and the directors' collective experience in leadership, corporate governance, industry expertise, financial management, risk management, and sustainability strengthen the effectiveness of the BoD and support VIS's long-term growth and corporate governance practices.
	Capital management	1	VIS pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for VIS.
S	Supply chain management	1	VIS has established a comprehensive sustainable supply chain management framework to ensure suppliers comply with its sustainability requirements covering environmental protection, labor and human rights, occupational health and safety, business ethics, and responsible sourcing. The company requires suppliers to adhere to its "VIS Supplier Code of Conduct" and "Corporate Sustainability Policy", and conducts supplier sustainability assessments and audits as part of its supplier management process. We believe these efforts strengthen VIS's supply chain resilience and help mitigate supply chain risks.
E	Water & wastewater management	2	VIS is committed to improving water efficiency and sustainable water management. In 2022, the company implemented the ISO 46001 Water Efficiency Management System to analyze water consumption patterns, identify significant water-use equipment, evaluate water-saving opportunities, and establish improvement measures. VIS also provides annual water management training at its Taiwan facilities to promote continuous improvement in water-use efficiency. We believe these efforts demonstrate the company's commitment to responsible water stewardship and help reduce operational risks associated with water resources.
E	Waste & hazardous materials management	1	VIS adopts a comprehensive resource management approach to waste management and has established waste management procedures in accordance with ISO 14001 standards. Through dedicated waste management personnel and regular employee training, the company promotes effective waste reduction, classification, collection, storage, and treatment practices across its operations.
E	GHG emissions	1	VIS adopts a source-segregation and multi-stage treatment approach, supported by high-efficiency air pollution control systems, to effectively manage VOC and acidic/alkaline gas emissions from semiconductor manufacturing processes. The company's emission levels remain well below regulatory limits, reflecting its commitment to environmental compliance and sustainable operations.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

Daiwa's Asia Pacific Research Directory

HONG KONG

Hiroyuki GOTO	(852) 2773 8870	hiroyuki.goto@hk.daiwacm.com
Regional Head of Equity, Asia & Oceania; Regional Head of Asia Pacific Research		
John HETHERINGTON	(852) 2773 8787	john.hetherington@hk.daiwacm.com
Co-Head of Asia Pacific Research and Head of Research Publications		
Li XIONG	(852) 2773 8878	li.xiong@hk.daiwacm.com
Strategy (Hong Kong/China)		
Kelvin LAU	(852) 2848 4467	kelvin.lau@hk.daiwacm.com
Regional Head of Automobiles, Industrials and Transportation		
Evelyn ZHANG	(852) 2848 4970	evelyn.zhang@hk.daiwacm.com
Automobiles and Components (Hong Kong/China)		
Carol XIA	(852) 2532 4349	carol.xia@hk.daiwacm.com
Head of China Consumer; Consumer (Hong Kong/China)		
Steven NIE	(852) 2848 4464	steven.nie@hk.daiwacm.com
Consumer (Hong Kong/China); Global Cryptocurrency		
Siman CHEN	(852) 2532 4350	siman.chen@hk.daiwacm.com
Consumer (Hong Kong/China)		
Jing YANG	(852) 2532 4308	jing.yang@hk.daiwacm.com
Head of China Healthcare		
John CHOI	(852) 2773 8730	john.choi@hk.daiwacm.com
Head of China Internet; Regional Head of Emerging Opportunities		
Lily LIU	(852) 2848 4435	lily.liu@hk.daiwacm.com
Internet (Hong Kong/China)		
Dennis IP	(852) 2848 4068	dennis.ip@hk.daiwacm.com
Head of Asia ex-Japan Power, Utilities, Renewables & ESS (PURE) Research; US & China Power Equipment (Gas, Nuclear, Solar, Grid, Battery & Rare Earth Materials); Tech Hardware – AIDC Power, PCB, Optical Fiber (China)		
Derek ZHANG	(852) 2532 4341	derek.zhang@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – Gas & Gas Equipment, Rare Earth Materials (China), Utilities (Hong Kong), Power Equipment (US)		
Marco ZENG	(852) 2848 4430	marco.zeng@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – US Power, PCB (China)		

CHINA

Louis LUO	(86) 21 6841 3282	louis.luo@daiwacm.cn
Automobiles and Components, Industrials (China)		
William WU	(86) 21 6841 3200	william.wu@daiwacm.cn
Banking, Property (China/Hong Kong)		
Mavis MA	(86) 21 6841 3288	mavis.ma@daiwacm.cn
Battery Components; Industrials (China)		
Leo LU	(86) 21 6841 3286	leo.lu@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) – Solar, ESS, Lithium, AIDC Power (China)		
Skye LIANG	(86) 21 6841 3207	skye.liang@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) - Grid, Wind and Optical Fibre (China)		
Bintuo NI	(86) 21 6841 3228	bintuo.ni@daiwacm.cn
Tech Hardware and Semiconductors (China)		

SOUTH KOREA

Yoonki BAE	(82) 2 787 9168	yoonki.bae@kr.daiwacm.com
Automobile Components, Healthcare		
Mike OH	(82) 2 787 9179	mike.oh@kr.daiwacm.com
Banking, Capital Goods – Defence, Construction and Shipbuilding, and Utilities		
Youngho JANG	(82) 2 787 9838	youngho.jang@kr.daiwacm.com
Consumer, Healthcare		
Henny JUNG	(82) 2 787 9182	henny.jung@kr.daiwacm.com
EV Batteries and Battery Materials, IT/Electronics (Small/Mid Cap), Automobiles and Components		
Daeho SON	(82) 2 787 9176	dh.son@kr.daiwacm.com
Industrials – Robotics		
Joon LEE	(82) 2 787 9151	hj.lee@kr.daiwacm.com
Media, Software and IT Services		
Thomas Y KWON	(82) 2 787 9181	yskwon@kr.daiwacm.com
Pan-Asia Head of Internet & Telecommunications; Online Games		
SK KIM	(82) 2 787 9173	sk.kim@kr.daiwacm.com
Head of Global Memory; IT/Electronics – Semiconductors/Displays and Tech Hardware		

TAIWAN

Rick HSU	(886) 2 8758 6261	rick.hsu@daiwacm-cathay.com.tw
Head of Regional Technology; Head of Taiwan Research; Semiconductors (Regional)		
Sheng CHENG	(886) 2 8758 6253	sheng.cheng@daiwacm-cathay.com.tw
IT/Technology Hardware (Automation, Datacentre Components and PCB/CCL) (Greater China)		
Leon CHEN	(886) 2 8758 6247	leon.chen@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Stacy LIN	(886) 2 8758 6252	stacy.lin@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Helen CHIEN	(886) 2 8758 6254	helen.chien@daiwacm-cathay.com.tw
Small/Mid Cap		

Daiwa's Offices

Office / Branch / Affiliate	Address	Tel	Fax
DAIWA SECURITIES GROUP INC			
HEAD OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6753	(81) 3 5555 3111	(81) 3 5555 0661
Daiwa Securities Trust Company	One Evertrust Plaza, Jersey City, NJ 07302, U.S.A.	(1) 201 333 7300	(1) 201 333 7726
Daiwa Securities Trust and Banking (Europe) PLC (Head Office)	5 King William Street, London EC4N 7JB, United Kingdom	(44) 207 320 8000	(44) 207 410 0129
Daiwa Europe Trustees (Ireland) Ltd	Level 3, Block 5, Harcourt Centre, Harcourt Road, Dublin 2, Ireland	(353) 1 603 9900	(353) 1 478 3469
Daiwa Capital Markets America Inc. New York Head Office	1251 Avenue of the Americas, 49th Floor, New York, NY 10020	(1) 212 612 7000	(1) 212 612 7100
Daiwa Capital Markets America Inc. San Francisco Branch	1 California St, Suite 200, San Francisco, CA 94111, U.S.A.	(1) 415 955 8100	(1) 415 956 1935
Daiwa Capital Markets Europe Limited, London Head Office	5 King William Street, London EC4N 7AX, United Kingdom	(44) 20 7597 8000	(44) 20 7597 8600
Daiwa Capital Markets Deutschland GmbH	Tower 185, 26 O.G., Friedrich-Ebert-Anlage 35-37, 60327 Frankfurt am Main, Germany	(49) 69 27139 8100	(49) 69 27139 8190
Daiwa Capital Markets Europe Limited, Paris Representative Office	40 rue du Colisée, 75008 Paris, France	(33) 1 56 262 200	(33) 1 47 550 808
Daiwa Capital Markets Europe Limited, Bahrain Branch	Office 3503, 35th Floor, United Tower, Bahrain Bay, P.O. Box 30069, Manama, Bahrain	(973) 17 534 452	(973) 17 535 113
Daiwa Capital Markets Hong Kong Limited	Level 26, One Pacific Place, 88 Queensway, Hong Kong	(852) 2525 0121	(852) 2845 1621
Daiwa Capital Markets Singapore Limited	7 Straits View, Marina One East Tower, #16-05 & #16-06, Singapore 018936, Republic of Singapore	(65) 6387 8888	(65) 6282 8030
Daiwa Capital Markets Australia Limited	Level 34, Rialto North Tower, 525 Collins Street, Melbourne, Victoria 3000, Australia	(61) 3 9916 1300	(61) 3 9916 1330
Daiwa-Cathay Capital Markets Co Ltd	14/F, 200, Keelung Road, Sec 1, Taipei, Taiwan, R.O.C.	(886) 2 2723 9698	(886) 2 2345 3638
Daiwa Securities Capital Markets Korea Co., Ltd.	20 Fl.& 21Fl. One IFC, 10 Gukjegeumyung-Ro, Yeongdeungpo-gu, Seoul, Korea	(82) 2 787 9100	(82) 2 787 9191
Daiwa Securities Co. Ltd., Beijing Representative Office	Room 301/302，Kerry Center，1 Guanghua Road，Chaoyang District，Beijing 100020, People's Republic of China	(86) 10 6500 6688	(86) 10 6500 3594
Daiwa (Shanghai) Corporate Strategic Advisory Co. Ltd.	7th Floor, Hang Seng Bank Tower, 1000 Lujiazui Ring Road, Pudong, Shanghai, People's Republic of China	(86) 21 3858 2000	(86) 21 3858 2111
Daiwa Securities Co. Ltd., Bangkok Representative Office	18th Floor, M Thai Tower, All Seasons Place, 87 Wireless Road, Lumpini, Pathumwan, Bangkok 10330, Thailand	(66) 2 252 5650	(66) 2 252 5665
Daiwa Securities Co. Ltd., Hanoi Representative Office	Suite 1101, Tower 2, Capital Place Building, 29 Lieu Giai, Ba Dinh District, Hanoi, Vietnam	(84) 4 3946 0460	(84) 4 3946 0461
DAIWA INSTITUTE OF RESEARCH LTD			
HEAD OFFICE	15-6, Fuyuki, Koto-ku, Tokyo, 135-8460, Japan	(81) 3 5620 5100	(81) 3 5620 5603
MARUNOUCHI OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6756	(81) 3 5555 7011	(81) 3 5202 2021
New York Research Center	11th Floor, Financial Square, 32 Old Slip, NY, NY 10005-3504, U.S.A.	(1) 212 612 6100	(1) 212 612 8417
London Research Centre	3/F, 5 King William Street, London, EC4N 7AX, United Kingdom	(44) 207 597 8000	(44) 207 597 8550

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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Daiwa Capital Markets Hong Kong Limited

United Microelectronics (2303 TT)

Target price: **TWD145.00** (from TWD108.00)

Share price (7 Oct): **TWD148.50** | Up/downside: **-2.4%**

5 4 **3** 2 1

Hold (unchanged)

A beneficiary of the AI ripple effect, but …

- UMC looks set to benefit from AI demand spillover
- Yet we believe the AI ripple effect is being priced in
- Maintain our Hold (3) call, with a higher 12M TP of TWD145

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Sam Weng
(886) 2 8758 6255
sam.weng@daiwacm-cathay.com.tw

What's new: Given its longstanding position in the global foundry industry, ever challenging TSMC's leadership during the late 1990s, we believe UMC stands well to benefit from a ripple effect in demand spurred by AI scaling, as detailed in the main section of this report. We expect UMC's wafer loadings to reach 100% from 1Q27, with price hikes to go through (see *Price hike to go through? Still likely*, 31 July). That said, we believe the equity market has priced in this AI strength on extra volume and pricing power for UMC. Hence, we stick with our Hold (3) rating on the counter.

What's the impact: **3Q26 preview and 4Q26 outlook.** We expect UMC to report 3Q26 net profit of TWD16.4bn (+9% YoY), varying not much from the Bloomberg consensus. Its monthly revenue finished at c.TWD49bn QTD, reaching 65% of our/consensus 3Q26 estimates, which we consider tracking inline. For 4Q26, we expect UMC to earn net profit of TWD16bn, 13% below consensus, as the street seems to be assuming higher non-operating gains. UMC is scheduled to report results on 28 October; we will be offering updates in due course.

<=28nm ramp on AI scaling and fab optimisation. UMC's 28/22nm-and-below revenue contribution has hovered around the high-30% range over the past 2 years, after meaningful ramp during the COVID period on broadened demand applications from display drivers and TV SoCs to power management. With AI scaling creating a ripple effect in companion chip demand for connectivity (ie, silicon photonics) and power (ie, server PMICs), we believe UMC is well positioned to benefit from any spillover demand, with the strength augmented by TSMC's fab optimisation, which could strengthen UMC's pricing power. Given that UMC's wafer loadings are likely to reach 100% from 1Q27, we expect its price hikes to go through and model increases of 2-5%, effective from 1Q27, across nodes related to AI applications. This should resume its <=28nm ramp to exceed a half of revenue in 2028. All in, we raise our 2027-28E EPS by 22%.

What we recommend: Despite our forecast revisions, we remain comfortable with our Hold (3) rating for UMC, as we believe its AI strength is already priced in. We raise our 12M TP to TWD145 (previous: TWD108), based on our higher ROE-adjusted PBR target of 4.2x (previous: 3.3x) applied to 1-year-forward BVPS on a higher ROE trajectory. Upside/ downside risks would be any price hikes above our expectations/ geopolitical overhangs (war, FX, interest rate) weighing on end-demand.

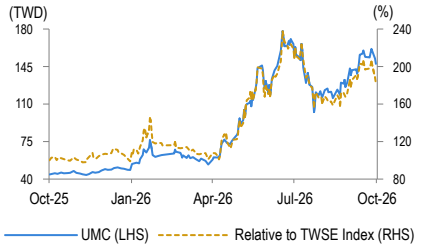
How we differ: Our 2026-28E EPS do not vary much from consensus, indicating that UMC's AI strength is already reflected in its valuation.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	0.9	7.5	7.9
Net profit change	1.5	21.9	21.6
Core EPS (FD) change	1.5	21.9	21.6

Source: Daiwa forecasts

Share price performance



12-month range	43.85-178.50
Market cap (USDbn)	58.71
3m avg daily turnover (USDm)	726.45
Shares outstanding (m)	12,577
Major shareholder	United Microelectronics Corp (5.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	281,729	358,798	393,029
Operating profit (m)	63,045	99,484	115,376
Net profit (m)	90,829	89,289	103,534
Core EPS (fully-diluted)	7.222	7.099	8.232
EPS change (%)	117.9	(1.7)	16.0
Daiwa vs Cons. EPS (%)	2.4	(1.6)	(3.5)
PER (x)	20.6	20.9	18.0
Dividend yield (%)	1.8	2.7	2.7
DPS	2.6	4.0	4.0
PBR (x)	4.8	4.4	3.9
EV/EBITDA (x)	13.8	10.1	9.1
ROE (%)	23.6	21.8	22.8

Source: FactSet, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilisation (%)	104	99	68	69	75	87	99	100
Blended ASP (USD)	774	941	994	933	876	862	914	916
Wafer shipment (8" equ., '000)	9,860	9,946	7,190	7,754	8,712	10,270	12,266	13,406

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	213,011	278,705	222,533	232,303	237,553	281,729	358,798	393,029
New Business Revenue	0	0	0	0	0	0	0	0
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**213,011**	**278,705**	**222,533**	**232,303**	**237,553**	**281,729**	**358,798**	**393,029**
Other income	0	0	0	0	0	0	0	0
COGS	(140,961)	(152,941)	(144,789)	(156,649)	(168,647)	(188,965)	(224,020)	(239,340)
SG&A	(7,429)	(8,518)	(6,569)	(8,425)	(7,233)	(10,215)	(13,024)	(14,368)
Other op.expenses	(12,935)	(12,954)	(13,284)	(15,616)	(17,725)	(19,504)	(22,271)	(23,945)
Operating profit	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
Net-interest inc./(exp.)	(1,387)	156	3,283	1,914	676	1,110	2,095	3,270
Assoc/forex/extraord./others	11,504	1,649	9,739	2,693	5,023	36,244	4,403	4,608
Pre-tax profit	**61,803**	**106,097**	**70,912**	**56,220**	**49,648**	**100,399**	**105,981**	**123,255**
Tax	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Min. int./pref. div./others	668	(820)	(450)	105	182	91	0	0
Net profit (reported)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
Net profit (adjusted)	**55,780**	**87,198**	**60,990**	**47,211**	**41,716**	**90,829**	**89,289**	**103,534**
EPS (reported)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted)(TWD)	**4.552**	**7.086**	**4.930**	**3.796**	**3.341**	**7.222**	**7.099**	**8.232**
EPS (adjusted fully-diluted)(TWD)	**4.468**	**6.973**	**4.868**	**3.759**	**3.314**	**7.222**	**7.099**	**8.232**
DPS (TWD)	**1.622**	**3.043**	**3.639**	**3.022**	**2.866**	**2.602**	**4.004**	**4.004**
EBIT	**51,686**	**104,293**	**57,891**	**51,613**	**43,949**	**63,045**	**99,484**	**115,376**
EBITDA	**98,762**	**148,462**	**98,374**	**99,780**	**103,206**	**129,845**	**173,179**	**185,068**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	61,803	106,097	70,912	56,220	49,648	100,399	105,981	123,255
Depreciation and amortisation	47,075	44,169	40,484	48,168	59,257	66,800	73,695	69,692
Tax paid	(6,691)	(18,079)	(9,472)	(9,113)	(8,113)	(9,660)	(16,692)	(19,721)
Change in working capital	(10,151)	(8,262)	916	(2,889)	1,617	(10,600)	(10,000)	(400)
Other operational CF items	(1,685)	21,935	(16,840)	1,488	(2,545)	(27,454)	(3,803)	(4,008)
Cash flow from operations	**90,352**	**145,861**	**86,000**	**93,872**	**99,864**	**119,484**	**149,182**	**168,817**
Capex	(48,035)	(80,128)	(91,474)	(88,545)	(47,744)	(63,647)	(51,200)	(52,801)
Net (acquisitions)/disposals	(14,290)	28,229	(4,678)	2,625	(7,670)	8,411	0	0
Other investing CF items	162	(2,528)	(1,635)	(21)	2,259	0	0	0
Cash flow from investing	**(62,163)**	**(54,427)**	**(97,787)**	**(85,941)**	**(53,154)**	**(55,237)**	**(51,200)**	**(52,801)**
Change in debt	18,818	(34,087)	27,377	(337)	(1,812)	(4,188)	(18,843)	(19,757)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19,871)	(37,445)	(45,015)	(37,586)	(35,784)	(32,729)	(50,353)	(50,353)
Other financing CF items	11,439	21,296	(11,840)	2,438	(3,454)	0	0	0
Cash flow from financing	**10,386**	**(50,237)**	**(29,478)**	**(35,484)**	**(41,050)**	**(36,917)**	**(69,196)**	**(70,110)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**38,574**	**41,197**	**(41,265)**	**(27,553)**	**5,660**	**27,330**	**28,786**	**45,907**
Free cash flow	42,317	65,732	(5,474)	5,327	52,120	55,837	97,982	116,016

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	171,224	178,973	145,621	115,865	129,071	147,990	176,776	222,683
Inventory	23,011	31,070	35,713	35,782	37,228	38,228	41,728	41,228
Accounts receivable	35,190	36,975	29,586	33,343	31,274	40,774	50,774	50,674
Other current assets	3,848	5,353	5,878	4,688	7,211	5,000	5,500	5,500
Total current assets	**233,273**	**252,371**	**216,797**	**189,678**	**204,783**	**231,992**	**274,778**	**320,085**
Fixed assets	129,942	170,982	237,377	277,344	271,395	247,287	231,137	220,390
Goodwill & intangibles	28,665	44,852	30,758	30,691	27,445	24,500	27,400	27,300
Other non-current assets	72,547	64,847	74,255	72,487	75,373	102,917	106,720	110,728
Total assets	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
Short-term debt	39,256	7,587	29,537	19,510	27,597	19,751	20,666	15,726
Accounts payable	8,364	8,982	7,526	7,633	9,170	9,070	12,570	11,570
Other current liabilities	57,833	91,996	61,952	48,117	50,832	73,412	81,958	92,119
Total current liabilities	**105,454**	**108,565**	**99,015**	**75,260**	**87,598**	**102,234**	**115,194**	**119,415**
Long-term debt	39,830	39,877	45,236	55,533	45,372	49,029	29,272	14,454
Other non-current liabilities	37,941	49,159	55,358	61,222	66,170	66,000	66,000	66,000
Total liabilities	**183,224**	**197,601**	**199,608**	**192,016**	**199,141**	**217,263**	**210,466**	**199,869**
Share capital	124,832	125,047	125,298	125,607	125,882	125,882	125,882	125,882
Reserves/R.E./others	156,147	210,060	233,939	252,321	253,887	263,366	303,401	352,366
Shareholders' equity	**280,980**	**335,107**	**359,238**	**377,928**	**379,768**	**389,247**	**429,283**	**478,247**
Minority interests	223	344	341	257	87	187	287	387
Total equity & liabilities	**464,427**	**533,052**	**559,187**	**570,201**	**578,996**	**606,697**	**640,036**	**678,503**
EV	1,775,767	1,736,517	1,797,175	1,827,118	1,811,667	1,788,660	1,741,130	1,675,567
Net debt/(cash)	**(92,138)**	**(131,509)**	**(70,849)**	**(40,821)**	**(56,102)**	**(79,210)**	**(126,839)**	**(192,503)**
BVPS (TWD)	**22.508**	**26.798**	**28.671**	**30.090**	**30.169**	**30.949**	**34.132**	**38.026**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	20.5	30.8	(20.2)	4.4	2.3	18.6	27.4	9.5
EBITDA (YoY)	39.3	50.3	(33.7)	1.4	3.4	25.8	33.4	6.9
Operating profit (YoY)	134.9	101.8	(44.5)	(10.8)	(14.8)	43.5	57.8	16.0
Net profit (YoY)	91.1	56.3	(30.1)	(22.6)	(11.6)	117.7	(1.7)	16.0
Core EPS (fully-diluted) (YoY)	93.7	56.0	(30.2)	(22.8)	(11.8)	117.9	(1.7)	16.0
Gross-profit margin	33.8	45.1	34.9	32.6	29.0	32.9	37.6	39.1
EBITDA margin	46.4	53.3	44.2	43.0	43.4	46.1	48.3	47.1
Operating-profit margin	24.3	37.4	26.0	22.2	18.5	22.4	27.7	29.4
Net profit margin	26.2	31.3	27.4	20.3	17.6	32.2	24.9	26.3
ROAE	21.6	28.3	17.6	12.8	11.0	23.6	21.8	22.8
ROAA	13.3	17.5	11.2	8.4	7.3	15.3	14.3	15.7
ROCE	15.7	28.1	14.2	11.6	9.7	13.8	21.2	23.3
ROIC	23.5	44.0	20.4	13.8	11.1	18.0	27.3	32.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	10.8	17.0	13.4	16.2	16.3	9.6	15.7	16.0
Accounts receivable (days)	53.5	47.3	54.6	49.4	49.6	46.7	46.6	47.1
Current ratio (x)	2.2	2.3	2.2	2.5	2.3	2.3	2.4	2.7
Net interest cover (x)	37.3	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	68.1	67.1	51.6	61.6	75.8	78.5	55.4	56.3
Free cash flow yield	2.3	3.5	n.a.	0.3	2.8	3.0	5.2	6.2

Source: FactSet, Daiwa forecasts

Company profile

Incorporated in Taiwan, United Microelectronics Corp (UMC) is one of the leading semiconductor foundries in the world and second largest in Taiwan. UMC offers a series of foundry services from photo-mask, wafer fabrication to wafer probe & test. Its wafer fabs are spread over Taiwan, China and Singapore, with technology offerings ranging from 0.25u and above, 0.18/0.15u, 0.13u, 90nm, 65nm, 45/40nm, 28/22nm to 14nm FF.

UMC: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (12" equ) ('000 units)	1,021	1,129	1,201	1,213	1,213	1,359	1,454	1,425	3,872	4,564	5,451	5,958
Capacity utilisation	80%	86%	91%	91%	92%	100%	103%	100%	75%	87%	99%	100%
Blended ASP (USD)	1,890	1,926	1,967	1,966	2,017	2,056	2,081	2,067	1,970	1,940	2,057	2,061
Total revenue	61,038	68,733	75,612	76,347	78,296	89,428	96,841	94,232	237,553	281,729	358,798	393,029
Total revenue (USDm)	**1,930**	**2,174**	**2,363**	**2,386**	**2,447**	**2,795**	**3,026**	**2,945**	**7,629**	**8,853**	**11,212**	**12,282**
COGS	-43,219	-46,410	-49,163	-50,173	-51,247	-55,577	-59,216	-57,980	-168,647	-188,965	-224,020	-239,340
Gross profit	17,818	22,323	26,449	26,174	27,049	33,852	37,625	36,252	68,906	92,764	134,778	153,690
Opex	-6,542	-7,373	-7,864	-7,940	-8,143	-8,764	-9,200	-9,188	-24,958	-29,719	-35,294	-38,313
Operating profit	11,276	14,950	18,585	18,234	18,907	25,088	28,425	27,065	43,949	63,045	99,484	115,376
EBITDA	27,263	31,188	35,485	35,909	36,607	43,288	47,125	46,160	103,206	129,845	173,179	185,068
Non-op gain/loss	5,367	30,236	900	850	900	1,420	2,135	2,043	5,699	37,354	6,498	7,878
Pre-tax profit	16,644	45,186	19,485	19,084	19,807	26,508	30,560	29,107	49,648	100,399	105,981	123,255
Income taxes	-527	-2,962	-3,118	-3,053	-3,169	-3,976	-4,890	-4,657	-8,113	-9,660	-16,692	-19,721
Net profit	16,171	42,260	16,367	16,031	16,637	22,532	25,670	24,450	41,716	90,829	89,289	103,534
FD O/S (m)	12,579	12,577	12,577	12,577	12,577	12,577	12,577	12,577	12,588	12,577	12,577	12,577
FD EPS (TWD)	**1.29**	**3.36**	**1.30**	**1.27**	**1.32**	**1.79**	**2.04**	**1.94**	**3.31**	**7.22**	**7.10**	**8.23**
Margin												
Gross	29%	32%	35%	34%	35%	38%	39%	38%	29%	33%	38%	39%
Operating	18%	22%	25%	24%	24%	28%	29%	29%	19%	22%	28%	29%
EBITDA	45%	45%	47%	47%	47%	48%	49%	49%	43%	46%	48%	47%
Net	26%	61%	22%	21%	21%	25%	27%	26%	18%	32%	25%	26%
Growth (QoQ)												
Total revenue	-1%	13%	10%	1%	3%	14%	8%	-3%				
Gross profit	-6%	25%	18%	-1%	3%	25%	11%	-4%				
Operating profit	-8%	33%	24%	-2%	4%	33%	13%	-5%				
EBITDA	-2%	14%	14%	1%	2%	18%	9%	-2%				
Net profit	61%	161%	-61%	-2%	4%	35%	14%	-5%				
FD EPS	61%	161%	-61%	-2%	4%	35%	14%	-5%				
Growth (YoY)												
Total revenue	5%	17%	28%	24%	28%	30%	28%	23%	2%	19%	27%	10%
Gross profit	15%	32%	50%	38%	52%	52%	42%	39%	-9%	35%	45%	14%
Operating profit	15%	38%	67%	49%	68%	68%	53%	48%	-15%	43%	58%	16%
EBITDA	14%	23%	36%	29%	34%	39%	33%	29%	3%	26%	33%	7%
Net profit	108%	375%	9%	59%	3%	-47%	57%	53%	-12%	118%	-2%	16%
FD EPS	108%	374%	9%	60%	3%	-47%	57%	53%	-12%	118%	-2%	16%

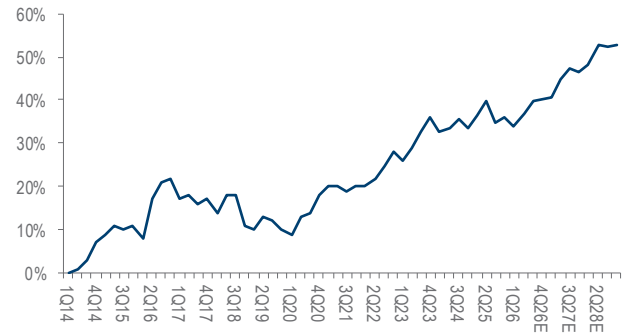
Source: Company, Daiwa estimates and forecasts

UMC: 3Q26 results preview and 4Q26 business outlook

	3Q26E			4Q26E		
TWDm	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	75,612	75,517	0%	76,347	78,272	-2%
Gross profit	26,449	26,392	0%	26,174	27,621	-5%
Operating profit	18,585			18,234		
Pretax profit	19,485			19,084		
Net profit	16,367	17,018	-4%	16,031	18,371	-13%
Adjusted EPS (TWD)	1.30	1.35	-4%	1.27	1.46	-13%
Margin						
Gross	35.0%	34.9%		34.3%	35.3%	
Operating	24.6%			23.9%		
Net	21.6%			21.0%		
Operation						
Shipments (12" equ. wafers) ('000 units)	1,201			1,213		
Utilization*	91%			91%		
<=28nm sales contribution	40%			40%		

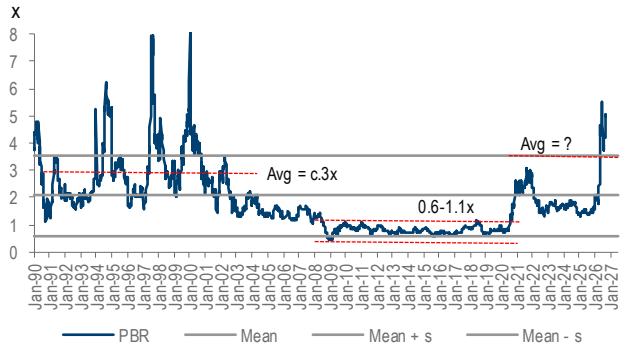
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided installed capacity*

UMC: 28/22nm-and-below revenue contribution*



Source: Company, Daiwa estimates and forecasts
*Note: * Including 14nm FF*

UMC: PBR trend



Source: Company, TEJ, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	UMC's Board of Directors consists of nine members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, six are independent directors, representing 67% of total directors in 2024. The percentage of independent directors is high relative to the regulatory requirement of at least 20% or at least 2 independent directors. Although some of UMC's executive management are also directors, UMC's Chairman and President are not the same person. Considering this and its relative-high percentage of independent directors, we believe the board can perform its functionalities well
	Capital management	2	It kept its dividend payout ratios above 50% in 2017-25, which is at a healthy, sustainable level. Overall, we see the balance between investment and dividend as appropriate.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for UMC.
S	Supply chain management	2	UMC has constructed an evaluation framework for reviewing the sustainable development of its supply chains based on UMC's GG-026-004-C sustainable supply-chain management review guidelines to ensure its suppliers fulfil environmental protection, social responsibility, labour and human rights, safety & health and sustainable development guidelines. We believe these efforts could reduce its supply-chain risk.
E	Water & wastewater management	2	UMC developed its "Water Management Policy and Commitment" in 2015 to promote more effective utilisation of water resources. In line with this policy, UMC continues to enhance recycling through increased use of reclaimed and desalinated water, ongoing wastewater treatment R&D, and optimised discharge management. In 2024, the company achieved a 30.3% reduction in water withdrawal per unit product, surpassing its 14% goal and meeting its 2030 target ahead of schedule, which demonstrates UMC's strong commitment to water conservation.
E	Waste & hazardous materials management	2	To achieve the goal of zero pollution, UMC has established a comprehensive new material evaluation process to effectively screen and control new materials introduced into the development of new processes. Through this effort, it can avoid or reduce the use of raw materials and the associated environmental impact. UMC was the first semiconductor manufacturer company in the world to obtain QC-080000 IECQ Hazardous Substance Process Management (HSPM) certification for all its fabs by leading global semiconductor manufacturers in completing the third-party verification and audit of its HSPM system in 2006.
E	GHG emissions	2	UMC was the first semiconductor company in Taiwan to pass integrated environmental protection, safety and health management system certifications in 2001. UMC has established the UMC Low Carbon Commitment as a guide for future carbon reduction projects. Its GHG emission reduction goals include: 1) to reduce fluorinated greenhouse gas emissions intensity by 65% over 2013-25 vs. 2010, and 2) to reduce electricity consumption intensity by 15% in 10 years over 2016-25 vs. 2015.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

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Source: Daiwa, Company

Daiwa's Asia Pacific Research Directory

HONG KONG

Hiroyuki GOTO	(852) 2773 8870	hiroyuki.goto@hk.daiwacm.com
Regional Head of Equity, Asia & Oceania; Regional Head of Asia Pacific Research		
John HETHERINGTON	(852) 2773 8787	john.hetherington@hk.daiwacm.com
Co-Head of Asia Pacific Research and Head of Research Publications		
Li XIONG	(852) 2773 8878	li.xiong@hk.daiwacm.com
Strategy (Hong Kong/China)		
Kelvin LAU	(852) 2848 4467	kelvin.lau@hk.daiwacm.com
Regional Head of Automobiles, Industrials and Transportation		
Evelyn ZHANG	(852) 2848 4970	evelyn.zhang@hk.daiwacm.com
Automobiles and Components (Hong Kong/China)		
Carol XIA	(852) 2532 4349	carol.xia@hk.daiwacm.com
Head of China Consumer; Consumer (Hong Kong/China)		
Steven NIE	(852) 2848 4464	steven.nie@hk.daiwacm.com
Consumer (Hong Kong/China); Global Cryptocurrency		
Siman CHEN	(852) 2532 4350	siman.chen@hk.daiwacm.com
Consumer (Hong Kong/China)		
Jing YANG	(852) 2532 4308	jing.yang@hk.daiwacm.com
Head of China Healthcare		
John CHOI	(852) 2773 8730	john.choi@hk.daiwacm.com
Head of China Internet; Regional Head of Emerging Opportunities		
Lily LIU	(852) 2848 4435	lily.liu@hk.daiwacm.com
Internet (Hong Kong/China)		
Dennis IP	(852) 2848 4068	dennis.ip@hk.daiwacm.com
Head of Asia ex-Japan Power, Utilities, Renewables & ESS (PURE) Research; US & China Power Equipment (Gas, Nuclear, Solar, Grid, Battery & Rare Earth Materials); Tech Hardware – AIDC Power, PCB, Optical Fiber (China)		
Derek ZHANG	(852) 2532 4341	derek.zhang@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – Gas & Gas Equipment, Rare Earth Materials (China), Utilities (Hong Kong), Power Equipment (US)		
Marco ZENG	(852) 2848 4430	marco.zeng@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – US Power, PCB (China)		

CHINA

Louis LUO	(86) 21 6841 3282	louis.luo@daiwacm.cn
Automobiles and Components, Industrials (China)		
William WU	(86) 21 6841 3200	william.wu@daiwacm.cn
Banking, Property (China/Hong Kong)		
Mavis MA	(86) 21 6841 3288	mavis.ma@daiwacm.cn
Battery Components; Industrials (China)		
Leo LU	(86) 21 6841 3286	leo.lu@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) – Solar, ESS, Lithium, AIDC Power (China)		
Skye LIANG	(86) 21 6841 3207	skye.liang@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) - Grid, Wind and Optical Fibre (China)		
Bintuo NI	(86) 21 6841 3228	bintuo.ni@daiwacm.cn
Tech Hardware and Semiconductors (China)		

SOUTH KOREA

Yoonki BAE	(82) 2 787 9168	yoonki.bae@kr.daiwacm.com
Automobile Components, Healthcare		
Mike OH	(82) 2 787 9179	mike.oh@kr.daiwacm.com
Banking, Capital Goods – Defence, Construction and Shipbuilding, and Utilities		
Youngho JANG	(82) 2 787 9838	youngho.jang@kr.daiwacm.com
Consumer, Healthcare		
Henny JUNG	(82) 2 787 9182	henny.jung@kr.daiwacm.com
EV Batteries and Battery Materials, IT/Electronics (Small/Mid Cap), Automobiles and Components		
Daeho SON	(82) 2 787 9176	dh.son@kr.daiwacm.com
Industrials – Robotics		
Joon LEE	(82) 2 787 9151	hj.lee@kr.daiwacm.com
Media, Software and IT Services		
Thomas Y KWON	(82) 2 787 9181	yskwon@kr.daiwacm.com
Pan-Asia Head of Internet & Telecommunications; Online Games		
SK KIM	(82) 2 787 9173	sk.kim@kr.daiwacm.com
Head of Global Memory; IT/Electronics – Semiconductors/Displays and Tech Hardware		

TAIWAN

Rick HSU	(886) 2 8758 6261	rick.hsu@daiwacm-cathay.com.tw
Head of Regional Technology; Head of Taiwan Research; Semiconductors (Regional)		
Sheng CHENG	(886) 2 8758 6253	sheng.cheng@daiwacm-cathay.com.tw
IT/Technology Hardware (Automation, Datacentre Components and PCB/CCL) (Greater China)		
Leon CHEN	(886) 2 8758 6247	leon.chen@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Stacy LIN	(886) 2 8758 6252	stacy.lin@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Helen CHIEN	(886) 2 8758 6254	helen.chien@daiwacm-cathay.com.tw
Small/Mid Cap		

Daiwa's Offices

Office / Branch / Affiliate	Address	Tel	Fax
DAIWA SECURITIES GROUP INC			
HEAD OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6753	(81) 3 5555 3111	(81) 3 5555 0661
Daiwa Securities Trust Company	One Evertrust Plaza, Jersey City, NJ 07302, U.S.A.	(1) 201 333 7300	(1) 201 333 7726
Daiwa Securities Trust and Banking (Europe) PLC (Head Office)	5 King William Street, London EC4N 7JB, United Kingdom	(44) 207 320 8000	(44) 207 410 0129
Daiwa Europe Trustees (Ireland) Ltd	Level 3, Block 5, Harcourt Centre, Harcourt Road, Dublin 2, Ireland	(353) 1 603 9900	(353) 1 478 3469
Daiwa Capital Markets America Inc. New York Head Office	1251 Avenue of the Americas, 49th Floor, New York, NY 10020	(1) 212 612 7000	(1) 212 612 7100
Daiwa Capital Markets America Inc. San Francisco Branch	1 California St, Suite 200, San Francisco, CA 94111, U.S.A.	(1) 415 955 8100	(1) 415 956 1935
Daiwa Capital Markets Europe Limited, London Head Office	5 King William Street, London EC4N 7AX, United Kingdom	(44) 20 7597 8000	(44) 20 7597 8600
Daiwa Capital Markets Deutschland GmbH	Tower 185, 26 O.G., Friedrich-Ebert-Anlage 35-37, 60327 Frankfurt am Main, Germany	(49) 69 27139 8100	(49) 69 27139 8190
Daiwa Capital Markets Europe Limited, Paris Representative Office	40 rue du Colisée, 75008 Paris, France	(33) 1 56 262 200	(33) 1 47 550 808
Daiwa Capital Markets Europe Limited, Bahrain Branch	Office 3503, 35th Floor, United Tower, Bahrain Bay, P.O. Box 30069, Manama, Bahrain	(973) 17 534 452	(973) 17 535 113
Daiwa Capital Markets Hong Kong Limited	Level 26, One Pacific Place, 88 Queensway, Hong Kong	(852) 2525 0121	(852) 2845 1621
Daiwa Capital Markets Singapore Limited	7 Straits View, Marina One East Tower, #16-05 & #16-06, Singapore 018936, Republic of Singapore	(65) 6387 8888	(65) 6282 8030
Daiwa Capital Markets Australia Limited	Level 34, Rialto North Tower, 525 Collins Street, Melbourne, Victoria 3000, Australia	(61) 3 9916 1300	(61) 3 9916 1330
Daiwa-Cathay Capital Markets Co Ltd	14/F, 200, Keelung Road, Sec 1, Taipei, Taiwan, R.O.C.	(886) 2 2723 9698	(886) 2 2345 3638
Daiwa Securities Capital Markets Korea Co., Ltd.	20 Fl.& 21Fl. One IFC, 10 Gukjegeumyung-Ro, Yeongdeungpo-gu, Seoul, Korea	(82) 2 787 9100	(82) 2 787 9191
Daiwa Securities Co. Ltd., Beijing Representative Office	Room 301/302，Kerry Center，1 Guanghua Road，Chaoyang District，Beijing 100020, People's Republic of China	(86) 10 6500 6688	(86) 10 6500 3594
Daiwa (Shanghai) Corporate Strategic Advisory Co. Ltd.	7th Floor, Hang Seng Bank Tower, 1000 Lujiazui Ring Road, Pudong, Shanghai, People's Republic of China	(86) 21 3858 2000	(86) 21 3858 2111
Daiwa Securities Co. Ltd., Bangkok Representative Office	18th Floor, M Thai Tower, All Seasons Place, 87 Wireless Road, Lumpini, Pathumwan, Bangkok 10330, Thailand	(66) 2 252 5650	(66) 2 252 5665
Daiwa Securities Co. Ltd., Hanoi Representative Office	Suite 1101, Tower 2, Capital Place Building, 29 Lieu Giai, Ba Dinh District, Hanoi, Vietnam	(84) 4 3946 0460	(84) 4 3946 0461
DAIWA INSTITUTE OF RESEARCH LTD			
HEAD OFFICE	15-6, Fuyuki, Koto-ku, Tokyo, 135-8460, Japan	(81) 3 5620 5100	(81) 3 5620 5603
MARUNOUCHI OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6756	(81) 3 5555 7011	(81) 3 5202 2021
New York Research Center	11th Floor, Financial Square, 32 Old Slip, NY, NY 10005-3504, U.S.A.	(1) 212 612 6100	(1) 212 612 8417
London Research Centre	3/F, 5 King William Street, London, EC4N 7AX, United Kingdom	(44) 207 597 8000	(44) 207 597 8550

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

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Daiwa Capital Markets Hong Kong Limited

Vanguard International Semiconductor (5347 TT)

Target price: **TWD210.00**

Share price (7 Oct): **TWD190.00** | Up/downside: **+10.5%**

5 4 3 **2** 1

★ **Outperform** (initiation)

Initiation: fast ramp to capture the AI ripple effect

- Fully loaded through 2027 on AI scaling and fab optimisation
- Fast expansion to capture a paradigm shift in the foundry sector
- Initiating with an Outperform (2) rating and 12M TP of TWD210

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Sam Weng
(886) 2 8758 6255
sam.weng@daiwacm-cathay.com.tw

Investment case: We initiate coverage of Vanguard International Semiconductor (VIS), a leading specialty foundry, with an Outperform (2) rating and 12-month TP of TWD210. We expect VIS to enjoy fully loaded operations (in terms of wafer-in) through 2027 with pricing power, thanks to a ripple effect as AI demand scales from compute to power, further augmented by TSMC's fab optimisation. Given VIS's historical ties with TSMC, which have strategically helped it advance its business transformation towards value-added specialty foundry offerings, it looks well positioned to benefit from this multi-year AI scaling, cemented by the fast expansion of its first 12" fab in Singapore to capitalise on what we observe as a paradigm shift in the foundry industry.

Fully loaded operations on AI ripple effect. We expect VIS's wafer loadings to approach full levels in terms of wafer-in through 2027, thanks to the AI scaling out and across creating a ripple effect for demand spillover and benefitting specialty foundries. Given its strategic partnership with TSMC, VIS stands to benefit from this multi-year AI build. Despite its pull-in of the 12" ramp, we do not expect such fast expansion to dwarf utilisations since all the planned capacity is sold out, thanks to long-term agreements (LTA) signed with customers amid the supply constraint, which should help VIS manage surging depreciation and minimise margin dilution.

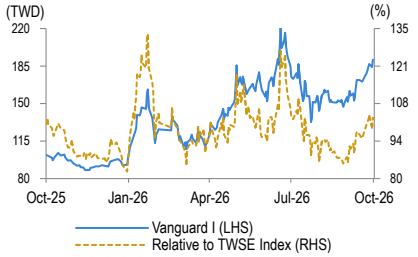
Fast expansion to capture the paradigm shift. To capitalise on the likely paradigm shift in the specialty foundry segment, as detailed in the sector section, driven by TSMC's fab optimisation, VIS is pulling its 12" fab construction in Singapore nearly half a year ahead of schedule. VIS aims to start mass production from 1Q27 after hosting an opening ceremony on 28 September. We expect this fab to reach its first-phase designed capacity of 44,000 wafers per month (wpm) by end-2028, with c.30% of it dedicated to TSMC's wafer interposers and the rest for customers' power semiconductor and embedded flash chips, mainly for AI applications. We forecast VIS to enjoy counter-seasonal quarters through 2027, delivering revenue CAGR of c.30% over 2026-28 for an EPS CAGR of 26%.

Catalysts: 1) Record-breaking monthly revenue run rates through 2027; 2) upbeat guidance for the coming quarters; and 3) margin resilience to ease investors' concerns about depreciation amid the 12" ramp.

Valuation: We derive our 12M TP of TWD210 for VIS by applying our ROE-adjusted PBR target of 5.2x to our one-year-forward BVPS forecast.

Risks: 1) Current chip upcycle ends earlier than expected; and 2) the 12" fab ramp/execution turns out below expectation.

Share price performance



12-month range	88.00-220.00
Market cap (USDbn)	11.22
3m avg daily turnover (USDm)	104.83
Shares outstanding (m)	1,878
Major shareholder	TSMC (18.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	57,494	76,662	95,017
Operating profit (m)	11,742	16,893	22,282
Net profit (m)	11,076	14,875	17,637
Core EPS (fully-diluted)	5.896	7.919	9.389
EPS change (%)	39.2	34.3	18.6
Daiwa vs Cons. EPS (%)	(1.9)	5.1	(2.4)
PER (x)	32.2	24.0	20.2
Dividend yield (%)	2.4	2.6	2.9
DPS	4.5	5.0	5.5
PBR (x)	5.3	4.7	4.4
EV/EBITDA (x)	19.0	13.1	9.7
ROE (%)	16.8	20.8	22.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 43

Company

5 4 3 **2** 1

Outperform
(initiation)

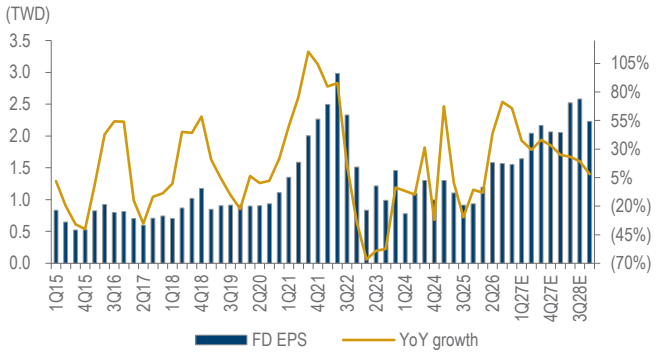
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔

Growth outlook

VIS's earnings have been volatile due to the cyclical nature of the semiconductor industry in which it operates. That said, barring its hefty growth during 2021-22 as an outlier due to the COVID-inflated chip demand, VIS will enjoy 30-70% YoY EPS growth over 2Q26E-4Q27E, according to our forecasts, with strength similar to that in 2016 and 2018. On an annual EPS basis, we forecast a 30% CAGR over 2025-28.

VIS: quarterly EPS growth trend

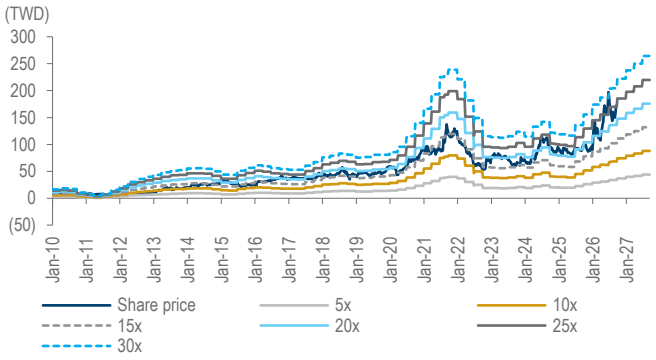


Source: Company, Daiwa estimates and forecasts

Valuation

Trading at 24x on our 4-quarter-forward EPS, the VIS stock is priced at the high end of its post-2009 GFC range of 5-30x, suggesting a not-so-compelling valuation vs. history. Yet, considering our forecast of a robust 30% EPS CAGR over 2025-28, 24x does not look demanding from a PEG point of view. Valued by our ROE-adjusted PBR target of 5.2x, our 12M TP of TWD210 for VIS translates into a 26x 4-quarter forward PER, which looks reasonable in combination of both PBR and PER methodologies.

VIS: 4-quarter-forward PER bands

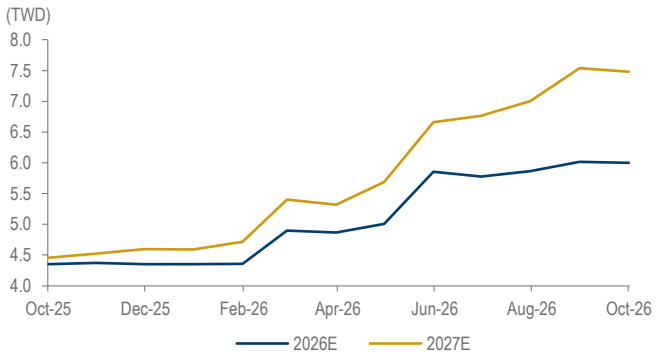


Source: Company, TEJ, Daiwa estimates and forecasts

Earnings revision

Bloomberg consensus 2026-27 EPS forecasts for VIS have been trending up since February 2026, indicating positive investor sentiment. Our 2027E EPS is 5% above consensus, implying room for further upward revisions from the market to act as an upside catalyst for the stock, in our opinion.

VIS: consensus EPS forecast revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Capacity utilization (%)	101	83	59	66	76	85	95	97
Blended ASP (USD)	543	670	629	624	616	637	686	723
Wafer shipment (8" equ., '000)	2,901	2,605	1,952	2,194	2,533	2,838	3,492	4,109

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer Foundry Revenue	43,952	51,694	38,273	44,056	48,591	57,495	76,662	95,017
Sub & Other Revenue	0	0	0	0	0	0	0	0
Other Revenue	(1)	1	(0)	(1)	0	(0)	0	0
Total Revenue	**43,951**	**51,694**	**38,273**	**44,055**	**48,591**	**57,494**	**76,662**	**95,017**
Other income	0	0	0	0	0	0	0	0
COGS	(24,799)	(27,771)	(27,827)	(32,122)	(34,937)	(38,893)	(51,107)	(62,341)
SG&A	(2,899)	(3,375)	(2,521)	(2,740)	(3,691)	(4,164)	(5,197)	(6,170)
Other op.expenses	(2,151)	(2,742)	(2,151)	(2,081)	(2,190)	(2,696)	(3,466)	(4,224)
Operating profit	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
Net-interest inc./(exp.)	159	588	1,536	1,754	1,554	900	295	445
Assoc/forex/extraord./others	28	457	1,524	(113)	(76)	206	28	31
Pre-tax profit	**14,290**	**18,851**	**8,834**	**8,752**	**9,251**	**12,848**	**17,216**	**22,758**
Tax	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Min. int./pref. div./others	0	0	0	0	137	341	568	(1,452)
Net profit (reported)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
Net profit (adjusted)	**11,820**	**15,280**	**7,370**	**7,047**	**7,908**	**11,076**	**14,875**	**17,637**
EPS (reported)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted)(TWD)	**7.212**	**9.323**	**4.497**	**4.209**	**4.300**	**5.897**	**7.919**	**9.390**
EPS (adjusted fully-diluted)(TWD)	**7.212**	**9.323**	**4.497**	**3.795**	**4.235**	**5.896**	**7.919**	**9.389**
DPS (TWD)	**3.500**	**4.500**	**4.500**	**4.405**	**4.568**	**4.500**	**5.000**	**5.510**
EBIT	**14,102**	**17,807**	**5,774**	**7,111**	**7,773**	**11,742**	**16,893**	**22,282**
EBITDA	**18,086**	**23,349**	**13,626**	**15,733**	**16,325**	**21,006**	**31,121**	**41,235**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	14,290	18,851	8,834	8,752	9,251	12,848	17,216	22,758
Depreciation and amortisation	3,984	5,542	7,852	8,622	8,552	9,264	14,228	18,953
Tax paid	(2,470)	(3,571)	(1,464)	(1,705)	(1,480)	(2,112)	(2,909)	(3,669)
Change in working capital	(4,449)	2,285	(1,385)	(1,958)	(2,465)	(2,250)	(5,500)	(1,300)
Other operational CF items	9,883	10,819	(5,205)	11,020	11,581	9,341	5,568	3,548
Cash flow from operations	**21,237**	**33,927**	**8,632**	**24,731**	**25,439**	**27,091**	**28,603**	**40,290**
Capex	(13,280)	(18,723)	(6,779)	(15,922)	(63,265)	(65,177)	(33,920)	(17,920)
Net (acquisitions)/disposals	(113)	(4,709)	(1,626)	4,357	1,183	82	0	0
Other investing CF items	(28)	(771)	46	(133)	2,372	0	0	0
Cash flow from investing	**(13,420)**	**(24,204)**	**(8,360)**	**(11,699)**	**(59,711)**	**(65,095)**	**(33,920)**	**(17,920)**
Change in debt	2,718	6,991	5,993	2,996	7,519	5,961	2,982	(5,155)
Net share issues/(repurchases)	0	0	0	17,593	0	0	0	0
Dividends paid	(5,736)	(7,375)	(7,375)	(7,375)	(8,400)	(8,453)	(9,393)	(10,351)
Other financing CF items	2,232	4,557	24	4,316	14,341	17,598	10,176	0
Cash flow from financing	**(786)**	**4,173**	**(1,359)**	**17,530**	**13,460**	**15,106**	**3,766**	**(15,506)**
Forex effect/others	(63)	575	72	291	(249)	0	0	0
Change in cash	**6,968**	**14,471**	**(1,015)**	**30,853**	**(21,060)**	**(22,899)**	**(1,551)**	**6,864**
Free cash flow	7,958	15,203	1,852	8,809	(37,826)	(38,086)	(5,317)	22,370

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	20,173	34,843	38,050	66,749	41,716	18,736	17,185	24,049
Inventory	4,030	5,880	5,672	6,221	6,937	6,937	10,437	9,937
Accounts receivable	9,452	4,962	5,523	6,235	6,748	8,948	11,948	13,948
Other current assets	533	570	834	7,007	11,496	10,000	10,000	11,000
Total current assets	**34,188**	**46,255**	**50,079**	**86,211**	**66,897**	**44,621**	**49,570**	**58,934**
Fixed assets	23,541	38,504	36,604	44,141	113,869	156,754	166,580	157,390
Goodwill & intangibles	3,361	6,382	6,771	10,905	10,282	7,000	7,500	8,000
Other non-current assets	4,458	9,798	8,997	7,448	9,420	9,420	9,420	9,420
Total assets	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
Short-term debt	0	0	0	0	10,520	9,039	17,176	16,042
Accounts payable	1,437	1,376	972	1,416	1,724	1,674	2,674	2,874
Other current liabilities	13,539	19,717	19,135	19,959	39,361	37,828	36,619	31,986
Total current liabilities	**14,976**	**21,093**	**20,107**	**21,375**	**51,604**	**48,541**	**56,469**	**50,902**
Long-term debt	4,993	11,987	17,983	20,984	15,990	23,432	18,277	14,256
Other non-current liabilities	10,413	22,509	18,646	37,679	49,285	49,285	49,285	49,285
Total liabilities	**30,382**	**55,589**	**56,737**	**80,039**	**116,879**	**121,258**	**124,031**	**114,443**
Share capital	16,390	16,390	16,390	18,666	18,671	18,783	18,783	18,783
Reserves/R.E./others	18,776	28,961	29,323	45,438	45,206	49,042	56,544	61,806
Shareholders' equity	**35,165**	**45,351**	**45,713**	**64,104**	**63,877**	**67,825**	**75,327**	**80,589**
Minority interests	0	0	0	4,563	19,713	28,713	33,713	38,713
Total equity & liabilities	**65,548**	**100,940**	**102,450**	**148,706**	**200,469**	**217,795**	**233,070**	**233,744**
EV	341,705	334,029	336,818	315,682	361,390	399,332	408,866	401,846
Net debt/(cash)	**(15,180)**	**(22,855)**	**(20,066)**	**(45,765)**	**(15,207)**	**13,735**	**18,268**	**6,249**
BVPS (TWD)	**21.456**	**27.670**	**27.891**	**34.342**	**34.212**	**36.109**	**40.103**	**42.904**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	32.7	17.6	(26.0)	15.1	10.3	18.3	33.3	23.9
EBITDA (YoY)	65.7	29.1	(41.6)	15.5	3.8	28.7	48.2	32.5
Operating profit (YoY)	90.1	26.3	(67.6)	23.2	9.3	51.1	43.9	31.9
Net profit (YoY)	87.4	29.3	(51.8)	(4.4)	12.2	40.1	34.3	18.6
Core EPS (fully-diluted) (YoY)	87.4	29.3	(51.8)	(15.6)	11.6	39.2	34.3	18.6
Gross-profit margin	43.6	46.3	27.3	27.1	28.1	32.4	33.3	34.4
EBITDA margin	41.2	45.2	35.6	35.7	33.6	36.5	40.6	43.4
Operating-profit margin	32.1	34.4	15.1	16.1	16.0	20.4	22.0	23.5
Net profit margin	26.9	29.6	19.3	16.0	16.3	19.3	19.4	18.6
ROAE	36.5	38.0	16.2	12.8	12.4	16.8	20.8	22.6
ROAA	21.6	18.4	7.2	5.6	4.5	5.3	6.6	7.6
ROCE	39.2	36.5	9.5	9.3	7.8	9.8	12.4	15.2
ROIC	60.1	68.0	20.0	23.6	14.3	11.0	11.8	14.8
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	20.3	24.3	7.8
Effective tax rate	17.3	18.9	16.6	19.5	16.0	16.4	16.9	16.1
Accounts receivable (days)	63.1	50.9	50.0	48.7	48.8	49.8	49.7	49.7
Current ratio (x)	2.3	2.2	2.5	4.0	1.3	0.9	0.9	1.2
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	91.0	62.4	48.3	100.1	119.2	106.9	84.8	69.6
Free cash flow yield	2.2	4.3	0.5	2.5	n.a.	n.a.	n.a.	6.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in December 1994 and listed in March 1998, Vanguard International Semiconductor Corp. (VIS) successfully transformed its business model from memory to a complementary metal-oxide-semiconductor (CMOS) logic foundry focused on specialty technologies such as mixed-signal, power analog and embedded memory, becoming one of the world's leading specialty foundries. Leveraging its strategic relationship with major shareholder TSMC, VIS operates wafer fabs in Taiwan and Singapore, serving a wide variety of customers, including fabless chipmakers and IDMs globally.

Fast ramp to capture AI ripple effect

Initiating on VIS with an Outperform (2) rating and 12M TP of TWD210

We initiate coverage of VIS with an Outperform (2) rating and 12M TP of TWD210. Founded in December 1994, headquartered in Hsinchu Science Park and listed in March 1998 (see Appendix 1 for more details on the company), VIS looks set to enjoy fully loaded operations (in terms of wafer-in) through 2027, with sustained pricing power, thanks to the ripple effect of AI demand scaling from compute to connectivity and power, further augmented by TSMC's fab optimisation.

Given its longstanding ties with TSMC, which currently holds a c.19% stake in VIS and has strategically helped it advance its business transformation by moving up value verticals of specialty-foundry offerings to differentiate itself in the competitive specialty foundry market, VIS looks set to benefit from this multi-year AI scaling, among peers. The fast expansion of its first 12" fab in Singapore should help cement the AI business and capitalise on what we observe as a paradigm shift in the foundry industry, as mentioned in the main section of this report.

Fully loaded operations on AI ripple effect

Despite suffering from the post-COVID inventory correction …

Like many other semiconductor foundries, VIS enjoyed unusual pricing power during the COVID period as the virus, together with geopolitical tensions between China and the US, inflated chip demand across virtually all product applications to an unprecedented level. Consequently, the industry suffered from an unprecedented 2-year downturn on a prolonged inventory correction, if excluding the AI build that has helped rescue the advanced foundry segment, save the village (ie, the chip industry) and bring the global chip cycle back on its historical track of an average of a one-year downturn. This downturn caused choppy operations for many second-tier foundries which focused initially on the non-AI space over 2022-25, including VIS (see our series of Technology Outlook reports: 2023: *V-shape, U-shape or double dip?*, 2024: *The dragon is ready to soar,* 2025: *likely longer and stronger*).

… VIS has benefitted from AI scaling and is further …

Starting from 2H25, after the AI builds scaled out and across from compute into memory to connectivity and power, creating a ripple effect in demand that benefits not only advanced but also specialty foundries, we expect VIS's wafer loadings to approach full levels through 2027 (in terms of wafer-in), despite its fast 12" expansion. With its parent company TSMC's strategic partnership, VIS stands at a strong position to benefit from this multi-year AI scaling, in our view. To maximise the AI business potential, VIS is accelerating its first 12" fab in Singapore via a JV named VisionPower Semiconductor Manufacturing Corp (VSMC), with phase-one investment of USD6.8bn where, in terms of registered capital of USD4bn, VIS assumes USD2.4bn for a 60% stake, while NXP assumes USD1.6bn for a 40% stake.

In terms of the total investment on a cash basis, VIS will chip in only USD1.0bn, with USD2.8bn coming from NXP and USD1.1bn from TSMC with some equipment consignment, while the rest will come from other customer prepayments, loans and a subsidy from the Singapore government. Upon VSMC's completion, this will bring VIS a total of 6 fabs, with combined capacity reaching up to c.380,000 8"-equivalent wafers per month (wpm) by end-2028, based on our forecasts (see table on next page for details of our key business assumptions).

VIS: key business assumptions and cost analysis

('000 wpm*)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Capacity												
Fab 1 (8")	77	80	80	80	78	80	80	80	78	80	80	80
Fab 2 (8")	67	70	70	70	68	70	70	70	68	70	70	70
Fab 3 (8")	48	50	50	50	48	50	50	50	48	50	50	50
Fab VS1 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab 5 (8")	38	40	40	40	39	40	40	40	39	40	40	40
Fab VSMC (12")	0	0	0	0	2	10	18	20	22	30	40	44
Total capacity (8" equ)	268	280	280	280	278	303	320	325	322	348	369	379
Shipment												
Quarterly shipment (8" equ)	642	713	734	749	757	855	940	940	931	1,043	1,095	1,040
Capacity utilisation**	80%	85%	87%	89%	91%	94%	98%	96%	96%	100%	99%	91%
Blended ASP (USD)	618	632	645	649	650	685	697	704	704	719	739	726
Revenue												
Revenue (USDm)	397	451	474	486	492	586	656	662	655	750	809	755
Revenue (TWDm)	12,532	14,245	15,160	15,558	15,737	18,753	20,983	21,189	20,975	24,003	25,876	24,164
Mix by node												
0.5u+	12%	12%	12%	12%	12%	11%	11%	11%	11%	11%	10%	10%
0.35u	13%	12%	12%	12%	12%	11%	11%	10%	11%	10%	9%	9%
0.25u	15%	16%	16%	16%	16%	14%	12%	12%	12%	11%	10%	10%
0.18/0.15u	15%	15%	15%	15%	15%	14%	13%	12%	12%	11%	10%	10%
0.13/0.11u	45%	46%	45%	44%	45%	41%	38%	37%	36%	33%	30%	30%
<=90nm	0%	0%	0%	0%	0%	9%	15%	18%	18%	25%	32%	32%
Cost structure												
Direct materials	1,724	1,916	1,998	2,037	2,058	2,325	2,558	2,558	2,532	2,836	2,978	2,829
Direct labour	1,136	1,240	1,293	1,318	1,332	1,505	1,655	1,655	1,639	1,835	1,927	1,831
Depreciation & amortisation	2,192	2,227	2,340	2,505	2,600	3,300	4,000	4,328	4,400	4,600	5,000	4,953
Other overheads	3,810	4,258	4,418	4,482	4,600	5,198	5,718	5,718	5,661	6,340	6,657	6,324
Total COGS (TWDm)	8,861	9,640	10,048	10,344	10,589	12,328	13,931	14,259	14,231	15,611	16,562	15,937
Mix by element												
Direct materials	19%	20%	20%	20%	19%	19%	18%	18%	18%	18%	18%	18%
Direct labour	13%	13%	13%	13%	13%	12%	12%	12%	12%	12%	12%	11%
Depreciation & amortisation	25%	23%	23%	24%	25%	27%	29%	30%	31%	29%	30%	31%
Other overheads	43%	44%	44%	43%	43%	42%	41%	40%	40%	41%	40%	40%
Gross profit (TWDm)	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	6,743	8,391	9,314	8,227
Gross margin	29%	32%	34%	34%	33%	34%	34%	33%	32%	35%	36%	34%

Source: Company, Daiwa estimates and forecasts
*Note: * wpm = wafers per month on average; ** based on shipment divided by installed capacity, not wafer-in*

Fast expansion to capture the paradigm shift

… speeding up its 12" expansion to maximise the AI potential

On top of the AI scaling creating a ripple effect for demand spillover, such strength looks to be further augmented by TSMC's fab optimisation, as assessed in the main section of this report. To capitalise on the likely paradigm shift in the specialty foundry segment by TSMC's fab optimisation, VIS is pulling in its first 12" fab construction around half a year ahead of schedule, aiming to start mass production from 1Q27 after it hosted an opening ceremony on 28 September.

Registered under VSMC, we expect this fab to reach its first-phase designed capacity of 44,000 wpm by end-2028, subject to market dynamics. c.30% of the fab's capacity will be dedicated to TSMC's wafer production of silicon interposers handling chip-on-wafer-on-substrate (CoWoS) advanced packaging, which has seen meaningful supply constraint due to strong AI high-performance compute (HPC) demand. The rest of the capacity is for other customers' power semiconductors (such as mixed-signal, analog and PMIC) and embedded flash, focusing on AI scaling and automotive and industrial (A&I) applications.

VIS could speed up phase-two 12" expansion under TSMC's continued effort of fab optimisation

Despite the 12" expansion pull-in, we do not expect the ramp to dwarf capacity utilisations since all the planned capacity is already sold out, thanks to the long-term agreements (LTA) signed with customers amid the supply constraints, which should help VIS manage surging depreciation and minimise margin dilution for financial resilience. Although this 12" fab has little to do with TSMC's 28/22/20nm fab optimisation addressed in the main section, since it covers only process nodes ranging from 0.13u to 40nm and thus enjoys only the 65/55nm wafer interposer spillover from TSMC, on our market research, we see possibilities for TSMC to shut down more legacy 12" fabs in the future. We believe this may incentivise VIS to speed up its second 12" fab construction in Singapore, namely the phase-two, or VSMC Fab 2, for 40,000-50,000 wpm capacity beyond 2028 and is scalable to 28nm-and-below and even the finFET (FF) process nodes.

Financial forecasts

In the near term, we expect VIS to enjoy counter-seasonal quarters through 2027, thanks to the ripple effect of AI scaling on wafer loadings and pricing power. We estimate that VIS earned 3Q26 EPS of TWD1.57, in line with the Bloomberg consensus estimate. For 4Q26, we are behind consensus since 1) we expect a diminished effect of price hikes after our estimated 2-3% QoQ EPS increases in 3Q26; and 2) we do not expect the 12" contribution to ramp that soon. In the long term, we forecast VIS to deliver a revenue CAGR of nearly 30% over 2026-28 for an EPS CAGR of 26%.

Revenue and customers

77% of revenue was from PMIC in 2Q26, with customers across Taiwan, China, Japan, Europe, and the US

As of 2Q26, power management IC (PMIC) accounted for the majority of revenue (77%; see chart on next page), on a rising trend from 40% a decade ago thanks to the co-efforts between VIS and TSMC strategically transforming the former's business up the value verticals from logic commodity display drivers (D/D) for consumer electronics devices to power discrete, analog, and PMIC for not only consumer but A&I applications. Riding on the escalating trend of demand for advanced high-V PMIC accommodating AI servers and power infrastructure under the AI cycle, we expect the PMIC revenue contribution to rise further over our forecast period, while the D/D contribution will drop to c.10%-plus for base-line customer demand support.

As of 2Q26, VIS found 16%, 16%, and 46% of revenue from major process nodes of 0.25u, 0.18u, and 0.13u-and-below, respectively, on our estimates. Since the VSMC fab will focus on 0.13u all the way to 40nm, and TSMC's wafer interposers will take c.30% of the capacity ramp on our estimates focusing on 65/55nm, we expect the 0.13u-and-below to increase to more than 60% of revenue over our forecast period. Both the PMIC and node advances should be blended ASP and margin accretive, helping mitigate the depreciation burden associated with the VSMC fab ramp. Illustrated in a chart on the next page, we expect VIS's blended ASP to trend upward from c.USD630 in 2Q26, rising by 1-5% QoQ through our forecast period to exceed USD700 by 2028.

High variety of customer base across D/D and PMIC

VIS services a high variety of customers around the world, including most fabless chipmakers in Taiwan and mainland China focusing on the D/D, power MOSFET and PMIC, and most integrated device manufacturers (IDM) across Japan, Europe and the US focusing on power semiconductor foundry works.

VIS: 3Q26 results preview and 4Q26 business outlook

			3Q26E			4Q26E
(in TWDm)	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	15,160	15,369	-1%	15,558	16,302	-5%
Gross profit	5,112			5,214		
Operating profit	3,369			3,386		
Pretax profit	3,569			3,529		
Net profit	2,944	2,983	-1%	2,911	3,255	-11%
Adjusted EPS (TWD)	1.57	1.59	-1%	1.55	1.73	-11%
Margins						
Gross	33.7%			33.5%		
Operating	22.2%			21.8%		
Net	19.4%			18.7%		
Operation						
Shipment (12" equ. wafers) ('000 units)	734			749		
Utilisation*	87%			89%		
<=0.13u sales contribution	45%			44%		

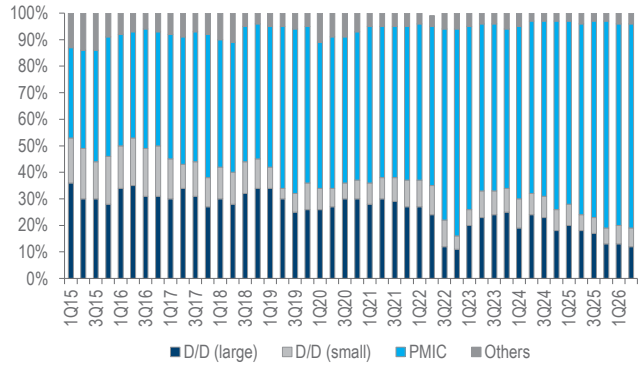
Source: Bloomberg, Daiwa estimates and forecasts
*Note: * Calculated as wafer shipment divided by capacity*

VIS: key operating assumptions, quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Wafer shipment (8" equ) ('000 units)	642	713	734	749	757	855	940	940	2,533	2,838	3,492	4,109
Capacity utilisation	80%	85%	87%	89%	91%	94%	98%	96%	76%	85%	95%	97%
Blended ASP (USD)	618	632	645	649	650	685	697	704	616	637	686	723
Foundry revenue (USDm)	397	451	474	486	492	586	656	662	1,560	1,807	2,396	2,969
Total revenue	**12,532**	**14,245**	**15,160**	**15,558**	**15,737**	**18,753**	**20,983**	**21,189**	**48,591**	**57,494**	**76,662**	**95,017**
COGS	-8,861	-9,640	-10,048	-10,344	-10,589	-12,328	-13,931	-14,259	-34,937	-38,893	-51,107	-62,341
Gross profit	3,671	4,604	5,112	5,214	5,148	6,425	7,052	6,930	13,654	18,602	25,555	32,676
Opex	-1,584	-1,704	-1,743	-1,828	-1,857	-2,082	-2,329	-2,394	-5,880	-6,859	-8,662	-10,394
Operating profit	2,087	2,901	3,369	3,386	3,291	4,343	4,723	4,536	7,773	11,742	16,893	22,282
EBITDA	4,278	5,128	5,709	5,891	5,891	7,643	8,723	8,864	16,325	21,006	31,121	41,235
Non-op gain/loss	350	412	200	143	120	118	30	35	1,477	1,106	303	521
Pretax profit	2,437	3,313	3,569	3,529	3,411	4,461	4,753	4,571	9,251	12,848	17,196	22,803
Income taxes & MI	-190	-339	-625	-618	-324	-618	-686	-692	-1,343	-1,771	-2,320	-5,167
Net profit	2,246	2,975	2,944	2,911	3,087	3,843	4,067	3,879	7,908	11,076	14,876	17,636
FD O/S (m)	1,880	1,879	1,879	1,879	1,879	1,879	1,879	1,879	1,867	1,879	1,879	1,879
FD EPS (TWD)	**1.19**	**1.58**	**1.57**	**1.55**	**1.64**	**2.05**	**2.16**	**2.06**	**4.24**	**5.90**	**7.92**	**9.39**
Margins												
Gross	29%	32%	34%	34%	33%	34%	34%	33%	28%	32%	33%	34%
Operating	17%	20%	22%	22%	21%	23%	23%	21%	16%	20%	22%	23%
EBITDA	34%	36%	38%	38%	37%	41%	42%	42%	34%	37%	41%	43%
Net	18%	21%	19%	19%	20%	20%	19%	18%	16%	19%	19%	19%
Growth (QoQ)												
Total revenue	0%	14%	6%	3%	1%	19%	12%	1%				
Gross profit	6%	25%	11%	2%	-1%	25%	10%	-2%				
Operating profit	15%	39%	16%	1%	-3%	32%	9%	-4%				
EBITDA	6%	20%	11%	3%	0%	30%	14%	2%				
Net profit	29%	32%	-1%	-1%	6%	24%	6%	-5%				
FD EPS	28%	33%	-1%	-1%	6%	24%	6%	-5%				
Growth (YoY)												
Total revenue	5%	22%	23%	24%	26%	32%	38%	36%	10%	18%	33%	24%
Gross profit	2%	40%	54%	50%	40%	40%	38%	33%	14%	36%	37%	28%
Operating profit	-7%	53%	84%	87%	58%	50%	40%	34%	9%	51%	44%	32%
EBITDA	0%	29%	41%	46%	38%	49%	53%	50%	4%	29%	48%	32%
Net profit	-7%	46%	73%	67%	37%	29%	38%	33%	12%	40%	34%	19%
FD EPS	-8%	44%	71%	66%	38%	29%	38%	33%	12%	39%	34%	19%

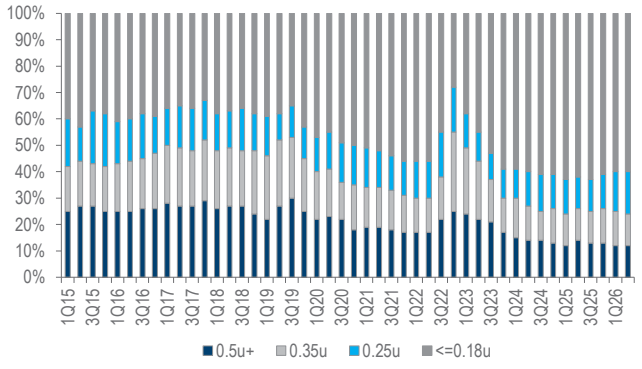
Source: Company, Daiwa estimates and forecasts

VIS: revenue mix by product*



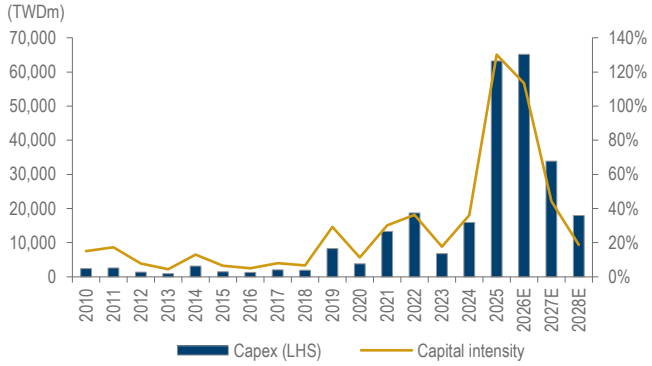
Source: Company
*Note: * D/D = display driver, PMIC = power management IC, others include LED driver, embedded memory, CMOS image sensor, etc.*

VIS: revenue mix by process node*



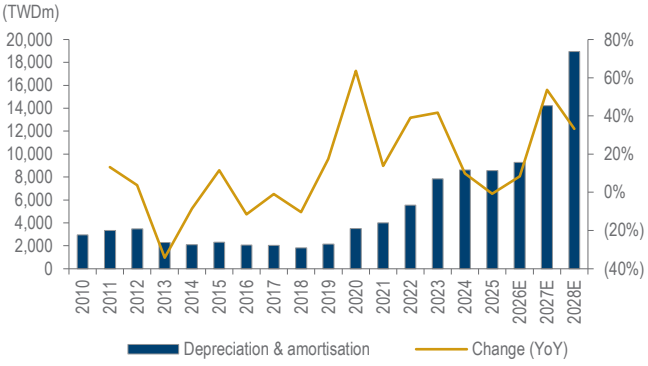
Source: Company
*Note: * <=0.18u including 0.18u, 0.15u, 0.13u and 0.11u*

VIS: capex and capital intensity trend*



Source: Company, Daiwa forecasts
*Note: * Capital intensity = capex divided by revenue*

VIS: depreciation and amortisation trend



Source: Company, Daiwa forecasts

Cost analysis

We forecast GM to stall at 32-34% over 2Q26-1Q28 and then pick up afterwards

Over the past decades, VIS's cost structure has fluctuated in fixed overheads (mainly D&A) from time to time, depending on its fab acquisitions, varying from 10% to 30% of COGS (refer back to the key assumption table). Given VSMC is about to ramp in production with a total capex of USD6.8bn for phase one, or roughly 2x VIS's 2025-26E aggregate revenue, we expect the D&A portion to return to the 30% level over our forecast period, acting as a margin dilutor. Yet with VIS's capex budget of TWD60-70bn (c.USD2bn) this year, we expect the capex to largely subside from 2027 for the depreciation cycle to peak in 2029. As a result, we forecast its D&A in absolute terms to rise by 54% YoY in 2027 to TWD14bn and 33% YoY in 2028 to nearly TWD19bn, with gross margin (GM) stalling at 32-34% over 2Q26-1Q28, then picking up to 35% or higher in 2H28 and likely rising further after the depreciation comes off the cycle into 2029.

Minority interest

We forecast MI expense to begin to dilute parent income from 2Q28

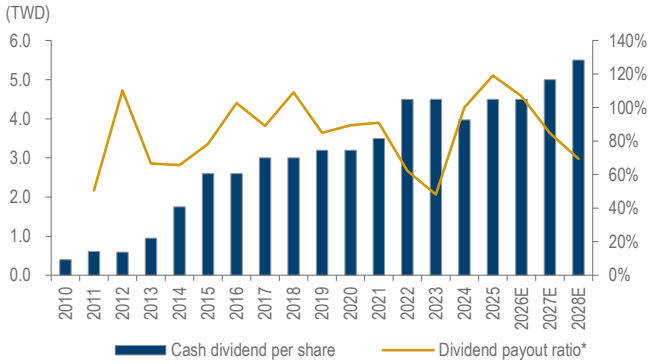
Minority interest (MI), or non-controlling interest as stated by VIS, kicked in from 1Q25 and rose to 2.4% of pretax income in 2Q26 due to preparation for the VSMC investment. We forecast the MI to rise to TWD341m this year (TWD137m in 2025), TWD568m in 2027 and TWD1.45bn in 2028, mainly from the 40% MI owned by NXP as VIS ramps the 12" fab investment in Singapore. As illustrated in a table below, we forecast VSMC to record revenue of nearly TWD9bn in 2027 and TWD26bn in 2028 for operating loss of TWD1.4bn and operating profit of TWD3.6bn, respectively, on the basis of a standalone operating entity.

Dividend policy

We expect c.80% payout ratio subject to capex requirement

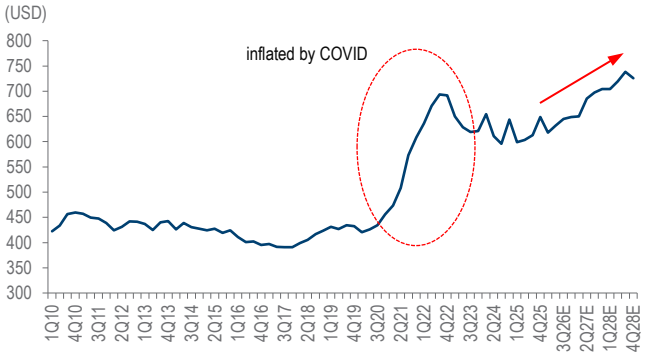
Over the past decade, VIS has stepped up its dividend payout ratios from 50% in 2011 to more than 100% this year. We expect the company to keep the ratios at c.80% over our forecast period, subject to the AI development which should determine the capex requirement for the VSMC investment, affecting its FCF generating power. VIS paid a TWD4.5/share cash dividend this year (against last year's earnings), and we forecast it to pay TWD5.0/share for 2027 with a payout ratio of 85% against this year's earnings for a 2.7% yield based on the closing price as of 5 October.

VIS: dividend trend and payout ratio*



Source: Company, Daiwa estimates and forecasts
*Note: * against previous year's P&L*

VIS: quarterly ASP trend*



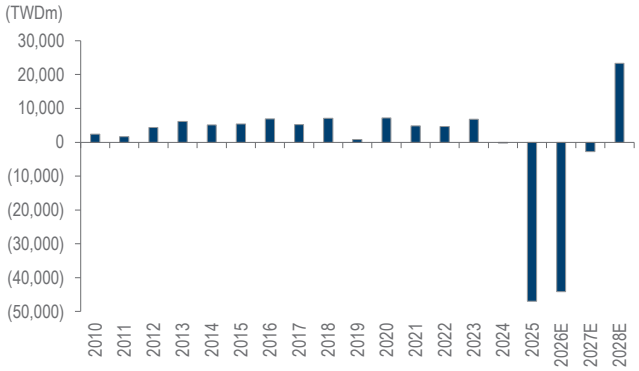
Source: Daiwa estimates and forecasts
*Note: * Blended basis in 8" equivalent*

VSMC: standalone P&L at core operation

	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Wafer shipments (8" equ) ('000 units)	2	55	100	120	121	188	255	245
Blended ASP (USD; 8" equ)	1,000	1,000	1,000	1,000	1,000	1,000	1,000	980
Revenue (USDm)	2	55	100	120	121	188	255	240
Revenue (TWDm)	50	1,758	3,213	3,853	3,872	6,007	8,156	7,687
COGS (TWDm)	(497)	(1,540)	(2,820)	(3,373)	(3,518)	(4,702)	(5,699)	(5,725)
Opex (TWDm)	(450)	(457)	(578)	(578)	(581)	(601)	(652)	(615)
Operating profit (TWDm)	(896)	(239)	(185)	(98)	(226)	704	1,804	1,347
MI against parent P&L (TWDm)	(359)	(96)	(74)	(39)	(91)	282	722	539
MI as % of VIS's pre-tax profit	11%	2%	2%	1%	2%	-5%	-11%	-10%

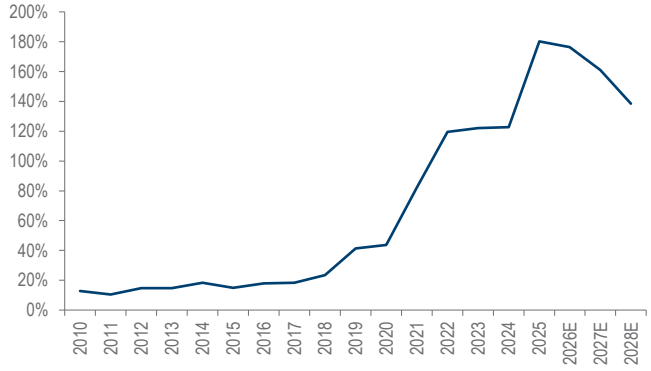
Source: Daiwa estimates and forecasts

VIS: free cashflow trend



Source: Company, Daiwa forecasts

VIS: debt-to-equity ratio



Source: Company, Daiwa forecasts

Cashflow and gearing

Given its hefty capex over 2025-27E, we expect VIS's free cashflow (FCF) to turn negative during the same period. Foreseeing the cash gap, VIS issued new shares of 228m in 2024 for a 12% per-share dilution and collected TWD17.6bn. It further issued ECBs in February this year to collect nearly TWD11bn; therefore, we forecast its debt-to-equity (D/E) ratio to approach 170% in 2026. Yet with the VSMC ramp in profitability for operating cash inflow, we forecast the FCF to turn positive in 2028, helping lower the gearing to c.140%.

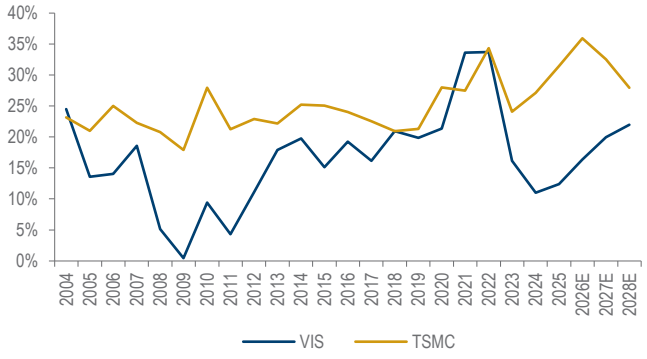
Valuation and risk

We set our 12M TP for VIS at TWD210, based on an ROE-adjusted PBR target of 5.2x

We employ an ROE-adjusted PBR methodology to value the foundry stocks under our coverage, where we compare a foundry's projected ROE with its historical ROE average, work out a premium or discount, and apply it to the foundry's historical average PBR for our ROE-adjusted PBR target. Given TSMC is VIS's strategic partner, we tweak our methodology a bit by anchoring VIS's ROE-adjusted PBR to TSMC's, where we compare their long-term ROE projections (2004-28E), work out a discount of 33% and then apply the discount to our 7.7x target PBR for TSMC, resulting in our target PBR of 5.2x and 12M TP of TWD210 for VIS on our one-year forward BVPS forecast.

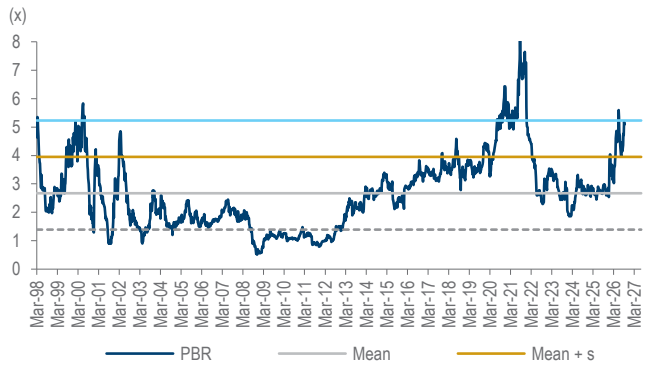
Key downside risks to our call would be: 1) the current chip upcycle ends earlier than expected; and 2) VSMC's 12" fab ramp/execution comes in below expectation.

ROE comparison: VIS vs. TSMC



Source: Company, Daiwa forecasts

VIS: PBR trend



Source: Company, TEJ, Daiwa forecasts

Asian foundry: valuation panel

Stock	Ticker	Price (LC)*	Daiwa rating	PER (x)			PBR (x)			ROE (%)			Earnings growth (%)		
				2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E
TSMC	2330 TT	2,585.0	Buy (1)	39.0	23.6	19.2	12.4	8.5	6.3	35.4	42.8	37.6	46.4	65.5	22.9
HHGrace	1347 HK	105.3	Buy (1)	n.m.	126.5	87.2	3.5	3.4	3.3	0.9	2.7	3.9	-5.6	235.5	45.2
VIS	**5347 TT**	190.0	Outperform (2)	44.9	32.2	24.0	5.6	5.3	4.7	12.4	16.8	20.8	12.2	40.1	34.3
UMC	2303 TT	148.5	Hold (3)	44.8	20.6	20.9	4.9	4.8	4.4	11.0	23.6	21.8	-11.6	117.7	-1.7
SMIC	981 HK	60.90	Sell (5)	75.5	44.4	38.1	1.8	1.7	1.6	4.0	6.6	7.1	115.3	71.9	16.6
GlobalFoundries	GFS US	48.07	Not rated	21.9	24.6	18.6	1.6	2.2	2.0	7.8	8.3	10.9	10.3	13.5	32.8
Average				45.2	45.3	34.7	5.0	4.3	3.8	11.9	16.8	16.9	26.2	89.7	20.4

Source: Companies, Bloomberg, Daiwa forecasts
*Note: * Local currency based on closing prices as of 7 October 2026*

Appendix: company profile

Commanding 1.1% market share, VIS is a leading specialty foundry in the world

Founded in December 1994 with headquarters located in Hsinchu Science Park and shares listed in March 1998, Vanguard International Semiconductor (VIS) is a leading specialty foundry in the world focusing on mix signal, power semiconductor and embedded memory chip manufacturing for value-added differentiation against competition in the mature foundry market. With strategic help from its parent company TSMC on business transformation and technology transfer, VIS commanded a 1.1% share in the global foundry market by 2025 revenue on our estimates (total size c.USD140bn), or nearly 4% in the global mature foundry market (ex-TSMC as a proxy), behind SMIC, UMC, GlobalFoundries (GF) and Huahong Grace Semiconductor (HHGrace; see chart on the next page). Note: our foundry market calculation is for dedicated foundry works only, different from TSMC's revised definition of the Foundry 2.0 that includes not only the dedicated foundry but packaging, testing and other non-memory semiconductor manufacturing services.

The foundry market

We expect VIS to outgrow the global foundry market (ex-TSMC) over 2026-28

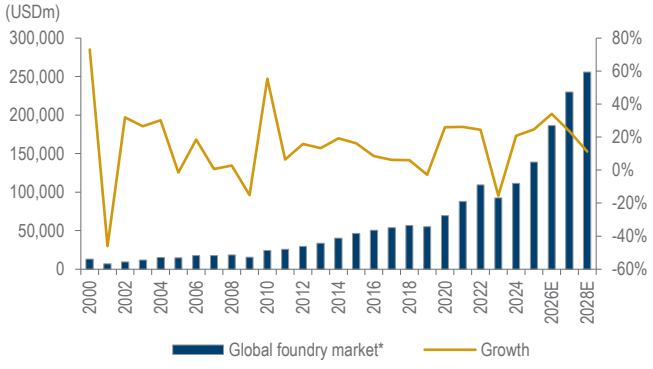
Ever since TSMC's founder innovated the semiconductor foundry service model, the foundry market has been in operation for more than 3 decades. Thanks to a rise in the global AI buildout, the global foundry revenue, after a dip in 2023 on the post-COVID inventory correction, recovered by more than 20% YoY pa over 2024-25. We forecast the growth to accelerate to more than 30% YoY this year, with revenue reaching USD186bn and exceeding USD255bn in 2028 for a robust 23% CAGR over 2025-28. If excluding TSMC, we forecast the market to grow by 14% YoY this year and approach USD60bn in 2028 for a CAGR of 13%, where we expect VIS to outgrow the market growth over our forecast period as illustrated in a chart below, thanks to its fast capacity expansion to capitalise on the AI scaling and paradigm shift in the specialty foundry segment.

Operation and customer

VIS has 5 fabs in operations, with its first 12" fab slated for mass-production from 1Q27

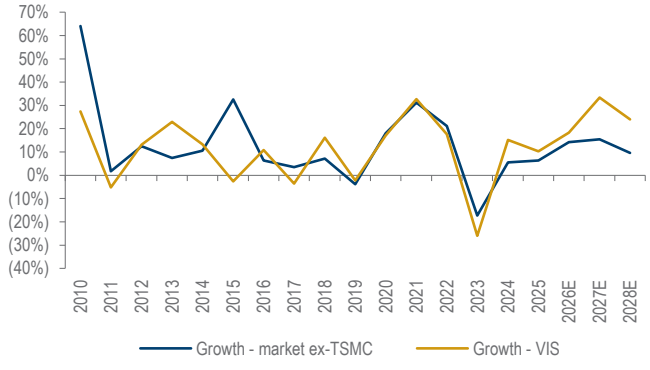
VIS currently operates 5 wafer fabs with 4 in Taiwan, including Fab 1 which commenced operations in 1994 as a memory setup and then converted to mixed signal, power metal oxide semiconductor field effect transistor (MOSFET) and logic foundry fab; Fab 2 which was acquired in 2007 from Winbond; Fab 3 which was acquired from Nanya Tech in 2014; and Fab 5 which was acquired from AUO in 2021, plus 1 in Singapore, Fab VS1, acquired from GF in 2019 and previously named 3E. The 5 fabs currently operate a total of 280,000 wpm capacity all in 8" wafer size, in which the Fab VS1 and 5 are scalable for an extra 10,000 wpm capacity each, though VIS doesn't seem to be keen in exercising the scalability since VSMC apparently is the focus for expansion. Following its opening ceremony on 28 September this year, VIS's first 12" fab via VSMC is slated for mass-production from 1Q27, aimed to bring up total capacity to c.380,000 wpm in 8" equivalent wafer by end-2028.

Global foundry market forecasts



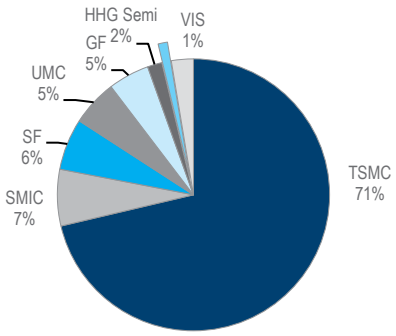
Source: Company, Daiwa estimates and forecasts
*Note: * Dedicated foundries only, not TSMC's definition of the Foundry 2.0*

Revenue growth: VIS vs. foundry market ex-TSMC*



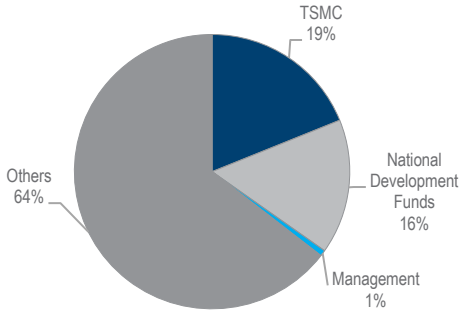
Source: Company, Daiwa estimates and forecasts
*Note: * As a proxy of the mature foundry market*

2025 global foundry market share*



Source: Company, Daiwa estimates
*Note: * GF = GlobalFoundries, SF = Samsung Foundry*

VIS: major shareholder structure



Source: Bloomberg

VIS covers a variety of fabless and IDM customers across Taiwan, China, Japan, Europe and the US

VIS doesn't disclose its key customers due to confidentiality issues, but we believe its key customers cover most of the fabless chipmakers in Taiwan and mainland China focusing on display driver (D/D), power MOSFET and power management IC (PMIC), as well as integrated device manufacturers (IDM) across Japan, Europe and the US. According to our industry survey, key D/D vendors in the greater China region are Novatek (3034 TT, TWD529, Hold [3]), Himax (HIMX US, not rated), Raydium (3592 TT, not rated), Ilitek (6962 TT, not rated), Sitronix Technology (8016 TT, not rated), FocalTech (3545 TT, not rated), Chipone Technology (not listed), OmniVision (603501 CH, CNY82.21, Hold [3]) and GalaxyCore (688728 CH, not rated), while key power semiconductor vendors in the world include Qualcomm (QCOM US, USD177.12, Outperform [2]; covered by Louis Miscioscia), Renesas (6723 JP, JPY3,924, Outperform [2]; covered by Junji Okawa), Monolithic Power Systems (MPS; MPWR US, not rated), NXP (NXPI US, not rated), STMicro (STM US, not rated), Infineon (IFX GR, not rated), Microchip (MCHP US, not rated), TI (TXN US, not rated), MediaTek (2454 TT, TWD4,835, Buy [1], via Richtek), Global Mixed-mode Technology (GMT; 8081 TT, not rated) and Niko Semiconductor (3317 TT, not rated).

Shareholder structure

Major shareholders are TSMC and Taiwan government

VIS's major shareholders were TSMC and the Taiwan government's Development Funds, with c.19% and c.16% of holdings, respectively, as of August 2026 under total share outstanding of 1.88bn. With management in aggregate holding an insignificant stake and the rest being held by institutional investors (QFII holding was 32.7% as of 5 October), we estimate a healthy free float of more than 60% for the stock, with decent cap of c.USD11bn and 3-month daily turnover of more than USD100m.

TSMC reduced its holding in VIS this year by 8pp, raising investor concerns on whether the move would jeopardise the former's strategic support to the latter. We see no direct link between the stake reduction and strategic support, and believe TSMC will continue the support, evidenced by its licence of gallium-nitride (GaN) and interposer technologies and equipment consignment to VSMC.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	VIS's board of directors (BoD) consists of 9 members, including 5 independent directors, representing 56% of the total board seats. The board comprises members with diverse backgrounds in business management, finance, industry, and academia, providing a broad range of expertise and perspectives. We believe the majority-independent board structure and the directors' collective experience in leadership, corporate governance, industry expertise, financial management, risk management, and sustainability strengthen the effectiveness of the BoD and support VIS's long-term growth and corporate governance practices.
	Capital management	1	VIS pays its dividend on a quarterly basis. In the past 5 years, it has managed its dividend payout well, as evidenced by its dividend in dollar terms, where it has never lowered its dividend.
	Related party & transaction	1	Sales to related parties were around 1-2% of its total revenue each year. The percentage is insignificant and thus we see limited risk for VIS.
S	Supply chain management	1	VIS has established a comprehensive sustainable supply chain management framework to ensure suppliers comply with its sustainability requirements covering environmental protection, labor and human rights, occupational health and safety, business ethics, and responsible sourcing. The company requires suppliers to adhere to its "VIS Supplier Code of Conduct" and "Corporate Sustainability Policy", and conducts supplier sustainability assessments and audits as part of its supplier management process. We believe these efforts strengthen VIS's supply chain resilience and help mitigate supply chain risks.
E	Water & wastewater management	2	VIS is committed to improving water efficiency and sustainable water management. In 2022, the company implemented the ISO 46001 Water Efficiency Management System to analyze water consumption patterns, identify significant water-use equipment, evaluate water-saving opportunities, and establish improvement measures. VIS also provides annual water management training at its Taiwan facilities to promote continuous improvement in water-use efficiency. We believe these efforts demonstrate the company's commitment to responsible water stewardship and help reduce operational risks associated with water resources.
E	Waste & hazardous materials management	1	VIS adopts a comprehensive resource management approach to waste management and has established waste management procedures in accordance with ISO 14001 standards. Through dedicated waste management personnel and regular employee training, the company promotes effective waste reduction, classification, collection, storage, and treatment practices across its operations.
E	GHG emissions	1	VIS adopts a source-segregation and multi-stage treatment approach, supported by high-efficiency air pollution control systems, to effectively manage VOC and acidic/alkaline gas emissions from semiconductor manufacturing processes. The company's emission levels remain well below regulatory limits, reflecting its commitment to environmental compliance and sustainable operations.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 Oct 2026

Source: Daiwa, Company

Daiwa's Asia Pacific Research Directory

HONG KONG

Hiroyuki GOTO	(852) 2773 8870	hiroyuki.goto@hk.daiwacm.com
Regional Head of Equity, Asia & Oceania; Regional Head of Asia Pacific Research		
John HETHERINGTON	(852) 2773 8787	john.hetherington@hk.daiwacm.com
Co-Head of Asia Pacific Research and Head of Research Publications		
Li XIONG	(852) 2773 8878	li.xiong@hk.daiwacm.com
Strategy (Hong Kong/China)		
Kelvin LAU	(852) 2848 4467	kelvin.lau@hk.daiwacm.com
Regional Head of Automobiles, Industrials and Transportation		
Evelyn ZHANG	(852) 2848 4970	evelyn.zhang@hk.daiwacm.com
Automobiles and Components (Hong Kong/China)		
Carol XIA	(852) 2532 4349	carol.xia@hk.daiwacm.com
Head of China Consumer; Consumer (Hong Kong/China)		
Steven NIE	(852) 2848 4464	steven.nie@hk.daiwacm.com
Consumer (Hong Kong/China); Global Cryptocurrency		
Siman CHEN	(852) 2532 4350	siman.chen@hk.daiwacm.com
Consumer (Hong Kong/China)		
Jing YANG	(852) 2532 4308	jing.yang@hk.daiwacm.com
Head of China Healthcare		
John CHOI	(852) 2773 8730	john.choi@hk.daiwacm.com
Head of China Internet; Regional Head of Emerging Opportunities		
Lily LIU	(852) 2848 4435	lily.liu@hk.daiwacm.com
Internet (Hong Kong/China)		
Dennis IP	(852) 2848 4068	dennis.ip@hk.daiwacm.com
Head of Asia ex-Japan Power, Utilities, Renewables & ESS (PURE) Research; US & China Power Equipment (Gas, Nuclear, Solar, Grid, Battery & Rare Earth Materials); Tech Hardware – AIDC Power, PCB, Optical Fiber (China)		
Derek ZHANG	(852) 2532 4341	derek.zhang@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – Gas & Gas Equipment, Rare Earth Materials (China), Utilities (Hong Kong), Power Equipment (US)		
Marco ZENG	(852) 2848 4430	marco.zeng@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – US Power, PCB (China)		

CHINA

Louis LUO	(86) 21 6841 3282	louis.luo@daiwacm.cn
Automobiles and Components, Industrials (China)		
William WU	(86) 21 6841 3200	william.wu@daiwacm.cn
Banking, Property (China/Hong Kong)		
Mavis MA	(86) 21 6841 3288	mavis.ma@daiwacm.cn
Battery Components; Industrials (China)		
Leo LU	(86) 21 6841 3286	leo.lu@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) – Solar, ESS, Lithium, AIDC Power (China)		
Skye LIANG	(86) 21 6841 3207	skye.liang@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) - Grid, Wind and Optical Fibre (China)		
Bintuo NI	(86) 21 6841 3228	bintuo.ni@daiwacm.cn
Tech Hardware and Semiconductors (China)		

SOUTH KOREA

Yoonki BAE	(82) 2 787 9168	yoonki.bae@kr.daiwacm.com
Automobile Components, Healthcare		
Mike OH	(82) 2 787 9179	mike.oh@kr.daiwacm.com
Banking, Capital Goods – Defence, Construction and Shipbuilding, and Utilities		
Youngho JANG	(82) 2 787 9838	youngho.jang@kr.daiwacm.com
Consumer, Healthcare		
Henny JUNG	(82) 2 787 9182	henny.jung@kr.daiwacm.com
EV Batteries and Battery Materials, IT/Electronics (Small/Mid Cap), Automobiles and Components		
Daeho SON	(82) 2 787 9176	dh.son@kr.daiwacm.com
Industrials – Robotics		
Joon LEE	(82) 2 787 9151	hj.lee@kr.daiwacm.com
Media, Software and IT Services		
Thomas Y KWON	(82) 2 787 9181	yskwon@kr.daiwacm.com
Pan-Asia Head of Internet & Telecommunications; Online Games		
SK KIM	(82) 2 787 9173	sk.kim@kr.daiwacm.com
Head of Global Memory; IT/Electronics – Semiconductors/Displays and Tech Hardware		

TAIWAN

Rick HSU	(886) 2 8758 6261	rick.hsu@daiwacm-cathay.com.tw
Head of Regional Technology; Head of Taiwan Research; Semiconductors (Regional)		
Sheng CHENG	(886) 2 8758 6253	sheng.cheng@daiwacm-cathay.com.tw
IT/Technology Hardware (Automation, Datacentre Components and PCB/CCL) (Greater China)		
Leon CHEN	(886) 2 8758 6247	leon.chen@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Stacy LIN	(886) 2 8758 6252	stacy.lin@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Helen CHIEN	(886) 2 8758 6254	helen.chien@daiwacm-cathay.com.tw
Small/Mid Cap		

Daiwa's Offices

Office / Branch / Affiliate	Address	Tel	Fax
DAIWA SECURITIES GROUP INC			
HEAD OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6753	(81) 3 5555 3111	(81) 3 5555 0661
Daiwa Securities Trust Company	One Evertrust Plaza, Jersey City, NJ 07302, U.S.A.	(1) 201 333 7300	(1) 201 333 7726
Daiwa Securities Trust and Banking (Europe) PLC (Head Office)	5 King William Street, London EC4N 7JB, United Kingdom	(44) 207 320 8000	(44) 207 410 0129
Daiwa Europe Trustees (Ireland) Ltd	Level 3, Block 5, Harcourt Centre, Harcourt Road, Dublin 2, Ireland	(353) 1 603 9900	(353) 1 478 3469
Daiwa Capital Markets America Inc. New York Head Office	1251 Avenue of the Americas, 49th Floor, New York, NY 10020	(1) 212 612 7000	(1) 212 612 7100
Daiwa Capital Markets America Inc. San Francisco Branch	1 California St, Suite 200, San Francisco, CA 94111, U.S.A.	(1) 415 955 8100	(1) 415 956 1935
Daiwa Capital Markets Europe Limited, London Head Office	5 King William Street, London EC4N 7AX, United Kingdom	(44) 20 7597 8000	(44) 20 7597 8600
Daiwa Capital Markets Deutschland GmbH	Tower 185, 26 O.G., Friedrich-Ebert-Anlage 35-37, 60327 Frankfurt am Main, Germany	(49) 69 27139 8100	(49) 69 27139 8190
Daiwa Capital Markets Europe Limited, Paris Representative Office	40 rue du Colisée, 75008 Paris, France	(33) 1 56 262 200	(33) 1 47 550 808
Daiwa Capital Markets Europe Limited, Bahrain Branch	Office 3503, 35th Floor, United Tower, Bahrain Bay, P.O. Box 30069, Manama, Bahrain	(973) 17 534 452	(973) 17 535 113
Daiwa Capital Markets Hong Kong Limited	Level 26, One Pacific Place, 88 Queensway, Hong Kong	(852) 2525 0121	(852) 2845 1621
Daiwa Capital Markets Singapore Limited	7 Straits View, Marina One East Tower, #16-05 & #16-06, Singapore 018936, Republic of Singapore	(65) 6387 8888	(65) 6282 8030
Daiwa Capital Markets Australia Limited	Level 34, Rialto North Tower, 525 Collins Street, Melbourne, Victoria 3000, Australia	(61) 3 9916 1300	(61) 3 9916 1330
Daiwa-Cathay Capital Markets Co Ltd	14/F, 200, Keelung Road, Sec 1, Taipei, Taiwan, R.O.C.	(886) 2 2723 9698	(886) 2 2345 3638
Daiwa Securities Capital Markets Korea Co., Ltd.	20 Fl.& 21Fl. One IFC, 10 Gukjegeumyung-Ro, Yeongdeungpo-gu, Seoul, Korea	(82) 2 787 9100	(82) 2 787 9191
Daiwa Securities Co. Ltd., Beijing Representative Office	Room 301/302，Kerry Center，1 Guanghua Road，Chaoyang District，Beijing 100020, People's Republic of China	(86) 10 6500 6688	(86) 10 6500 3594
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Daiwa Securities Co. Ltd., Hanoi Representative Office	Suite 1101, Tower 2, Capital Place Building, 29 Lieu Giai, Ba Dinh District, Hanoi, Vietnam	(84) 4 3946 0460	(84) 4 3946 0461
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HEAD OFFICE	15-6, Fuyuki, Koto-ku, Tokyo, 135-8460, Japan	(81) 3 5620 5100	(81) 3 5620 5603
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New York Research Center	11th Floor, Financial Square, 32 Old Slip, NY, NY 10005-3504, U.S.A.	(1) 212 612 6100	(1) 212 612 8417
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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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FOCI (3363.TWO): CPO FAU in contribution; 3Q26 revenues +40% QoQ; Buy

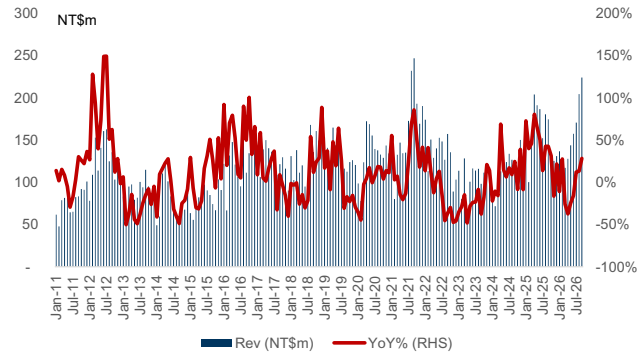
Allen Chang
+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

Verena Jeng
+852-2978-1681 | verena.jeng@gs.com
Goldman Sachs (Asia) L.L.C.

Ting Song
+852-2978-6466 | ting.song@gs.com
Goldman Sachs (Asia) L.L.C.

FOCI's 3Q26 revenues were up 18% YoY/40% QoQ to NT$600m, and we expect to see strong QoQ revenues growth in 4Q26E to NT$1.2bn, supported by better seasonality and the gradual ramp up of 3.2T CPO FAU shipment, after starting mass production in 3Q26. The company continues to expand FAU capacity, riding on the growing demand of high-speed FAU products with expansion from the scale-out to scale-up market. We expect the company's high-speed CPO FAU revenues contribution to reach 21%/59%/73% in 2026E-28E. Maintain Buy.

Exhibit 1: FOCI monthly revenues and YoY



Source: Company data

3-month preview: The company's Sep revenues were up 28% YoY/10% MoM to NT$224m, though 27% below our previous estimates, we attribute this to the longer-than-expected time to see high-speed CPO FAU ramp up. Looking ahead, we expect to see sequential MoM increase at 15%/20% MoM in Oct/Nov 2026 to NT$258m/ NT$309m, supported by capacity expansion, efficiency improvement, and rack-level AI server ramp up.

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Exhibit 2: We expect FOCI Oct revenues to grow 92% YoY/15% MoM to NT$258m
FOCI quarterly/monthly revenues

	Jul-26	Aug-26	Sep-26	Oct-26 (E)	Nov-26 (E)	Dec-26 (E)	2Q26	3Q26	4Q26E
Rev (NT$m)	171	204	224	258	297	679	429	600	1,234
YoY	12%	13%	28%	92%	136%	418%	-26%	18%	216%
MoM / QoQ	9%	20%	10%	15%	15%	129%	12%	40%	106%
GS estimates (NT$m)		174	306				433	651	
Act. Vs. GS.		17%	-27%				-1%	-8%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision: Factoring in FOCI's 3Q26 revenues, we revise down 2026E earnings by 6% on lower-than-expected CPO FAU revenues in 3Q, and revise up 2027E-30E earnings by 1%/1%/1%/1% mainly on higher revenues of high-speed CPO FAU, supported by FOCI's focus on CPO-scale up and rising CPO switch demand.

Exhibit 3: Earnings revision

	2026E			2027E			2028E			2029E			2030E		
NT$m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	2,704	2,644	-2%	9,745	9,767	0%	25,477	25,700	1%	32,769	33,140	1%	36,583	37,026	1%
GP	500	484	-3%	3,265	3,281	0%	9,653	9,766	1%	12,436	12,607	1%	14,148	14,349	1%
OP	52	44	-15%	2,193	2,207	1%	6,927	7,016	1%	9,225	9,359	1%	10,819	10,979	1%
Net income	90	84	-6%	1,917	1,930	1%	5,460	5,530	1%	7,245	7,350	1%	8,491	8,617	1%
EPS (diluted)	0.82	0.77	-6%	17.49	17.60	1%	49.80	50.43	1%	66.08	67.04	1%	77.44	78.59	1%
Margins															
GM	18.5%	18.3%		33.5%	33.6%		37.9%	38.0%		38.0%	38.0%		38.7%	38.8%	
Opex ratio	16.6%	16.6%		11.0%	11.0%		10.7%	10.7%		9.8%	9.8%		9.1%	9.1%	
OPM	1.9%	1.7%		22.5%	22.6%		27.2%	27.3%		28.2%	28.2%		29.6%	29.7%	
NM	3.3%	3.2%		19.7%	19.8%		21.4%	21.5%		22.1%	22.2%		23.2%	23.3%	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: FOCI P&L Summary

(NT$ m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	411	582	508	391	382	429	600	1,234	1,364	1,892	2,644	9,767	25,700	33,140	37,026
Gross profit	71	115	121	49	7	1	101	375	181	356	484	3,281	9,766	12,607	14,349
Operating expense	(77)	(83)	(110)	(84)	(163)	(93)	(88)	(95)	(272)	(354)	(439)	(1,074)	(2,750)	(3,248)	(3,369)
Operating income	(6)	33	11	(36)	(156)	(92)	12	280	(92)	1	44	2,207	7,016	9,359	10,979
Net income	1	17	21	(22)	(107)	(25)	14	202	(48)	16	84	1,930	5,530	7,350	8,617
EPS, diluted (NT$)	0.01	0.16	0.20	(0.22)	(0.98)	(0.23)	0.13	1.84	(0.48)	0.16	0.77	17.60	50.43	67.04	78.59
Margins / ratio															
Gross margin	17.2%	19.8%	23.8%	12.4%	1.9%	0.2%	16.8%	30.4%	13.3%	18.8%	18.3%	33.6%	38.0%	38.0%	38.8%
Opex ratio	-18.8%	-14.2%	-21.7%	-21.6%	-42.7%	-21.7%	-14.7%	-7.7%	-20.0%	-18.7%	-16.6%	-11.0%	-10.7%	-9.8%	-9.1%
Operating margin	-1.6%	5.6%	2.2%	-9.2%	-40.8%	-21.4%	2.1%	22.7%	-6.7%	0.1%	1.7%	22.6%	27.3%	28.2%	29.7%
Net margin	0.3%	2.9%	4.1%	-5.7%	-28.0%	-5.8%	2.3%	16.4%	-3.5%	0.9%	3.2%	19.8%	21.5%	22.2%	23.3%
QoQ															
Revenue	14%	41%	-13%	-23%	-2%	12%	40%	106%							
Gross profit	110%	63%	5%	-60%	-85%	-87%	10343%	273%							
Operating income	nm	nm	-66%	nm	nm	nm	nm	2154%							
Net income	nm	1420%	22%	nm	nm	nm	nm	1342%							
YoY															
Revenue	53%	65%	33%	9%	-7%	-26%	18%	216%	7%	39%	40%	269%	163%	29%	12%
Gross profit	235%	62%	121%	44%	-90%	-99%	-17%	672%	0%	97%	36%	578%	198%	29%	14%
Operating income	nm	376%	nm	nm	nm	nm	13%	nm	nm	nm	3630%	4868%	218%	33%	17%
Net income	nm	-34%	nm	nm	nm	nm	-32%	nm	nm	nm	419%	2197%	187%	33%	17%

Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to derive our 12m target price via a discounted P/E and derive the target P/E multiple via peers' trading P/E vs. forward year EPS YoY (methodology unchanged). With this, our target multiple declines slightly to 16.4x (vs. 15.4x previously) based on FOCI's largely unchanged long-term earnings growth (2030E-31E EPS YoY at 15% on avg.), reflecting improving sentiment on rack-level AI server ramp up and high-speed transition. We continue to apply the target P/E to 2030E EPS (unchanged), and discount it back to 2027E via a 12.6% COE (unchanged). Our new TP is NT$900 (vs. NT$833 previously). Our new TP implies 51x 2027E P/E. Our new TP implies 10x 2027E P/S, within its historical trading range of 5x to 30x. Maintain Buy.

Exhibit 5: FOCI discounted P/E

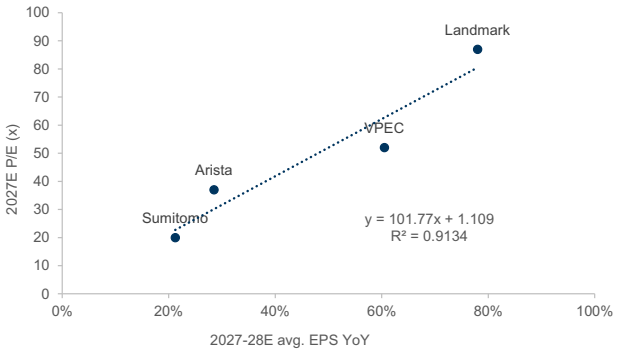
NT$m	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Milestones	Optical components			High-speed FAU for CPO			Migrating to higher speed FAU			
Revenue	**1,621**	**1,272**	**1,364**	**1,892**	**2,644**	**9,767**	**25,700**	**33,140**	**37,026**	**40,654**
YoY		*-22%*	*7%*	*39%*	*40%*	*269%*	*163%*	*29%*	*12%*	*10%*
Gross margin	18.4%	14.1%	13.3%	18.8%	18.3%	33.6%	38.0%	38.0%	38.8%	39.3%
Operating profit	**99**	**-58**	**-92**	**1**	**44**	**2,207**	**7,016**	**9,359**	**10,979**	**12,400**
YoY		na	na	na	3630%	4868%	218%	33%	17%	13%
Operating margin	*6%*	*-5%*	*-7%*	*0%*	*2%*	*23%*	*27%*	*28%*	*30%*	*31%*
Pre-tax profit	**73**	**6**	**-57**	**23**	**146**	**2,270**	**7,079**	**9,423**	**11,047**	**12,467**
Net profit	**47**	**12**	**-48**	**16**	**84**	**1,930**	**5,530**	**7,350**	**8,617**	**9,725**
EPS (NTD, diluted)	**0.53**	**0.13**	**-0.48**	**0.16**	**0.77**	**17.60**	**50.43**	**67.04**	**78.59**	**88.69**
YoY		*-74%*	*na*	*na*	*419%*	*2197%*	*187%*	*33%*	*17%*	*13%*
TP implied P/S						10	4	3	3	2
TP implied P/E						51	18	13	11	10

2030E target P/E	16.4
Target multiple x EPS	1,285
Discounted back to 2027; TP (NTD)	**900**
Implied 2027 P/E	51

COE assumption	
Beta	1.4
Risk free	3.5%
Market risk premium	6.5%
COE	**12.6%**

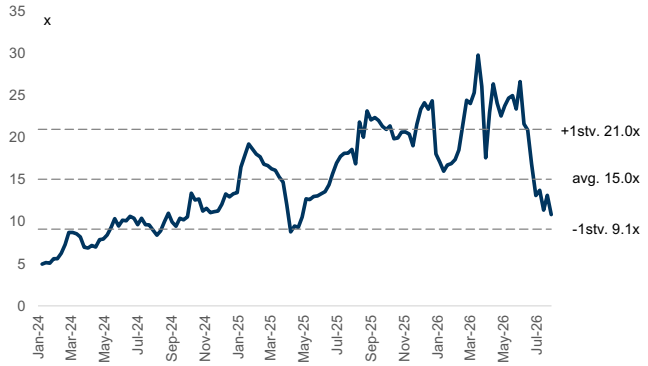
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: FOCI peers' 2027E P/E vs. 2027-28E EPS YoY



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: FOCI 12M forward P/S ratio



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Valuation: Our 12-month target price of NT$900 is based on a 16.4x 2030E P/E, discounted back to 2027E at a COE of 12.6%. Our target multiple is derived from peers' correlation between forward-year trading P/E and earnings growth.

Key downside risks: Fiercer-than-expected market competition, technology migration trends in optical networking, and slower-than-expected capacity ramp-up.

3363.TWO	12m Price Target: **NT$900.00**	Price: **NT$667.00**	Upside: **34.9%**

Buy

Market cap: NT$73.1bn / $2.3bn
Enterprise value: NT$70.2bn / $2.2bn
3m ADTV: NT$2.4bn / $75.9mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**1,892.0**	**2,644.3**	**9,767.2**	**25,700.0**
Revenue (NT$ mn) Old	1,892.0	2,704.0	9,745.0	25,477.2
EBITDA (NT$ mn)	124.2	221.9	2,665.4	7,761.3
EPS (NT$) New	**0.16**	**0.77**	**17.60**	**50.43**
EPS (NT$) Old	0.16	0.82	17.49	49.80
P/E (X)	NM	NM	37.9	13.2
P/B (X)	12.3	12.3	9.3	5.5
Dividend yield (%)	0.0	0.0	0.0	0.0
CROCI (%)	3.6	9.6	47.2	77.4

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	(0.23)	0.13	1.84	2.30

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Oct 2026 close.

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Reg AC

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Contributing Authors: Allen Chang Goldman Sachs (Asia) L.L.C., Verena Jeng Goldman Sachs (Asia) L.L.C., Ting Song Goldman Sachs (Asia) L.L.C..

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FOCI (3363.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
06-Aug-26	833.00	604.00
06-Jul-26	864.00	574.00

Price targets shown in table(s) are unadjusted for corporate actions.

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Largan (3008.TW)

FAU to drive strong earnings growth and re-rating; TP up to NT$11,000, Buy

3008.TW	12m Price Target: **NT$11,000.00**	Price: **NT$6,660.00**	Upside: **65.2%**

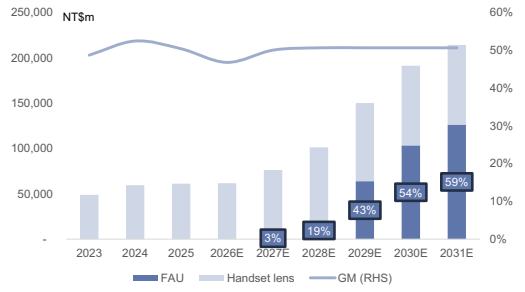
BUY

Verena Jeng
+852-2978-1681 | verena.jeng@gs.com
Goldman Sachs (Asia) L.L.C.

Allen Chang
+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

We are positive on Largan and expect its strong alignment technology to continue supporting its expansion from handset lens into FA and FAU for CPO switches. The company's FA has passed customer qualification with strong positive feedback, while customers prefer to purchase its integrated product (FA+FAU), reaffirming our positive view on Largan's business expansion. Management highlights that its strong alignment and automated production provide strong precision, fast production and testing, supporting customer penetration. We model FAU revenue contribution at 3% in 2027E and above 50% in 2030E, driving Largan's earnings growth, margin expansion, and valuation re-rating. Maintain Buy with TP up to NT$11,000 (implies 39.8x 2028E PE).

Exhibit 1: Largan revenues by products and GM trend



Source: Company data, Goldman Sachs Global Investment Research

3-month revenue preview: Largan delivered weak revenue growth in 3Q26 with revenue -11% YoY, which we attribute to a slow smartphone market amid high memory costs, fewer model launches of its major smartphone brand customer, and foldable phones released in 4Q26 (report link). The miss also reflects a slower handset lens pixel mix upgrade than we had previously estimated.

Key Data

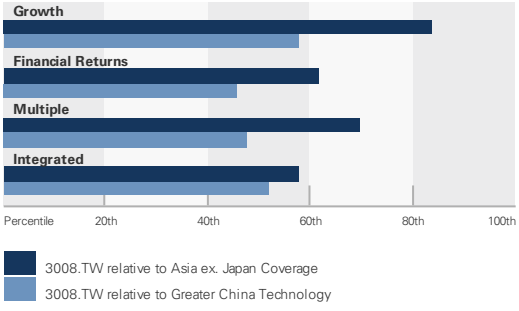
Market cap: NT$896.1bn / $28.1bn
Enterprise value: NT$782.7bn / $24.5bn
3m ADTV: NT$13.2bn / $413.8mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**61,147.9**	**61,653.5**	**76,334.7**	**101,306.6**
Revenue (NT$ mn) Old	61,147.9	65,503.4	76,561.8	85,020.5
EBITDA (NT$ mn)	31,290.3	30,251.2	42,329.3	53,616.0
EPS (NT$) New	**159.41**	**162.60**	**207.41**	**278.57**
EPS (NT$) Old	159.41	187.34	217.11	239.29
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
Dividend yield (%)	3.3	1.2	1.5	2.1
CROCI (%)	11.2	11.5	14.4	16.2

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	39.62	40.65	49.77	36.05

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

Largan (3008.TW)

Rating since Nov 12, 2024

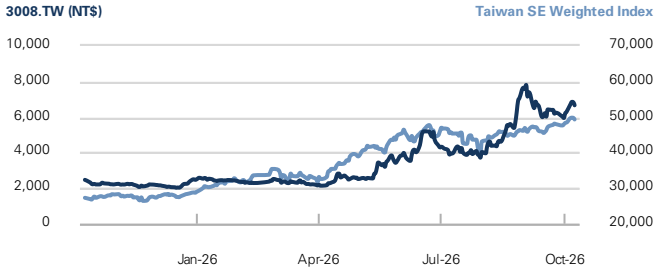
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
FCF yield (%)	4.3	1.1	3.7	3.3
EV/EBITDAR (X)	6.4	25.6	17.8	13.8
EV/EBITDA (excl. leases) (X)	6.4	25.6	17.8	13.8
CROCI (%)	11.2	11.5	14.4	16.2
ROE (%)	11.4	11.1	13.4	16.7
Net debt/equity (%)	(64.1)	(60.3)	(66.6)	(68.0)
Net debt/equity (excl. leases) (%)	(64.1)	(60.3)	(66.6)	(68.0)
Interest cover (X)	15,611.8	7,608.9	9,940.7	13,702.5
Days inventory outst, sales	37.1	47.9	40.9	40.4
Receivable days	62.1	62.0	50.0	50.0
Days payable outstanding	21.6	22.0	22.0	22.0
DuPont ROE (%)	11.1	10.7	12.9	15.9
Turnover (X)	0.3	0.3	0.3	0.4
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (NT$)	222,420.9	241,679.6	267,828.7	298,740.5
Average capital employed (NT$)	73,429.5	80,655.1	82,379.7	79,780.5
BVPS (NT$)	1,395.59	1,484.98	1,579.62	1,727.59

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	2.8	0.8	23.8	32.7
EBITDA growth	3.4	(3.3)	39.9	26.7
EPS growth	(19.7)	2.0	27.6	34.3
DPS growth	(19.0)	2.4	27.0	35.0
EBIT margin	38.5	35.2	39.2	40.7
EBITDA margin	51.2	49.1	55.5	52.9
Net income margin	34.8	35.1	36.3	36.7

Price Performance



	3m	6m	12m
Absolute	68.6%	192.1%	168.0%
Rel. to the Taiwan SE Weighted Index	56.4%	105.9%	47.1%

Source: FactSet. Price as of 8 Oct 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	61,147.9	61,653.5	76,334.7	101,306.6
Cost of goods sold	(30,310.8)	(32,786.7)	(38,112.7)	(49,958.8)
SG&A	(1,985.5)	(1,885.5)	(1,832.0)	(1,620.9)
R&D	(5,293.3)	(5,295.8)	(6,488.4)	(8,509.8)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**31,290.3**	**30,251.2**	**42,329.3**	**53,616.0**
Depreciation & amortization	(7,732.0)	(8,565.7)	(12,427.8)	(12,398.9)
EBIT	**23,558.3**	**21,685.5**	**29,901.5**	**41,217.1**
Net interest inc./(exp.)	4,258.6	3,896.3	3,913.0	4,104.2
Income/(loss) from associates	87.0	83.3	–	–
Pre-tax profit	**25,900.2**	**26,446.2**	**33,814.6**	**45,321.3**
Provision for taxes	(4,340.0)	(4,539.3)	(5,883.7)	(7,891.5)
Minority interest	(284.9)	(241.0)	(248.7)	(250.2)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
EPS (basic, pre-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, pre-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
EPS (basic, post-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, post-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
DPS (NT$)	77.87	79.76	101.32	136.83
Div. payout ratio (%)	48.9	49.1	48.9	49.1

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	115,941.7	115,177.0	136,906.6	152,609.6
Accounts receivable	10,461.7	10,483.6	10,430.0	17,325.2
Inventory	6,713.2	9,455.6	7,669.0	14,778.3
Other current assets	21,168.8	21,168.8	21,168.8	21,168.8
Total current assets	**154,285.5**	**156,285.0**	**176,174.5**	**205,881.9**
Net PP&E	51,472.4	60,978.8	57,943.2	52,866.6
Net intangibles	474.6	351.6	344.5	213.7
Total investments	26.5	26.5	26.5	26.5
Other long-term assets	14,528.1	14,528.1	14,528.1	14,528.1
Total assets	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Accounts payable	1,727.9	2,224.5	2,369.9	3,652.5
Short-term debt	0.0	0.0	0.0	0.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	28,020.6	28,214.1	31,194.1	35,898.7
Total current liabilities	**29,748.5**	**30,438.5**	**33,564.1**	**39,551.2**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	170.6	170.6	170.6	170.6
Total long-term liabilities	**170.6**	**170.6**	**170.6**	**170.6**
Total liabilities	**29,919.1**	**30,609.1**	**33,734.6**	**39,721.7**
Preferred shares	–	–	–	–
Total common equity	188,867.2	199,801.1	213,771.1	232,534.0
Minority interest	**2,000.8**	**1,759.8**	**1,511.1**	**1,261.0**
Total liabilities & equity	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Net debt, adjusted	(122,308.6)	(121,543.8)	(143,273.5)	(158,976.5)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	25,900.2	21,665.9	27,682.2	37,179.6
D&A add-back	7,732.0	8,565.7	12,427.8	12,398.9
Minority interest add-back	(284.9)	(241.0)	(248.7)	(250.2)
Net (inc)/dec working capital	(1,208.2)	(2,267.7)	1,985.6	(12,721.8)
Other operating cash flow	(6,058.9)	–	–	–
Cash flow from operations	**26,080.2**	**27,723.0**	**41,846.9**	**36,606.6**
Capital expenditures	(12,340.0)	(17,849.1)	(9,160.2)	(7,091.5)
Acquisitions	(2,040.4)	–	–	–
Divestitures	(2.6)	(100.0)	(225.0)	(100.0)
Others	5,147.2	–	–	–
Cash flow from investing	**(9,235.7)**	**(17,949.1)**	**(9,385.2)**	**(7,191.5)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(13,013.1)	(10,538.6)	(10,732.1)	(13,712.2)
Inc/(dec) in debt	(203.4)	–	–	–
Other financing cash flows	(1,344.6)	0.0	0.0	0.0
Cash flow from financing	**(14,561.2)**	**(10,538.6)**	**(10,732.1)**	**(13,712.2)**
Total cash flow	**2,283.4**	**(764.7)**	**21,729.7**	**15,703.0**
Free cash flow	13,740.3	9,873.9	32,686.7	29,515.1

Source: Company data, Goldman Sachs Research estimates.

We expect Oct revenues to be at a similar level to Sep, and to sequentially decline in Nov and Dec, resulting in 4Q26 revenue growth of +7% QoQ.

Exhibit 2: Largan monthly revenues preview

	Jul 2026	Aug 2026	Sep 2026	Oct 2026E	Nov 2026E	Dec 2026E	2Q26	3Q26	4Q26E
Rev (NT$m)	4,877	5,012	5,779	5,895	5,600	5,299	13,665	15,651	16,794
YoY	-11%	-16%	-7%	-6%	6%	-6%	17%	-11%	-2%
MoM/QoQ	31%	3%	15%	2%	-5%	-5%	-12%	15%	7%
GS estimates (NT$m)	4,826	6,756	7,285				13,750	18,866	
Act. Vs. GS	1%	-26%	-21%				-1%	-17%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision

Our net income estimates are revised by -13% / -4% / +16% in 2026-28E mainly on changes in revenues, GM, and Opex ratio, reflecting: **(1) handset lens:** we continue to expect Largan's lens pixel mix upgrade, but at a slower pace, reflecting the 3Q26 miss and slow smartphone market amid high memory costs, **(2) FAU:** we estimate revenue contribution will begin in 2H27, with 0.6m / 5m in 2027 / 28E, along with product mix upgrade toward higher bandwidth FAU that should support ASP and GM. We expect FAU revenue contribution of 3% in 2027E and exceed 50% in 2030E, **(3) GM:** we lower our GM estimates to reflect the slower pace of handset lens pixel mix upgrade and the company's higher costs on green energy. We expect GM to sustain at ~50% in 2026-28E, supported by continuous handset lens pixel mix upgrade and strong demand of FAU, **(4) Opex ratio:** we continue to expect rising opex, while the opex ratio would improve as strong revenue growth driven by FAU and FAU's higher ASP relative to handset lens enhance operating efficiency.

Exhibit 3: Largan earnings revision

	2026E			2027E			2028E		
NT m	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	65,503	61,654	-6%	76,562	76,335	0%	85,021	101,307	19%
GP	33,681	28,867	-14%	42,012	38,222	-9%	47,968	51,348	7%
OP	25,995	21,685	-17%	32,893	29,902	-9%	37,757	41,217	9%
Net income	24,904	21,666	-13%	28,976	27,682	-4%	31,937	37,180	16%
EPS (Diluted)	185.12	161.03	-13%	214.48	204.55	-5%	237.27	276.22	16%
Margins									
GM	51.4%	46.8%		54.9%	50.1%		56.4%	50.7%	
OPM	39.7%	35.2%		43.0%	39.2%		44.4%	40.7%	
NM	38.0%	35.1%		37.8%	36.3%		37.6%	36.7%	

Source: Goldman Sachs Global Investment Research

Exhibit 4: Largan revenues and GM revision

Revenues (NT$m)	2026E	2027E	2028E	GM	2026E	2027E	2028E
NEW	61,654	76,335	101,307	NEW	46.8%	50.1%	50.7%
FAU	-	2,074	19,191	FAU		46.0%	47.4%
Periscope lens	19,653	23,178	26,702	Periscope lens	38.4%	38.3%	38.2%
20MPx+ handset lens	11,911	26,562	34,714	20MPx+ handset lens	70.5%	70.4%	70.4%
Other handset lens	17,833	13,078	9,657	Other handset lens	57.1%	56.4%	55.6%
Others	12,256	11,443	11,042	Others	22.5%	20.3%	20.3%
OLD	65,503	76,562	85,021	OLD	51.4%	54.9%	56.4%
FAU	63	1,067	4,518	FAU	50.3%	50.4%	50.5%
Periscope lens	18,610	18,570	20,741	Periscope lens	38.9%	38.5%	38.5%
20MPx+ handset lens	16,705	31,766	38,447	20MPx+ handset lens	72.9%	73.0%	75.0%
Other handset lens	17,796	13,029	9,611	Other handset lens	62.7%	62.3%	62.0%
Others	12,330	12,130	11,705	Others	24.8%	24.8%	24.9%
CHG	-6%	0%	19%	CHG (NEW - OLD)	-5%	-5%	-6%
FAU	-100%	94%	325%	FAU	-50%	-4%	-3%
Periscope lens	6%	25%	29%	Periscope lens	-1%	0%	0%
20MPx+ handset lens	-29%	-16%	-10%	20MPx+ handset lens	-2%	-3%	-5%
Other handset lens	0%	0%	0%	Other handset lens	-6%	-6%	-6%
Others	-1%	-6%	-6%	Others	-2%	-5%	-5%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Largan 3Q26 results snapshot

NT m	3Q25	2Q26	3Q26	QoQ	YoY	GS	Act / GS	Cons.	Act/Cons.
Revenue	17,677	13,665	15,651	15%	-11%	18,866	-17%	18,196	-14%
GP	8,352	6,753	6,607	-2%	-21%	9,339	-29%	9,120	-28%
OP	6,265	5,148	4,735	-8%	-24%	7,094	-33%	6,946	-32%
Net income	7,080	4,670	5,182	11%	-27%	6,699	-23%	6,723	-23%
Margins									
GM	47.2%	49.4%	42.2%			49.5%		50.1%	
OPM	35.4%	37.7%	30.3%			37.6%		38.2%	
NM	40.1%	34.2%	33.1%			35.5%		36.9%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Compared to Bloomberg consensus, we are 4% / 16% ahead in 2027 / 28E net income, mainly on higher revenues and lower opex ratio, reflecting our positive view on Largan's FAU, which is in strong demand with bandwidth upgrade.

Exhibit 6: GS vs. Bloomberg consensus

	2027E			2028E		
NT m	GS	BB	Diff %	GS	BB	Diff %
Revenue	76,335	72,074	6%	101,307	90,479	12%
GP	38,222	36,929	4%	51,348	45,410	13%
OP	29,902	28,454	5%	41,217	34,680	19%
Net income	27,682	26,732	4%	37,180	31,942	16%
Margins						
GM	50.1%	51.2%		50.7%	50.2%	
OPM	39.2%	39.5%		40.7%	38.3%	
NM	36.3%	37.1%		36.7%	35.3%	

Source: Goldman Sachs Global Investment Research, Bloomberg

Valuation

We change our valuation methodology from 2027E PE to discounted PE to better capture the company's long term opportunities in FAU. Our target PE multiple (29.8x) is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at

19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our new target price is NT$11,000 (vs. NT$6,263 previously). Our target price implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Exhibit 7: Largan discounted PE

NT$m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Key assumptions									
Revenues (NT$m)	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
FAU	-	-	-	-	2,074	19,191	63,908	103,530	126,348
Others	48,842	59,458	61,148	61,654	74,261	82,115	86,221	87,945	87,945
YoY	**2%**	**22%**	**3%**	**1%**	**24%**	**33%**	**48%**	**28%**	**12%**
FAU						825%	233%	62%	22%
Others	2%	22%	3%	1%	20%	11%	5%	2%	0%
FAU revenues contribution					*3%*	*19%*	*43%*	*54%*	*59%*
FAU shipment (k units)					592	4,789	14,368	21,551	25,862
YoY						*710%*	*200%*	*50%*	*20%*
FAU ASP (US$)					117	134	148	160	163
YoY						*14%*	*11%*	*8%*	*2%*
P&L									
Revenue	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
Gross profit	**23,808**	**31,209**	**30,837**	**28,867**	**38,222**	**51,348**	**76,093**	**97,050**	**108,616**
Gross margin	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%	50.7%	50.7%	50.7%
OPEX	5,986	7,177	7,279	7,181	8,320	10,131	15,013	19,148	21,429
Opex ratio	12.3%	12.1%	11.9%	11.6%	10.9%	10.0%	10.0%	10.0%	10.0%
Operating profit	**17,821**	**24,033**	**23,558**	**21,685**	**29,902**	**41,217**	**61,081**	**77,903**	**87,186**
OPM	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%	40.7%	40.7%	40.7%
Non-op	4,280	8,142	2,342	4,761	3,913	4,104	4,104	4,104	4,104
Pre-tax profit	**22,102**	**32,174**	**25,900**	**26,446**	**33,815**	**45,321**	**65,185**	**82,007**	**91,291**
Tax	4,200	5,963	4,340	4,539	5,884	7,891	11,350	14,279	15,896
Tax rate	19.0%	18.5%	16.8%	17.2%	17.4%	17.4%	17.4%	17.4%	17.4%
Minority	-	296	285	241	249	250	250	250	250
Net profit	**17,902**	**25,915**	**21,275**	**21,666**	**27,682**	**37,180**	**53,584**	**67,478**	**75,145**
EPS (NTD, diluted)	**132.62**	**191.44**	**157.21**	**161.03**	**204.55**	**276.22**	**398.10**	**501.32**	**558.28**
YoY	*-21%*	*44%*	*-18%*	*2%*	*27%*	*35%*	*44%*	*26%*	*11%*
TP implied P/E					53.8	39.8	27.6	21.9	19.7

2030E target P/E	29.8
Target multiple x EPS	14,939
Discounted back to 2027; TP (NTD)	**11,000**
Implied 2027 P/E	53.8

COE assumption	
Beta	1.1
Risk free	3.5%
Market risk premium	6.5%
COE	**10.7%**

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: Largan peer comparison

Company	Ticker	Rating	PE	NI YoY		OPM		Ratio
			2030E	2030E	2031E	2030E	2031E	
Largan	3008.TW	Buy	13.3	26%	11%	40.7%	40.7%	0.2
Largan (TP implied)	3008.TW	Buy	29.8	26%	11%	40.7%	40.7%	0.5
Company	**Ticker**	**Rating**	**PE**	**NI YoY**		**OPM**		**Ratio**
			2027E	**2027E**	**2028E**	**2027E**	**2028E**	
Peers								
AAC	2018.HK	Neutral	12.4	17%	12%	9.7%	10.0%	0.5
T&S	300570.SZ	NC	47.1	96%	62%	24.2%	25.4%	0.5
VPEC	2455.TW	Buy	48.9	67%	55%	35.2%	37.3%	0.5
Sumitomo	5802.JT	Buy	17.2	18%	25%	9.8%	11.2%	0.5
Average			**31.4**	**50%**	**38%**	**19.7%**	**21.0%**	**0.5**

NC: Not Covered; data from Bloomberg consensus. Price as of Oct 9, 2026.

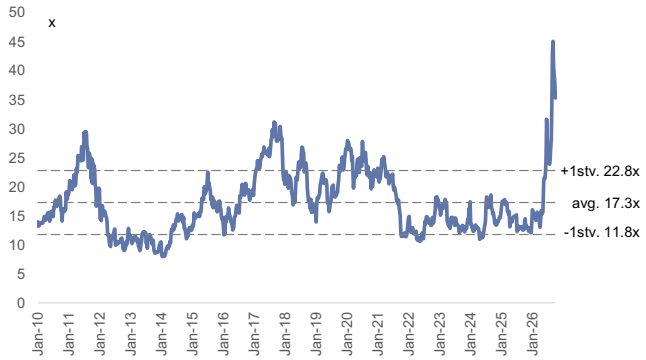
Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 9: Taiwan AI server supply chain enjoys strong re-rating when expanding from consumer electronics to AI data center

Company	Ticker	2020-2025 PE		
		Trough	Peak	Diff
Largan	3008.TW	10.6	28.0	163%
Taiwan AI server supply chain				
Landmark	3081.TWO	28.9	144.1	398%
VPEC	2455.TW	18.1	74.1	310%
Auras	3324.TWO	8.8	54.6	523%
Fositek	6805.TW	11.3	49.9	343%
AVC	3017.TW	4.7	32.8	604%
Inventec	2356.TW	9.9	31.0	213%
King Slide	2059.TW	9.0	30.2	236%
Gigabyte	2376.TW	3.8	29.6	685%
Mitac	3706.TW	2.5	28.7	1044%
Chenbro	8210.TW	6.7	25.6	282%
Wiwynn	6669.TW	6.1	23.4	287%
Wistron	3231.TW	6.0	21.8	262%
Quanta	2382.TW	6.8	20.4	201%
Hon Hai	2317.TW	7.7	17.5	129%
Avg.		**9.3**	**41.7**	**394%**

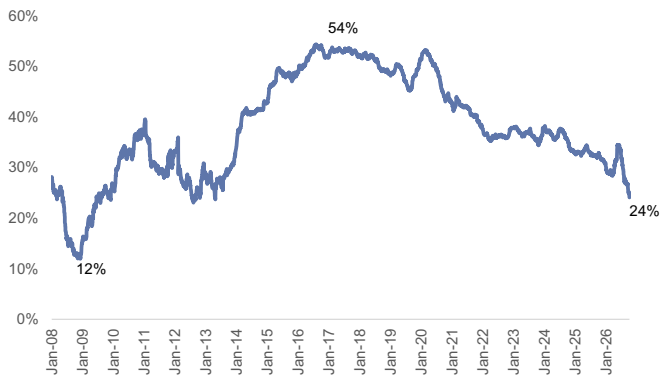
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 10: Largan 12M forward PE ratio



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 11: Largan QFII holdings



Source: TEJ

Financial tables

Exhibit 12: Largan P&L

NT$m	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Revenues	15,544	13,665	15,651	16,794	18,095	13,322	19,655	25,263	48,842	59,458	61,148	61,654	76,335	101,307
GP	7,680	6,753	6,607	7,827	9,110	6,375	9,995	12,743	23,808	31,209	30,837	28,867	38,222	51,348
OP income	5,812	5,148	4,735	5,990	7,137	4,923	7,852	9,989	17,821	24,033	23,558	21,685	29,902	41,217
Net income	6,123	4,670	5,182	5,690	6,643	4,812	7,230	8,996	17,902	25,915	21,275	21,666	27,682	37,180
EPS, diluted (NT$)	46.11	35.61	39.52	39.79	49.09	35.56	53.43	66.48	132.62	191.44	157.21	161.03	204.55	276.22
YoY														
Revenues	7%	17%	-11%	-2%	16%	-3%	26%	50%	2%	22%	3%	1%	24%	33%
GP	-4%	8%	-21%	-5%	19%	-6%	51%	63%	-9%	31%	-1%	-6%	32%	34%
OP income	-5%	6%	-24%	-5%	23%	-4%	66%	67%	-13%	35%	-2%	-8%	38%	38%
Net income	-5%	352%	-27%	-15%	8%	3%	40%	58%	-21%	45%	-18%	2%	28%	34%
EPS, diluted (NT$)	-3%	362%	-25%	-19%	6%	0%	35%	67%	-21%	44%	-18%	2%	27%	35%
QoQ														
Revenues	-10%	-12%	15%	7%	8%	-26%	48%	29%						
GP	-7%	-12%	-2%	18%	16%	-30%	57%	27%						
OP income	-8%	-11%	-8%	27%	19%	-31%	60%	27%						
Net income	-9%	-24%	11%	10%	17%	-28%	50%	24%						
EPS, diluted (NT$)	-6%	-23%	11%	1%	23%	-28%	50%	24%						
Margins														
GM	49.4%	49.4%	42.2%	46.6%	50.3%	47.9%	50.9%	50.4%	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%
OPM	37.4%	37.7%	30.3%	35.7%	39.4%	37.0%	40.0%	39.5%	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%
NM	39.4%	34.2%	33.1%	33.9%	36.7%	36.1%	36.8%	35.6%	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
Ratios														
Opex ratio	12%	12%	12%	11%	11%	11%	11%	11%	12%	12%	12%	12%	11%	10%
Tax rate	15%	23%	14%	17%	17%	17%	17%	17%	19%	19%	17%	17%	17%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: Largan balance sheet

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	107,490	113,658	115,942	115,177	136,907	152,610
Accounts receivable	10,091	10,360	10,462	10,484	10,430	17,325
Inventory	4,591	5,733	6,713	9,456	7,669	14,778
Other current assets	12,149	16,012	21,169	21,169	21,169	21,169
Current assets	**134,321**	**145,764**	**154,285**	**156,285**	**176,174**	**205,882**
Net PP&E/Fixed assets	41,135	46,936	51,472	60,979	57,943	52,867
Net intangibles	239	505	475	352	345	214
Other long-term assets	19,443	23,322	14,555	14,555	14,555	14,555
Non-current assets	**60,817**	**70,763**	**66,502**	**75,885**	**72,842**	**67,635**
Total assets	**195,138**	**216,527**	**220,787**	**232,170**	**249,017**	**273,517**
Accounts payable	1,731	1,855	1,728	2,224	2,370	3,653
Short-term debt	-	203	-	-	-	-
Other current liabilities	27,787	28,520	28,021	28,214	31,194	35,899
Current liabilities	**29,517**	**30,578**	**29,749**	**30,439**	**33,564**	**39,551**
Long-term debt	-	-	-	-	-	-
Other long-term liabilities	110	561	171	171	171	171
Non-current liabilities	**110**	**561**	**171**	**171**	**171**	**171**
Total liabilities	**29,627**	**31,139**	**29,919**	**30,609**	**33,735**	**39,722**
Common stock	1,335	1,335	1,335	1,335	1,335	1,335
Retained earnings	160,871	175,969	185,818	196,752	210,722	229,485
Other common equity	3,305	6,215	1,714	1,714	1,714	1,714
Total common equity	**165,510**	**183,519**	**188,867**	**199,801**	**213,771**	**232,534**
Minority interest	-	1,869	2,001	1,760	1,511	1,261
Total equity	**165,510**	**185,388**	**190,868**	**201,561**	**215,282**	**233,795**
BVPS	1,226.07	1,369.51	1,410.38	1,498.06	1,590.78	1,736.96
Cash conversion cycle						
Account receivable days	68	63	62	62	50	50
Inventory days	71	67	75	90	82	82
Net payable days	25	23	22	22	22	22
Cash conversion cycle	114	106	116	130	110	110
Ratios						
ROE (common equity)	11%	15%	11%	11%	13%	17%
ROA	9%	13%	10%	10%	12%	14%
Net debt to total equity	-67%	-64%	-64%	-60%	-67%	-68%
Total liabilities to total assets	15%	14%	14%	13%	14%	15%
Dupont analysis						
Asset turnover	0.3	0.3	0.3	0.3	0.3	0.4
Leverage (assets to equity)	1.2	1.2	1.2	1.2	1.2	1.2
Net margin	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
ROE (total equity)	11%	15%	11%	11%	13%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 14: Largan cash flow

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Cash flow statement						
Net income	22,102	32,174	25,900	21,666	27,682	37,180
Minority interest add-back	-	(296)	(285)	(241)	(249)	(250)
Depreciation and amortization add-back	5,422	6,230	7,732	8,566	12,428	12,399
(Increase)/decrease in working capital	(1,400)	(1,287)	(1,208)	(2,268)	1,986	(12,722)
Other operating cash flow items	(7,925)	(5,243)	(6,059)	-	-	-
Cash flow from operating	**18,199**	**31,579**	**26,080**	**27,723**	**41,847**	**36,607**
Capital expenditure	(8,237)	(11,133)	(12,340)	(17,849)	(9,160)	(7,091)
Other investment cash flow items	(2,915)	(4,933)	3,104	(100)	(225)	(100)
Cash flow from investing	**(11,151)**	**(16,066)**	**(9,236)**	**(17,949)**	**(9,385)**	**(7,191)**
Dividends paid	(11,412)	(9,009)	(13,013)	(10,539)	(10,732)	(13,712)
Change in common stock	-	-	-	-	-	-
Increase/(decrease) in short-term debt	(19)	203	(203)	-	-	-
Increase/(decrease) in long-term debt	-	-	-	-	-	-
Other financing cash flow items	1,680	(1,958)	(241)	-	-	-
Cash flow from financing	**(9,750)**	**(10,764)**	**(13,458)**	**(10,539)**	**(10,732)**	**(13,712)**
Net change in cash	(2,682)	6,168	2,283	(765)	21,730	15,703
FCF	9,962	20,446	13,740	9,874	32,687	29,515
Ratio						
Capex to revenue	17%	19%	20%	29%	12%	7%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Largan

Valuation: We are Buy rated on Largan and have a 12-month target price of NT$11,000, which is based on discounted PE. Our target P/E multiple of 29.8x is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at 19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our target price of NT$11,000 implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Key risks: (1) slower-than-expected smartphone market growth, (2) fiercer competition in handset lenses, (3) slower-than-expected smartphone camera lens specification upgrades or Largan's handset lens pixel mix upgrade, (4) slower-than-expected FAU ramp up, and (5) fiercer competition in FAU.

Disclosure Appendix

Reg AC

We, Verena Jeng and Allen Chang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Verena Jeng Goldman Sachs (Asia) L.L.C., Allen Chang Goldman Sachs (Asia) L.L.C..

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Disclosures

Rating and pricing information

AAC (Neutral, HK$37.36), Sumitomo Electric Industries (Buy, ¥2,361) and VPEC (Buy, NT$558.00)

The rating(s) for Largan is/are relative to the other companies in its/their coverage universe: AAC, ACM Research, AMEC, ASMPT, AVC, AccoTest, Anji Micro, Asus, Auras, BOE, BYDE, Biren, CR Micro, CXMT, Cambricon, Chenbro, China Mobile (HK), China Telecom, China Tower Corp., China Unicom, Chinasoft Intl, Compal, Desay SV, E Ink, E-Town Semis, EHang, Empyrean, Eoptolink, FOCI, Fositek, Foxconn Industrial Internet, Gigabyte, Gigadevice, Glodon Co., HTC Corp., Hikvision, Hon Hai, Horizon Robotics, Hua Hong, Huace Navigation, Huaqin Co.(A), Huaqin Co.(H), Hwatsing, Iluvatar, InnoScience, Innolight (A), Innolight (H), Inspur, Insta360, Inventec, JCET, Kematek, King Slide, Kingdee, Kingsoft Office, LandMark, Largan, Lenovo, Lingyi, Luxshare (A), Luxshare (H), Maxscend, Meitu, MetaX, Mitac, Montage (A), Montage (H), NAURA, NSIG, Nexchip, OmniVision, Pegatron, Pony AI Inc. (ADR), Pony AI Inc. (H), Quanta, RoboTechnik, Ruijie Networks, SG Micro, SICC, SMIC (A), SMIC (H), SZS, Sangfor, SenseTime, Shengyi Tech, Shennan Circuits, StarPower, Sunny Optical, TFC Optical, Thundersoft, Tongyu Communication, Transsion, UMT, UNIS, VPEC, Vanchip, VeriSilicon, Victory Giant, WNC, WUS, WeRide, Wistron, Wiwynn, YJ Semitech, YOFC, Yonyou, ZTE (A), ZTE (H), iFlytek

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There are no company-specific disclosures for: Largan (NT$6,660.00)

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	Rating Distribution			Investment Banking Relationships		
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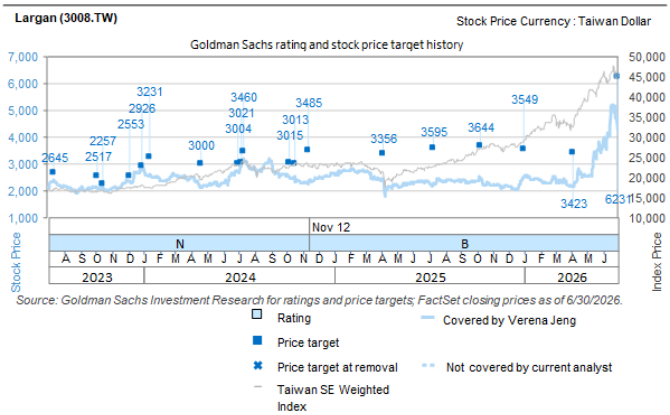
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Largan (3008.TW)

Date of report	Target price (NT$)	Closing price (NT$)
13-Jul-26	6,263.00	4,345.00
30-Jun-26	6,231.00	4,290.00
07-Apr-26	3,423.00	2,170.00
01-Jan-26	3,549.00	2,495.00
09-Oct-25	3,644.00	2,470.00
11-Jul-25	3,595.00	2,285.00
06-Apr-25	3,356.00	2,450.00
12-Nov-24	3,485.00	2,255.00
18-Oct-24	3,013.00	2,325.00
07-Oct-24	3,015.00	2,525.00
11-Jul-24	3,460.00	3,200.00
08-Jul-24	3,021.00	3,030.00
01-Jul-24	3,004.00	2,700.00
21-Apr-24	3,000.00	2,120.00
12-Jan-24	3,231.00	2,600.00
29-Dec-23	2,926.00	2,870.00
06-Dec-23	2,553.00	2,320.00
15-Oct-23	2,257.00	2,175.00

Price targets shown in table(s) are unadjusted for corporate actions.

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BofA SECURITIES

Lotes

Lighter 3Q26 sales +4% QoQ; improving margins; reiterate Buy, PO to NT$2,245

Reiterate Rating: BUY | PO: 2,245 TWD | Price: 1,915 TWD

Sep sales +5% MoM; lighter 3Q26 sales at +4% QoQ

Lotes posted Sep sales of NT$3.4bn (+5% MoM, +16% YoY). 3Q26 sales of NT$9.9bn (+4% QoQ, +18% YoY) were 11%/3% below BofAe/consensus. We attributed the lighter sales mainly to industry-wise key component shortage (e.g. memory, CPU, PCB), which likely capped the demand in general server and PC. While sales mix by segment is yet to be disclosed, we believe server should remain the biggest segment (BofAe: 55%) in 3Q26, vs. 54%/40% in 2Q26/3Q25. We now project 3Q26 GM at 45.7%, similar to 45.5% in 2Q26, vs. 51.2% in 3Q25, mainly due to higher raw material cost.

Gradually improving margins; new platform from '27

We project 4Q26 sales +4% QoQ (+12% YoY) amid likely fewer working days in Oct/Dec and market demand push out due to component shortage. Yet, we believe Lotes' quarterly GM should gradually improve with new CPU platform launches in early 2027 and more new products. We project 2027/28E GM at 49.0%/49.9%, considering potential margin dilution from QD (BofAe: 1.4%/3.5%/5.0% of 2026/27/28E sales).

PO to NT$2,245; reiterate Buy; cost pressure fully aware

We cut 2026-28E EPS by 9-18% to reflect 3Q26 preliminary sales, more conservative margin assumptions under material cost pressure, and higher share count (+1.3%) for new CB (total NT$300mn) and fund-raising plan (maximum 1.3mn shares). We cut PO to NT$2,245 (20x 2027E EPS) from NT$2,800 (was 22x) with valuation base unchanged but a lower P/E multiple. We lower P/E multiple to 20x (2SD above historical average) on industry-wise component tightness, which may partially cap CPU server market demand. In our view, Lotes' near-term margin pressure has been fully reflected as its share price corrected 15% in 3Q26, vs. TAIEX +4%. We reiterate our Buy rating on Lotes as a clear CPU server beneficiary to capture still robust market demand (see Vivek Arya's 15 Sep note), with attractive valuation under 24%/36% sales/EPS CAGR in 2026-28.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	9,277	7,866	8,936	12,748	16,550
EPS	82.77	70.17	79.20	112.26	145.74
EPS Change (YoY)	63.4%	-15.2%	12.9%	41.8%	29.8%
Consensus EPS (Visible Alpha)			80.50	112.18	136.86
Dividend / Share	41.50	35.00	39.60	56.13	72.87
Free Cash Flow / Share	56.29	31.68	70.75	78.99	110.66
Valuation (Dec)					
P/E	23.14x	27.29x	24.18x	17.06x	13.14x
Dividend Yield	2.17%	1.83%	2.07%	2.93%	3.81%
EV / EBITDA*	16.14x	15.60x	15.10x	10.82x	8.64x
Free Cash Flow Yield*	2.93%	1.65%	3.70%	4.16%	5.83%

* For full definitions of *IQmethod*SM measures, see page 7.

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09 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	2,800.00	2,245.00
2026E EPS	96.64	79.20
2027E EPS	127.27	112.26
2028E EPS	160.10	145.74
2026E EBITDA (m)	16,258.2	13,390.2
2027E EBITDA (m)	20,846.5	18,688.1
2028E EBITDA (m)	25,411.6	23,392.1

Doris Kao >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3722
doris.kao@bofa.com

Robert Cheng >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3731
robert.cheng@bofa.com

Katherine Zhu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 3374
kexin.zhu@bofa.com

Carol Hu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3721
carol.hu@bofa.com

Stock Data

Price	1,915 TWD
Price Objective	2,245 TWD
Date Established	9-Oct-2026
Investment Opinion	C-1-7
52-Week Range	1,140 TWD-2,955 TWD
Mrkt Val / Shares Out (mn)	6,774 USD / 112.5
Market Value (mn)	215,504 TWD
Average Daily Value (mn)	77.45 USD
Free Float	80.0%
BofA Ticker / Exchange	ZYZTF / TAI
Bloomberg / Reuters	3533 TT / 3533.TW
ROE (2026E)	21.8%
Net Dbt to Eqty (Dec-2025A)	-30.4%

Acronyms, see page 4

*iQ*profile℠ Lotes

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	30,089	33,783	39,184	49,355	60,589
Gross Profit	15,769	17,334	18,318	24,179	30,237
Sell General & Admin Expense	(2,794)	(3,486)	(3,975)	(4,292)	(4,728)
Operating Profit	10,245	10,344	10,285	15,607	20,446
Net Interest & Other Income	1,624	(154)	1,072	658	658
Associates	NA	NA	NA	NA	NA
Pretax Income	11,869	10,191	11,357	16,265	21,103
Tax (expense) / Benefit	(2,488)	(2,244)	(2,347)	(3,436)	(4,473)
Net Income (Adjusted)	9,277	7,866	8,936	12,748	16,550
Average Fully Diluted Shares Outstanding	112	112	113	114	114
Key Cash Flow Statement Data					
Net Income	9,277	7,866	8,936	12,748	16,550
Depreciation & Amortization	2,279	2,610	3,105	3,081	2,947
Change in Working Capital	(2,775)	(1,664)	(1,058)	(4,359)	(4,430)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,277	(284)	0	0	0
Cash Flow from Operations	10,058	8,528	10,983	11,471	15,066
Capital Expenditure	(3,749)	(4,976)	(3,000)	(2,500)	(2,500)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(938)	(881)	0	0	0
Cash Flow from Investing	(4,687)	(5,857)	(3,000)	(2,500)	(2,500)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(3,012)	(4,803)	(3,924)	(4,468)	(6,374)
Cash Flow from Financing	(322)	(8,844)	(3,924)	(4,468)	(6,374)
Free Cash Flow	6,309	3,552	7,983	8,971	12,566
Net Debt	(14,894)	(12,275)	(16,335)	(20,837)	(27,029)
Change in Net Debt	(5,526)	6,159	(4,060)	(4,503)	(6,192)
Key Balance Sheet Data					
Property, Plant & Equipment	10,990	13,429	13,324	12,743	12,297
Other Non-Current Assets	3,459	3,770	3,770	3,770	3,770
Trade Receivables	12,638	14,182	15,021	19,255	23,432
Cash & Equivalents	18,659	12,500	16,560	21,062	27,254
Other Current Assets	4,465	6,552	6,862	7,985	9,086
Total Assets	50,211	50,433	55,536	64,816	75,839
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	1,069	1,013	1,013	1,013	1,013
Short-Term Debt	3,765	225	225	225	225
Other Current Liabilities	7,417	8,780	8,871	9,870	10,717
Total Liabilities	12,251	10,018	10,109	11,108	11,956
Total Equity	37,960	40,415	45,427	53,708	63,883
Total Equity & Liabilities	50,211	50,433	55,536	64,816	75,839
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	22.6%	19.8%	18.9%	24.6%	27.2%
Return On Equity	29.1%	21.1%	21.8%	26.8%	29.1%
Operating Margin	34.0%	30.6%	26.2%	31.6%	33.7%
EBITDA Margin	41.6%	38.3%	34.2%	37.9%	38.6%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.1x	1.1x	1.2x	0.9x	0.9x
Asset Replacement Ratio	1.7x	2.0x	1.0x	0.8x	0.8x
Tax Rate (Reported)	21.0%	22.0%	20.7%	21.1%	21.2%
Net Debt-to-Equity Ratio	-39.2%	-30.4%	-36.0%	-38.8%	-42.3%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Connectors, Passive Components & Distribution

Company Description

Lotes was founded in Keelung, Taiwan, in 1986, and went publicly listed on Taiwan Stock Exchange in 2007. Lotes is the global top-tier PC/server CPU socket supplier. It also supplies connector/cable/harness for PC, server, auto and industrial. Key end-customers include global PC brands (Lenovo, HP, Dell, Apple) and global datacenter hyperscalers (FAMG). Besides headquarter in Taiwan, Lotes has production sites in China (Guangzhou, Suzhou, and Hunan) and Vietnam.

Investment Rationale

We have a Buy rating on Lotes in view of (1) solid CPU server demand outlook, (2) ongoing server/DT CPU platform upgrade to support ASP, (3) double-digit sales/earnings CAGR in 2026-28 with margin improvement in 2027-28, (4) solid balance sheet, and (5) attractive valuation. AI business remains the watch point with potential upside.

Stock Data

Price to Book Value	5.0x

Exhibit 1: We trim our 2026-28E EPS by 9-18%
Earnings revisions summary, 2026-28E

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	39,184	42,108	-7%	49,355	51,188	-4%	60,589	61,636	-2%
Gross profit	18,318	21,592	-15%	24,179	27,133	-11%	30,237	32,845	-8%
Operating profit	10,285	13,153	-22%	15,607	17,766	-12%	20,446	22,465	-9%
Pretax profit	11,357	13,890	-18%	16,265	18,347	-11%	21,103	23,045	-8%
Net income	8,936	10,834	-18%	12,748	14,268	-11%	16,550	17,947	-8%
EPS (NT$)	79.20	96.64	-18%	112.26	127.27	-12%	145.74	160.10	-9%
Margin %									
Gross margin	46.7%	51.3%		49.0%	53.0%		49.9%	53.3%	
Operating margin	26.2%	31.2%		31.6%	34.7%		33.7%	36.4%	
Pre-tax margin	29.0%	33.0%		33.0%	35.8%		34.8%	37.4%	
Net margin	22.8%	25.7%		25.8%	27.9%		27.3%	29.1%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026-27E EPS is 2-4% below consensus while 2028E EPS is 4% above consensus
BofAe vs. consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	39,184	39,887	-2%	49,355	49,638	-1%	60,589	58,506	4%
Gross profit	18,318	18,684	-2%	24,179	24,428	-1%	30,237	29,618	2%
Operating profit	10,285	10,471	-2%	15,607	15,489	1%	20,446	19,590	4%
Pretax profit	11,357	11,699	-3%	16,265	16,295	0%	21,103	20,319	4%
Net income	8,936	9,168	-3%	12,748	12,725	0%	16,550	15,756	5%
EPS (NT$)	79.20	82.40	-4%	112.26	114.37	-2%	145.74	140.29	4%
Margin %									
Gross margin	46.7%	46.8%		49.0%	49.2%		49.9%	50.6%	
Operating margin	26.2%	26.3%		31.6%	31.2%		33.7%	33.5%	
Pre-tax margin	29.0%	29.3%		33.0%	32.8%		34.8%	34.7%	
Net margin	22.8%	23.0%		25.8%	25.6%		27.3%	26.9%	

Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 3: Our new 3Q26E EPS was 6% below consensus
3Q26 key earnings change summary and comparison to consensus

	3Q26 BofAe			3Q26 BofAe		3Q26			
NT$mn	**New**	**QoQ %**	**YoY %**	**Old**	**Diff (%)**	**Consensus**	**Diff (%)**	**2Q26**	**3Q25**
Sales	9,924	4%	18%	11,088	-11%	10,235	-3%	9,569	8,422
Gross profit	4,533	4%	5%	5,781	-22%	4,690	-3%	4,351	4,313
Operating profit	2,568	22%	2%	3,585	-28%	2,698	-5%	2,103	2,525
Pretax profit	2,719	5%	-6%	3,727	-27%	2,902	-6%	2,598	2,882
Net income	2,150	8%	-7%	2,956	-27%	2,273	-5%	1,984	2,318
EPS (NT$)	19.06	8%	-8%	26.37	-28%	20.36	-6%	17.59	20.68
Margin %									
Gross margin	45.7%	0.2 ppt	-5.5 ppt	52.1%	-6.5 ppt	45.8%	-0.2 ppt	45.5%	51.2%
Operating margin	25.9%	3.9 ppt	-4.1 ppt	32.3%	-6.5 ppt	26.4%	-0.5 ppt	22.0%	30.0%
Pre-tax margin	27.4%	0.2 ppt	-6.8 ppt	33.6%	-6.2 ppt	28.4%	-1.0 ppt	27.1%	34.2%
Net margin	21.7%	0.9 ppt	-5.9 ppt	26.7%	-5.0 ppt	22.2%	-0.5 ppt	20.7%	27.5%

Source: BofA Global Research estimates, Bloomberg consensus. Diff: difference to new 3Q26 BofAe data

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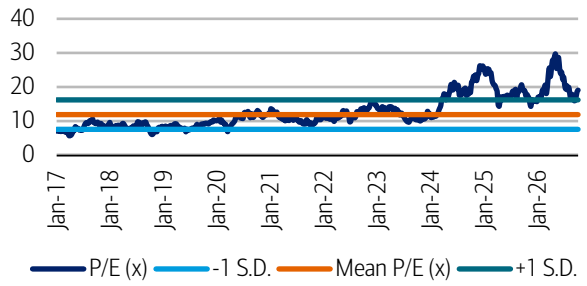
Exhibit 4: Lotes' historical P/E trading average since 2017 is 12x
Lotes' P/E trend and -1/+1 standard deviation since 2017



Source: BofA Global Research estimates, Bloomberg

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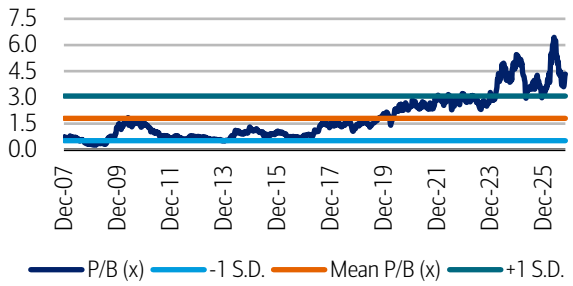
Exhibit 5: Lotes' historical P/B trading average since the IPO is 1.8x
Lotes' P/B trend and -1/+1 standard deviation since the IPO



Source: BofA Global Research estimates, Bloomberg

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Exhibit 4: We model 2026-28E sales/EPS CAGR at 24%/36%
Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	9,328	9,569	9,924	10,364	10,467	11,402	12,981	14,506	14,214	14,704	15,466	16,205	33,783	39,184	49,355	60,589
Gross profit	4,622	4,351	4,533	4,813	4,961	5,558	6,430	7,230	7,134	7,369	7,722	8,011	17,334	18,318	24,179	30,237
Operating profit	2,708	2,103	2,568	2,906	3,057	3,517	4,198	4,836	4,689	4,899	5,309	5,548	10,344	10,285	15,607	20,446
Pretax profit	3,003	2,598	2,719	3,037	3,208	3,670	4,399	4,988	4,841	5,051	5,511	5,700	10,191	11,357	16,265	21,103
Net income	2,397	1,984	2,150	2,405	2,547	2,732	3,500	3,970	3,853	3,768	4,389	4,540	7,866	8,936	12,748	16,550
EPS (NT$)	21.24	17.59	19.06	21.31	22.42	24.06	30.82	34.96	33.93	33.18	38.65	39.98	70.17	79.20	112.26	145.74
Margin %																
Gross margin	49.5%	45.5%	45.7%	46.4%	47.4%	48.7%	49.5%	49.8%	50.2%	50.1%	49.9%	49.4%	51.3%	46.7%	49.0%	49.9%
Operating margin	29.0%	22.0%	25.9%	28.0%	29.2%	30.8%	32.3%	33.3%	33.0%	33.3%	34.3%	34.2%	30.6%	26.2%	31.6%	33.7%
Pretax margin	32.2%	27.1%	27.4%	29.3%	30.7%	32.2%	33.9%	34.4%	34.1%	34.4%	35.6%	35.2%	30.2%	29.0%	33.0%	34.8%
Net margin	25.7%	20.7%	21.7%	23.2%	24.3%	24.0%	27.0%	27.4%	27.1%	25.6%	28.4%	28.0%	23.3%	22.8%	25.8%	27.3%
QoQ %																
Sales	1%	3%	4%	4%	1%	9%	14%	12%	-2%	3%	5%	5%				
Gross profit	-3%	-6%	4%	6%	3%	12%	16%	12%	-1%	3%	5%	4%				
Operating profit	-2%	-22%	22%	13%	5%	15%	19%	15%	-3%	4%	8%	4%				
Pretax profit	-7%	-13%	5%	12%	6%	14%	20%	13%	-3%	4%	9%	3%				
Net income	-5%	-17%	8%	12%	6%	7%	28%	13%	-3%	-2%	16%	3%				
YoY %																
Sales	20%	15%	18%	12%	12%	19%	31%	40%	36%	29%	19%	12%	12%	16%	26%	23%
Gross profit	16%	2%	5%	1%	7%	28%	42%	50%	44%	33%	20%	11%	10%	6%	32%	25%
Operating profit	11%	-19%	2%	5%	13%	67%	63%	66%	53%	39%	26%	15%	1%	-1%	52%	31%
Pretax profit	5%	113%	-6%	-6%	7%	41%	62%	64%	51%	38%	25%	14%	-14%	11%	43%	30%
Net income	5%	165%	-7%	-5%	6%	38%	63%	65%	51%	38%	25%	14%	-15%	14%	43%	30%

Source: BofA Global Research estimates, company data

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Exhibit 11: Acronyms
Acronyms used through the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	FX	Foreign Exchange	PC	Personal Computer
AMD	Advanced Micro Devices (AMD US)	GM	Gross Margin	P/E	Price to Earnings
ASP	Average Selling Price	GPU	Graphic Processing Unit	PO	Price Objective
CAGR	Compound Annual Growth Rate	IPO	Initial Public Offering	QD	Quick Disconnect
CPU	Central Processing Unit	NPO	Near-Packaged Optics	R&D	Research & Development
DT	Desktop	NTD / NT$	New Taiwan Dollar	RMB	Renminbi (Chinese Yuan)
EPS	Earnings Per Share	OPM	Operating Profit Margin	SD	Standard Deviation
FAMG	Facebook (Meta), Amazon, Microsoft, Google	P/B	Price to Book	USD / US$	US Dollars

Source: BofA Global Research

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Price objective basis & risk

Lotes (ZYZTF)
Our PO of NT$2,245 is based on 20x 2027E EPS. Our valuation multiple of 20x (2SD above historical P/E trading average) reflects rising sales mix from better-margin server business with ASP increase, double-digit sales/EPS CAGR in 2026-28, and solid balance sheet. Our P/E multiple can also be justified by solid CPU server demand amid accelerating agentic AI needs, Lotes' top position as desktop/server CPU socket supplier to ride on Intel/AMD's ongoing desktop/server CPU platform upgrade.

Upside risks: (1) further ASP increase thanks to faster adoption/penetration of new DT/server platform and new product, (2) faster progress in AI related business, (3) faster AI PC launch/adoption, (4) GM upside from lowering/stabilizing raw material prices, and (5) more favorable FX (USD/NTD and/or USD/RMB) movement to benefit GM and/or non-operating items.

Downside risks: (1) slower ASP increase due to new CPU platform delay, (2) slower progress from AI business, (3) weaker PC/server market demand amid inflation/macro uncertainties, (4) GM pressure from higher raw material prices, (5) higher labor/logistics cost from supply-chain disruption and uncertain China lockdown policy, (6) unfavorable FX movement to weigh on GM and/or non-operating items, and (7) peers' more aggressive pricing competition.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

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Business Performance	**Numerator**	**Denominator**
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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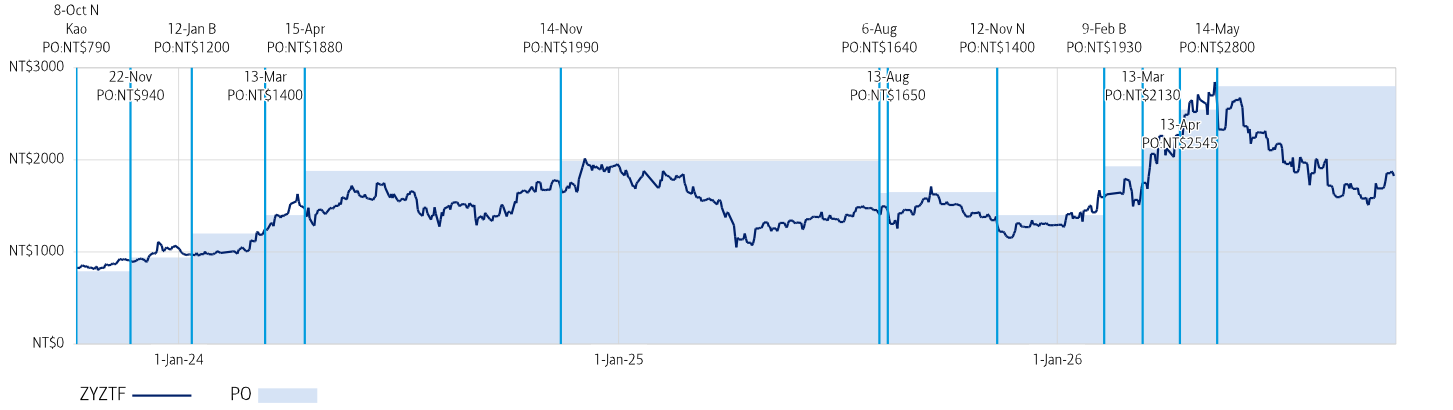
Important Disclosures

Lotes (ZYZTF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Largan (3008.TW)

FAU to drive strong earnings growth and re-rating; TP up to NT$11,000, Buy

3008.TW	12m Price Target: **NT$11,000.00**	Price: **NT$6,660.00**	Upside: **65.2%**

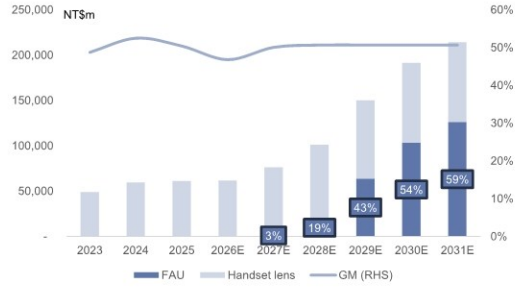
BUY

Verena Jeng
+852-2978-1681 | verena.jeng@gs.com
Goldman Sachs (Asia) L.L.C.

Allen Chang
+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

We are positive on Largan and expect its strong alignment technology to continue supporting its expansion from handset lens into FA and FAU for CPO switches. The company's FA has passed customer qualification with strong positive feedback, while customers prefer to purchase its integrated product (FA+FAU), reaffirming our positive view on Largan's business expansion. Management highlights that its strong alignment and automated production provide strong precision, fast production and testing, supporting customer penetration. We model FAU revenue contribution at 3% in 2027E and above 50% in 2030E, driving Largan's earnings growth, margin expansion, and valuation re-rating. Maintain Buy with TP up to NT$11,000 (implies 39.8x 2028E PE).

Exhibit 1: Largan revenues by products and GM trend



Source: Company data, Goldman Sachs Global Investment Research

3-month revenue preview: Largan delivered weak revenue growth in 3Q26 with revenue -11% YoY, which we attribute to a slow smartphone market amid high memory costs, fewer model launches of its major smartphone brand customer, and foldable phones released in 4Q26 (report link). The miss also reflects a slower handset lens pixel mix upgrade than we had previously estimated.

Key Data

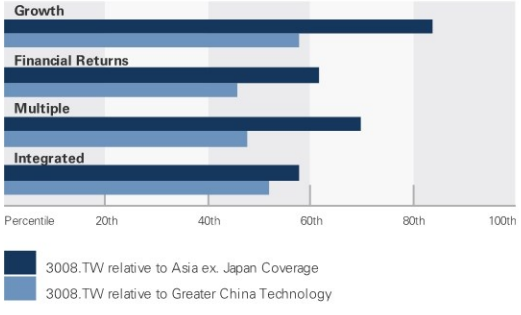
Market cap: NT$896.1bn / $28.1bn
Enterprise value: NT$782.7bn / $24.5bn
3m ADTV: NT$13.2bn / $413.8mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**61,147.9**	**61,653.5**	**76,334.7**	**101,306.6**
Revenue (NT$ mn) Old	61,147.9	65,503.4	76,561.8	85,020.5
EBITDA (NT$ mn)	31,290.3	30,251.2	42,329.3	53,616.0
EPS (NT$) New	**159.41**	**162.60**	**207.41**	**278.57**
EPS (NT$) Old	159.41	187.34	217.11	239.29
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
Dividend yield (%)	3.3	1.2	1.5	2.1
CROCI (%)	11.2	11.5	14.4	16.2

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	39.62	40.65	49.77	36.05

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

Largan (3008.TW)

Rating since Nov 12, 2024

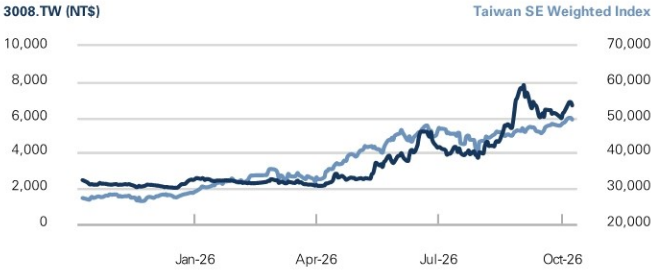
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	14.8	41.0	32.1	23.9
P/B (X)	1.7	4.5	4.2	3.9
FCF yield (%)	4.3	1.1	3.7	3.3
EV/EBITDAR (X)	6.4	25.6	17.8	13.8
EV/EBITDA (excl. leases) (X)	6.4	25.6	17.8	13.8
CROCI (%)	11.2	11.5	14.4	16.2
ROE (%)	11.4	11.1	13.4	16.7
Net debt/equity (%)	(64.1)	(60.3)	(66.6)	(68.0)
Net debt/equity (excl. leases) (%)	(64.1)	(60.3)	(66.6)	(68.0)
Interest cover (X)	15,611.8	7,608.9	9,940.7	13,702.5
Days inventory outst, sales	37.1	47.9	40.9	40.4
Receivable days	62.1	62.0	50.0	50.0
Days payable outstanding	21.6	22.0	22.0	22.0
DuPont ROE (%)	11.1	10.7	12.9	15.9
Turnover (X)	0.3	0.3	0.3	0.4
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (NT$)	222,420.9	241,679.6	267,828.7	298,740.5
Average capital employed (NT$)	73,429.5	80,655.1	82,379.7	79,780.5
BVPS (NT$)	1,395.59	1,484.98	1,579.62	1,727.59

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	2.8	0.8	23.8	32.7
EBITDA growth	3.4	(3.3)	39.9	26.7
EPS growth	(19.7)	2.0	27.6	34.3
DPS growth	(19.0)	2.4	27.0	35.0
EBIT margin	38.5	35.2	39.2	40.7
EBITDA margin	51.2	49.1	55.5	52.9
Net income margin	34.8	35.1	36.3	36.7

Price Performance



	3m	6m	12m
Absolute	68.6%	192.1%	168.0%
Rel. to the Taiwan SE Weighted Index	56.4%	105.9%	47.1%

Source: FactSet. Price as of 8 Oct 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	61,147.9	61,653.5	76,334.7	101,306.6
Cost of goods sold	(30,310.8)	(32,786.7)	(38,112.7)	(49,958.8)
SG&A	(1,985.5)	(1,885.5)	(1,832.0)	(1,620.9)
R&D	(5,293.3)	(5,295.8)	(6,488.4)	(8,509.8)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**31,290.3**	**30,251.2**	**42,329.3**	**53,616.0**
Depreciation & amortization	(7,732.0)	(8,565.7)	(12,427.8)	(12,398.9)
EBIT	**23,558.3**	**21,685.5**	**29,901.5**	**41,217.1**
Net interest inc./(exp.)	4,258.6	3,896.3	3,913.0	4,104.2
Income/(loss) from associates	87.0	83.3	–	–
Pre-tax profit	**25,900.2**	**26,446.2**	**33,814.6**	**45,321.3**
Provision for taxes	(4,340.0)	(4,539.3)	(5,883.7)	(7,891.5)
Minority interest	(284.9)	(241.0)	(248.7)	(250.2)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**21,275.4**	**21,665.9**	**27,682.2**	**37,179.6**
EPS (basic, pre-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, pre-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
EPS (basic, post-except) (NT$)	**159.41**	**162.60**	**207.41**	**278.57**
EPS (diluted, post-except) (NT$)	**157.21**	**161.03**	**204.55**	**276.22**
DPS (NT$)	77.87	79.76	101.32	136.83
Div. payout ratio (%)	48.9	49.1	48.9	49.1

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	115,941.7	115,177.0	136,906.6	152,609.6
Accounts receivable	10,461.7	10,483.6	10,430.0	17,325.2
Inventory	6,713.2	9,455.6	7,669.0	14,778.3
Other current assets	21,168.8	21,168.8	21,168.8	21,168.8
Total current assets	**154,285.5**	**156,285.0**	**176,174.5**	**205,881.9**
Net PP&E	51,472.4	60,978.8	57,943.2	52,866.6
Net intangibles	474.6	351.6	344.5	213.7
Total investments	26.5	26.5	26.5	26.5
Other long-term assets	14,528.1	14,528.1	14,528.1	14,528.1
Total assets	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Accounts payable	1,727.9	2,224.5	2,369.9	3,652.5
Short-term debt	0.0	0.0	0.0	0.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	28,020.6	28,214.1	31,194.1	35,898.7
Total current liabilities	**29,748.5**	**30,438.5**	**33,564.1**	**39,551.2**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	170.6	170.6	170.6	170.6
Total long-term liabilities	**170.6**	**170.6**	**170.6**	**170.6**
Total liabilities	**29,919.1**	**30,609.1**	**33,734.6**	**39,721.7**
Preferred shares	–	–	–	–
Total common equity	188,867.2	199,801.1	213,771.1	232,534.0
Minority interest	**2,000.8**	**1,759.8**	**1,511.1**	**1,261.0**
Total liabilities & equity	**220,787.0**	**232,169.9**	**249,016.8**	**273,516.7**
Net debt, adjusted	(122,308.6)	(121,543.8)	(143,273.5)	(158,976.5)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	25,900.2	21,665.9	27,682.2	37,179.6
D&A add-back	7,732.0	8,565.7	12,427.8	12,398.9
Minority interest add-back	(284.9)	(241.0)	(248.7)	(250.2)
Net (inc)/dec working capital	(1,208.2)	(2,267.7)	1,985.6	(12,721.8)
Other operating cash flow	(6,058.9)	–	–	–
Cash flow from operations	**26,080.2**	**27,723.0**	**41,846.9**	**36,606.6**
Capital expenditures	(12,340.0)	(17,849.1)	(9,160.2)	(7,091.5)
Acquisitions	(2,040.4)	–	–	–
Divestitures	(2.6)	(100.0)	(225.0)	(100.0)
Others	5,147.2	–	–	–
Cash flow from investing	**(9,235.7)**	**(17,949.1)**	**(9,385.2)**	**(7,191.5)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(13,013.1)	(10,538.6)	(10,732.1)	(13,712.2)
Inc/(dec) in debt	(203.4)	–	–	–
Other financing cash flows	(1,344.6)	0.0	0.0	0.0
Cash flow from financing	**(14,561.2)**	**(10,538.6)**	**(10,732.1)**	**(13,712.2)**
Total cash flow	**2,283.4**	**(764.7)**	**21,729.7**	**15,703.0**
Free cash flow	13,740.3	9,873.9	32,686.7	29,515.1

Source: Company data, Goldman Sachs Research estimates.

We expect Oct revenues to be at a similar level to Sep, and to sequentially decline in Nov and Dec, resulting in 4Q26 revenue growth of +7% QoQ.

Exhibit 2: Largan monthly revenues preview

	Jul 2026	Aug 2026	Sep 2026	Oct 2026E	Nov 2026E	Dec 2026E	2Q26	3Q26	4Q26E
Rev (NT$m)	4,877	5,012	5,779	5,895	5,600	5,299	13,665	15,651	16,794
YoY	-11%	-16%	-7%	-6%	6%	-6%	17%	-11%	-2%
MoM/QoQ	31%	3%	15%	2%	-5%	-5%	-12%	15%	7%
GS estimates (NT$m)	4,826	6,756	7,285				13,750	18,866	
Act. Vs. GS	1%	-26%	-21%				-1%	-17%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision

Our net income estimates are revised by -13% / -4% / +16% in 2026-28E mainly on changes in revenues, GM, and Opex ratio, reflecting: **(1) handset lens:** we continue to expect Largan's lens pixel mix upgrade, but at a slower pace, reflecting the 3Q26 miss and slow smartphone market amid high memory costs, **(2) FAU:** we estimate revenue contribution will begin in 2H27, with 0.6m / 5m in 2027 / 28E, along with product mix upgrade toward higher bandwidth FAU that should support ASP and GM. We expect FAU revenue contribution of 3% in 2027E and exceed 50% in 2030E, **(3) GM:** we lower our GM estimates to reflect the slower pace of handset lens pixel mix upgrade and the company's higher costs on green energy. We expect GM to sustain at ~50% in 2026-28E, supported by continuous handset lens pixel mix upgrade and strong demand of FAU, **(4) Opex ratio:** we continue to expect rising opex, while the opex ratio would improve as strong revenue growth driven by FAU and FAU's higher ASP relative to handset lens enhance operating efficiency.

Exhibit 3: Largan earnings revision

	2026E			2027E			2028E		
NT m	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	65,503	61,654	-6%	76,562	76,335	0%	85,021	101,307	19%
GP	33,681	28,867	-14%	42,012	38,222	-9%	47,968	51,348	7%
OP	25,995	21,685	-17%	32,893	29,902	-9%	37,757	41,217	9%
Net income	24,904	21,666	-13%	28,976	27,682	-4%	31,937	37,180	16%
EPS (Diluted)	185.12	161.03	-13%	214.48	204.55	-5%	237.27	276.22	16%
Margins									
GM	51.4%	46.8%		54.9%	50.1%		56.4%	50.7%	
OPM	39.7%	35.2%		43.0%	39.2%		44.4%	40.7%	
NM	38.0%	35.1%		37.8%	36.3%		37.6%	36.7%	

Source: Goldman Sachs Global Investment Research

Exhibit 4: Largan revenues and GM revision

Revenues (NT$m)	2026E	2027E	2028E	GM	2026E	2027E	2028E
NEW	61,654	76,335	101,307	NEW	46.8%	50.1%	50.7%
FAU	-	2,074	19,191	FAU		46.0%	47.4%
Periscope lens	19,653	23,178	26,702	Periscope lens	38.4%	38.3%	38.2%
20MPx+ handset lens	11,911	26,562	34,714	20MPx+ handset lens	70.5%	70.4%	70.4%
Other handset lens	17,833	13,078	9,657	Other handset lens	57.1%	56.4%	55.6%
Others	12,256	11,443	11,042	Others	22.5%	20.3%	20.3%
OLD	65,503	76,562	85,021	OLD	51.4%	54.9%	56.4%
FAU	63	1,067	4,518	FAU	50.3%	50.4%	50.5%
Periscope lens	18,610	18,570	20,741	Periscope lens	38.9%	38.5%	38.5%
20MPx+ handset lens	16,705	31,766	38,447	20MPx+ handset lens	72.9%	73.0%	75.0%
Other handset lens	17,796	13,029	9,611	Other handset lens	62.7%	62.3%	62.0%
Others	12,330	12,130	11,705	Others	24.8%	24.8%	24.9%
CHG	-6%	0%	19%	CHG (NEW - OLD)	-5%	-5%	-6%
FAU	-100%	94%	325%	FAU	-50%	-4%	-3%
Periscope lens	6%	25%	29%	Periscope lens	-1%	0%	0%
20MPx+ handset lens	-29%	-16%	-10%	20MPx+ handset lens	-2%	-3%	-5%
Other handset lens	0%	0%	0%	Other handset lens	-6%	-6%	-6%
Others	-1%	-6%	-6%	Others	-2%	-5%	-5%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Largan 3Q26 results snapshot

NT m	3Q25	2Q26	3Q26	QoQ	YoY	GS	Act / GS	Cons.	Act/Cons.
Revenue	17,677	13,665	15,651	15%	-11%	18,866	-17%	18,196	-14%
GP	8,352	6,753	6,607	-2%	-21%	9,339	-29%	9,120	-28%
OP	6,265	5,148	4,735	-8%	-24%	7,094	-33%	6,946	-32%
Net income	7,080	4,670	5,182	11%	-27%	6,699	-23%	6,723	-23%
Margins									
GM	47.2%	49.4%	42.2%			49.5%		50.1%	
OPM	35.4%	37.7%	30.3%			37.6%		38.2%	
NM	40.1%	34.2%	33.1%			35.5%		36.9%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Compared to Bloomberg consensus, we are 4% / 16% ahead in 2027 / 28E net income, mainly on higher revenues and lower opex ratio, reflecting our positive view on Largan's FAU, which is in strong demand with bandwidth upgrade.

Exhibit 6: GS vs. Bloomberg consensus

	2027E			2028E		
NT m	GS	BB	Diff %	GS	BB	Diff %
Revenue	76,335	72,074	6%	101,307	90,479	12%
GP	38,222	36,929	4%	51,348	45,410	13%
OP	29,902	28,454	5%	41,217	34,680	19%
Net income	27,682	26,732	4%	37,180	31,942	16%
Margins						
GM	50.1%	51.2%		50.7%	50.2%	
OPM	39.2%	39.5%		40.7%	38.3%	
NM	36.3%	37.1%		36.7%	35.3%	

Source: Goldman Sachs Global Investment Research, Bloomberg

Valuation

We change our valuation methodology from 2027E PE to discounted PE to better capture the company's long term opportunities in FAU. Our target PE multiple (29.8x) is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at

19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our new target price is NT$11,000 (vs. NT$6,263 previously). Our target price implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Exhibit 7: Largan discounted PE

NT$m	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Key assumptions									
Revenues (NT$m)	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
FAU	-	-	-	-	2,074	19,191	63,908	103,530	126,348
Others	48,842	59,458	61,148	61,654	74,261	82,115	86,221	87,945	87,945
YoY	**2%**	**22%**	**3%**	**1%**	**24%**	**33%**	**48%**	**28%**	**12%**
FAU						825%	233%	62%	22%
Others	2%	22%	3%	1%	20%	11%	5%	2%	0%
FAU revenues contribution					*3%*	*19%*	*43%*	*54%*	*59%*
FAU shipment (k units)					592	4,789	14,368	21,551	25,862
YoY						*710%*	*200%*	*50%*	*20%*
FAU ASP (US$)					117	134	148	160	163
YoY						*14%*	*11%*	*8%*	*2%*
P&L									
Revenue	**48,842**	**59,458**	**61,148**	**61,654**	**76,335**	**101,307**	**150,128**	**191,476**	**214,294**
Gross profit	**23,808**	**31,209**	**30,837**	**28,867**	**38,222**	**51,348**	**76,093**	**97,050**	**108,616**
Gross margin	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%	50.7%	50.7%	50.7%
OPEX	5,986	7,177	7,279	7,181	8,320	10,131	15,013	19,148	21,429
Opex ratio	12.3%	12.1%	11.9%	11.6%	10.9%	10.0%	10.0%	10.0%	10.0%
Operating profit	**17,821**	**24,033**	**23,558**	**21,685**	**29,902**	**41,217**	**61,081**	**77,903**	**87,186**
OPM	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%	40.7%	40.7%	40.7%
Non-op	4,280	8,142	2,342	4,761	3,913	4,104	4,104	4,104	4,104
Pre-tax profit	**22,102**	**32,174**	**25,900**	**26,446**	**33,815**	**45,321**	**65,185**	**82,007**	**91,291**
Tax	4,200	5,963	4,340	4,539	5,884	7,891	11,350	14,279	15,896
Tax rate	19.0%	18.5%	16.8%	17.2%	17.4%	17.4%	17.4%	17.4%	17.4%
Minority	-	296	285	241	249	250	250	250	250
Net profit	**17,902**	**25,915**	**21,275**	**21,666**	**27,682**	**37,180**	**53,584**	**67,478**	**75,145**
EPS (NTD, diluted)	**132.62**	**191.44**	**157.21**	**161.03**	**204.55**	**276.22**	**398.10**	**501.32**	**558.28**
YoY	*-21%*	*44%*	*-18%*	*2%*	*27%*	*35%*	*44%*	*26%*	*11%*
TP implied P/E					53.8	39.8	27.6	21.9	19.7

2030E target P/E	29.8
Target multiple x EPS	14,939
Discounted back to 2027; TP (NTD)	**11,000**
Implied 2027 P/E	53.8

COE assumption	
Beta	1.1
Risk free	3.5%
Market risk premium	6.5%
COE	**10.7%**

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: Largan peer comparison

Company	Ticker	Rating	PE	NI YoY		OPM		Ratio
			2030E	2030E	2031E	2030E	2031E	
Largan	3008.TW	Buy	13.3	26%	11%	40.7%	40.7%	0.2
Largan (TP implied)	3008.TW	Buy	29.8	26%	11%	40.7%	40.7%	0.5
Company	**Ticker**	**Rating**	**PE**	**NI YoY**		**OPM**		**Ratio**
			2027E	**2027E**	**2028E**	**2027E**	**2028E**	
Peers								
AAC	2018.HK	Neutral	12.4	17%	12%	9.7%	10.0%	0.5
T&S	300570.SZ	NC	47.1	96%	62%	24.2%	25.4%	0.5
VPEC	2455.TW	Buy	48.9	67%	55%	35.2%	37.3%	0.5
Sumitomo	5802.JT	Buy	17.2	18%	25%	9.8%	11.2%	0.5
Average			**31.4**	**50%**	**38%**	**19.7%**	**21.0%**	**0.5**

NC: Not Covered; data from Bloomberg consensus. Price as of Oct 9, 2026.

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 9: Taiwan AI server supply chain enjoys strong re-rating when expanding from consumer electronics to AI data center

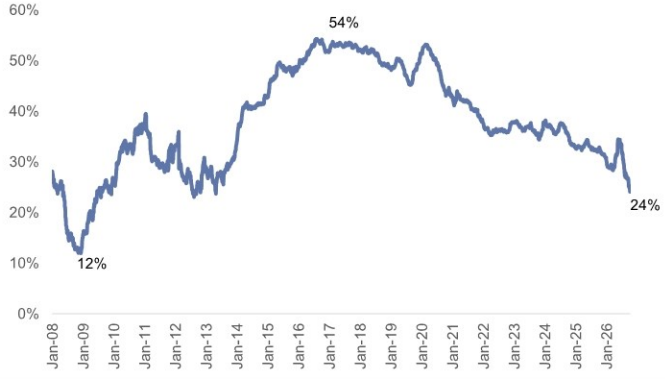
Company	Ticker	2020-2025 PE		
		Trough	Peak	Diff
Largan	3008.TW	10.6	28.0	163%
Taiwan AI server supply chain				
Landmark	3081.TWO	28.9	144.1	398%
VPEC	2455.TW	18.1	74.1	310%
Auras	3324.TWO	8.8	54.6	523%
Fositek	6805.TW	11.3	49.9	343%
AVC	3017.TW	4.7	32.8	604%
Inventec	2356.TW	9.9	31.0	213%
King Slide	2059.TW	9.0	30.2	236%
Gigabyte	2376.TW	3.8	29.6	685%
Mitac	3706.TW	2.5	28.7	1044%
Chenbro	8210.TW	6.7	25.6	282%
Wiwynn	6669.TW	6.1	23.4	287%
Wistron	3231.TW	6.0	21.8	262%
Quanta	2382.TW	6.8	20.4	201%
Hon Hai	2317.TW	7.7	17.5	129%
Avg.		**9.3**	**41.7**	**394%**

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 10: Largan 12M forward PE ratio

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 11: Largan QFII holdings



Source: TEJ

Financial tables

Exhibit 12: Largan P&L

NT$m	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025	2026E	2027E	2028E
Revenues	15,544	13,665	15,651	16,794	18,095	13,322	19,655	25,263	48,842	59,458	61,148	61,654	76,335	101,307
GP	7,680	6,753	6,607	7,827	9,110	6,375	9,995	12,743	23,808	31,209	30,837	28,867	38,222	51,348
OP income	5,812	5,148	4,735	5,990	7,137	4,923	7,852	9,989	17,821	24,033	23,558	21,685	29,902	41,217
Net income	6,123	4,670	5,182	5,690	6,643	4,812	7,230	8,996	17,902	25,915	21,275	21,666	27,682	37,180
EPS, diluted (NT$)	46.11	35.61	39.52	39.79	49.09	35.56	53.43	66.48	132.62	191.44	157.21	161.03	204.55	276.22
YoY														
Revenues	7%	17%	-11%	-2%	16%	-3%	26%	50%	2%	22%	3%	1%	24%	33%
GP	-4%	8%	-21%	-5%	19%	-6%	51%	63%	-9%	31%	-1%	-6%	32%	34%
OP income	-5%	6%	-24%	-5%	23%	-4%	66%	67%	-13%	35%	-2%	-8%	38%	38%
Net income	-5%	352%	-27%	-15%	8%	3%	40%	58%	-21%	45%	-18%	2%	28%	34%
EPS, diluted (NT$)	-3%	362%	-25%	-19%	6%	0%	35%	67%	-21%	44%	-18%	2%	27%	35%
QoQ														
Revenues	-10%	-12%	15%	7%	8%	-26%	48%	29%						
GP	-7%	-12%	-2%	18%	16%	-30%	57%	27%						
OP income	-8%	-11%	-8%	27%	19%	-31%	60%	27%						
Net income	-9%	-24%	11%	10%	17%	-28%	50%	24%						
EPS, diluted (NT$)	-6%	-23%	11%	1%	23%	-28%	50%	24%						
Margins														
GM	49.4%	49.4%	42.2%	46.6%	50.3%	47.9%	50.9%	50.4%	48.7%	52.5%	50.4%	46.8%	50.1%	50.7%
OPM	37.4%	37.7%	30.3%	35.7%	39.4%	37.0%	40.0%	39.5%	36.5%	40.4%	38.5%	35.2%	39.2%	40.7%
NM	39.4%	34.2%	33.1%	33.9%	36.7%	36.1%	36.8%	35.6%	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
Ratios														
Opex ratio	12%	12%	12%	11%	11%	11%	11%	11%	12%	12%	12%	12%	11%	10%
Tax rate	15%	23%	14%	17%	17%	17%	17%	17%	19%	19%	17%	17%	17%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: Largan balance sheet

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	107,490	113,658	115,942	115,177	136,907	152,610
Accounts receivable	10,091	10,360	10,462	10,484	10,430	17,325
Inventory	4,591	5,733	6,713	9,456	7,669	14,778
Other current assets	12,149	16,012	21,169	21,169	21,169	21,169
Current assets	**134,321**	**145,764**	**154,285**	**156,285**	**176,174**	**205,882**
Net PP&E/Fixed assets	41,135	46,936	51,472	60,979	57,943	52,867
Net intangibles	239	505	475	352	345	214
Other long-term assets	19,443	23,322	14,555	14,555	14,555	14,555
Non-current assets	**60,817**	**70,763**	**66,502**	**75,885**	**72,842**	**67,635**
Total assets	**195,138**	**216,527**	**220,787**	**232,170**	**249,017**	**273,517**
Accounts payable	1,731	1,855	1,728	2,224	2,370	3,653
Short-term debt	-	203	-	-	-	-
Other current liabilities	27,787	28,520	28,021	28,214	31,194	35,899
Current liabilities	**29,517**	**30,578**	**29,749**	**30,439**	**33,564**	**39,551**
Long-term debt	-	-	-	-	-	-
Other long-term liabilities	110	561	171	171	171	171
Non-current liabilities	**110**	**561**	**171**	**171**	**171**	**171**
Total liabilities	**29,627**	**31,139**	**29,919**	**30,609**	**33,735**	**39,722**
Common stock	1,335	1,335	1,335	1,335	1,335	1,335
Retained earnings	160,871	175,969	185,818	196,752	210,722	229,485
Other common equity	3,305	6,215	1,714	1,714	1,714	1,714
Total common equity	**165,510**	**183,519**	**188,867**	**199,801**	**213,771**	**232,534**
Minority interest	-	1,869	2,001	1,760	1,511	1,261
Total equity	**165,510**	**185,388**	**190,868**	**201,561**	**215,282**	**233,795**
BVPS	1,226.07	1,369.51	1,410.38	1,498.06	1,590.78	1,736.96
Cash conversion cycle						
Account receivable days	68	63	62	62	50	50
Inventory days	71	67	75	90	82	82
Net payable days	25	23	22	22	22	22
Cash conversion cycle	114	106	116	130	110	110
Ratios						
ROE (common equity)	11%	15%	11%	11%	13%	17%
ROA	9%	13%	10%	10%	12%	14%
Net debt to total equity	-67%	-64%	-64%	-60%	-67%	-68%
Total liabilities to total assets	15%	14%	14%	13%	14%	15%
Dupont analysis						
Asset turnover	0.3	0.3	0.3	0.3	0.3	0.4
Leverage (assets to equity)	1.2	1.2	1.2	1.2	1.2	1.2
Net margin	36.7%	43.6%	34.8%	35.1%	36.3%	36.7%
ROE (total equity)	11%	15%	11%	11%	13%	17%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 14: Largan cash flow

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Cash flow statement						
Net income	22,102	32,174	25,900	21,666	27,682	37,180
Minority interest add-back	-	(296)	(285)	(241)	(249)	(250)
Depreciation and amortization add-back	5,422	6,230	7,732	8,566	12,428	12,399
(Increase)/decrease in working capital	(1,400)	(1,287)	(1,208)	(2,268)	1,986	(12,722)
Other operating cash flow items	(7,925)	(5,243)	(6,059)	-	-	-
Cash flow from operating	**18,199**	**31,579**	**26,080**	**27,723**	**41,847**	**36,607**
Capital expenditure	(8,237)	(11,133)	(12,340)	(17,849)	(9,160)	(7,091)
Other investment cash flow items	(2,915)	(4,933)	3,104	(100)	(225)	(100)
Cash flow from investing	**(11,151)**	**(16,066)**	**(9,236)**	**(17,949)**	**(9,385)**	**(7,191)**
Dividends paid	(11,412)	(9,009)	(13,013)	(10,539)	(10,732)	(13,712)
Change in common stock	-	-	-	-	-	-
Increase/(decrease) in short-term debt	(19)	203	(203)	-	-	-
Increase/(decrease) in long-term debt	-	-	-	-	-	-
Other financing cash flow items	1,680	(1,958)	(241)	-	-	-
Cash flow from financing	**(9,750)**	**(10,764)**	**(13,458)**	**(10,539)**	**(10,732)**	**(13,712)**
Net change in cash	(2,682)	6,168	2,283	(765)	21,730	15,703
FCF	9,962	20,446	13,740	9,874	32,687	29,515
Ratio						
Capex to revenue	17%	19%	20%	29%	12%	7%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Largan

Valuation: We are Buy rated on Largan and have a 12-month target price of NT$11,000, which is based on discounted PE. Our target P/E multiple of 29.8x is derived from (1) peers' avg. ratio of trading PE to forward year fundamentals (NI YoY and OPM), which is at 0.5x, and (2) Largan's forward year fundamentals: 2030-31E NI YoY at 19% on avg. and OPM at 41% on avg. We apply the target PE multiple to Largan's 2030E EPS and discount it back to 2027E via a COE of 10.7%, which is based on beta at 1.1x, risk free at 3.5%, and market risk premium at 6.5%. Our target price of NT$11,000 implies 39.8x 2028E PE, the first full year of FAU contribution, which is within Largan's historical trading range of 8.0x to 45.1x, reflecting our positive view on Largan's expansion from handset lens to FAU, which broadens its exposure from consumer electronics to AI data center that enjoys strong market growth, and could support a valuation re-rating. We note that Taiwan AI supply chain also enjoys re-rating when expanding from consumer electronics to AI data center. Maintain Buy.

Key risks: (1) slower-than-expected smartphone market growth, (2) fiercer competition in handset lenses, (3) slower-than-expected smartphone camera lens specification upgrades or Largan's handset lens pixel mix upgrade, (4) slower-than-expected FAU ramp up, and (5) fiercer competition in FAU.

Disclosure Appendix

Reg AC

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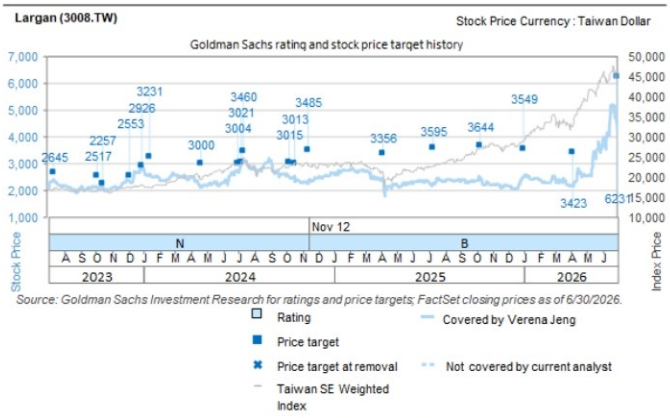
Price target and rating history chart(s)



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Target price history table(s)

Largan (3008.TW)

Date of report	Target price (NT$)	Closing price (NT$)
13-Jul-26	6,263.00	4,345.00
30-Jun-26	6,231.00	4,290.00
07-Apr-26	3,423.00	2,170.00
01-Jan-26	3,549.00	2,495.00
09-Oct-25	3,644.00	2,470.00
11-Jul-25	3,595.00	2,285.00
06-Apr-25	3,356.00	2,450.00
12-Nov-24	3,485.00	2,255.00
18-Oct-24	3,013.00	2,325.00
07-Oct-24	3,015.00	2,525.00
11-Jul-24	3,460.00	3,200.00
08-Jul-24	3,021.00	3,030.00
01-Jul-24	3,004.00	2,700.00
21-Apr-24	3,000.00	2,120.00
12-Jan-24	3,231.00	2,600.00
29-Dec-23	2,926.00	2,870.00
06-Dec-23	2,553.00	2,320.00
15-Oct-23	2,257.00	2,175.00

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08 Oct 2026 10:19:53 ET | 16 pages

Largan Precision (3008.TW)

Better FAU visibility despite smartphone shortfall

CITI'S TAKE

Largan's 3Q26 earning was below expectation. 3Q26 revenue of NT$15.65bn (up 15% QoQ but down 11% YoY). GM declined to 42.2% with EPS reaching NT$39.6. Management attributed margin pressure to manufacturing yield challenges associated with increasingly complicated smartphone lenses, alongside the rising cost of renewable electricity. The latter is becoming a structural cost burden because of contractual commitments to customers. While yields are gradually improving, management see weakening smartphone order flow into 4Q26. **Nevertheless, the management's view on FAU development is positive and seeing great feedback and strong business engagement into the next generation CPO design**. We reiterate our Buy and see any pull back on weak smartphone business as a great buying opportunity.

CPO Strategy — Moving to integrated FAU and carrier assembly — The most important development during the call is Largan's expanded product scope. Previously, the company primarily targeted Fiber Array alignment, positioning itself as a high-precision component supplier to established FAU manufacturers. Management now plans to produce FAU, purchase PMLA and other optical components, and perform precision optical coupling and assembly to deliver complete FAUs. It also intends to pursue the additional assembly step of mounting the FAU onto a carrier, which subsequently interfaces with the receptacle. This represents a meaningful expansion in value capture, moving Largan to higher-value integrated optical interconnect assemblies.

Customer qualification has progressed well, production starting in mid-2027 — Largan indicated that FA qualification is complete, and the automated pilot line is already operational and has been inspected repeatedly by the customer. Largan currently has one customer progressing toward commercial volume production, while several other customers, including CSP-related opportunities, are involved in next-generation development targeting 2028. Management expects the first scaled production lines to be ready around mid-2027, with meaningful FAU mass production potentially beginning in 2H27. Management also confirmed that recently acquired land and facilities have designated expansion purposes, primarily cleanrooms and production lines for FA/FAU rather than smartphone lenses.

Buy

Short-Term View: Upside

Price (08 Oct 26 13:30)	NT$6,660.00
Target price	NT$8,500.00
Expected share price return	27.6%
Expected dividend yield	1.2%
Expected total return	28.8%
Market Cap	NT$871,116M
	US$27,335M

Price Performance
(RIC: 3008.TW, BB: 3008 TT)

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	25,915	194.17	44.8	34.3	4.8	14.8	1.3
2025A	21,275	159.40	-17.9	41.8	4.7	11.3	0.8
2026E	20,449	155.54	-2.4	42.8	4.3	10.4	1.2
2027E	21,410	163.69	5.2	40.7	4.1	10.3	1.2
2028E	45,921	351.08	114.5	19.0	3.5	19.8	2.6

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Laura (Chia Yi) Chen [AC]
+886-2-8726-9090
laura.cy.chen@citi.com

Jack Chen
+886-2-8726-9091
jack1.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

3008.TW: Fiscal year end 31-Dec

Price: NT$6,660.00; TP: NT$8,500.00; Market Cap: NT$871,116m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	59,458	61,148	61,099	77,607	163,572
Cost of sales	-28,248	-30,311	-33,508	-44,656	-88,753
Gross profit	31,209	30,837	27,591	32,950	74,819
Gross Margin (%)	52.5	50.4	45.2	42.5	45.7
EBITDA (Adj)	**29,617**	**30,526**	**28,406**	**31,769**	**63,555**
EBITDA Margin (Adj) (%)	49.8	49.9	46.5	40.9	38.9
Depreciation	-5,585	-6,968	-8,027	-9,246	-10,713
Amortisation	0	0	0	0	0
EBIT (Adj)	**24,032**	**23,558**	**20,379**	**22,522**	**52,842**
EBIT Margin (Adj) (%)	40.4	38.5	33.4	29.0	32.3
Net interest	4,404	4,259	3,745	3,600	3,600
Associates	0	3	102	200	200
Non-Op/Except/Other Adj	3,738	-1,919	957	280	280
Pre-tax profit	**32,174**	**25,900**	**25,183**	**26,602**	**56,922**
Tax	-5,963	-4,340	-4,658	-5,192	-11,001
Extraord./Min.Int./Pref.div.	-296	-285	-77	0	0
Reported net profit	**25,915**	**21,275**	**20,449**	**21,410**	**45,921**
Net Margin (%)	43.6	34.8	33.5	27.6	28.1
Core NPAT	25,915	21,275	20,449	21,410	45,921

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	194.17	159.40	155.54	163.69	351.08
Core EPS ($)	194.17	159.40	155.54	163.69	351.08
DPS ($)	85.50	50.96	78.48	82.17	176.24
CFPS ($)	205.13	162.32	273.56	227.93	420.99
FCFPS ($)	119.83	76.12	195.19	151.87	341.40
BVPS ($)	1,389.00	1,430.06	1,552.87	1,638.07	1,906.98
Wtd avg ord shares (m)	133	133	131	131	131
Wtd avg diluted shares (m)	133	133	131	131	131

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	21.7	2.8	-0.1	27.0	110.8
EBIT (Adj) (%)	35.0	-2.0	-13.5	10.5	134.6
Core NPAT (%)	44.8	-17.9	-3.9	4.7	114.5
Core EPS (%)	44.8	-17.9	-2.4	5.2	114.5

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	113,658	115,942	132,174	141,574	175,281
Accounts receivables	10,360	10,462	12,457	23,869	38,792
Inventory	5,733	6,713	6,331	12,131	19,715
Net fixed & other tangibles	46,936	51,472	53,748	54,450	54,146
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	39,839	36,198	37,859	57,893	84,031
Total assets	**216,527**	**220,787**	**242,569**	**289,915**	**371,966**
Accounts payable	1,855	1,728	3,136	6,249	9,854
Short-term debt	203	0	0	0	0
Long-term debt	0	0	0	0	0
Provisions & other liab	29,081	28,191	36,321	69,409	112,681
Total liabilities	**31,139**	**29,919**	**39,457**	**75,659**	**122,536**
Shareholders' equity	185,388	190,868	203,112	214,257	249,430
Minority interests	0	0	0	0	0
Total equity	**185,388**	**190,868**	**203,112**	**214,257**	**249,430**
Net debt (Adj)	**-113,455**	**-115,942**	**-132,174**	**-141,573**	**-175,280**
Net debt to equity (Adj) (%)	-61.2	-60.7	-65.1	-66.1	-70.3

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	34.3	41.8	42.8	40.7	19.0
PB (x)	4.8	4.7	4.3	4.1	3.5
EV/EBITDA (x)	24.9	24.1	25.7	22.6	11.0
FCF yield (%)	1.8	1.1	2.9	2.3	5.1
Dividend yield (%)	1.3	0.8	1.2	1.2	2.6
Payout ratio (%)	44	32	50	50	50
ROE (%)	14.8	11.3	10.4	10.3	19.8

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	29,617	30,526	28,406	31,769	63,555
Working capital	-4,417	-6,864	7,411	-843	-1,569
Other	2,178	-1,998	146	-1,112	-6,921
Operating cashflow	**27,378**	**21,664**	**35,963**	**29,813**	**55,065**
Capex	-11,385	-11,504	-10,302	-9,948	-10,410
Net acq/disposals	1,369	0	-100	-200	-200
Other	-5,514	8,798	-1,078	0	0
Investing cashflow	**-15,531**	**-2,707**	**-11,480**	**-10,148**	**-10,610**
Dividends paid	-10,811	-11,412	-6,802	-10,265	-10,748
Financing cashflow	**-5,679**	**-16,674**	**-8,251**	**-10,265**	**-10,748**
Net change in cash	**6,168**	**2,283**	**16,232**	**9,400**	**33,707**
Free cashflow to s/holders	**15,993**	**10,160**	**25,661**	**19,865**	**44,655**

For definitions of the items in this table, please click here.

Seeing multiple generation and years opportunities — Compared with these broader solutions providers, Largan remains primarily as a high-precision manufacturing and assembly specialist. Management described its current business relationship as closer to contract manufacturing, with direct discussions with end customers focused mainly on next-generation products. On product architecture, the initial 2027 commercial project remains focused on single-row FA using grating coupling (GC), while multi-row and multilayer configurations remain in sampling and are primarily associated with 2028 programs. Management believes its FA/FAU solution is broadly applicable to both CPO and NPO when the underlying optical interface remains similar, because the primary difference is the placement of the optical package. Largan's primary differentiation is not the FA design itself but its ability to manufacture highly precise assembly using imperfect input components.

Automation and Yield Control Are the Real Competitive Advantages

During the earnings call, Largan's management emphasized that almost all critical FA/FAU alignment equipment is developed internally, including machinery and control software. This enables faster equipment modification, process optimization and troubleshooting compared with labor-intensive assembly. Automated production also offers better traceability and root-cause analysis when yield problems emerge. Management stated that customer feedback is positive and the FAU certification process progressing well. The key competitive advantage, in our view, is the ability to combine submicron accuracy, high throughput and reproducible yields at scale, rather than precision alone.

In our view, the earnings call supports a more constructive medium-term view of Largan's CPO opportunities than our previous assessment, particularly given the apparent completion of initial FA qualification, customer interest in integrated FAU assembly and a clearer path toward commercial production in 2H27. Moving from standalone FA to FAU and potentially carrier assembly could materially increase revenue content per optical connection, while the company's automated manufacturing capabilities may support differentiation in increasingly complex, high-density optical architectures. The next growth opportunity could emerge from multi-row FA and higher-channel-count optical solutions beginning in 2028, particularly as AI networking bandwidth moves beyond current-generation platforms.

Maintaining Buy on better FAU visibility

Given the weak smartphone order flow and GM pressure in the near term, we revise down our net income projections by 9%/29% for 2026/2027, but slightly raise our 2028 net income projection by 1% given the solid growth opportunity in FAU business. However, we think Largan is transitioning from a smartphone optics manufacturer into a potential high-precision optical interconnect assembly supplier. As they are moving to FAU not just FA; we assume higher revenue contribution for 2027/2028 of 28%/44% considering Largan could get 15%/30% market share.

Figure 1. Largan - 3Q26 results overview

(NT$mn)	3Q26 Actual	3Q25 Actual	2Q26 Actual	YoY	QoQ	3Q26 Citi	diff	3Q26 Consensus	diff
Revenue	15,651	17,677	13,665	-11%	15%	16,011	-2%	18,196	-14%
Gross profit	6,607	8,352	6,753	-21%	-2%	7,782	-15%	9,120	-28%
OP profit	4,735	6,265	5,148	-24%	-8%	5,829	-19%	6,946	-32%
Non-op	1,357	1,890	951			1,020		1,183	
PBT	6,092	8,155	6,099	-25%	0%	6,849	-11%	8,129	-25%
Net Income	5,182	7,080	4,670	-27%	11%	5,751	-10%	6,723	-23%
EPS (NT$)	39.62	54.13	35.70	-27%	11%	43.97	-10%	51.40	-23%
GM	42.2%	47.2%	49.4%	-5.0 ppt	-7.2 ppt	48.6%	-6.4 ppt	50.1%	-7.9 ppt
OPEX ratio	-12.0%	-11.8%	-11.7%	-0.1 ppt	-0.2 ppt	-12.2%	0.2 ppt	-11.9%	-0.0 ppt
OPM	30.3%	35.4%	37.7%	-5.2 ppt	-7.4 ppt	36.4%	-6.1 ppt	38.2%	-7.9 ppt
NM	33.1%	40.1%	34.2%	-6.9 ppt	-1.1 ppt	35.9%	-2.8 ppt	36.9%	-3.8 ppt

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Source: Citi Research, Bloomberg

We view customer acceptance and manufacturing differentiation positively, despite near-term earnings visibility remains constrained by smartphone demand at least into 1H27. We thus maintain our Buy rating with TP NT$8,500 unchanged, implying 33x of our 2027/28 EPS projection from 30x previously thanks to its better visibility on FAU progress.

Figure 2. Largan – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	61,099	62,461	-2%	77,607	95,009	-18%	163,572	156,848	4%
Gross profit	27,591	30,753	-10%	32,950	46,156	-29%	74,819	73,629	2%
Opex	(7,212)	(7,407)	-3%	(10,428)	(12,763)	-18%	(21,977)	(21,077)	4%
Operating profit	20,379	23,346	-13%	22,522	33,393	-33%	52,842	52,552	1%
Pre-tax profit	25,183	27,813	-9%	26,602	37,473	-29%	56,922	56,632	1%
Net income	20,449	22,444	-9%	21,410	30,213	-29%	45,921	45,639	1%
EPS (NT$)	155.5	168.2	-8%	163.7	226.4	-28%	351.1	341.9	3%
Gross margin	45.2	49.2	-4.1ppts	42.5	48.6	-6.1ppts	45.7	46.9	-1.2ppts
Opex ratio	(11.8)	(11.9)	-0.1ppts	(13.4)	(13.4)	0.0ppts	(13.4)	(13.4)	0.0ppts
Operating margin	33.4	37.4	-4.0ppts	29.0	35.1	-6.1ppts	32.3	33.5	-1.2ppts
Net margin	33.5	35.9	-2.5ppts	27.6	31.8	-4.2ppts	28.1	29.1	-1.0ppts

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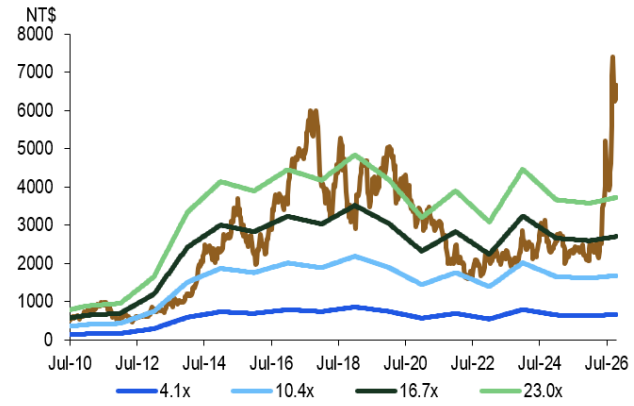
Source: Citi Research

Figure 3. Largan – Forward P/E band



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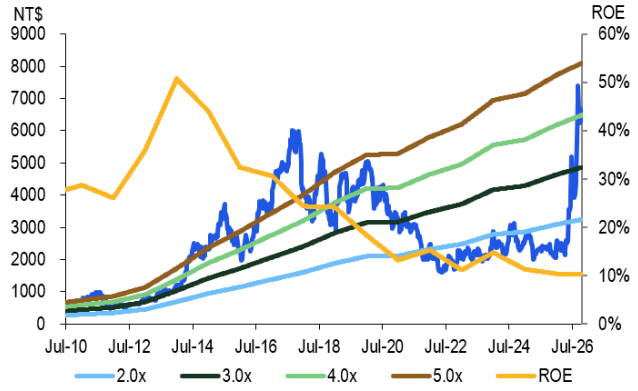
Source: Citi Research, company data

Figure 4. Largan – Forward P/B band & ROE



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Source: Citi Research, company data

Figure 5. Largan – Forecast Summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	14,579	11,673	17,677	17,219	15,544	13,665	15,651	16,239	13,628	11,251	21,613	31,114	61,148	61,099	77,607	163,572
Gross profit	**7,965**	**6,260**	**8,352**	**8,260**	**7,680**	**6,753**	**6,607**	**6,552**	**5,718**	**4,663**	**9,010**	**13,560**	**30,837**	**27,591**	**32,950**	**74,819**
OPEX	1,878	1,381	2,088	1,932	1,867	1,605	1,872	1,868	1,867	1,508	2,853	4,200	7,279	7,212	10,428	21,977
Operating profit	**6,086**	**4,879**	**6,265**	**6,329**	**5,812**	**5,148**	**4,735**	**4,684**	**3,851**	**3,155**	**6,157**	**9,359**	**23,558**	**20,379**	**22,522**	**52,842**
Total Non-OP	1,630	(3,085)	1,890	1,907	1,476	951	1,357	1,020	1,020	1,020	1,020	1,020	2,342	4,804	4,080	4,080
Pre-tax profit	7,716	1,794	8,155	8,236	7,288	6,099	6,092	5,704	4,871	4,175	7,177	10,379	25,900	25,183	26,602	56,922
Income tax	1,173	738	996	1,434	1,112	1,373	910	1,263	899	845	1,150	2,298	4,340	4,658	5,192	11,001
Net profit	**6,443**	**1,032**	**7,080**	**6,720**	**6,123**	**4,702**	**5,182**	**4,441**	**3,972**	**3,329**	**6,027**	**8,082**	**21,275**	**20,449**	**21,410**	**45,921**
EPS	**48.3**	**7.7**	**53.0**	**50.3**	**45.9**	**35.9**	**39.6**	**34.0**	**30.4**	**25.5**	**46.1**	**61.8**	**159.4**	**155.5**	**163.7**	**351.1**
Margins (%)																
Gross profit	**54.6**	**53.6**	**47.2**	**48.0**	**49.4**	**49.4**	**42.2**	**40.3**	**42.0**	**41.4**	**41.7**	**43.6**	**50.4**	**45.2**	**42.5**	**45.7**
OPEX to Sales Ratio	12.9	11.8	11.8	11.2	12.0	11.7	12.0	11.5	13.7	13.4	13.2	13.5	11.9	11.8	13.4	13.4
Operating profit	**41.7**	**41.8**	**35.4**	**36.8**	**37.4**	**37.7**	**30.3**	**28.8**	**28.3**	**28.0**	**28.5**	**30.1**	**38.5**	**33.4**	**29.0**	**32.3**
Total Non-OP	11.2	(26.4)	10.7	11.1	9.5	7.0	8.7	6.3	7.5	9.1	4.7	3.3	3.8	7.9	5.3	2.5
Pre-tax profit	52.9	15.4	46.1	47.8	46.9	44.6	38.9	35.1	35.7	37.1	33.2	33.4	42.4	41.2	34.3	34.8
Net profit	**44.2**	**8.8**	**40.1**	**39.0**	**39.4**	**34.4**	**33.1**	**27.3**	**29.1**	**29.6**	**27.9**	**26.0**	**34.8**	**33.5**	**27.6**	**28.1**
Y/Y (%)																
Net sales	28.9	6.3	(6.7)	(5.4)	6.6	17.1	(11.5)	(5.7)	(12.3)	(17.7)	38.1	91.6	2.8	(0.1)	27.0	110.8
Gross profit	43.2	17.8	(12.2)	(23.6)	(3.6)	7.9	(20.9)	(20.7)	(25.5)	(31.0)	36.4	107.0	(1.2)	(10.5)	19.4	127.1
Operating profit	53.7	25.4	(19.7)	(24.5)	(4.5)	5.5	(24.4)	(26.0)	(33.7)	(38.7)	30.0	99.8	(2.0)	(13.5)	10.5	134.6
Pre-tax profit	3.9	(69.1)	3.9	(25.7)	(5.6)	240.0	(25.3)	(30.7)	(33.2)	(31.5)	17.8	82.0	(19.5)	(2.8)	5.6	114.0
Net profit	5.4	(77.1)	6.8	(22.5)	(5.0)	355.6	(26.8)	(33.9)	(35.1)	(29.2)	16.3	82.0	(17.9)	(3.9)	4.7	114.5
Q/Q(%)																
Net sales	(19.9)	(19.9)	51.4	(2.6)	(9.7)	(12.1)	14.5	3.8	(16.1)	(17.4)	92.1	44.0				
Gross profit	(26.4)	(21.4)	33.4	(1.1)	(7.0)	(12.1)	(2.2)	(0.8)	(12.7)	(18.5)	93.2	50.5				
Operating profit	(27.4)	(19.8)	28.4	1.0	(8.2)	(11.4)	(8.0)	(1.1)	(17.8)	(18.1)	95.1	52.0				
Pre-tax profit	(30.4)	(76.8)	354.6	1.0	(11.5)	(16.3)	(0.1)	(6.4)	(14.6)	(14.3)	71.9	44.6				
Net profit	(25.7)	(84.0)	586.0	(5.1)	(8.9)	(23.2)	10.2	(14.3)	(10.6)	(16.2)	81.0	34.1				

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Source: Citi Research, company data

Adding Upside 90-Day Short-Term View on Largan Precision (3008.TW)

Direction:	**Upside**
Duration:	Within 90 Days
Category:	Thematic driven

We see management's upbeat outlook on its FA/FAU business should support Largan's share price performance in the coming months.

Bull/Bear: Largan Precision (3008.TW)

NT$ 9,000.00	NT$ 8,500.00	NT$ 5,600.00
▲35% Upside	▲28% Upside	▼16% Downside

Spread 51pp
Current Price and expected returns (upside/downside) as of 08 Oct 2026

BULL Assumptions

- Higher than expected UTR or better than expected product mix
- Winning significant shares in lens market
- Based on 35x PER

BASE Assumptions

- Overall GM >45% in 2026-28E
- Stable share in lens market with steady lens upgrade trend

BEAR Assumptions

- Lower than expected UTR or worse than expected product mix
- Losing significant shares in lens market
- Based on 23x PER

Largan Precision

Company description

Largan is a plastic/glass/hybrid lens supplier in Taiwan with end-applications including phone cameras, DSCs, MFPs, and tablets. Its new development into FAU business should server as a long term growth opportunity.

Investment strategy

We rate Largan a Buy as we expect its core iPhone business to remain resilient and its co-packaged optics (CPO) development to provide strong upside potential in the longer term. We believe Largan could be a long-term winner in the lens market driven by: 1) its technology leadership; 2) intellectual property (IP) protection; and 3) higher yield vs. competitors. In the longer term, we believe spec migration could keep Largan ahead of competitors.

Valuation

Our target price of NT$8,500 for Largan shares is based on 33x 2027/28E EPS. We are using 2027/28E EPS average as we see new Fiber Array + PMLA revenue to kick in from next year. Our 33x PER is higher than its historical 5-year PER range, which we think is justified by its better order visibility proven by its recent strong capacity expansion plan, and we expect its CPO business engagement should provide a strong long-term growth opportunity.

Risks

Key downside risks include: 1) weaker smartphone demand or replacement demand, and in particular, demand headwinds for certain key clients; 2) longer learning curve and slower ramp of the yield rate; 3) slower spec migration; and 4) slower development in CPO business. Any of these risk factors could cause the shares to deviate from our target price.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

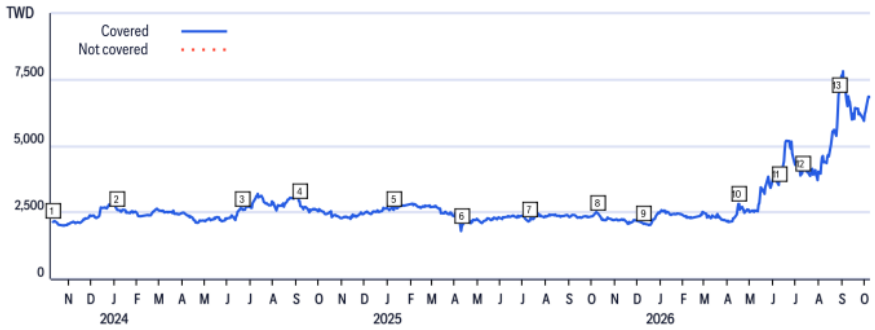
Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Largan Precision (3008.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	12-Oct-23 09:51:12	1	*2,520.00	2,150.00
2	07-Jan-24 20:04:59	1	*3,060.00	2,595.00
3	21-Jun-24 08:28:17	1	*3,560.00	2,595.00
4	05-Sep-24 09:18:51	1	*3,650.00	2,925.00
5	09-Jan-25 09:26:45	1	*3,920.00	2,595.00
6	10-Apr-25 09:42:59	1	*3,300.00	1,980.00
7	10-Jul-25 08:26:53	1	*2,500.00	2,190.00
8	09-Oct-25 07:33:18	1	*2,755.00	2,470.00
9	09-Dec-25 06:01:38	*2	*2,150.00	2,070.00
10	15-Apr-26 10:31:04	2	*3,060.00	2,820.00
11	08-Jun-26 04:01:46	*1	*5,325.00	3,535.00
12	09-Jul-26 07:52:49	1	*6,125.00	3,950.00
13	27-Aug-26 13:18:48	1	*8,500.00	6,915.00

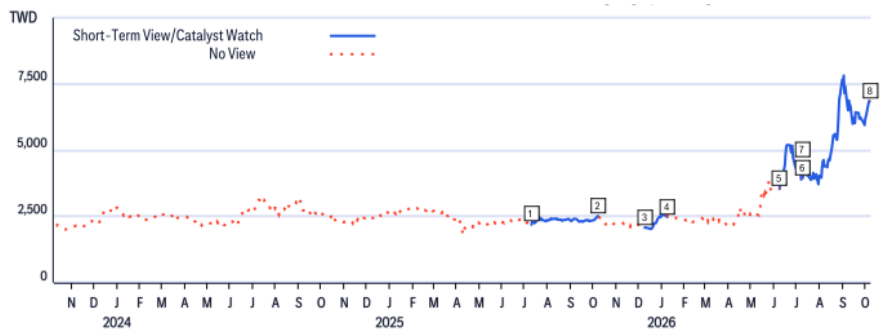
*Indicates Change

Rating/target price changes above reflect Eastern Time

Largan Precision (3008.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 04:26:53	Add CW	Downside	90 Days	2,190.00
2	08-Oct-25 21:49:48	Remove CW	Downside	90 Days	2,485.00
3	09-Dec-25 01:01:38	Add STV	Downside	30 Days	2,070.00
4	08-Jan-26 19:58:44	Remove STV	Downside	30 Days	2,475.00
5	08-Jun-26 00:01:46	Add CW	Upside	30 Days	3,535.00
6	08-Jul-26 21:51:08	Remove CW	Upside	30 Days	3,950.00
7	09-Jul-26 03:52:49	Add STV	Upside	90 Days	3,950.00
8	07-Oct-26 21:34:32	Remove STV	Upside	90 Days	6,845.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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October 8, 2026 12:09 PM GMT

Chenbro | Asia Pacific

September Sales +1% MoM/ +14% YoY

In this report, we focus on Chenbro's monthly sales, which we believe could be a catalyst for its share price.

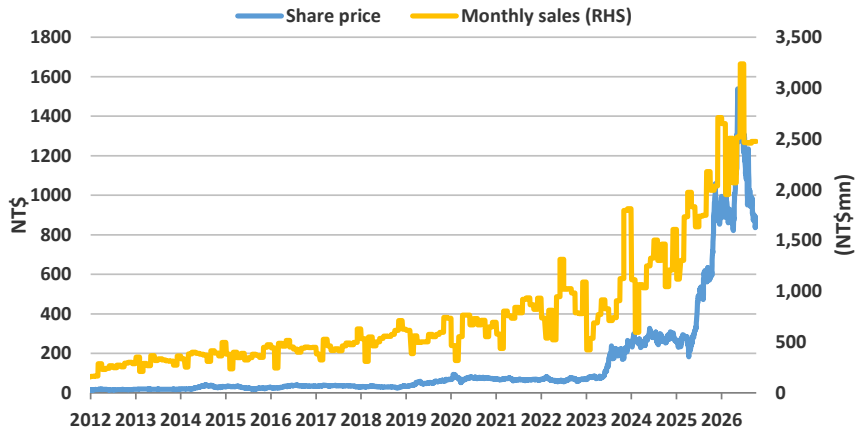
Details:

- September sales were NT$2,476mn (+1% MoM/+14% YoY).
- 3Q26 sales came in at NT$7,395mn (-5% QoQ/+31% YoY), short of our 3Q26 estimate at NT$8,368mn (+7% QoQ/+48% YoY) and the consensus at NT $8,552mn (+9% QoQ/+51% YoY).

Our view:

- 3Q26 revenue fell slightly short of the buyside expectation of roughly flat QoQ, in our view, and 4Q26 should be flat to up slightly QoQ.
- We think near-term sentiment will remain lackluster amid the temporary hiccup resulting from supply-chain management issues and its customer's model transition. That said, demand from its GPU/ASIC server clusters and general servers should remain strong, driving orders for its chassis and rack offerings.
- Stay OW.

Exhibit 1: Chenbro's monthly sales vs. its share price since 2012



Note: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

MORGAN STANLEY TAIWAN LIMITED+

Derrick Yang
Equity Analyst
Derrick.Yang@morganstanley.com +886 2 2730-2862

Vivi Huang
Research Associate
Vivi.Huang@morganstanley.com +886 2 2730-2860

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Chenbro (8210.TW, 8210 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$1,600.00
Up/downside to price target (%)	83
Shr price, close (Oct 8, 2026)	NT$874.00
52-Week Range	NT$1,590.00-597.00
Sh out, dil, curr (mn)	122
Mkt cap, curr (mn)	NT$107,010
EV, curr (mn)	NT$104,457
Avg daily trading value (mn)	NT$2,402

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	29.06	47.77	58.77	68.77
EPS (NT$)§	28.97	48.20	63.98	83.20
Revenue, net (NT$ mn)	22,001	32,467	42,173	49,177
EBITDA (NT$ mn)	5,101	8,347	10,106	11,733
ModelWare net inc (NT $ mn)	3,558	5,849	7,196	8,420
P/E	34.6	18.3	14.9	12.7
P/BV	11.4	7.2	5.6	4.5
RNOA (%)	48.5	68.8	67.5	74.5
ROE (%)	49.0	52.8	47.3	43.0
EV/EBITDA	24.2	12.3	9.8	8.0
Div yld (%)	0.7	1.6	2.6	3.2
FCF yld ratio (%)**	2.1	3.5	6.1	7.5
Leverage (EOP) (%)	(28.3)	(34.1)	(45.7)	(54.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Chenbro 8210.TW			
September 2026 Sales	08 Oct 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Chenbro (8210.TW)

Base case, derived from 27x 2027e P/E. We view our target multiple as justified by the 33% earnings CAGR we see for 2025-28, which implies a PEG of 0.8. This is in line the average of 0.8 over 2014-24, when the stock was trading at an average P/E of 12x for a 15% earnings CAGR.

Risks to Upside

- Stronger AI capex outlook
- Larger market share gains within existing customers
- Faster penetration into new customers
- Higher entry barrier among peers that leads to higher ASP/profitability
- Better macro outlook

Risks to Downside

- Softer AI capex
- Less share gains within existing customers
- Slower penetration into new customers
- Intensifying competition leading to lower ASP/profitability
- Continuous macro uncertainties

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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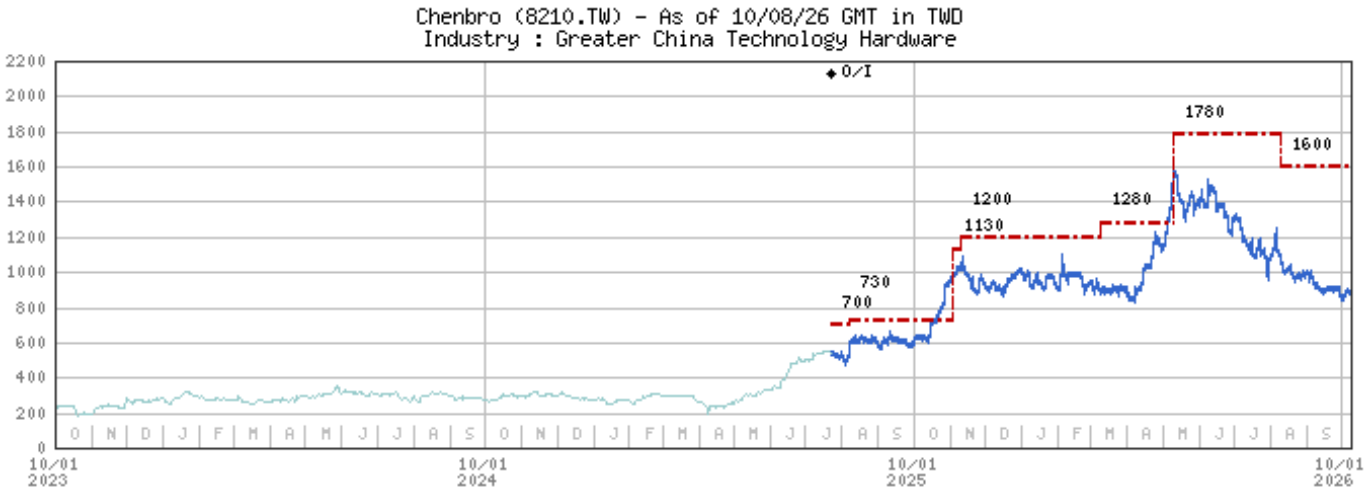
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/23/25 : O/I

Price Target History: 7/23/25 : 700; 8/8/25 : 730; 11/4/25 : 1130; 11/10/25 : 1200; 3/9/26 : 1280; 5/11/26 : 1780; 8/10/26 : 1600

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.24
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb152.01
BYD Electronics (0285.HK)	O (04/28/2023)	HK$22.14
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.18
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.29
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb378.50
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT$1,060.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.70
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.00
Largan Precision (3008.TW)	E (09/10/2026)	NT$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.83
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.42
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.18
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.80
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb48.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.39
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.84
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb68.49
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.06
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb46.10
Sunny Optical (2382.HK)	E (03/23/2026)	HK$60.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb235.07
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.00
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$23.66
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb393.99

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$167.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb101.20
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.15
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb783.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$999.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.70
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb29.32
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT$727.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,205.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,440.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$36.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,360.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.50
Chenbro (8210.TW)	O (07/23/2025)	NT$874.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,330.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,965.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,370.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$332.50
Innolux (3481.TW)	E (04/07/2025)	NT$51.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$10,615.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb30.04
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$297.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.63
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.18
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb175.19
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$6,000.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$4.67
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb55.69
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$363.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,285.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$249.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.56
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$50.15
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,960.00
Lenovo (0992.HK)	O (07/10/2026)	HK$32.32
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,915.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,475.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb131.86
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb368.02
Unimicron (3037.TW)	O (02/23/2026)	NT$1,270.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$558.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$2,240.00

Yageo Corp. (2327.TW)	O (10/28/2025)	NT$635.00
Zhen Ding (4958.TW)	++	NT$592.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$535.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,740.00

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October 8, 2026 11:46 AM GMT

E Ink Holdings Inc. | Asia Pacific

September Sales +5% MoM/ +14% YoY

In this report, we focus on E Ink's monthly sales, which we believe could be a catalyst for its share price.

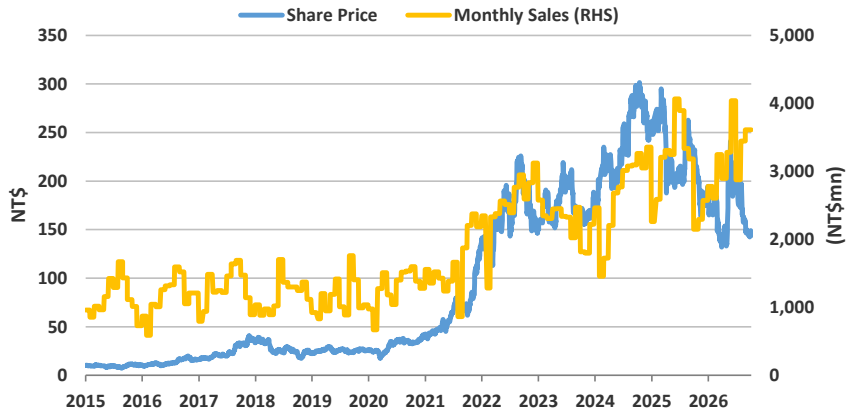
Details:

- September sales were NT$3,613mn (+5% MoM/+14% YoY).
- 3Q26 sales came in at NT$9,936mn (-3% QoQ/-5% YoY), in line with our estimate at NT$9,985mn (-2% QoQ/-4% YoY) and the consensus at NT $9,774mn (-4% QoQ/-6% YoY).

Our view:

- E Ink's monthly sales run rate will need to stay at the September level through year end to achieve its full-year revenue guidance of up 10-15% YoY for 2026. This implies its 4Q26 revenue will be up by 9% QoQ, which still looks within reach, despite the softer seasonality
- While the worst seems to be behind us and valuation is at a trough level of 12x 2027e P/E, we see no strong catalysts in the near term, despite our long-term positive view on e-paper demand across various applications. Stay EW.

Exhibit 1: E Ink's monthly sales vs. its share price since 2015



Note: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

MORGAN STANLEY TAIWAN LIMITED+

Derrick Yang
Equity Analyst
Derrick.Yang@morganstanley.com +886 2 2730-2862

Vivi Huang
Research Associate
Vivi.Huang@morganstanley.com +886 2 2730-2860

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

E Ink Holdings Inc. (8069.TWO, 8069 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$150.00
Up/downside to price target (%)	4
Shr price, close (Oct 8, 2026)	NT$144.00
52-Week Range	NT$251.00-135.00
Sh out, dil, curr (mn)	1,150
Mkt cap, curr (mn)	NT$165,624
EV, curr (mn)	NT$171,181
Avg daily trading value (mn)	NT$1,344

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	9.14	11.57	12.57	14.77
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	10.09	11.36	13.40	14.95
Revenue, net (NT$ mn)	36,116	40,294	46,095	53,387
EBITDA (NT$ mn)	13,458	16,276	18,570	21,698
ModelWare net inc (NT $ mn)	10,515	13,307	14,457	16,987
P/E	21.7	12.4	11.5	9.7
P/BV	3.3	2.2	2.0	1.9
RNOA (%)	13.8	14.4	16.5	19.4
ROE (%)	18.2	19.0	18.9	20.7
EV/EBITDA	17.5	10.2	8.6	7.1
Div yld (%)	3.0	5.2	5.7	6.7
FCF yld ratio (%)**	4.2	7.6	8.2	9.6
Leverage (EOP) (%)	2.1	(5.7)	(11.2)	(17.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

E Ink Holdings Inc. (8069.TWO)

Base case, 12x 2027e P/E. We believe this valuation methodology best captures E Ink's earnings growth momentum. We view our target multiple of 12x as fair, considering our estimated 17% earnings CAGR for 2025-28. The implied PEG of 0.7x is largely in line with its typical level in 2022-25, when the stock was trading at an average P/E of 22x one-year forward consensus EPS with a 37% earnings CAGR.

Risks to Upside

- Firmer-than-expected ESL orders
- Stronger demand for e-readers and e-notes
- Better macro conditions
- Milder competition
- Brisker inventory digestion

Risks to Downside

- Softer-than-expected ESL orders
- Slower demand for e-readers and e-notes
- Macro headwinds
- Intensified competition
- More protracted inventory digestion

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
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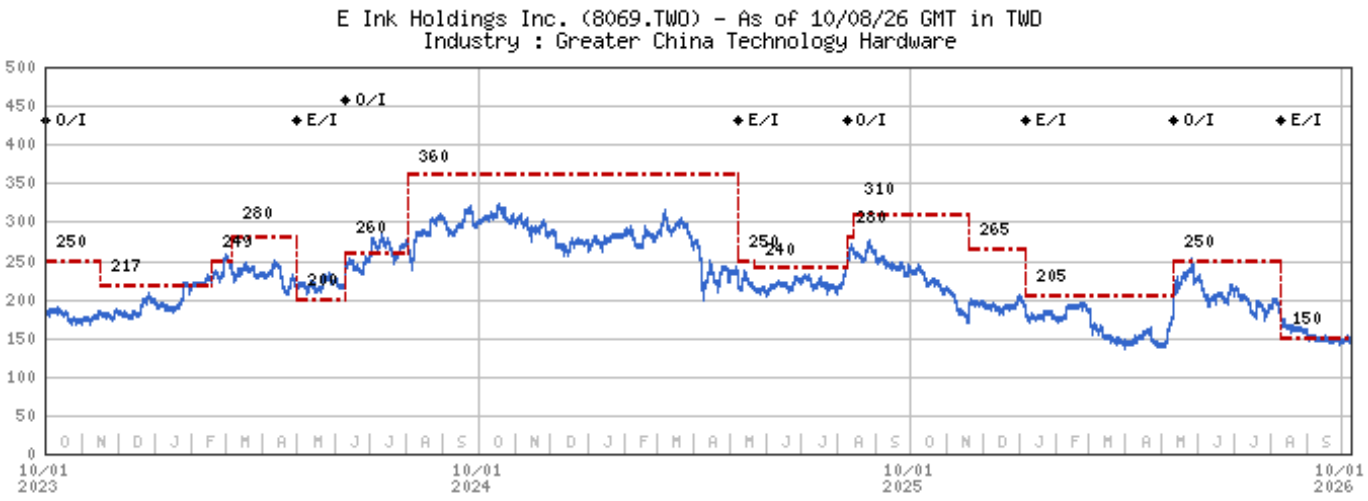
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : NA/I; 6/23/22 : O/I; 11/15/22 : E/I; 5/17/23 : O/I; 4/30/24 : E/I; 6/10/24 : O/I; 5/8/25 : E/I; 8/8/25 : O/I; 1/7/26 : E/I; 5/11/26 : O/I; 8/10/26 : E/I

Price Target History: 6/23/22 : 275; 8/17/22 : 280; 11/15/22 : 200; 3/9/23 : 185; 5/17/23 : 250; 11/16/23 : 217; 2/19/24 : 249; 3/7/24 : 280; 4/30/24 : 200; 6/10/24 : 260; 8/2/24 : 360; 5/8/25 : 250; 5/22/25 : 240; 8/8/25 : 280; 8/14/25 : 310; 11/19/25 : 265; 1/7/26 : 205; 5/11/26 : 250; 8/10/26 : 150

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.24
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb152.01
BYD Electronics (0285.HK)	O (04/28/2023)	HK$22.14
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.18
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.29
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb378.50
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT$1,060.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.70
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.00
Largan Precision (3008.TW)	E (09/10/2026)	NT$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.83
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.42
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.18
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.80
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb48.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.39
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.84
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb68.49
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.06
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb46.10
Sunny Optical (2382.HK)	E (03/23/2026)	HK$60.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb235.07

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.00
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$23.66
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb393.99
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$167.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb101.20
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.15
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb783.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$999.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.70
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb29.32
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT$727.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,205.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,440.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$36.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,360.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.50
Chenbro (8210.TW)	O (07/23/2025)	NT$874.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,330.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,965.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,370.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$332.50
Innolux (3481.TW)	E (04/07/2025)	NT$51.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$10,615.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb30.04
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$297.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.63
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.18
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb175.19
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$6,000.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$4.67
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb55.69
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$363.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,285.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$249.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.56
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$50.15
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,960.00
Lenovo (0992.HK)	O (07/10/2026)	HK$32.32
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,915.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,475.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb131.86
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb368.02
Unimicron (3037.TW)	O (02/23/2026)	NT$1,270.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$558.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$2,240.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$635.00
Zhen Ding (4958.TW)	++	NT$592.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$535.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,740.00

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* Historical prices are not split adjusted.

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UPDATE

October 8, 2026 11:00 AM GMT

Largan Precision | Asia Pacific

3Q26 Results Miss on Lower GPM, but FAU/CPO Development Well on Track

AlphaSignals Earnings Reaction

Unchanged	**Meaningful shortfall**	**Modest revision lower**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q26 gross margin is 42.2%, which is lower-than-expected and triggers a 31-36% GP and OP miss vs. our estimates.
- Revenue is likely to be flat MoM in October and decline sequentially in November.
- CPO-related (FAU) has seen good progress with new product verification passed.

Largan reported 3Q26 net income of NT$5.182bn, down 27% YoY.

The company reported a 11% YoY revenue decline, to NT$15.651bn; gross margin declined YoY and QoQ to 42.2% in 3Q26, lower than expected due to lower new-project yields and structural green electricity cost hikes.

Management expects shipments to be flat MoM in October and decline sequentially in November as order momentum is weaker-than-expected.

FAU/CPO development well on track: First FA project passed customer verification; expanding from FA into FAU, including coupling and potential FAU-to-carrier assembly, with a dedicated new facility expected to support mass production from around mid-2027. We maintain our long-term positive view on Largan's FAU/CPO opportunities.

Exhibit 1: 3Q26 results summary

NT$mn	3Q26	2Q26	QoQ	3Q25	YoY
Net sales	15,651	13,665	15%	17,677	-11%
Gross profit	6,607	6,753	-2%	8,352	-21%
% margin	42.2%	49.4%	-7%	47.2%	-5%
OPEX	-1,872	-1,605	17%	-2,088	-10%
% OPEX	12.0%	11.7%	0%	11.8%	0%
Operating income	4,735	5,148	-8%	6,265	-24%
% margin	30.3%	37.7%	-7%	35.4%	-5%
Net income	5,182	4,670	11%	7,080	-27%
% margin	33.1%	34.2%	-1%	40.1%	-7%
EPS (NT$)	39.62	35.73	11%	53.05	-25%

Source: Company data, Morgan Stanley Research

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Betty Chen
Research Associate
Betty.H.Chen@morganstanley.com +852 2239-7213

Largan Precision (3008.TW, 3008 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$7,100.00
Up/downside to price target (%)	7
Shr price, close (Oct 8, 2026)	NT$6,660.00
52-Week Range	NT$7,995.00-2,020.00
Sh out, dil, curr (mn)	134
Mkt cap, curr (mn)	NT$893,374
EV, curr (mn)	NT$762,165
Avg daily trading value (mn)	NT$5,658

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	159.40	184.85	204.18	215.63
Prior EPS (NT$)**	-	-	-	-
Revenue, net (NT$ mn)	61,148	66,920	74,757	77,025
EBITDA (NT$ mn)	31,260	33,813	37,386	39,037
ModelWare net inc (NT $ mn)	21,275	24,179	26,707	28,204
P/E	15.7	36.0	32.6	30.9
P/BV	1.7	4.1	3.6	3.2
ROE (%)	11.5	12.7	12.4	11.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Exhibit 2: 3Q26 results vs. our estimates and consensus

NT$ mn	3Q26	MSe	Diff	Cons.	Diff
Net sales	15,651	19,255	-19%	18,403	-15%
Gross profit	6,607	9,627	-31%	9,131	-28%
% margin	42.2%	50.0%	-8%	49.6%	-7%
OPEX	-1,872	-2,274	-18%	-2,169	-14%
% OPEX	12.0%	11.8%	0%	11.8%	0%
Operating income	4,735	7,353	-36%	6,962	-32%
% margin	30.3%	38.2%	-8%	37.8%	-8%
Net income	5,182	6,988	-26%	6,743	-23%
% margin	33.1%	36.3%	-3%	36.6%	-4%
EPS (NT$)	39.62	53.43	-26%	51.35	-23%

Source: Company data, FactSet, Morgan Stanley Research estimates

Valuation Methodology and Risks

Largan Precision (3008.TW)

Base case: Our price target is based on an SOTP valuation, comprising the traditional business and potential FAU opportunity. We value the traditional business using a residual income model, consistent with our Greater China Hardware Tech coverage, assuming an 8.5% cost of equity, a 7% net profit CAGR over 2026-36E and a 3% terminal growth rate. We separately value the FAU business, assuming a 40% market share in 2028.

Risks to Upside

- Better-than-expected high-end smartphone demand
- Faster-than-expected penetration of periscopes
- Stronger-than-expected CPO volume growth

Risks to Downside

- Greater-than-expected competition, which would erode Largan's ASP and gross margin
- Weaker-than-expected smartphone demand, especially for high-end models
- Market share gains and more pricing pressure from Sunny
- Weaker-than-expected CPO volume growth

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(as of September 30, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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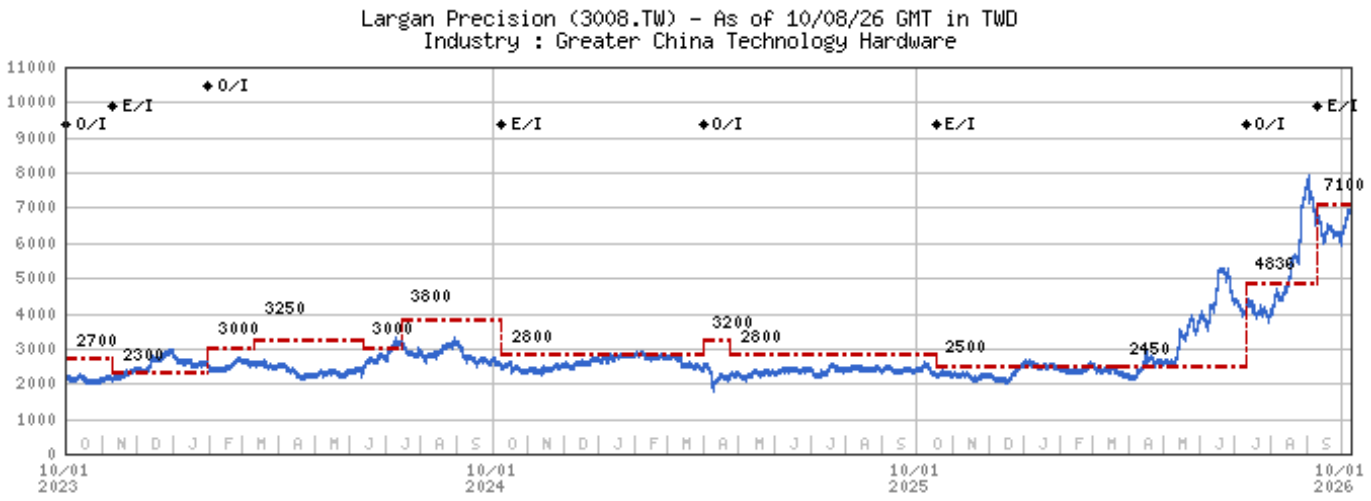
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : E/I; 12/17/21 : O/I; 9/13/22 : E/I; 1/9/23 : U/I; 5/16/23 : O/I; 11/10/23 : E/I; 1/31/24 : O/I; 10/9/24 : E/I; 3/31/25 : O/I; 10/17/25 : E/I; 7/10/26 : O/I; 9/10/26 : E/I

Price Target History: 9/7/21 : 3050; 10/7/21 : 2300; 12/17/21 : 2600; 4/5/22 : 2300; 7/25/22 : 2400; 9/13/22 : 2200; 10/14/22 : 1900; 1/9/23 : 1700; 5/16/23 : 2700; 11/10/23 : 2300; 1/31/24 : 3000; 3/11/24 : 3250; 6/12/24 : 3000; 7/15/24 : 3800; 10/9/24 : 2800; 3/31/25 : 3200; 4/23/25 : 2800; 10/17/25 : 2500; 3/23/26 : 2450; 7/10/26 : 4836; 9/10/26 : 7100

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.24
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb152.01
BYD Electronics (0285.HK)	O (04/28/2023)	HK$22.14
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.18
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.29
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb378.50
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT$1,060.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.70
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.00
Largan Precision (3008.TW)	E (09/10/2026)	NT$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.83
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.42
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.18
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.80
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb48.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.39
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.84
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb68.49
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.06
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb46.10
Sunny Optical (2382.HK)	E (03/23/2026)	HK$60.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb235.07

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.00
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$23.66
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb393.99
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$167.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb101.20
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.15
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb783.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$999.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.70
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb29.32
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT$727.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,205.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,440.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$36.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,360.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.50
Chenbro (8210.TW)	O (07/23/2025)	NT$874.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,330.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,965.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,370.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$332.50
Innolux (3481.TW)	E (04/07/2025)	NT$51.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$10,615.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb30.04
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$297.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.63
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.18
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb175.19
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$6,000.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$4.67
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb55.69
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$363.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,285.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$249.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.56
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$50.15
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,960.00
Lenovo (0992.HK)	O (07/10/2026)	HK$32.32
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,915.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,475.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb131.86
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb368.02
Unimicron (3037.TW)	O (02/23/2026)	NT$1,270.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$558.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$2,240.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$635.00
Zhen Ding (4958.TW)	++	NT$592.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$535.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,740.00

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UPDATE

October 8, 2026 11:00 AM GMT

Largan Precision | Asia Pacific

3Q26 Results Miss on Lower GPM, but FAU/CPO Development Well on Track

AlphaSignals Earnings Reaction

Unchanged	**Meaningful shortfall**	**Modest revision lower**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q26 gross margin is 42.2%, which is lower-than-expected and triggers a 31-36% GP and OP miss vs. our estimates.
- Revenue is likely to be flat MoM in October and decline sequentially in November.
- CPO-related (FAU) has seen good progress with new product verification passed.

Largan reported 3Q26 net income of NT$5.182bn, down 27% YoY.

The company reported a 11% YoY revenue decline, to NT$15.651bn; gross margin declined YoY and QoQ to 42.2% in 3Q26, lower than expected due to lower new-project yields and structural green electricity cost hikes.

Management expects shipments to be flat MoM in October and decline sequentially in November as order momentum is weaker-than-expected.

FAU/CPO development well on track: First FA project passed customer verification; expanding from FA into FAU, including coupling and potential FAU-to-carrier assembly, with a dedicated new facility expected to support mass production from around mid-2027. We maintain our long-term positive view on Largan's FAU/CPO opportunities.

Exhibit 1: 3Q26 results summary

NT$mn	3Q26	2Q26	QoQ	3Q25	YoY
Net sales	15,651	13,665	15%	17,677	-11%
Gross profit	6,607	6,753	-2%	8,352	-21%
% margin	42.2%	49.4%	-7%	47.2%	-5%
OPEX	-1,872	-1,605	17%	-2,088	-10%
% OPEX	12.0%	11.7%	0%	11.8%	0%
Operating income	4,735	5,148	-8%	6,265	-24%
% margin	30.3%	37.7%	-7%	35.4%	-5%
Net income	5,182	4,670	11%	7,080	-27%
% margin	33.1%	34.2%	-1%	40.1%	-7%
EPS (NT$)	39.62	35.73	11%	53.05	-25%

Source: Company data, Morgan Stanley Research

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Betty Chen
Research Associate
Betty.H.Chen@morganstanley.com +852 2239-7213

Largan Precision (3008.TW, 3008 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$7,100.00
Up/downside to price target (%)	7
Shr price, close (Oct 8, 2026)	NT$6,660.00
52-Week Range	NT$7,995.00-2,020.00
Sh out, dil, curr (mn)	134
Mkt cap, curr (mn)	NT$893,374
EV, curr (mn)	NT$762,165
Avg daily trading value (mn)	NT$5,658

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	159.40	184.85	204.18	215.63
Prior EPS (NT$)**	-	-	-	-
Revenue, net (NT$ mn)	61,148	66,920	74,757	77,025
EBITDA (NT$ mn)	31,260	33,813	37,386	39,037
ModelWare net inc (NT $ mn)	21,275	24,179	26,707	28,204
P/E	15.7	36.0	32.6	30.9
P/BV	1.7	4.1	3.6	3.2
ROE (%)	11.5	12.7	12.4	11.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Exhibit 2: 3Q26 results vs. our estimates and consensus

NT$ mn	3Q26	MSe	Diff	Cons.	Diff
Net sales	15,651	19,255	-19%	18,403	-15%
Gross profit	6,607	9,627	-31%	9,131	-28%
% margin	42.2%	50.0%	-8%	49.6%	-7%
OPEX	-1,872	-2,274	-18%	-2,169	-14%
% OPEX	12.0%	11.8%	0%	11.8%	0%
Operating income	4,735	7,353	-36%	6,962	-32%
% margin	30.3%	38.2%	-8%	37.8%	-8%
Net income	5,182	6,988	-26%	6,743	-23%
% margin	33.1%	36.3%	-3%	36.6%	-4%
EPS (NT$)	39.62	53.43	-26%	51.35	-23%

Source: Company data, FactSet, Morgan Stanley Research estimates

Valuation Methodology and Risks

Largan Precision (3008.TW)

Base case: Our price target is based on an SOTP valuation, comprising the traditional business and potential FAU opportunity. We value the traditional business using a residual income model, consistent with our Greater China Hardware Tech coverage, assuming an 8.5% cost of equity, a 7% net profit CAGR over 2026-36E and a 3% terminal growth rate. We separately value the FAU business, assuming a 40% market share in 2028.

Risks to Upside

- Better-than-expected high-end smartphone demand
- Faster-than-expected penetration of periscopes
- Stronger-than-expected CPO volume growth

Risks to Downside

- Greater-than-expected competition, which would erode Largan's ASP and gross margin
- Weaker-than-expected smartphone demand, especially for high-end models
- Market share gains and more pricing pressure from Sunny
- Weaker-than-expected CPO volume growth

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Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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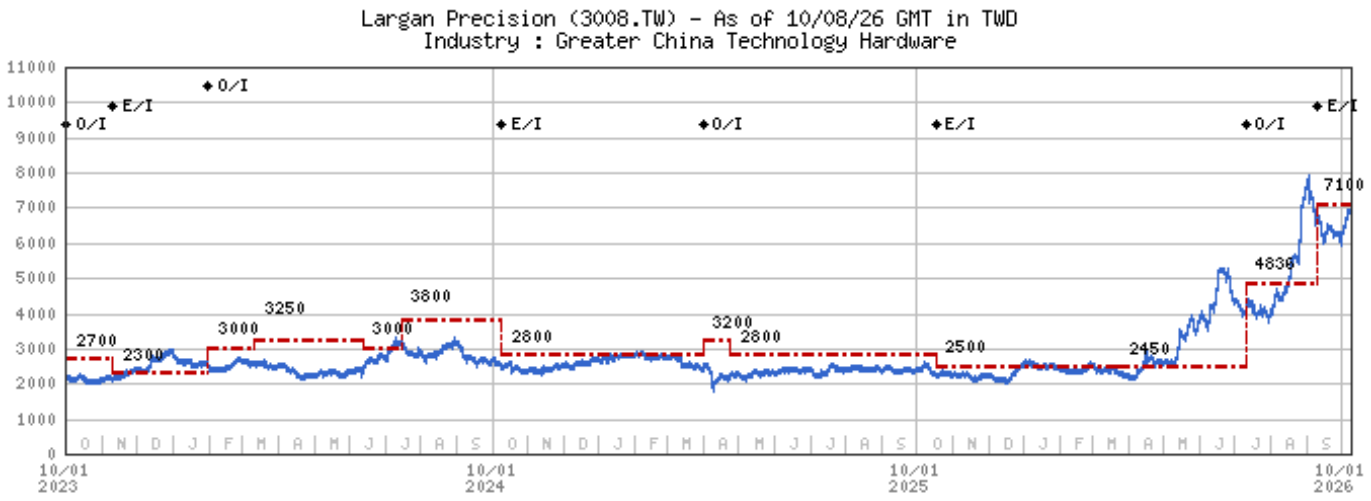

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.24
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb152.01
BYD Electronics (0285.HK)	O (04/28/2023)	HK$22.14
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.18
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.29
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb378.50
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT$1,060.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.70
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.00
Largan Precision (3008.TW)	E (09/10/2026)	NT$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.83
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.42
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.18
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.80
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb48.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.39
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.84
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb68.49
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.06
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb46.10
Sunny Optical (2382.HK)	E (03/23/2026)	HK$60.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb235.07

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.00
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$23.66
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb393.99
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$167.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb101.20
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.15
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb783.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$999.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.70
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb29.32
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT$727.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,205.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,440.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$36.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,520.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,360.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.50
Chenbro (8210.TW)	O (07/23/2025)	NT$874.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,330.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,965.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,370.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$332.50
Innolux (3481.TW)	E (04/07/2025)	NT$51.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$10,615.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb30.04
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$297.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.63
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.18
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb175.19
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$6,000.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$4.67
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb55.69
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$363.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,285.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$249.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.56
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$50.15
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,960.00
Lenovo (0992.HK)	O (07/10/2026)	HK$32.32
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,915.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,475.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb131.86
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb368.02
Unimicron (3037.TW)	O (02/23/2026)	NT$1,270.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$558.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$188.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$2,240.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$635.00
Zhen Ding (4958.TW)	++	NT$592.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$535.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,740.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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Initiation of Coverage

Hermes Testing Solutions

Shifting-left, scaling-up: dual catalysts in chip probing and CPO

Equities

Taiwan
Semiconductors

12-month rating	**Buy**
	Prior : No Rating
12m price target	**NT$8,880.00**
	Prior :
Price (06 Oct 2026)	**NT$4,190**

RIC: 7856.TWO **BBG:** 7856 TT

Trading data and key metrics

52-wk range	NT$5,295.00-516.55
Market cap.	NT$114b/US$3.58b
Shares o/s	27.2m (ORD)
Free float	94%
Avg. daily volume ('000)	240
Avg. daily value (m)	NT$1,068.4
Common s/h equity (12/26E)	NT$15.2b
P/BV (12/26E)	9.1x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From		To	% ch	Cons.
12/26E	-		29.11	-	32.19
12/27E	-		153.28	-	89.82
12/28E	-		286.48	-	71.44

Ryan Sun
Analyst
ryan-za.sun@ubs.com
+886-2-8722 7267

Sunny Lin
Analyst
sunny.lin@ubs.com
+886-2-8722 7346

Jack-of-all-trades for bespoke testing solutions in the semiconductor industry

We initiate coverage of Hermes Testing (HTSI) with a Buy rating and NT$8,880 PT. HTSI is uniquely positioned to benefit from two key semiconductor testing trends: shift-left testing and the emerging CPO testing market. Leveraging its long-standing relationship with TSMC, HTSI has established capabilities across electrical test engineering, customised test equipment, thermal control modules, probe cards, and CPO testing solutions. We forecast revenue growth of 127%/152%/78% in 2026E/27E/28E, driven by increasing adoption of thermal control modules for wafer-level test and initial deployment of CPO insertion 2 and insertion 3 test equipment through ficonTEC. Additional 2028E growth drivers include reflow tools, laser clean solutions, and MEMS probe cards. The stock trades at 27/15x 2027/28E PE, versus ~35x NTM PE for handler-equipment peers, offering re-rating potential as sales scale, new products are qualified, and its CPO presence expands. See our companion testing deep dive sector note.

Shift-left beneficiary with exceptional thermal control modules

Thermal control modules should be HTSI's largest growth driver over the next several years. We expect increasing chip power consumption, rising package complexity, and tighter probe pitches to drive adoption of advanced thermal control solutions used alongside leading-edge probers, in additional to more wafer level insertions and longer test time. We estimate HTSI will ship approximately 3,000 thermal-control modules in 2027E, up from around 1,200 units in 2026E, sales contribution rise from ~30% in Q226 to >50% of sales by 2027E. The launch of its second-generation platform in 2027E, which carries 25-50% higher ASPs, should further improve profitability. We forecast GM expansion from 55.5% in 2026E to 58.3%/60.0% in 2027E/28E.

Unique position to capture CPO upside

Through its partnership with German optical-automation leader ficonTEC, HTSI is positioned to participate in the initial ramp of CPO testing equipment. HTSI supports local manufacturing, installation, automation and after-sales service, making it a key enabler of volume production. We estimate HTSI captures approximately 30% of equipment value across the 40 insertion 2 and 70 insertion 3 systems we forecast for delivery in 2027E, with further potential upside in 2028E as adoption expands.

Valuation: initiate coverage with a Buy rating and price target NT$8,880

We forecast EPS of NT$29.1 in 2026E (including a one-off employee share purchase programme impact), rising to NT$153.3/286.5 in 2027E/28E. Our NT$8,880 price target is based on 31x average 2028E PE, versus handler-equipment peers forward PE at roughly 35x, reflecting HTSI's unique exposure to both shift-left testing, CPO, and our estimate of 32% LT earnings CAGR. We initiate with a Buy rating.

Highlights (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	1,598	2,425	5,505	13,879	24,713	29,218	32,810
EBIT (UBS)	54	297	1,076	6,154	11,604	14,294	16,170
Net earnings (UBS)	57	268	862	5,059	9,454	11,664	13,227
EPS (UBS, diluted) (NT$)	2.71	10.65	29.11	153.28	286.48	353.44	400.81
DPS (net) (NT$)	0.00	1.10	11.64	61.32	114.60	141.38	160.33
Net (debt) / cash	(469)	618	14,360	17,474	22,786	29,613	36,992
Profitability/valuation	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
EBIT (UBS) margin %	3.4	12.2	19.5	44.3	47.0	48.9	49.3
ROIC (EBIT) %	-	41.7	147.5	381.2	334.1	282.5	261.7
EV/EBITDA (UBS core) x	-	35.1	80.1	15.1	7.7	5.8	4.7
P/E (UBS, diluted) x	-	68.6	NM	27.3	14.6	11.9	10.5
Equity FCF (UBS) yield %	-	2.5	0.6	3.0	6.4	9.3	10.6
Dividend yield (net) %	-	0.2	0.3	1.5	2.7	3.4	3.8

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 4,190.00 on 06-Oct-2026

This report has been prepared by UBS Securities Pte. Ltd., Taipei Branch. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 19.**

UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Will HTSI be able to keep its moat within chip probing thermal control modules?
Yes. We expect HTSI's competitive position to strengthen as chip power consumption, package complexity, and probe density continue to increase. The company is developing next-generation thermal control solutions, including liquid cooling technologies, while also expanding into specialized chuck solutions designed to address wafer warpage. In addition, HTSI's close collaboration with TSMC, TEL, Advantest, and other OSATs should reinforce its position within advanced wafer-level testing.

Q: Will insertion 2 of CPO testing process be skipped?
No. We believe concerns surrounding insertion 2 adoption are overdone. While some industry participants favor bypassing insertion 2 due to throughput and ROI considerations, doing so increases the risk of defective optical engines being identified only after the components are delivered to OSATs, creating yield accountability challenges and higher packaging losses. Based on our industry studies, we expect insertion 2 testing to remain an important part of the CPO workflow over at least the next two years as the industry focuses on improving PIC yields and overall testing efficiency.

UBSVIEW

We initiate coverage of Hermes Testing (HTSI) with a Buy rating and NT$8,880 price target. HTSI offers unique exposure to two of the semiconductor testing industry's most attractive growth drivers: 1) shift-left testing and 2) CPO testing. The industry's shift-left testing strategy will have more test insertions move to the wafer level before packaging, in addition to longer CP time. Leveraging its longstanding relationship with TSMC, HTSI has established capabilities across thermal control modules, electrical-test engineering services, customized equipment, and emerging CPO testing solutions. We believe there could be re-rating potential as sales scale, new products are qualified, and its CPO presence expands.

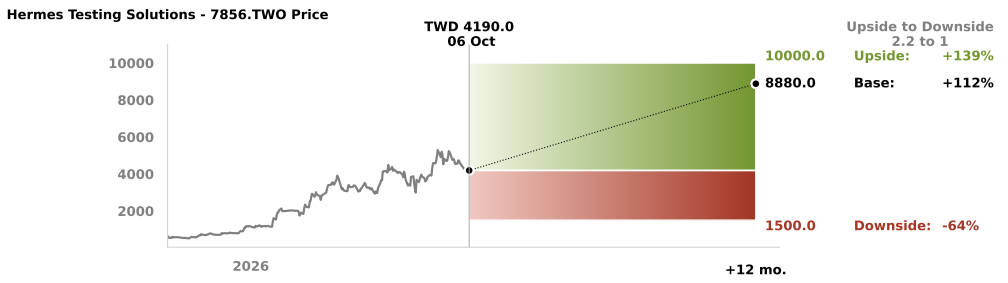
EVIDENCE

TSMC and OSATs have been expanding their CoWoS capacities aggressively, from 40kwpm in 2024 to around 90 kwpm in 2025, and is tracking to expand CoWoS capacity toward 160kwpm in 2026E. TSMC also ramped up expanding N3/N2 capacity, with multiple product launches from customers' pipelines—Nvidia's Rubin, AMD's MI400 series/Venice CPU and other cloud ASICs—translating into foreseeable, strong testing demand.

WHAT´S PRICED IN?

Despite a 264% YTD share-price increase, HTSI currently trades at just 15x of our 2028E EPS versus handler-equipment peers forward PE at roughly 35x. We believe market expectations for 2027 CPO testing equipment shipments remain conservative, particularly for insertion 2 equipment. Based on our industry analysis, we estimate HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, this should be higher than the market's expectation of no insertion 2 and limited insertion 3 shipment due to engineering bottleneck. We also see further upside in 2028E as CPO adoption expands. Our reverse DCF analysis indicates that the current market price implies only a 17% long-term sales CAGR vs our estimate of 27% and long-term GM level of 33% vs our estimate of 61%. We see scope for re-rating.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027/28E)	Thermal control module shipments	CPO insertion 2 & 3 shipments	GM
NT$10,000 upside	3,300/5,000	60&100 / 100&180	61.2%/63.6%
NT$8,880 base	3,000/4,100	40&70 / 80&160	58.3%/60.0%
NT$1,500 downside	1,300/2,000	5&20 / 10&50	53.3%/54.0%

Source: UBS estimates

COMPANY DESCRIPTION

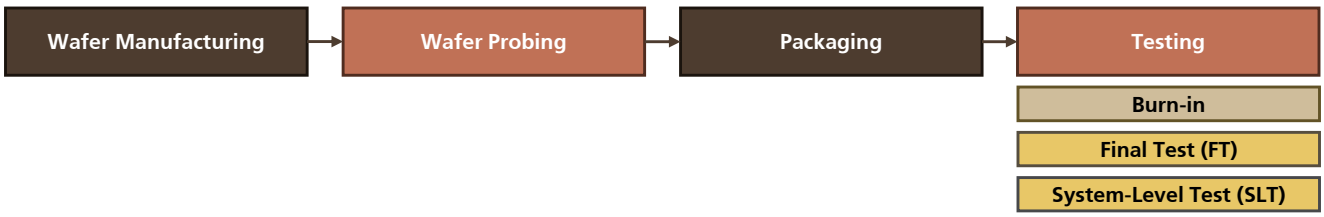
Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan. It focuses on providing semiconductor testing and inspecting solutions, equipment installation, technical support, and maintenance services. Its main business segments are customized semiconductor equipment, engineering services, and probe cards and other materials.

Testing TAM expanding with IC complexity: leaders likely to outperform industry growth

Our central view is that testing content per AI accelerator is growing faster than semiconductor unit volumes, creating a multi-year expansion in testing TAM. We believe semiconductor testing is entering a period of structural growth as AI-driven chip complexity increases testing intensity across wafer, package and system levels. The industry's shift-left strategy, which moves more testing upstream in the semiconductor manufacturing process, is resulting in longer and more frequent test insertions. As cloud AI GPUs and ASICs become increasingly complex, additional testing is required to ensure functionality, performance and yield, while reducing defective parts per million (DPPM). More robust testing should improve deployment efficiency and lower the cost of operating AI infrastructure.

Semiconductor testing generally comprises four stages: wafer/chip probing (CP), final test (FT), system-level test (SLT), and burn-in. CP is conducted at the wafer-level before packaging, while FT, SLT, and burn-in occur after packaging. The below Figure 3 illustrates the semiconductor manufacturing flow.

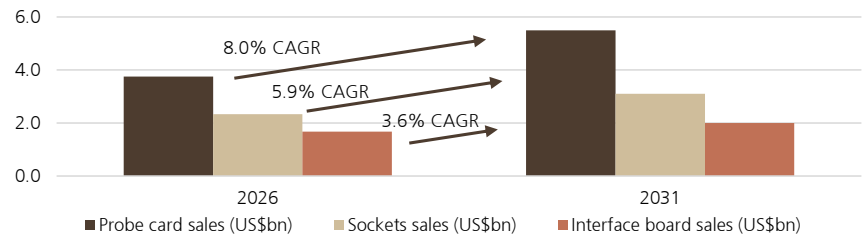
Figure 1: Semiconductor testing process: from wafer level to package level



Source: UBS

We estimate semiconductor testing historically accounts for ~1% of total semiconductor revenue. Within testing, consumables such as probe cards, sockets and interface boards represent ~10-15% of industry revenue. According to Yole, the probe card, socket and interface board markets should grow from US$3.8bn, US$2.3bn and US$1.7bn in 2026 to US$5.5bn, US$3.1bn and US$2.0bn by 2031, respectively.

Figure 2: Yole estimating testing consumables TAM to climb in the next 5 years



Source: Yole, UBS

Nonetheless, leaders within the testing sector will standout among competition, with greater sales CAGR comparing to the industry.

We see **HTSI**'s sales for the next few years to mainly be driven by 1) thermal control module shipment and 2) CPO equipment shipment. In the past, thermal control modules weren't necessary for chip probing, due to less TDP for the chips. However, as new iterations of AI accelerators now got substantial power draw, this unlocks a brand new TAM for HTSI to enter with their thermal control modules to pair with probers, in order to prevent probe card damages.

- **Robust thermal control module shipments.** We estimate HTSI to ship 3,000/4,100 thermal control modules in 2027E/28E, with continuous demand in future years, bringing their 2026-31E semiconductor equipment sales CAGR to 48%.

- **Thermal control module ASP expansion.** Gen 2 thermal control modules will start to ship in 2027E which will drive tool ASP up around 25-50%.
- **Demand supported by Advantest expansions.** We believe the 3,000 thermal control modules shipment forecast for 2027E is not far-fetched, as we read-across from Advantest's announced capacity expansion plan (testers will be paired with probers with a 1:1 ratio) with increasing capacity up to 5,000 testers within FY2027/3 and they also announced a 10,000-unit target within CY2028. Although the testers capacity expansion plan includes testers for final test, we do see a good portion to be allocated to chip probing given shift-left testing trend increasing both testing insertions and testing time before chip packaging.
- **CPO is another brand new TAM for semiconductor testing.** As insertion 2 and 3 testing equipment demand starts to rise in 2027 with scale-out CPO adoption, we see HTSI to ship 40/70 insertion 2 and 3 equipment in 2027E, with this number growing in 2028E to 80/160 and higher in future years as CPO proliferates, and driving 52% 2026-31E test equipment & engineering services sales CAGR.
- **CPO to see content increase.** Gen 2 insertion 3 equipment may start to ship in 2027E, with higher throughput and tool ASP.
- **Insertion 2 might scale down, but not happening anytime soon.** Insertion 2 equipment shipment might come down in 2029E and beyond, as foundries scale-up yield for photonic IC (PIC) in order to lessen the time consuming insertion 2 testing burden.

Figure 3: Hermes Testing is set to benefit with a 46% 2026-31E sales CAGR

Sales by Segments NT$m	2026E	2027E	2028E	2029E	2030E	2031E	2026-31E CAGR
Semiconductor Equipment & Customization products	**$2,815**	**$7,980**	**$13,324**	**$16,061**	**$18,315**	**$20,104**	**48%**
YoY		*183%*	*67%*	*21%*	*14%*	*10%*	
Test Equipment & Engineering services	**$1,480**	**$3,887**	**$7,901**	**$8,887**	**$9,898**	**$11,853**	**52%**
YoY		*163%*	*103%*	*12%*	*11%*	*20%*	
Probe cards and cleaning materials	**$1,210**	**$2,012**	**$3,488**	**$4,270**	**$4,597**	**$4,681**	**31%**
YoY		*66%*	*73%*	*22%*	*8%*	*2%*	
Key products shipment units, ASP, sales	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Thermal control module shipment	**1,200**	**3,000**	**4,100**	**4,500**	**4,700**	**4,900**	
Thermal control product blended ASP (NT$m)	$1.9	$2.4	$2.8	$3.0	$3.3	$3.5	
Total sales from thermal control module shipment	**$2,316**	**$7,168**	**$11,417**	**$13,505**	**$15,591**	**$17,067**	**49%**
% of total sales	*42%*	*52%*	*46%*	*46%*	*48%*	*47%*	
CPO Insertion 2 shipment	**8**	**40**	**80**	**60**	**20**	**20**	
Ins2 blended ASP (NT$m)	$13.8	$15.8	$17.4	$18.3	$19.2	$20.1	
Total sales from insertion 2	**$111**	**$633**	**$1,391**	**$1,095**	**$383**	**$402**	**29%**
% of total sales	*2%*	*5%*	*6%*	*4%*	*1%*	*1%*	
CPO insertion 3 shipment	**11**	**70**	**160**	**200**	**240**	**280**	
Ins3 blended ASP (NT$m)	$16.0	$17.2	$18.2	$19.1	$20.1	$21.1	
Total sales from insertion 3	**$176**	**$1,202**	**$2,917**	**$3,829**	**$4,824**	**$5,910**	**102%**
% of total sales	*3%*	*9%*	*12%*	*13%*	*15%*	*16%*	
Key product sales - total	**$2,602**	**$9,002**	**$15,725**	**$18,429**	**$20,798**	**$23,379**	**55%**
% of total sales	*47%*	*65%*	*64%*	*63%*	*63%*	*64%*	
Others - total	**$2,903**	**$4,877**	**$8,988**	**$10,789**	**$12,012**	**$13,260**	**36%**
% of total sales	*53%*	*35%*	*36%*	*37%*	*37%*	*36%*	
Operating Metrics	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Revenue NT$m	**$5,505**	**$13,879**	**$24,713**	**$29,218**	**$32,810**	**$36,639**	**46%**
YoY		*152.1%*	*78.1%*	*18.2%*	*12.3%*	*11.7%*	
GM %	**55.5%**	**58.3%**	**60.0%**	**60.9%**	**61.3%**	**61.1%**	
OpM %	**19.5%**	**44.3%**	**47.0%**	**48.9%**	**49.3%**	**51.1%**	

Source: UBS estimates

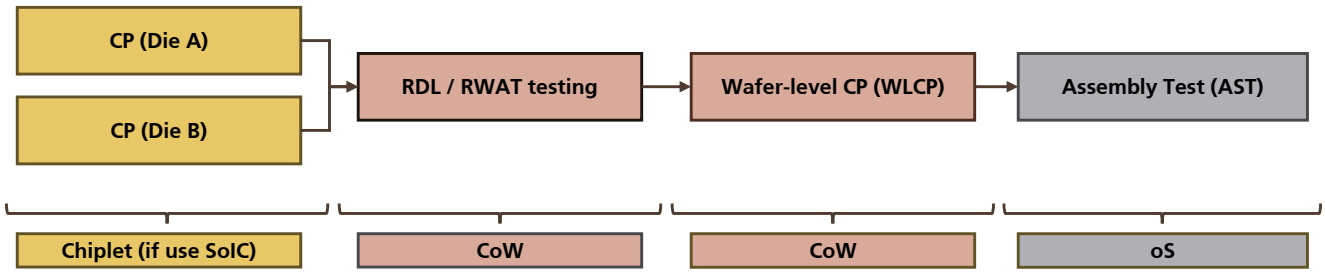
Robust growth drivers across semiconductor testing

We believe HTSI is set to benefit from several semiconductor testing growth drivers and capture the AI induced, expanding testing TAM. We see HTSI is uniquely positioned as the main beneficiary of two of the strongest growth drivers within semiconductor testing: testing shift-left and CPO.

Shift-left igniting secular growth for chip probing

The industry's adoption of shift-left testing should drive a multi-year structural growth opportunity for chip probing (CP) and its supply chain. As advanced packaging costs rise and AI accelerators become increasingly complex, semiconductor manufacturers are placing greater emphasis on identifying known-good dies (KGD) before packaging.

Figure 4: CP is set to grow substantially with shift-left, each packaging step set to be MORE costly than the prior step

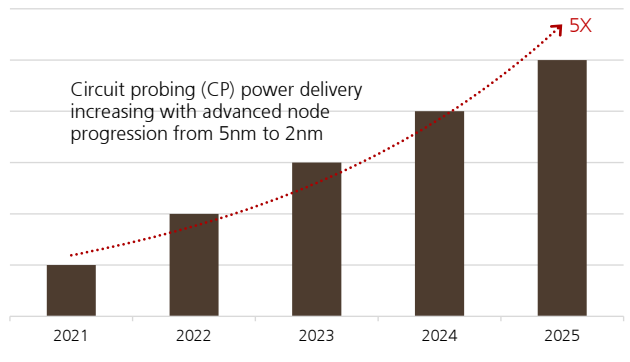


Source: UBS

The economics of advanced packaging reinforce this trend. Heterogeneous integration, chiplet architectures and 2.5D/3D packaging significantly increase package value, while defects identified late in the manufacturing process can lead to substantial scrap costs. To mitigate this risk, foundries and OSATs such as TSMC and ASE employ distributed testing flows incorporating KGD, known-good-stack (KGS) and assembly test screening, to catch defects before the components enter a multi-week packaging cycle (>2 weeks for CoW and 2 weeks for oS). The importance of these tests rises as AI clusters become increasingly dependent on component reliability and low defective-parts-per-million (DPPM) rates. Given the multiplicative yield degradation, a 300bps yield decline at just one manufacturing stage (e.g. dropping from 99.5% to 96.5%) reduces overall integrated four-stage yield from 98.0% to 95.0%; on a 500,000 unit ramp at US $10,000 per unit, this 3% scrap delta translates into around US$150m in unrecoverable losses given >6-month manufacturing lead times.

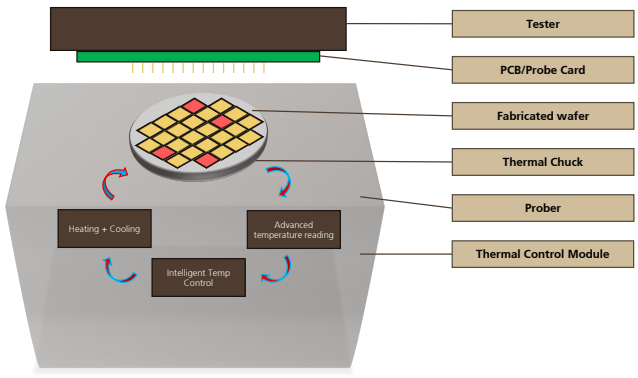
At the same time, rising chip power consumption is increasing the technical difficulty of wafer-level testing. As chip thermal design power scales beyond 1,000W and power density is expected by the industry to surge another 8x by 2030, traditional wafer-level chip probe (WLCP) encounters severe physical bottlenecks. Finer probe pitches and higher power densities increase the risk of overheating, probe needle burnout and yield degradation, creating demand for more advanced probing and thermal-control solutions.

Figure 5: CP power delivery trend rises with process tech evolution



Source: UBS

Figure 6: Thermal control module inside probers are essential to control wafer temperature



Source: UBS

Hermes Testing (HTSI) is a key beneficiary of this trend. Leveraging its long-standing relationship with TSMC and expertise in semiconductor test solutions, HTSI supplies advanced thermal control modules used alongside leading-edge probers (made by Tokyo Electron), particularly for AI applications. These thermal control modules are required for high TDP semiconductor wafer probe in order to maintain the temperature

of the chuck to avoid needle burns or probe card damages. We estimate HTSI will ship approximately 3,000 thermal-management modules in 2027E, up from 1,200 in 2026E, supporting sales growth of 127%/152% in 2026E/27E. HTSI is also the partner for prober installation, prober maintenance and services. In addition, HTSI provides high-end chuck processing services, an area that should benefit from increasing package sizes and higher wafer warpage associated with advanced packaging.

Beyond thermal control modules, HTSI also supplies consumables and customised solutions for wafer-level testing, including probe card cleaning sheets and laser-based probe head cleaning systems. As probing intensity increases under the shift-left testing model, demand for cleaning and maintenance solutions should rise alongside probe card utilisation. Currently, cleaning sheets is around 5% of sales, but we believe it could gain traction in 2027/28E and beyond. We see additional upside from future modular laser cleaning systems that could be integrated directly with probers, further expanding HTSI's content opportunity within advanced wafer-level testing.

CPO testing fuelling future growth for semiconductor testing

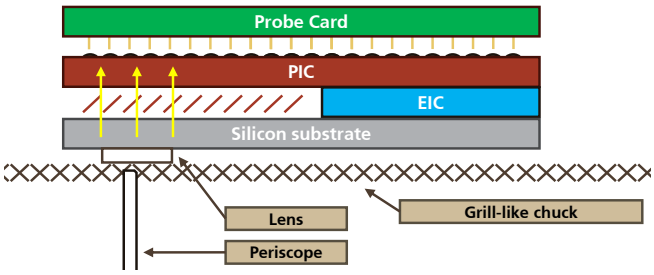
As interconnect bottlenecks increasingly shift from the memory wall to the copper wall, we believe co-packaged optics (CPO) adoption is inevitable over the longer term. Testing remains one of the key bottlenecks to CPO deployment, as optical validation differs fundamentally from the electrical testing processes that have dominated semiconductor manufacturing for decades. As a result, CPO is creating a new testing opportunity across the semiconductor equipment and consumables ecosystem. We have written extensively on CPO and opportunities that it brings to the semiconductor supply chain, see our CPO deep dive, our thoughts on CPO timing, 2026 SiPhIA conference takeaways, and SEMICON 2026 takeaways.

Various test equipment suppliers are scrambling to come up with ideal testing equipment across the four insertions of CPO testing, with solutions to ensure both optical and electrical signal integrity of the CPO solutions. The four insertions are:

- **Insertion 1: Electronic IC (EIC)/Photonic IC (PIC) test.** Single-side wafer test that has dedicated probe cards to test the fabricated EIC/PIC wafers.
- **Insertion 2: Optical/Electrical test.** Double sided wafer test, testing the hybrid bonded (e.g. via TSMC's COUPE) EIC and PIC wafers by an opto-electrical test that verifies the electrical signals on the top and optical signal on the bottom of the hybrid bonded wafers.
- **Insertion 3: Optical engine (OE) test.** The OE tests are done to ensure the quality of the OEs and with FAU (Fiber Array Unit) attached, to ensure the signal integrity of the OEs. The testing equipment needs to be able to handle 224G per channel data rates, requiring high unit per hour (UPH) throughput, meticulous dirt mitigation, and maintaining a near 100% contact rating on high-speed sockets.
- **Insertion 4: ASIC final test.** This final test step is established post the OEs are packaged together with the ASIC. The complete ASIC package (now with CPO) is now tested for opto-electrical functionalities.

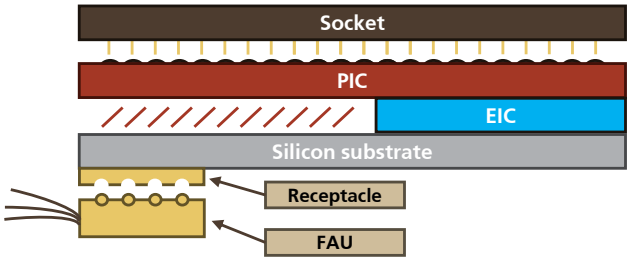
As it stands, insertion 2 and insertion 3 are the two areas where there are the most debates in the industry. Insertion 3 suppliers such as Chroma has noted the trend of "shift-to-middle" paradigm centered on insertion 3. In high-density scale-out switches deploying up to 32 optical engines (e.g. Nvidia's Spectrum-X architectures), any OE defect results in package scrap at the CoWoS level, making 100% known good die (KGD) validation at the singulated OE stage an absolute commercial requirement.

Figure 7: An illustration for insertion 2 test method



Source: UBS

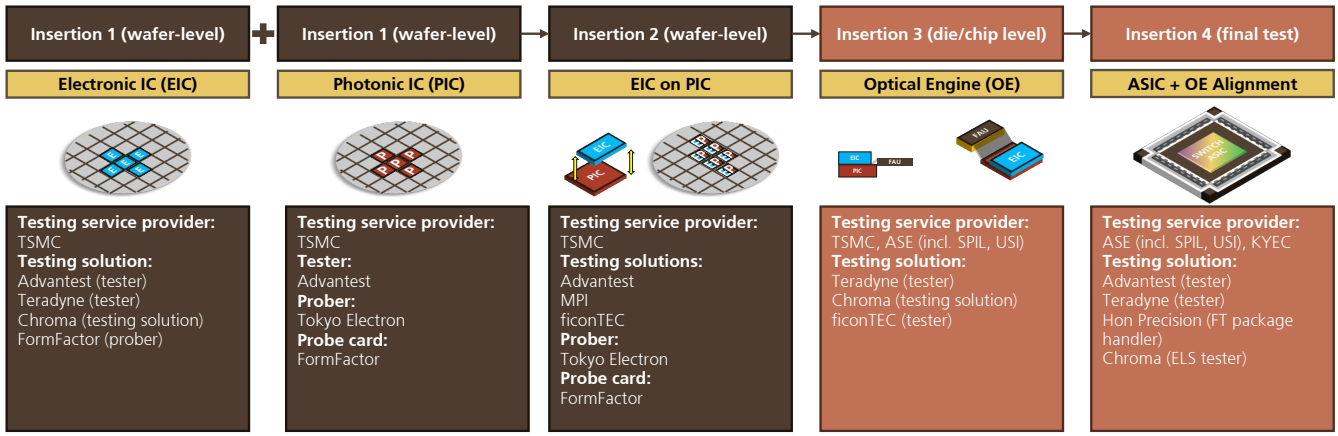
Figure 8: An illustration for insertion 3 test method



Source: UBS

As shown in the below figure, as there are no set standards for the testing equipment, throughput and stability are now the main target and area of competition for the major players in the field. Notable ones for each insertions are listed.

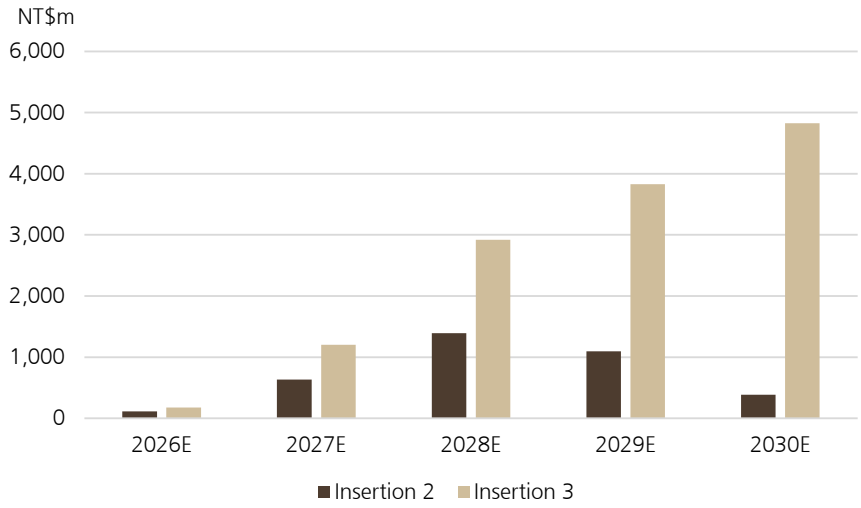
Figure 9: CPO testing flow chart with key suppliers



Source: UBS

With its 25 years of precision test equipment expertise, ficonTEC is an early mover for CPO test equipment and has key know-how for optical alignment, which is quintessential for optical test. **HTSI**, through its partnership with ficonTEC, is set to be a major beneficiary once CPO proliferates in 2027E-28E. As the partner of ficonTEC, Hermes Testing is the key enabler that can help ficonTEC achieve HVM for its CPO testing equipment. As of now, our view is that both insertion 2 and insertion 3 should be required within the next two years, despite the difficulties surrounding double-sided wafer probing (insertion 2), as the yield for OEs are still not high enough to avoid defective dies. Finding out known-good OEs will be crucial before the FAU coupling process during the latter stages of CPO packaging, to prevent impeding the final package with multiple OEs attached to the switch ASIC (e.g. 32 OEs on Nvidia's Spectrum-X). We estimate Hermes Testing will ship 40/70 units of insertion 2/3 testing equipment in 2027E, with potential upside to the numbers as we view Hermes Testing will likely assist with the ramp up for Gen 2 insertion 3 equipment in 2027E. Gen 2 insertion equipment will come with better throughput and ASP.

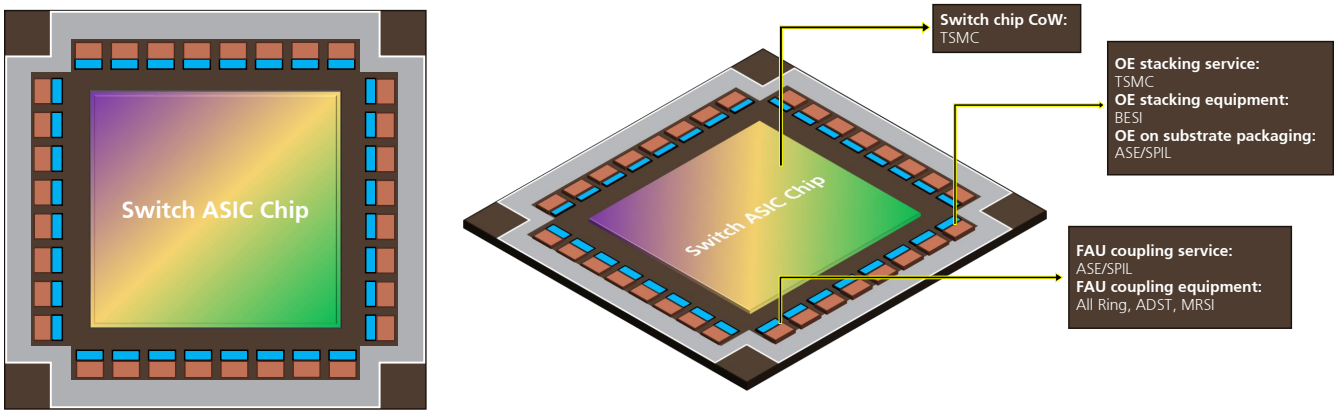
Figure 10: We believe HTSI CPO equipment sales will pick up in 2027/28E with 541%/135% YoY growth



Source: UBS estimates

Beyond insertions 2 and 3, HTSI is also positioned to participate in insertion 1 testing through customised prober solutions for photonic integrated circuit (PIC) testing. We believe these solutions could eventually be packaged as licensable intellectual property, creating an additional long-term growth opportunity as CPO adoption broadens. While near-term testing growth is driven by AI accelerators, CPO represents the next major expansion cycle for semiconductor testing. We believe HTSI is uniquely positioned to participate across multiple test insertions, providing exposure to a potentially significant source of incremental revenue beginning in 2027E.

Figure 11: A switch chip with 32 OEs and the CPO packaging supply chain



Source: UBS

HTSI's unique position for new TAM of thermal control modules and CPO test equipment

Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan, as a spin-off from Hermes-Epitek. The company provides semiconductor testing and inspection solutions, engineering services, customized equipment, and test consumables. HTSI maintains a global service footprint across Taiwan (Hsinchu, Tainan), Mainland China (Suzhou), Japan (Tokyo, Kumamoto), Singapore, Malaysia, and the United States (Arizona), enabling close support for leading semiconductor customers.

Its main business segments are structured around three pillars:

- **Semiconductor equipment and customized products:** HTSI utilises a dual-track strategy of independent R&D and also equipment agency sales. They offers

highly customized solutions designed to address specific client pain points and bottlenecks. Key products include: thermal control modules that pair with a 1:1 ratio with wafer-level test probers, electron beam inspection equipment, white light interference optical inspection systems, laser probe cleaning machines, and the SYMPHONY fluxless reflow system.

- **Testing equipment engineering services:** The company operates the largest engineering service team in Taiwan, consisting of over 340 technical professionals. The engineering service team provides extensive equipment life-cycle support, including installation, relocations, modification, testing, routine maintenance, and repair services. CPO related equipment sales/services will be recognized within this segment, as CPO are not direct HTSI products, but rather sales recognition via its partnership with ficonTEC.
- **Probe card design, manufacturing, and cleaning materials:** HTSI delivers a comprehensive product portfolio that supports the entire probe card life-cycle. For probe cards, they supply membrane, cantilever, and vertical probe cards. As they are small in scale, HTSI targets niche probe card applications such as RF, 5G/6G, millimeter wave, LCD driver, low end logics, TIA (Transimpedance Amplifier), etc. In addition to the three existing probe technologies, HTSI also collaborates with MJC in Japan for MEMS probe development, targeting sales in 2028E for high-end, AI/HPC related applications. Cleaning materials is another important business within this segment, as HTSI source and process sand paper or other materials to offer cleaning sheets to clean the probe cards, removing oxidations, unwanted particles and substances that accumulated on the probe cards during the testing process.

The sales resiliency in the coming years mainly stems from its robust relationship with key industry players, especially as an engineering and service provider with TSMC for testing solutions. This sets up a solid foundation for its customized equipment business, as they know the specific testing bottleneck to tackle. For instance, as Hermes-Epitek manufacturers the probers for Tokyo Electron (TEL) and HTSI helps with installation, services, and maintenance of the probers, they understand the thermal bottlenecks that the wafer-level test industry has been facing and can effectively come up with module solutions to solve this.

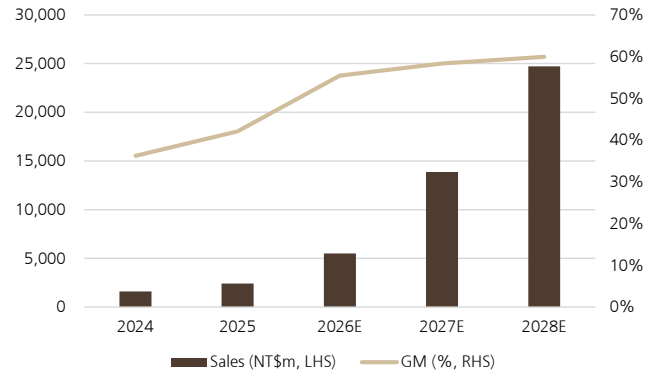
Margins set to expand with value-added products and services

The company has demonstrated strong execution in advanced wafer-level testing, with H126 revenue of NT$2.2bn already exceeding 90% of FY25 revenue (NT$2.4bn). Profitability has also improved significantly, with GM increasing from 42.1% in 2025 to 54.9% in H126.

With share of value-added products and services set to rise in 2027E in sales mix, HTSI is set to see GM and operating leverage expansion. As a niche engineering service provider that has robust ties to leading foundries and OSATs, we believe HTSI has substantial pricing power and estimate HTSI' GM for thermal control modules to be around 65%, with GM for CPO equipment of around 60% as HTSI provides an engineering-service-like business for it. We believe these factors will help the company to reach a 60% long-term GM range.

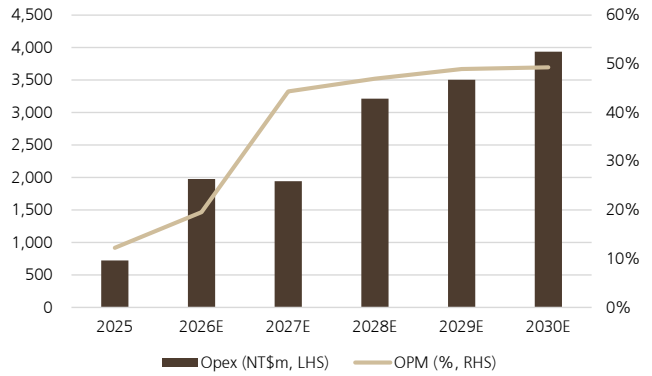
OPM is also set to expand with customized equipment sales rise in total sales mix. If we exclude the one-time expense to be recognized during Q326 for employee stock benefits (we estimate around NT$1bn), YoY opex growth will be around 99% for 2027E, with downside risk if the company conducts tight cost control measures. We forecast the company's OPM will expand from 19.5% in 2026E, to 44.3%/47.0% in 2027/28E.

Figure 12: HTSI sales set to continue to climb with 152% growth and GM at 58.3% in 2027E



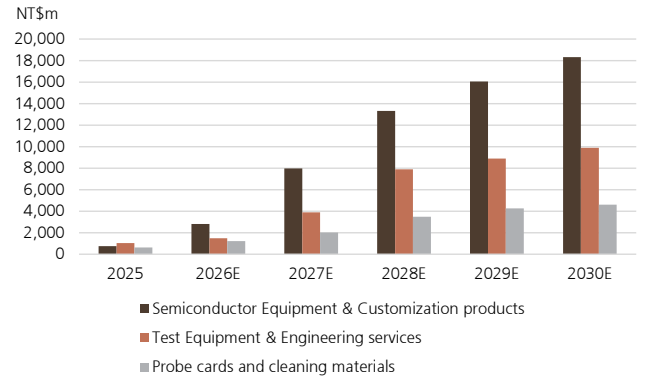
Source: UBS estimates

Figure 13: OPM set to grow to 44.3%/47.0% in 2027/28E



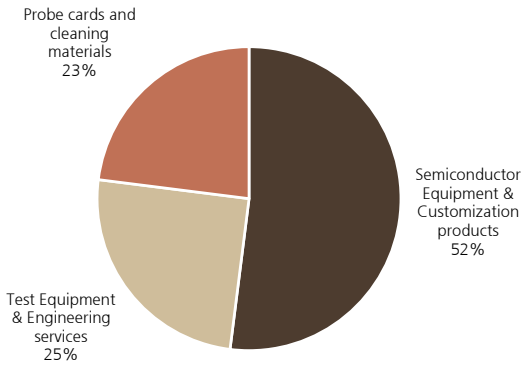
Source: UBS estimates. Note 2026E opex includes a one-time NT$1bn employee stock benefit.

Figure 14: We see customized equipment to continue to drive company growth



Source: Company data, UBS estimates

Figure 15: HTSI H126 sales mix breakdown



Source: Company data, UBS

Figure 16: UBS earnings forecast

(NT$m)	2025	Q126	Q226	Q326E	Q426E	2026E	Q127E	Q227E	Q327E	Q427E	2027E	2028E	2029E	2030E
Revenue	**2,425**	**985**	**1,200**	**1,513**	**1,807**	**5,505**	**2,634**	**3,197**	**3,760**	**4,289**	**13,879**	**24,713**	**29,218**	**32,810**
- YoY chg (%)	52%	123%	108%		28%	127%	167%	166%	149%	137%	152%	78%	18%	12%
- QoQ chg (%)		-30%	-51%	54%	51%		46%	-42%	43%	34%				
Gross profit	**1,021**	**545**	**655**	**843**	**1,012**	**3,054**	**1,534**	**1,856**	**2,184**	**2,523**	**8,097**	**14,817**	**17,801**	**20,107**
- Gross margin	42.1%	55.3%	54.5%	55.7%	56.0%	55.5%	58.3%	58.1%	58.1%	58.8%	58.3%	60.0%	60.9%	61.3%
Operating profit	**297**	**323**	**411**	**-399**	**741**	**1,076**	**1,166**	**1,408**	**1,657**	**1,923**	**6,154**	**11,604**	**14,294**	**16,170**
- Operating margin	12.2%	32.8%	34.3%	-26.4%	41.0%	19.5%	44.3%	44.1%	44.1%	44.8%	44.3%	47.0%	48.9%	49.3%
Pre-tax profit	**322**	**326**	**412**	**-396**	**743**	**1,085**	**1,205**	**1,449**	**1,700**	**1,968**	**6,323**	**11,818**	**14,580**	**16,534**
Net profit	**268**	**254**	**330**	**-317**	**594**	**862**	**964**	**1,160**	**1,360**	**1,574**	**5,059**	**9,454**	**11,664**	**13,227**
- YoY chg (%)	373%	586%	301%		299%	221%	280%	251%	-529%	165%	487%	87%	23%	13%
- QoQ chg (%)		70%	23%	-225%	80%		62%	35%	41%	36%				
Basic EPS (NT$)	**10.83**	**9.35**	**12.15**	**-10.20**	**18.01**	**29.11**	**29.22**	**35.14**	**41.22**	**47.70**	**153.29**	**286.49**	**353.45**	**400.82**
- YoY chg (%)	281%	492%	279%		200%	169%	213%	189%	-504%	165%	427%	87%	23%	13%
- QoQ chg (%)		55%	12%	-209%	48%		62%	21%	41%	36%				

Source: UBS estimates

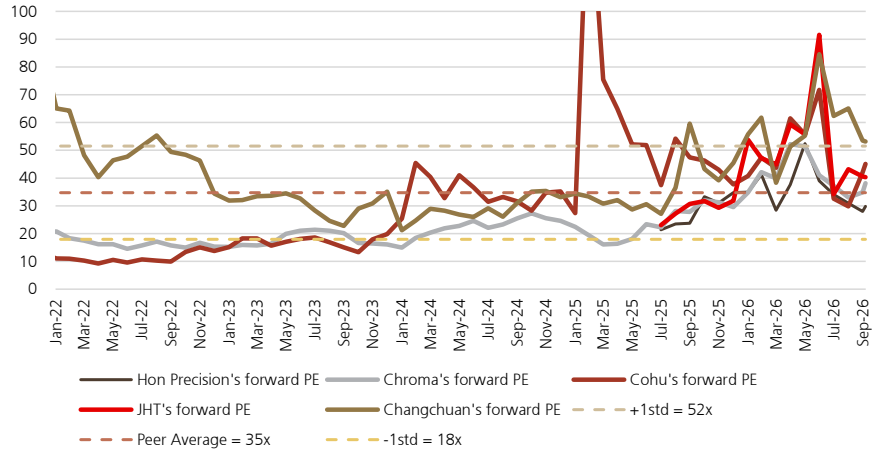
Figure 17: Testing supply chain valuation table

Company name	Ticker	Analyst	Market cap (US$m)	Price Target (LC)	Share price (LC)	Rating	EPS growth (%)		P/E (x)		P/BV (x)		ROE (%)	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Testing service provider														
ASE Industrial	3711.TW	Sunny Lin	104,043	835	744	Buy	104	64	39.3	24.0	7.5	6.3	21	28
King Yuan Electronics	2449.TW	Sunny Lin	11,456	325	298	Buy	40	62	32.6	20.1	5.9	5.0	20	27
Amkor Technology	AMKR.O	Randy Abrams	13,114	80	53	Buy	73	8	20.6	19.1	2.6	2.4	14	13
JCET Group	600584.SS	Jimmy Yu	17,156	135	64	Buy	72	53	42.7	28.0	3.7	3.3	9	12
Tianshui Huatian Technology	002185.SZ	Jimmy Yu	7,928	13	16	Neutral	33	27	57.0	44.8	2.8	2.7	5	6
TongFu Microelectronics Co Ltd	002156.SZ	N/A	13,526	N/A	57	N/A	50	13	45.3	40.1	5.0	4.5	10	11
Shanghai V-Test Semiconductor Tech Co Ltd	688372.SS	N/A	2,517	N/A	100	N/A	36	106	40.6	19.7	3.8	3.2	11	18
Sector Average							**58**	**47**	**39.7**	**28.0**	**4.5**	**3.9**	**13**	**17**
Tester														
Advantest	6857.T	Atsuhiro Kinoshita	191,547	43,600	41,850	Buy	80	96	38.8	53.1	16.8	31.8	70	58
Teradyne Inc	TER.O	Timothy Arcuri	67,666	500	430	Buy	134	51	45.7	30.8	16.7	12.8	43	47
Sector Average							**107**	**74**	**42.2**	**42.0**	**16.7**	**22.3**	**57**	**52**
Prober/Prober solutions														
Hermes Testing Solutions	7856.TWO	Ryan Sun	3,580	8,880	4,190	Buy	221	487	143.9	27.3	9.1	7.0	10	29
Tokyo Electron	8035.T	Atsuhiro Kinoshita	184,031	18,720	12,805	Buy	-16	71	29.7	37.1	6.5	12.8	36	44
Sector Average							**102**	**279**	**86.8**	**32.2**	**7.8**	**9.9**	**23**	**36**
Handler														
Hon.Precision, Inc.	7769.TW	Sunny Lin	33,404	10,000	5,905	Buy	90	86	45.2	24.4	14.5	10.6	36	50
Chroma ATE	2360.TW	Jerry Su	31,434	2,960	2,350	Buy	64	38	51.8	37.7	28.6	20.8	58	64
Cohu, Inc.	COHU.O	N/A	3,460	N/A	73	N/A	n.a.	94	77.0	39.6	-	-	7	16
JHT Design Co Ltd	603061.SS	N/A	4,045	N/A	312	N/A	155	47	54.8	37.3	13.0	9.9	22	25
Hangzhou Changchuan Technology	300604.SZ	Yongwei Lai	22,690	310	240	Buy	60	53	76.1	49.8	23.4	16.5	36	39
Sector Average							**92**	**63**	**61.0**	**37.8**	**19.9**	**14.4**	**32**	**39**
Test Socket														
WinWay Technology	6515.TW	Ryan Sun	6,948	8,900	6,130	Buy	119	98	60.2	30.4	22.0	14.6	44	34
Leeno Industrial Inc	058470.KQ	N/A	4,936	N/A	86,900	N/A	33	17	35.4	30.3	8.0	6.8	24	24
ISC Co Ltd	095340.KQ	N/A	3,247	N/A	205,500	N/A	70	41	47.0	33.2	7.0	5.9	16	19
Yokowo Co Ltd	6800.T	N/A	744	N/A	4,925	N/A	28	93	38.3	19.8	-	1.8	-	-
Sector Average							**62**	**62**	**45.2**	**28.4**	**12.3**	**7.3**	**28**	**26**
Load Board														
Chunghwa Precision Test Tech	6510.TWO	Ryan Sun	3,149	5,000	3,055	Buy	112	99	47.5	23.8	9.2	7.3	21	34
Probe Card														
Technoprobe SpA	TPRO.MI	Harry Blaiklock, CFA	27,100	41	37	Buy	259	18	66.9	56.5	14.6	11.6	25	23
MPI Corp	6223.TWO	N/A	17,518	N/A	5,670	N/A	97	110	87.2	41.5	30.3	19.1	38	54
FormFactor Inc	FORM.O	N/A	11,038	N/A	141	N/A	159	24	46.2	37.1	9.3	8.9	19	23
MICRONICS JAPAN CO.,LTD.	6871.T	N/A	3,906	N/A	15,410	N/A	155	28	24.8	19.4	7.1	5.6	32	36
Japan Electronic Materials Corp	6855.T	N/A	804	N/A	8,650	N/A	46	43	24.9	17.4	-	-	-	-
Sector Average							**138**	**54**	**49.6**	**32.6**	**14.1**	**10.5**	**27**	**34**

Source: LSEG, UBS estimates. Priced as of October 6 (HKT).

WHAT´S PRICED IN?

HTSI is trading at NT$4,190 as of 6 Oct 2026



Source: LSEG, UBS

Despite a 264% YTD share-price increase, HTSI still trades at just 15x 2028E P/E. We believe market expectations for 2027E CPO testing equipment shipments remain conservative, particularly for insertion 2 equipment. Based on our industry analysis, we estimate HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, this should be higher than the market's expectation of no insertion 2 and limited insertion 3 shipment due to engineering bottleneck. We also see further upside in 2028E as CPO adoption expands. Our reverse DCF analysis indicates that the current market price implies only a 17% long-term sales CAGR vs our estimate of 27% and long-term GM level of 33% vs our estimate of 61%. We see scope for re-rating.

We believe the market is not fully reflecting three key growth drivers:

1) Shift-left testing is still underappreciated.

As advanced packaging costs rise and AI accelerators become increasingly complex, more thorough testing is done at the wafer-level. This should drive sustained demand for HTSI's thermal control modules, probe card consumables, and other wafer-level testing solutions.

2) CPO revenue potential remains underestimated.

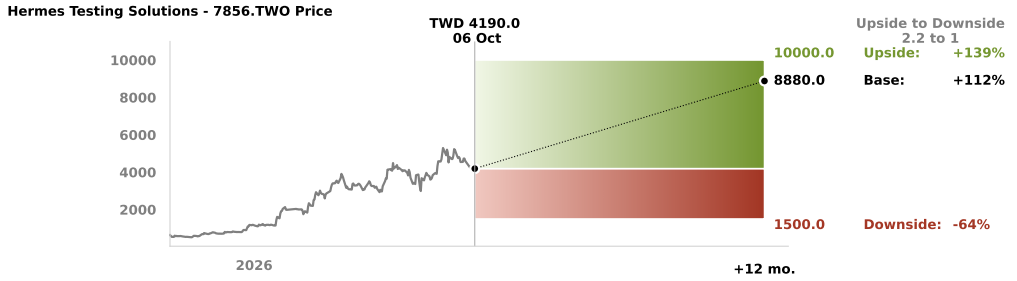
Investor expectations for 2027 CPO equipment shipments, particularly insertion 2 testing systems, remain conservative. Based on our industry studies, we forecast HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, with further potential upside in 2028E as CPO adoption broadens.

3) New products provide additional optionality.

Beyond its core businesses, HTSI is expanding into higher-value solutions including mass-reflow tools, MEMS probe cards and laser cleaning systems, creating incremental growth opportunities that we believe are largely absent from current expectations.

We value HTSI using 31x average 2028E PE, underpinned by a 32% 2027-31E earnings CAGR. We use 2028E PE as our view is that 2028 is the year for thermal control modules and CPO adoption grow from the initial ramping up stage to mass adoption stage. We believe using handlers as a peer group is justifiable for a unique company like HTSI, with thermal control modules for chip probing sharing similar characteristics as active thermal control used for final test, in addition to Hon Precision and Chroma having exposure to CPO test equipment. For equipment vendors, the peer group's average NTM PE post 2022 is around 35x, and the group is currently trading at around 41x NTM PE (see What's Priced In chart).

UPSIDE/DOWNSIDE SPECTRUM



HTSI is trading at NT $4,190 as of 6 Oct 2026

Value drivers (2027/28E)	Thermal control module shipments	CPO insertion 2 & 3 shipments	GM
NT$10,000 upside	3,300/5,000	60&100 / 100&175	61.2%/63.6%
NT$8,880 base	3,000/4,100	40&70 / 80&160	58.3%/60.0%
NT$1,500 downside	1,300/2,000	5&20 / 10&50	53.3%/54.0%

Source: UBS estimates

Risk to the current share price is heavily skewed (2.2:1) to the upside.

UPSIDE (NT$10,000): Our upside scenario reflects stronger than expected thermal module and CPO equipment shipment in 2027-28E, with additional upside from better traction of probe cards and mass reflow tools, forming 157%/91% YoY sales growth in 2027/28E and even higher operating leverage with OPM of 46.3%/50.0% in 2027/28E. This scenario implies a 34x 2028E PE, a upside driving by more equipment demand stemming for robust shift-left test induced equipment bottleneck, alongside CPO proliferation with scale-up CPO equipment pull-in in 2028E.

BASE (NT$8,880): Our price target of NT$8,880 is based on 31x 2028E PE. We expect an earnings CAGR of 32% in 2027-31E. With shift-left trend for more thermal module requirement during testing, alongside 40/70 CPO insertion 2/3 shipment. We see these growth drivers driving YoY sales growth from a high base of 127% in 2026E to 152%/78% YoY in 2027/2028E, with OPM of 44.3%/47.0% in 2027/28E.

DOWNSIDE (NT$1,500): Our downside scenario reflects lower shipment of thermal control modules due to less advanced prober demand with less insertion 2 and 3 equipment shipment due to bottlenecks with CPO production, alongside limited additional growth drivers to be picked up in 2028 such as MEMS probe card and mass reflow tools. This leads to weaker YoY sales growth of 67%/50% in 2027/28E and operating margin of 29.3%/32.0% in 2027/28E as equipment shipment fails to scale. This scenario implies a 14x 2028E PE, as valuation de-rate with dimmed outlook without CPO and limited upside from thermal control module shipments.

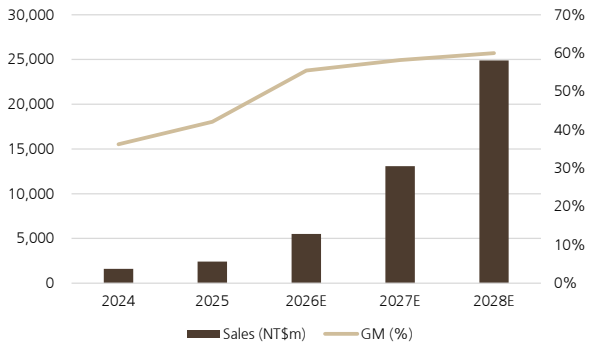
COMPANY DESCRIPTION

Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan. It focuses on providing semiconductor testing and inspecting solutions, equipment installation, technical support, and maintenance services. Its main business segments are customized semiconductor equipment, engineering services, and probe cards and other materials.

Industry Outlook

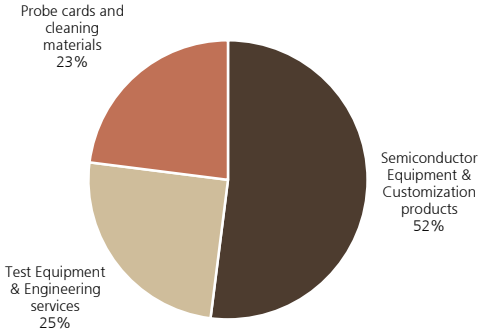
New iterations of semiconductors, especially for AI / HPC applications, are set to increase in both front-end wafer fabrication advancements and back-end packaging complexities with each iterations. With the industry now moves to utilize "shift left", chip probing and its relevant supply chain will be key beneficiaries of this trend which we believe will unlock multi-year, secular growth trends.

HTSI sales and GM trend



Source: Company data, UBS estimates

HTSI H126 sales mix breakdown



Source: Company data, UBS

Hermes Testing Solutions (7856.TWO)

Income Statement (NT$m)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**1,598**	**2,425**	**5,505**	*127.0*	**13,879**	*152.1*	**24,713**	**29,218**	**32,810**
Gross profit	579	1,021	3,054	*199.2*	8,097	*165.1*	14,817	17,801	20,107
EBITDA (UBS)	**280**	**556**	**1,329**	*139.0*	**6,512**	*389.8*	**12,138**	**15,053**	**17,182**
Depreciation & amortisation	(226)	(260)	(254)	*2.3*	(358)	*-41.0*	(534)	(759)	(1,012)
EBIT (UBS)	**54**	**297**	**1,076**	*262.7*	**6,154**	*NM*	**11,604**	**14,294**	**16,170**
Associates & investment income	0	0	0	-	0	-	0	0	0
Other non-operating income	13	35	1	*-96.8*	0	-	0	0	0
Net interest	(10)	(9)	8	-	169	*NM*	214	286	364
Exceptionals (incl goodwill)	0	0	0	-	0	-	0	0	0
Pre-tax profit	**57**	**322**	**1,085**	*236.7*	**6,323**	*NM*	**11,818**	**14,580**	**16,534**
Tax	0	(54)	(223)	*-314.2*	(1,265)	*NM*	(2,364)	(2,916)	(3,307)
Profit after tax	**57**	**268**	**862**	*221.2*	**5,059**	*NM*	**9,454**	**11,664**	**13,227**
Preference dividends	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	*-83.3*	0	-	0	0	0
Extraordinary items	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**57**	**268**	**862**	*221.1*	**5,059**	*NM*	**9,454**	**11,664**	**13,227**
Net earnings (UBS)	**57**	**268**	**862**	*221.1*	**5,059**	*NM*	**9,454**	**11,664**	**13,227**
Tax rate (%)	0.0	16.7	20.6	*23.0*	20.0	*-2.7*	20.0	20.0	20.0

Per Share (NT$)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	2.71	10.65	29.11	*173.4*	153.28	*NM*	286.48	353.44	400.81
EPS (local GAAP, diluted)	2.71	10.65	29.11	*173.4*	153.28	*NM*	286.48	353.44	400.81
EPS (UBS, basic)	2.84	10.83	29.11	*168.8*	153.29	*NM*	286.49	353.45	400.82
DPS (net) (NT$)	0.00	1.10	11.64	*NM*	61.32	*NM*	114.60	141.38	160.33
Cash EPS (UBS, diluted) [1]	13.49	20.94	37.67	*79.9*	164.12	*335.6*	302.66	376.44	431.48
Book value per share	12.85	46.45	459.82	*NM*	602.66	*31.1*	827.84	1,066.69	1,326.13
Average shares (diluted)	21	25	30	*17.5*	33	*11.5*	33	33	33

Balance Sheet (NT$m)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	182	709	14,360	*NM*	17,474	*21.7*	22,786	29,613	36,992
Other current assets	589	806	1,732	*114.7*	3,913	*125.9*	6,302	6,856	7,786
Total current assets	**771**	**1,515**	**16,092**	*NM*	**21,386**	*32.9*	**29,088**	**36,469**	**44,777**
Net tangible fixed assets	509	441	429	*-2.7*	765	*78.5*	1,467	2,169	2,797
Net intangible fixed assets	0	0	0	-	0	-	0	0	0
Investments / other assets	122	111	224	*101.6*	224	*0.0*	224	224	224
Total assets	**1,402**	**2,067**	**16,745**	*NM*	**22,376**	*33.6*	**30,780**	**38,863**	**47,799**
Trade payables & other ST liabilities	384	694	1,485	*113.8*	2,401	*61.8*	3,374	3,575	3,950
Short term debt	525	0	0	-	0	-	0	0	0
Total current liabilities	**909**	**694**	**1,485**	*113.8*	**2,401**	*61.8*	**3,374**	**3,575**	**3,950**
Long term debt	125	90	0	-	0	-	0	0	0
Other long term liabilities	28	19	86	*349.5*	86	*0.0*	86	86	86
Preferred shares	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,062**	**804**	**1,571**	*95.4*	**2,488**	*58.4*	**3,461**	**3,662**	**4,037**
Common s/h equity	**339**	**1,263**	**15,174**	*NM*	**19,888**	*31.1*	**27,319**	**35,201**	**43,762**
Minority interests	0	0	0	*-1.1*	0	*0.0*	0	0	0
Total liabilities & equity	**1,402**	**2,067**	**16,745**	*NM*	**22,376**	*33.6*	**30,780**	**38,863**	**47,799**

Cash Flow (NT$m)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	57	268	862	*221.1*	5,059	*NM*	9,454	11,664	13,227
Depreciation & amortisation	226	260	254	*-2.3*	358	*41.0*	534	759	1,012
Net change in working capital	(254)	(65)	(374)	*NM*	(1,264)	*-238.1*	(1,416)	(354)	(554)
Other operating	88	139	256	*84.3*	0	-	0	0	0
Operating cash flow	**117**	**602**	**998**	*65.9*	**4,152**	*316.1*	**8,572**	**12,069**	**13,685**
Tangible capital expenditure	(157)	(122)	(275)	*-126.4*	(694)	*-152.1*	(1,236)	(1,461)	(1,641)
Intangible capital expenditure	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(29)	17	13	*-24.0*	0	-	0	0	0
Other investing	(19)	(20)	(2)	*89.5*	0	-	0	0	0
Investing cash flow	**(206)**	**(125)**	**(265)**	*-111.9*	**(694)**	*-162.2*	**(1,236)**	**(1,461)**	**(1,641)**
Equity dividends paid	0	0	(27)	-	(345)	*NM*	(2,023)	(3,782)	(4,666)
Share issues / (buybacks)	23	626	13,102	*NM*	0	-	0	0	0
Other financing	(46)	(54)	(33)	*38.9*	0	-	0	0	0
Change in debt & pref shares	141	(525)	(125)	*76.2*	0	-	0	0	0
Financing cash flow	**117**	**46**	**12,916**	*NM*	**(345)**	-	**(2,023)**	**(3,782)**	**(4,666)**
Cash flow inc/(dec) in cash	**29**	**523**	**13,649**	*NM*	**3,113**	*-77.2*	**5,313**	**6,827**	**7,379**
FX / non cash items	-	4	2	*-42.4*	0	*-100.0*	0	0	0
Balance sheet inc/(dec) in cash	**-**	**527**	**13,652**	*NM*	**3,113**	*-77.2*	**5,313**	**6,827**	**7,379**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Hermes Testing Solutions (7856.TWO)

Valuation (x)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	-	68.6	NM	27.3	14.6	11.9	10.5
P/E (UBS, diluted)	-	68.6	NM	27.3	14.6	11.9	10.5
P/CEPS	-	34.3	NM	25.5	13.8	11.1	9.7
Equity FCF (UBS) yield %	-	2.5	0.6	3.0	6.4	9.3	10.6
Dividend yield (net) %	-	0.2	0.3	1.5	2.7	3.4	3.8
P/BV	-	15.7	9.1	7.0	5.1	3.9	3.2
EV/revenues (core)	-	8.1	NM	7.1	3.8	3.0	2.5
EV/EBITDA (UBS core)	-	35.1	80.1	15.1	7.7	5.8	4.7
EV/EBIT (core)	-	65.8	99.0	15.9	8.1	6.1	5.0
EV/OpFCF (core)	-	65.8	99.0	15.9	8.1	6.1	5.0
EV/op. invested capital	-	27.4	>100	60.7	27.0	17.3	13.1

Enterprise value (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	-	19,581	113,884	113,884	113,884	113,884	113,884
Net debt (cash)	-	(75)	(7,489)	(15,917)	(20,130)	(26,200)	(33,302)
Buy out of minorities	28	19	86	86	86	86	86
Pension provisions/other	0	0	0	0	0	0	0
Total enterprise value	**-**	**19,526**	**106,481**	**98,054**	**93,841**	**87,771**	**80,668**
Non core assets	(29)	0	0	0	0	0	0
Core enterprise value	**-**	**19,526**	**106,481**	**98,054**	**93,841**	**87,771**	**80,668**

Growth (%)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	-	51.8	127.0	152.1	78.1	18.2	12.3
EBITDA (UBS)	-	98.9	139.0	NM	86.4	24.0	14.1
EBIT (UBS)	-	NM	NM	NM	88.6	23.2	13.1
EPS (UBS, diluted)	-	NM	173.4	NM	86.9	23.4	13.4
Net DPS	-	-	NM	NM	86.9	23.4	13.4

Margins & Profitability (%)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	36.2	42.1	55.5	58.3	60.0	60.9	61.3
EBITDA margin	17.5	22.9	24.1	46.9	49.1	51.5	52.4
EBIT (UBS) margin	3.4	12.2	19.5	44.3	47.0	48.9	49.3
Net earnings (UBS) margin	3.6	11.1	15.7	36.4	38.3	39.9	40.3
ROIC (EBIT)	-	41.7	NM	NM	NM	NM	NM
ROIC post tax	-	34.7	NM	NM	NM	NM	NM
ROE (UBS)	-	33.5	10.5	28.9	40.1	37.3	33.5

Capital structure & Coverage (x)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	1.7	(1.1)	(10.8)	(2.7)	(1.9)	(2.0)	(2.2)
Net debt / total equity %	138.1	(49.0)	(94.6)	(87.9)	(83.4)	(84.1)	(84.5)
Net debt / (net debt + total equity) %	58.0	(95.9)	NM	NM	NM	NM	NM
Net debt/EV %	-	(0.4)	(7.0)	(16.2)	(21.5)	(29.8)	(41.3)
Capex / depreciation %	69.5	46.8	108.5	194.1	NM	192.5	162.1
Capex / revenue %	9.8	5.0	5.0	5.0	5.0	5.0	5.0
EBIT / net interest	5.3	31.3	-	-	-	-	-
Dividend cover (UBS)	-	9.9	2.5	2.5	2.5	2.5	2.5
Div. payout ratio (UBS) %	-	10.1	40.0	40.0	40.0	40.0	40.0

Revenues by division (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	1,598	2,425	5,505	13,879	24,713	29,218	32,810
Total	**1,598**	**2,425**	**5,505**	**13,879**	**24,713**	**29,218**	**32,810**

EBIT (UBS) by division (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	54	297	1,076	6,154	11,604	14,294	16,170
Total	**54**	**297**	**1,076**	**6,154**	**11,604**	**14,294**	**16,170**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	111.9%
Forecast dividend yield	0.3%
Forecast stock return	112.2%
Market return assumption	6.3%
Forecast excess return	105.9%

Company Description

Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan. It focuses on providing semiconductor testing and inspecting solutions, equipment installation, technical support, and maintenance services. Its main business segments are customized semiconductor equipment, engineering services, and probe cards and other materials.

Valuation Method and Risk Statement

We value Hermes Testing based on PE methodology.
Risks for the semis industry:
- Geopolitical uncertainties: Geopolitical uncertainties including tariffs and more export control could negatively impact semis cycle, and a downturn would lead to slower demand in the overall market and moderating capacity expansion.
- Meaningful deceleration of new technology development: Slower demand and less investment are expected If there is meaningful deceleration of new technology development such as Cloud AI, autonomous driving, etc.
- Rising utility cost: Larger-than-expected utility cost increases would further pressure profitability. Rising utility costs in Taiwan have negatively impacted margins for Taiwan tech companies.
Company risks:
- Faster- or slower-than-expected front-end/CoWoS capacity expansion: This could result in Hermes Testing gaining/losing equipment orders from major foundries and OSATs.
- Competitors achieving technological advancement: Potential risk of competition (from either local or foreign companies) achieving technological advancements could result in Hermes Testing losing market share from major foundries and OSATs.
- Better- or worse-than-expected AI growth: Better- or worse-than-expected AI growth could lead to a ramp-up or a slowdown of equipment orders from major foundries and OSATs to Hermes Testing, affecting long-term revenue growth potential.
- Slowdown or delay of new technological advancement: A potential slowdown or delay of the rollout for technological advancements for technologies such as SoIC, CoPoS, and CPO, would limit future equipment orders.
- Increase of raw material costs: Rising raw material costs may directly impact Hermes Testing's margins for equipment shipments.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Hermes Testing Solutions

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities Pte. Ltd., Taipei Branch: Ryan Sun, Sunny Lin.

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Company Name	Reuters	12-month rating	Price	Price date
Hermes Testing Solutions	7856.TWO	No Rating	NT$4,190	06 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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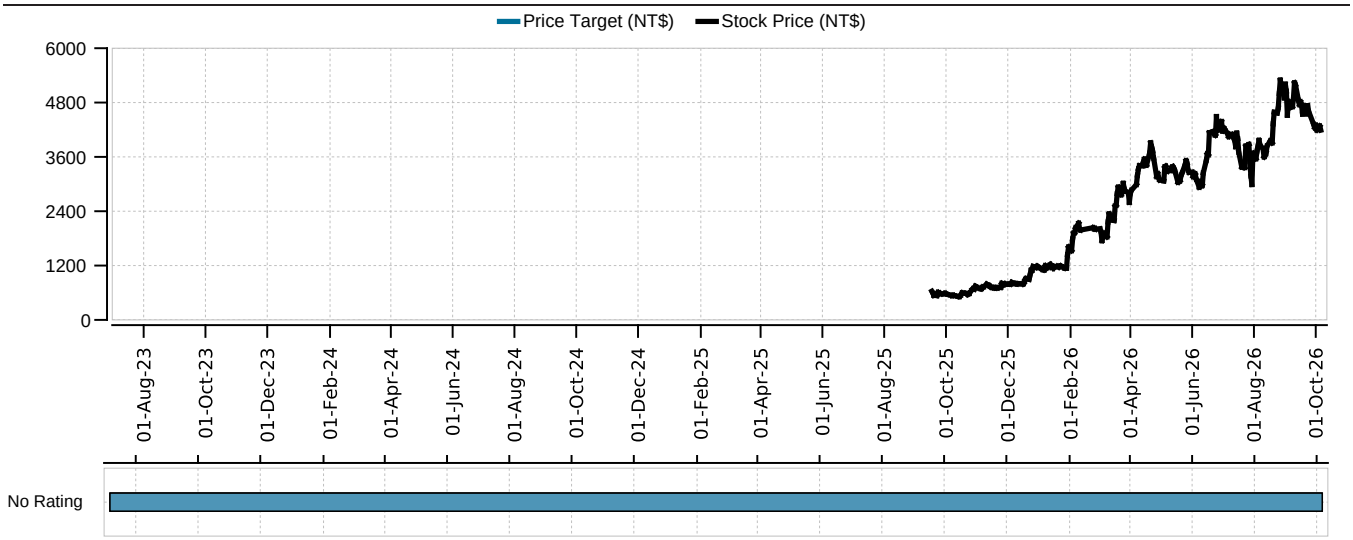
Hermes Testing Solutions (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-06	NaN	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 06-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Hangzhou Changchuan Technology, Rmb239.79 (30 Sep 2026); ASE Industrial, NT$744.00 (06 Oct 2026); Taiwan Semiconductor Manufacturing, NT$2585.00 (06 Oct 2026); Chroma ATE, NT$2350.00 (06 Oct 2026); Teradyne Inc, US$430.32 (06 Oct 2026); Advantest, ¥41850 (06 Oct 2026); Hon.Precision, Inc., NT$5905.00 (06 Oct 2026); Source: UBS. All prices as of local market close.

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Initiation of Coverage

Hermes Testing Solutions

Shifting-left, scaling-up: dual catalysts in chip probing and CPO

Equities

Taiwan
Semiconductors

12-month rating	**Buy**
	Prior : No Rating
12m price target	**NT$8,880.00**
	Prior :
Price (06 Oct 2026)	**NT$4,190**

RIC: 7856.TWO **BBG:** 7856 TT

Trading data and key metrics

52-wk range	NT$5,295.00-516.55
Market cap.	NT$114b/US$3.58b
Shares o/s	27.2m (ORD)
Free float	94%
Avg. daily volume ('000)	240
Avg. daily value (m)	NT$1,068.4
Common s/h equity (12/26E)	NT$15.2b
P/BV (12/26E)	9.1x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	-	29.11	-	32.19
12/27E	-	153.28	-	89.82
12/28E	-	286.48	-	71.44

Ryan Sun
Analyst
ryan-za.sun@ubs.com
+886-2-8722 7267

Sunny Lin
Analyst
sunny.lin@ubs.com
+886-2-8722 7346

Jack-of-all-trades for bespoke testing solutions in the semiconductor industry

We initiate coverage of Hermes Testing (HTSI) with a Buy rating and NT$8,880 PT. HTSI is uniquely positioned to benefit from two key semiconductor testing trends: shift-left testing and the emerging CPO testing market. Leveraging its long-standing relationship with TSMC, HTSI has established capabilities across electrical test engineering, customised test equipment, thermal control modules, probe cards, and CPO testing solutions. We forecast revenue growth of 127%/152%/78% in 2026E/27E/28E, driven by increasing adoption of thermal control modules for wafer-level test and initial deployment of CPO insertion 2 and insertion 3 test equipment through ficonTEC. Additional 2028E growth drivers include reflow tools, laser clean solutions, and MEMS probe cards. The stock trades at 27/15x 2027/28E PE, versus ~35x NTM PE for handler-equipment peers, offering re-rating potential as sales scale, new products are qualified, and its CPO presence expands. See our companion testing deep dive sector note.

Shift-left beneficiary with exceptional thermal control modules

Thermal control modules should be HTSI's largest growth driver over the next several years. We expect increasing chip power consumption, rising package complexity, and tighter probe pitches to drive adoption of advanced thermal control solutions used alongside leading-edge probers, in additional to more wafer level insertions and longer test time. We estimate HTSI will ship approximately 3,000 thermal-control modules in 2027E, up from around 1,200 units in 2026E, sales contribution rise from ~30% in Q226 to >50% of sales by 2027E. The launch of its second-generation platform in 2027E, which carries 25-50% higher ASPs, should further improve profitability. We forecast GM expansion from 55.5% in 2026E to 58.3%/60.0% in 2027E/28E.

Unique position to capture CPO upside

Through its partnership with German optical-automation leader ficonTEC, HTSI is positioned to participate in the initial ramp of CPO testing equipment. HTSI supports local manufacturing, installation, automation and after-sales service, making it a key enabler of volume production. We estimate HTSI captures approximately 30% of equipment value across the 40 insertion 2 and 70 insertion 3 systems we forecast for delivery in 2027E, with further potential upside in 2028E as adoption expands.

Valuation: initiate coverage with a Buy rating and price target NT$8,880

We forecast EPS of NT$29.1 in 2026E (including a one-off employee share purchase programme impact), rising to NT$153.3/286.5 in 2027E/28E. Our NT$8,880 price target is based on 31x average 2028E PE, versus handler-equipment peers forward PE at roughly 35x, reflecting HTSI's unique exposure to both shift-left testing, CPO, and our estimate of 32% LT earnings CAGR. We initiate with a Buy rating.

Highlights (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	1,598	2,425	5,505	13,879	24,713	29,218	32,810
EBIT (UBS)	54	297	1,076	6,154	11,604	14,294	16,170
Net earnings (UBS)	57	268	862	5,059	9,454	11,664	13,227
EPS (UBS, diluted) (NT$)	2.71	10.65	29.11	153.28	286.48	353.44	400.81
DPS (net) (NT$)	0.00	1.10	11.64	61.32	114.60	141.38	160.33
Net (debt) / cash	(469)	618	14,360	17,474	22,786	29,613	36,992
Profitability/valuation	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
EBIT (UBS) margin %	3.4	12.2	19.5	44.3	47.0	48.9	49.3
ROIC (EBIT) %	-	41.7	147.5	381.2	334.1	282.5	261.7
EV/EBITDA (UBS core) x	-	35.1	80.1	15.1	7.7	5.8	4.7
P/E (UBS, diluted) x	-	68.6	NM	27.3	14.6	11.9	10.5
Equity FCF (UBS) yield %	-	2.5	0.6	3.0	6.4	9.3	10.6
Dividend yield (net) %	-	0.2	0.3	1.5	2.7	3.4	3.8

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 4,190.00 on 06-Oct-2026

UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Will HTSI be able to keep its moat within chip probing thermal control modules?
Yes. We expect HTSI's competitive position to strengthen as chip power consumption, package complexity, and probe density continue to increase. The company is developing next-generation thermal control solutions, including liquid cooling technologies, while also expanding into specialized chuck solutions designed to address wafer warpage. In addition, HTSI's close collaboration with TSMC, TEL, Advantest, and other OSATs should reinforce its position within advanced wafer-level testing.

Q: Will insertion 2 of CPO testing process be skipped?
No. We believe concerns surrounding insertion 2 adoption are overdone. While some industry participants favor bypassing insertion 2 due to throughput and ROI considerations, doing so increases the risk of defective optical engines being identified only after the components are delivered to OSATs, creating yield accountability challenges and higher packaging losses. Based on our industry studies, we expect insertion 2 testing to remain an important part of the CPO workflow over at least the next two years as the industry focuses on improving PIC yields and overall testing efficiency.

UBSVIEW

We initiate coverage of Hermes Testing (HTSI) with a Buy rating and NT$8,880 price target. HTSI offers unique exposure to two of the semiconductor testing industry's most attractive growth drivers: 1) shift-left testing and 2) CPO testing. The industry's shift-left testing strategy will have more test insertions move to the wafer level before packaging, in addition to longer CP time. Leveraging its longstanding relationship with TSMC, HTSI has established capabilities across thermal control modules, electrical-test engineering services, customized equipment, and emerging CPO testing solutions. We believe there could be re-rating potential as sales scale, new products are qualified, and its CPO presence expands.

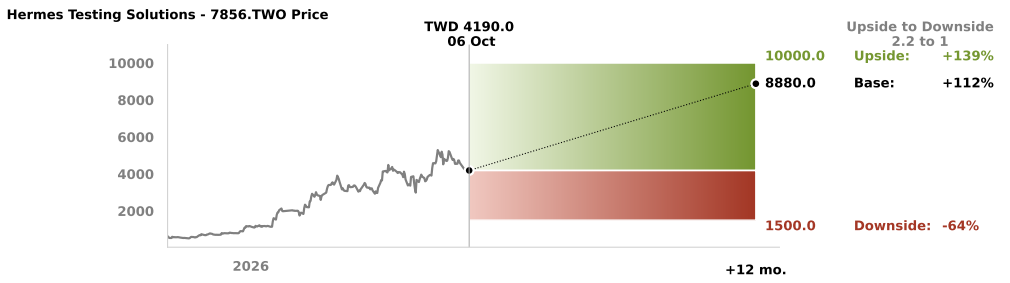
EVIDENCE

TSMC and OSATs have been expanding their CoWoS capacities aggressively, from 40kwpm in 2024 to around 90 kwpm in 2025, and is tracking to expand CoWoS capacity toward 160kwpm in 2026E. TSMC also ramped up expanding N3/N2 capacity, with multiple product launches from customers' pipelines—Nvidia's Rubin, AMD's MI400 series/Venice CPU and other cloud ASICs—translating into foreseeable, strong testing demand.

WHAT´S PRICED IN?

Despite a 264% YTD share-price increase, HTSI currently trades at just 15x of our 2028E EPS versus handler-equipment peers forward PE at roughly 35x. We believe market expectations for 2027 CPO testing equipment shipments remain conservative, particularly for insertion 2 equipment. Based on our industry analysis, we estimate HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, this should be higher than the market's expectation of no insertion 2 and limited insertion 3 shipment due to engineering bottleneck. We also see further upside in 2028E as CPO adoption expands. Our reverse DCF analysis indicates that the current market price implies only a 17% long-term sales CAGR vs our estimate of 27% and long-term GM level of 33% vs our estimate of 61%. We see scope for re-rating.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027/28E)	Thermal control module shipments	CPO insertion 2 & 3 shipments	GM
NT$10,000 upside	3,300/5,000	60&100 / 100&180	61.2%/63.6%
NT$8,880 base	3,000/4,100	40&70 / 80&160	58.3%/60.0%
NT$1,500 downside	1,300/2,000	5&20 / 10&50	53.3%/54.0%

Source: UBS estimates

COMPANY DESCRIPTION

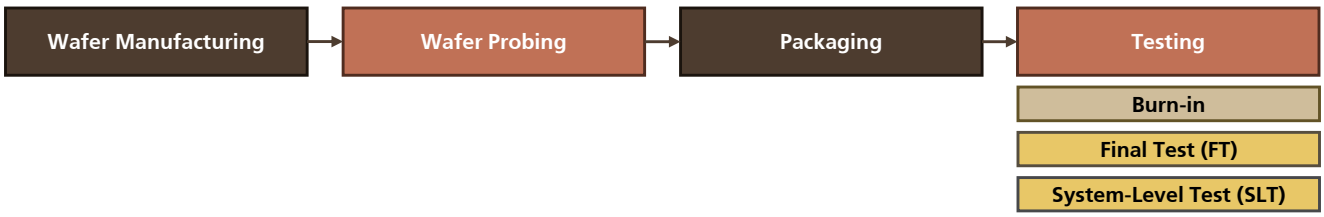
Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan. It focuses on providing semiconductor testing and inspecting solutions, equipment installation, technical support, and maintenance services. Its main business segments are customized semiconductor equipment, engineering services, and probe cards and other materials.

Testing TAM expanding with IC complexity: leaders likely to outperform industry growth

Our central view is that testing content per AI accelerator is growing faster than semiconductor unit volumes, creating a multi-year expansion in testing TAM. We believe semiconductor testing is entering a period of structural growth as AI-driven chip complexity increases testing intensity across wafer, package and system levels. The industry's shift-left strategy, which moves more testing upstream in the semiconductor manufacturing process, is resulting in longer and more frequent test insertions. As cloud AI GPUs and ASICs become increasingly complex, additional testing is required to ensure functionality, performance and yield, while reducing defective parts per million (DPPM). More robust testing should improve deployment efficiency and lower the cost of operating AI infrastructure.

Semiconductor testing generally comprises four stages: wafer/chip probing (CP), final test (FT), system-level test (SLT), and burn-in. CP is conducted at the wafer-level before packaging, while FT, SLT, and burn-in occur after packaging. The below Figure 3 illustrates the semiconductor manufacturing flow.

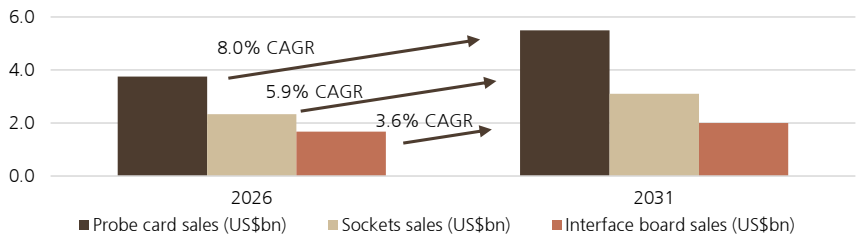
Figure 1: Semiconductor testing process: from wafer level to package level



Source: UBS

We estimate semiconductor testing historically accounts for ~1% of total semiconductor revenue. Within testing, consumables such as probe cards, sockets and interface boards represent ~10-15% of industry revenue. According to Yole, the probe card, socket and interface board markets should grow from US$3.8bn, US$2.3bn and US$1.7bn in 2026 to US$5.5bn, US$3.1bn and US$2.0bn by 2031, respectively.

Figure 2: Yole estimating testing consumables TAM to climb in the next 5 years



Source: Yole, UBS

Nonetheless, leaders within the testing sector will standout among competition, with greater sales CAGR comparing to the industry.

We see **HTSI**'s sales for the next few years to mainly be driven by 1) thermal control module shipment and 2) CPO equipment shipment. In the past, thermal control modules weren't necessary for chip probing, due to less TDP for the chips. However, as new iterations of AI accelerators now got substantial power draw, this unlocks a brand new TAM for HTSI to enter with their thermal control modules to pair with probers, in order to prevent probe card damages.

- **Robust thermal control module shipments.** We estimate HTSI to ship 3,000/4,100 thermal control modules in 2027E/28E, with continuous demand in future years, bringing their 2026-31E semiconductor equipment sales CAGR to 48%.

- **Thermal control module ASP expansion.** Gen 2 thermal control modules will start to ship in 2027E which will drive tool ASP up around 25-50%.
- **Demand supported by Advantest expansions.** We believe the 3,000 thermal control modules shipment forecast for 2027E is not far-fetched, as we read-across from Advantest's announced capacity expansion plan (testers will be paired with probers with a 1:1 ratio) with increasing capacity up to 5,000 testers within FY2027/3 and they also announced a 10,000-unit target within CY2028. Although the testers capacity expansion plan includes testers for final test, we do see a good portion to be allocated to chip probing given shift-left testing trend increasing both testing insertions and testing time before chip packaging.
- **CPO is another brand new TAM for semiconductor testing.** As insertion 2 and 3 testing equipment demand starts to rise in 2027 with scale-out CPO adoption, we see HTSI to ship 40/70 insertion 2 and 3 equipment in 2027E, with this number growing in 2028E to 80/160 and higher in future years as CPO proliferates, and driving 52% 2026-31E test equipment & engineering services sales CAGR.
- **CPO to see content increase.** Gen 2 insertion 3 equipment may start to ship in 2027E, with higher throughput and tool ASP.
- **Insertion 2 might scale down, but not happening anytime soon.** Insertion 2 equipment shipment might come down in 2029E and beyond, as foundries scale-up yield for photonic IC (PIC) in order to lessen the time consuming insertion 2 testing burden.

Figure 3: Hermes Testing is set to benefit with a 46% 2026-31E sales CAGR

Sales by Segments NT$m	2026E	2027E	2028E	2029E	2030E	2031E	2026-31E CAGR
Semiconductor Equipment & Customization products	**$2,815**	**$7,980**	**$13,324**	**$16,061**	**$18,315**	**$20,104**	**48%**
YoY		*183%*	*67%*	*21%*	*14%*	*10%*	
Test Equipment & Engineering services	**$1,480**	**$3,887**	**$7,901**	**$8,887**	**$9,898**	**$11,853**	**52%**
YoY		*163%*	*103%*	*12%*	*11%*	*20%*	
Probe cards and cleaning materials	**$1,210**	**$2,012**	**$3,488**	**$4,270**	**$4,597**	**$4,681**	**31%**
YoY		*66%*	*73%*	*22%*	*8%*	*2%*	
Key products shipment units, ASP, sales	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Thermal control module shipment	**1,200**	**3,000**	**4,100**	**4,500**	**4,700**	**4,900**	
Thermal control product blended ASP (NT$m)	$1.9	$2.4	$2.8	$3.0	$3.3	$3.5	
Total sales from thermal control module shipment	**$2,316**	**$7,168**	**$11,417**	**$13,505**	**$15,591**	**$17,067**	**49%**
% of total sales	*42%*	*52%*	*46%*	*46%*	*48%*	*47%*	
CPO Insertion 2 shipment	**8**	**40**	**80**	**60**	**20**	**20**	
Ins2 blended ASP (NT$m)	$13.8	$15.8	$17.4	$18.3	$19.2	$20.1	
Total sales from insertion 2	**$111**	**$633**	**$1,391**	**$1,095**	**$383**	**$402**	**29%**
% of total sales	*2%*	*5%*	*6%*	*4%*	*1%*	*1%*	
CPO insertion 3 shipment	**11**	**70**	**160**	**200**	**240**	**280**	
Ins3 blended ASP (NT$m)	$16.0	$17.2	$18.2	$19.1	$20.1	$21.1	
Total sales from insertion 3	**$176**	**$1,202**	**$2,917**	**$3,829**	**$4,824**	**$5,910**	**102%**
% of total sales	*3%*	*9%*	*12%*	*13%*	*15%*	*16%*	
Key product sales - total	**$2,602**	**$9,002**	**$15,725**	**$18,429**	**$20,798**	**$23,379**	**55%**
% of total sales	*47%*	*65%*	*64%*	*63%*	*63%*	*64%*	
Others - total	**$2,903**	**$4,877**	**$8,988**	**$10,789**	**$12,012**	**$13,260**	**36%**
% of total sales	*53%*	*35%*	*36%*	*37%*	*37%*	*36%*	
Operating Metrics	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Revenue NT$m	**$5,505**	**$13,879**	**$24,713**	**$29,218**	**$32,810**	**$36,639**	**46%**
YoY		*152.1%*	*78.1%*	*18.2%*	*12.3%*	*11.7%*	
GM %	**55.5%**	**58.3%**	**60.0%**	**60.9%**	**61.3%**	**61.1%**	
OpM %	**19.5%**	**44.3%**	**47.0%**	**48.9%**	**49.3%**	**51.1%**	

Source: UBS estimates

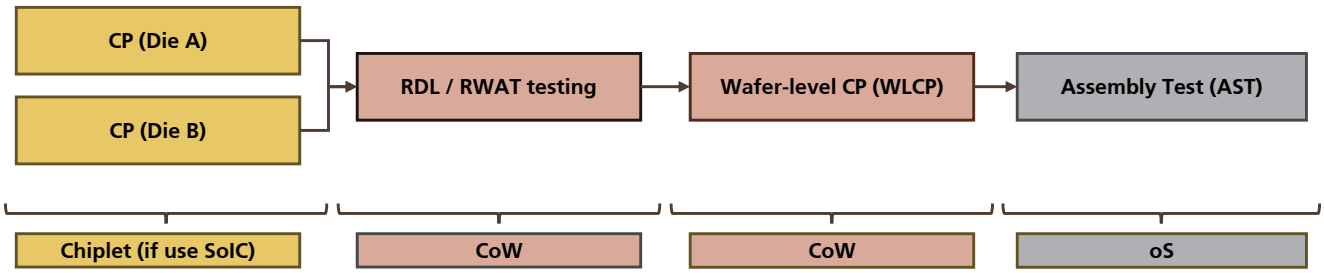
Robust growth drivers across semiconductor testing

We believe HTSI is set to benefit from several semiconductor testing growth drivers and capture the AI induced, expanding testing TAM. We see HTSI is uniquely positioned as the main beneficiary of two of the strongest growth drivers within semiconductor testing: testing shift-left and CPO.

Shift-left igniting secular growth for chip probing

The industry's adoption of shift-left testing should drive a multi-year structural growth opportunity for chip probing (CP) and its supply chain. As advanced packaging costs rise and AI accelerators become increasingly complex, semiconductor manufacturers are placing greater emphasis on identifying known-good dies (KGD) before packaging.

Figure 4: CP is set to grow substantially with shift-left, each packaging step set to be MORE costly than the prior step

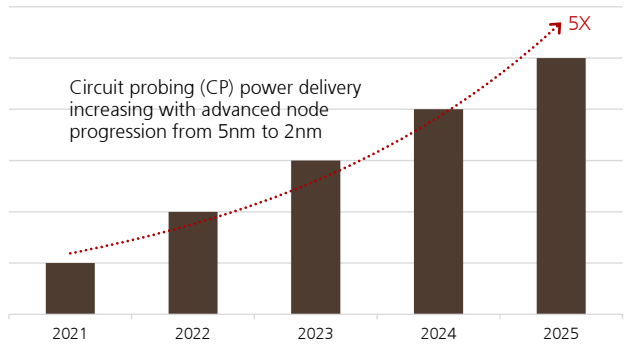


Source: UBS

The economics of advanced packaging reinforce this trend. Heterogeneous integration, chiplet architectures and 2.5D/3D packaging significantly increase package value, while defects identified late in the manufacturing process can lead to substantial scrap costs. To mitigate this risk, foundries and OSATs such as TSMC and ASE employ distributed testing flows incorporating KGD, known-good-stack (KGS) and assembly test screening, to catch defects before the components enter a multi-week packaging cycle (>2 weeks for CoW and 2 weeks for oS). The importance of these tests rises as AI clusters become increasingly dependent on component reliability and low defective-parts-per-million (DPPM) rates. Given the multiplicative yield degradation, a 300bps yield decline at just one manufacturing stage (e.g. dropping from 99.5% to 96.5%) reduces overall integrated four-stage yield from 98.0% to 95.0%; on a 500,000 unit ramp at US $10,000 per unit, this 3% scrap delta translates into around US$150m in unrecoverable losses given >6-month manufacturing lead times.

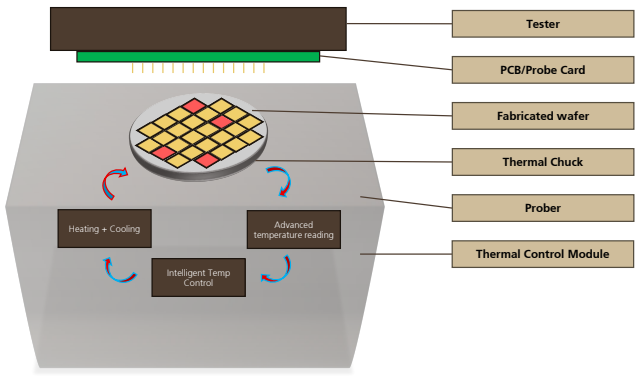
At the same time, rising chip power consumption is increasing the technical difficulty of wafer-level testing. As chip thermal design power scales beyond 1,000W and power density is expected by the industry to surge another 8x by 2030, traditional wafer-level chip probe (WLCP) encounters severe physical bottlenecks. Finer probe pitches and higher power densities increase the risk of overheating, probe needle burnout and yield degradation, creating demand for more advanced probing and thermal-control solutions.

Figure 5: CP power delivery trend rises with process tech evolution



Source: UBS

Figure 6: Thermal control module inside probers are essential to control wafer temperature



Source: UBS

Hermes Testing (HTSI) is a key beneficiary of this trend. Leveraging its long-standing relationship with TSMC and expertise in semiconductor test solutions, HTSI supplies advanced thermal control modules used alongside leading-edge probers (made by Tokyo Electron), particularly for AI applications. These thermal control modules are required for high TDP semiconductor wafer probe in order to maintain the temperature

of the chuck to avoid needle burns or probe card damages. We estimate HTSI will ship approximately 3,000 thermal-management modules in 2027E, up from 1,200 in 2026E, supporting sales growth of 127%/152% in 2026E/27E. HTSI is also the partner for prober installation, prober maintenance and services. In addition, HTSI provides high-end chuck processing services, an area that should benefit from increasing package sizes and higher wafer warpage associated with advanced packaging.

Beyond thermal control modules, HTSI also supplies consumables and customised solutions for wafer-level testing, including probe card cleaning sheets and laser-based probe head cleaning systems. As probing intensity increases under the shift-left testing model, demand for cleaning and maintenance solutions should rise alongside probe card utilisation. Currently, cleaning sheets is around 5% of sales, but we believe it could gain traction in 2027/28E and beyond. We see additional upside from future modular laser cleaning systems that could be integrated directly with probers, further expanding HTSI's content opportunity within advanced wafer-level testing.

CPO testing fuelling future growth for semiconductor testing

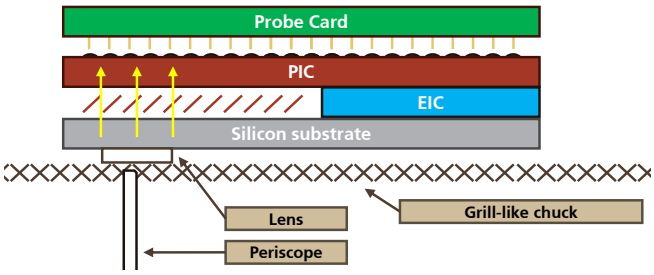
As interconnect bottlenecks increasingly shift from the memory wall to the copper wall, we believe co-packaged optics (CPO) adoption is inevitable over the longer term. Testing remains one of the key bottlenecks to CPO deployment, as optical validation differs fundamentally from the electrical testing processes that have dominated semiconductor manufacturing for decades. As a result, CPO is creating a new testing opportunity across the semiconductor equipment and consumables ecosystem. We have written extensively on CPO and opportunities that it brings to the semiconductor supply chain, see our CPO deep dive, our thoughts on CPO timing, 2026 SiPhIA conference takeaways, and SEMICON 2026 takeaways.

Various test equipment suppliers are scrambling to come up with ideal testing equipment across the four insertions of CPO testing, with solutions to ensure both optical and electrical signal integrity of the CPO solutions. The four insertions are:

- **Insertion 1: Electronic IC (EIC)/Photonic IC (PIC) test.** Single-side wafer test that has dedicated probe cards to test the fabricated EIC/PIC wafers.
- **Insertion 2: Optical/Electrical test.** Double sided wafer test, testing the hybrid bonded (e.g. via TSMC's COUPE) EIC and PIC wafers by an opto-electrical test that verifies the electrical signals on the top and optical signal on the bottom of the hybrid bonded wafers.
- **Insertion 3: Optical engine (OE) test.** The OE tests are done to ensure the quality of the OEs and with FAU (Fiber Array Unit) attached, to ensure the signal integrity of the OEs. The testing equipment needs to be able to handle 224G per channel data rates, requiring high unit per hour (UPH) throughput, meticulous dirt mitigation, and maintaining a near 100% contact rating on high-speed sockets.
- **Insertion 4: ASIC final test.** This final test step is established post the OEs are packaged together with the ASIC. The complete ASIC package (now with CPO) is now tested for opto-electrical functionalities.

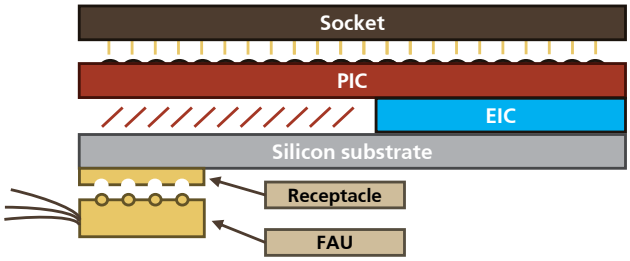
As it stands, insertion 2 and insertion 3 are the two areas where there are the most debates in the industry. Insertion 3 suppliers such as Chroma has noted the trend of "shift-to-middle" paradigm centered on insertion 3. In high-density scale-out switches deploying up to 32 optical engines (e.g. Nvidia's Spectrum-X architectures), any OE defect results in package scrap at the CoWoS level, making 100% known good die (KGD) validation at the singulated OE stage an absolute commercial requirement.

Figure 7: An illustration for insertion 2 test method



Source: UBS

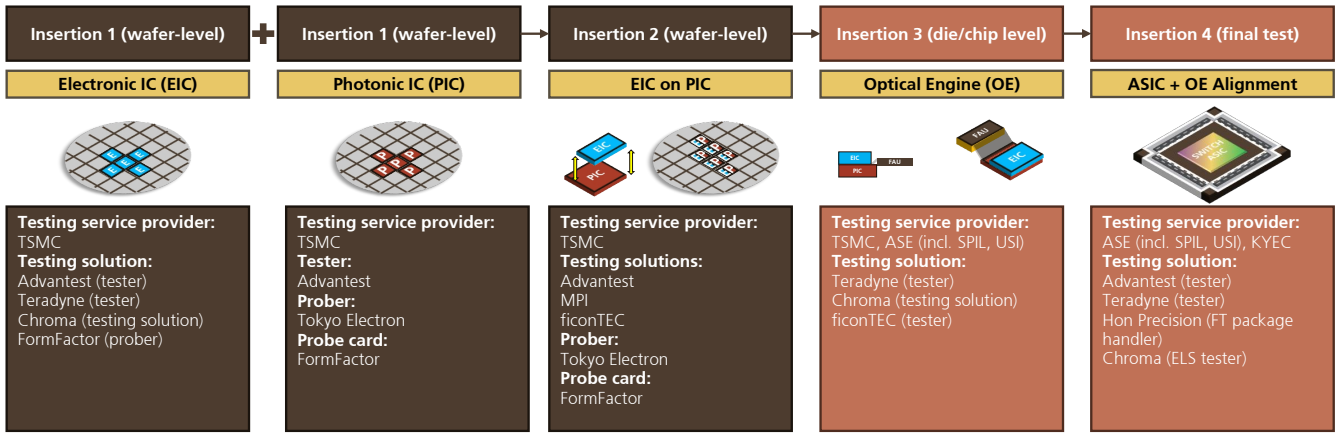
Figure 8: An illustration for insertion 3 test method



Source: UBS

As shown in the below figure, as there are no set standards for the testing equipment, throughput and stability are now the main target and area of competition for the major players in the field. Notable ones for each insertions are listed.

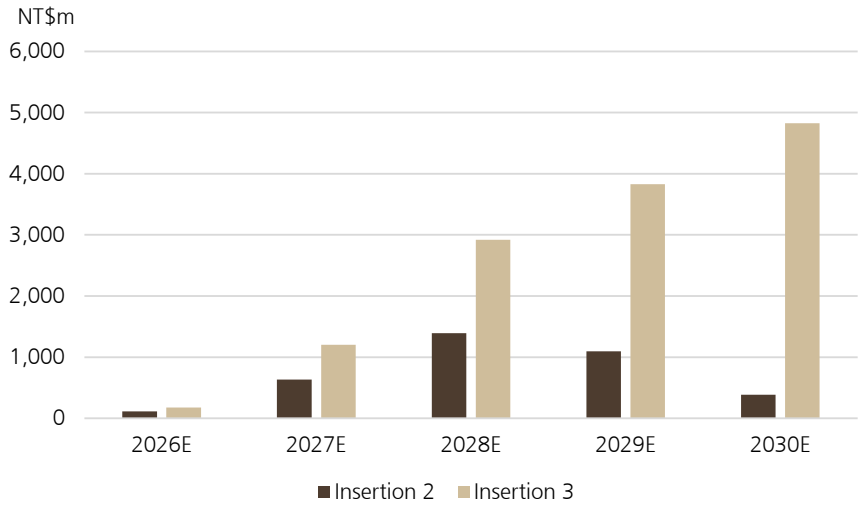
Figure 9: CPO testing flow chart with key suppliers



Source: UBS

With its 25 years of precision test equipment expertise, ficonTEC is an early mover for CPO test equipment and has key know-how for optical alignment, which is quintessential for optical test. **HTSI**, through its partnership with ficonTEC, is set to be a major beneficiary once CPO proliferates in 2027E-28E. As the partner of ficonTEC, Hermes Testing is the key enabler that can help ficonTEC achieve HVM for its CPO testing equipment. As of now, our view is that both insertion 2 and insertion 3 should be required within the next two years, despite the difficulties surrounding double-sided wafer probing (insertion 2), as the yield for OEs are still not high enough to avoid defective dies. Finding out known-good OEs will be crucial before the FAU coupling process during the latter stages of CPO packaging, to prevent impeding the final package with multiple OEs attached to the switch ASIC (e.g. 32 OEs on Nvidia's Spectrum-X). We estimate Hermes Testing will ship 40/70 units of insertion 2/3 testing equipment in 2027E, with potential upside to the numbers as we view Hermes Testing will likely assist with the ramp up for Gen 2 insertion 3 equipment in 2027E. Gen 2 insertion equipment will come with better throughput and ASP.

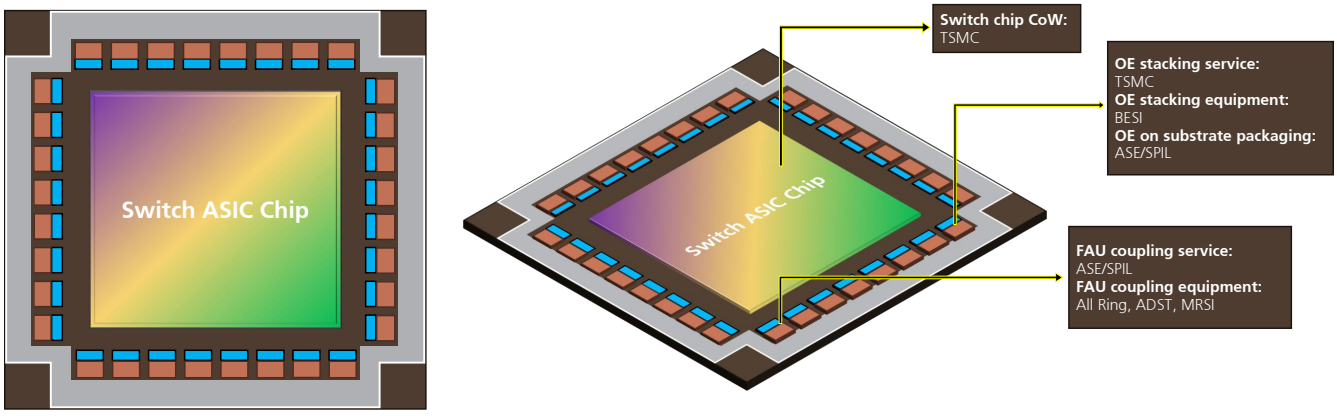
Figure 10: We believe HTSI CPO equipment sales will pick up in 2027/28E with 541%/135% YoY growth



Source: UBS estimates

Beyond insertions 2 and 3, HTSI is also positioned to participate in insertion 1 testing through customised prober solutions for photonic integrated circuit (PIC) testing. We believe these solutions could eventually be packaged as licensable intellectual property, creating an additional long-term growth opportunity as CPO adoption broadens. While near-term testing growth is driven by AI accelerators, CPO represents the next major expansion cycle for semiconductor testing. We believe HTSI is uniquely positioned to participate across multiple test insertions, providing exposure to a potentially significant source of incremental revenue beginning in 2027E.

Figure 11: A switch chip with 32 OEs and the CPO packaging supply chain



Source: UBS

HTSI's unique position for new TAM of thermal control modules and CPO test equipment

Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan, as a spin-off from Hermes-Epitek. The company provides semiconductor testing and inspection solutions, engineering services, customized equipment, and test consumables. HTSI maintains a global service footprint across Taiwan (Hsinchu, Tainan), Mainland China (Suzhou), Japan (Tokyo, Kumamoto), Singapore, Malaysia, and the United States (Arizona), enabling close support for leading semiconductor customers.

Its main business segments are structured around three pillars:

- **Semiconductor equipment and customized products:** HTSI utilises a dual-track strategy of independent R&D and also equipment agency sales. They offers

highly customized solutions designed to address specific client pain points and bottlenecks. Key products include: thermal control modules that pair with a 1:1 ratio with wafer-level test probers, electron beam inspection equipment, white light interference optical inspection systems, laser probe cleaning machines, and the SYMPHONY fluxless reflow system.

- **Testing equipment engineering services:** The company operates the largest engineering service team in Taiwan, consisting of over 340 technical professionals. The engineering service team provides extensive equipment life-cycle support, including installation, relocations, modification, testing, routine maintenance, and repair services. CPO related equipment sales/services will be recognized within this segment, as CPO are not direct HTSI products, but rather sales recognition via its partnership with ficonTEC.
- **Probe card design, manufacturing, and cleaning materials:** HTSI delivers a comprehensive product portfolio that supports the entire probe card life-cycle. For probe cards, they supply membrane, cantilever, and vertical probe cards. As they are small in scale, HTSI targets niche probe card applications such as RF, 5G/6G, millimeter wave, LCD driver, low end logics, TIA (Transimpedance Amplifier), etc. In addition to the three existing probe technologies, HTSI also collaborates with MJC in Japan for MEMS probe development, targeting sales in 2028E for high-end, AI/HPC related applications. Cleaning materials is another important business within this segment, as HTSI source and process sand paper or other materials to offer cleaning sheets to clean the probe cards, removing oxidations, unwanted particles and substances that accumulated on the probe cards during the testing process.

The sales resiliency in the coming years mainly stems from its robust relationship with key industry players, especially as an engineering and service provider with TSMC for testing solutions. This sets up a solid foundation for its customized equipment business, as they know the specific testing bottleneck to tackle. For instance, as Hermes-Epitek manufacturers the probers for Tokyo Electron (TEL) and HTSI helps with installation, services, and maintenance of the probers, they understand the thermal bottlenecks that the wafer-level test industry has been facing and can effectively come up with module solutions to solve this.

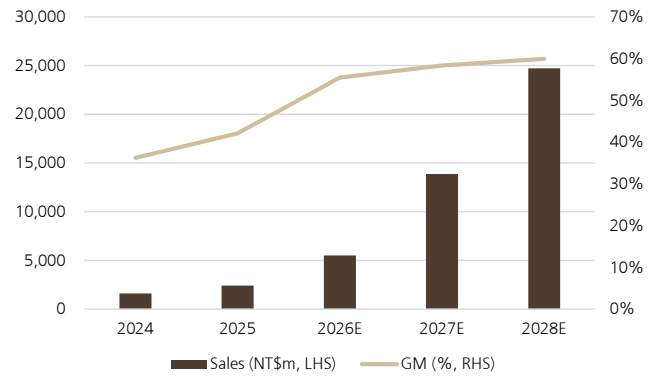
Margins set to expand with value-added products and services

The company has demonstrated strong execution in advanced wafer-level testing, with H126 revenue of NT$2.2bn already exceeding 90% of FY25 revenue (NT$2.4bn). Profitability has also improved significantly, with GM increasing from 42.1% in 2025 to 54.9% in H126.

With share of value-added products and services set to rise in 2027E in sales mix, HTSI is set to see GM and operating leverage expansion. As a niche engineering service provider that has robust ties to leading foundries and OSATs, we believe HTSI has substantial pricing power and estimate HTSI' GM for thermal control modules to be around 65%, with GM for CPO equipment of around 60% as HTSI provides an engineering-service-like business for it. We believe these factors will help the company to reach a 60% long-term GM range.

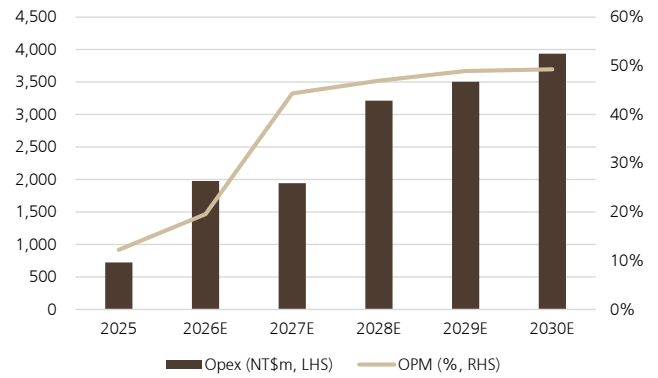
OPM is also set to expand with customized equipment sales rise in total sales mix. If we exclude the one-time expense to be recognized during Q326 for employee stock benefits (we estimate around NT$1bn), YoY opex growth will be around 99% for 2027E, with downside risk if the company conducts tight cost control measures. We forecast the company's OPM will expand from 19.5% in 2026E, to 44.3%/47.0% in 2027/28E.

Figure 12: HTSI sales set to continue to climb with 152% growth and GM at 58.3% in 2027E



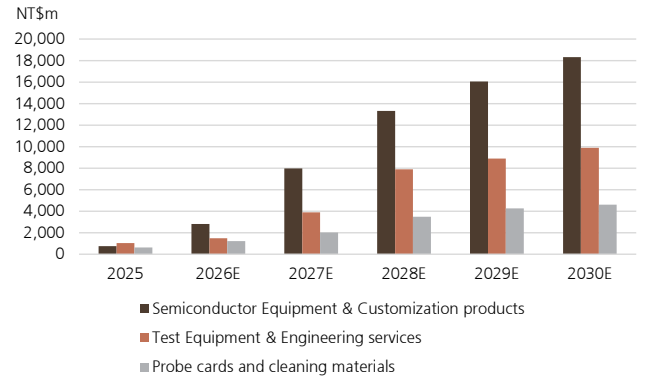
Source: UBS estimates

Figure 13: OPM set to grow to 44.3%/47.0% in 2027/28E



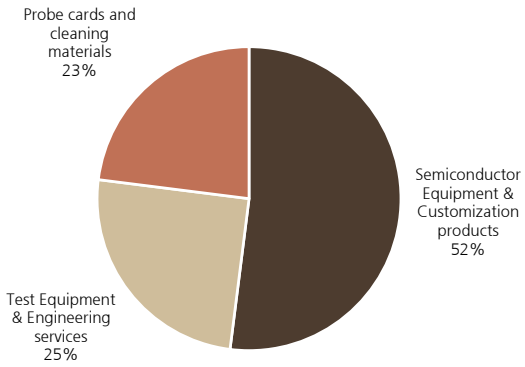
Source: UBS estimates. Note 2026E opex includes a one-time NT$1bn employee stock benefit.

Figure 14: We see customized equipment to continue to drive company growth



Source: Company data, UBS estimates

Figure 15: HTSI H126 sales mix breakdown



Source: Company data, UBS

Figure 16: UBS earnings forecast

(NT$m)	2025	Q126	Q226	Q326E	Q426E	2026E	Q127E	Q227E	Q327E	Q427E	2027E	2028E	2029E	2030E
Revenue	**2,425**	**985**	**1,200**	**1,513**	**1,807**	**5,505**	**2,634**	**3,197**	**3,760**	**4,289**	**13,879**	**24,713**	**29,218**	**32,810**
- YoY chg (%)	52%	123%	108%		28%	127%	167%	166%	149%	137%	152%	78%	18%	12%
- QoQ chg (%)		-30%	-51%	54%	51%		46%	-42%	43%	34%				
Gross profit	**1,021**	**545**	**655**	**843**	**1,012**	**3,054**	**1,534**	**1,856**	**2,184**	**2,523**	**8,097**	**14,817**	**17,801**	**20,107**
- Gross margin	42.1%	55.3%	54.5%	55.7%	56.0%	55.5%	58.3%	58.1%	58.1%	58.8%	58.3%	60.0%	60.9%	61.3%
Operating profit	**297**	**323**	**411**	**-399**	**741**	**1,076**	**1,166**	**1,408**	**1,657**	**1,923**	**6,154**	**11,604**	**14,294**	**16,170**
- Operating margin	12.2%	32.8%	34.3%	-26.4%	41.0%	19.5%	44.3%	44.1%	44.1%	44.8%	44.3%	47.0%	48.9%	49.3%
Pre-tax profit	**322**	**326**	**412**	**-396**	**743**	**1,085**	**1,205**	**1,449**	**1,700**	**1,968**	**6,323**	**11,818**	**14,580**	**16,534**
Net profit	**268**	**254**	**330**	**-317**	**594**	**862**	**964**	**1,160**	**1,360**	**1,574**	**5,059**	**9,454**	**11,664**	**13,227**
- YoY chg (%)	373%	586%	301%		299%	221%	280%	251%	-529%	165%	487%	87%	23%	13%
- QoQ chg (%)		70%	23%	-225%	80%		62%	35%	41%	36%				
Basic EPS (NT$)	**10.83**	**9.35**	**12.15**	**-10.20**	**18.01**	**29.11**	**29.22**	**35.14**	**41.22**	**47.70**	**153.29**	**286.49**	**353.45**	**400.82**
- YoY chg (%)	281%	492%	279%		200%	169%	213%	189%	-504%	165%	427%	87%	23%	13%
- QoQ chg (%)		55%	12%	-209%	48%		62%	21%	41%	36%				

Source: UBS estimates

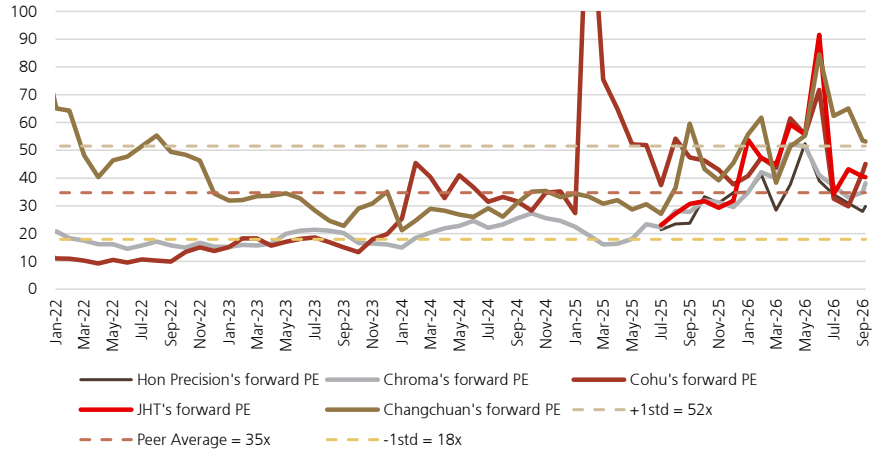
Figure 17: Testing supply chain valuation table

Company name	Ticker	Analyst	Market cap (US$m)	Price Target (LC)	Share price (LC)	Rating	EPS growth (%)		P/E (x)		P/BV (x)		ROE (%)	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Testing service provider														
ASE Industrial	3711.TW	Sunny Lin	104,043	835	744	Buy	104	64	39.3	24.0	7.5	6.3	21	28
King Yuan Electronics	2449.TW	Sunny Lin	11,456	325	298	Buy	40	62	32.6	20.1	5.9	5.0	20	27
Amkor Technology	AMKR.O	Randy Abrams	13,114	80	53	Buy	73	8	20.6	19.1	2.6	2.4	14	13
JCET Group	600584.SS	Jimmy Yu	17,156	135	64	Buy	72	53	42.7	28.0	3.7	3.3	9	12
Tianshui Huatian Technology	002185.SZ	Jimmy Yu	7,928	13	16	Neutral	33	27	57.0	44.8	2.8	2.7	5	6
TongFu Microelectronics Co Ltd	002156.SZ	N/A	13,526	N/A	57	N/A	50	13	45.3	40.1	5.0	4.5	10	11
Shanghai V-Test Semiconductor Tech Co Ltd	688372.SS	N/A	2,517	N/A	100	N/A	36	106	40.6	19.7	3.8	3.2	11	18
Sector Average							**58**	**47**	**39.7**	**28.0**	**4.5**	**3.9**	**13**	**17**
Tester														
Advantest	6857.T	Atsuhiro Kinoshita	191,547	43,600	41,850	Buy	80	96	38.8	53.1	16.8	31.8	70	58
Teradyne Inc	TER.O	Timothy Arcuri	67,666	500	430	Buy	134	51	45.7	30.8	16.7	12.8	43	47
Sector Average							**107**	**74**	**42.2**	**42.0**	**16.7**	**22.3**	**57**	**52**
Prober/Prober solutions														
Hermes Testing Solutions	7856.TWO	Ryan Sun	3,580	8,880	4,190	Buy	221	487	143.9	27.3	9.1	7.0	10	29
Tokyo Electron	8035.T	Atsuhiro Kinoshita	184,031	18,720	12,805	Buy	-16	71	29.7	37.1	6.5	12.8	36	44
Sector Average							**102**	**279**	**86.8**	**32.2**	**7.8**	**9.9**	**23**	**36**
Handler														
Hon.Precision, Inc.	7769.TW	Sunny Lin	33,404	10,000	5,905	Buy	90	86	45.2	24.4	14.5	10.6	36	50
Chroma ATE	2360.TW	Jerry Su	31,434	2,960	2,350	Buy	64	38	51.8	37.7	28.6	20.8	58	64
Cohu, Inc.	COHU.O	N/A	3,460	N/A	73	N/A	n.a.	94	77.0	39.6	-	-	7	16
JHT Design Co Ltd	603061.SS	N/A	4,045	N/A	312	N/A	155	47	54.8	37.3	13.0	9.9	22	25
Hangzhou Changchuan Technology	300604.SZ	Yongwei Lai	22,690	310	240	Buy	60	53	76.1	49.8	23.4	16.5	36	39
Sector Average							**92**	**63**	**61.0**	**37.8**	**19.9**	**14.4**	**32**	**39**
Test Socket														
WinWay Technology	6515.TW	Ryan Sun	6,948	8,900	6,130	Buy	119	98	60.2	30.4	22.0	14.6	44	34
Leeno Industrial Inc	058470.KQ	N/A	4,936	N/A	86,900	N/A	33	17	35.4	30.3	8.0	6.8	24	24
ISC Co Ltd	095340.KQ	N/A	3,247	N/A	205,500	N/A	70	41	47.0	33.2	7.0	5.9	16	19
Yokowo Co Ltd	6800.T	N/A	744	N/A	4,925	N/A	28	93	38.3	19.8	-	1.8	-	-
Sector Average							**62**	**62**	**45.2**	**28.4**	**12.3**	**7.3**	**28**	**26**
Load Board														
Chunghwa Precision Test Tech	6510.TWO	Ryan Sun	3,149	5,000	3,055	Buy	112	99	47.5	23.8	9.2	7.3	21	34
Probe Card														
Technoprobe SpA	TPRO.MI	Harry Blaiklock, CFA	27,100	41	37	Buy	259	18	66.9	56.5	14.6	11.6	25	23
MPI Corp	6223.TWO	N/A	17,518	N/A	5,670	N/A	97	110	87.2	41.5	30.3	19.1	38	54
FormFactor Inc	FORM.O	N/A	11,038	N/A	141	N/A	159	24	46.2	37.1	9.3	8.9	19	23
MICRONICS JAPAN CO.,LTD.	6871.T	N/A	3,906	N/A	15,410	N/A	155	28	24.8	19.4	7.1	5.6	32	36
Japan Electronic Materials Corp	6855.T	N/A	804	N/A	8,650	N/A	46	43	24.9	17.4	-	-	-	-
Sector Average							**138**	**54**	**49.6**	**32.6**	**14.1**	**10.5**	**27**	**34**

Source: LSEG, UBS estimates. Priced as of October 6 (HKT).

WHAT´S PRICED IN?

HTSI is trading at NT$4,190 as of 6 Oct 2026



Source: LSEG, UBS

Despite a 264% YTD share-price increase, HTSI still trades at just 15x 2028E P/E. We believe market expectations for 2027E CPO testing equipment shipments remain conservative, particularly for insertion 2 equipment. Based on our industry analysis, we estimate HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, this should be higher than the market's expectation of no insertion 2 and limited insertion 3 shipment due to engineering bottleneck. We also see further upside in 2028E as CPO adoption expands. Our reverse DCF analysis indicates that the current market price implies only a 17% long-term sales CAGR vs our estimate of 27% and long-term GM level of 33% vs our estimate of 61%. We see scope for re-rating.

We believe the market is not fully reflecting three key growth drivers:

1) Shift-left testing is still underappreciated.

As advanced packaging costs rise and AI accelerators become increasingly complex, more thorough testing is done at the wafer-level. This should drive sustained demand for HTSI's thermal control modules, probe card consumables, and other wafer-level testing solutions.

2) CPO revenue potential remains underestimated.

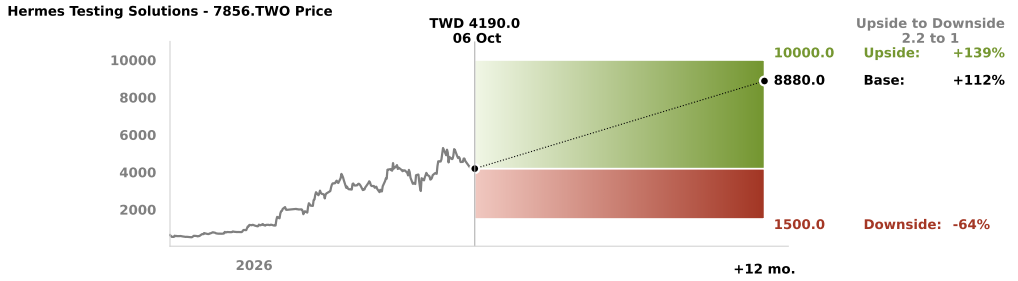
Investor expectations for 2027 CPO equipment shipments, particularly insertion 2 testing systems, remain conservative. Based on our industry studies, we forecast HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, with further potential upside in 2028E as CPO adoption broadens.

3) New products provide additional optionality.

Beyond its core businesses, HTSI is expanding into higher-value solutions including mass-reflow tools, MEMS probe cards and laser cleaning systems, creating incremental growth opportunities that we believe are largely absent from current expectations.

We value HTSI using 31x average 2028E PE, underpinned by a 32% 2027-31E earnings CAGR. We use 2028E PE as our view is that 2028 is the year for thermal control modules and CPO adoption grow from the initial ramping up stage to mass adoption stage. We believe using handlers as a peer group is justifiable for a unique company like HTSI, with thermal control modules for chip probing sharing similar characteristics as active thermal control used for final test, in addition to Hon Precision and Chroma having exposure to CPO test equipment. For equipment vendors, the peer group's average NTM PE post 2022 is around 35x, and the group is currently trading at around 41x NTM PE (see What's Priced In chart).

UPSIDE/DOWNSIDE SPECTRUM



HTSI is trading at NT $4,190 as of 6 Oct 2026

Value drivers (2027/28E)	Thermal control module shipments	CPO insertion 2 & 3 shipments	GM
NT$10,000 upside	3,300/5,000	60&100 / 100&175	61.2%/63.6%
NT$8,880 base	3,000/4,100	40&70 / 80&160	58.3%/60.0%
NT$1,500 downside	1,300/2,000	5&20 / 10&50	53.3%/54.0%

Source: UBS estimates

Risk to the current share price is heavily skewed (2.2:1) to the upside.

UPSIDE (NT$10,000): Our upside scenario reflects stronger than expected thermal module and CPO equipment shipment in 2027-28E, with additional upside from better traction of probe cards and mass reflow tools, forming 157%/91% YoY sales growth in 2027/28E and even higher operating leverage with OPM of 46.3%/50.0% in 2027/28E. This scenario implies a 34x 2028E PE, a upside driving by more equipment demand stemming for robust shift-left test induced equipment bottleneck, alongside CPO proliferation with scale-up CPO equipment pull-in in 2028E.

BASE (NT$8,880): Our price target of NT$8,880 is based on 31x 2028E PE. We expect an earnings CAGR of 32% in 2027-31E. With shift-left trend for more thermal module requirement during testing, alongside 40/70 CPO insertion 2/3 shipment. We see these growth drivers driving YoY sales growth from a high base of 127% in 2026E to 152%/78% YoY in 2027/2028E, with OPM of 44.3%/47.0% in 2027/28E.

DOWNSIDE (NT$1,500): Our downside scenario reflects lower shipment of thermal control modules due to less advanced prober demand with less insertion 2 and 3 equipment shipment due to bottlenecks with CPO production, alongside limited additional growth drivers to be picked up in 2028 such as MEMS probe card and mass reflow tools. This leads to weaker YoY sales growth of 67%/50% in 2027/28E and operating margin of 29.3%/32.0% in 2027/28E as equipment shipment fails to scale. This scenario implies a 14x 2028E PE, as valuation de-rate with dimmed outlook without CPO and limited upside from thermal control module shipments.

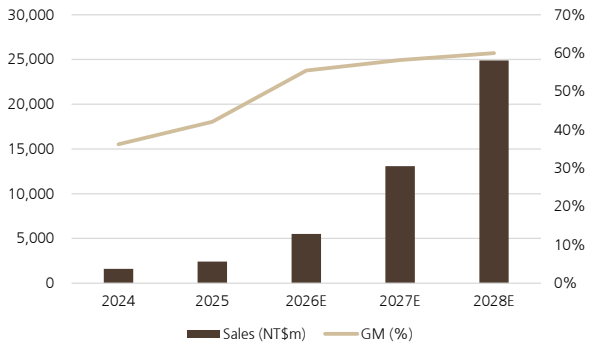
COMPANY DESCRIPTION

Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan. It focuses on providing semiconductor testing and inspecting solutions, equipment installation, technical support, and maintenance services. Its main business segments are customized semiconductor equipment, engineering services, and probe cards and other materials.

Industry Outlook

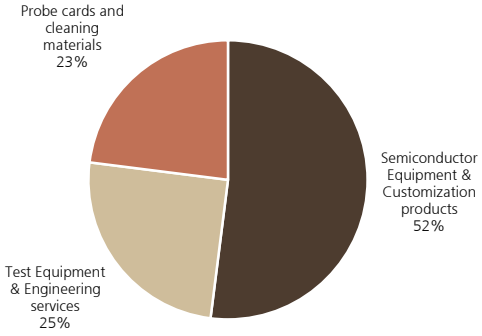
New iterations of semiconductors, especially for AI / HPC applications, are set to increase in both front-end wafer fabrication advancements and back-end packaging complexities with each iterations. With the industry now moves to utilize "shift left", chip probing and its relevant supply chain will be key beneficiaries of this trend which we believe will unlock multi-year, secular growth trends.

HTSI sales and GM trend



Source: Company data, UBS estimates

HTSI H126 sales mix breakdown



Source: Company data, UBS

Hermes Testing Solutions (7856.TWO)

Income Statement (NT$m)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**1,598**	**2,425**	**5,505**	*127.0*	**13,879**	*152.1*	**24,713**	**29,218**	**32,810**
Gross profit	579	1,021	3,054	*199.2*	8,097	*165.1*	14,817	17,801	20,107
EBITDA (UBS)	**280**	**556**	**1,329**	*139.0*	**6,512**	*389.8*	**12,138**	**15,053**	**17,182**
Depreciation & amortisation	(226)	(260)	(254)	*2.3*	(358)	*-41.0*	(534)	(759)	(1,012)
EBIT (UBS)	**54**	**297**	**1,076**	*262.7*	**6,154**	*NM*	**11,604**	**14,294**	**16,170**
Associates & investment income	0	0	0	-	0	-	0	0	0
Other non-operating income	13	35	1	*-96.8*	0	-	0	0	0
Net interest	(10)	(9)	8	-	169	*NM*	214	286	364
Exceptionals (incl goodwill)	0	0	0	-	0	-	0	0	0
Pre-tax profit	**57**	**322**	**1,085**	*236.7*	**6,323**	*NM*	**11,818**	**14,580**	**16,534**
Tax	0	(54)	(223)	*-314.2*	(1,265)	*NM*	(2,364)	(2,916)	(3,307)
Profit after tax	**57**	**268**	**862**	*221.2*	**5,059**	*NM*	**9,454**	**11,664**	**13,227**
Preference dividends	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	*-83.3*	0	-	0	0	0
Extraordinary items	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**57**	**268**	**862**	*221.1*	**5,059**	*NM*	**9,454**	**11,664**	**13,227**
Net earnings (UBS)	**57**	**268**	**862**	*221.1*	**5,059**	*NM*	**9,454**	**11,664**	**13,227**
Tax rate (%)	0.0	16.7	20.6	*23.0*	20.0	*-2.7*	20.0	20.0	20.0

Per Share (NT$)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	2.71	10.65	29.11	*173.4*	153.28	*NM*	286.48	353.44	400.81
EPS (local GAAP, diluted)	2.71	10.65	29.11	*173.4*	153.28	*NM*	286.48	353.44	400.81
EPS (UBS, basic)	2.84	10.83	29.11	*168.8*	153.29	*NM*	286.49	353.45	400.82
DPS (net) (NT$)	0.00	1.10	11.64	*NM*	61.32	*NM*	114.60	141.38	160.33
Cash EPS (UBS, diluted) [1]	13.49	20.94	37.67	*79.9*	164.12	*335.6*	302.66	376.44	431.48
Book value per share	12.85	46.45	459.82	*NM*	602.66	*31.1*	827.84	1,066.69	1,326.13
Average shares (diluted)	21	25	30	*17.5*	33	*11.5*	33	33	33

Balance Sheet (NT$m)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	182	709	14,360	*NM*	17,474	*21.7*	22,786	29,613	36,992
Other current assets	589	806	1,732	*114.7*	3,913	*125.9*	6,302	6,856	7,786
Total current assets	**771**	**1,515**	**16,092**	*NM*	**21,386**	*32.9*	**29,088**	**36,469**	**44,777**
Net tangible fixed assets	509	441	429	*-2.7*	765	*78.5*	1,467	2,169	2,797
Net intangible fixed assets	0	0	0	-	0	-	0	0	0
Investments / other assets	122	111	224	*101.6*	224	*0.0*	224	224	224
Total assets	**1,402**	**2,067**	**16,745**	*NM*	**22,376**	*33.6*	**30,780**	**38,863**	**47,799**
Trade payables & other ST liabilities	384	694	1,485	*113.8*	2,401	*61.8*	3,374	3,575	3,950
Short term debt	525	0	0	-	0	-	0	0	0
Total current liabilities	**909**	**694**	**1,485**	*113.8*	**2,401**	*61.8*	**3,374**	**3,575**	**3,950**
Long term debt	125	90	0	-	0	-	0	0	0
Other long term liabilities	28	19	86	*349.5*	86	*0.0*	86	86	86
Preferred shares	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,062**	**804**	**1,571**	*95.4*	**2,488**	*58.4*	**3,461**	**3,662**	**4,037**
Common s/h equity	**339**	**1,263**	**15,174**	*NM*	**19,888**	*31.1*	**27,319**	**35,201**	**43,762**
Minority interests	0	0	0	*-1.1*	0	*0.0*	0	0	0
Total liabilities & equity	**1,402**	**2,067**	**16,745**	*NM*	**22,376**	*33.6*	**30,780**	**38,863**	**47,799**

Cash Flow (NT$m)	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	57	268	862	*221.1*	5,059	*NM*	9,454	11,664	13,227
Depreciation & amortisation	226	260	254	*-2.3*	358	*41.0*	534	759	1,012
Net change in working capital	(254)	(65)	(374)	*NM*	(1,264)	*-238.1*	(1,416)	(354)	(554)
Other operating	88	139	256	*84.3*	0	-	0	0	0
Operating cash flow	**117**	**602**	**998**	*65.9*	**4,152**	*316.1*	**8,572**	**12,069**	**13,685**
Tangible capital expenditure	(157)	(122)	(275)	*-126.4*	(694)	*-152.1*	(1,236)	(1,461)	(1,641)
Intangible capital expenditure	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(29)	17	13	*-24.0*	0	-	0	0	0
Other investing	(19)	(20)	(2)	*89.5*	0	-	0	0	0
Investing cash flow	**(206)**	**(125)**	**(265)**	*-111.9*	**(694)**	*-162.2*	**(1,236)**	**(1,461)**	**(1,641)**
Equity dividends paid	0	0	(27)	-	(345)	*NM*	(2,023)	(3,782)	(4,666)
Share issues / (buybacks)	23	626	13,102	*NM*	0	-	0	0	0
Other financing	(46)	(54)	(33)	*38.9*	0	-	0	0	0
Change in debt & pref shares	141	(525)	(125)	*76.2*	0	-	0	0	0
Financing cash flow	**117**	**46**	**12,916**	*NM*	**(345)**	-	**(2,023)**	**(3,782)**	**(4,666)**
Cash flow inc/(dec) in cash	**29**	**523**	**13,649**	*NM*	**3,113**	*-77.2*	**5,313**	**6,827**	**7,379**
FX / non cash items	-	4	2	*-42.4*	0	*-100.0*	0	0	0
Balance sheet inc/(dec) in cash	**-**	**527**	**13,652**	*NM*	**3,113**	*-77.2*	**5,313**	**6,827**	**7,379**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Hermes Testing Solutions (7856.TWO)

Valuation (x)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	-	68.6	NM	27.3	14.6	11.9	10.5
P/E (UBS, diluted)	-	68.6	NM	27.3	14.6	11.9	10.5
P/CEPS	-	34.3	NM	25.5	13.8	11.1	9.7
Equity FCF (UBS) yield %	-	2.5	0.6	3.0	6.4	9.3	10.6
Dividend yield (net) %	-	0.2	0.3	1.5	2.7	3.4	3.8
P/BV	-	15.7	9.1	7.0	5.1	3.9	3.2
EV/revenues (core)	-	8.1	NM	7.1	3.8	3.0	2.5
EV/EBITDA (UBS core)	-	35.1	80.1	15.1	7.7	5.8	4.7
EV/EBIT (core)	-	65.8	99.0	15.9	8.1	6.1	5.0
EV/OpFCF (core)	-	65.8	99.0	15.9	8.1	6.1	5.0
EV/op. invested capital	-	27.4	>100	60.7	27.0	17.3	13.1

Enterprise value (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	-	19,581	113,884	113,884	113,884	113,884	113,884
Net debt (cash)	-	(75)	(7,489)	(15,917)	(20,130)	(26,200)	(33,302)
Buy out of minorities	28	19	86	86	86	86	86
Pension provisions/other	0	0	0	0	0	0	0
Total enterprise value	**-**	**19,526**	**106,481**	**98,054**	**93,841**	**87,771**	**80,668**
Non core assets	(29)	0	0	0	0	0	0
Core enterprise value	**-**	**19,526**	**106,481**	**98,054**	**93,841**	**87,771**	**80,668**

Growth (%)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	-	51.8	127.0	152.1	78.1	18.2	12.3
EBITDA (UBS)	-	98.9	139.0	NM	86.4	24.0	14.1
EBIT (UBS)	-	NM	NM	NM	88.6	23.2	13.1
EPS (UBS, diluted)	-	NM	173.4	NM	86.9	23.4	13.4
Net DPS	-	-	NM	NM	86.9	23.4	13.4

Margins & Profitability (%)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	36.2	42.1	55.5	58.3	60.0	60.9	61.3
EBITDA margin	17.5	22.9	24.1	46.9	49.1	51.5	52.4
EBIT (UBS) margin	3.4	12.2	19.5	44.3	47.0	48.9	49.3
Net earnings (UBS) margin	3.6	11.1	15.7	36.4	38.3	39.9	40.3
ROIC (EBIT)	-	41.7	NM	NM	NM	NM	NM
ROIC post tax	-	34.7	NM	NM	NM	NM	NM
ROE (UBS)	-	33.5	10.5	28.9	40.1	37.3	33.5

Capital structure & Coverage (x)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	1.7	(1.1)	(10.8)	(2.7)	(1.9)	(2.0)	(2.2)
Net debt / total equity %	138.1	(49.0)	(94.6)	(87.9)	(83.4)	(84.1)	(84.5)
Net debt / (net debt + total equity) %	58.0	(95.9)	NM	NM	NM	NM	NM
Net debt/EV %	-	(0.4)	(7.0)	(16.2)	(21.5)	(29.8)	(41.3)
Capex / depreciation %	69.5	46.8	108.5	194.1	NM	192.5	162.1
Capex / revenue %	9.8	5.0	5.0	5.0	5.0	5.0	5.0
EBIT / net interest	5.3	31.3	-	-	-	-	-
Dividend cover (UBS)	-	9.9	2.5	2.5	2.5	2.5	2.5
Div. payout ratio (UBS) %	-	10.1	40.0	40.0	40.0	40.0	40.0

Revenues by division (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	1,598	2,425	5,505	13,879	24,713	29,218	32,810
Total	**1,598**	**2,425**	**5,505**	**13,879**	**24,713**	**29,218**	**32,810**

EBIT (UBS) by division (NT$m)	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	54	297	1,076	6,154	11,604	14,294	16,170
Total	**54**	**297**	**1,076**	**6,154**	**11,604**	**14,294**	**16,170**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	111.9%
Forecast dividend yield	0.3%
Forecast stock return	112.2%
Market return assumption	6.3%
Forecast excess return	105.9%

Company Description

Hermes Testing Solutions (HTSI) was founded in 2004 in Hsinchu, Taiwan. It focuses on providing semiconductor testing and inspecting solutions, equipment installation, technical support, and maintenance services. Its main business segments are customized semiconductor equipment, engineering services, and probe cards and other materials.

Valuation Method and Risk Statement

We value Hermes Testing based on PE methodology.
Risks for the semis industry:
- Geopolitical uncertainties: Geopolitical uncertainties including tariffs and more export control could negatively impact semis cycle, and a downturn would lead to slower demand in the overall market and moderating capacity expansion.
- Meaningful deceleration of new technology development: Slower demand and less investment are expected If there is meaningful deceleration of new technology development such as Cloud AI, autonomous driving, etc.
- Rising utility cost: Larger-than-expected utility cost increases would further pressure profitability. Rising utility costs in Taiwan have negatively impacted margins for Taiwan tech companies.
Company risks:
- Faster- or slower-than-expected front-end/CoWoS capacity expansion: This could result in Hermes Testing gaining/losing equipment orders from major foundries and OSATs.
- Competitors achieving technological advancement: Potential risk of competition (from either local or foreign companies) achieving technological advancements could result in Hermes Testing losing market share from major foundries and OSATs.
- Better- or worse-than-expected AI growth: Better- or worse-than-expected AI growth could lead to a ramp-up or a slowdown of equipment orders from major foundries and OSATs to Hermes Testing, affecting long-term revenue growth potential.
- Slowdown or delay of new technological advancement: A potential slowdown or delay of the rollout for technological advancements for technologies such as SoIC, CoPoS, and CPO, would limit future equipment orders.
- Increase of raw material costs: Rising raw material costs may directly impact Hermes Testing's margins for equipment shipments.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Hermes Testing Solutions

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities Pte. Ltd., Taipei Branch: Ryan Sun, Sunny Lin.

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Company Name	Reuters	12-month rating	Price	Price date
Hermes Testing Solutions	7856.TWO	No Rating	NT$4,190	06 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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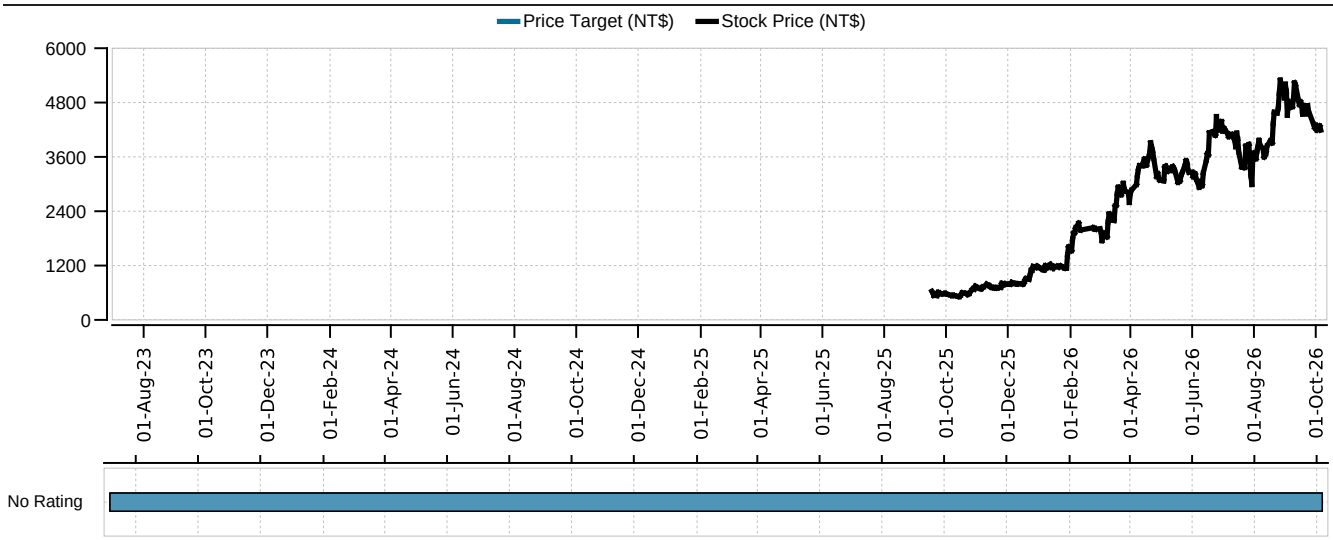
Hermes Testing Solutions (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-06	NaN	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 06-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Hangzhou Changchuan Technology, Rmb239.79 (30 Sep 2026); ASE Industrial, NT$744.00 (06 Oct 2026); Taiwan Semiconductor Manufacturing, NT$2585.00 (06 Oct 2026); Chroma ATE, NT$2350.00 (06 Oct 2026); Teradyne Inc, US$430.32 (06 Oct 2026); Advantest, ¥41850 (06 Oct 2026); Hon.Precision, Inc., NT$5905.00 (06 Oct 2026); Source: UBS. All prices as of local market close.

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Asia Semiconductor Insight

AI put to the test: the new era of chip testing

Equities

Asia

Semiconductors

Ryan Sun
Analyst
ryan-za.sun@ubs.com
+886-2-8722 7267

Sunny Lin
Analyst
sunny.lin@ubs.com
+886-2-8722 7346

Time to revisit semiconductor testing as content growth accelerates

Our core thesis is that AI-driven chip complexity is drastically increasing testing content across wafer, package, and system levels, creating a multi-year growth opportunity that the market has yet to fully price in. Testing companies in Taiwan have underperformed TAIEX in the past three months (indexing at -9% vs TAIEX +7%), yet to recover from the July market deleveraging. Investor hesitation currently stems from 1) fear of test content growth expectations already priced-in, 2) lingering concerns over shorter test times, and 3) near-term capacity constraints among major suppliers of probe cards, load boards, socket pins, testers, and handlers, caused by heightened testing demand. Ultimately, these concerns overshadow the structural increase in test insertions required by AI accelerators, chiplets, and advanced packaging. As advanced packaging scales, testing intensity must rise in tandem, driving growth through higher content per device rather than semiconductor unit growth alone.

Expanding testing opportunities with shift-left for CP and increasing FT content

Chip probing (CP) supply chain should be the key beneficiary of the industry's shift-left testing trend, as more test insertions move to the wafer level before packaging, in addition to longer CP time. We believe investors underestimate this trend, which should accelerate with broader adoption of 2.5D/3D packaging, chiplets and larger AI packages, driving demand for high pin count probe cards, probers, and thermal-control equipment. We expect strong growth for **Hermes Testing (HTSI)** as thermal-management requirements rise with increasing chip power and complexity, with prober thermal-control module shipments reaching 3,000/4,100 units in 2027E/28E, up from 1,200 in 2026E. We forecast **Chunghwa Precision Test (CHPT)**'s sales to exceed consensus by 7%/15% in 2027E/28E, supported by structural AI/HPC testing demand and rising value-added content. Importantly, shift-left testing does not diminish the role of final test (FT) and mission-mode testing. Test content and test time should continue to increase as validation becomes increasingly critical for complex, large-form-factor AI accelerators. We expect larger package sizes and rising system-level testing requirements to drive demand for **WinWay**'s high-pin-count sockets, supporting 74%/71% YoY sales growth in 2027E/28E.

Future of testing: co-packaged optics (CPO) will be a major opportunity

CPO testing represents a significant new market opportunity, though we expect the ecosystem to remain fragmented rather than consolidating around a single winner. As AI scaling shifts the industry bottleneck from memory to interconnect, CPO adoption is becoming increasingly important, creating new testing challenges that will require collaboration across equipment, optics, and test solution providers. Leveraging ficonTEC's optical alignment expertise and **HTSI**'s probe, testing, and manufacturing capabilities, we estimate the HTSI will deliver 40 units of insertion 2 equipment and 70 units of insertion 3 testing equipment in 2027, with further upside in 2028 as CPO deployment expands from scale-out towards scale-up.

Initiate Hermes Testing, Chunghwa Precision Test, WinWay with Buy ratings

We initiate coverage on semiconductor testing solution provider **Hermes Testing with a Buy rating, NT$8,880 price target** based on 31x 2028E PE, for thermal control/CPO with the most attractive risk/reward in our testing coverage; test interface PCB supplier **CHPT with a Buy rating, NT$5,000 price target** based on 31x avg 2027-28E PE, for CPU/TPU programs and test board content gain; and semiconductor test socket leader **WinWay with a Buy rating, NT$8,900 price target** based on 30x avg 2027-28E PE, for socket content growth and margin recovery. Among our testing coverage, we also like Hon Precision and Chroma ATE.

This report has been prepared by UBS Securities Pte. Ltd., Taipei Branch. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 22.**

UBS Research THESIS MAP	MOST FAVORED	LEAST FAVORED
	HTSI, CHPT, WinWay, Hon Precision, Chroma ATE	N/A

PIVOTAL QUESTIONS

Q: Is chip probing becoming increasingly important in the testing supply chain?

Yes. As package costs rise, foundries must improve known-good-die (KGD) screening before packaging, increasing demand for wafer-level testing. This should drive demand for probe cards, probers and advanced thermal control solutions capable of managing higher power consumption, wafer warpage and tighter test tolerances. We forecast HTSI/CHPT/WinWay' probe card business to see a 31%/35%/33% sales CAGR for 2026-2031E, as they are positioned to grow strongly given their smaller scale and robust growth drivers from shift left, CPU, AI accelerators. We forecast HTSI to ship 1,200/3,000/4,100 thermal control modules in 2026E/27E/28E, as advanced wafer-level test for AI accelerators will require thermal control solutions in order to prevent probe card needle burnt.

Q: Will FT and SLT content continue to grow in the coming years?

Yes. Despite concerns that final-test (FT) time could flatten or decline with Nvidia's Rubin GPUs, we expect overall FT content to continue growing as advanced packaging complexity and chip sizes increase. We also expect broader adoption of system-level testing (SLT)/mission-mode testing, as AI accelerators require increasingly stringent validation to ensure optimal system and rack-level performance. We forecast WinWay's socket business to see a 33% sales CAGR for 2026-2031E.

Q: Will CPO testing be a revenue generator in 2027-28 to supply chain players?

Yes. Testing remains a key bottleneck, creating a new equipment opportunity beginning in 2027E. We expect initial CPO volumes in 2027, followed by broader adoption in 2028. Testing remains one of the key bottlenecks to commercialization, driving demand for new equipment and test solutions. We believe early leaders such as ficonTEC (partnership with HTSI) are well positioned to benefit from the initial ramp, alongside suppliers including Chroma ATE and Hon Precision.

WHAT´S PRICED IN?

1) We believe upside from agentic AI CPU demand is not reflected in CHPT and WinWay shares. We estimate CPU-related demand could contribute 20-30% of 2027E sales for CHPT and WinWay, respectively, with further upside in 2028E. **2)** We believe market expectations for 2027 CPO testing equipment shipments remain conservative, particularly for insertion 2 equipment. Based on our industry analysis, we estimate HTSI will deliver 40 insertion 2 and 70 insertion 3 systems in 2027E, this should be higher than the market's expectation of no insertion 2 and limited insertion 3 shipment due to engineering bottleneck. We also see further upside in 2028E as CPO adoption expands.

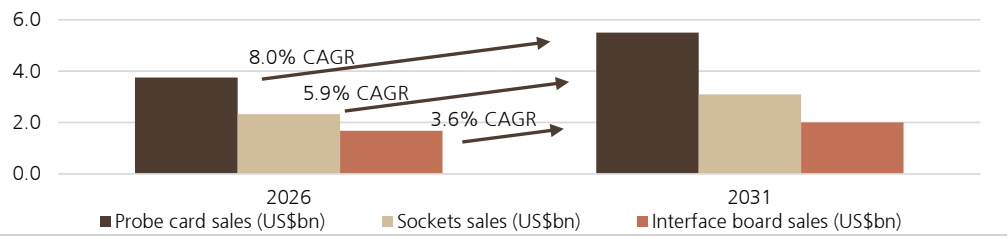
UBSVIEW

Testing is becoming one of the largest incremental beneficiaries of AI-driven semiconductor complexity. As more test insertions are required across wafer, package and system levels, testing content per device should increase materially, expanding the industry's addressable market and supporting multi-year growth across the supply chain.

EVIDENCE

TSMC and OSATs have been expanding their CoWoS capacities aggressively, from 40kwpm in 2024 to around 90 kwpm in 2025, and tracking to expand CoWoS capacity toward 160kwpm in 2026E. TSMC also ramped up expanding N3/N2 capacity, with multiple product launches from customers' pipelines—Nvidia's Rubin, AMD's MI400 series/Venice CPU and other cloud ASICs—translating into foreseeable, strong testing demand.

Figure 1: Testing consumables TAM to continue to climb in the next 5 years



Source: Yole, UBS

Executive Summary

Figure 2: Summary of our investment thesis for HTSI, CHPT, and WinWay

Company	Value Chain Positioning	Primary Product Focus	Investment Thesis	Price Target	Upside
Hermes Testing Solutions (HTSI)	Wafer-level Test	Semiconductor testing related installation and services, customized equipment (e.g. thermal control modules for probers), engineering services (CPO test equipment), probe cards.	A key semiconductor testing solution provider and a shift-left beneficiary, with thermal management capabilities that positions the company in the center of AI/HPC chip probing. Uniquely positioned with CPO exposure through its engineering expertise and partnership with ficonTEC.	**NT$8,880**	
Chunghwa Precision Test (CHPT)	Wafer-level Test, Final Test, System-level Test, Burn-in Test	Semiconductor test PCB, final test load board (interface board), probe cards, burn-in board.	A key semiconductor test PCB maker with unique vertical integration capabilities for fast product cadence to enable design-wins. Probe card business is benefiting from the shift-left trend, driving robust growth with design-wins from projects such as CPU and AI ASICs.	**NT$5,000**	
WinWay Technology	Wafer-level Test, Final Test, System-level Test, Burn-in Test	Final test sockets, system-level test sockets, probe cards.	Leading semiconductor test socket provider, beneficiary of final test and mission-level test content expansion with advanced packaging and chiplet proliferation. With its partnership with Technoprobe, WinWay's probe card strength is adding another leg of growth.	**NT$8,900**	

Source: UBS estimates

Shift-left igniting secular growth for chip probing

With the industry increasingly adopting shift-left testing, chip probing (CP) and its supply chain should be key beneficiaries of a multi-year structural growth trend. This underpins our above-consensus forecasts for **Chunghwa Precision Test (CHPT)**, with 2027E/28E sales 7%/15% above consensus driven by stronger AI/HPC demand, capacity expansion, and rising value-added content. **WinWay** should also benefit through its partnership with Technoprobe, with probe card revenue growth remaining robust at 94%/72% in 2026E/27E following 161%/260% growth in 2024/25.

Hermes Testing (HTSI) should be another major beneficiary as increasing chip power and complexity drive demand for advanced thermal-management modules used alongside high-end probing systems. With TEL's leading AI-oriented probers typically paired with advanced thermal-control solutions, we expect HTSI's thermal-module shipments to reach 3,000 units in 2027E from 1,200 in 2026E. Combined with testing, installation and service revenue, this should drive HTSI sales growth of 127%/152% in 2026E/27E.

Accelerators still in focus with TPU as another significant growth driver

Nvidia remains a key growth driver for both CHPT and WinWay. We expect both companies to gain share with Rubin, with WinWay's socket share improving from roughly 50% historically to 60% with Rubin, while CHPT is positioned to supply around 70% of probe card and final test PCB content. Nvidia currently accounts for roughly 50% of WinWay's revenue and 30% of CHPT's.

Beyond Nvidia, we view Google's TPU roadmap as a meaningful incremental opportunity. Following the successful ramp of TPU v8t with MediaTek as design partner, **CHPT** is positioned to supply probe card PCBs, final test load boards, system-level test boards and burn-in boards. **WinWay** will supply sockets for both TPU v8t and v9, with the larger v9 package providing another growth leg. We estimate production of 4mn TPU v8t units in 2027E and 2.3mn TPU v9 packages (9.2mn dies) alongside 2m v8t units in 2028E.

CPU business as a supplemental catalyst for test interface in an agentic world

With agentic AI proliferation, CPU demand is increasing significantly and this directly correlates to increasing demand for testing consumables. WinWay and CHPT should both benefit from the strong ramp up of Nvidia's ARM based Vera CPU and Google's ARM based Axion CPU in 2026E and 2027E. WinWay will be supplying sockets and probe cards for Vera and Axion, and CHPT will be the probe card and PCB supplier for both Vera and Axion. WinWay will have the additional upside from AMD's x86 Venice CPU, and CHPT could capture some share through AMD's equipment vendor procurement. We estimate **CHPT**'s CPU related sales to be low to mid-teens % of total sales in 2026E and growing to 20-30% in 2027E with CHPT's share expansions with turnkey probe card solutions for Google's Axion. For **WinWay**, we believe CPU should account for around 30% of sales in 2026E/27E.

CPO testing fuelling future growth for semiconductor testing

ficonTEC's 25 years of precision optical-test expertise makes it an early leader in CPO test equipment, particularly in optical alignment, a critical capability for high-volume manufacturing. Through its partnership with ficonTEC, **HTSI** is well positioned to benefit from the initial CPO ramp in 2027E-28E by supporting manufacturing scale-up.

We expect both insertion 2 and insertion 3 testing to be required over the next two years. Despite the technical challenges of double-sided wafer probing, insertion 2 testing remains important given current optical-engine yields and the need to identify known-good optical engines before fibre-array-unit (FAU) coupling. This becomes increasingly critical as switch designs integrate larger numbers of optical engines.

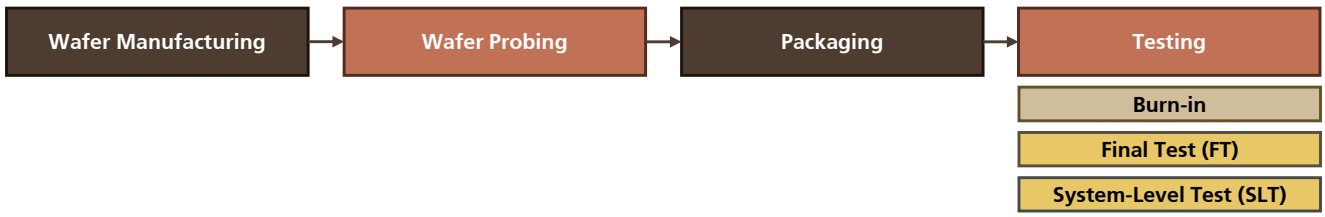
We estimate HTSI will ship 40 insertion 2 and 70 insertion 3 systems in 2027E, with further upside in 2028E as CPO adoption expands and next-generation platforms move into volume production.

Testing TAM expanding with IC complexity: leaders likely to outperform industry growth

Our central view is that testing content per AI accelerator is growing faster than semiconductor unit volumes, creating a multi-year expansion in testing TAM. We believe semiconductor testing is entering a period of structural growth as AI-driven chip complexity increases testing intensity across wafer, package and system levels. The industry's shift-left strategy, which moves more testing upstream in the semiconductor manufacturing process, is resulting in longer and more frequent test insertions. As cloud AI GPUs and ASICs become increasingly complex, additional testing is required to ensure functionality, performance and yield, while reducing defective parts per million (DPPM). More robust testing should improve deployment efficiency and lower the cost of operating AI infrastructure.

Semiconductor testing generally comprises four stages: wafer/chip probing (CP), final test (FT), system-level test (SLT), and burn-in. CP is conducted at the wafer-level before packaging, while FT, SLT, and burn-in occur after packaging. The below Figure 3 illustrates the semiconductor manufacturing flow.

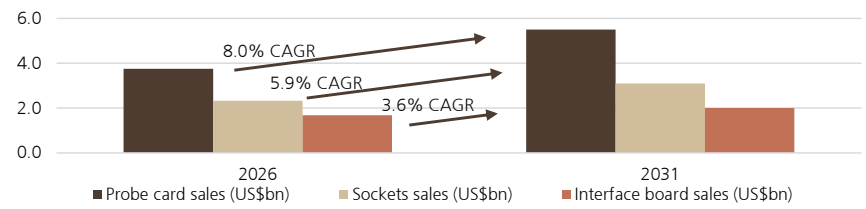
Figure 3: Semiconductor testing process: from wafer level to package level



Source: UBS

We estimate semiconductor testing historically accounts for ~1% of total semiconductor revenue. Within testing, consumables such as probe cards, sockets and interface boards represent ~10-15% of industry revenue. According to Yole, the probe card, socket and interface board markets should grow from US$3.8bn, US$2.3bn and US$1.7bn in 2026 to US$5.5bn, US$3.1bn and US$2.0bn by 2031, respectively.

Figure 4: Yole estimating testing consumables TAM to climb in the next 5 years



Source: Yole, UBS

Nonetheless, leaders within the testing sector are likely to stand out among competition with greater sales CAGR comparing to the industry. Below we highlight **Hermes Testing (HTSI)**, **Chunghwa Precision Test (CHPT)**, and **WinWay**'s impressive growth drivers and how this compares with broader industry sales CAGR.

We see **HTSI**'s sales for the next few years to mainly be driven by 1) thermal control module shipment and 2) CPO equipment shipment. In the past, thermal control modules weren't necessary for chip probing, due to less TDP for the chips. However, as new iterations of AI accelerators now have substantial power draw, this unlocks a brand new TAM for HTSI to enter with their thermal control modules to pair with probers, in order to prevent probe card damage.

- **Robust thermal control module shipments.** We estimate HTSI to ship 3,000/4,100 thermal control modules in 2027E/28E, with continuous demand in future years, bringing their 2026-31E semiconductor equipment sales CAGR to 48%.
- **Thermal control module ASP expansion.** Gen 2 thermal control modules should start to ship in 2027E which will drive tool ASP up around 25-50%.
- **Demand supported by Advantest expansions.** We believe the 3,000 thermal control modules shipment forecast for 2027E is not far-fetched, as we read-across from Advantest's announced capacity expansion plan (testers will be paired with probers with a 1:1 ratio) with increasing capacity up to 5,000 testers within FY2027/3 and they also announced a 10,000-unit target within CY2028. Although the testers capacity expansion plan includes testers for final test, we do see a good portion to be allocated to chip probing given the shift-left testing trend increasing both testing insertions and testing time before chip packaging.
- **CPO is another brand new TAM for semiconductor testing.** As insertion 2 and 3 testing equipment demand starts to rise in 2027E with scale-out CPO adoption, we expect HTSI to ship 40/70 insertion 2 and 3 equipment in 2027E, with this number growing in 2028E to 80/160 and higher in future years as CPO proliferates, and driving 52% 2026-31E test equipment & engineering services sales CAGR.
- **CPO to see content increase.** Gen 2 insertion 3 equipment may start to ship in 2027E, with higher throughput and tool ASP.
- **Insertion 2 might scale down, but not likely any time soon.** Insertion 2 equipment shipment might come down in 2029E and beyond, as foundries scale-up yield for photonic IC (PIC) in order to lessen the time consuming insertion 2 testing burden.

Figure 5: Hermes Testing is set to benefit with a 46% 2026-31E sales CAGR

Sales by Segments NT$m	2026E	2027E	2028E	2029E	2030E	2031E	2026-31E CAGR
Semiconductor Equipment & Customization products	**$2,815**	**$7,980**	**$13,324**	**$16,061**	**$18,315**	**$20,104**	**48%**
YoY		*183%*	*67%*	*21%*	*14%*	*10%*	
Test Equipment & Engineering services	**$1,480**	**$3,887**	**$7,901**	**$8,887**	**$9,898**	**$11,853**	**52%**
YoY		*163%*	*103%*	*12%*	*11%*	*20%*	
Probe cards and cleaning materials	**$1,210**	**$2,012**	**$3,488**	**$4,270**	**$4,597**	**$4,681**	**31%**
YoY		*66%*	*73%*	*22%*	*8%*	*2%*	
Key products shipment units, ASP, sales	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Thermal control module shipment	**1,200**	**3,000**	**4,100**	**4,500**	**4,700**	**4,900**	
Thermal control product blended ASP (NT$m)	$1.9	$2.4	$2.8	$3.0	$3.3	$3.5	
Total sales from thermal control module shipment	**$2,316**	**$7,168**	**$11,417**	**$13,505**	**$15,591**	**$17,067**	**49%**
% of total sales	*42%*	*52%*	*46%*	*46%*	*48%*	*47%*	
CPO Insertion 2 shipment	**8**	**40**	**80**	**60**	**20**	**20**	
Ins2 blended ASP (NT$m)	$13.8	$15.8	$17.4	$18.3	$19.2	$20.1	
Total sales from insertion 2	**$111**	**$633**	**$1,391**	**$1,095**	**$383**	**$402**	**29%**
% of total sales	*2%*	*5%*	*6%*	*4%*	*1%*	*1%*	
CPO insertion 3 shipment	**11**	**70**	**160**	**200**	**240**	**280**	
Ins3 blended ASP (NT$m)	$16.0	$17.2	$18.2	$19.1	$20.1	$21.1	
Total sales from insertion 3	**$176**	**$1,202**	**$2,917**	**$3,829**	**$4,824**	**$5,910**	**102%**
% of total sales	*3%*	*9%*	*12%*	*13%*	*15%*	*16%*	
Key product sales - total	**$2,602**	**$9,002**	**$15,725**	**$18,429**	**$20,798**	**$23,379**	**55%**
% of total sales	*47%*	*65%*	*64%*	*63%*	*63%*	*64%*	
Others - total	**$2,903**	**$4,877**	**$8,988**	**$10,789**	**$12,012**	**$13,260**	**36%**
% of total sales	*53%*	*35%*	*36%*	*37%*	*37%*	*36%*	
Operating Metrics	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Revenue NT$m	**$5,505**	**$13,879**	**$24,713**	**$29,218**	**$32,810**	**$36,639**	**46%**
YoY		*152.1%*	*78.1%*	*18.2%*	*12.3%*	*11.7%*	
GM %	**55.5%**	**58.3%**	**60.0%**	**60.9%**	**61.3%**	**61.1%**	
OpM %	**19.5%**	**44.3%**	**47.0%**	**48.9%**	**49.3%**	**51.1%**	

Source: UBS estimates

Uniquely positioned as a company with vertical integration capabilities with MEMS probes, multi-layer PCB capabilities, and automation equipment all-in-house, **CHPT** is set to capture the growing test shift-left trend in the coming years, increasing both testing insertions and testing time before chip packaging.

- **CP to scale from a lower base.** As a smaller probe card vendor, CHPT can benefit from the growing demand for AI probe cards, with 2026-31E sales CAGR for turnkey probe card robust at 41%.
- **Also a FT/SLT/burn-in beneficiary.** The company will also see final test, system-level test, burn-in content increase to play a role in their sales growth from their IC Test Board sales CAGR of 39% in 2026-31E.
- **Capacity expansion supporting growth.** As CHPT is currently capacity constrained, the robust projected sales growth is enabled by CHPT's rapid capacity expansion strategy with strong demand for its products, with one production expansion scheduled for August 2026 and a second in March 2027, doubling and tripling year-end 2025 capacity, respectively. Its Fab 3 will come online in Q428, doubling existing capacity when fully ramped.
- **MEMS capability to support share gain.** CHPT has MEMS probe capabilities stemming from its history as a smartphone application processor (AP) probe card supplier. It is in a good position to capture the growing demand for MEMS probe cards as AI/HPC are shifting to MEMS probes.
- **Probe card content expect to rise.** We also expect probe card content per device to continue rising as AI accelerators grow in die size, pin count, power consumption and packaging complexity. This should drive secular growth for both probe card suppliers and upstream component providers, making chip probing one of the most attractive areas within the semiconductor testing value chain.

Figure 6: CHPT is set to benefit with a 35% 2026-31E sales CAGR

Sales by Segments NT$m	2026E	2027E	2028E	2029E	2030E	2031E	2026-31E CAGR
Probe Card	$1,753	$2,903	$4,535	$7,194	$8,361	$9,711	41%
YoY		*66%*	*56%*	*59%*	*16%*	*16%*	
Board Only	$3,574	$6,420	$8,836	$12,650	$13,899	$14,528	32%
YoY		*80%*	*38%*	*43%*	*10%*	*5%*	
Chip Probing	$5,327	$9,324	$13,371	$19,844	$22,261	$24,239	35%
YoY		*75%*	*43%*	*48%*	*12%*	*9%*	
IC Test Board	$1,315	$2,520	$3,579	$5,005	$5,996	$6,825	39%
YoY		*92%*	*42%*	*40%*	*20%*	*14%*	
Service and Others	$502	$640	$918	$1,137	$1,308	$1,504	25%
YoY		*28%*	*43%*	*24%*	*15%*	*15%*	
Operating Metrics	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Revenue NT$m	$7,144	$12,484	$17,868	$25,985	$29,565	$32,567	35%
YoY		*74.7%*	*43.1%*	*45.4%*	*13.8%*	*10.2%*	
GM %	56.4%	56.1%	56.2%	56.4%	56.3%	56.3%	
OpM %	35.3%	41.5%	44.0%	45.2%	47.1%	47.3%	

Source: UBS estimates

As the leader in AI/HPC sockets, **WinWay** is set to deliver 2026-31E socket sales CAGR of 33%, underpinned by robust demand for final test and system-level test; with test content and test times rising which each iteration of new AI accelerators/CPU, more sockets and equipment will be needed in order to increase the throughput.

- **Strong accelerator/CPU roadmap to support growth.** Robust testing demand can also be inferred from AI accelerator/CPU roadmaps of Nvidia, AMD, Google, alongside tester capacity expansions by Advantest.
- **Capacity expansion underpinning future strength.** WinWay's socket pin capacity expansion will support this exceptional sales growth. from 3.5mn pins per month at year-end 2025 to 6mn currently, reaching 9mn by year-end 2026 and 14mn by year-end 2027 through expansions in Renwu, Kaohsiung. By 2027, approximately 60% of pogo-pin requirements should be internally sourced, strengthening both supply security and margins.
- **Probe card business to rise from smaller base.** Its probe card business is also set to benefit from the shift-left trend for high-end AI/HPC probe cards. WinWay leverages its existing customers' demand in addition to their MEMS partnership with Technoprobe, as we forecast WinWay's probe card sales to rise from a low base, with a 33% 2026-31E sales CAGR.

Figure 7: WinWay is set to benefit with a 33% 2026-31E sales CAGR

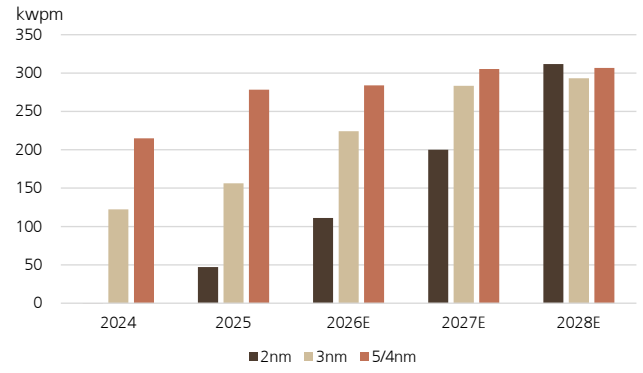
Sales by Segments NT$m	2026E	2027E	2028E	2029E	2030E	2031E	2026-31E CAGR
Coaxial Socket (HyperSocket)	$7,661	$13,705	$23,103	$25,872	$30,603	$34,726	35%
YoY		*79%*	*69%*	*12%*	*18%*	*13%*	
RF & Plastic Socket	$2,311	$3,835	$6,465	$6,960	$7,259	$7,252	26%
YoY		*66%*	*69%*	*8%*	*4%*	*0%*	
Burn-in Socket	$253	$306	$516	$715	$903	$1,075	34%
YoY		*21%*	*69%*	*39%*	*26%*	*19%*	
Test Socket	$10,224	$17,845	$30,083	$33,547	$38,764	$43,053	33%
YoY		*75%*	*69%*	*12%*	*16%*	*11%*	
Probe Card	$4,478	$7,700	$13,690	$15,507	$16,095	$18,403	33%
YoY		*72%*	*78%*	*13%*	*4%*	*14%*	
Contact Element	$937	$1,596	$2,691	$3,014	$3,465	$3,899	33%
YoY		*70%*	*69%*	*12%*	*15%*	*13%*	
Others	$444	$811	$1,367	$1,671	$2,133	$2,654	43%
YoY		*83%*	*69%*	*22%*	*28%*	*24%*	
Operating Metrics	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Revenue NT$m	$16,084	$27,952	$47,831	$53,739	$60,457	$68,010	33%
YoY		*73.8%*	*71.1%*	*12.4%*	*12.5%*	*12.5%*	
GM %	41.1%	43.1%	44.7%	44.7%	44.9%	45.1%	
OpM %	27.5%	32.1%	36.7%	36.7%	36.9%	37.1%	

Source: UBS estimates

The AI era has materially increased the value of semiconductor testing. Compared with traditional mobile and automotive chips, AI accelerators incorporate larger compute dies, more advanced nodes, chiplet architectures, advanced packaging technologies, multiple I/O dies, and increasing HBM content. These factors drive higher-value test consumables, including advanced MEMS probe cards, multilayer interface boards, and next-generation sockets designed to support higher pin counts, thermal loading, and power delivery requirements.

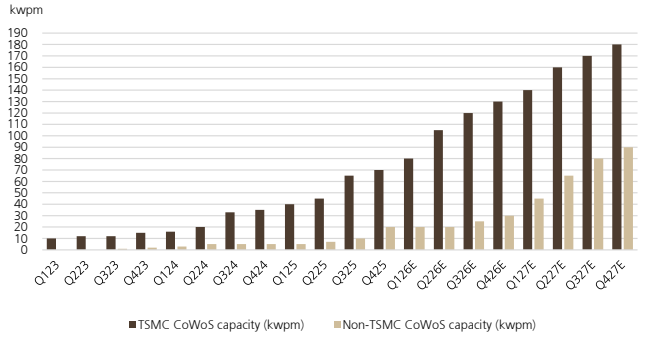
New iterations of semiconductors, especially for AI / HPC applications, are set to increase in both front-end wafer fabrication advancements and back-end packaging complexities with each iterations (i.e. Nvidia's roadmap from Blackwell to Rubin to Feynman or Google's TPU roadmap from v7 to v8 to v9). This trend is evident with TSMC's front-end and TSMC, Intel, and OSAT's back-end advanced packaging capacity expansions. For front-end, we see industry N3 capacity expanding from 156kwpm in year end 2025 to 224/283/293kpwm in year end 2026E/27E/28E, and N2 capacity from 47kwpm in year-end 2025 to 111/200/312kpwm in year end 2026E/27E/28E. For back-end, we are seeing industry CoWoS capacity rising from 90kwpm in 2025 to 160kwpm in 2026E and further expanding to 270kwpm in 2027E.

Figure 8: Industry's leading edge capacity



Source: UBS estimates

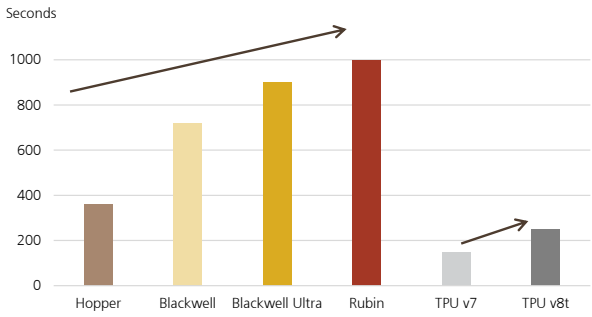
Figure 9: Industry CoWoS capacity



Source: UBS estimates

Final-test, system-level test, and burn-in content should continue to increase as AI accelerators become larger, more power-hungry and more complex. Rising thermal design power and packaging complexity increase validation requirements, driving longer test times and higher demand for test equipment to prevent testing from becoming a production bottleneck.

Figure 10: Our FT test time estimates



Source: UBS estimates

While architectural changes can affect test requirements for individual product generations, we expect the long-term trend of rising testing content to remain intact. For example, Nvidia's Rubin Ultra adopts a simpler package structure than previously expected, from a 4-die structure to a 2-die structure and Rubin Ultra HBM de-spec from HBM4E 12-Hi to initially use HBM4 8-Hi and upgrade to HBM4E 8-Hi at the latter stages, which may moderate near-term test growth. However, future products such as Nvidia's Feynman are expected to reintroduce greater package complexity, with a four-GPU per package structure. More importantly, any reduction in test time can be offset by higher production volumes, making throughput requirements equally important for testing demand.

A rising test trend that lifts all test interface vendors

Figure 11: Key vendors for each stage of the semiconductor testing industry

	Chip Probing	Final Test	System-Level Test
Testing service providers	TSMC, ASE, KYEC, Amkor, Intel	ASE, Amkor, KYEC, JCET, Tianshui Huatian, Tongfu	ASE, Amkor, KYEC, JCET, Tianshui Huatian, Tongfu
Testers	Advantest, Teradyne	Advantest, Teradyne	N / A
Handlers (Probers)	TEL, Tokyo Seimitsu, TSK	Advantest, Chroma, Cohu, Hangzhou Changchuan Technology, Hon Precision, JHT, Teradyne	Hon Precision, Chroma
Probe Cards	FormFactor, Technoprobe, MPI, MJC, JEM, WinWay, CHPT	N / A	N / A
Socket	N / A	WinWay, Cohu, Leeno, Yokowo, Yamaichi, Smiths	WinWay
Load board	N / A	Yamaichi, Advantest, CHPT	Yamaichi, Advantest, CHPT

Source: UBS

Below we summarize key technical items of probe cards, sockets, and load boards/PCB used for semiconductor testing:

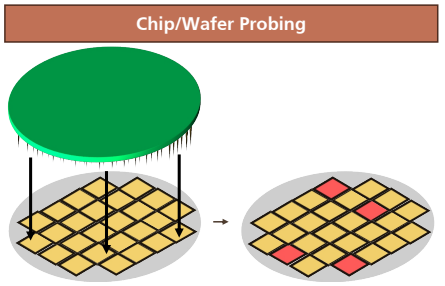
Probe cards and chip probing (CP)

Probe cards are used during chip probing (CP), the wafer-level stage of semiconductor testing that identifies known-good dies (KGD) before packaging. As advanced packaging technologies such as CoWoS, 3D stacking and hybrid bonding become more prevalent, CP is becoming increasingly important because a single defective die or HBM stack can compromise the entire package. This is driving the industry's shift-left testing strategy, with more testing conducted earlier in the manufacturing process to identify defects before costly packaging steps.

Probe cards consist of contact elements (probes) mounted on a PCB and are used together with probers and automated test equipment (ATE). During testing, wafers are placed on the prober chuck while the probe card makes electrical contact with individual dies. The tester then performs electrical, parametric, and functional tests to determine whether each die meets performance requirements. Dies that fail testing are removed from the production flow prior to dicing and packaging.

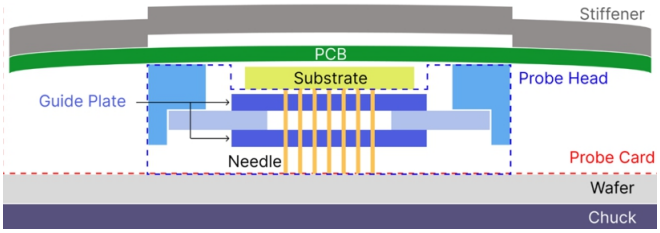
Furthermore, probe cards are highly customised products designed for specific chip architectures and testing platforms. As AI accelerators adopt larger dies, higher pin counts and more advanced packaging technologies, probe card complexity and content value continue to increase.

Figure 12: Chip probing utilise probe cards to find known-good dies (KGD) and eliminate faulty dies



Source: UBS

Figure 13: CP test illustration with probe card structure

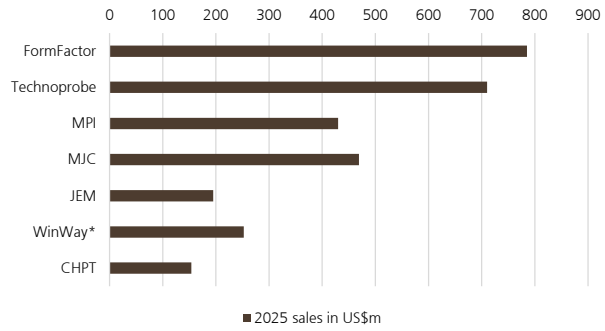


Source: Company data (CHPT)

The global probe card market remains concentrated among a handful of suppliers:

- **FormFactor (FORM.O)**: World's largest probe card company (including both logic and memory probe cards) by revenue as of year end 2025. Key supplier for HBM probe cards.
- **Technoprobe (TPRO.MI)**: World's largest logic probe card company by revenue as of year end 2025. Key supplier for AI accelerators MEMS probe cards, especially for GPU.
- **MJC (6871.T)**: Japanese company, mainly specializing in memory probe cards, 3rd largest probe card company by revenue as of year end 2025.
- **MPI (6223.TWO)**: Traditionally specializes in cantilever probe cards, now expanding its MEMS probe capacity. 4th largest probe card company by revenue as of year end 2025. A probe card supplier of AI ASICs.
- **JEM (6855.T)**: Mainly specialize in memory probe cards, 5th largest probe card company by revenue as of year end 2025.
- **WinWay (6515.TWO)**: One of the fastest-growing logic probe card suppliers. Following its collaboration with Technoprobe, WinWay rose from the 15th-largest probe card supplier in 2024 to the fifth-largest logic probe card supplier in 2025. Probe card revenue increased from 11% of sales in 2024 to 29% in 2025.
- **Chunghwa Precision Test Tech (6510.TW)**: A key supplier for smartphone application processor (AP) probe cards, and has been migrating to HPC related applications in recent years. Although its share within the probe card market is minor, it is a major supplier for probe card PCB, especially for high end probe cards with advanced PCB that has high layer counts (>40 layers, and over 80 layers for AI applications). Its key competitive advantage is its vertical integration as it manufacturers the MEMS probe and PCB in-house.

Figure 14: 2025 sales of major probe card suppliers



Source: Company data, UBS. Note: Only 29% of WinWay's 2025 sales are from probe cards.

Probe cards generally employ either **vertical** or **cantilever** architectures. **Vertical** probe cards use probes arranged perpendicular to the substrate, enabling higher pin density

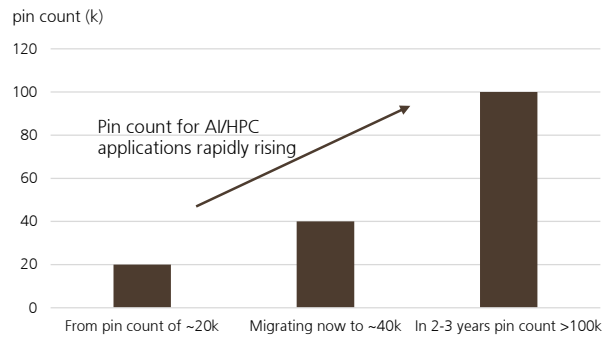
and finer pitch capability. They have become the standard for AI, HPC and other advanced semiconductor applications. **Cantilever** probe cards use angled probes extending from the PCB and are typically used in analog, driver IC and selected memory applications where pin-count and pitch requirements are less demanding. The latest generation of AI accelerators increasingly relies on **MEMS** (Micro-Electro-Mechanical Systems) based vertical probe cards, which support ultra-fine pitches, higher pin counts and improved probing precision. Technoprobe currently leads this segment with pitch capability reaching approximately 40 micrometres.

For leading-edge AI applications, probe cards must increasingly support:

1. Higher current-carrying capability (CCC).
2. Stable contact resistance.
3. Lower parasitic inductance for signal integrity.
4. Greater durability under varying thermal conditions.

For **CHPT**, with their MEMS probe capabilities stemming from their smartphone application processor probe card supply, they are in a good position to capture the growing demand for MEMS probe cards as AI/HPC are shifting to MEMS probes. We also expect probe card content per device to continue rising as AI accelerators grow in die size, pin count, power consumption and packaging complexity. This should drive secular growth for both probe card suppliers and upstream component providers, making chip probing one of the most attractive areas within the semiconductor testing value chain.

Figure 15: Probe card pin count growth trajectory

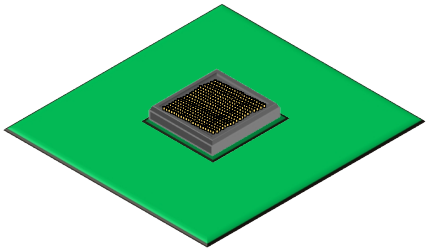


Source: UBS estimates

Sockets

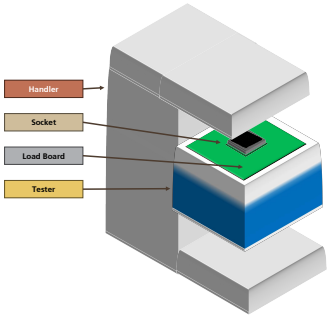
Semiconductor test sockets are electro-mechanical interfaces that are used post chip probing and chip packaging process to test the functionality of the chips. Sockets are placed on to load boards on top of testers during the final test/system level test processes. Handlers place the chips onto the sockets, and pins inside the sockets enable the testers to read the signals from the device under test (DUT, i.e. the packaged chips), with tester signals fanning out from beneath the PCB load board.

Figure 16: Socket illustration



Source: UBS

Figure 17: FT equipment/ consumables



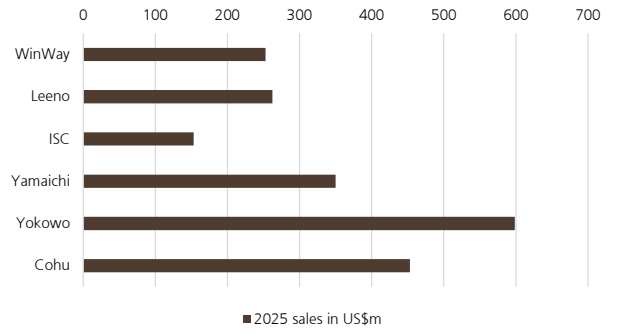
Source: UBS

As AI accelerators become larger and more complex, socket requirements continue to increase. High-end sockets typically comprise a socket housing, alignment plate, integrated thermal-control components and contact elements that connect the DUT to the tester. Spring probes (pogo pins) are the most common choice for HPC sockets, with high durability, individual probe replacement flexibility, and consistent contact force. FT and SLT sockets account for more than 70% of the total socket market, with burn-in sockets representing the remainder.

Compared with the probe card market, the socket industry is more fragmented. Key suppliers include:

- **WinWay (6515.TW)**: A major share gainer in AI/HPC sockets, with strong exposure to Nvidia and AMD. The company specializes in high-performance coaxial sockets and is developing its next-generation HyperSocket platform. It is also expanding into probe cards through its partnership with Technoprobe.
- **Leeno (058470.KQ)**: Vertically integrated supplier focused on smartphone AP and memory sockets.
- **ISC (095340.KQ)**: Leading memory socket supplier with elastomer expertise.
- **Smiths Interconnect (Acquired by Molex)**: A key player in AI/HPC socket industry, with its DaVinci coaxial sockets able to support high frequency connectivity testing.
- **Yamaichi (6941.T)**: Leading Japanese socket supplier with strong automotive exposure.
- **Yokowo (6800.T)**: Major provider of contact probes and socket pins.
- **Cohu (COHU.O)**: Broad test-solutions provider spanning ATE, handlers and sockets, with greater auto/industrial/consumer exposure.

Figure 18: 2025 sales of major socket suppliers



Source: Company data, UBS. Note: Most socket suppliers are companies with multiple business segments, i.e. Yokowo and Cohu.

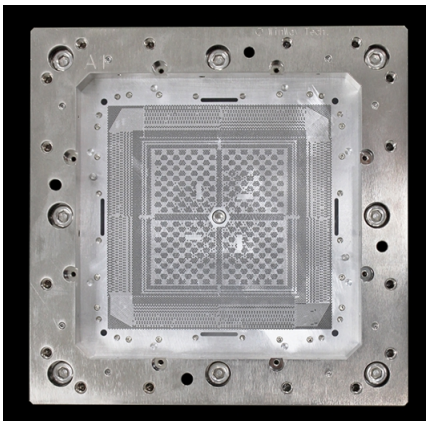
AI accelerators are pushing socket requirements beyond 10,000 pins, making **coaxial sockets** the industry standard for leading-edge AI/HPC devices. These sockets must support transmission speeds of up to 224G while handling significantly higher thermal design power (TDP) during testing.

Elastomer technology is increasingly being adopted alongside spring-probe (pogo-pin) architectures to reduce chip damage and improve contact reliability. WinWay's next-generation **HyperSocket** integrates elastomer materials between the DUT and spring probes, improving probe lifetime, reducing cleaning requirements and enhancing production efficiency. We believe HyperSocket could become an important differentiator as next-generation AI accelerators demand higher pin counts, bandwidth and thermal performance. We estimate HyperSocket could contribute approximately 5% of WinWay's revenue in 2027E while carrying a 20-30% ASP premium versus conventional coaxial sockets.

The transition toward larger AI packages, higher pin counts and faster data-transfer speeds should continue to increase socket content per device. We expect this trend to support long-term growth in the socket market, with technology leaders such as WinWay well positioned to gain share through next-generation solutions including

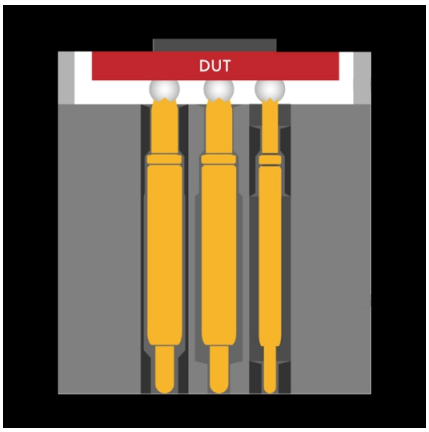
HyperSocket.

Figure 19: Coaxial socket



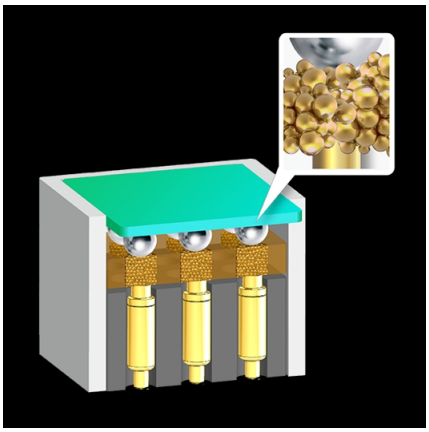
Source: Company data (WinWay)

Figure 20: DUT socket contact



Source: Company data (WinWay)

Figure 21: HyperSocket



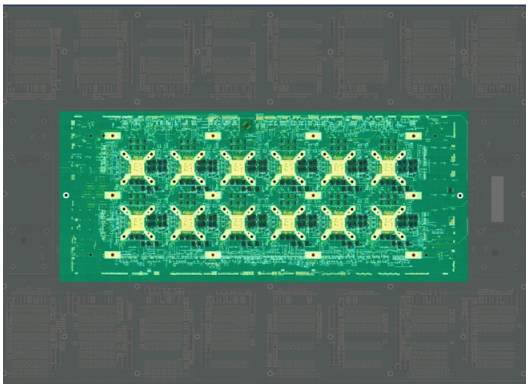
Source: Company data (WinWay)

Load Board/Interface board

Load boards are specialised printed circuit boards (PCBs) that connect the tester to the device under test (DUT) during final test (FT) and system-level test (SLT). Acting as the electrical interface between the packaged chip and automated test equipment (ATE), load boards are responsible for power delivery and high-speed signal transmission throughout the testing process. As AI and HPC devices become increasingly complex, load board requirements continue to rise. **Multilayer construction** is crucial as modern load boards often require more than 50 layers for smartphone application processors and over 80 layers for leading-edge AI accelerators to support higher pin counts, dense signal routing and greater power delivery demands. At the same time, **impedance control** is an important factor as maintaining signal integrity is becoming increasingly important as interconnect bandwidth rises and high-speed SerDes blocks become more prevalent. These trends are driving greater technology content and value per load board.

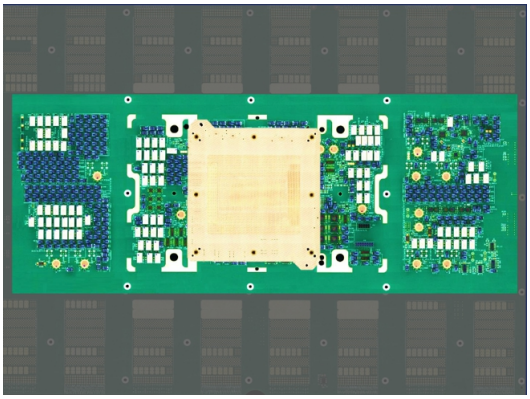
We expect load board content to increase alongside AI chip complexity, larger package sizes and higher interface speeds, benefiting suppliers with advanced multilayer PCB capabilities such as CHPT.

Figure 22: CHPT's AP load board



Source: Company data (CHPT)

Figure 23: CHPT's AI load board



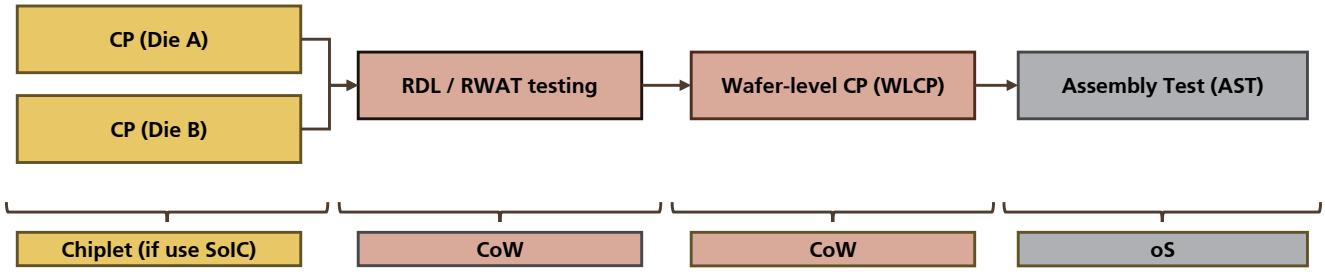
Source: Company data (CHPT)

Shift-left igniting secular growth for chip probing

The industry's adoption of shift-left testing should drive a multi-year structural growth opportunity for chip probing (CP) and its supply chain. As advanced packaging costs rise and AI accelerators become increasingly complex, semiconductor manufacturers are placing greater emphasis on identifying known-good dies (KGD) before packaging. This

underpins our above-consensus forecasts for **Chunghwa Precision Test (CHPT)**, with 2027E/28E sales 7%/15% above consensus driven by structural AI/HPC probe card and test consumables demand, capacity expansion, and increasing test interface content as test insertions and test time increase. **WinWay** should also benefit through its growing probe card business alongside partner Technoprobe, with probe card sales expected to grow 94%/72% YoY in 2026E/27E following 161%/260% growth in 2024/25.

Figure 24: CP is set to grow substantially with shift-left, each packaging step set to be MORE costly than the prior step

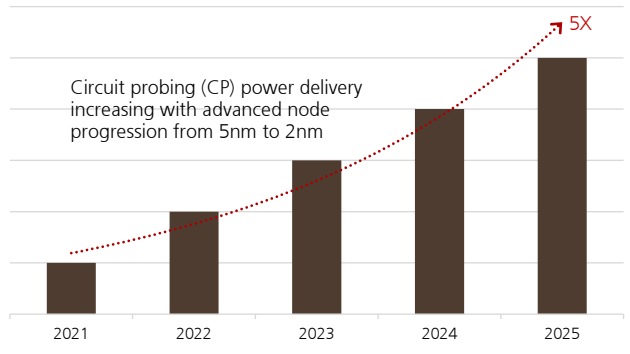


Source: UBS

The economics of advanced packaging reinforce this trend. Heterogeneous integration, chiplet architectures and 2.5D/3D packaging significantly increase package value, while defects identified late in the manufacturing process can lead to substantial scrap costs. To mitigate this risk, foundries and OSATs such as TSMC and ASE employ distributed testing flows incorporating KGD, known-good-stack (KGS) and assembly test screening, to catch defects before the components enter a multi-week packaging cycle (>2 weeks for CoW and 2 weeks for oS). The importance of these tests rises as AI clusters become increasingly dependent on component reliability and low defective-parts-per-million (DPPM) rates. Given the multiplicative yield degradation, a 300bps yield decline at just one manufacturing stage (e.g. dropping from 99.5% to 96.5%) reduces overall integrated four-stage yield from 98.0% to 95.0%; on a 500,000 unit ramp at US $10,000 per unit, this 3% scrap delta translates into around US$150m in unrecoverable losses given >6-month manufacturing lead times.

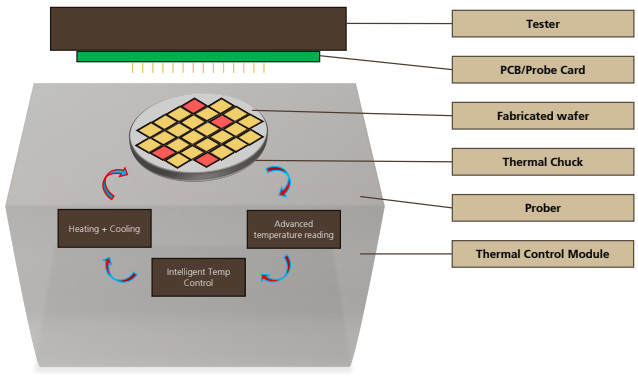
At the same time, rising chip power consumption is increasing the technical difficulty of wafer-level testing. As chip thermal design power scales beyond 1,000W and power density is expected to surge another 8x by 2030, traditional wafer-level chip probe (WLCP) encounters severe physical bottlenecks. Finer probe pitches and higher power densities increase the risk of overheating, probe needle burnout and yield degradation, creating demand for more advanced probing and thermal control solutions.

Figure 25: CP power delivery trend rises with process tech evolution



Source: UBS

Figure 26: Thermal control module inside probers are essential to control wafer temperature



Source: UBS

Hermes Testing (HTSI) is a key beneficiary of this trend. Leveraging its long-standing relationship with TSMC and expertise in semiconductor test solutions, HTSI supplies advanced thermal control modules used alongside leading-edge probers (made by Tokyo Electron), particularly for AI applications. These thermal control modules are

required for high TDP semiconductor wafer probe in order to maintain the temperature of the chuck to avoid needle burns or probe card damages. We estimate HTSI will ship approximately 3,000 thermal-management modules in 2027E, up from 1,200 in 2026E, supporting sales growth of 127%/152% in 2026E/27E. HTSI is also the partner for prober installation, prober maintenance and services. In addition, HTSI provides high-end chuck processing services, an area that should benefit from increasing package sizes and higher wafer warpage associated with advanced packaging.

Beyond thermal control modules, HTSI also supplies consumables and customised solutions for wafer-level testing, including probe card cleaning sheets and laser-based probe head cleaning systems. As probing intensity increases under the shift-left testing model, demand for cleaning and maintenance solutions should rise alongside probe card utilisation. Currently, cleaning sheets is around 5% of sales, but we believe it could gain traction in 2027/28E and beyond. We see additional upside from future modular laser cleaning systems that could be integrated directly with probers, further expanding HTSI's content opportunity within advanced wafer-level testing.

Rapid capacity expansions accelerating growth

Industry test interface suppliers are expanding capacity aggressively to meet rising AI and HPC demand. As advanced semiconductors require higher-performance probe cards, sockets and interface boards, capacity additions are becoming increasingly important to support growth across both wafer-level and package-level testing.

We believe **CHPT** and **WinWay** are well positioned to gain share within the high-end AI/HPC test interface market. Taiwanese suppliers benefit from their proximity to leading fabless customers and the growing preference for localised supply chains, particularly for advanced testing applications where responsiveness and engineering support are critical. Against a backdrop of tight industry supply, both companies have announced significant capacity expansion plans over the next two to three years.

CHPT: capacity expansion supporting AI/HPC share gains

CHPT's existing capacity is effectively fully utilised and the company is pursuing both near-term and long-term expansion. Near-term growth will come from leased facilities, with one production expansion scheduled for August 2026 and a second in March 2027, doubling and tripling year-end 2025 capacity, respectively. Longer term, CHPT's new Fab 3 facility in Pingzhen will significantly expand in-house PCB manufacturing and wet-processing capacity, with mass production expected around Q428, expected to double existing capacity when fully ramped.

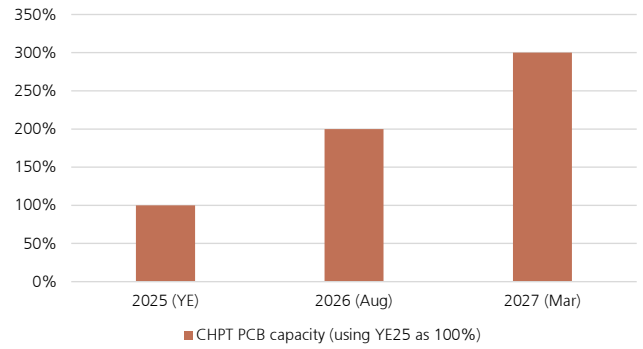
Combined with increasing exposure to higher-value AI/HPC products, including turnkey CPU probe cards and TPU FT/SLT/burn-in boards, we expect CHPT to deliver revenue growth of 49%/75%/43% in 2026E/27E/28E.

WinWay: scaling for the next phase of AI demand

WinWay's capacity is expected to increase from 3.5mn pins per month at year-end 2025 to 6mn currently, reaching 9mn by year-end 2026 and 14mn by year-end 2027 through expansions in Renwu, Kaohsiung. By 2027, approximately 60% of pogo-pin requirements should be internally sourced, strengthening both supply security and margins.

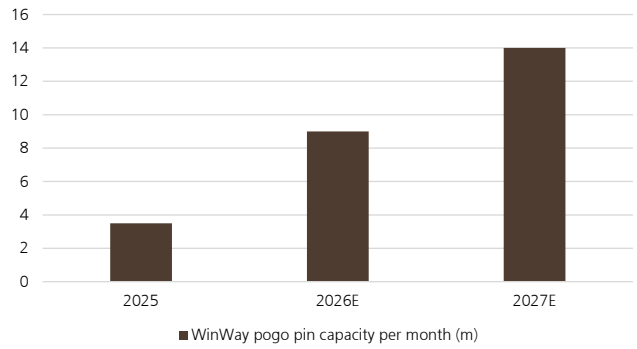
We estimate these capacity additions will support revenue growth of 105%/73%/71% in 2026E/27E/28E.

Figure 27: Announced capacity expansions for CHPT



Source: Company data, UBS

Figure 28: Announced capacity expansions for WinWay



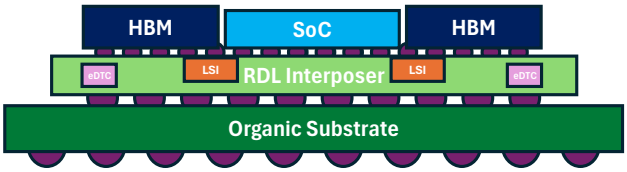
Source: Company data, UBS

Advanced packaging growth remains the key demand driver

Capacity expansion by test interface vendors is ultimately supported by continued investment throughout the advanced packaging ecosystem, from providers such as TSMC, ASE, Intel, and Amkor. During the Q226 earnings calls, TSMC raised its recent 2026 capex from US$52-56bn to US$60-64bn and ASE raised its 2026 capex from US $8.5bn to US$10.5bn, with both companies citing robust demand supporting the capex raise. We believe capex for the next two years will be even higher than 2026, implying continuous growth in future years. With advanced packaging technologies getting significantly more complex and with larger form factor, illustrated by the upcoming ramp of both TSMC's CoPoS (chip-on-panel-on-substrate) and Intel's EMIB-T (embedded multi-die interconnect bridge) packaging technologies, test interface solution providers will benefit with more value added consumables (see our CoPoS vs EMIB-T deep dive).

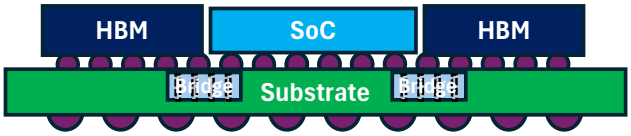
We expect test interface content growth to outpace unit growth. For instance, test socket's ASP directly correlates with its pin counts - with the addition of 20-30% more pins inside the sockets, socket ASP can grow 20-30% or more as the socket might require significant cooling capabilities as the TDP of the DUT rises with its larger form factor. Unlike prior semiconductor cycles, much of the current demand is driven by rising test interface content per device rather than unit growth alone.

Figure 29: TSMC's CoPoS



Source: UBS

Figure 30: Intel's EMIB-T



Source: UBS

Accelerators still in focus with TPU as another significant growth driver

Nvidia has been the primary driver of testing content growth over the past several years, benefiting the entire semiconductor testing supply chain. We expect this trend to continue as GPU architectures evolve from Blackwell to Rubin and then to Feynman, with increasing process node complexity, larger package sizes and more advanced packaging technologies driving higher testing value per device.

Nvidia should remain a major contributor to both CHPT and WinWay, with GPUs continuing to serve as their core growth engine. Both companies are positioned to gain share with Rubin. We estimate WinWay's socket share could improve from a 50/50 split with Smiths Interconnect in prior generations to 60/40 with Rubin, while CHPT is gaining

share in test interface PCBs and is positioned to supply around 70% of Rubin probe card and final test PCB content. Nvidia currently accounts for approximately 50% of WinWay's sales and 30% of CHPT's sales. Both Nvidia GPUs and Google TPUs increase testing demand through higher content per device rather than unit growth alone.

Beyond Nvidia, Google's TPU roadmap represents a significant incremental growth opportunity. Following the successful ramp of TPU v8t with MediaTek as design partner, **CHPT** is positioned to supply probe card PCBs, final test load boards, system-level test boards and burn-in boards. For v9, although the final test interface vendors are yet to be decided, we believe as the current supplier, CHPT will still be supplying PCB for final test, system level test, and burn-in, with potential to continue to supply PCB for probe cards. **WinWay** should also benefit as the socket supplier for both TPU v8t and the next-generation TPU v9 platform. We believe MediaTek's increasing share gain for Google TPUs will also benefit the local Taiwanese test interface supply chain.

We view TPU v9 as a particularly attractive opportunity given its large four-die package architecture based on Intel's EMIB-T packaging technology, which should drive higher testing content. We estimate production of 4mn TPU v8t units in 2027E, followed by 2.3mn TPU v9 packages (9.2mn dies) and an additional 2mn TPU v8t units in 2028E. Importantly, while EMIB-T packaging is expected to be performed in Malaysia, we believe the majority of advanced testing value should remain within the Taiwanese testing ecosystem. Leading testing providers, including ASE and KYEC, maintain substantial testing operations across Taiwan and Southeast Asia, supporting continued participation by Taiwanese test interface suppliers. See our latest MediaTek report.

CPU business as a supplemental catalyst for test interface in an agentic world

We believe semiconductor test interfaces are an underappreciated beneficiary of the emerging agentic AI ecosystem. UBS estimates the CPU market will expand to US $170bn by 2030E from US$31bn in 2025 and US$71bn in 2027E, driven by rising deployment of AI infrastructure. As CPU-to-GPU ratios increasingly approach 1:1 in AI clusters, demand for testing interfaces should expand alongside CPU volumes. TSMC is the main CP test provider in the industry, with probe card suppliers aiding its massive demand by supplying probes, such as TSMC's GPU probe cards supported by Technoprobe's probes. However, with capacity now becoming scarce with strong front and back-end demand, TSMC is outsourcing its CP business to ASE and KYEC, further broadening the testing supply chain. This is where new probe card vendors come in—smaller probe card players in the past, such as **WinWay** and **CHPT**, now have the opportunity to gain significant, non-GPU share from TSMC, as they have MEMS probe capabilities (WinWay's MEMS probes are from its strategic partnership with Technoprobe) and has a long established relationship with the fabless companies such as Nvidia via supplying non-probe card consumables such as sockets and PCB. Of which, CPU projects have become the main area for CHPT and WinWay to expand their footprint.

We expect both companies to benefit from the ramp of Nvidia's ARM-based Vera CPU and Google's ARM-based Axion CPU in 2026E-27E. WinWay is positioned to supply sockets and probe cards for Vera and sockets for Axion, while CHPT should provide probe cards and test interface PCBs for both Vera and Axion, with particularly strong exposure to Axion. Additional upside could come from AMD's Venice CPU, where WinWay is well positioned and CHPT could gain indirect exposure through testing-equipment procurement channels. We estimate CPU-related revenue will represent low to mid-teens % of CHPT sales in 2026E, increasing to 20-30% in 2027E as the company expands its turnkey probe card solutions for Axion. For WinWay, CPU-related demand could account for approximately 30% of sales in 2026E-27E. Importantly, CPU programmes diversify exposure beyond AI GPUs and provide a second structural growth driver for test interface suppliers.

CPO testing fuelling future growth for semiconductor testing

As interconnect bottlenecks increasingly shift from the memory wall to the copper wall, we believe co-packaged optics (CPO) adoption is inevitable over the longer term. Testing remains one of the key bottlenecks to CPO deployment, as optical validation differs

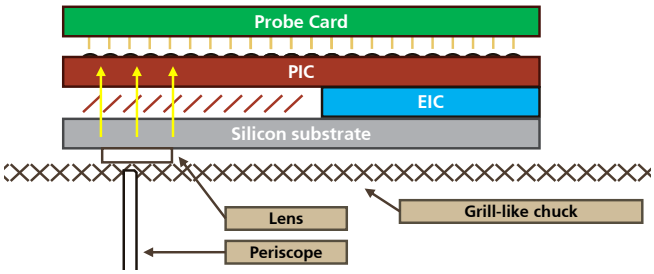
fundamentally from the electrical testing processes that have dominated semiconductor manufacturing for decades. As a result, CPO is creating a new testing opportunity across the semiconductor equipment and consumables ecosystem. We have written extensively on CPO and the opportunities that it brings to the semiconductor supply chain, see our CPO deep dive, our thoughts on CPO timing, 2026 SiPhIA conference takeaways, and SEMICON 2026 takeaways.

Various test equipment suppliers are scrambling to come up with ideal testing equipment across the four insertions of CPO testing, with solutions to ensure both optical and electrical signal integrity of the CPO solutions. The four insertions are:

- **Insertion 1: Electronic IC (EIC)/Photonic IC (PIC) test.** Single-side wafer test that has dedicated probe cards to test the fabricated EIC/PIC wafers.
- **Insertion 2: Optical/Electrical test.** Double sided wafer test, testing the hybrid bonded (e.g. via TSMC's COUPE) EIC and PIC wafers by an opto-electrical test that verifies the electrical signals on the top and optical signal on the bottom of the hybrid bonded wafers.
- **Insertion 3: Optical engine (OE) test.** The OE tests are done to ensure the quality of the OEs and with FAU (Fiber Array Unit) attached, to ensure the signal integrity of the OEs. The testing equipment needs to be able to handle 224G per channel data rates, requiring high unit per hour (UPH) throughput, meticulous dirt mitigation, and maintaining a near 100% contact rating on high-speed sockets.
- **Insertion 4: ASIC final test.** This final test step is established post the OEs are packaged together with the ASIC. The complete ASIC package (now with CPO) is now tested for opto-electrical functionalities.

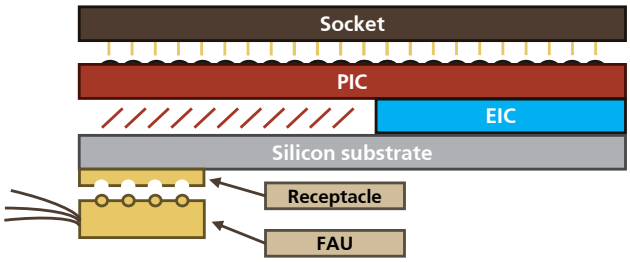
As it stands, insertion 2 and insertion 3 are the two areas where there are the most debates in the industry. Insertion 3 suppliers such as Chroma have noted the trend of "shift-to-middle" paradigm centered on insertion 3. In high-density scale-out switches deploying up to 32 optical engines (e.g. Nvidia's Spectrum-X architectures), any OE defect results in package scrap at the CoWoS level, making 100% known-good die (KGD) validation at the singulated OE stage an absolute commercial requirement.

Figure 31: An illustration for insertion 2 test method



Source: UBS

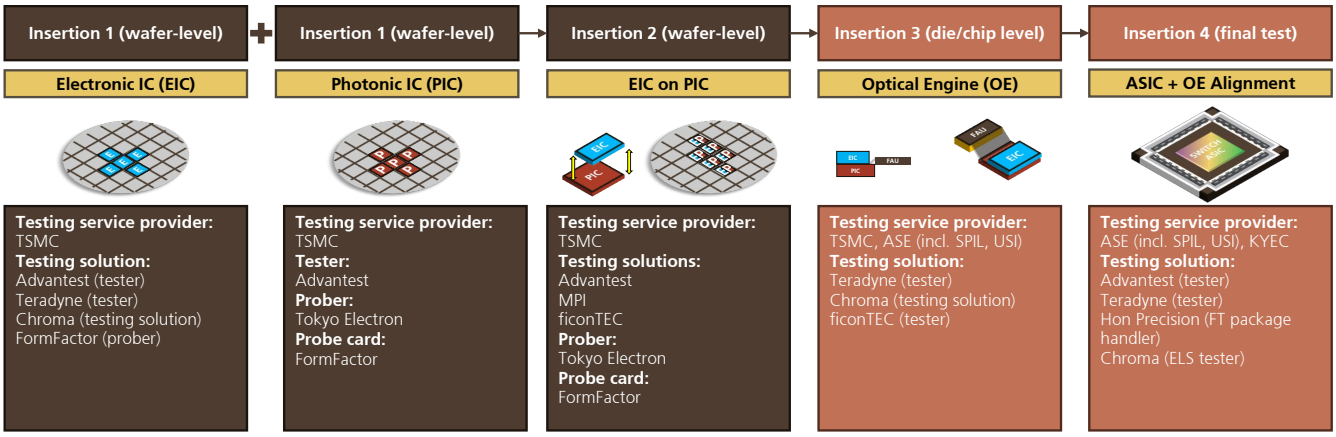
Figure 32: An illustration for insertion 3 test method



Source: UBS

As shown in the below figure, as there are no set standards for the testing equipment, throughput and stability are now the main targets and areas of competition for the major players in the field. Notable ones for each insertions are listed.

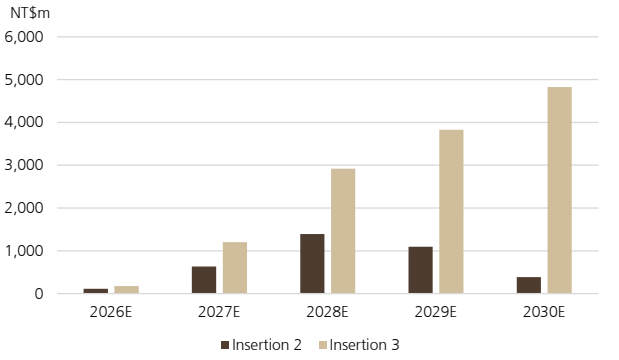
Figure 33: CPO testing flow chart with key suppliers



Source: UBS

With its 25 years of precision test equipment expertise, ficonTEC is an early mover for CPO test equipment and has key know-how for optical alignment, which is quintessential for optical test. **Hermes Testing**, through its partnership with ficonTEC, is set to be a major beneficiary once CPO proliferates in 2027E-28E. As the partner of ficonTEC, Hermes Testing is the key enabler that can help ficonTEC achieve HVM for its CPO testing equipment. As of now, our view is that both insertion 2 and insertion 3 should be required within the next two years, despite the difficulties surrounding double-sided wafer probing (insertion 2), as the yield for OEs is still not high enough to avoid defective dies. Finding out known-good OEs will be crucial before the FAU coupling process during the latter stages of CPO packaging, to prevent impeding the final package with multiple OEs attached to the switch ASIC (e.g. 32 OEs on Nvidia's Spectrum-X). We estimate Hermes Testing will ship 40/70 units of insertion 2/3 testing equipment in 2027E, with upside to these numbers as we view Hermes Testing will likely assist with the ramp up for Gen 2 insertion 3 equipment in 2027E. Gen 2 insertion equipment will come with better throughput and ASP.

Figure 34: HTSI CPO equipment sales to pick up in 2027/28E with 541%/135% YoY growth



Source: UBS estimates

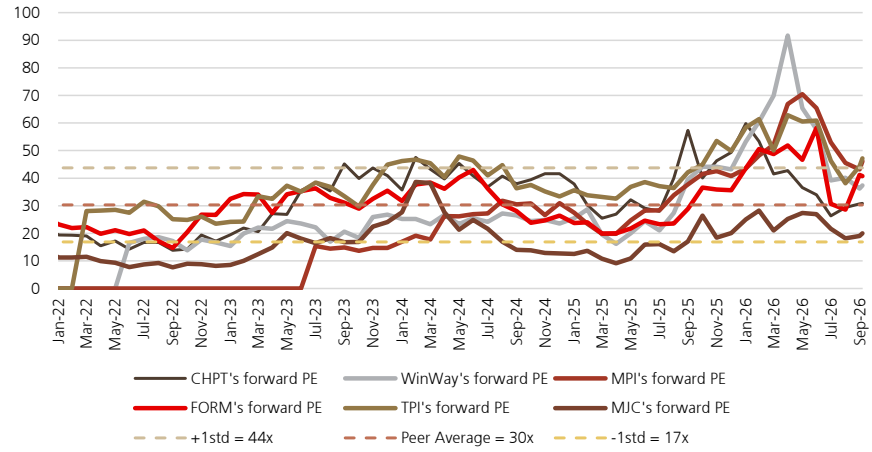
Beyond insertions 2 and 3, HTSI is also positioned to participate in insertion 1 testing through customised prober solutions for photonic integrated circuit (PIC) testing. We believe these solutions could eventually be packaged as licensable intellectual property, creating an additional long-term growth opportunity as CPO adoption broadens. While near-term testing growth is driven by AI accelerators, CPO represents the next major expansion cycle for semiconductor testing. We believe HTSI is uniquely positioned to participate across multiple test insertions, providing exposure to a potentially significant source of incremental revenue beginning in 2027E.

Valuation comparison

We set up three peer groups for valuation comparison: probe card, sockets, and equipment vendors.

For probe card vendors, the peer group's average NTM PE post 2022 is around 30x, and the group is currently trading at around 39x NTM PE. We value CHPT using 31x average 2027-28E PE, in-line with its historical average of 31x and underpinned by a 31% 2027-31E earnings CAGR.

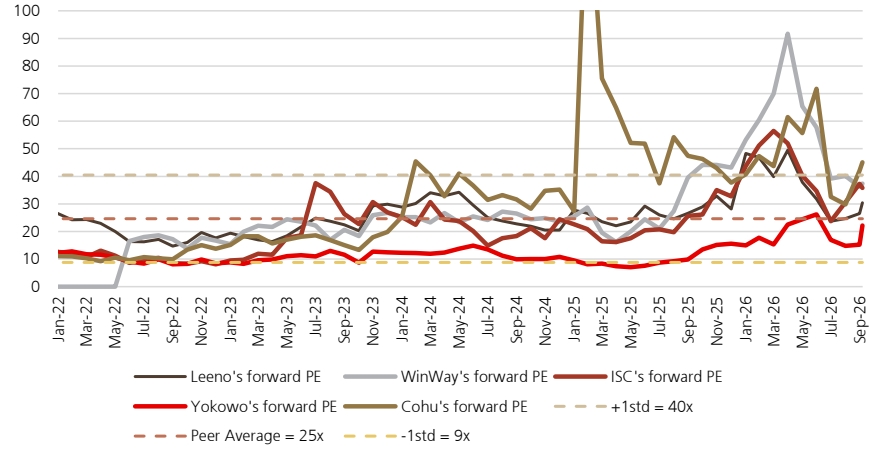
Figure 35: Key probe card vendors' 12-month forward PE band (x)



Source: LSEG, UBS

For socket vendors, the peer group's average NTM PE post 2022 is around 25x, and the group is currently trading at around 39x NTM PE. We value WinWay using 30x average 2027-28E PE, in-line with its historical average of 30x and underpinned by a 30% 2027-31E earnings CAGR.

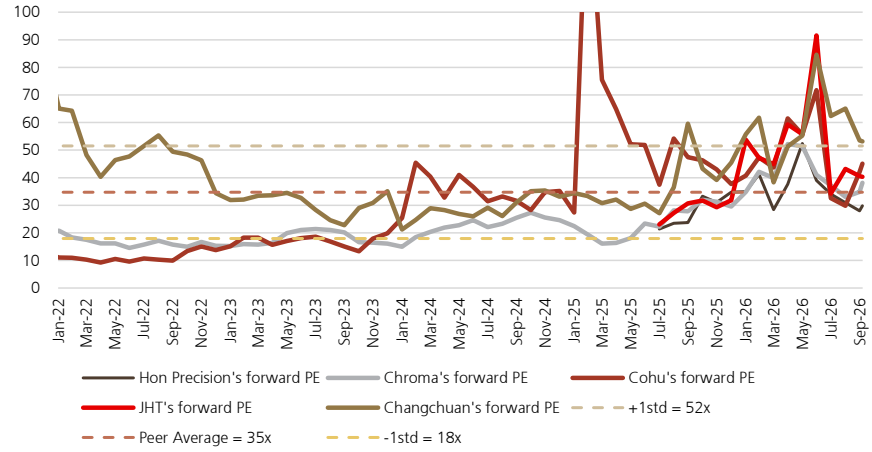
Figure 36: Key socket vendors' 12-month forward PE band (x)



Source: LSEG, UBS

For equipment vendors, the peer group's average NTM PE post 2022 is around 35x, and the group is currently trading at around 41x NTM PE. We value HTSI using 31x average 2028E PE, underpinned by a 32% 2027-31E earnings CAGR. We use 2028 PE as our view is that 2028 is the year thermal control modules and CPO adoption grow from the initial ramping up stage to mass adoption stage. We believe that using handlers as a peer group is justifiable for a unique company like HTSI, with thermal control modules for chip probing sharing similar characteristics to active thermal control used for final test, in addition to Hon Precision and Chroma having exposure to CPO test equipment.

Figure 37: Key equipment vendors' 12-month forward PE band (x)



Source: LSEG, UBS

Figure 38: Testing supply chain valuation table

Company name	Ticker	Analyst	Market cap (US$m)	Price Target (LC)	Share price (LC)	Rating	EPS growth (%)		P/E (x)		P/BV (x)		ROE (%)	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Testing service provider														
ASE Industrial	3711.TW	Sunny Lin	104,043	835	744	Buy	104	64	39.3	24.0	7.5	6.3	21	28
King Yuan Electronics	2449.TW	Sunny Lin	11,456	325	298	Buy	40	62	32.6	20.1	5.9	5.0	20	27
Amkor Technology	AMKR.O	Randy Abrams	13,114	80	53	Buy	73	8	20.6	19.1	2.6	2.4	14	13
JCET Group	600584.SS	Jimmy Yu	17,156	135	64	Buy	72	53	42.7	28.0	3.7	3.3	9	12
Tianshui Huatian Technology	002185.SZ	Jimmy Yu	7,928	13	16	Neutral	33	27	57.0	44.8	2.8	2.7	5	6
TongFu Microelectronics Co Ltd	002156.SZ	N/A	13,526	N/A	57	N/A	50	13	45.3	40.1	5.0	4.5	10	11
Shanghai V-Test Semiconductor Tech Co Ltd	688372.SS	N/A	2,517	N/A	100	N/A	36	106	40.6	19.7	3.8	3.2	11	18
Sector Average							**58**	**47**	**39.7**	**28.0**	**4.5**	**3.9**	**13**	**17**
Tester														
Advantest	6857.T	Atsuhiro Kinoshita	191,547	43,600	41,850	Buy	80	96	38.8	53.1	16.8	31.8	70	58
Teradyne Inc	TER.O	Timothy Arcuri	67,666	500	430	Buy	134	51	45.7	30.8	16.7	12.8	43	47
Sector Average							**107**	**74**	**42.2**	**42.0**	**16.7**	**22.3**	**57**	**52**
Prober/Prober solutions														
Hermes Testing Solutions	7856.TWO	Ryan Sun	3,580	8,880	4,190	Buy	221	487	143.9	27.3	9.1	7.0	10	29
Tokyo Electron	8035.T	Atsuhiro Kinoshita	184,031	18,720	12,805	Buy	-16	71	29.7	37.1	6.5	12.8	36	44
Sector Average							**102**	**279**	**86.8**	**32.2**	**7.8**	**9.9**	**23**	**36**
Handler														
Hon.Precision, Inc.	7769.TW	Sunny Lin	33,404	10,000	5,905	Buy	90	86	45.2	24.4	14.5	10.6	36	50
Chroma ATE	2360.TW	Jerry Su	31,434	2,960	2,350	Buy	64	38	51.8	37.7	28.6	20.8	58	64
Cohu, Inc.	COHU.O	N/A	3,460	N/A	73	N/A	n.a.	94	77.0	39.6	-	-	7	16
JHT Design Co Ltd	603061.SS	N/A	4,045	N/A	312	N/A	155	47	54.8	37.3	13.0	9.9	22	25
Hangzhou Changchuan Technology	300604.SZ	Yongwei Lai	22,690	310	240	Buy	60	53	76.1	49.8	23.4	16.5	36	39
Sector Average							**92**	**63**	**61.0**	**37.8**	**19.9**	**14.4**	**32**	**39**
Test Socket														
WinWay Technology	6515.TW	Ryan Sun	6,948	8,900	6,130	Buy	119	98	60.2	30.4	22.0	14.6	44	34
Leeno Industrial Inc	058470.KQ	N/A	4,936	N/A	86,900	N/A	33	17	35.4	30.3	8.0	6.8	24	24
ISC Co Ltd	095340.KQ	N/A	3,247	N/A	205,500	N/A	70	41	47.0	33.2	7.0	5.9	16	19
Yokowo Co Ltd	6800.T	N/A	744	N/A	4,925	N/A	28	93	38.3	19.8	-	1.8	-	-
Sector Average							**62**	**62**	**45.2**	**28.4**	**12.3**	**7.3**	**28**	**26**
Load Board														
Chunghwa Precision Test Tech	6510.TWO	Ryan Sun	3,149	5,000	3,055	Buy	112	99	47.5	23.8	9.2	7.3	21	34
Probe Card														
Technoprobe SpA	TPRO.MI	Harry Blaiklock, CFA	27,100	41	37	Buy	259	18	66.9	56.5	14.6	11.6	25	23
MPI Corp	6223.TWO	N/A	17,518	N/A	5,670	N/A	97	110	87.2	41.5	30.3	19.1	38	54
FormFactor Inc	FORM.O	N/A	11,038	N/A	141	N/A	159	24	46.2	37.1	9.3	8.9	19	23
MICRONICS JAPAN CO.,LTD.	6871.T	N/A	3,906	N/A	15,410	N/A	155	28	24.8	19.4	7.1	5.6	32	36
Japan Electronic Materials Corp	6855.T	N/A	804	N/A	8,650	N/A	46	43	24.9	17.4	-	-	-	-
Sector Average							**138**	**54**	**49.6**	**32.6**	**14.1**	**10.5**	**27**	**34**

Source: LSEG, UBS estimates. Priced as of October 6 (HKT).

Valuation Method and Risk Statement

Tech investing involves risk. It is difficult for the investment community, UBS included, to project the financial results of tech companies, as their operating models are highly volatile and unpredictable, and they compete in a highly dynamic marketplace. In addition to their low predictability, valuing tech stocks can be challenging because neither traditional nor non-traditional valuation measures have provided much insight into how tech stocks trade.

We value Chroma ATE using a PE methodology.
Downside risks include weaker-than-expected demand for high-performance computing dampening its semiconductor testing business and slower-than-expected recovery in EV investments into battery capacity installations.

We value Chunghwa Precision Test, Hermes Testing and WinWay based on PE methodology.
Risks: Faster- or slower-than-expected front-end/CoWoS capacity expansion could result in CHPT, HTSI and WinWay gaining/losing probe card/board orders from major foundries and OSATs. Potential risk of competition (from either local or foreign companies) achieving technological advancements could result in these companies losing market share from end customers, major foundries, and OSATs. Better- or worse-than-expected AI growth could lead to a ramp-up or a slowdown of product orders from customers, major foundries, and OSATs to CHPT, HTSI and WinWay, affecting long-term revenue growth potential. A potential slowdown or delay of the rollout for technological advancements for technologies such as SoIC, CoPoS, and even CPO, would limit future growth potential. Rising raw material costs may directly impact their margins for equipment shipments.

We value Hon Precision based on PE multiple.
Faster- or slower-than-expected CoWoS capacity expansion could indirectly result in Hon Precision gaining or losing equipment orders from major customers; the risk of competition from either local or foreign companies achieving technological advancements could result in Hon Precision losing market share from its major customers; better- or worse-than-expected AI growth could lead to a ramp-up or a slowdown of equipment orders from customers to Hon Precision, affecting long-term revenue growth potential; a potential slowdown or delay in the rollout of technological advancements for technologies, such as MCL and CPO, would limit future equipment orders; rising raw material costs may directly impact Hon Precision's margins for equipment shipments.

Required Disclosures

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

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UBS Securities Pte. Ltd., Taipei Branch: Ryan Sun, Sunny Lin.

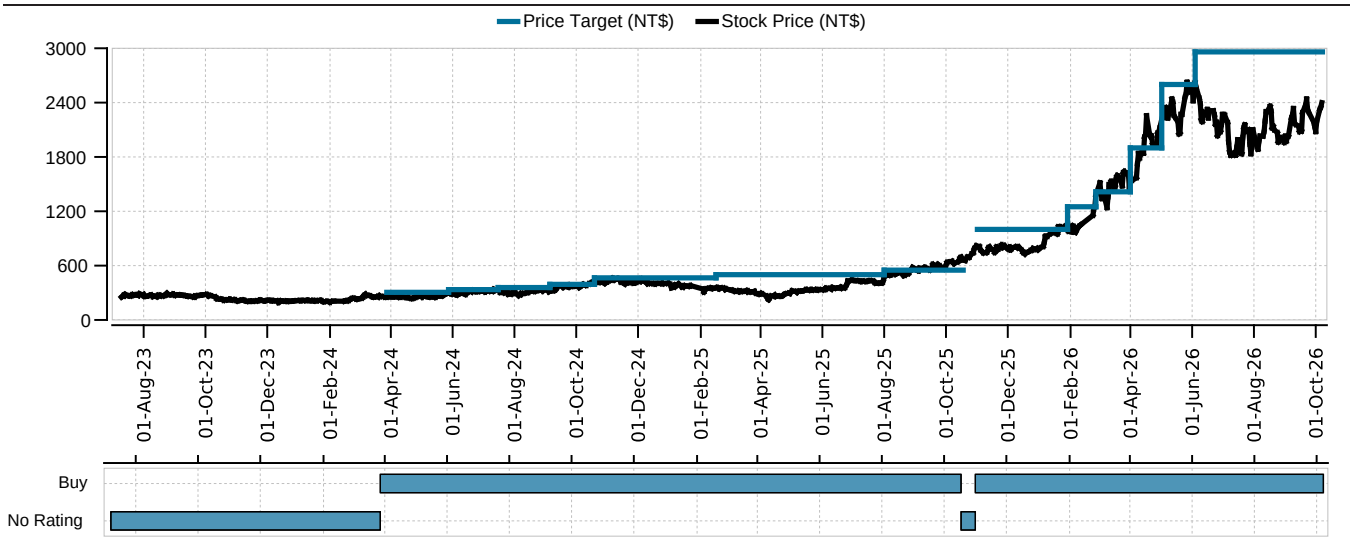
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Chroma ATE[28]	2360.TW	Buy	NT$2,400	07 Oct 2026
Chunghwa Precision Test Tech	6510.TWO	No Rating	NT$3,055	06 Oct 2026
Hermes Testing Solutions	7856.TWO	No Rating	NT$4,190	06 Oct 2026
Hon.Precision, Inc.	7769.TW	Buy	NT$5,885	07 Oct 2026
WinWay Technology	6515.TW	No Rating	NT$5,520	07 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including information on valuation and risk, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

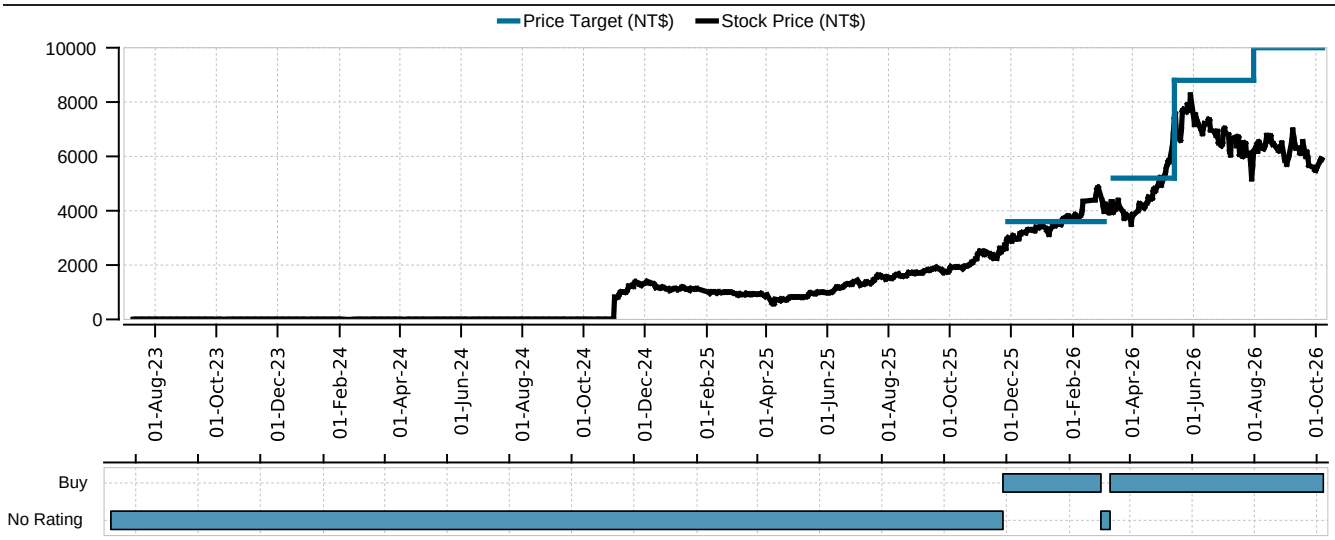
Chroma ATE (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-07	256.50	-	No Rating
2024-03-27	256.00	305.00	Buy
2024-05-27	293.50	335.00	Buy
2024-07-15	335.00	358.00	Buy
2024-09-04	311.00	393.00	Buy
2024-10-18	416.00	465.00	Buy
2025-02-15	350.00	500.00	Buy
2025-07-31	430.50	550.00	Buy
2025-10-17	662.00	-	No Rating
2025-10-31	819.00	1000.00	Buy
2026-01-28	1035.00	1250.00	Buy
2026-02-25	1255.00	1415.00	Buy
2026-03-31	1465.00	1900.00	Buy
2026-05-01	2120.00	2600.00	Buy
2026-06-03	2545.00	2960.00	Buy

Source: UBS Global Research; LSEG Eikon as of 07-Oct-2026. All prices as of local market close. Ratings as of date shown.

Hon.Precision, Inc. (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-07	0.00	-	No Rating
2025-11-27	2940.00	3600.00	Buy
2026-03-03	4150.00	-	No Rating
2026-03-12	4325.00	5200.00	Buy
2026-05-12	6870.00	8800.00	Buy
2026-07-30	5620.00	10000.00	Buy

Source: UBS Global Research; LSEG Eikon as of 07-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Hangzhou Changchuan Technology, Rmb239.79 (30 Sep 2026); ASE Industrial, NT$744.00 (06 Oct 2026); Technoprobe SpA, €36.84 (06 Oct 2026); Alphabet Inc. - Class A, US$347.68 (06 Oct 2026); King Yuan Electronics, NT$298.00 (06 Oct 2026); Taiwan Semiconductor Manufacturing, NT$2585.00 (06 Oct 2026); Tokyo Electron, ¥12805 (06 Oct 2026); MediaTek Inc., NT $4920.00 (06 Oct 2026); NVIDIA Corp, US$239.24 (06 Oct 2026); Teradyne Inc, US$430.32 (06 Oct 2026); Advantest, ¥41850 (06 Oct 2026); Advanced Micro Devices Inc, US$649.42 (06 Oct 2026); Source: UBS. All prices as of local market close.

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Initiation of Coverage

WinWay Technology

Final point of contact: securing AI yield through advanced testing socket

Equities

Taiwan
Semiconductors

12-month rating	**Buy**
	Prior : No Rating
12m price target	**NT$8,900.00**
	Prior :
Price (06 Oct 2026)	**NT$6,130**

RIC: 6515.TW **BBG:** 6515 TT

Trading data and key metrics

52-wk range	NT$10,795.00-2,125.00
Market cap.	NT$221b/US$6.95b
Shares o/s	36.0m (ORD)
Free float	69%
Avg. daily volume ('000)	496
Avg. daily value (m)	NT$3,249.8
Common s/h equity (12/26E)	NT$10.0b
P/BV (12/26E)	22.0x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	-	99.30	-	97.71
12/27E	-	196.30	-	187.07
12/28E	-	383.04	-	348.32

Ryan Sun
Analyst
ryan-za.sun@ubs.com
+886-2-8722 7267

Sunny Lin
Analyst
sunny.lin@ubs.com
+886-2-8722 7346

Solid growth ahead with robust capacity expansions

We initiate coverage of AI/HPC test socket leader WinWay with a Buy rating and NT $8,900 price target. WinWay's share price has corrected 43% from its April 2026 peak due to broader market de-rating and margin pressure associated with its Technoprobe partnership and capacity expansion. We believe the recent correction presents an opportunity to re-engage with WinWay's long-term growth trajectory, supported by three key drivers: 1) increasing content from AI GPUs, CPUs, and TPUs, 2) substantial capacity expansion, and 3) broader adoption of system-level testing (SLT). Together, these drivers should support revenue growth of 105%/74%/71% in 2026E/27E/28E. Importantly, WinWay's growth is increasingly being driven by higher socket content per device rather than semiconductor unit growth alone and the stock currently trades at 16x of our 2028E P/E vs historical average of 30x, potential to re-rate with GM recovery in the coming quarters. See our companion testing deep dive sector note.

Rising yields and utilisation to offset probe card dilution

Gross margin declined to 38.3% in Q226 from 45.3% in FY25, pressured by outsourced MEMS probes and expansion-related costs. While probe-card margins are unlikely to return to H125 levels of 48.9% given the Technoprobe partnership structure, we expect margin pressure to ease as utilization and yields improve, supporting GM recovery to 43.1% in 2027E and 44.7% in 2028E.

CPU and TPU as fundamental growth drivers

Beyond its core GPU socket franchise, WinWay is well positioned to benefit from the expansion of AI-oriented CPU and TPU platforms. We expect the company to supply sockets for AMD's Venice CPU, Nvidia's Vera CPU, and Google's TPU v8t and v9, and also Vera CPU probe cards, providing an additional growth engine beyond GPUs. WinWay is well positioned in this segment due to its historical collaboration with end customers and its proximity to the local Taiwanese test supply chain. We view AI CPUs and TPUs as an increasingly important contributor to test interface demand as compute architectures diversify in the agentic AI era, driving WinWay's socket and probe card sales growth of 132%/75%/69% and 94%/72%/78% in 2026E/27E/28E, respectively. We estimate CPU/TPU to contribute around 30%/20% of WinWay's 2027E sales.

Valuation: Initiate with a Buy rating, with price target of NT$8,900

We forecast EPS of NT$101.8 in 2026E, rising to NT$201.4/393.0 in 2027E/28E. Our NT $8,900 price target is based on 30x average 2027E-28E P/E, in line with the company's historical average. We believe this valuation is supported by WinWay's exposure to structural growth in AI/HPC testing, expanding socket content, and our long-term earnings CAGR estimate of 30%. We initiate with a Buy rating.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	3,682	5,798	7,857	16,084	27,952	47,831	53,739	60,457
EBIT (UBS)	557	1,368	2,070	4,428	8,986	17,560	19,699	22,336
Net earnings (UBS)	464	1,186	1,673	3,656	7,241	14,130	15,870	18,029
EPS (UBS, diluted) (NT$)	13.34	33.02	46.71	99.30	196.30	383.04	430.19	488.73
DPS (net) (NT$)	10.87	25.75	25.07	61.10	120.85	235.82	264.85	300.89
Net (debt) / cash	302	977	2,594	1,155	2,200	7,340	10,417	14,723
Profitability/valuation	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
EBIT (UBS) margin %	15.1	23.6	26.3	27.5	32.1	36.7	36.7	36.9
ROIC (EBIT) %	20.7	35.3	49.2	70.5	83.8	116.7	100.9	93.9
EV/EBITDA (UBS core) x	33.4	21.5	22.9	46.1	23.0	11.7	10.1	8.6
P/E (UBS, diluted) x	51.2	30.5	32.9	61.7	31.2	16.0	14.2	12.5
Equity FCF (UBS) yield %	(1.1)	2.1	2.8	0.4	1.5	4.3	5.2	6.3
Dividend yield (net) %	1.6	2.6	1.6	1.0	2.0	3.8	4.3	4.9

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 6,130.00 on 06-Oct-2026

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UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Will capacity constraints limit WinWay's growth in the next two to three years?
Near term, yes. Beyond 2026E, no. WinWay's current capacity remains constrained, but ongoing expansions should significantly increase output over the next two years. With new capacity coming online and the company shifting toward higher-value AI/HPC applications, including CPU probe cards, >10k-pin coaxial sockets and next-generation HyperSockets, we forecast revenue growth of 105%/74%/71% in 2026E/27E/28E, supported by capacity additions, rising AI/HPC content and expanding socket demand. We also expect operating leverage to improve as capacity scales and utilization increases, with OPM rising from 27.5% in 2026E to 32.1%/36.7% in 2027E/28E.

Q: Will WinWay's GM recover from Q226's 38.3%?
Yes. We view recent margin pressure as largely temporary. GM has been impacted by MEMS probe sourcing through Technoprobe and start-up costs associated with capacity expansion. Although margin dilution from probe card business is unlikely to unravel due to the MEMS partnership terms with Technoprobe, as new facilities ramp and yields improve, we expect profitability to recover gradually from the Q226 trough, with gross margin improving to 43.1% in 2027E and 44.7% in 2028E.

UBSVIEW

We initiate coverage of WinWay with a Buy rating and NT$8,900 price target. We believe the market is overly focused on near-term margin pressure and underappreciating WinWay's long-term growth outlook. Key drivers include 1) expanding content from AI GPUs, CPUs, and TPUs, 2) substantial capacity expansion, and 3) growing adoption of system-level testing (SLT). Together, these drivers should support revenue growth of 105%/74%/71% in 2026E/27E/28E.

EVIDENCE

TSMC and OSATs have been expanding their CoWoS capacities aggressively, from 40kwpm in 2024 to around 90 kwpm in 2025, and is tracking to expand CoWoS capacity toward 160kwpm in 2026E. TSMC also ramped up expanding N3/N2 capacity, with multiple product launches from customers' pipelines—Nvidia's Rubin, AMD's MI400 series/Venice CPU and other cloud ASICs—translating into foreseeable, strong testing demand as the majority are WinWay's customers. AI accelerator test times have increased meaningfully for new platforms. We expect continued front-end and advanced packaging investments to drive higher testing intensity and support long-term demand for advanced sockets and test interfaces.

WHAT´S PRICED IN?

WinWay's share price has corrected 43% from its April 2026 peak and currently trades at 16x of our 2028E P/E vs historical average of 30x. Our reverse DCF analysis indicates that the current market price implies only a 19% long-term sales CAGR vs our estimate of 25%, alongside long-term GM level of 32% vs our estimate of 45%. We see scope for re-rating.

UPSIDE/DOWNSIDE SPECTRUM

Value drivers (2027/28E)	Test socket sales growth	Probe card sales growth	GM %
NT$10,000 upside	90%/87%	87%/93%	45.1%/49.7%
NT$8,900 base	75%/69%	72%/78%	43.1%/44.7%
NT$4,000 downside	35%/34%	32%/38%	38.1%/39.7%

Source: UBS estimates

COMPANY DESCRIPTION

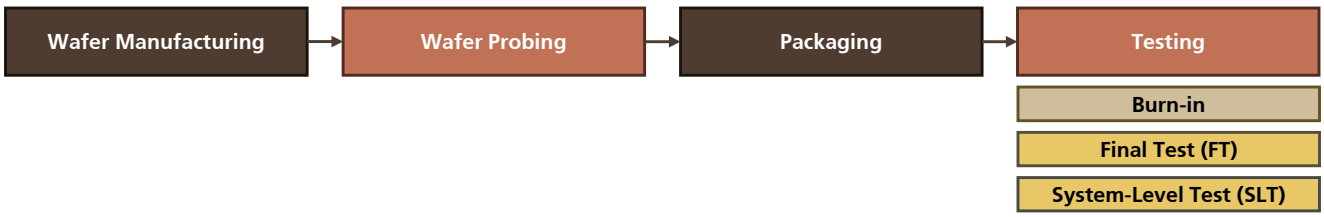
WinWay was founded in 2001 in Kaoshiung, Taiwan. It is a semiconductor testing interface solutions provider, with final test socket as its main business segment. The company has high-end solutions for AI/HPC testing, providing final test/system-level test and burn-in test sockets and probe cards through its own made probes and partnership with Technoprobe.

Testing TAM expanding with IC complexity: leaders likely to outperform industry growth

Our central view is that testing content per AI accelerator is growing faster than semiconductor unit volumes, creating a multi-year expansion in testing TAM. We believe semiconductor testing is entering a period of structural growth as AI-driven chip complexity increases testing intensity across wafer, package and system levels. The industry's shift-left strategy, which moves more testing upstream in the semiconductor manufacturing process, is resulting in longer and more frequent test insertions. As cloud AI GPUs and ASICs become increasingly complex, additional testing is required to ensure functionality, performance and yield, while reducing defective parts per million (DPPM). More robust testing should improve deployment efficiency and lower the cost of operating AI infrastructure.

Semiconductor testing generally comprises four stages: wafer/chip probing (CP), final test (FT), system-level test (SLT), and burn-in. CP is conducted at the wafer-level before packaging, while FT, SLT, and burn-in occur after packaging. The below Figure 1 illustrates the semiconductor manufacturing flow.

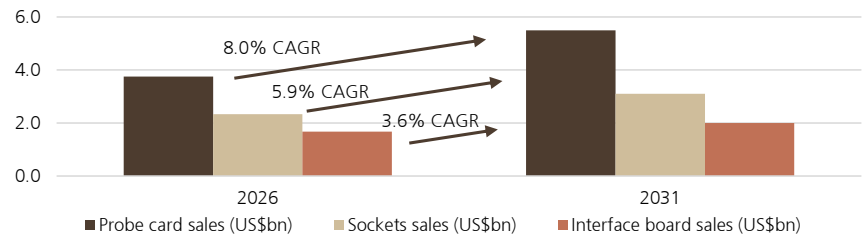
Figure 1: Semiconductor testing process: from wafer level to package level



Source: UBS

We estimate semiconductor testing historically accounts for ~1% of total semiconductor revenue. Within testing, consumables such as probe cards, sockets and interface boards represent ~10-15% of industry revenue. According to Yole, the probe card, socket and interface board markets should grow from US$3.8bn, US$2.3bn and US$1.7bn in 2026 to US$5.5bn, US$3.1bn and US$2.0bn by 2031, respectively.

Figure 2: Yole estimating testing consumables TAM to climb in the next 5 years



Source: Yole, UBS

Nonetheless, leaders within the testing sector will standout among competition, with greater sales CAGR comparing to the industry.

As the leader of AI/HPC sockets, **WinWay** is set to deliver 2026-31E socket sales CAGR of 33%, underpinned by robust demand for final test and system-level test, with test content and test times rising which each iteration of new AI accelerators/CPU, more sockets and equipment will be needed in order to increase the throughput.

- **Strong accelerator/CPU roadmap to support growth.** Robust testing demand can also be inferred from AI accelerator/CPU roadmaps of Nvidia, AMD, Google, alongside tester capacity expansions by Advantest.
- **Capacity expansion underpinning future strength.** WinWay's socket pin capacity expansion is expected by the company to support this exceptional sales growth from 3.5mn pins per month at year-end 2025 to 6mn currently, reaching

9mn by year-end 2026 and 14mn by year-end 2027 through expansions in Renwu, Kaohsiung. By 2027, approximately 60% of pogo-pin requirements should be internally sourced, strengthening both supply security and margins.

- **Probe card business to rise from smaller base.** Its probe card business is also set to benefit from the shift-left trend for high-end AI/HPC probe cards. WinWay leverages its existing customers' demand in addition to their MEMS partnership with Technoprobe, as we forecast WinWay's probe card sales to rise from a low base, with a 33% 2026-31E sales CAGR.

Figure 3: WinWay is set to benefit with a 33% 2026-31E sales CAGR

Sales by Segments NT$m	2026E	2027E	2028E	2029E	2030E	2031E	2026-31E CAGR
Coaxial Socket (HyperSocket)	$7,661	$13,705	$23,103	$25,872	$30,603	$34,726	35%
YoY		*79%*	*69%*	*12%*	*18%*	*13%*	
RF & Plastic Socket	$2,311	$3,835	$6,465	$6,960	$7,259	$7,252	26%
YoY		*66%*	*69%*	*8%*	*4%*	*0%*	
Burn-in Socket	$253	$306	$516	$715	$903	$1,075	34%
YoY		*21%*	*69%*	*39%*	*26%*	*19%*	
Test Socket	$10,224	$17,845	$30,083	$33,547	$38,764	$43,053	33%
YoY		*75%*	*69%*	*12%*	*16%*	*11%*	
Probe Card	$4,478	$7,700	$13,690	$15,507	$16,095	$18,403	33%
YoY		*72%*	*78%*	*13%*	*4%*	*14%*	
Contact Element	$937	$1,596	$2,691	$3,014	$3,465	$3,899	33%
YoY		*70%*	*69%*	*12%*	*15%*	*13%*	
Others	$444	$811	$1,367	$1,671	$2,133	$2,654	43%
YoY		*83%*	*69%*	*22%*	*28%*	*24%*	
Operating Metrics	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2026-31E CAGR**
Revenue NT$m	$16,084	$27,952	$47,831	$53,739	$60,457	$68,010	33%
YoY		*73.8%*	*71.1%*	*12.4%*	*12.5%*	*12.5%*	
GM %	41.1%	43.1%	44.7%	44.7%	44.9%	45.1%	
OpM %	27.5%	32.1%	36.7%	36.7%	36.9%	37.1%	

Source: UBS estimates

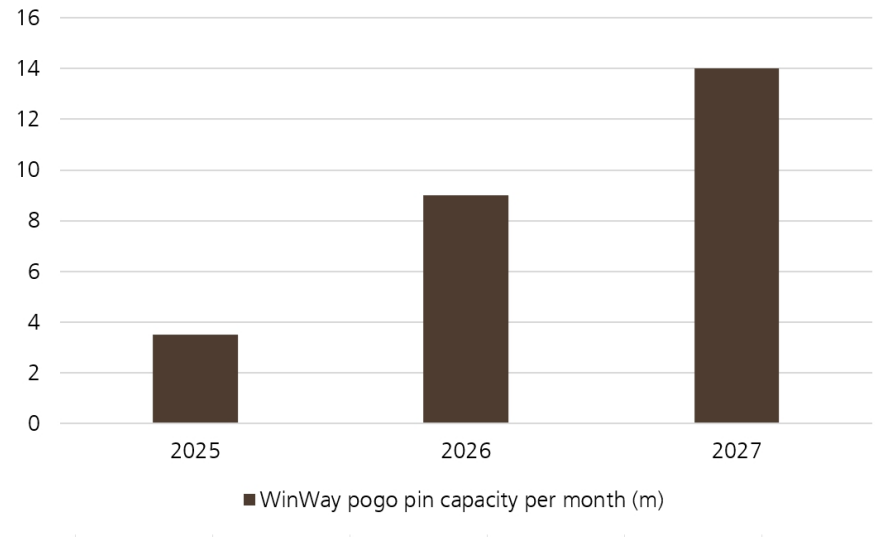
WinWay is expanding capacity rapidly to capture this growing TAM. Industry test interface suppliers are expanding capacity aggressively to meet rising AI and HPC demand. As advanced semiconductors require higher-performance probe cards, sockets and interface boards, capacity additions are becoming increasingly important to support growth across both wafer-level and package-level testing.

We believe WinWay is well positioned to gain share within the high-end AI/HPC test interface market. Taiwanese suppliers benefit from their proximity to leading fabless customers and the growing preference for localised supply chains, particularly for advanced testing applications where responsiveness and engineering support are critical. Against a backdrop of tight industry supply, WinWay announced significant capacity expansion plans over the next two to three years.

WinWay's capacity is expected by the company to increase from 3.5mn pins per month at year-end 2025 to 6mn currently, reaching 9mn by year-end 2026 and 14mn by year-end 2027 through expansions in Renwu, Kaohsiung. By 2027, approximately 60% of pogo-pin requirements should be internally sourced, strengthening both supply security and margins.

We estimate these capacity additions will support revenue growth of 105%/74%/71% in 2026E/27E/28E.

Figure 4: Announced capacity expansions for WinWay



Source: Company data

For WinWay, this growth opportunity is substantial, as the capacity expansions for its socket pins will satisfy around 60% of its own pogo pin demand in 2027E, we estimate socket sales will likely contribute for around NT$163 of EPS in 2027E and to further expand to NT$307 in 2028E. This paves the way for substantial share gaining opportunity for WinWay for AI/HPC sockets as we believe there are advantages to have footprint within Taiwan, where there's already an established testing ecosystem with testing providers such as ASE/SPIL/KYEC, and handler providers such as Hon Precision, all positioned locally in Taiwan to provide around the clock service and support for AI/HPC customers.

We see industry capacity tightness to support socket pin ASP growth, as we forecast pin ASP to grow from US$2.0 in 2026E to US$2.5 in 2027E and US$3.0 in 2028E. We believe WinWay's capacity expansion creates a significant growth opportunity with a better margin profile. By 2027E, approximately 60% of pogo pin demand should be internally sourced, improving both supply security and profitability. We estimate sockets could contribute around NT$123 of EPS in 2027E, rising to NT$261 in 2028E. Combined with its expanding capacity, strong customer relationships and proximity to Taiwan's semiconductor testing ecosystem, including ASE/SPIL, KYEC and major handler suppliers, WinWay is well positioned to gain share in the AI/HPC socket market.

Figure 5: We see socket pin expansions to drive significant growth in the next 2-3 years

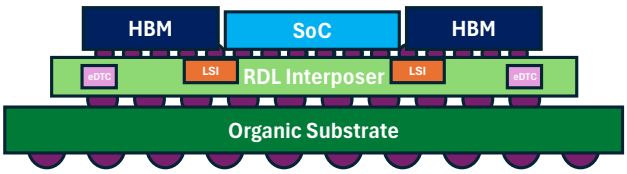
Socket Pin Analysis	2025	2026E	2027E	2028E
Pin Capacity (m/month)	3.2	6.7	11.2	18.3
Self sufficiency	*56%*	*50%*	*60%*	*70%*
Pin demand (m/month)	5.63	13.40	18.59	26.11
ASP (US$)	$2.0	$2.0	$2.5	$3.0
Sales contribution (US$m/month)	**$11**	**$27**	**$46**	**$78**
Sales contribution (US$m/year)	**$135**	**$322**	**$558**	**$940**
Socket sales (NT$m)	**$4,214**	**$10,224**	**$17,845**	**$30,083**
GM (%)	*50%*	*42%*	*47%*	*50%*
Gross Profit (NT$m)	**$2,107**	**$4,294**	**$8,387**	**$15,041**
OPEX (%)	*19%*	*17%*	*16%*	*11%*
Operating Profit (NT$m)	**$1,306**	**$2,556**	**$5,532**	**$11,732**
OPM (%)	*31%*	*25%*	*31%*	*39%*
Tax rate (%)	*19%*	*20%*	*20%*	*20%*
Net profit (NT$m)	**$1,060**	**$2,041**	**$4,426**	**$9,386**
EPS (NT$m)	**$29.7**	**$56.9**	**$123.1**	**$261.1**

Source: UBS estimates

The AI era has materially increased the value of semiconductor testing. Compared with traditional mobile and automotive chips, AI accelerators incorporate larger compute dies, more advanced nodes, chiplet architectures, advanced packaging technologies, multiple I/O dies, and increasing HBM content. These factors drive higher-value test consumables, including advanced MEMS probe cards, multilayer interface boards, and next-generation sockets designed to support higher pin counts, thermal loading, and power delivery requirements.

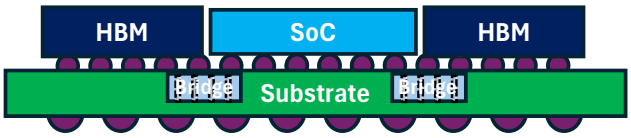
Capacity expansion by test interface vendors is ultimately supported by continued investment throughout the advanced packaging ecosystem, from providers such as TSMC, ASE, Intel, and Amkor. During the Q226 earnings calls, TSMC raised its recent 2026 capex from US$52-56bn to US$60-64bn and ASE raised its 2026 capex from US $8.5bn to US$10.5bn, with both companies citing robust demand supporting capex raise, we believe capex for the next two years will be even higher than 2026, indicating continuous growth in future years. With advanced packaging technologies getting significantly more complex and with larger form factor, illustrated by the upcoming ramp of both TSMC's CoPoS (chip-on-panel-on-substrate) and Intel's EMIB-T (embedded multi-die interconnect bridge) packaging technologies, test interface solution providers will benefit with more value added consumables (see our CoPoS vs EMIB-T deep dive).

Figure 6: TSMC's CoPoS



Source: UBS

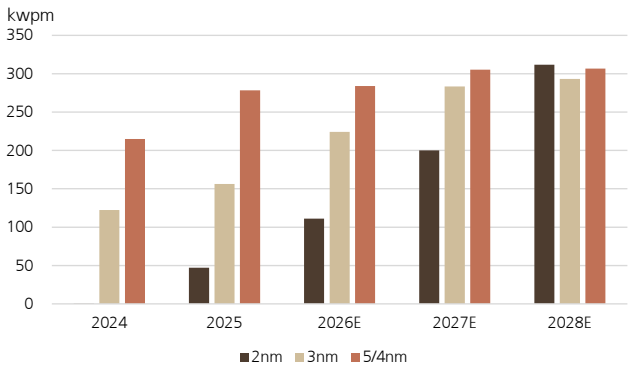
Figure 7: Intel's EMIB-T



Source: UBS

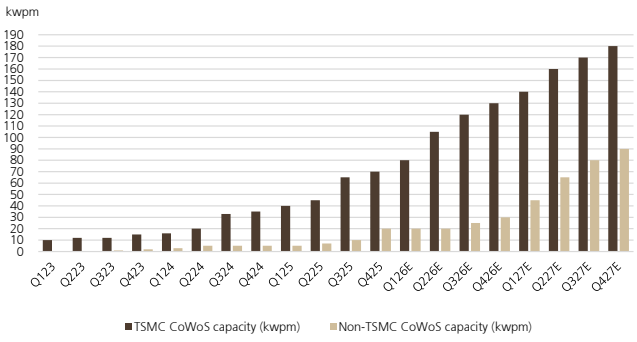
New iterations of semiconductors, especially for AI / HPC applications, are set to increase in both front-end wafer fabrication advancements and back-end packaging complexities with each iterations (i.e. Nvidia's roadmap from Blackwell to Rubin to Feynman or Google's TPU roadmap from v7 to v8 to v9). This trend is evident with TSMC's front-end and TSMC, Intel, and OSAT's back-end advanced packaging capacity expansions. For front-end, we see industry N3 capacity expanding from 156kwpm in year end 2025 to 224/283/293kpwm in year end 2026E/27E/28E, and N2 capacity from 47kwpm in year-end 2025 to 111/200/312kpwm in year end 2026E/27E/28E. For back-end, we are seeing industry CoWoS capacity to rise from 90kwpm in 2025 to 160kwpm in 2026E and further expand to 270kwpm in 2027E.

Figure 8: Industry's leading edge capacity



Source: UBS estimates

Figure 9: Industry CoWoS capacity

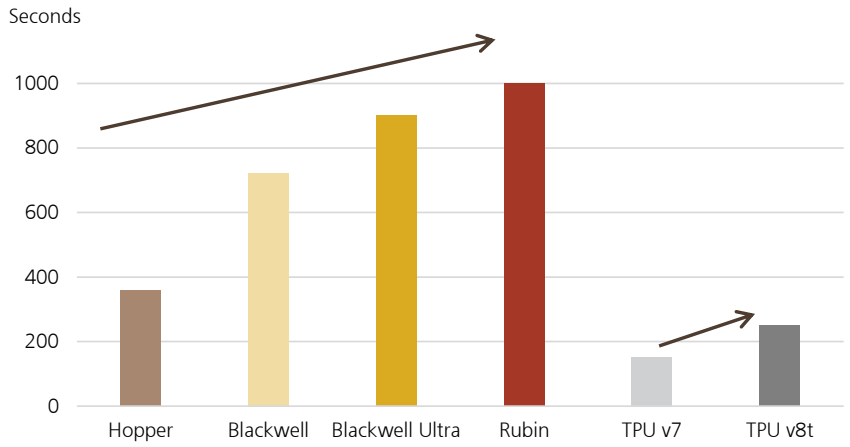


Source: UBS estimates

Final-test, system-level test, and burn-in content should continue to increase as AI accelerators become larger, more power-hungry and more complex. Rising thermal design power and packaging complexity increase validation requirements, driving

longer test times and higher demand for test equipment to prevent testing from becoming a production bottleneck. This is where **WinWay**'s sockets comes into play—as high-end chips with 2.5D/3D/3.5D packaging requires intricate FT sockets to handle the high thermal design power (TDP) and high data rates of up to 224G during the FT process for reliable test results.

Figure 10: Our FT test time estimates



Source: UBS estimates

While architectural changes can affect test requirements for individual product generations, we expect the long-term trend of rising testing content to remain intact. For example, Nvidia's Rubin Ultra adopts a simpler package structure than previously expected, from a 4-die structure to a 2-die structure and Rubin Ultra HBM de-spec from HBM4E 12-Hi to initially use HBM4 8-Hi and upgrade to HBM4E 8-Hi at the latter stages, which may moderate near-term test growth. However, future products such as Nvidia's Feynman are expected to reintroduce greater package complexity, with a four-GPU per package structure. More importantly, any reduction in test time can be offset by higher production volumes, making throughput requirements equally important for testing demand.

We expect test interface content growth to outpace unit growth, For instance, test socket's ASP directly correlates with its pin counts, with the addition of 20-30% more pins inside the sockets, socket ASP can grow 20-30% or more as the socket might require significant cooling capabilities as the TDP of the DUT rises with its larger form factor. Unlike prior semiconductor cycles, much of the current demand is driven by rising test interface content per device rather than unit growth alone.

Robust growth drivers across semiconductor testing

We believe WinWay is set to benefit from several semiconductor testing growth drivers and capture the AI induced, expanding testing TAM. We see three main growth drivers for WinWay: 1) AI accelerators (GPU + TPU), 2) agentic AI driven CPU demand, and 3) shift-left testing trend. Below we list the three main growth drivers in detail.

Accelerators still in focus with TPU as another significant growth driver

Nvidia has been the primary driver of testing content growth over the past several years, benefiting the entire semiconductor testing supply chain. We expect this trend to continue as GPU architectures evolve from Blackwell to Rubin and then to Feynman, with increasing process node complexity, larger package sizes and more advanced packaging technologies driving higher testing value per device.

We believe Nvidia should remain a major contributor to WinWay, with GPUs continuing to serve as their core growth engine. We estimate WinWay's socket share could improve from a roughly 50/50 split with Smiths Interconnect in prior generations to 60/40 with Rubin. Nvidia currently accounts for approximately 50% of WinWay's revenue. Both Nvidia GPUs and Google TPUs increase testing demand through higher content per device rather than unit growth alone.

Beyond Nvidia, Google's TPU roadmap represents a significant incremental growth opportunity. In our view, WinWay should benefit as the socket supplier for both TPU v8t and the next-generation TPU v9 platform. We believe MediaTek's increasing share gain for Google TPUs will also benefit the local Taiwanese test interface supply chain. We estimate TPU to contribute to around 20% of WinWay 2027E sales.

We view TPU v9 as a particularly attractive opportunity given its large four-die package architecture based on Intel's EMIB-T packaging technology, which should drive higher testing content. We estimate production of 4mn TPU v8t units in 2027E, followed by 2.3mn TPU v9 packages (9.2mn dies) and an additional 2mn TPU v8t units in 2028E. Importantly, while EMIB-T packaging is expected to be performed in Malaysia, we believe the majority of advanced testing value should remain within the Taiwanese testing ecosystem. Leading testing providers, including ASE and KYEC, maintain substantial testing operations across Taiwan and Southeast Asia, supporting continued participation by Taiwanese test interface suppliers. See our latest MediaTek report and EMIB-T deep dive.

CPU business as a supplemental catalyst for test interface companies in the agentic world

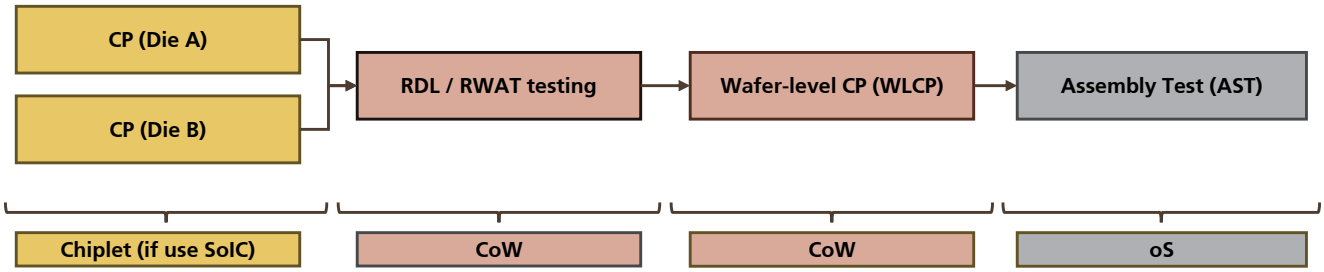
We believe semiconductor test interface are an underappreciated beneficiary of the emerging agentic AI ecosystem. UBS estimates the CPU market will expand to US $170bn by 2030E from US$31bn in 2025 and US$71bn in 2027E, driven by rising deployment of AI infrastructure. As CPU-to-GPU ratios increasingly approach 1:1 in AI clusters, demand for testing interfaces should expand alongside CPU volumes. TSMC is the main CP test provider in the industry, with probe card suppliers aiding its massive demand by supplying probes, such as TSMC's GPU probe cards supported by Technoprobe's probes. However, with capacity now becoming scarce with strong front and back-end demand, TSMC is outsourcing its CP business to ASE and KYEC, further broadening the testing supply chain. This is where new probe card vendors come in—smaller probe card players in the past, such as WinWay, now has the opportunity to gain significant, non-GPU share from TSMC, as they have MEMS probe capabilities (WinWay's MEMS probe are from its strategic partnership with Technoprobe) and has a long established relationship with the fabless companies such as Nvidia via supplying non-probe card consumables such as sockets. Of which, CPU projects has become the main area for WinWay to expand their footprint.

We expect WinWay to benefit from the ramp of Nvidia's ARM-based Vera CPU and Google's ARM-based Axion CPU in 2026E-27E. WinWay is positioned to supply sockets and probe cards for Vera and sockets for Axion. Additional upside could come from AMD's Venice CPU, where WinWay is well positioned. For WinWay, CPU-related demand could account for approximately 30% of sales in 2026E-27E. Importantly, CPU programmes diversify exposure beyond AI GPUs and provide a second structural growth driver for test interface suppliers.

Shift-left igniting secular growth for chip probing

The industry's adoption of shift-left testing should drive a multi-year structural growth opportunity for chip probing (CP) and its supply chain. As advanced packaging costs rise and AI accelerators become increasingly complex, semiconductor manufacturers are placing greater emphasis on identifying known-good dies (KGD) before packaging. The test shift-left trend will drive structural AI/HPC probe card and test consumables demand, with increasing test interface content as test insertions and test time increase. WinWay should also benefit through its partnership with Technoprobe, with probe card revenue growth remaining robust at 94%/72% in 2026E/27E following 161%/260% growth in 2024/25.

Figure 11: CP is set to grow substantially with shift-left, each packaging step set to be MORE costly than the prior step

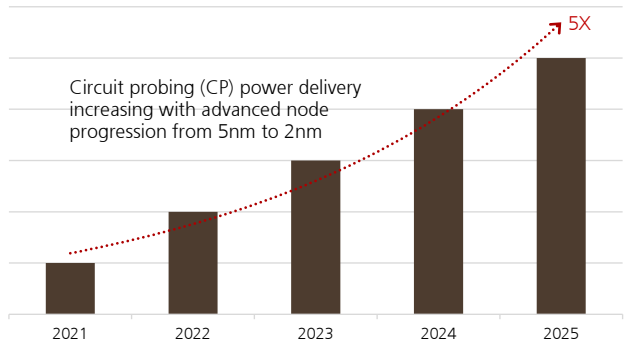


Source: UBS

The economics of advanced packaging reinforce this trend. Heterogeneous integration, chiplet architectures and 2.5D/3D packaging significantly increase package value, while defects identified late in the manufacturing process can lead to substantial scrap costs. To mitigate this risk, foundries and OSATs such as TSMC and ASE employ distributed testing flows incorporating KGD, known-good-stack (KGS) and assembly test screening, to catch defects before the components enter a multi-week packaging cycle (>2 weeks for CoW and 2 weeks for oS). The importance of these tests rises as AI clusters become increasingly dependent on component reliability and low defective-parts-per-million (DPPM) rates. Given the multiplicative yield degradation, a 300bps yield decline at just one manufacturing stage (e.g. dropping from 99.5% to 96.5%) reduces overall integrated four-stage yield from 98.0% to 95.0%; on a 500,000 unit ramp at US $10,000 per unit, this 3% scrap delta translates into around US$150m in unrecoverable losses given >6-month manufacturing lead times.

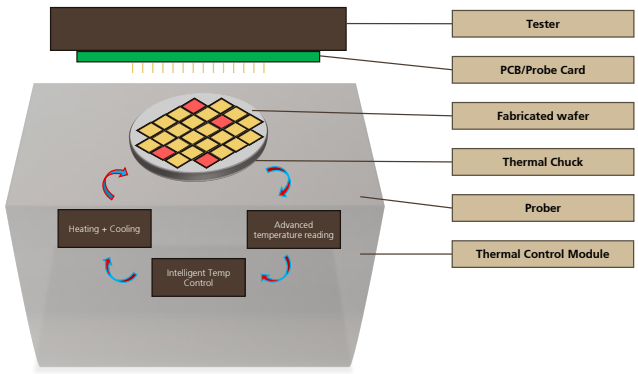
At the same time, rising chip power consumption is increasing the technical difficulty of wafer-level testing. As chip thermal design power scales beyond 1,000W and power density is expected by the industry to surge another 8x by 2030, traditional wafer-level chip probe (WLCP) encounters severe physical bottlenecks. Finer probe pitches and higher power densities increase the risk of overheating, probe needle burnout and yield degradation, creating demand for more advanced probing and thermal-control solutions.

Figure 12: CP power delivery trend rises with process tech evolution



Source: UBS

Figure 13: Thermal control module inside probers are essential to control wafer temperature



Source: UBS

WinWay set to benefit from the AI trend with its leading position within advanced test socket market

Figure 14: Key vendors for each stage of the semiconductor testing industry

	Chip Probing	Final Test	System-Level Test
Testing service providers	TSMC, ASE, KYEC, Amkor, Intel	ASE, Amkor, KYEC, JCET, Tianshui Huatian, Tongfu	ASE, Amkor, KYEC, JCET, Tianshui Huatian, Tongfu
Testers	Advantest, Teradyne	Advantest, Teradyne	N / A
Handlers (Probers)	TEL, Tokyo Seimitsu, TSK	Advantest, Chroma, Cohu, Hangzhou Changchuan Technology, Hon Precision, JHT, Teradyne	Hon Precision, Chroma
Probe Cards	FormFactor, Technoprobe, MPI, MJC, JEM, WinWay, CHPT	N / A	N / A
Socket	N / A	WinWay, Cohu, Leeno, Yokowo, Yamaichi, Smiths	WinWay
Load board	N / A	Yamaichi, Advantest, CHPT	Yamaichi, Advantest, CHPT

Source: UBS

WinWay was founded in 2001 in Kaohsiung, Taiwan, and is a leading provider of semiconductor testing interface solutions, with test sockets representing its core business. The company focuses on advanced AI/HPC applications, supplying sockets for final test (FT), system-level test (SLT) and burn-in, as well as cobra probe cards and partnership with Technoprobe for MEMS probe cards.

WinWay's business is primarily divided into two segments:

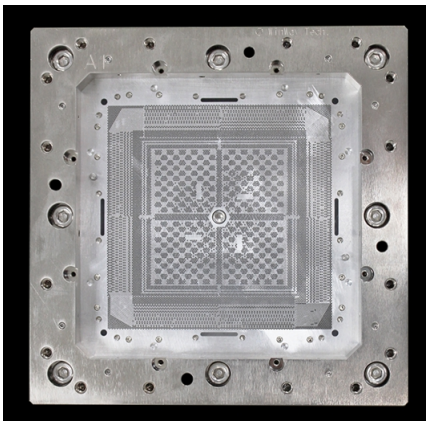
- **Test socket:** Sockets are WinWay's largest revenue contributor. The company supplies a broad range of testing sockets, including coaxial, PoP/plastic and burn-in sockets, serving applications ranging from consumer electronics to high-performance computing.
    - **Coaxial socket:** utilised as the mainstream option for nearly all AI/HPC chips, as traditional sockets are near its physical limits. Coaxial sockets need to handle data rates of up to 224G for high speed transmission and high chip TDP during the FT process.
    - **HyperSocket:** a rubber-silicone like layer called **elastomer** are placed on top of the pogo pins, these elastomer pins causes zero damage to the chips being tested under high contact forces. WinWay's next generation HyperSocket technology utilises elastomers to provide a softer contact between the DUT and the pogo pins, avoiding damage to solder ball. This structure significantly enhances spring probe's lifetime, reduces cleaning frequency, and achieves maximum production efficiency. We estimate it will contribute around 5% of sales in 2027E with a 20-30% ASP premium as compared to standard coaxial socket.
- **Probe cards:** WinWay historically supplies cobra probe cards (vertical probe cards), but with the company announcing their five-year probe supply deal with Technoprobe for MEMS probe in December 2025, they are now one of Nvida Vera CPU's main probe card suppliers.

AI accelerators are pushing socket requirements beyond 10,000 pins, making **coaxial sockets** the industry standard for leading-edge AI/HPC devices. These sockets must support transmission speeds of up to 224G while handling significantly higher thermal design power (TDP) during testing.

Elastomer technology is increasingly being adopted alongside spring-probe (pogo-pin) architectures to reduce chip damage and improve contact reliability. WinWay's next-generation **HyperSocket** integrates elastomer materials between the DUT and spring probes, improving probe lifetime, reducing cleaning requirements and enhancing production efficiency. We believe HyperSocket could become an important differentiator as next-generation AI accelerators demand higher pin counts, bandwidth and thermal performance. We estimate HyperSocket could contribute approximately 5% of WinWay's revenue in 2027E while carrying a 20-30% ASP premium versus conventional coaxial sockets. The transition toward larger AI packages, higher pin counts and faster data-transfer speeds should continue to increase socket content per device. We expect this trend to support long-term growth in the socket market, with technology leaders such as WinWay well positioned to gain share through next-generation solutions including HyperSocket.

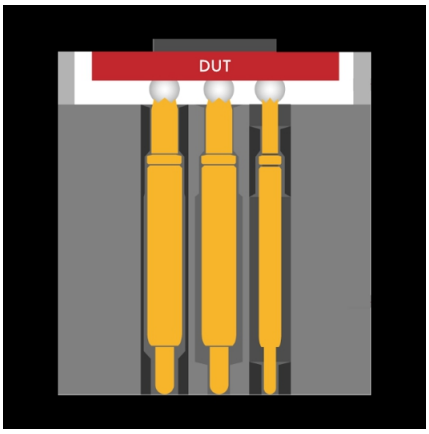
Beyond its existing product portfolio, WinWay is developing next-generation technologies including CPO electrical test sockets and liquid-cooled sockets for future high TDP AI accelerators, reinforcing its position within the AI/HPC testing ecosystem.

Figure 15: Coaxial socket



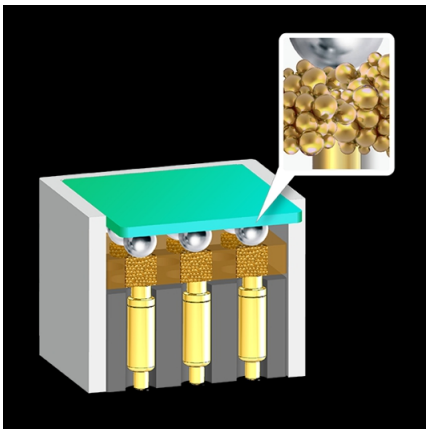
Source: Company data (WinWay)

Figure 16: DUT socket contact



Source: Company data (WinWay)

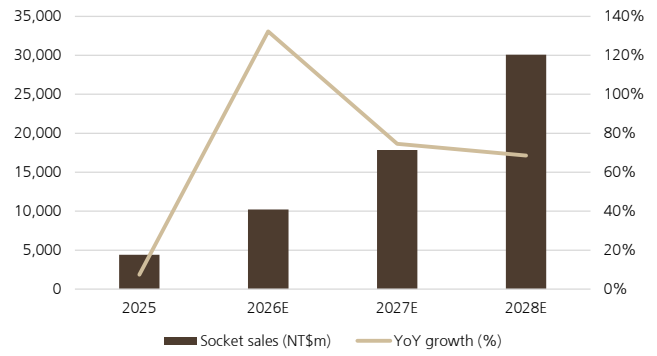
Figure 17: HyperSocket



Source: Company data (WinWay)

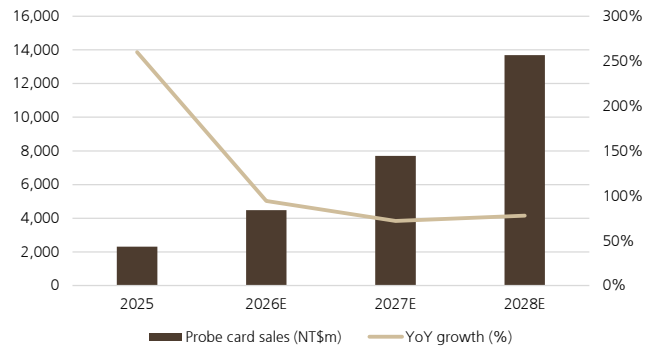
WinWay's competitive advantages are its 1) technology leadership with coaxial socket and HyperSocket, 2) proximity to the semiconductor testing value chain in Taiwan, and 3) historical relationship with key AI companies such as Nvidia and AMD. We believe these advantages may allow WinWay to capture significant upside in the growing semiconductor testing TAM driven by cloud AI proliferation, and gain share across its competition such as Smiths Interconnect for AI and HPC applications.

Figure 18: WinWay's socket sales growth



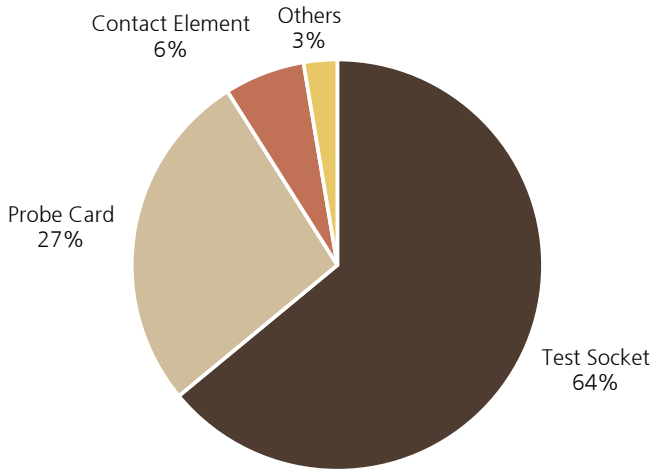
Source: Company data, UBS estimates

Figure 19: WinWay' probe card sales growth



Source: Company data, UBS estimates

Figure 20: WinWay's H126 product mix

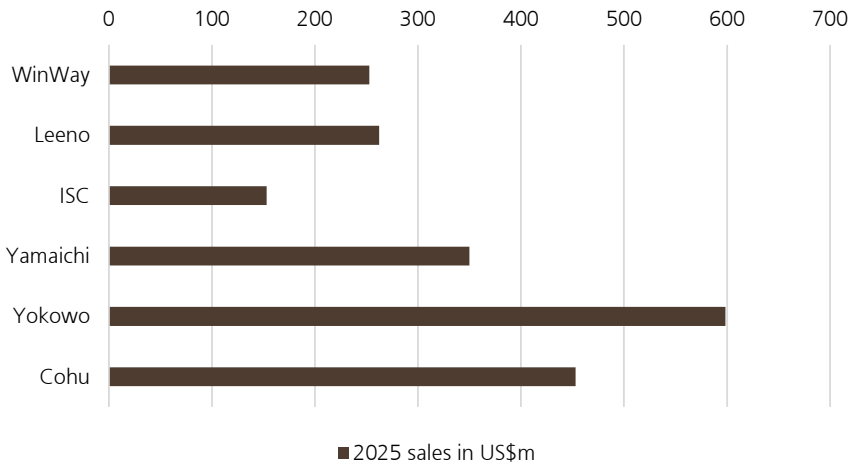


Source: Company data, UBS

Compared with the probe card market, the socket industry is more fragmented. Competition include:

- **WinWay (6515.TW)**: A major share gainer in AI/HPC sockets, with strong exposure to Nvidia and AMD. The company specializes in high-performance coaxial sockets and is developing its next-generation HyperSocket platform. It is also expanding into probe cards through its partnership with Technoprobe.
- **Leeno (058470.KQ)**: Vertically integrated supplier focused on smartphone AP and memory sockets.
- **ISC (095340.KQ)**: Memory socket supplier with elastomer expertise.
- **Smiths Interconnect (Acquired by Molex)**: A key player in AI/HPC socket industry, with its DaVinci coaxial sockets able to support high frequency connectivity testing.
- **Yamaichi (6941.T)**: Japanese socket supplier with substantial automotive exposure.
- **Yokowo (6800.T)**: Major provider of contact probes and socket pins.
- **Cohu (COHU.O)**: Broad test-solutions provider spanning ATE, handlers and sockets, with high exposure to automotive, industrial and consumer applications.

Figure 21: 2025 sales of major socket suppliers

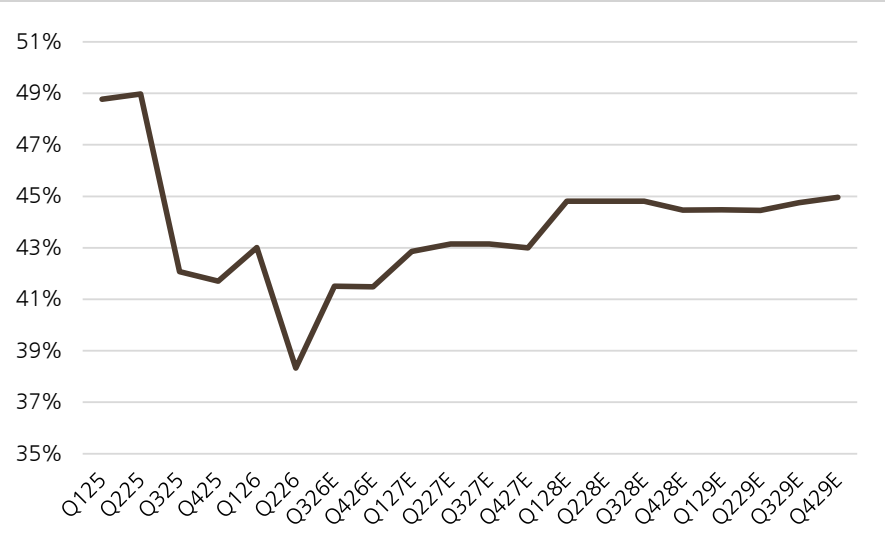


Source: Company data, UBS. Note: Most socket suppliers are companies with multiple business segments, i.e. Yokowo and Cohu.

WinWay's margin is set to recover in 2027E/28E

Company GM hit a trough in Q226, at 38.3%. We view recent margin pressure as largely temporary. GM has been impacted by MEMS probe sourcing through Technoprobe (probe card GM now below 40% and dilutive to >50% coaxial socket GM) and start-up costs associated with WinWay's rapid capacity expansion. During the early part of 2025, WinWay's GM was high at 48.9% in H125, with more cobra probe cards (60% GM) in mix with solid pogo pin and socket yield. With MEMS probe card now accounting for more than 70% of probe card revenue and GM at around low to mid 30%, margin dilution from probe card business is unlikely to unravel for GM to return to above 45% in the near term due to the MEMS partnership terms with Technoprobe. However, we expect that as new facilities ramp and yields improve, profitability to recover gradually from the Q226 trough. We see GM improving to 43.1% in 2027E and 44.7% in 2028E.

Figure 22: We believe WinWay' GM will gradually recover in the next two-three years



Source: UBS estimates

Figure 23: UBS earnings forecast

(NT$m)	2025	Q126	Q226	Q326E	Q426E	2026E	Q127E	Q227E	Q327E	Q427E	2027E	2028E	2029E	2030E
Revenue	**7,857**	**2,980**	**3,523**	**4,556**	**5,024**	**16,084**	**5,488**	**6,978**	**7,327**	**8,159**	**27,952**	**47,831**	**53,739**	**60,457**
- YoY chg (%)	36%	30%	131%	153%	125%	105%	84%	98%	61%	62%	74%	71%	12%	13%
- QoQ chg (%)		33%	-55%	53%	43%		9%	-57%	33%	17%				
Gross profit	**3,556**	**1,282**	**1,350**	**1,891**	**2,084**	**6,608**	**2,353**	**3,011**	**3,162**	**3,508**	**12,034**	**21,387**	**23,998**	**27,173**
- Gross margin	45.3%	43.0%	38.3%	41.5%	41.5%	41.1%	42.9%	43.2%	43.2%	43.0%	43.1%	44.7%	44.7%	44.9%
Operating expense	1,487	505	525	547	603	2,180	659	768	806	816	3,048	3,827	4,299	4,837
Operating profit	**2,070**	**777**	**825**	**1,344**	**1,482**	**4,428**	**1,694**	**2,244**	**2,356**	**2,692**	**8,986**	**17,560**	**19,699**	**22,336**
- Operating margin	26.3%	26.1%	23.4%	29.5%	29.5%	27.5%	30.9%	32.2%	32.2%	33.0%	32.1%	36.7%	36.7%	36.9%
Non-op profit	-8	97	22	17	14	150	15	17	18	15	66	103	138	200
Pre-tax profit	**2,061**	**874**	**848**	**1,361**	**1,495**	**4,578**	**1,710**	**2,261**	**2,374**	**2,707**	**9,052**	**17,663**	**19,837**	**22,537**
Tax	388	175	175	272	299	922	342	452	475	541	1,810	3,533	3,967	4,507
- Effective tax rate	18.8%	20.1%	20.7%	20.0%	20.0%	20.1%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
Outstanding shares (m)	36	36	36	36	36	36	36	36	36	36	36	36	36	36
Net profit	**1,673**	**699**	**672**	**1,089**	**1,196**	**3,656**	**1,368**	**1,809**	**1,899**	**2,166**	**7,241**	**14,130**	**15,870**	**18,029**
- YoY chg (%)	41%	14%	228%	193%	147%	119%	96%	169%	74%	81%	98%	95%	12%	14%
- QoQ chg (%)		45%	-60%	56%	78%		14%	-51%	39%	20%				
Basic EPS (NT$)	**46.93**	**19.54**	**18.70**	**30.28**	**33.27**	**101.83**	**38.04**	**50.31**	**52.83**	**60.24**	**201.42**	**393.03**	**441.42**	**501.48**
- YoY chg (%)	37%	14%	225%	190%	145%	117%	95%	169%	74%	81%	98%	95%	12%	14%
- QoQ chg (%)		44%	-60%	55%	78%		14%	-51%	39%	20%				

Source: UBS estimates

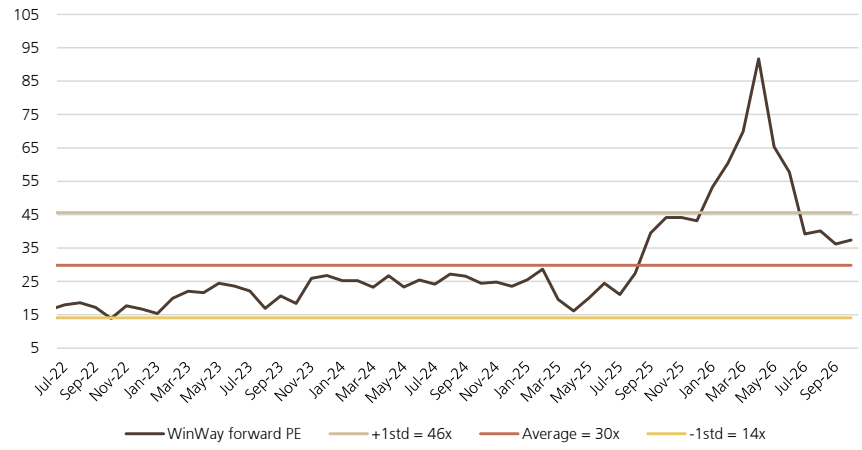
Figure 24: UBS estimates vs consensus

	UBS			Consensus			Difference		
(NT$m)	**2026E**	**2027E**	**2028E**	**2026F**	**2027F**	**2028F**	**2026E**	**2027E**	**2028E**
Revenue	**16,084**	**27,952**	**47,831**	**16,322**	**26,839**	**45,477**	**-1%**	**4%**	**5%**
- YoY chg (%)	105%	74%	71%	108%	64%	69%			
Gross profit	**6,608**	**12,034**	**21,387**	**6,825**	**12,136**	**20,622**	**-3%**	**-1%**	**4%**
- Gross margin	41.1%	43.1%	44.7%	41.8%	45.2%	45.3%			
Operating profit	**4,428**	**8,986**	**17,560**	**4,438**	**8,983**	**16,451**	**0%**	**0%**	**7%**
- Operating margin	27.5%	32.1%	36.7%	27.2%	33.5%	36.2%			
Pretax profit	**4,578**	**9,052**	**17,663**	**4,305**	**8,652**	**15,545**	**6%**	**5%**	**14%**
Net profit	**3,656**	**7,241**	**14,130**	**3,477**	**6,992**	**12,642**	**5%**	**4%**	**12%**
- Net margin	22.7%	25.9%	29.5%	21.3%	26.1%	27.8%			
Basic EPS (NT$)	**101.83**	**201.42**	**393.03**	**97.71**	**187.07**	**348.32**	**4%**	**8%**	**13%**
- YoY chg (%)	117%	98%	95%	108%	91%	86%			

Source: UBS estimates, LSEG

Our NT$8,900 price target is based on our valuation for WinWay at 30x average 2027E-28E P/E, in-line with its historical average of 30x and underpinned by a 30% 2027-31E earnings CAGR.

Figure 25: WinWay's 12-month forward PE (x)



Source: LSEG, UBS

Figure 26: Testing supply chain valuation table

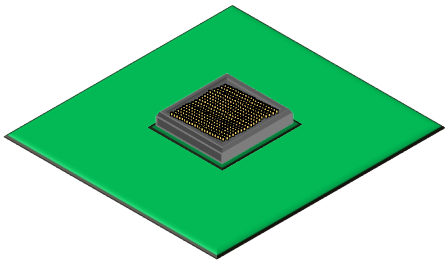
Company name	Ticker	Analyst	Market cap (US$m)	Price Target (LC)	Share price (LC)	Rating	EPS growth (%)		P/E (x)		P/BV (x)		ROE (%)	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Testing service provider														
ASE Industrial	3711.TW	Sunny Lin	104,043	835	744	Buy	104	64	39.3	24.0	7.5	6.3	21	28
King Yuan Electronics	2449.TW	Sunny Lin	11,456	325	298	Buy	40	62	32.6	20.1	5.9	5.0	20	27
Amkor Technology	AMKR.O	Randy Abrams	13,114	80	53	Buy	73	8	20.6	19.1	2.6	2.4	14	13
JCET Group	600584.SS	Jimmy Yu	17,156	135	64	Buy	72	53	42.7	28.0	3.7	3.3	9	12
Tianshui Huatian Technology	002185.SZ	Jimmy Yu	7,928	13	16	Neutral	33	27	57.0	44.8	2.8	2.7	5	6
TongFu Microelectronics Co Ltd	002156.SZ	N/A	13,526	N/A	57	N/A	50	13	45.3	40.1	5.0	4.5	10	11
Shanghai V-Test Semiconductor Tech Co Ltd	688372.SS	N/A	2,517	N/A	100	N/A	36	106	40.6	19.7	3.8	3.2	11	18
Sector Average							**58**	**47**	**39.7**	**28.0**	**4.5**	**3.9**	**13**	**17**
Tester														
Advantest	6857.T	Atsuhiro Kinoshita	191,547	43,600	41,850	Buy	80	96	38.8	53.1	16.8	31.8	70	58
Teradyne Inc	TER.O	Timothy Arcuri	67,666	500	430	Buy	134	51	45.7	30.8	16.7	12.8	43	47
Sector Average							**107**	**74**	**42.2**	**42.0**	**16.7**	**22.3**	**57**	**52**
Prober/Prober solutions														
Hermes Testing Solutions	7856.TWO	Ryan Sun	3,580	8,880	4,190	Buy	221	487	143.9	27.3	9.1	7.0	10	29
Tokyo Electron	8035.T	Atsuhiro Kinoshita	184,031	18,720	12,805	Buy	-16	71	29.7	37.1	6.5	12.8	36	44
Sector Average							**102**	**279**	**86.8**	**32.2**	**7.8**	**9.9**	**23**	**36**
Handler														
Hon.Precision, Inc.	7769.TW	Sunny Lin	33,404	10,000	5,905	Buy	90	86	45.2	24.4	14.5	10.6	36	50
Chroma ATE	2360.TW	Jerry Su	31,434	2,960	2,350	Buy	64	38	51.8	37.7	28.6	20.8	58	64
Cohu, Inc.	COHU.O	N/A	3,460	N/A	73	N/A	n.a.	94	77.0	39.6	-	-	7	16
JHT Design Co Ltd	603061.SS	N/A	4,045	N/A	312	N/A	155	47	54.8	37.3	13.0	9.9	22	25
Hangzhou Changchuan Technology	300604.SZ	Yongwei Lai	22,690	310	240	Buy	60	53	76.1	49.8	23.4	16.5	36	39
Sector Average							**92**	**63**	**61.0**	**37.8**	**19.9**	**14.4**	**32**	**39**
Test Socket														
WinWay Technology	6515.TW	Ryan Sun	6,948	8,900	6,130	Buy	119	98	60.2	30.4	22.0	14.6	44	34
Leeno Industrial Inc	058470.KQ	N/A	4,936	N/A	86,900	N/A	33	17	35.4	30.3	8.0	6.8	24	24
ISC Co Ltd	095340.KQ	N/A	3,247	N/A	205,500	N/A	70	41	47.0	33.2	7.0	5.9	16	19
Yokowo Co Ltd	6800.T	N/A	744	N/A	4,925	N/A	28	93	38.3	19.8	-	1.8	-	-
Sector Average							**62**	**62**	**45.2**	**28.4**	**12.3**	**7.3**	**28**	**26**
Load Board														
Chunghwa Precision Test Tech	6510.TWO	Ryan Sun	3,149	5,000	3,055	Buy	112	99	47.5	23.8	9.2	7.3	21	34
Probe Card														
Technoprobe SpA	TPRO.MI	Harry Blaiklock, CFA	27,100	41	37	Buy	259	18	66.9	56.5	14.6	11.6	25	23
MPI Corp	6223.TWO	N/A	17,518	N/A	5,670	N/A	97	110	87.2	41.5	30.3	19.1	38	54
FormFactor Inc	FORM.O	N/A	11,038	N/A	141	N/A	159	24	46.2	37.1	9.3	8.9	19	23
MICRONICS JAPAN CO.,LTD.	6871.T	N/A	3,906	N/A	15,410	N/A	155	28	24.8	19.4	7.1	5.6	32	36
Japan Electronic Materials Corp	6855.T	N/A	804	N/A	8,650	N/A	46	43	24.9	17.4	-	-	-	-
Sector Average							**138**	**54**	**49.6**	**32.6**	**14.1**	**10.5**	**27**	**34**

Source: LSEG, UBS estimates. Priced as of October 6 (HKT).

Appendix: What are semiconductor test sockets?

Semiconductor test socket are electro-mechanical interface that are used post chip probing and chip packaging process to test the functionality of the chips. Sockets are placed onto load boards on top of testers during the final test/system level test processes. Handlers will place the chips onto the sockets, and pins inside the sockets will enable the testers to read the signals from the device under test (DUT, i.e. the packaged chips), with tester signals fan out from beneath the PCB load board.

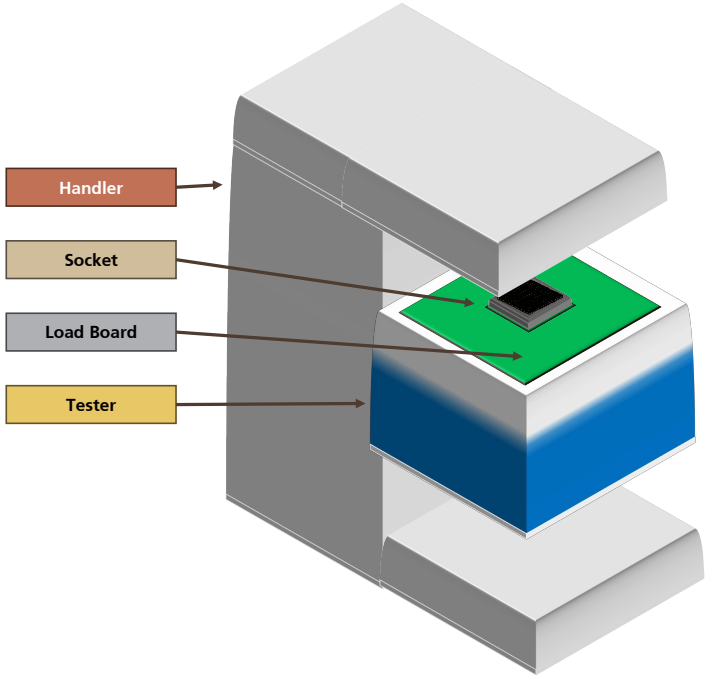
Figure 27: Socket illustration (with load board underneath)



Source: UBS

As AI accelerators become larger and more complex, socket requirements continue to increase. High-end sockets typically comprise a socket housing, alignment plate, integrated thermal-control components and contact elements that connect the DUT to the tester. Spring probes (pogo pins) are the most common choice for HPC sockets, with high durability, individual probe replacement flexibility, and consistent contact force. FT and SLT sockets account for more than 70% of the total socket market, with burn-in sockets representing the remainder.

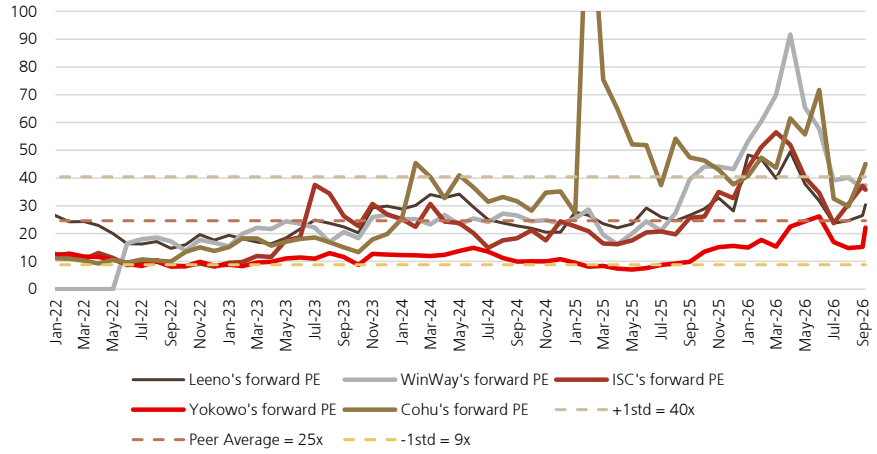
Figure 28: Final test equipment and consumables (simplified for illustration purposes, handlers should come with ATC)



Source: UBS

WHAT´S PRICED IN?

WinWay is trading at NT$6,130 as of 6 Oct 2026



Source: LSEG, UBS estimates

Despite a 120% YTD share-price increase, WinWay remains 43% below its April 2026 peak and trades at only 16x our 2028E P/E. We believe the market remains overly focused on near-term GM pressure while underestimating the company's multi-year growth opportunity. Our reverse DCF analysis indicates that the current market price implies only a 19% long-term sales CAGR vs our estimate of 25%, alongside long-term GM level of 32% vs our estimate of 45%.

We believe investors are not fully reflecting three key drivers:

1) CPU and TPU opportunities are becoming increasingly meaningful.

Beyond its core GPU socket franchise, WinWay is positioned to benefit from Nvidia's Vera CPU, AMD's Venice CPU, and Google's TPU. These programmes should broaden revenue sources and create an additional demand driver for high-end sockets and probe cards.

2) Larger AI packages are driving higher socket content per device.

As AI accelerators adopt larger form factors, higher pin counts and greater power consumption, socket complexity and ASPs continue to rise. We expect socket content growth to outpace semiconductor unit growth, creating a structural tailwind for WinWay.

3) Capacity ramp and margin recovery are not fully reflected.

Following substantial capacity expansion, we expect revenue growth of 105%/74%/71% in 2026E/27E/28E. At the same time, we forecast gross margin recovery from 38.3% in Q226 to 43.1%/44.7% in 2027E/28E as utilization and yields improve.

Our NT$8,900 price target is based on our valuation for WinWay at 30x average 2027E-28E P/E, in-line with its historical average of 30x and underpinned by a 30% 2027-31E earnings CAGR. Comparing with historical NTM peer average PE of roughly 25x (currently trading at 39x NTM PE), we believe WinWay deserves to trade at a premium given its leadership in AI/HPC sockets, expanding CPU and TPU exposure, and our long-term earnings CAGR estimate.

UPSIDE/DOWNSIDE SPECTRUM

WinWay is trading at NT $6,130 as of 6 Oct 2026

Value drivers (2027/28E)	Test socket sales growth	Probe card sales growth	GM %
NT$10,000 upside	90%/87%	87%/93%	45.1%/49.7%
NT$8,900 base	75%/69%	72%/78%	43.1%/44.7%
NT$4,000 downside	35%/34%	32%/38%	38.1%/39.7%

Source: UBS estimates

Risk to the current share price is skewed (1.8:1) to the upside

UPSIDE (NT$10,000): Our upside scenario reflects stronger than expected market share gain among Nvidia's Rubin sockets and Vera CPU probe card strength, with strong TPU v9 shipment in 2028E, forming 90%/87% YoY test socket sales growth and 87%/93% probe card sales growth in 2027/28E, translating to higher sales growth of 82%/75% in 2027/28E and steeper GM recovery in 2027/28E.

BASE (NT$8,900): Our price target of NT$8,900 is based on 30x average 2027-28E PE. We expect an earnings CAGR of 30% in 2027-31E. With extending FT time and larger form factor coaxial sockets, we see these growth drivers driving YoY sales growth from a high base of 105% in 2026E to 74%/71% YoY in 2027/2028E, with OPM of 32.1%/36.7% in 2027/28E.

DOWNSIDE (NT$4,000): Our downside scenario reflects slow GM recovery of 38.1%/39.7% in 2027/28E, with weaker growth for both socket and probe card businesses for slower capacity ramp up, leading to YoY sales growth of 22.3%/34.8% in 2027/28E, respectively.

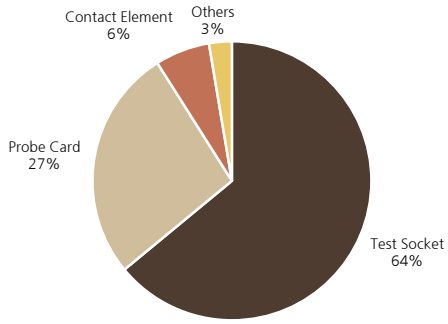
COMPANY DESCRIPTION

WinWay was founded in 2001 in Kaoshiung, Taiwan. It is a semiconductor testing interface solution provider, with final test sockets as its main business segment. The company has high-end solutions for AI/HPC testing, providing final test/system-level test and burn-in test sockets and probe cards through its own-made probes and a partnership with Technoprobe.

Industry Outlook

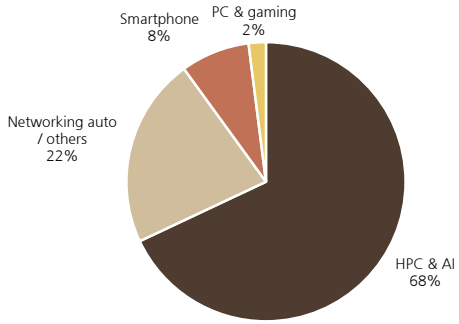
New iterations of semiconductors, especially for AI / HPC applications, are set to increase in both front-end wafer fabrication advancements and back-end packaging complexities with each iterations. With the industry now moves to utilize "shift left", chip probing and its relevant supply chain will be key beneficiaries of this trend which we believe will unlock multi-year, secular growth trends.

WinWay's H126 product mix



Source: Company data, UBS

WinWay's 4M26 revenue by end market



Source: Company data, UBS

WinWay Technology (6515.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**3,682**	**5,798**	**7,857**	**16,084**	*104.7*	**27,952**	*73.8*	**47,831**	**53,739**	**60,457**
Gross profit	1,365	2,534	3,556	6,608	*85.8*	12,034	*82.1*	21,387	23,998	27,173
EBITDA (UBS)	**684**	**1,605**	**2,328**	**4,753**	*104.2*	**9,531**	*100.5*	**18,478**	**21,047**	**24,147**
Depreciation & amortisation	(127)	(237)	(258)	(325)	*-25.9*	(546)	*-68.0*	(918)	(1,348)	(1,811)
EBIT (UBS)	**557**	**1,368**	**2,070**	**4,428**	*113.9*	**8,986**	*102.9*	**17,560**	**19,699**	**22,336**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	(7)	57	(53)	98	-	0	-	0	0	0
Net interest	11	10	45	52	*14.6*	66	*27.6*	103	138	200
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**561**	**1,435**	**2,061**	**4,578**	*122.1*	**9,052**	*97.7*	**17,663**	**19,837**	**22,537**
Tax	(97)	(249)	(388)	(922)	*-137.5*	(1,810)	*-96.3*	(3,533)	(3,967)	(4,507)
Profit after tax	**464**	**1,186**	**1,673**	**3,656**	*118.5*	**7,241**	*98.1*	**14,130**	**15,870**	**18,029**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**464**	**1,186**	**1,673**	**3,656**	*118.5*	**7,241**	*98.1*	**14,130**	**15,870**	**18,029**
Net earnings (UBS)	**464**	**1,186**	**1,673**	**3,656**	*118.5*	**7,241**	*98.1*	**14,130**	**15,870**	**18,029**
Tax rate (%)	17.3	17.3	18.8	20.1	*6.9*	20.0	*-0.7*	20.0	20.0	20.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	13.34	33.02	46.71	99.30	*112.6*	196.30	*97.7*	383.04	430.19	488.73
EPS (local GAAP, diluted)	13.34	33.02	46.71	99.30	*112.6*	196.30	*97.7*	383.04	430.19	488.73
EPS (UBS, basic)	13.52	34.31	46.93	101.83	*117.0*	201.42	*97.8*	393.03	441.42	501.48
DPS (net) (NT$)	10.87	25.75	25.07	61.10	*143.7*	120.85	*97.8*	235.82	264.85	300.89
Cash EPS (UBS, diluted) [1]	17.00	39.61	53.91	108.13	*100.6*	211.09	*95.2*	407.93	466.73	537.81
Book value per share	100.33	158.19	178.79	278.86	*56.0*	418.88	*50.2*	691.05	896.65	1,133.28
Average shares (diluted)	35	36	36	37	*2.8*	37	*0.2*	37	37	37

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	639	1,124	2,594	2,632	*1.5*	3,677	*39.7*	8,818	11,894	16,201
Other current assets	1,737	3,921	3,832	11,091	*189.4*	14,824	*33.7*	18,720	20,653	23,217
Total current assets	**2,377**	**5,045**	**6,426**	**13,724**	*113.6*	**18,501**	*34.8*	**27,537**	**32,547**	**39,418**
Net tangible fixed assets	2,109	2,256	2,206	2,991	*35.6*	4,401	*47.2*	6,831	9,245	11,667
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	390	278	412	837	*103.2*	837	*0.0*	837	837	837
Total assets	**4,876**	**7,580**	**9,044**	**17,551**	*94.1*	**23,740**	*35.3*	**35,205**	**42,629**	**51,921**
Trade payables & other ST liabilities	979	1,812	2,524	5,968	*136.4*	7,109	*19.1*	8,790	8,822	9,606
Short term debt	0	0	0	0	-	0	-	0	0	0
Total current liabilities	**979**	**1,812**	**2,524**	**5,968**	*136.4*	**7,109**	*19.1*	**8,790**	**8,822**	**9,606**
Long term debt	337	147	0	1,477	-	1,477	*0.0*	1,477	1,477	1,477
Other long term liabilities	69	81	75	93	*25.2*	93	*0.0*	93	93	93
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,386**	**2,040**	**2,599**	**7,539**	*190.1*	**8,680**	*15.1*	**10,361**	**10,393**	**11,177**
Common s/h equity	**3,489**	**5,540**	**6,445**	**10,011**	*55.3*	**15,059**	*50.4*	**24,845**	**32,236**	**40,744**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**4,876**	**7,580**	**9,044**	**17,551**	*94.1*	**23,740**	*35.3*	**35,205**	**42,629**	**51,921**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	464	1,186	1,673	3,656	*118.5*	7,241	*98.1*	14,130	15,870	18,029
Depreciation & amortisation	127	237	258	325	*25.9*	546	*68.0*	918	1,348	1,811
Net change in working capital	327	(784)	(44)	(2,212)	*NM*	(2,592)	*-17.2*	(2,215)	(1,901)	(1,780)
Other operating	(318)	411	(84)	443	-	0	-	0	0	0
Operating cash flow	**600**	**1,049**	**1,803**	**2,212**	*22.7*	**5,195**	*134.9*	**12,834**	**15,316**	**18,060**
Tangible capital expenditure	(856)	(298)	(277)	(1,287)	*-364.4*	(1,957)	*-52.1*	(3,348)	(3,762)	(4,232)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(230)	(834)	1,009	(3,887)	-	0	-	0	0	0
Other investing	(9)	48	(10)	(5)	*53.3*	0	-	0	0	0
Investing cash flow	**(1,094)**	**(1,084)**	**722**	**(5,178)**	-	**(1,957)**	*62.2*	**(3,348)**	**(3,762)**	**(4,232)**
Equity dividends paid	(754)	(378)	(890)	(894)	*-0.4*	(2,193)	*-145.4*	(4,345)	(8,478)	(9,522)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(14)	(15)	(17)	(11)	*33.4*	0	-	0	0	0
Change in debt & pref shares	400	909	(151)	3,896	-	0	-	0	0	0
Financing cash flow	**(369)**	**516**	**(1,057)**	**2,991**	-	**(2,193)**	-	**(4,345)**	**(8,478)**	**(9,522)**
Cash flow inc/(dec) in cash	**(863)**	**481**	**1,468**	**25**	*-98.3*	**1,045**	*NM*	**5,141**	**3,076**	**4,306**
FX / non cash items	(1)	4	2	14	*NM*	0	*-100.0*	0	0	0
Balance sheet inc/(dec) in cash	**(865)**	**485**	**1,470**	**39**	*-97.4*	**1,045**	*NM*	**5,141**	**3,076**	**4,306**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

WinWay Technology (6515.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	51.2	30.5	32.9	61.7	31.2	16.0	14.2	12.5
P/E (UBS, diluted)	51.2	30.5	32.9	61.7	31.2	16.0	14.2	12.5
P/CEPS	39.6	24.4	28.4	55.3	28.3	14.6	12.8	11.1
Equity FCF (UBS) yield %	(1.1)	2.1	2.8	0.4	1.5	4.3	5.2	6.3
Dividend yield (net) %	1.6	2.6	1.6	1.0	2.0	3.8	4.3	4.9
P/BV	6.8	6.4	8.6	22.0	14.6	8.9	6.8	5.4
EV/revenues (core)	6.2	5.9	6.8	NM	7.8	4.5	3.9	3.4
EV/EBITDA (UBS core)	33.4	21.5	22.9	46.1	23.0	11.7	10.1	8.6
EV/EBIT (core)	41.0	25.2	25.8	49.5	24.4	12.3	10.8	9.3
EV/OpFCF (core)	41.0	25.2	25.8	49.5	24.4	12.3	10.8	9.3
EV/op. invested capital	8.5	8.9	12.7	34.9	20.5	14.4	10.9	8.8

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	23,660	35,016	55,053	220,986	220,986	220,986	220,986	220,986
Net debt (cash)	(903)	(640)	(1,785)	(1,874)	(1,677)	(4,770)	(8,879)	(12,570)
Buy out of minorities	69	81	75	93	93	93	93	93
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**22,827**	**34,457**	**53,343**	**219,206**	**219,403**	**216,310**	**212,201**	**208,510**
Non core assets	0	0	(5)	(138)	(138)	(138)	(138)	(138)
Core enterprise value	**22,827**	**34,457**	**53,338**	**219,068**	**219,265**	**216,172**	**212,063**	**208,372**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(28.1)	57.5	35.5	104.7	73.8	71.1	12.4	12.5
EBITDA (UBS)	(53.3)	134.6	45.0	104.2	100.5	93.9	13.9	14.7
EBIT (UBS)	(58.5)	145.7	51.3	113.9	102.9	95.4	12.2	13.4
EPS (UBS, diluted)	(58.1)	147.5	41.5	112.6	97.7	95.1	12.3	13.6
Net DPS	(50.2)	136.9	(2.6)	143.7	97.8	95.1	12.3	13.6

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	37.1	43.7	45.3	41.1	43.1	44.7	44.7	44.9
EBITDA margin	18.6	27.7	29.6	29.5	34.1	38.6	39.2	39.9
EBIT (UBS) margin	15.1	23.6	26.3	27.5	32.1	36.7	36.7	36.9
Net earnings (UBS) margin	12.6	20.5	21.3	22.7	25.9	29.5	29.5	29.8
ROIC (EBIT)	20.7	35.3	49.2	70.5	NM	NM	NM	NM
ROIC post tax	17.1	29.2	39.9	56.3	67.1	NM	NM	NM
ROE (UBS)	12.9	26.3	27.9	44.4	57.8	70.8	55.6	49.4

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(0.4)	(0.6)	(1.1)	(0.2)	(0.2)	(0.4)	(0.5)	(0.6)
Net debt / total equity %	(8.7)	(17.6)	(40.2)	(11.5)	(14.6)	(29.5)	(32.3)	(36.1)
Net debt / (net debt + total equity) %	(9.5)	(21.4)	(67.3)	(13.0)	(17.1)	(41.9)	(47.7)	(56.6)
Net debt/EV %	(4.0)	(1.9)	(3.3)	(0.9)	(0.8)	(2.2)	(4.2)	(6.0)
Capex / depreciation %	NM	126.1	107.4	NM	NM	NM	NM	NM
Capex / revenue %	23.2	5.1	3.5	8.0	7.0	7.0	7.0	7.0
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	1.2	1.3	1.9	1.7	1.7	1.7	1.7	1.7
Div. payout ratio (UBS) %	80.4	75.1	53.4	60.0	60.0	60.0	60.0	60.0

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	3,682	5,798	7,857	16,084	27,952	47,831	53,739	60,457
Total	**3,682**	**5,798**	**7,857**	**16,084**	**27,952**	**47,831**	**53,739**	**60,457**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	557	1,368	2,070	4,428	8,986	17,560	19,699	22,336
Total	**557**	**1,368**	**2,070**	**4,428**	**8,986**	**17,560**	**19,699**	**22,336**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	45.2%
Forecast dividend yield	1.0%
Forecast stock return	46.2%
Market return assumption	6.3%
Forecast excess return	39.9%

Company Description

WinWay was founded in 2001 in Kaoshiung, Taiwan. It is a semiconductor testing interface solution provider, with final test sockets as its main business segment. The company has high-end solutions for AI/HPC testing, providing final test/system-level test and burn-in test sockets and probe cards through its own-made probes and a partnership with Technoprobe.

Valuation Method and Risk Statement

We value WinWay based on PE methodology.
Risks for the semis industry:
- Geopolitical uncertainties: Geopolitical uncertainties including tariffs and more export control could negatively impact semis cycle, and a downturn would lead to slower demand in the overall market and moderating capacity expansion.
- Meaningful deceleration of new technology development: Slower demand and less investment are expected If there is meaningful deceleration of new technology development such as Cloud AI, autonomous driving, etc.
- Rising utility cost: Larger-than-expected utility cost increases would further pressure profitability. Rising utility costs in Taiwan have negatively impacted margins for Taiwan tech companies.
Company risks:
- Faster- or slower-than-expected CoWoS capacity expansion: This could result in WinWay gaining/losing socket/probe card orders from major end customers, foundries, and OSATs.
- Competitors achieving technological advancement: Potential risk of competition (from either local or foreign companies) achieving technological advancements could result in WinWay losing market share from major end customers, foundries and OSATs.
- Better- or worse-than-expected AI growth: Better- or worse-than-expected AI growth could lead to a ramp-up or a slowdown of equipment orders from major foundries and OSATs to WinWay, affecting long-term revenue growth potential.
- Slowdown or delay of new technological advancement: A potential slowdown or delay of the rollout for technological advancements for technologies such as SoIC, CoPoS, and CPO, would limit future socket/probe card orders.
- Increase of raw material costs: Rising raw material costs may directly impact WinWay's margins for socket/probe card shipments.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

WinWay Technology

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities Pte. Ltd., Taipei Branch: Ryan Sun, Sunny Lin.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
WinWay Technology	6515.TW	No Rating	NT$5,520	07 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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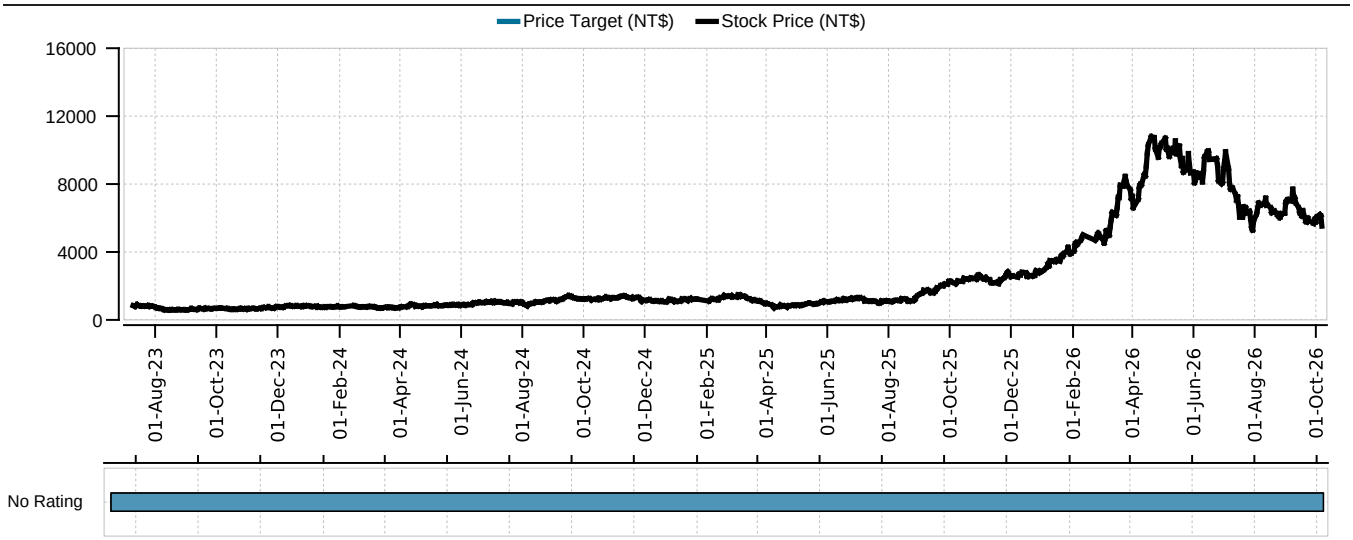
WinWay Technology (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-07	824.00	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 07-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: ASE Industrial, NT$732.00 (07 Oct 2026); Alphabet Inc. - Class A, US$347.68 (06 Oct 2026); Taiwan Semiconductor Manufacturing, NT$2585.00 (07 Oct 2026); NVIDIA Corp, US$239.24 (06 Oct 2026); Advanced Micro Devices Inc, US$649.42 (06 Oct 2026); Source: UBS. All prices as of local market close.

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Daiwa Capital Markets Hong Kong Limited

Acter (5536 TT)

Target price: **TWD1,415.00**

Share price (7 Oct): **TWD1,045.00** | Up/downside: **+35.4%**

5 4 3 2 **1**

★ **Buy** (initiation)

Initiation: acting on the demand for cleanrooms

- Key beneficiary of the cleanroom shortage in the high-tech industry
- Fast-growing order backlog likely to be realised over 2026-28E
- Initiating with a Buy (1) rating and a 12-month TP of TWD1,415

Helen Chien
(886) 2 8758 6254
helen.chien@daiwacm-cathay.com.tw

Neil Teng, CFA
(886) 2 8758 6256
neil.teng@daiwacm-cathay.com.tw

Investment case: We initiate coverage of Acter, an established multinational cleanroom engineering, procurement, construction and management (EPCM) turnkey service provider, with a Buy (1) rating. Its core business includes cleanroom electromechanical engineering, water/gas/chemical delivery systems, and other cleanroom services. We believe now is a good time to revisit the stock as it underperformed the TAIEX Index by 32.7% in 3Q26, mainly on weaker-than-expected 2Q26 results and soft sector sentiment. Given its stronger revenue momentum over recent months and upcoming TSMC results on 15 October, which may drive sentiment, we suggest investors to buy the stock. We forecast a 24.6% revenue CAGR and 36.9% net profit CAGR over 2026-28E.

Intact global demand for cleanroom technology, the edge AI market, and rapid cleanroom expansion in Asia further support Acter's order backlog. Its backlog reached TWD66bn in July 2026 vs. TWD46bn in 2025 and TWD30bn in 2022 (15.3% 2022-25 CAGR), which largely outpaced the global cleanroom technology market's forecast CAGR over 2023-2032E, according to Precedence Research.

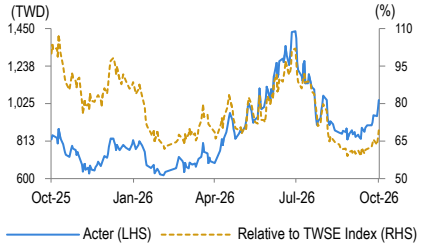
Strong competitive edge supports order share gains across multiple segments. Acter's competitive edge lies in 1) intelligent management enabled by digital twins and AI, using 3D building information modelling (BIM) and AI-driven digital twin management; 2) intellectualisation of green engineering, which comprises green design, green procurement, and green techniques; 3) experience across multiple industries (ie, data centres and electromechanical engineering for the consumer industry) which supports better integration; and 4) a complete network, enabling on-the-spot support. Acter believes it has the highest market share among the operators of three major US data centre players due largely to its capabilities in liquid cooling and its expertise in electromechanical and cleanroom engineering.

Catalysts: Near-term: project wins from key clients, supporting stronger monthly revenue momentum; mid- to long-term: an improving operating-margin trend and a resilient order backlog.

Valuation: We are the first non-domestic broker to cover Acter. We initiate coverage with a 12-month TP of TWD1,415, based on a target PER of 20x (equivalent to a 0.54x PEG over 2026-28E). We believe our valuation is fair, given Acter's strong earnings visibility, which we believe warrants a rerating. Our TP is supported by a DCF valuation of TWD1,454.

Risks: 1) weaker-than-expected expansion in the semiconductor industry; and 2) project delays or cancellations.

Share price performance



12-month range	618.00-1,435.00
Market cap (USDbn)	4.08
3m avg daily turnover (USDm)	31.93
Shares outstanding (m)	124
Major shareholder	Xiang-Hui Development (4.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	53,844	66,983	83,593
Operating profit (m)	9,853	13,598	18,014
Net profit (m)	6,325	8,797	11,851
Core EPS (fully-diluted)	50.788	70.635	95.161
EPS change (%)	79.3	39.1	34.7
Daiwa vs Cons. EPS (%)	(6.4)	(5.4)	n.a.
PER (x)	20.6	14.8	11.0
Dividend yield (%)	3.4	4.7	6.4
DPS	35.7	49.6	66.9
PBR (x)	9.3	7.2	5.5
EV/EBITDA (x)	11.6	8.3	6.1
ROE (%)	46.8	54.9	56.8

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 25

Daiwa Capital Markets Hong Kong Limited

5 4 3 2 **1**

Buy (initiation)

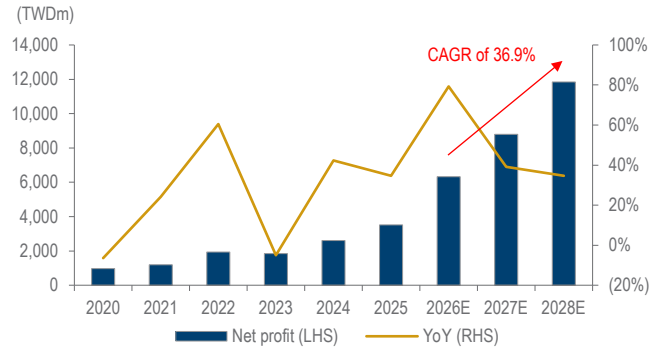
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔ ✔

Growth outlook

We forecast Acter to record a 36.9% net profit CAGR over 2026-28E, on the back of a 24.6% revenue CAGR over the same period, driven by 1) larger project scale, as strong demand for cleanroom EPCM services from the high-tech sector is likely to support continued growth in Acter's order backlog and 2) improving gross margins and operating efficiency. We expect operating margin to expand by 2.0pp in 2027E and 1.3pp in 2028E, driven by favourable gross margins on new projects and operating leverage.

Acter: net profit and net-profit growth



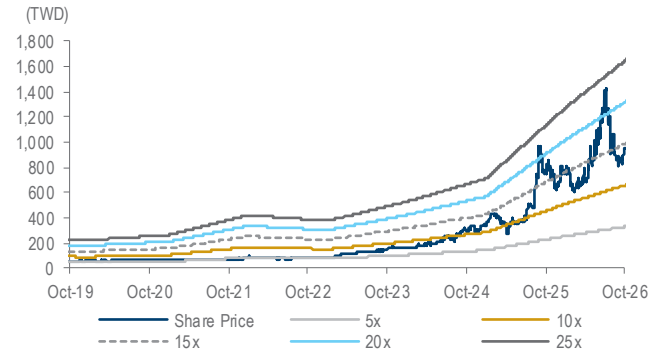
Source: Company, Daiwa forecasts

Valuation

Our 12-month TP of TWD1,415 is based on a target PER of 20x, applied to our 1-year-forward EPS forecast. Our target multiple of 20x is higher than the stock's past-3-year 1-year-forward PER (12.2x) and past-5-year 1-year-forward PER (9.6x) and implies a PEG of 0.54x on our 36.9% net profit CAGR forecast over 2026-28E. We believe the stock deserves a rerating in the next 12 months, largely supported by resilient cleanroom demand globally.

Our TP is also supported by an alternative DCF-derived valuation of TWD1,454/share.

Acter: 1-year-forward PER bands

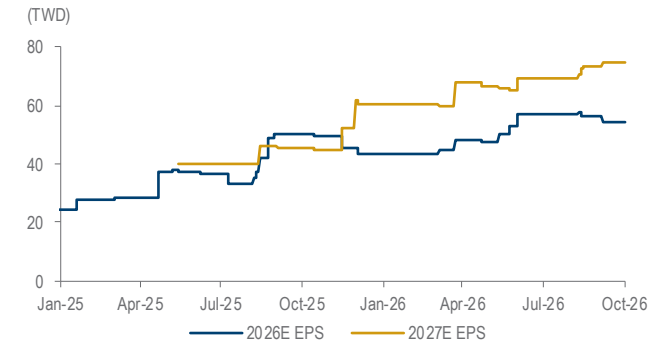


Source: Bloomberg, Daiwa forecasts

Earnings revisions

Bloomberg consensus EPS estimates for 2026E and 2027E have risen 24.8% and 24.3% YTD, respectively. This is likely due to upward revisions to order backlog and earnings forecasts following better-than-expected industry outlook. We are the first foreign broker to cover Acter.

Acter: Bloomberg consensus EPS forecast revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cleanroom eletromechanical revenue growth (%)	36.9	44.1	(19.0)	30.6	70.7	18.0	15.1	15.8
Water, gas and chemical delivery systems revenue growth (%)	58.5	35.0	11.0	14.8	(16.8)	67.7	46.7	40.4
Consumer industry electromechanical revenue growth (%)	55.2	32.4	(7.3)	5.7	(4.7)	78.7	38.8	33.1
Biomedical revenue growth (%)	(10.8)	83.7	(27.6)	(38.5)	68.0	52.5	8.3	33.1
High-tech equipment and materials sales and services revenue growth (%)	143.9	2.5	(54.0)	14.7	98.0	(44.9)	(5.5)	0.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cleanroom electromechanical	11,279	16,256	13,173	17,200	29,359	34,641	39,859	46,141
Water, gas and chemical delivery systems	5,915	7,985	8,861	10,174	8,467	14,198	20,829	29,253
Other Revenue	3,024	4,021	3,026	2,879	3,656	5,005	6,296	8,198
Total Revenue	**20,217**	**28,262**	**25,061**	**30,254**	**41,482**	**53,844**	**66,983**	**83,593**
Other income	0	0	0	0	0	0	0	0
COGS	(16,934)	(23,484)	(20,143)	(23,676)	(33,634)	(41,190)	(50,238)	(61,859)
SG&A	(892)	(1,121)	(1,292)	(1,616)	(1,718)	(2,369)	(2,646)	(3,093)
Other op.expenses	(252)	(335)	(362)	(555)	(427)	(431)	(502)	(627)
Operating profit	**2,139**	**3,323**	**3,264**	**4,407**	**5,703**	**9,853**	**13,598**	**18,014**
Net-interest inc./(exp.)	9	7	95	160	164	227	50	50
Assoc/forex/extraord./others	30	90	157	290	195	92	42	42
Pre-tax profit	**2,179**	**3,420**	**3,516**	**4,857**	**6,062**	**10,172**	**13,690**	**18,106**
Tax	(625)	(921)	(916)	(1,269)	(1,458)	(2,447)	(3,293)	(4,355)
Min. int./pref. div./others	(349)	(566)	(761)	(971)	(1,077)	(1,400)	(1,600)	(1,900)
Net profit (reported)	**1,204**	**1,933**	**1,838**	**2,617**	**3,527**	**6,325**	**8,797**	**11,851**
Net profit (adjusted)	**1,204**	**1,933**	**1,838**	**2,617**	**3,527**	**6,325**	**8,797**	**11,851**
EPS (reported)(TWD)	**21.079**	**16.838**	**15.027**	**21.093**	**28.424**	**50.976**	**70.897**	**95.513**
EPS (adjusted)(TWD)	**21.079**	**16.838**	**15.027**	**21.093**	**28.424**	**50.976**	**70.897**	**95.513**
EPS (adjusted fully-diluted)(TWD)	**19.548**	**15.477**	**14.585**	**20.982**	**28.325**	**50.788**	**70.635**	**95.161**
DPS (TWD)	**15.034**	**8.823**	**6.087**	**10.000**	**14.500**	**35.683**	**49.628**	**66.859**
EBIT	**2,139**	**3,323**	**3,264**	**4,407**	**5,703**	**9,853**	**13,598**	**18,014**
EBITDA	**2,292**	**3,556**	**3,595**	**4,893**	**6,097**	**10,482**	**14,182**	**18,610**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	2,179	3,420	3,516	4,857	6,062	10,172	13,690	18,106
Depreciation and amortisation	123	144	174	196	199	537	542	554
Tax paid	(490)	(638)	(943)	(804)	(1,249)	(2,447)	(3,293)	(4,355)
Change in working capital	(1,809)	(1,544)	2,386	(2,536)	421	(2,122)	(1,006)	(1,946)
Other operational CF items	(82)	304	(775)	530	368	(227)	(50)	(50)
Cash flow from operations	**(80)**	**1,686**	**4,358**	**2,244**	**5,801**	**5,913**	**9,883**	**12,309**
Capex	(24)	(147)	(137)	(151)	(128)	(150)	(180)	(180)
Net (acquisitions)/disposals	(116)	(413)	(285)	(194)	(120)	(122)	(122)	(122)
Other investing CF items	(36)	22	4	21	35	0	0	0
Cash flow from investing	**(176)**	**(537)**	**(418)**	**(324)**	**(213)**	**(272)**	**(302)**	**(302)**
Change in debt	(231)	470	197	(80)	115	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(686)	(859)	(1,416)	(1,303)	(1,861)	(1,799)	(4,428)	(6,158)
Other financing CF items	(211)	1,883	(55)	127	(721)	0	0	0
Cash flow from financing	**(1,128)**	**1,494**	**(1,274)**	**(1,256)**	**(2,467)**	**(1,799)**	**(4,428)**	**(6,158)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(1,384)**	**2,643**	**2,665**	**664**	**3,120**	**3,841**	**5,153**	**5,849**
Free cash flow	(31)	1,228	4,900	1,403	5,141	5,763	9,703	12,129

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	3,699	6,411	8,951	9,899	12,996	16,838	21,991	27,839
Inventory	1,560	2,904	2,615	2,302	1,862	2,907	2,848	3,612
Accounts receivable	6,027	8,416	6,619	9,150	11,517	15,574	18,958	23,919
Other current assets	5,971	7,405	6,419	8,614	9,972	1,833	1,833	1,833
Total current assets	**17,258**	**25,136**	**24,604**	**29,964**	**36,346**	**37,153**	**45,630**	**57,204**
Fixed assets	573	690	768	833	890	4,464	4,101	3,728
Goodwill & intangibles	108	92	75	81	71	71	71	71
Other non-current assets	765	1,199	2,139	3,199	4,012	4,012	4,012	4,012
Total assets	**18,704**	**27,117**	**27,587**	**34,078**	**41,320**	**45,700**	**53,814**	**65,015**
Short-term debt	651	896	541	524	591	591	591	591
Accounts payable	6,568	8,708	7,727	9,454	11,676	14,657	16,975	20,754
Other current liabilities	2,554	4,893	4,977	6,160	8,199	7,403	7,403	7,403
Total current liabilities	**9,773**	**14,497**	**13,245**	**16,138**	**20,467**	**22,652**	**24,970**	**28,749**
Long-term debt	0	0	0	3	3	3	3	3
Other non-current liabilities	1,635	1,820	1,257	1,211	1,433	1,433	1,433	1,433
Total liabilities	**11,408**	**16,318**	**14,502**	**17,351**	**21,902**	**24,088**	**26,405**	**30,184**
Share capital	572	586	620	620	620	1,241	1,241	1,241
Reserves/R.E./others	5,063	6,998	8,191	10,350	12,499	12,673	16,870	22,391
Shareholders' equity	**5,635**	**7,585**	**8,812**	**10,970**	**13,119**	**13,913**	**18,110**	**23,632**
Minority interests	1,661	3,214	4,273	5,756	6,299	7,699	9,299	11,199
Total equity & liabilities	**18,704**	**27,117**	**27,587**	**34,078**	**41,320**	**45,700**	**53,814**	**65,015**
EV	128,278	127,364	125,527	126,048	123,561	121,120	117,566	113,618
Net debt/(cash)	**(3,048)**	**(5,514)**	**(8,410)**	**(9,373)**	**(12,402)**	**(16,244)**	**(21,397)**	**(27,245)**
BVPS (TWD)	**98.613**	**66.063**	**72.041**	**88.411**	**105.729**	**112.132**	**145.957**	**190.453**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	44.6	39.8	(11.3)	20.7	37.1	29.8	24.4	24.8
EBITDA (YoY)	30.5	55.2	1.1	36.1	24.6	71.9	35.3	31.2
Operating profit (YoY)	25.8	55.3	(1.8)	35.0	29.4	72.8	38.0	32.5
Net profit (YoY)	24.2	60.5	(4.9)	42.4	34.8	79.3	39.1	34.7
Core EPS (fully-diluted) (YoY)	18.1	(20.8)	(5.8)	43.9	35.0	79.3	39.1	34.7
Gross-profit margin	16.2	16.9	19.6	21.7	18.9	23.5	25.0	26.0
EBITDA margin	11.3	12.6	14.3	16.2	14.7	19.5	21.2	22.3
Operating-profit margin	10.6	11.8	13.0	14.6	13.7	18.3	20.3	21.6
Net profit margin	6.0	6.8	7.3	8.7	8.5	11.7	13.1	14.2
ROAE	22.3	29.2	22.4	26.5	29.3	46.8	54.9	56.8
ROAA	7.1	8.4	6.7	8.5	9.4	14.5	17.7	19.9
ROCE	28.7	33.8	25.8	28.5	30.6	46.7	54.2	56.8
ROIC	50.5	50.9	48.5	54.1	60.3	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	28.7	26.9	26.1	26.1	24.1	24.1	24.1	24.1
Accounts receivable (days)	91.7	93.3	109.5	95.1	90.9	91.8	94.1	93.6
Current ratio (x)	1.8	1.7	1.9	1.9	1.8	1.6	1.8	2.0
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	71.3	52.4	40.5	47.4	51.0	70.0	70.0	70.0
Free cash flow yield	n.a.	0.9	3.8	1.1	4.0	4.4	7.5	9.4

Source: FactSet, Daiwa forecasts

Company profile

Established in 1979, Acter Group (Acter) is a leading engineering services provider specialising in cleanroom, electromechanical, and high-tech facility integration solutions for semiconductor, optoelectronics, biotech, green energy, and advanced manufacturing clients across Taiwan, China and the rest of the world. As of 2025, its revenue comprised cleanroom electromechanical (71%), water, gas and chemical delivery systems (20%), consumer industry electromechanical (4%), biomedical (2%) and high-tech equipment & materials sales & services (3%).

Acting on the demand for cleanrooms

Why are cleanrooms a bottleneck in the high-tech industry?

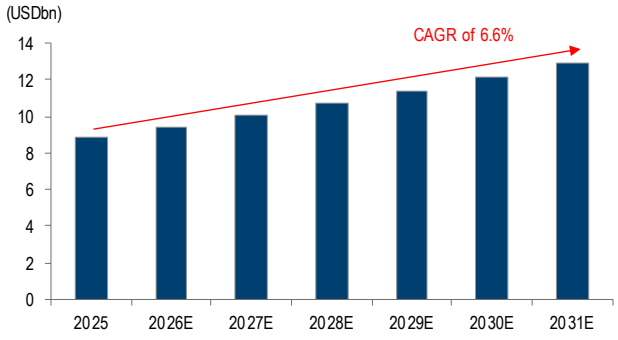
In recent years, cleanrooms have become a critical bottleneck for high-tech industries, especially semiconductor manufacturing, OSAT, AI hardware, and PCB, mainly because of its indispensable nature, severe supply-demand imbalance, labour shortages, and high technical and regulatory barriers.

Cleanrooms are a bottleneck in the high-tech industry, including semiconductor foundry, memory, and electronic assembling

Cleanrooms are an indispensable core infrastructure as they determine product yield and quality stability. Advanced manufacturing nodes in semiconductors, optoelectronics, and biopharmaceuticals require highly particle-free, constant-temperature, and constant-humidity environments to ensure reliable production. As process technologies continue to advance, such as 2nm node (or even newer nodes) and advanced packaging, existing cleanrooms must be rebuilt, and the complexity of building new ones thus increases. This keeps overall demand for cleanrooms at high levels.

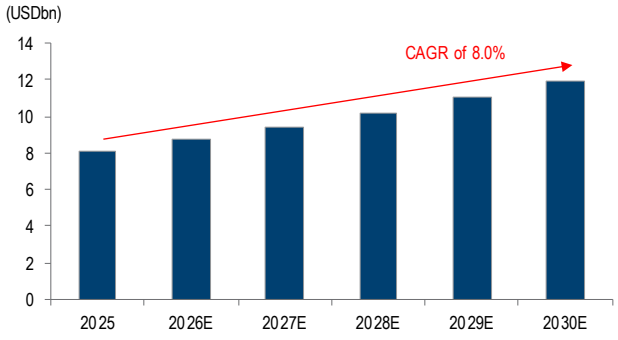
A severe global supply-demand imbalance with demand for cleanroom construction outpacing supply. The surge in AI servers, high-performance computing (HPC), and high-bandwidth memory (HBM) has triggered a global expansion for front-end wafer fabs, packaging and testing facilities, and PCB manufacturing. Order visibility remains extremely strong across the industry. According to Markets and Markets, the global cleanroom market size is set to expand at a CAGR of 6.6% over 2025-31E. At the same time, the global semiconductor cleanroom market size is set to grow at a CAGR of 8.0% over 2025-30E. For instance, Acter's order backlog exceeded TWD66bn at the end of July 2026, up from TWD46bn at the end of 2025, showing the urgency of demand for cleanroom construction.

Global: cleanroom market size and growth



Source: Markets and Markets

Global: semiconductor cleanroom market size and growth



Source: Markets and Markets

Human resources are an additional limitation to capacity growth. Cleanroom engineering is highly technical and labour-intensive, relying on specialised on-site installation and supervision that cannot be replaced by robots. At the same time, the industry faces severe labour shortages and an aging workforce, and younger generations are reluctant to join field operations. Cross-border staff deployment is also less cost-efficient than local hiring.

Cleanrooms involve complex system integration, creating high barriers to entry. A cleanroom construction includes 4 sequential phases, where each phase usually requires totally different areas of expertise. Therefore, the competitive landscape in each area differs. The process begins with **civil & structural (C&S) works** to establish the physical plant, followed by **mechanical, electrical, and plumbing (MEP) works** for essential utility generation, where Acter is one of the leading global experts. After MEP is finished, chemicals/gas/water are then distributed via **main systems** through primary piping network and finally delivered to production equipment through **hook-up systems**. As

global supply chains restructure under N+1 (domestic market + 1) strategies, companies building overseas facilities in places like the US face strict and complicated licensing processes, particularly on fire safety and hazardous chemicals. Without experience dealing with such engineering and safety issues, construction timelines can be severely delayed.

As a result, even with advanced equipment and chip designs, a high-tech company cannot begin production without adequate cleanroom space, skilled engineers, and system-integration capabilities. Therefore, cleanroom engineering contractors hold significant bargaining power and capacity allocation leverage in today's tech supply chain.

IC foundry

In the foundry sector, where the cleanroom supply-demand shortage is the tightest, project activity remains centred on advanced process capacity expansion in Taiwan and Arizona. Simultaneously, domestic advanced node development remains intense, with multi-phase fab builds advancing across Hsinchu, Taichung, and Kaohsiung. Local cleanroom and MEP integration demand is further boosted by advanced packaging facilities in Taiwan (such as Chiayi and Tainan) and upcoming projects in the US are set to contribute revenue for the cleanroom providers in the following years.

Memory

The memory segment is exhibiting robust momentum as well, mainly catalysed by HBM capacity additions. Projects such as the plant in Japan, transitioned to contribution for the cleanroom EPCM providers starting from 2026. In Taiwan, turnkey engineering contracts in Miaoli are also actively underway. This trend is reinforced by stronger-than-expected expansion activity from memory producers in China.

OSAT, PCB and ODM/OEM

For OSAT companies, demand is also surging due to the spill-over effect of advanced packaging protocols and N+1 supply chain restructuring. The OSAT names are expanding their footprint both in Southern Taiwan and in overseas locations including in the US and Southeast Asia. Major engineering contracts signed between OSAT clients and Acter show stable long-term workload for strong cleanroom demand over our forecast horizon. Similarly, overseas expansion for PCB manufacturing is peaking in Southeast Asia, especially in Thailand. We expect Chinese PCB players to also increase their capacity, just like memory companies in the past year. Except for front-end and back-end chip manufacturing, ODM/OEM and data centre infrastructure is also a key growth engine for the EPCM industry. Major Taiwanese ODMs are building production facilities in Texas and Mexico to meet local manufacturing needs. Cleanroom contractors, such as Acter, providing MEP and system integration in Texas are directly benefiting from these projects. The shift toward liquid cooling systems has also increased engineering complexity, favouring few cleanroom companies with the expertise to deliver complex integration for CSPs in both North America and Southeast Asia.

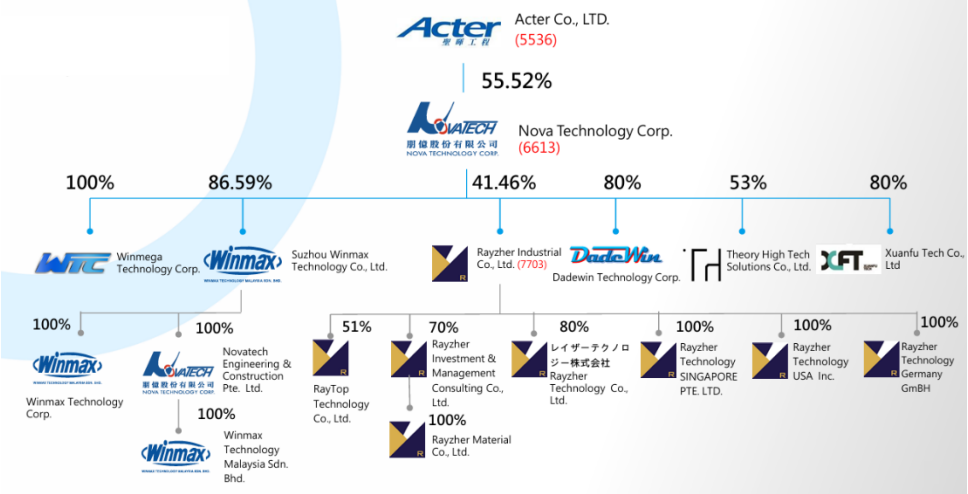
Acter: an integrated cleanroom solutions provider

Acter provides integrated cleanroom solutions via various subsidiaries

Acter Group (Acter), an integrated cleanroom solutions provider, maintains its competitive positioning within the high-tech cleanroom and MEP engineering sector, driven by its group synergy and global footprint. Acter operates as a comprehensive vendor through a group business model. The parent company, Acter, supervises overall cleanroom and MEP services, while subsidiary Nova Technology (Novatech, 6613 TT, not rated) mainly provides chemical primary system and hook-up, and Novatech's subsidiary Rayzher (7703 TT, not rated) provides gas primary system, hook-up and equipment. In China, Acter operates through Acter Technology Integration Group (603163 CH, not rated) and Suzhou Winmax (not listed) for Chinese EPCM (engineering, procurement, construction, and management) and equipment business. Except for C&S (civil and structural) works, where the margin is low (7-8%) and the contract duration is long, Acter's services span nearly the entire cleanroom construction process. Its one-stop solutions model supports customer retention

and improves bid-win rates, particularly for overseas expansion, where customers have few reliable providers to choose from.

Acter: organisational chart



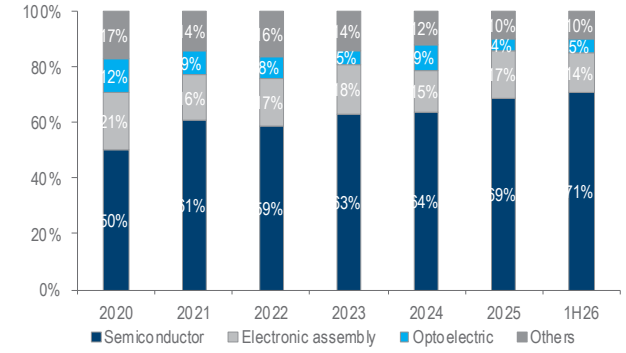
Source: Company, Daiwa

To avoid the risk of over-concentration, Acter diversifies its client portfolio across semiconductor foundries, memory, PCB, OSAT, ODM hardware assembly, CSP data centres and the consumer industry. By sector, semiconductor projects represent the largest share of Acter's portfolio, accounting for 66% of total revenue in 1H26, vs. 69% in 2025. Foundry manufacturing is the largest source of demand for cleanrooms in Taiwan, especially as advanced-node capacity expands at sites in Hsinchu, Taichung and Kaohsiung. In the memory segment, the company executes turnkey engineering builds to expand its capacity aggressively, creating cleanroom opportunities across Taiwan, Japan and Singapore. This multi-sector coverage decreases the risk of cyclical downturns in any individual segment, in our view.

Acter provides cleanroom services for numerous industries, across multiple regions

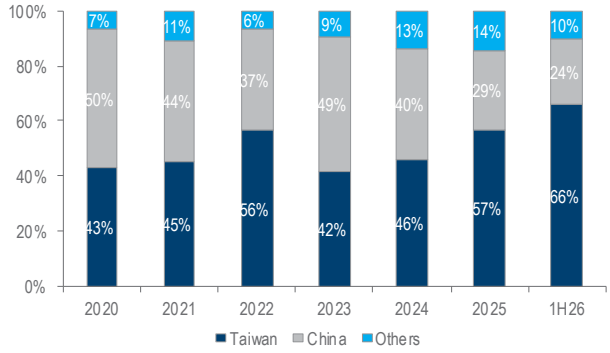
By establishing 33 operating entities across 11 international regions, the company effectively captures capex migration driven by global N+1 supply chain diversification. This allows Acter to support Taiwanese and international clients as they expand manufacturing capacity from Taiwan into Southeast Asia, Japan and the US. Due to the complexity of advanced-node IC manufacturing, packaging and testing, it is especially important for these Taiwanese semiconductor companies to work with familiar cleanroom builders when expanding in the US. This is one of the reasons why Taiwanese cleanroom companies are receiving overseas orders and starting to set up global bases, in our view. Despite higher management, material, and manpower costs in the US, most cleanroom companies are benefitting from the trend by improving margins, given the higher complexity and risks to operate overseas. Across overseas hubs in Texas and Phoenix (expected to begin from 2027), Acter prioritises local hiring and partners with regional civil contractors to shorten the learning curve and to avoid the high overhead. To further address the potential labour shortages in the future, the company has established cross-border academic and vocational partnerships to bring Southeast Asian talent to Taiwan for technical training before deploying them back to their home markets, securing future human capacity to support global expansion projects.

Acter: revenue by clients' industry



Source: Company, Daiwa

Acter: revenue by geography

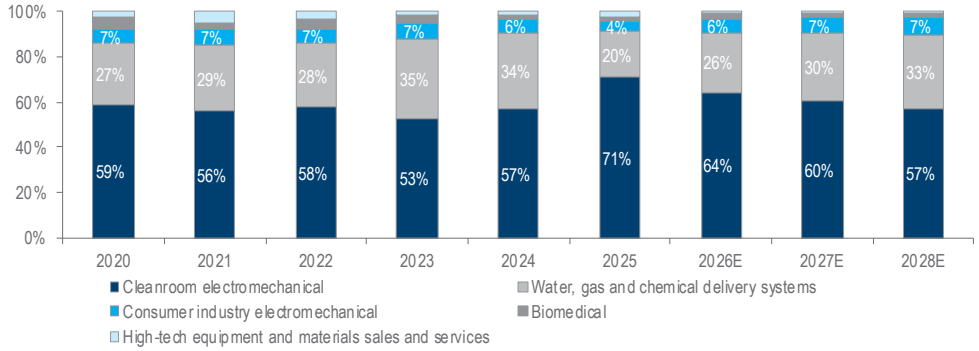


Source: Company, Daiwa

Semiconductor-related business in Taiwan is the major revenue stream for Acter

By product, cleanroom electromechanical services remain Acter's largest source of revenue (accounting for 66% of 1H26 revenue, per the company). These services include cleanroom architectural and MEP engineering, which powers airflow, filtration, environmental regulation and utility controls. Water, gas and chemical delivery systems are its second-largest source of revenue (accounting for 24% of 1H26 revenue, per the company). Contributed mainly by Novatech (6613 TT, not rated) and Rayzher (7703 TT, not rated), these services cover the main systems and hook-up systems, for ultra-pure water (UPW), specialty gases, chemical piping, etc., all of which require highly precise build-up work. Except for cleanroom electromechanical and water, gas and chemical delivery systems, the rest of Acter's revenue comes from the consumer industry services electromechanical (5%), biomedical (3%), and high-tech equipment and materials sales and services (1%).

Acter: revenue by product



Source: Company, Daiwa

Technically, Acter integrates digital transformation and green engineering into its business model, helping it differentiate from peers. Acter deploys digital twin technology and 1:1 3D BIM modelling to detect piping interferences and optimise spatial layout before installation, minimising schedule delays. This makes Acter a more reliable option, in our view, and thus being a favourable supplier, especially for the semiconductor clients that have extremely high quality and swiftness criterion.

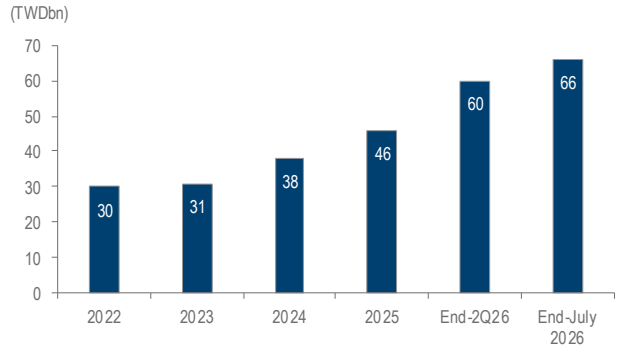
Bright outlook: strong order visibility

Rising orders on hand due to supply-demand imbalance for cleanrooms

Acter's order backlog has increased from TWD55bn in 1Q26 to TWD60bn in 2Q26 and TWD66bn in July 2026. We expect this figure to further increase in the following quarters, given the supply-demand imbalance in the cleanroom sector. This is composed of semiconductor (63%), electronic assembly (11%), consumer (9%) and others (17%), per the company. In 2H25, the company accelerated the digestion of small-scale projects below TWD1bn, and, as a result, starting from 1H26, it successfully shifted its project

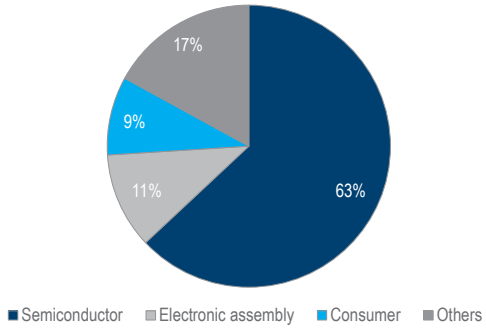
selection strategy to focus on large-scale projects valued at TWD1bn or above while reducing smaller contracts. This drives the growth in top-line.

Acter: order backlog



Source: Company, Daiwa

Acter: order backlog by clients' industry



Source: Company, Daiwa

OSAT customers have large order backlogs with Acter, which should drive future growth for the company

Back-end packaging, cloud infrastructure and hardware assembly are additional growth drivers. Acter serves as a contractor for both Taiwanese and overseas OSAT providers, including TWD21.7bn contracts YTD, awarded by a major OSAT client vs. TWD16.6bn contract obtained from the same client in 2025. In cloud infrastructure, Acter maintains qualified supplier status with US CSPs, providing mechanical, electrical and plumbing (MEP) integration, especially for those data centres that implement liquid-cooling systems. The company also wins factory construction projects for Taiwanese ODMs across the US and Southeast Asia, as well as PCB facility projects in Thailand and China. Non-tech sectors, including biotechnology, commercial buildings, smart logistics hubs and medical facilities, comprise 9% of the total backlog, per management.

Acter: contracts signed with one major OSAT client

Date of announcement	Type	Constructor	Amount (TWDm)
2026/1/7	EPCM	Acter	596
2026/1/16	EPCM	Acter	969
2026/1/22	EPCM	Acter	880
2026/2/23	EPCM	Acter	659
2026/4/15	EPCM	Acter	1,166
2026/4/27	EPCM	Acter	1,075
2026/5/6	EPCM & equipment	Acter	365
2026/5/19	EPCM	Acter	535
2026/5/27	EPCM	Novatech	947
2026/6/1	EPCM	Acter	550
2026/6/22	EPCM & equipment	Acter	349
2026/6/25	EPCM	Novatech	508
2026/7/2	EPCM	Acter	662
2026/7/8	EPCM	Acter	679
2026/7/13	EPCM	Acter	1,990
2026/7/20	EPCM	Acter	1,074
2026/8/5	EPCM	Acter	2,046
2026/8/5	EPCM	Novatech	714
2026/8/10	EPCM	Acter	841
2026/8/12	EPCM	Acter	582
2026/8/17	EPCM & equipment	Acter	389
2026/9/2	EPC	Acter	542
2026/9/17	EPC & equipment	Acter	462
2026/9/30	EPC	Acter	2,037
2026/10/1	EPC	Acter	1,055
Total for 2026 YTD			**21,675**
Total for 2025			**16,554**

Source: Companies, Daiwa

Competitive advantages

High entry barriers to the segment

Comprehensive product portfolio, empowered by subsidiaries

The supply of cleanroom services is limited due to high entry barriers in the segment

Acter provides a one-stop EPCM solution, leveraging its subsidiaries to deliver complete solutions. Within the group, the parent company Acter focuses on overall cleanroom and MEP system integration; subsidiary Novatech provides primary chemical systems and hook-up systems; and sub-subsidiary Rayzer specialises in primary specialty-gas systems and hook-up systems. In China, Suzhou Winmax, also a subsidiary of Novatech, focuses on the supply of wet processing and chemical handling equipment. This integrated model covers cleanroom engineering integration, water, power, chemical and gas-utility systems, as well as post-completion validation and maintenance, ensuring cross-system compatibility while mitigating risks associated with multi-contractor hiring.

Under global supply chain diversification trends, this unified group strategy strengthens order-winning capabilities in overseas markets. Clients expanding internationally face regulatory, linguistic and supply-chain complexities, favouring partners that offer one-stop services with a proven cross-border track record.

A diverse client base helps Acter weather economic cycles

Acter's main competitive advantage is its diversification of clients by industry and region. This guides the company through the peaks and troughs of the economy, which is especially crucial given the strong cyclicality of the semiconductor/high-tech industry. Acter serves a broad client base across semiconductors, OSAT, PCB, electronics assembly (ODM), CSP data centres, biopharmaceuticals and even the consumer industry (including commercial real estate and logistics), whereas many peers rely on a few large foundry clients. When semiconductor demand slows, capacity expansion in the PCB or data centre sectors offset the decline. Additionally, Acter avoids concentration risk and margin compression from major foundry accounts, as projects from leading foundries yield lower margins; by serving niche markets like US-based CSPs, the company achieves higher gross margins.

Geographically, Acter operates across Taiwan, China, Southeast Asia, the US and other countries. The company has OSAT and foundry customers in Taiwan and China, PCB clients expanding into Thailand, and ODM and data centre clients establishing operations in the US. Across different countries, local hiring and local supply chain implementation can further reduce costs and increase efficiency relative to peers reliant on a cross-border labour force.

Labour shortages

Amid global labour shortages, Acter minimises the operational impact and turns workforce constraints into a moat through localised talent development. Since engineering labour cannot easily be automated, Acter has built a cross-border talent pipeline via industry-academia partnerships. The company recruits Southeast Asian students for specialised M&E engineering training in Taiwan, deploying them to global project sites after their graduation to solve labour bottlenecks. This structure maintains an engineering team with an average tenure of more than 7 years, creating an operational barrier in an industry with a high employee turnover rate.

Compared with peers relying on high-cost personnel sent from Taiwan, we note that Acter's local hiring strategy creates cost and efficiency advantages. Prioritising compliant local hiring across overseas markets reduces travel expenses while accelerating integration with local supply chains and regulations. Localised teams also handle post-completion services and technical support directly on-site, building long-term client trust in overseas markets.

Numerous competitors, each with different specialisation

Some competitors, unlike Acter, lack a diversified client base

Acter faces different competitors across its main product lines. In the EPCM segment, including cleanroom and MEP works, key competitors include UIS (2404 TT, not rated), L&K (6139 TT, not rated), Yankey (6691 TT, not rated) and Jiuhan (6903 TT, not rated). Despite having business models similar to Acter, UIS, Yankey and Jiuhan focus more on major semiconductor players in both Taiwan and the US, and L&K concentrates on ASEAN semiconductor projects. In the equipment/material sales and agency space, Acter mainly competes with Marketech (6196 TT, not rated). In the water, gas and chemical delivery systems area, through Novatech and Rayzher, Acter group competes with Marketech, Mega Union (6944 TT, not rated), Taiwan Puritic (6826 TT, not rated), Trusval (6667 TT, not rated) and Cica-Huntek (6725 TT, not rated).

In our view, despite the competitive environment, Acter maintains a formidable competitive moat built on several key advantages. We attribute this to its more than 45 year experience in the industry, enabling it to develop specialised expertise that is hard for competitors to replicate.

Acter: peer comparison (cleanroom related)

Company	Ticker	Market Cap (USDm)	Market	Main thermal product	2025 Product mix	2025 Segment breakdown	2025 Market breakdown
Acter	**5536 TT**	**4,070**	**Taiwan**	**EPCM turnkey solutions**	**Cleanroom electromechanical (71%), water, gas and chemical delivery systems (20%), consumer industry electromechanical (4%), biomedical (2%) and high-tech equipment & materials sales & services (3%).**	**Semiconductor (69%), electronics assembly (17%), optoelectronics (10%), others (4%)**	**Taiwan (57%), China (29%), others (14%)**
Novatech	6613 TT	708	Taiwan	Gas and chemical delivery systems and wet processing equipment	Equipment (46%), engineering (47%), eco-integration (7%)	Semiconductor (85%), optoelectronics (7%), others (8%)	China (50%), Taiwan (45%), others (5%)
Rayzher	7703 TT	225	Taiwan	Gas delivery systems	Hook-up systems (52%), primary system (28%), small-scale works (18%), equipment & material sales (3%)	Semiconductor, equipment and material providers, gas system providers, optoelectronics	Taiwan (99%), China & Japan (1%)
Acter Technology Integration	603163 CH	1,102	China	EPCM turnkey solutions	Cleanroom electromechanical (65%), other electromechanical (32%), equipment & material sales (2%)	Semiconductor (60%), precision manufacturing (34%), optoelectronics (2%), others (4%)	China (58%), others (42%)
UIS	2404 TT	7,957	Taiwan	EPCM turnkey solutions	System integration (100%)	Foundries, memory	Taiwan (67%), U.S. (25%), China (3%), Singapore (3%), Japan (1%)
L&K	6139 TT	5,820	Taiwan	EPCM turnkey solutions	Turnkey solutions (63%), electromechanical (25%), cleanroom builds (8%), delivery systems (4%)	Semiconductor (74%), railway/highway/airport (10%), MRT (7%), commercial (4%), energy (2%), expropriation (2%), others (1%)	ASEAN (59%), Taiwan (34%), China (7%)
Marketech	6196 TT	4,634	Taiwan	Gas and chemical delivery systems, Cleanroom equipment manufacturing/representative, EPCM turnkey solutions	Gas and chemical delivery systems (39%), representative for equipment (25%), equipment manufacturing (18%), turnkey solutions (18%)	Semiconductor (81%), optoelectronics (6%), others (13%)	Taiwan (45%), China (18%), U.S. (17%), others (20%)
Yankey	6691 TT	3,253	Taiwan	EPCM turnkey solutions	CSA (civil, structural & architectural), MEP (mechanical, electrical & plumbing), CR (cleanroom)	Semiconductor (58%), PCB (15%), optoelectronics (11%), data centres (6%), office (6%), electronic components (2%), others (1%)	Taiwan (89%), China (6%), others (5%)
Jiuhan	6903 TT	684	Taiwan	EPCM turnkey solutions	EPCM turnkey solutions (100%)	AI-related (83%), public works (17%)	Taiwan (100%)
Mega Union	6944 TT	2,842	Taiwan	UWS (ultrapure water systems), wastewater recycling, water treatment engineering	Water treatment engineering (80%), O&M/chemicals/consumables (20%)	Semiconductor and other high-tech industry	Taiwan (69%), U.S. (19%), Singapore (10%), China (2%)
Taiwan Puritic	6826 TT	1,223	Taiwan	Gas delivery systems	Gas primary system (83%), gas equipment (17%)	High-tech industry (100%)	Taiwan (73%), Americas (18%), Asia (9%)
Trusval	6667 TT	468	Taiwan	Water, gas and chemical delivery systems	Primary and hook-up systems (92%), eco-integration (4%)		Taiwan (96%), others (6%)
Cica-Huntek	6725 TT	253	Taiwan	Chemical delivery systems	Primary and hook-up systems (73%), system integration engineering (20%), system maintenance (7%)		Taiwan (87%), Asia (13%)

Source: Companies, Bloomberg, Daiwa

Financial analysis

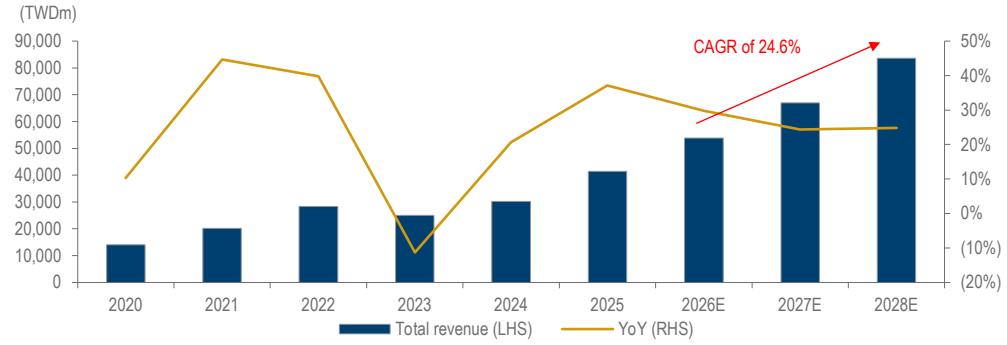
We forecast the company's net profit to rise at a CAGR of 36.9% over 2026-28E, driven by a revenue CAGR of 24.6% due to surging demand from the high-tech industry (an increase in the order backlog to TWD66bn at the end of July 2026 vs. TWD46bn at end-2025) and a 3.3pp expansion in operating margin over 2026-28E, driven by the gross margin improvement from more favourable project wins and operating leverage.

Strong order visibility, with revenue expected to grow across all sectors over 2026-28E

We forecast Acter's revenue to record a CAGR of 24.6% over 2026-28E

We forecast Acter's revenue to increase at a CAGR of 24.6% over 2026-28E, driven by scale expansion and a growing demand from various industries, including semiconductor, electronic assembly, optoelectronics and others.

Acter: revenue growth trend



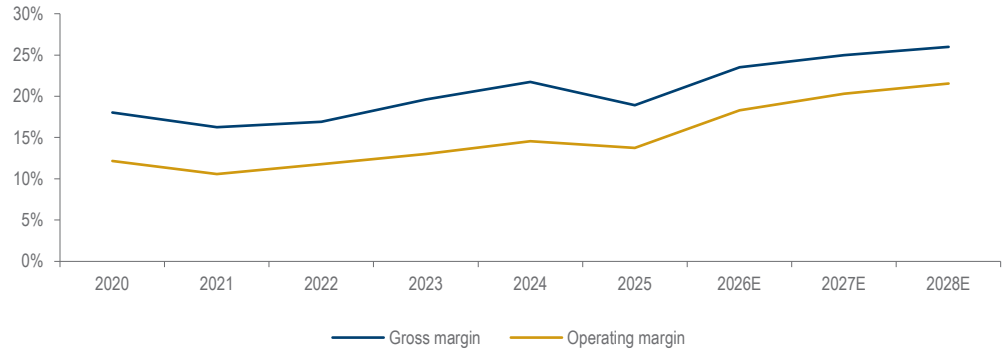
Source: Company, Daiwa forecasts

Gross- and operating-margin expansion trend

We forecast an upward operating-margin trend over 2026-28E

Over 2026-28E, we forecast Acter's gross and operating margins to expand on rising revenue scale and a higher complexity of cleanrooms for advanced manufacturing. We note that the gross margin from high-tech cleanrooms is higher than that from consumer industries, such as commercial buildings and biopharmaceuticals. Thus, we estimate the company's gross margin to reach 26.0% in 2028E from 18.9% in 2025 and its operating margin to reach 21.6% in 2028E from 13.7% in 2025.

Acter: gross- and operating-margin trend



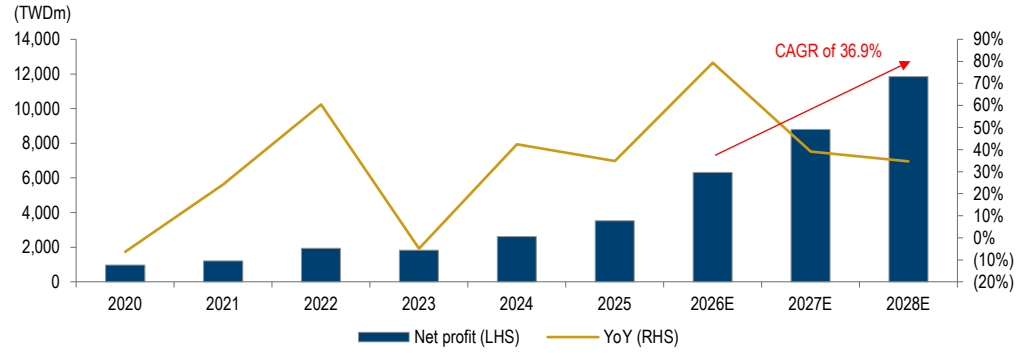
Source: Company, Daiwa forecasts

Net margin likely to rise over 2026-28E

We forecast a net profit CAGR of 36.9% for Acter over 2026-28E

We forecast Acter's net profit to rise to TWD8,797m in 2027E and TWD11,851m in 2028E (from TWD6,325m in 2026E). We expect its net margin to come in at 13.1% in 2027E and 14.2% in 2028E (vs. 11.7% in 2026E) and for its net profit to grow at a CAGR of 36.9% over 2026-28E.

Acter: net profit trend



Source: Company, Daiwa forecasts

Quarterly P&L

Acter: quarterly P&L

(TWDm)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	11,603	13,381	13,959	14,900	14,900	16,128	17,242	18,713
Gross profit	2,945	2,762	3,211	3,736	3,427	4,032	4,310	4,976
Operating profit	2300	2126	2499	2930	2697	3258	3517	4125
Profit before tax	2371	2232	2569	3000	2720	3281	3540	4148
Net profit	1583	1361	1547	1835	1786	2092	2269	2651
Basic EPS (TWD)	12.76	10.97	12.46	14.79	14.39	16.86	18.28	21.36
Margin								
Gross margin	25.4%	20.6%	23.0%	25.1%	23.0%	25.0%	25.0%	26.6%
Operating margin	19.8%	15.9%	17.9%	19.7%	18.1%	20.2%	20.4%	22.0%
Pre-tax margin	20.4%	16.7%	18.4%	20.1%	18.3%	20.3%	20.5%	22.2%
Net margin	13.6%	10.2%	11.1%	12.3%	12.0%	13.0%	13.2%	14.2%
YoY								
Revenue	35.6%	22.7%	26.4%	35.8%	28.4%	20.5%	23.5%	25.6%
Gross profit	91.7%	31.5%	63.1%	66.6%	16.4%	46.0%	34.3%	33.2%
Operating profit	124.6%	35.5%	58.3%	91.1%	17.3%	53.3%	40.8%	40.8%
Profit before tax	109.3%	45.8%	46.2%	82.8%	14.7%	47.0%	37.8%	38.3%
Net profit	146.3%	57.9%	51.6%	83.1%	12.8%	53.7%	46.7%	44.5%
QoQ								
Revenue	5.7%	15.3%	4.3%	6.7%	0.0%	8.2%	6.9%	8.5%
Gross profit	31.3%	-6.2%	16.3%	16.4%	-8.3%	17.7%	6.9%	15.4%
Operating profit	50.0%	-7.6%	17.5%	17.2%	-7.9%	20.8%	8.0%	17.3%
Profit before tax	44.5%	-5.9%	15.1%	16.8%	-9.3%	20.6%	7.9%	17.2%
Net profit	58.0%	-14.1%	13.7%	18.6%	-2.7%	17.1%	8.5%	16.8%

Source: Company, Daiwa forecasts

Intact demand to support revenue growth over our forecast horizon; ROE expansion underway

We expect stronger cash balances and FCF over 2026-28E due to better profitability

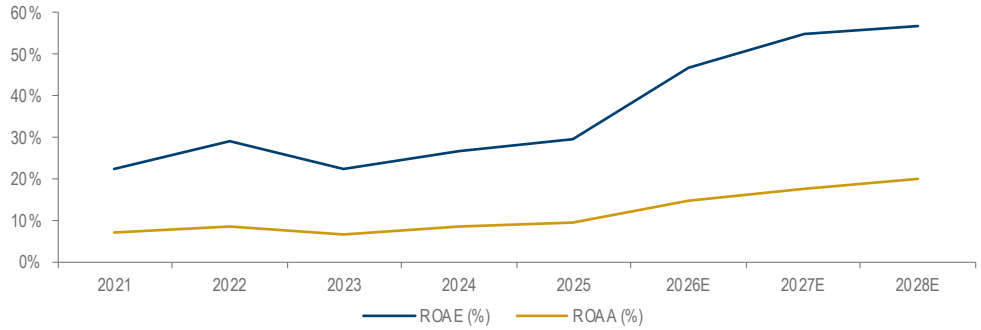
We forecast Acter's total cash and equivalents to reach TWD16,838m (36.8% of its total assets) in 2026E and increase to TWD27,839m in 2028E (42.8% of total assets) with net cash likely to come in at TWD16,244m in 2026E and TWD27,245m in 2028E.

After factoring in our 2027 and 2028 capex assumptions of TWD180m, we expect Acter's free cash flow (FCF) to improve to TWD12,129m in 2028E, from TWD5,763m in 2026E. We believe the capacity expansion cost will initially be low and that the company will continue to benefit from the better profitability.

Strong ROE outlook over 2026-28E

We expect Acter's ROE to improve to a record-high of 56.8% in 2028E from 29.3% in 2025 (following steady annual increases to 46.8% in 2026E and 54.9% in 2027E), which we attribute to margin expansion from the revenue size increase and gross margin expansion led by increases in cleanroom complexity.

Acter: ROAE and ROAA trend



Source: Company, Daiwa forecasts

Valuation and risks

Undemanding valuation, alongside its leading global positions in the OSAT and memory segments and an optimistic industry outlook

12-month TP of TWD1,415, based on a target PER of 20x

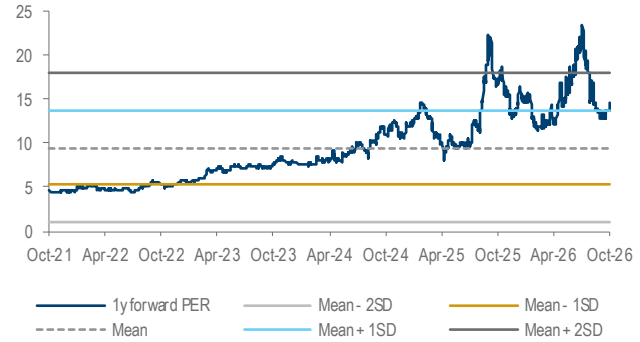
We initiate coverage of Acter with a Buy (1) rating and 12-month TP of TWD1,415, based on a target PER of 20x applied to our one-year-forward EPS forecast. This target multiple is higher than the average of its past-3-year 1-year-forward PER of 12.2x (ranged from 7.4x to 23.5x) and the average of its past-5-year 1-year-forward PER of 9.6x (ranged from 4.4x to 23.5x), which we view as undemanding as we forecast a 36.9% net profit CAGR over 2026-28E, implying a 0.54x PEG. This is supported by its business expansion in the next 2-3 years. We see potential for a rerating of the stock, given Acter's global leadership in cleanroom EPCM, particularly in the OSAT and memory industries.

The stock is trading currently at a 15.8x 1-year-forward PER vs. its earnings CAGR of 36.9% over 2026-28E, translating to a 0.43x PEG ratio. Its share price has underperformed TAIEX Index by 32.7% in 3Q26, mainly due to its weaker-than-expected 2Q26 results. However, given the potential improvement in sector sentiment following TSMC's results on 15 October 2026, along with the likelihood that Acter's revenue momentum will strengthen in the coming months, we recommend that investors buy the stock.

Acter: past-3-year-forward PER (average: 12.0x)

Source: Bloomberg, Daiwa estimates

Acter: past-5-year-forward PER (average: 9.5x)



Source: Bloomberg, Daiwa estimates

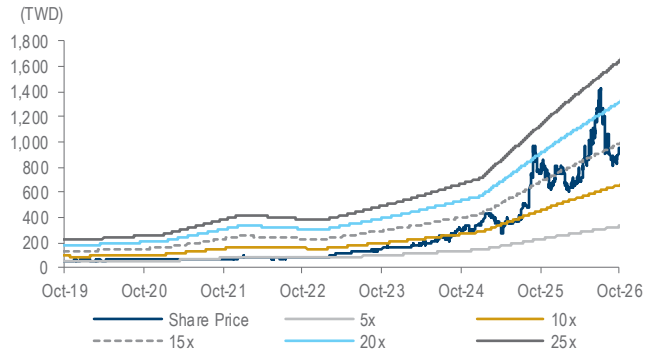
We compare Acter with other leading cleanroom EPCM companies such as UIS (2404 TT, TWD1,330.0, not rated), L&K (6139 TT, TWD787.0, not rated) and Yankey (6691 TT, TWD776.0, not rated). UIS, L&K and Yankey are trading at a PER of 14.7x (earnings CAGR of 40.7% over 2025-27E), 9.5x (earnings CAGR of 36.9% over 2026-28E) and 15.1x (earnings CAGR of 53.6% over 2025-27E), on their 1-year-forward EPS, respectively.

Stronger earnings growth outlook and more room to grow vs. peers

Acter's peers are trading at 18.7x for 2026E and 14.2x for 2027E. We forecast Acter to deliver an EPS CAGR of 36.9% over 2026-28E vs. 31.5% CAGR for the segment over the same period.

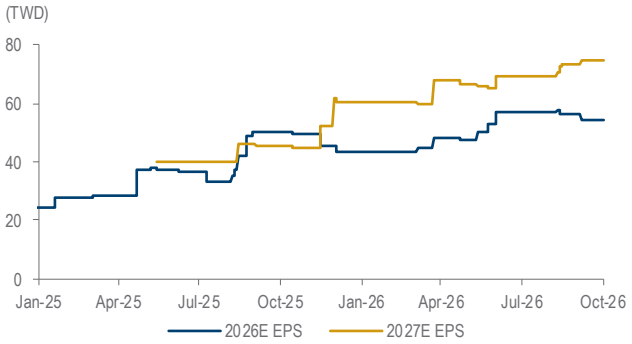
We believe our target one-year-forward PER of 20x (equivalent to a 0.54x PEG using 2026-28E EPS CAGR) is undemanding as: **1) Acter is ramping up capacity to meet growing demand from high-tech customers and is in an expansion cycle;** and **2) its leading position among OSAT and memory clients warrants a valuation premium, compared to its global peers**.

Acter: 1-year-forward PER bands



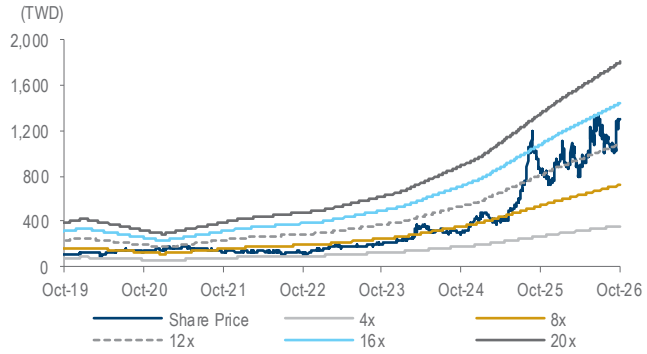
Source: Bloomberg, Daiwa forecasts

Acter: earnings revision trend



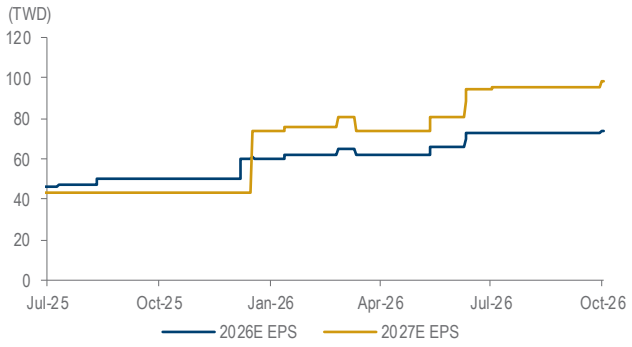
Source: Bloomberg, Daiwa

UIS: 1-year-forward PER bands



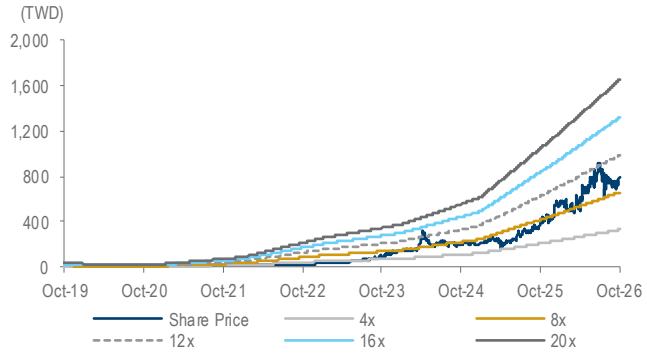
Source: Bloomberg, Daiwa forecasts

UIS: earnings revision trend



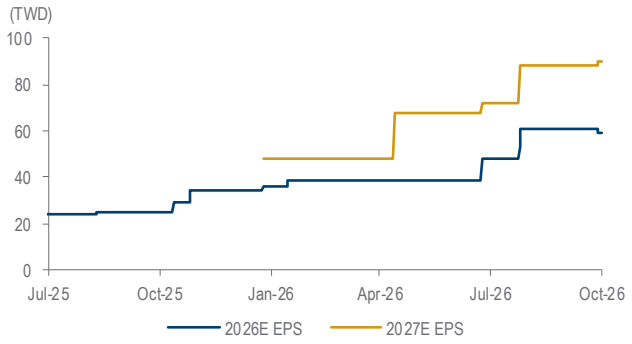
Source: Bloomberg, Daiwa

L&K: 1-year-forward PER bands



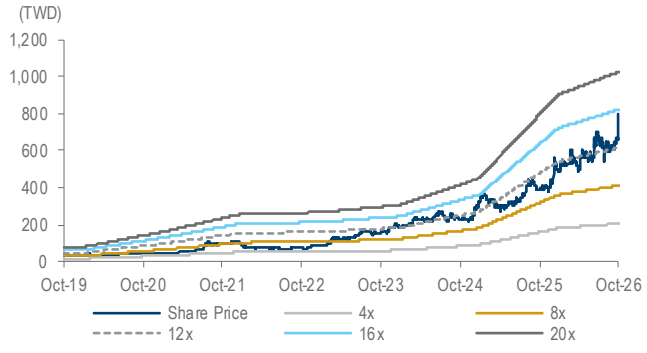
Source: Bloomberg, Daiwa forecasts

L&K: earnings revision trend



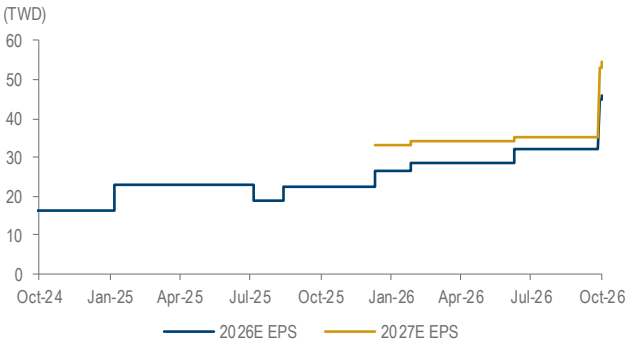
Source: Bloomberg, Daiwa

Yankey: 1-year-forward PER bands



Source: Bloomberg, Daiwa forecasts

Yankey: earnings revision trend



Source: Bloomberg, Daiwa

Acter: peers valuation comparison

Companies	Bloomberg code	Price (lc) 7/10/26	Daiwa rating	Market cap (USDm)	D. turnover (USDm)	PER (x) 2026E	PER (x) 2027E	PER (x) 2028E	EPS CAGR 2026-28E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E	PBR (x) 2026E	PBR (x) 2027E	PBR (x) 2028E	Dividend yield (%) 2026E	Dividend yield (%) 2027E	Dividend yield (%) 2028E
Acter*	***5536 TT***	***1,045.0***	***Buy***	***4,070***	***33.4***	***20.6***	***14.8***	***11.0***	***36.9***	***46.8***	***54.9***	***56.8***	***9.3***	***7.2***	***5.5***	***3.4***	***4.7***	***6.4***
Novatech	6613 TT	290.0	Non rated	708	3.8	15.5	11.6	8.1	38.4	27.9	34.3	n.a.	n.a.	n.a.	n.a.	5.1	6.8	n.a.
Rayzher	7703 TT	206.0	Non rated	225	0.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Acter Technology Integration	603163 CH	73.9	Non rated	1,102	9.6	33.8	22.3	17.6	38.5	17.0	22.4	24.9	5.7	4.9	4.2	1.6	2.4	3.7
UIS	2404 TT	1,330.0	Non rated	7,957	68.0	17.9	13.5	11.0	27.7	56.0	48.0	47.3	n.a.	n.a.	n.a.	4.6	5.5	n.a.
L&K	6139 TT	787.0	Non rated	5,820	81.6	13.3	8.8	7.1	36.9	64.0	64.1	n.a.	n.a.	n.a.	n.a.	5.2	8.3	n.a.
Marketech	6196 TT	670.0	Non rated	4,634	27.8	23.5	20.5	19.3	10.4	34.5	32.3	30.2	7.2	6.1	5.4	2.3	2.6	2.6
Yankey	6691 TT	776.0	Non rated	3,253	16.8	16.9	14.2	n.a.	n.a.	67.2	62.1	n.a.	8.6	5.5	n.a.	4.9	5.8	n.a.
Jiuhan	6903 TT	327.0	Non rated	684	4.7	9.8	7.4	n.a.	n.a.	46.9	42.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Mega Union	6944 TT	908.0	Non rated	2,842	12.2	22.9	18.2	n.a.	n.a.	44.1	46.0	n.a.	6.6	8.2	n.a.	2.7	3.2	n.a.
Taiwan Puritic	6826 TT	455.5	Non rated	1,223	1.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Trusval	6667 TT	278.5	Non rated	468	2.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Cica-Huntek	6725 TT	217.0	Non rated	253	0.8	12.5	10.5	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
	Industry average					***18.7***	***14.2***	***12.4***	***31.5***	***44.9***	***45.2***	***39.8***	***7.5***	***6.4***	***5.0***	***3.7***	***4.9***	***4.2***

*Source: Bloomberg; *Daiwa forecasts*

Our 12-month TP of TWD1,415 is also supported by our DCF valuation

We also reference a DCF methodology (see charts below), which indicates a DCF-derived fair value estimate of TWD1,454/share, which supports our 12-month TP of TWD1,415.

In our DCF calculation, we apply a WACC of 19.3% to Acter's FCF over 2026-35E and a terminal growth rate of 7.0% thereafter. We expect the company to continue to record steadily increasing FCF over 2026-35E.

Acter: DCF calculation

Target gearing (debt/capital)	**0.7%**
Market risk premium (%)	**18.0%**
Risk-free rate (%)	**5.0%**
Cost of debt (%)	**5.0%**
Cost of equity (%)	**19.4%**
WACC (%)	**19.3%**
Terminal growth rate	7.0%
Terminal WACC	19.3%
Enterprise value (TWDm)	167,994
Less: net debt (as of end-2025) (TWDm)	-12,402
Equity value (TWDm)	180,396
No. shares (m)	124
Per share equity value (TWD)	**TWD1,454**

Source: Company, Daiwa estimates

Acter: DCF sensitivity

		WACC (%) 18.9	19.1	19.3	19.5	19.7
Terminal growth rate (%)	8.0	1,571	1,545	1,520	1,496	1,473
	7.5	1,533	1,509	1,486	1,463	1,442
	7.0	1,498	1,476	1,454	1,433	1,413
	6.5	1,466	1,445	1,425	1,405	1,386
	6.0	1,437	1,417	1,398	1,379	1,361

Source: Daiwa estimates

Acter: free cash flow forecasts

(TWDm)	2026E	2027E	2028E	2029E	...	2035E
EBITDA	**10,482**	**14,182**	**18,610**	**22,332**	...	**66,683**
Less: taxation (EBIT*tax rate)	-2,447	-3,293	-4,355	-5,226	...	-15,605
Plus: decrease in working capital	-2,122	-1,006	-1,946	-1,946	...	-1,946
Less: capital expenditure	-150	-180	-180	-180	...	-180
Free cash flow (TWDm)	**5,763**	**9,703**	**12,129**	**14,980**	...	**48,952**
Discount rate	19.3%	19.3%	19.3%	19.3%	...	19.3%
Discount factor	0.96	0.80	0.67	0.56	...	0.20
NPV of free cash flow	**5,510**	**7,776**	**8,145**	**8,432**	...	**9,558**

Source: Daiwa estimates and forecasts

Risks to our call

Primary/key risks:

Weaker-than-expected expansion in semiconductor industry

The biggest downside risk to our call for Acter is weaker-than-expected expansion from semiconductor clients, especially in advanced-node foundries, advanced packaging and OSAT. If global demand for AI servers, HPC or HBM slows, or if clients delay fab build-ups and overseas expansion plans, it will directly pressure order inflows and backlog conversion for Acter.

Project execution delays or cancellations

Acter's revenue recognition is tied to large, complex EPCM and integrated engineering projects, which are often subject to customer-driven delays. Any postponement in project

schedule, construction bottlenecks or cancellation of large projects could defer revenue recognition and hurt overall profit. This risk is more obvious in overseas projects, where licensing, fire-safety approvals and hazardous-chemical regulations are more complicated.

Key risks to our call: weaker-than-expected expansion in semiconductor industry, project delays or cancellations, and higher-than-expected raw-material price hikes

Higher-than-expected raw-material price hikes

Raw-material costs (especially copper and oil-related costs) account for 50-60% of COGS and thus the price volatility makes costs difficult to manage. Acter needs to maintain supplier relations, negotiate appropriate price-adjustment mechanisms with clients, and invest in R&D to identify composite material substitutes, thereby reducing reliance on any single component.

Secondary risks:

Labour issues or larger-than-expected increases in labour costs

Cleanroom engineering is highly labour-intensive and relies on on-site installation and supervision. Although Acter has built a local hiring and talent-development model, a larger-than-expected shortage of engineers or rising wage pressure could still raise costs and constrain capacity expansion. Any inability to secure enough skilled labour may also limit the company's ability to convert orders into revenue in time.

Margin pressure from lower-margin projects or mix shift

Acter's business mix includes a few low-margin C&S services as well as larger EPCM and system integration contracts. If the company takes on a higher proportion of lower-margin projects, or if competition intensifies in certain geographies or customer segments, gross margin could come under pressure. In addition, an unfavourable product mix shift towards less profitable work could offset benefits from backlog growth.

Overseas expansion and regulatory risks

Acter is expanding across markets in the US, Southeast Asia, Japan and China, which exposes it to FX movements, local compliance requirements, tax complexity and regulatory uncertainty. Delays in licensing, changes in safety standards or local-content requirements could increase project costs and reduce execution efficiency. Any misstep in managing overseas operations could damage profitability and client retention.

Appendix

Company background

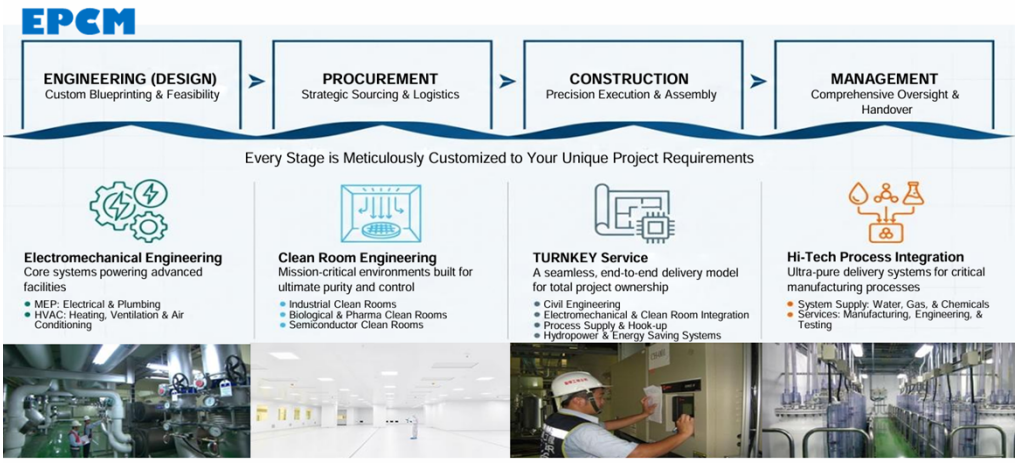
History

Comprehensive cleanroom EPCM provider in Taiwan; dominates both high-tech market and consumer industry

Acter (5536 TT), founded in 1979 and headquartered in Taichung, Taiwan, is a cleanroom EPCM provider with over four decades of experience. Starting with early mechanical and electrical (M&E) engineering through vertical and horizontal integration, Acter has now developed into an engineering technology group with cross-border execution capabilities. A cleanroom building process begins with **civil & structural (C&S) works** to establish the physical plant, followed by **mechanical, electrical, and plumbing (MEP) works** for essential utility generation, where Acter is one of the experts. After MEP is finished, chemicals/gas/water are then distributed via main systems **through primary piping networks**, and finally delivered to production equipment through **hook-up systems**. The company's core competency is providing one-stop integrated total solutions, spanning services, primary piping networks and hook-up systems, leaving C&S services to other engineering peers, given the nature of the latter segment's low margin and long timespan.

In terms of business model, Acter delivers EPCM (Engineering, Procurement, Construction, Management) capabilities. From initial customised planning and feasibility assessments to strategic procurement, installation, and post-completion maintenance, Acter builds production environments tailored to client process requirements.

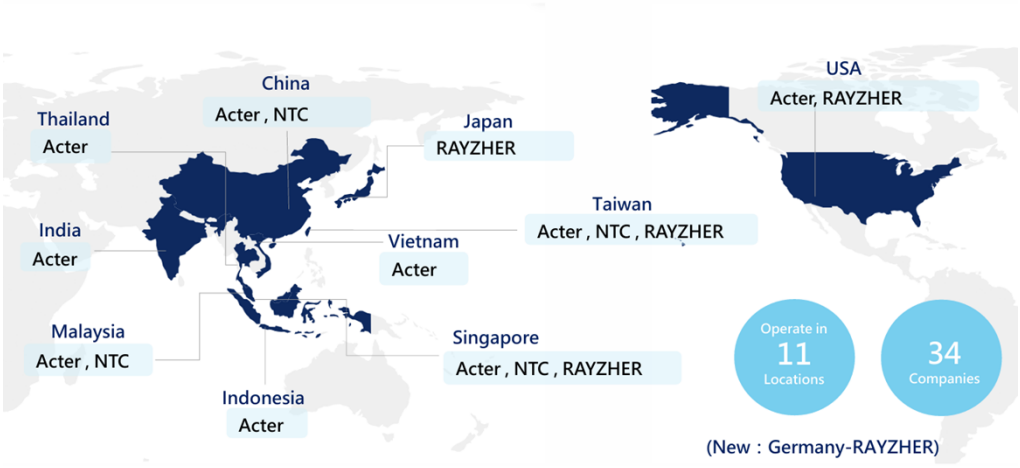
Acter: EPCM solutions offered



Source: Company, Daiwa

Regarding global expansion, Acter actively responds to the global supply chain's "N+1" strategy, operating across 11 regions with 33 companies globally. Its service network spans Taiwan, China, Southeast Asia (including Thailand, Malaysia, Vietnam, Indonesia, and Singapore), Japan, India, and the US. The company leverages a group synergy strategy by integrating resources from key subsidiaries – such as Novatech (6613 TT, not rated; provides chemical primary and hook-up systems), Rayzher (7703 TT, not rated; provides special gas primary and hook-up supply systems), and Acter Group (603163 CH, not rated; provides cleanroom engineering in China) – to form a complete technical ecosystem, ensuring cross-border capability and quality.

Acter: global footprint



Source: Company, Daiwa

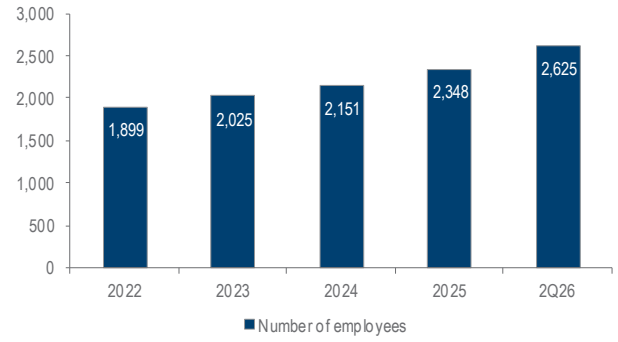
In 2Q26, Acter classified revenue as: cleanroom electromechanical (63%), water, gas and chemical delivery systems (28%), consumer industry electromechanical (6%), biomedical (2%) and high-tech equipment & materials sales & services (1%). In 2025, the product mix was: cleanroom electromechanical (71%), water, gas and chemical delivery systems (20%), consumer industry electromechanical (4%), biomedical (2%) and high-tech equipment & materials sales & services (3%).

Young, capable human resource is a crucial asset for Acter

Acter serves a diversified client base divided into high-tech and consumer divisions. The high-tech division focuses on advanced sectors including semiconductors, OSAT, PCB, AI data centres (for CSPs), and electronics assembly. The consumer division extends into healthcare, premium commercial properties, logistics facilities, and green engineering. This multi-industry strategy allows the company to capitalise on tech sector upgrades while maintaining resilient operations across technology (especially semiconductor) cycles.

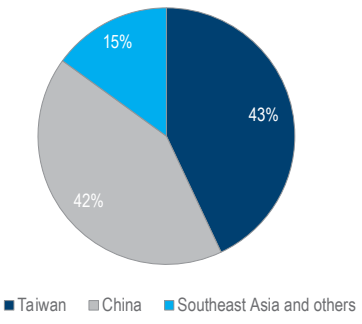
Acter adopts a management strategy involving local hiring in overseas markets, prioritising collaboration with local supply chains and compliance with local regulations to reduce cross-border deployment costs and thus build strong local teams. Acter has more than 2,600 employees worldwide (average age: 42 years; average length of service: 7 years). With more than 45 years of experience in EPCM, the company plays a reliable role for both high-tech and consumer industry.

Acter: number of employees



Source: Company, Daiwa

Acter: location of employees (as of June 2026)



Source: Company, Daiwa

Furthermore, Acter integrates ESG sustainability into its core corporate identity and technological innovation. As a green engineering provider, the company develops energy-saving construction methods, digital twins, ice-storage energy conservation, wastewater recycling, and AI smart facility management systems to help clients achieve carbon neutrality while expanding capacity. Backed by solid corporate governance, Acter

Acter integrates ESG capabilities into its core corporate value

consistently ranks among the top performers in Taiwan's corporate governance evaluations, maintaining a stable dividend payout policy and strong ROE as one of the leading facility engineering vendors.

Acter: management team (according to 2025 annual report)

Management	Position	Background and experience
Liang, Chin-Li	Chairman/CEO	Director since founding the company in 2008. Liang possesses working experience related to refrigeration and air-conditioning; graduated from EMBA, National Chiao Tung University, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech
Hu, Tai-Tsen	Director	Director since founding the company in 2009. Hu possesses working experience related to refrigeration and air-conditioning; graduated from EMBA, Tunghai University, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech
Lai, Ming-Kun	President	Graduated from EMBA, National Taiwan University of Science and Technology, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech
Wang, Chun-Sheng	President	Graduated from EMBA, Feng Chia University, and Department of Electrical Engineering – Refrigerating and Air-conditioning, Taipei Tech

Source: Company

Acter: major shareholders (as of August 2026)

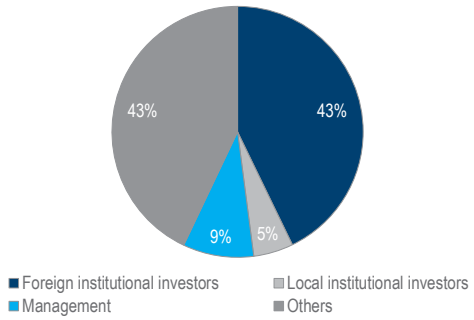
Holder	Share (%)
Xiang-Hui Development Co., Ltd.	4.35%
Chiu-Chang Investment Co., Ltd.	3.96%
Liang, Chin-Li	3.72%
JFE Engineering Co., Ltd.	2.23%

Source: TEJ

Acter: QFII holdings

Source: TEJ

Acter: shareholding structure (as of September 2026)



Source: TEJ

Glossary of terms

EPCM (engineering, procurement, construction, and management): Cleanroom construction services that cover the whole process including project design, purchasing, construction and management.

BIM (building information modelling): A digital modelling system of a building and its key information used in cleanroom construction.

C&S (civil & structural): Site infrastructure and the design and construction of load-bearing elements.

MEP (mechanical, electrical, and plumbing): Building essential systems for environment control, power, lighting, water, and drainage.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	Acter maintains a structured governance framework that supports disciplined management. The chairman is Chin-Li Liang. The company operates with defined responsibility across the board, management, cyber security oversight, operations, and audit functions. It has established an organisation function led by the President, a Chief Cyber Security Officer, a Response Team, an Operations and Policy Enforcement Team, and an Audit Team to supervise policy execution and review security implementation.
	Capital management	1	Acter manages capital in a stable and shareholder-friendly manner. Over the past several years, Acter has typically maintained a dividend payout ratio of 65-80%. It also maintains a strong financing network across multiple banks, supporting flexibility for project execution and expansion while preserving financial stability.
	Related party & transaction	1	Acter's business is supported by a transparent network of suppliers, project partners, and financial counterparties, including companies with equity ties and reciprocal business relationships that are common in its operating ecosystem. These relationships are managed through formal internal procedures for fund lending, endorsements and guarantees, and asset acquisition and disposal, all of which are approved through shareholder mechanisms and company rules. Such a structure helps keep inter-company and supply-chain transactions organised and traceable, reducing the risk of unclear dealings.
E	Product quality & safety	1	Acter executes its projects through a complete, disciplined process covering bidding assessment, project planning, design, procurement, construction management, verification and testing, completion and acceptance, closing review, and warranty service. Its cleanroom and electromechanical engineering business is built around maintaining temperature, humidity, and dust-free environments that support high-precision manufacturing. The company strengthens quality control through BIM, Revit, simulation software, ISO drawing output tools, and automated modeling, which improve design accuracy, construction efficiency, and project consistency.
E	Ecological impacts	1	Acter has built a concrete sustainability programme with measurable environmental outcomes. The company completed Scope 1, 2, and 3 greenhouse gas emissions calculation, obtained third-party verification under ISO 14064-1:2018, and publicly disclosed energy consumption and emissions data. It also implemented a strong waste reduction programme, achieving a 95% wastepaper recycling rate at headquarters in 2025 and 100% paper recycling at the 19F and 20F floors after establishing paper segregation and reuse procedures. The company also promoted sustainability measures through emissions inventory management, environmental disclosures, and resource-efficiency practices. These actions show active environmental management and a clear commitment to lowering operational impact.
	Health & safety		

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 Oct 2026

Source: Daiwa, Company

Daiwa's Asia Pacific Research Directory

HONG KONG		
Hiroyuki GOTO	(852) 2773 8870	hiroyuki.goto@hk.daiwacm.com
Regional Head of Equity, Asia & Oceania; Regional Head of Asia Pacific Research		
John HETHERINGTON	(852) 2773 8787	john.hetherington@hk.daiwacm.com
Co-Head of Asia Pacific Research and Head of Research Publications		
Li XIONG	(852) 2773 8878	li.xiong@hk.daiwacm.com
Strategy (Hong Kong/China)		
Kelvin LAU	(852) 2848 4467	kelvin.lau@hk.daiwacm.com
Regional Head of Automobiles, Industrials and Transportation		
Evelyn ZHANG	(852) 2848 4970	evelyn.zhang@hk.daiwacm.com
Automobiles and Components (Hong Kong/China)		
Carol XIA	(852) 2532 4349	carol.xia@hk.daiwacm.com
Head of China Consumer; Consumer (Hong Kong/China)		
Steven NIE	(852) 2848 4464	steven.nie@hk.daiwacm.com
Consumer (Hong Kong/China); Global Cryptocurrency		
Siman CHEN	(852) 2532 4350	siman.chen@hk.daiwacm.com
Consumer (Hong Kong/China)		
Jing YANG	(852) 2532 4308	jing.yang@hk.daiwacm.com
Head of China Healthcare		
John CHOI	(852) 2773 8730	john.choi@hk.daiwacm.com
Head of China Internet; Regional Head of Emerging Opportunities		
Lily LIU	(852) 2848 4435	lily.liu@hk.daiwacm.com
Internet (Hong Kong/China)		
Dennis IP	(852) 2848 4068	dennis.ip@hk.daiwacm.com
Head of Asia ex-Japan Power, Utilities, Renewables & ESS (PURE) Research; US & China Power Equipment (Gas, Nuclear, Solar, Grid, Battery & Rare Earth Materials); Tech Hardware – AIDC Power, PCB, Optical Fiber (China)		
Derek ZHANG	(852) 2532 4341	derek.zhang@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – Gas & Gas Equipment, Rare Earth Materials (China), Utilities (Hong Kong), Power Equipment (US)		
Marco ZENG	(852) 2848 4430	marco.zeng@hk.daiwacm.com
Power, Utilities, Renewables and ESS (PURE) – US Power, PCB (China)		

CHINA		
Louis LUO	(86) 21 6841 3282	louis.luo@daiwacm.cn
Automobiles and Components, Industrials (China)		
William WU	(86) 21 6841 3200	william.wu@daiwacm.cn
Banking, Property (China/Hong Kong)		
Mavis MA	(86) 21 6841 3288	mavis.ma@daiwacm.cn
Battery Components; Industrials (China)		
Leo LU	(86) 21 6841 3286	leo.lu@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) – Solar, ESS, Lithium, AIDC Power (China)		
Skye LIANG	(86) 21 6841 3207	skye.liang@daiwacm.cn
Power, Utilities, Renewables and ESS (PURE) - Grid, Wind and Optical Fibre (China)		
Bintuo NI	(86) 21 6841 3228	bintuo.ni@daiwacm.cn
Tech Hardware and Semiconductors (China)		

SOUTH KOREA		
Yoonki BAE	(82) 2 787 9168	yoonki.bae@kr.daiwacm.com
Automobile Components, Healthcare		
Mike OH	(82) 2 787 9179	mike.oh@kr.daiwacm.com
Banking, Capital Goods – Defence, Construction and Shipbuilding, and Utilities		
Youngho JANG	(82) 2 787 9838	youngho.jang@kr.daiwacm.com
Consumer, Healthcare		
Henny JUNG	(82) 2 787 9182	henny.jung@kr.daiwacm.com
EV Batteries and Battery Materials, IT/Electronics (Small/Mid Cap), Automobiles and Components		
Daeho SON	(82) 2 787 9176	dh.son@kr.daiwacm.com
Industrials – Robotics		
Joon LEE	(82) 2 787 9151	hj.lee@kr.daiwacm.com
Media, Software and IT Services		
Thomas Y KWON	(82) 2 787 9181	yskwon@kr.daiwacm.com
Pan-Asia Head of Internet & Telecommunications; Online Games		
SK KIM	(82) 2 787 9173	sk.kim@kr.daiwacm.com
Head of Global Memory; IT/Electronics – Semiconductors/Displays and Tech Hardware		

TAIWAN		
Rick HSU	(886) 2 8758 6261	rick.hsu@daiwacm-cathay.com.tw
Head of Regional Technology; Head of Taiwan Research; Semiconductors (Regional)		
Sheng CHENG	(886) 2 8758 6253	sheng.cheng@daiwacm-cathay.com.tw
IT/Technology Hardware (Automation, Datacentre Components and PCB/CCL) (Greater China)		
Leon CHEN	(886) 2 8758 6247	leon.chen@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Stacy LIN	(886) 2 8758 6252	stacy.lin@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Helen CHIEN	(886) 2 8758 6254	helen.chien@daiwacm-cathay.com.tw
Small/Mid Cap		

Daiwa's Offices

Office / Branch / Affiliate	Address	Tel	Fax
DAIWA SECURITIES GROUP INC			
HEAD OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6753	(81) 3 5555 3111	(81) 3 5555 0661
Daiwa Securities Trust Company	One Evertrust Plaza, Jersey City, NJ 07302, U.S.A.	(1) 201 333 7300	(1) 201 333 7726
Daiwa Securities Trust and Banking (Europe) PLC (Head Office)	5 King William Street, London EC4N 7JB, United Kingdom	(44) 207 320 8000	(44) 207 410 0129
Daiwa Europe Trustees (Ireland) Ltd	Level 3, Block 5, Harcourt Centre, Harcourt Road, Dublin 2, Ireland	(353) 1 603 9900	(353) 1 478 3469
Daiwa Capital Markets America Inc. New York Head Office	1251 Avenue of the Americas, 49th Floor, New York, NY 10020	(1) 212 612 7000	(1) 212 612 7100
Daiwa Capital Markets America Inc. San Francisco Branch	1 California St, Suite 200, San Francisco, CA 94111, U.S.A.	(1) 415 955 8100	(1) 415 956 1935
Daiwa Capital Markets Europe Limited, London Head Office	5 King William Street, London EC4N 7AX, United Kingdom	(44) 20 7597 8000	(44) 20 7597 8600
Daiwa Capital Markets Deutschland GmbH	Tower 185, 26 O.G., Friedrich-Ebert-Anlage 35-37, 60327 Frankfurt am Main, Germany	(49) 69 27139 8100	(49) 69 27139 8190
Daiwa Capital Markets Europe Limited, Paris Representative Office	40 rue du Colisée, 75008 Paris, France	(33) 1 56 262 200	(33) 1 47 550 808
Daiwa Capital Markets Europe Limited, Bahrain Branch	Office 3503, 35th Floor, United Tower, Bahrain Bay, P.O. Box 30069, Manama, Bahrain	(973) 17 534 452	(973) 17 535 113
Daiwa Capital Markets Hong Kong Limited	Level 26, One Pacific Place, 88 Queensway, Hong Kong	(852) 2525 0121	(852) 2845 1621
Daiwa Capital Markets Singapore Limited	7 Straits View, Marina One East Tower, #16-05 & #16-06, Singapore 018936, Republic of Singapore	(65) 6387 8888	(65) 6282 8030
Daiwa Capital Markets Australia Limited	Level 34, Rialto North Tower, 525 Collins Street, Melbourne, Victoria 3000, Australia	(61) 3 9916 1300	(61) 3 9916 1330
Daiwa-Cathay Capital Markets Co Ltd	14/F, 200, Keelung Road, Sec 1, Taipei, Taiwan, R.O.C.	(886) 2 2723 9698	(886) 2 2345 3638
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Daiwa Securities Co. Ltd., Beijing Representative Office	Room 301/302，Kerry Center，1 Guanghua Road，Chaoyang District，Beijing 100020, People's Republic of China	(86) 10 6500 6688	(86) 10 6500 3594
Daiwa (Shanghai) Corporate Strategic Advisory Co. Ltd.	7th Floor, Hang Seng Bank Tower, 1000 Lujiazui Ring Road, Pudong, Shanghai, People's Republic of China	(86) 21 3858 2000	(86) 21 3858 2111
Daiwa Securities Co. Ltd., Bangkok Representative Office	18th Floor, M Thai Tower, All Seasons Place, 87 Wireless Road, Lumpini, Pathumwan, Bangkok 10330, Thailand	(66) 2 252 5650	(66) 2 252 5665
Daiwa Securities Co. Ltd., Hanoi Representative Office	Suite 1101, Tower 2, Capital Place Building, 29 Lieu Giai, Ba Dinh District, Hanoi, Vietnam	(84) 4 3946 0460	(84) 4 3946 0461
DAIWA INSTITUTE OF RESEARCH LTD			
HEAD OFFICE	15-6, Fuyuki, Koto-ku, Tokyo, 135-8460, Japan	(81) 3 5620 5100	(81) 3 5620 5603
MARUNOUCHI OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6756	(81) 3 5555 7011	(81) 3 5202 2021
New York Research Center	11th Floor, Financial Square, 32 Old Slip, NY, NY 10005-3504, U.S.A.	(1) 212 612 6100	(1) 212 612 8417
London Research Centre	3/F, 5 King William Street, London, EC4N 7AX, United Kingdom	(44) 207 597 8000	(44) 207 597 8550

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Rating	Percentage of total
Buy*	73.96%
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Source: Daiwa

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產業更新 – 國防軍工產業

無人機、無人艇兵分二路，無人載具供應鏈蓄勢

What's New – 國防預算持續提高，六年編列 2,400 億元

2026 年國防總支出規劃達 9,495 億元，2027 年行政院總預算案進一步提高至 1 兆 1,225 億元，年增約 18%，後續待立法院審議。《強化國防自主暨無人載具產業發展條例》規劃六年編列 2,400 億元，每年以 400 億元為原則，支持可信任供應鏈、研發及測試能力建置。此外，行政院提出 1,457 億元國防追加預算，其中濱海監偵型、濱海攻擊型無人機及小型自殺無人艇合計 559 億元，盼於預算通過後加快採購，於 2027 年形成初始戰力。隨政策需求逐步落實，國內軍工供應鏈將由樣機開發與測試，進一步朝產線建置、零組件穩定供貨及批量交付發展。

Trends/Outlook – 無人載具供應鏈蓄勢，持續性發展可期

台灣無人機需求將沿低成本大量部署與高階情監偵兩條路線發展。前者重視採購成本、生產速度與快速補充能力，帶動模組化設計及共用零組件需求；後者強調長航時、感測品質與穩定資料鏈，商機涵蓋機體、光電酬載、導控系統及後勤服務。反無人機系統則由單一干擾設備走向多感測器、指揮控制與反制手段整合，跨品牌相容性、場域驗證及持續更新能力將成為競爭重點。無人艇方面，產業價值由船體製造延伸至自主航行、通信及任務酬載，台海風浪環境亦提高海試與可靠度驗證的重要性。研究部認為，隨部署規模擴大，具備系統整合、穩定交付及長期維保能力的業者，有機會建立持續性收入來源。

Investment Summary

1. 長榮航太(2645 TT)以軍用商規艦載監偵無人機切入市場，延伸航太製造與品質管理優勢；漢翔(2634 TT)與 Shield AI 合作，以 V-BAT 垂直起降無人機取得海巡案，後續可望拓展在地整合、維保及新增採購需求。創泓科技(7714 TT)布局 C2 無人機防禦系統與 Sentrycs 反無人機方案，商機涵蓋設備供應、偵測反制及指揮控制整合，後續關注標案導入與服務收入成長。
2. 台船(2208 TT)的「奮進魔鬼魚」採三體船與模組化酬載設計，並透過與 Havoc 合作布局自主水面載具；龍德造船(6753 TT)的「黑潮」以高速操縱與匿蹤設計為特色，結合既有軍用小型船建造經驗，爭取量產與後勤需求。研究部對台灣軍工產業中期發展持正面看法，後續隨預算、採購及產品驗證逐步落實，相關業者有望將技術與製造能力轉化為實質營運成長。

劉耀文
IPC、連接器、軍工
+886-2-2326-9899#1751
yaowen@cathayfut.com.tw

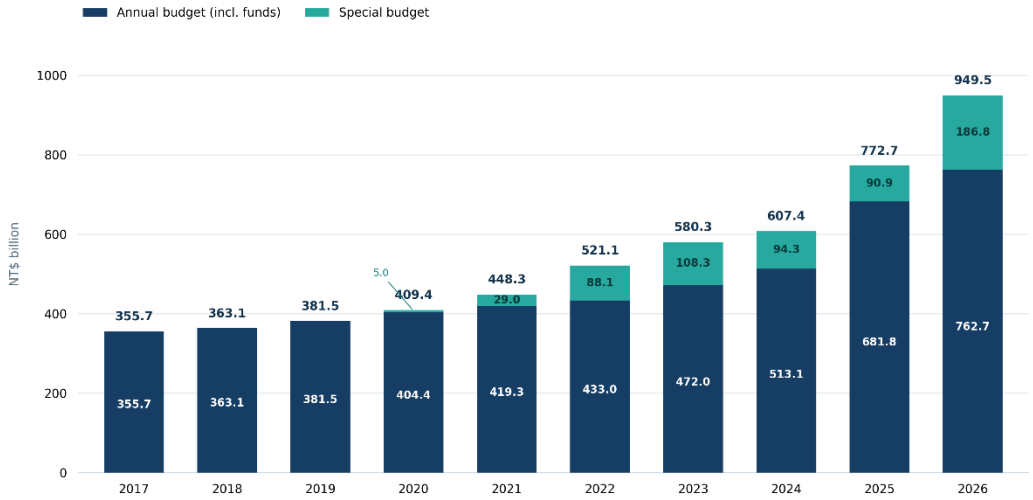
個股	代碼	預估每股盈餘(當地幣別)			每股盈餘成長率(%)			預估本益比/本淨比			目標價(當地幣別)	最新收盤價(當地幣別)	評等
		2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E			
長榮航太	2645 TT	5.46	8.63	9.68	11.4	58.0	12.2	31.6	20	17.8	220	172.5	買進
漢翔	2634 TT	0.78	2.58	2.45	-66.2	230.8	-6.2	82.2	24.8	26.2	73.5	64.1	中立
創泓科技	7714 TT	6.33	-	-	24.9	-	-	26.5	-	-	-	168.0	未評等
台船	2208 TT	-1.7	-	-	-	-	-	N/A	-	-	-	18.45	未評等
龍德造船	6753 TT	5.98	7.73	5.28	-4.3	29.3	-31.7	21.9	16.9	24.8	-	131.0	未評等

國泰期貨 國泰證券子公司

從預算增加到產線擴張，台灣軍工迎來新一輪成長

過去十年，台灣國防支出的成長，逐步為軍工產業累積更大的發展空間。如今隨著無人機、無人艇及反制系統成為國防重點，這股需求正從大型軍備採購，延伸至電子、航太與造船供應鏈。以廣義國防總支出觀察，2026 年原規劃規模達 9,495 億元，若將其分為年度預算與特別預算兩類，年度預算含基金約 7,627 億元，特別預算約 1,868 億元。年度預算支撐人員、裝備維持與持續性軍事投資，特別預算則加快重點裝備籌獲，兩者共同擴大產業需求。行政院先前也通過的 2027 年總預算案，進一步將廣義國防總支出推升至 1 兆 1,225 億元，較 2026 年原規劃增加約 18%，目前送至立法院審議，仍待後續觀察。

表一：Taiwan defense budget from 2017 to 2026



資料來源：行政院主計處、國防部、國泰證期研究部整理

六年 2,400 億元，行政院再提無人載具追加預算

如果說國防預算擴張為產業打開市場，無人載具專法則讓企業看見更長期的投入方向。9 月行政院副署的《強化國防自主暨無人載具產業發展條例》，要求循年度預算程序，連續六年編列 2,400 億元，每年以 400 億元為原則，必要時可依需求增編。政策範圍涵蓋可信任供應鏈、研發與測試場域，也將資源引導至具實質技術及製造能力的業者，讓國防採購同時成為產業升級的推力。此外，行政院也提出的 1,457 億元國防追加預算，其中「濱海監偵型」、「濱海攻擊型無人機」及「小型自殺無人艇」三項合計 559 億元。國防部已完成招商說明，希望在預算通過後加快採購，於 2027 年形成初始戰力。換句話說，產業正走到從樣機、測試走向批量交付的關鍵階段：無人機廠需要準備產線，零組件供應商需要建立穩定供貨能力，系統整合商則必須完成通信、控制與任務酬載的驗證。後續追加案等待立法院三讀。

國泰期貨 國泰證券子公司

國內無人機需求轉向大量部署及偵察視野延伸

烏克蘭讓產業看見小型無人機也能改變軍事裝備的需求結構。當無人機從少數專業單位的裝備，成為前線頻繁使用、需要持續補充的工具，產業競爭也開始從單架性能，延伸至生產速度、成本控制與快速改版。台灣正沿著這條路徑前進：政府已透過前幾年軍用商規無人機採購累積量產經驗，9 月經濟部亦公布中光電相關平台已完成軍用商規量產交付，顯示國內供應鏈逐步跨過展示與驗證階段。未來市場將形成兩條並行的成長路線。

1. **低成本、大量部署型無人機**，重點在可負擔的採購成本、穩定補充能力與持續更新；烏克蘭常見的 FPV(第一人稱視角)機型，即展現這類需求的規模潛力。台灣的濱海任務還需要兼顧飛行距離、海島環境與可信任供應鏈，因此，共用零組件、模組化設計及多家供應，將是逐步降低成本的重要方向。

2. **高階情監偵無人機**，透過更長滯空時間、更高品質的感測器與穩定資料鏈，擴大海域觀測範圍。如漢翔已確認與 Shield AI 合作取得海巡署 V-BAT 艦載無人機案，該平台具垂直起降與超過 12 小時續航能力，有利在有限甲板空間下執行長時間監偵。海軍公開規劃亦包括 2026~2029 年以約 167.9 億元籌購 32 架銳鳶二及 8 套導控站，另以 360 億元籌購 280 架艦載智慧垂直起降無人機及 140 套導控系統。這類跨年度計畫帶來的不僅是機體製造，還涵蓋光電酬載、地面站、訓練與後勤服務；後續採購與在地分工逐步落實後，具備整合及長期維保能力的廠商，有機會取得更高附加價值。

圖一：Ukrainian FPV Drone - General Cherry

資料來源：烏克蘭國防部、國泰證期研究部整理

當前線需要更多「看得見」的能力，後方的基地、機場與重要設施，也需要更完整的低空防護能力。烏克蘭國防部先前就曾指出，Mavic、Autel、Matrice 等多旋翼系統仍持續大量採購，用於前線觀測，並同步測試替代產品，也說明小型監偵與大型長航時平台各有用途。對台灣而言，這種任務分層將帶動不同等級的飛控、射頻、光學與電池管理需求，也讓資安、韌體更新及檢測認證成為供應鏈的重要環節。

另一方面，反無人機系統正從單一干擾器，走向涵蓋偵測、辨識、指揮與處置的完整架構：雷達與射頻感測發現目標，光電及熱影像協助確認，指揮控制平台整合資訊，再搭配適合的反制手段。北約 2026 年公布的反無人機框架採購，同樣採取多感測器與統一指管架構，顯示市場對整合能力的重視。國內創泓科技已推出 C2 無人機防禦系統，整合訊號偵測、光學辨識及反制模組，9 月進一步介紹 Sentrycs 代理及在地合作布局，商業機會可由設備供應延伸至系統整合、技術支援與持續更新。隨光纖操控與自主飛行等技術發展，單靠切斷無線通信的反制方式，也需要更多感測器與處

置方案配合。研究部認為，反無人機市場的競爭核心，將逐步轉向跨品牌整合、現場驗證及軟體更新能力；能在複雜環境中降低誤警、穩定辨識目標並持續維護系統的業者，更有機會建立長期客戶關係。後續觀察國防及關鍵基礎設施標案的導入進度。

圖二：Ukrainian Small ISR Drone - Mavic 3 Pro

資料來源：烏克蘭國防部、國泰證期研究部整理

無人艇從船體製造延伸至自主航行與海洋感測

當船艇能夠在無人乘載的情況下完成巡邏、觀測與運補，造船產業的競爭範圍，也從船體與推進系統延伸至自主航行、通信與感測器整合。水面無人艇(USV)可執行海域監偵、通信中繼、搜救、設施巡檢及軍事任務；水下無人載具(UUV)則將觀測範圍帶到海面之下，應用於海床測繪、海纜與管線檢查、反水雷及水下環境偵測。台灣既有的軍艦、商船與高速小型船經驗，也為這個新市場提供製造基礎。台船「奮進魔鬼魚」船長 8.6 公尺、寬 3.7 公尺，最高航速超過 35 節，採三體船與模組化酬載設計，並於 2025 年取得 ABS 原則性設計認可(AIP)，為後續產品驗證建立基礎。9 月台船進一步與 Havoc 宣布合作，擬推動自主水面載具授權共同生產，展現國內造船能力與國際自主控制技術結合的方向。龍德造船則以「黑潮」切入市場，船長 9 公尺、寬 2 公尺、最高航速超過 40 節，在 25 節巡航條件下航程約 250 公里，並具自主航行及目標識別功能。隨產品逐步成形，後續量產採購與任務驗證將成為主要觀察重點。水面平台有望先帶動船體、航控、資料鏈與任務模組需求，水下市場則進一步考驗聲學設備、耐壓密封、能源及回收能力。

圖三：台船-奮進魔鬼魚(Endeavor Manta USV)

資料來源：台船、國泰證期研究部整理

另一方面，台海海象則是無人載具商業化不可忽略的限制。交通部觀測數據顯示，臺中港測站冬季平均波高約 2.1 公尺，比夏季高約 1.3 公尺，足以說明不同季節的差異性。對小型無人艇，波浪會增加船體拍擊與姿態變化，影響感測器穩定、推進效率、航速及回收；水下航行雖可減少直接受表面波浪影響，出入水、母船收放及浮出通信仍受海況約束。對無人機而言，浪高主要透過甲板運動

與海面飛濺影響艦載起降，飛行本身則更直接受到陣風、降雨及鹽霧影響。因此，廠商需要驗證的不只是最高航速，還包括不同波高、週期、浪向及酬載下的任務完成率、穩定通信、自主避碰、故障處置與回收成功率。研究部認為，能累積跨季節海試資料、維修經驗及可重複交付能力的船廠將更具競爭優勢。

從政策走向可持續交付，軍工供應鏈蓄勢

國防預算擴張、無人載具產業政策及非紅供應鏈需求，有利支持業者持續投入研發與量產。無人系統的產業效益亦將由載具製造延伸至感測器、通信、任務整合與反制設備，並隨部署規模增加，帶動備件、維修、軟體更新及訓練等後續需求，為供應鏈建立持續性收入來源。

無人機方面，長榮航太(2645)則以軍用商規艦載監偵無人機切入市場，具備航太製造與品質管理能力的延伸優勢。漢翔(2634)透過與 Shield AI 合作的 V-BAT 垂直起降無人機取得海巡案，後續成長機會包括在地整合、維保及新增採購；反無人機方面，創泓科技(7714)布局 C2 無人機防禦系統與 Sentrycs 反無人機方案，可望拓展偵測、辨識、反制及指揮控制整合業務。

表二：無人機規格與任務定位比較表

類型	代表機型 / 製造商	機體規模	續航/滯空時間	主要用途與產業重點
FPV 無人機	General Cherry/烏克蘭	多種尺寸機架	17~30 分鐘	前線任務；低成本、量產與快速補充
小型多旋翼監偵機	Mavic 3 Pro/DJI	展開尺寸約 35cm	43 分鐘	近距離監偵；便攜、影像品質與快速部署
艦載垂直起降監偵機	V-BAT/Shield AI	翼展 3.8m	12 小時以上	艦載監偵；垂直起降、酬載整合與維保
中型固定翼海洋監偵機	銳鳶二型/中科院	翼展約 12m	16 小時以上	海域監視與預警；資料鏈、感測及指管整合
大型中高度長航時無人機	MQ-9B SkyGuardian/ General Atomics	翼展約 24m	40 小時以上	長航時廣域監偵；地面站、通信與後勤支援

資料來源：國泰證期研究部整理

無人艇方面，台船(2208)的「奮進魔鬼魚」採三體船設計與模組化酬載，具備拓展多元海上任務的潛力；龍德造船(6753)的「黑潮」則以高速操縱與匿蹤設計為特色，結合既有軍用小型船建造經驗，爭取量產與後勤需求。研究部認為，後續隨產品驗證與採購逐步落實，具備系統整合、穩定交付及長期維保能力的業者，將有機會將政策需求轉化為實質營運成長。

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研究團隊

李朋潤
研究部主管
+886-2-2326-9899#9814
pengjunlee@cathayfut.com.tw

藍文彥
金融、消費、工業
+886-2-2326-9899#1145
michael@cathayfut.com.tw

呂曼旂
紡織、製鞋、電子組裝
+886-2-2326-9899#7960
minchilu@cathayfut.com.tw

呂理舜
綠色能源、電動車
+886-2-2326-9899#9844
dufflu@cathayfut.com.tw

林裕禮
IP、IC設計
+886-2-2326-9899#1944
henrylin@cathayfut.com.tw

璩文浩 CA
ESG
+886-2-2326-9899#9856
whchu@cathayfut.com.tw

王筠婷
特用化學、半導體週邊
+886-2-2326-9899#7961
vanessawang@cathayfut.com.tw

姜仁匡
PCB
+886-2-2326-9899#1601
kenchiang@cathayfut.com.tw

紀彥呈
半導體、資訊軟體
+886-2-2326-9899#1940
ianchi@cathayfut.com.tw

劉耀文
IPC、鋼鐵
+886-2-2326-9899#1751
yaowen@cathayfut.com.tw

鍾沛宴
IC設計
+886-2-2326-9899#1750
parisphchung@cathayfut.com.tw

王韋傑
被動元件
+886-2-2326-9899#3954
jerrywang@cathayfut.com.tw

張雅倩
研究員
+886-2-2326-9899#1122
val.chang@cathayfut.com.tw

林美君
研究員
+886-2-2326-9899#1752
meira.lin@cathayfut.com.tw

賴振宇
資深研究員
+886-2-2326-9899#9817
alex.lai@cathayfut.com.tw

郭經緯 CPA
顧問部主管
+886-2-2326-9899#9812
raymondkuo@cathayfut.com.tw

何緯婷
總經
+886-2-2326-9899#9835
lauraho@cathayfut.com.tw

陳玉庭
總經、ETF
+886-2-2326-9899#7964
yutingchen@cathayfut.com.tw

張立民
研究員
+886-2-2326-9899#1731
changlimin@cathayfut.com.tw

陳宇亮
研究員
+886-2-2326-9899#9846
ivor0704@cathayfut.com.tw

林威廷
研究員
+886-2-2326-9899#3956
adamlin@cathayfut.com.tw

國泰期貨 國泰證券子公司

投資評等定義

英文評等	中文評等	潛在報酬率
STRONG BUY	強力買進	> +30%
BUY	買進	介於+15% ~ +30%
NEUTRAL	中立	介於-15% ~ +15%
SELL	賣出	< -15%

註:潛在報酬率=(6個月內目標價/本次報告評等最近一天收盤價－1) 100

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